

CASES DECIDED

IN THE

COURT OF APPEALS

OF THE

STATE OF NEW YORK

[95 NE3d 303, 72 NYS3d 1]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v REGINALD WIGGINS, Appellant.

Argued January 9, 2018; decided February 15, 2018

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered October 6, 2016. The Appellate Division modified, on the law, a judgment of the Supreme Court, New York County (Ronald A. Zweibel, J.), which had convicted defendant, upon a plea of guilty, of manslaughter in the first degree. The modification consisted of reducing the amounts of the mandatory surcharge and the crime victim assistance fees from \$300 to \$250 and \$25 to \$20, respectively. The Appellate Division affirmed the judgment as modified.

People v Wiggins, 143 AD3d 451, reversed.

HEADNOTES

Crimes — Appeal — Matters Reviewable — Mixed Question of Law and Fact — Constitutional Right to Speedy Trial

1. In a murder prosecution in which defendant remained incarcerated for more than six years between his arrest and guilty plea while the People sought to obtain codefendant's cooperation in testifying against him, defendant's constitutional speedy trial claim was not beyond the review powers of the Court of Appeals. The reason for the delay was not a disputed factual issue; the dispute pertained only to whether the reason for the delay was sufficient to justify it as a matter of law. Furthermore, the Court of Appeals has never referred to the general application of the factors set forth in *People v*

Taranovich (37 NY2d 442 [1975]) as a mixed question over which it has limited powers of review.

Crimes — Right to Speedy Trial — Extraordinary Delay Caused by Adjournments Granted with Codefendant's Consent

2. In a murder prosecution in which defendant remained incarcerated for more than six years between his arrest and guilty plea while the People sought to obtain codefendant's cooperation in testifying against defendant, the Appellate Division erred in concluding that, under CPL 30.30, the adjournments granted with codefendant's consent were not chargeable to the People. CPL 30.30 was inapplicable, inasmuch as defendant was charged with second-degree murder. The problem of prosecutorial readiness addressed by CPL 30.30 and the constitutional speedy trial right are not analogous. Although many of the adjournments, both before and after the People decided to try codefendant first, were at codefendant's request or on his consent, each criminal defendant has an individual constitutional right to a speedy trial that cannot be rendered meaningless by the dilatory tactics of his or her codefendant. Even if CPL 30.30 were applicable, that statute excludes from the time chargeable to the People only a "reasonable period of delay" attributable to a codefendant, and then only when good cause has not been shown for granting a severance and the codefendant's CPL 30.30 time has not run (CPL 30.30 [4] [d]). It was questionable whether the delay attributable to codefendant would have been considered "reasonable" even if CPL 30.30 applied. In addition, defendant did show good cause for a severance in the motion he made three months after his arrest, but the trial court held defendant's motion in abeyance pending resolution of codefendant's motion to suppress his statements to police, which it did not determine until nearly four years later.

Crimes — Right to Speedy Trial — Good Cause for Extraordinary Delay — Pursuit of Codefendant's Cooperation

3. In a murder prosecution, defendant's more than six-year period of pre-trial incarceration during which the People sought to obtain codefendant's cooperation in testifying against him was an extraordinary delay for which the People failed to establish good cause. In post-charge delay cases, the People's good faith determination to delay the defendant's trial cannot continue indefinitely, even if their proffered justification for the delay would otherwise excuse a reasonable period of delay. Assuming the People acted on a good faith belief that codefendant's testimony would significantly enhance the overall nature and quality of the evidence against defendant, they nonetheless did not have unfettered discretion to indefinitely pursue evidence that would strengthen their case while defendant's trial was postponed. The People pursued a cooperation agreement with codefendant for 2½ years, even though they conceded that codefendant had repeatedly told them through his attorney that he would never testify against defendant. When those efforts failed, the People attempted for the following three years to obtain a conviction against codefendant in the hope that he would decide to testify against defendant in exchange for a more lenient sentence. After three mistrials, the People were no closer to securing his testimony against defendant. The People knew or should have known that there was no guarantee, or even any likelihood, that codefendant would agree to testify against defendant, or that they would promptly obtain a conviction against codefendant on a top count.

Crimes — Right to Speedy Trial — Mitigation of Extended Period of Pretrial Delay — Incarceration for Unrelated Pending Charges

4. In a murder prosecution in which defendant remained incarcerated for more than six years between his arrest and guilty plea while the People

sought to obtain codefendant's cooperation in testifying against him, defendant's extended period of pretrial incarceration was not mitigated by the fact that, during a portion of that time, defendant was also under indictment for unrelated charges. Although the significance of an extended period of pretrial incarceration may be mitigated under certain circumstances, such as where the defendant is incarcerated pursuant to a sentence imposed after conviction on unrelated charges, the same rationale will not necessarily apply to a defendant who is facing pending unrelated charges, inasmuch as the defendant is presumed to be innocent of those charges until convicted, and where it cannot be determined whether the defendant would have otherwise been subject to pretrial incarceration on those charges. One of the assault charges upon which the Appellate Division relied to minimize the importance of defendant's lengthy pretrial incarceration was ultimately dismissed after pending for nearly four years. When defendant was sentenced on another assault conviction to 4½ years' imprisonment, he had already spent five years in pretrial incarceration. However, defendant's incarceration on the unrelated charges could not provide good cause for the delay. In any event, the People had not demonstrated that defendant would have been held on the unrelated pending charges alone if he was not incarcerated pending trial on the present charges.

Crimes — Right to Speedy Trial — Presumptive Prejudice

5. In a murder prosecution in which defendant remained incarcerated for more than six years between his arrest and guilty plea while the People sought to obtain codefendant's cooperation in testifying against him, the Appellate Division erred in concluding that defendant was not prejudiced as a result of the delay. Although defendant had not demonstrated any specific impairment to his defense as a result of the extraordinary delay, a demonstration of specific prejudice is not necessarily required. Excessive delay presumptively compromises the reliability of a trial in ways that neither party can prove or identify. In addition, prejudice to a defendant caused by delay in bringing him or her to trial is not confined to the possible prejudice to his or her defense in those proceedings. Therefore, defendant suffered presumptive prejudice as a result of the delay.

Crimes — Right to Speedy Trial — Extraordinary Delay and Lengthy Period of Pretrial Incarceration

6. In a murder prosecution, defendant's constitutional right to a speedy trial was violated where defendant remained incarcerated for more than six years between his arrest and guilty plea while the People sought to obtain codefendant's cooperation in testifying against him. The delay was extraordinary, and although it was assumed that the People acted out of a good faith belief that codefendant's testimony would significantly enhance their case against defendant, their decision to pursue a strategy for codefendant's cooperation that continued to be unsuccessful after five years could not justify the extraordinary delay. Although the serious nature of the charges favored the People, the lengthy period of pretrial incarceration, as well as the presumptive prejudice to defendant that resulted from the lengthy delay and pretrial incarceration, favored defendant.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Appellate Review §§ 618, 623, 631, 647; AM
JUR 2d Criminal Law §§ 929–940.

CARMODY-WAIT 2d Timeliness of Prosecution; Speedy Trial
 §§ 186:12, 186:83, 186:91, 186:98, 186:100, 186:105,
 186:133, 186:135, 186:147.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 18.1–
 18.4.

McKINNEY'S, CPL 30.30 (4) (d).

NY JUR 2d Criminal Law: Procedure §§ 1898–1900, 1905,
 1924, 1927, 1929, 1935, 1937, 1954–1955, 1957, 1968,
 3561.

ANNOTATION REFERENCE

See ALR Index under Appeal and Error; Continuances
 and Adjournment; Dismissal, Discontinuance, and Nonsuit,
 Indictments and Informations; Speedy Trial.

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POINTS OF COUNSEL

Robert S. Dean, Center for Appellate Litigation, New York City (Ben A. Schatz of counsel), for appellant. Reginald Wiggins was denied his constitutional right to a speedy trial where he spent an “extraordinary” six years and three months in pre-trial detention—from ages 16 to 22—while the prosecution tried to “better” its case against him by securing the cooperation of his codefendant, who “repeatedly” insisted he would “never” testify against Mr. Wiggins. (*Klopfer v North Carolina*, 386 US 213; *People v Prosser*, 309 NY 353; *Barker v Wingo*, 407 US 514; *People v Staley*, 41 NY2d 789; *Dickey v Florida*, 398 US 30; *People v Johnson*, 38 NY2d 271; *People v Taranovich*, 37 NY2d 442; *People v Singer*, 44 NY2d 241; *People v Romeo*, 12 NY3d 51; *People v Moore*, 47 NY2d 872.)

Cyrus R. Vance, Jr., District Attorney, New York City (Sabrina Margret Bierer and Christopher P. Marinelli of counsel), for respondent. The record supports the determinations of the lower courts that defendant’s constitutional speedy trial rights were not violated. (*People v Jordan*, 62 NY2d 825; *Barker v Wingo*, 407 US 514; *Klopfer v North Carolina*, 386 US 213; *People v Prosser*, 309 NY 353; *People v Taranovich*, 37 NY2d 442; *People v Waldron*, 6 NY3d 463; *People v Decker*, 13 NY3d 12; *People v*

Staley, 41 NY2d 789; *People v Winfrey*, 20 NY2d 138; *People v Singer*, 44 NY2d 241.)

The Legal Aid Bureau of Buffalo, Inc., Buffalo (*Benjamin L. Nelson* of counsel), *Timothy P. Murphy*, *New York State Association of Criminal Defense Lawyers*, Albany, and *Mark S. Williams*, *Chief Defenders Association of New York*, Albany, for New York State Association of Criminal Defense Lawyers and another, amici curiae. I. The right to a speedy trial is an individual right, not a right shared among codefendants and susceptible to collective analysis or waiver. (*People v McGee*, 68 NY2d 328; *People v Brothers*, 50 NY2d 413; *People v Worley*, 66 NY2d 523; *People v Vidal*, 180 AD2d 447; *Doggett v United States*, 505 US 647; *Dickey v Florida*, 398 US 30; *Bruton v United States*, 391 US 123; *People v Johnson*, 38 NY2d 271; *People v Burrelle*, 21 NY2d 265; *People v Staley*, 41 NY2d 789.) II. The reasons offered by the prosecution to justify a post-accusation, pretrial delay are not subject to judicial review only under a deferential “good faith” standard. (*People v Decker*, 13 NY3d 12; *United States v Marion*, 404 US 307; *United States v Lovasco*, 431 US 783; *People v Singer*, 44 NY2d 241; *People v Vernace*, 96 NY2d 886; *People v Romeo*, 12 NY3d 51; *Doggett v United States*, 505 US 647; *People v Luperon*, 85 NY2d 71.) III. A showing of specific impairment of the conduct of the defense is not required to satisfy the prejudice component of a constitutional speedy trial inquiry. (*Barker v Wingo*, 407 US 514; *People v Taranovich*, 37 NY2d 442; *Doggett v United States*, 505 US 647.) IV. The years-long pretrial incarceration of a teenage defendant is profoundly prejudicial. (*People v Staley*, 41 NY2d 789; *Graham v Florida*, 560 US 48; *Roper v Simmons*, 543 US 551; *People v Johnson*, 38 NY2d 271; *People v Singer*, 44 NY2d 241; *Matter of Benjamin L.*, 92 NY2d 660; *Miller v Alabama*, 567 US 460; *People v Taranovich*, 37 NY2d 442; *People v Johnson*, 27 NY3d 199.)

Alston & Bird LLP, New York City (*Elizabeth A. Buckel* of counsel), for JustLeadershipUSA, amicus curiae. I. Compliance with the statutory guidelines of CPL 30.30, the prosecutorial “ready rule,” does not constitute “good cause” for a six-year pretrial delay. (*People v Singer*, 44 NY2d 241; *People v Morris*, 25 AD3d 915; *Barker v Wingo*, 407 US 514; *People v Romeo*, 12 NY3d 51; *People v Johnson*, 38 NY2d 271; *People v Ganci*, 27 NY2d 418; *People v Brothers*, 50 NY2d 413; *People v Osgood*, 52 NY2d 37; *People v Worley*, 66 NY2d 523; *United States ex rel. Frizer v McMann*, 437 F2d 1312.) II. The conditions of a

defendant's pretrial incarceration are relevant to the fourth *People v Taranovich* (37 NY2d 442 [1975]) factor. (*Barker v Wingo*, 407 US 514; *People v Romeo*, 12 NY3d 51; *People v Morris*, 25 AD3d 915; *People v Roberson*, 99 AD2d 619.) III. Extended pretrial incarceration at Rikers Island is inherently prejudicial to adolescents. (*People v Johnson*, 27 NY3d 199; *Doggett v United States*, 505 US 647; *Roper v Simmons*, 543 US 551; *Miller v Alabama*, 567 US 460; *Matter of Benjamin L.*, 92 NY2d 660; *People v Taranovich*, 37 NY2d 442.)

The Bronx Defenders, Bronx (Saul Zipkin, V. Marika Meis, Tania Brief and Scott Levy of counsel), for The Bronx Defenders and another, amici curiae. I. The prosecution is not given unlimited discretion to prefer its strategic interests over Reginald Wiggins's speedy trial right. (*Barker v Wingo*, 407 US 514; *People v Taranovich*, 37 NY2d 442; *People v Charles*, 180 AD2d 868; *People v Romeo*, 12 NY3d 51; *People v Singer*, 44 NY2d 241; *People v Vernace*, 96 NY2d 886; *People v Lieberman*, 64 AD2d 913.) II. The prejudice inquiry must take into account the harmful effects of extended pretrial incarceration. (*United States v Marion*, 404 US 307; *Doggett v United States*, 505 US 647; *Moore v Arizona*, 414 US 25; *People v Cousart*, 58 NY2d 62; *People v Stanley*, 15 NY2d 860; *People v Taranovich*, 37 NY2d 442; *Barker v Wingo*, 407 US 514; *Miller v Alabama*, 567 US 460; *Matter of Benjamin L.*, 92 NY2d 660.)

OPINION OF THE COURT

FAHEY, J.

The answer to the question “how long is too long?” is a difficult one to resolve. However, certain basic principles must guide us. An accused's right to be presumed innocent is protected by the right to prompt justice. Incarceration should generally follow conviction, not precede it. The failure of our criminal justice system to promptly resolve cases erodes faith in its fundamental fairness. This Court has long recognized that “[s]ociety, as well as the defendant, has an important interest in assuring prompt prosecution of those suspected of criminal activity” (*People v Staley*, 41 NY2d 789, 792 [1977], citing *People v Johnson*, 38 NY2d 271, 276 [1975]). Delays are often inevitable and justifiable. Nevertheless, in discharging their obligation to ensure “that those accused of crimes are swiftly brought to justice” (*Johnson*, 38 NY2d at 276), the People do not have discretion to indefinitely delay a defendant's trial in order to pursue evidence that would strengthen their case.

On this appeal, we must determine whether a lengthy delay between defendant's arrest and his eventual guilty plea violated his constitutional right to a speedy trial. Applying the factors set forth in *People v Taranovich* (37 NY2d 442 [1975]) to the circumstances of this case, we conclude that defendant's right to a speedy trial was violated.

I.

On May 24, 2008, after a "sweet sixteen" party, defendant Reginald Wiggins and codefendant Jamal Armstead confronted another partygoer after they were told that the partygoer had insulted their friend. Armstead pointed a gun at the alleged offender and pulled the trigger, but the gun did not fire. Armstead then handed the gun to defendant, who fired a shot that hit a 15-year-old bystander, killing him. Defendant was 16 years old at the time.

Defendant was arrested on May 28, 2008 and remanded without bail. Defendant and Armstead were charged in an indictment with murder in the second degree, two counts of attempted murder in the second degree, and criminal possession of a weapon in the second degree. On August 26, 2008, defendant filed an omnibus motion in Supreme Court seeking, inter alia, severance of his case from Armstead's, in part on *Bruton* grounds (see generally *Bruton v United States*, 391 US 123 [1968]). On October 23, 2008, the court held that part of the motion seeking severance on *Bruton* grounds in abeyance, pending resolution of Armstead's motion to suppress his statements to police. The court, however, did not hold a *Huntley* hearing in Armstead's case or decide that suppression motion for nearly four years.

For approximately 2½ years, from January 2009 to June 2011, the People sought to obtain Armstead's cooperation in testifying against defendant. The People requested numerous adjournments for that purpose, generally with Armstead's consent. Inasmuch as severance had not yet been granted, these adjournments necessarily also resulted in adjournments of defendant's case. The People pursued Armstead's cooperation for this length of time even though the People acknowledged during later litigation of defendant's speedy trial motion that Armstead "repeatedly indicated through his lawyer that he [would] never testify against the defendant," although they further asserted, without elaboration, that "Armstead himself has wavered on this point."

The People's efforts to obtain Armstead's cooperation were unsuccessful. In June 2011, the People presented Armstead with the terms of a cooperation agreement, which Armstead rejected. Armstead's request for reassignment of counsel was granted. In July 2011, the People announced their intention to try Armstead first, separately from defendant. The People hoped that if Armstead was convicted on a top count, he might decide to testify against defendant in exchange for a more lenient sentence. The People further asserted that Armstead's testimony "would significantly enhance the overall nature and quality of the evidence against the defendant." Due to adjournments requested by Armstead's counsel, Armstead's *Huntley* hearing did not begin until May 2012. In August 2012, the court denied Armstead's motion to suppress his statements.

In the meantime, in October 2011, defendant was involved in a jailhouse altercation. He was convicted of assault in the second degree, and in June 2013, he was sentenced to 4½ years' imprisonment. That judgment was affirmed on appeal (*People v Wiggins*, 132 AD3d 514 [1st Dept 2015], *lv denied* 27 NY3d 1076 [2016]). Defendant was also charged in 2009 with conspiracy and gang assault. Those charges were pending until March 2013, when they were ultimately dismissed.

Armstead's first trial began in October 2012, resulting in a partial verdict convicting him of criminal possession of a weapon in the second degree. Before deliberations could continue on the remaining counts, Hurricane Sandy interrupted the trial. When the trial resumed on November 7, 2012, only 11 jurors returned, and the court declared a mistrial. Armstead's counsel announced that he would be unable to retry the case until the following April.

In April 2013, Armstead's second trial began. That trial also ended in a mistrial due to jury deadlock. Armstead's counsel stated that he would be unable to retry the case until October.

In May 2013, before Armstead's third trial began, defendant filed his first motion to dismiss the indictment on constitutional speedy trial grounds. The court denied that motion in December 2013. The court acknowledged that the delay was lengthy, but reasoned that "a good part of the extraordinary delay was caused by" Armstead, and that defendant had been incarcerated due to his unrelated pending cases during much of that time. The court further concluded that the defense did not appear to be impaired by the delay.

Armstead's third trial began in January 2014. Armstead was acquitted of second-degree murder, but the jury deadlocked on the attempted murder counts, and a third mistrial was declared. Armstead's fourth trial was scheduled for August 2014. In June 2014, defendant filed a second motion to dismiss the indictment based on a violation of his constitutional right to a speedy trial.

By September 23, 2014, Armstead's fourth trial had not yet begun, and the People had not responded to defendant's second speedy trial motion. Defendant pleaded guilty to manslaughter in the first degree in exchange for a determinate sentence of 12 years' imprisonment, to be followed by five years' postrelease supervision. During the plea proceeding, defendant withdrew his pending speedy trial motion. On October 7, 2014, defendant was sentenced in accordance with the terms of the plea agreement. On February 26, 2015, Armstead pleaded guilty to attempted murder in the second degree in exchange for a sentence of 15 years' imprisonment, to be followed by five years' postrelease supervision.

In short, the People pursued a cooperation agreement with Armstead for approximately 2½ years. After that effort proved unsuccessful, they spent the next three years attempting to convict Armstead, trying him separately from defendant. After three mistrials, Armstead had been convicted of only criminal possession of a weapon in the second degree, he had been acquitted on the top count of second-degree murder, and the People were no closer to securing his testimony against defendant. The time between defendant's arrest on May 28, 2008 and defendant's plea on September 23, 2014 spanned six years, three months, and 25 days, from when defendant was 16 years old until he was 22. Defendant spent the entirety of that period incarcerated.

On appeal, the Appellate Division held, in a 3-2 decision, that defendant's constitutional right to a speedy trial was not violated (*People v Wiggins*, 143 AD3d 451 [1st Dept 2016]). One of the dissenting Justices granted defendant leave to appeal to this Court (28 NY3d 1152 [2017]). We now reverse.

II.

We analyze constitutional speedy trial claims using the five factors set forth in *People v Taranovich* (37 NY2d 442 [1975]): “(1) the extent of the delay; (2) the reason for the delay; (3) the nature of the underlying charge; (4) whether or not there has

been an extended period of pretrial incarceration; and (5) whether or not there is any indication that the defense has been impaired by reason of the delay” (*id.* at 445). These factors are similar, but not identical, to the factors used in evaluating speedy trial claims under the Federal Constitution, which include the “[l]ength of delay, the reason for the delay, the defendant’s assertion of his right, and prejudice to the defendant” (*Barker v Wingo*, 407 US 514, 530 [1972]). “[N]o one factor or combination of the factors . . . is necessarily decisive or determinative of the speedy trial claim, but rather the particular case must be considered in light of all the factors as they apply to it” (*Taranovich*, 37 NY2d at 445).

[1] To the extent the People argue that our review of this issue is circumscribed because the balancing of the *Taranovich* factors generally or the lower courts’ determination as to the second *Taranovich* factor specifically constitutes a mixed question of law and fact, we disagree. The People rely on *People v Vernace* (96 NY2d 886, 887 [2001]), where we held that the Appellate Division’s determination that the People had good cause to delay the commencement of prosecution based on witness fear was “a mixed question of law and fact for which there is support in the record” (*id.*). Whether witnesses were fearful involves factual inferences beyond the review powers of this Court. Here, the reason for the delay is not a disputed factual issue; the dispute pertains only to whether the reason for the delay was sufficient to justify it as a matter of law. Furthermore, we have never referred to the general application of the *Taranovich* factors as a mixed question over which we have limited powers of review.

A.

With respect to the first *Taranovich* factor—the length of the delay—we agree with the Appellate Division that “[t]here is no question that the six-year delay between the shooting in 2008 and defendant’s guilty plea in 2014 was ‘extraordinary’” (*Wiggins*, 143 AD3d at 455, quoting *People v Staley*, 41 NY2d 789, 792 [1977]; see *People v Romeo*, 12 NY3d 51, 56 [2009], *cert denied* 558 US 817 [2009]), and therefore that this factor favors defendant. Even if we examine only the time between defendant’s arrest and the denial of his first speedy trial motion, as the People contend we must because defendant withdrew his second speedy trial motion when he pleaded guilty, that delay still amounts to 5½ years. Although we have “steadfastly

refused to set forth a per se period beyond which a criminal prosecution may not be pursued” (*Taranovich*, 37 NY2d at 445), and this extraordinary delay therefore is “not in itself decisive,” it demands “close scrutiny of the other factors, especially the question of why the delay occurred,” inasmuch as it is “the People’s burden to bring defendant to trial in a timely fashion” (*Romeo*, 12 NY3d at 56).

B.

The second *Taranovich* factor requires us to consider the reason for the delay. There are two primary reasons for the extraordinary delay here: adjournments consented to or requested by Armstead, and the People’s desire to secure Armstead’s cooperation in testifying against defendant. Although the People point to other reasons for the delay outside of their control, such as a fire in the courthouse and Hurricane Sandy, those delays were minimal. The People also note that some delay was due to defendant’s requests for adjournments for motion practice, discovery, and reassignment of counsel, but those adjournments amounted to, at most, seven months of the delay.

[2] Addressing first delay attributable to Armstead, the Appellate Division erred in applying case law interpreting CPL 30.30 to conclude that adjournments granted with Armstead’s consent “should not be chargeable here” (*Wiggins*, 143 AD3d at 455). CPL 30.30 is inapplicable, inasmuch as defendant was charged with second-degree murder (*see* CPL 30.30 [3] [a]).

Furthermore, even though we have acknowledged that CPL 30.30 “in large part serves the same purposes” as CPL 30.20 (*People v Anderson*, 66 NY2d 529, 535 [1985]), we have also stated that the problem of prosecutorial readiness addressed by CPL 30.30 and the constitutional speedy trial right are not analogous. “Although the words ‘speedy trial’ appear in the title to CPL 30.30 and the section is often referred to as expressing a statutory right to a speedy trial, in both form and intention it articulates only the right of a defendant to a dismissal ‘where the people are not ready for trial’ ” (*People v Brothers*, 50 NY2d 413, 417 [1980]). “[A] defendant’s right to a CPL 30.30 dismissal has its origin solely in legislative enactment which is in no way expressive of or dependent on any constitutional right to speedy trial” (*id.* at 418; *see People v Johnson*, 38 NY2d 271, 278 n 3 [1975]). The legislature intended for CPL 30.30 “to address only the problem of prosecutorial readiness” (*People v Worley*, 66 NY2d 523, 527 [1985]).

CPL 30.30 (4) (d) generally excludes from time chargeable to the People reasonable periods of delay attributable to a codefendant because those delays are not the result of prosecutorial unreadiness. By contrast, “[t]he protection of speedy trial rights, which would include the consideration of delays caused not only by the prosecution but also by factors such as court congestion, were addressed by CPL 30.20 and by constitutional provisions” (*Worley*, 66 NY2d at 527). Thus, although many of the adjournments, both before and after the People decided to try Armstead first, were at Armstead’s request or on his consent, each criminal defendant has an individual constitutional right to a speedy trial that cannot be rendered meaningless by the dilatory tactics of his or her codefendant.

In any event, even if CPL 30.30 were applicable, that statute excludes from the time chargeable to the People only a “reasonable period of delay” attributable to a codefendant, and then only when good cause has not been shown for granting a severance and the codefendant’s CPL 30.30 time has not run (CPL 30.30 [4] [d]). Here, it is questionable whether the delay attributable to Armstead would be considered “reasonable” even if CPL 30.30 applied. In addition, defendant did show good cause for a severance on *Bruton* grounds in 2008. The trial court, however, did not determine whether Armstead’s statement would be suppressed until nearly four years later.

[3] Turning to the People’s desire to secure Armstead’s testimony against defendant, the Appellate Division was also incorrect in concluding that it could not “second guess ‘the significant amount of discretion that the People must of necessity have’ in the prosecution of an indictment . . . , so long as they act in good faith” (*Wiggins*, 143 AD3d at 457). The Appellate Division quoted *People v Decker* (13 NY3d 12, 15 [2009]) for that proposition, but *Decker* is a case involving preindictment delay (*see id.* at 13-14). It is true that this Court has “never drawn a fine distinction” between due process violations based on delay in commencing prosecution and speedy trial violations (*People v Singer*, 44 NY2d 241, 253 [1978]). “Indeed, the factors utilized to determine if a defendant’s rights have been abridged are the same whether the right asserted is a speedy trial right or the due process right to prompt prosecution” (*People v Vernace*, 96 NY2d 886, 887 [2001], citing *Staley*, 41 NY2d at 792; *see Decker*, 13 NY3d at 15). The relevance of the People’s good faith, however, is one distinction between the due process right to prompt prosecution and the right to a speedy trial.

In *Singer*, we acknowledged that pursuant to United States Supreme Court case law, “[c]haracterization of the delay as ‘preindictment’ or ‘postindictment’ is often determinative,” inasmuch as a claim of unconstitutional preindictment delay “generally requires a showing of actual prejudice before dismissal would be warranted” (*Singer*, 44 NY2d at 252, citing *United States v Marion*, 404 US 307 [1971], and *United States v Lovasco*, 431 US 783 [1977]). The *Singer* Court made clear that, under state due process principles, “lengthy and unjustifiable delay in commencing the prosecution may require dismissal even though no actual prejudice to the defendant is shown” (*Singer*, 44 NY2d at 253-254). The *Singer* Court further held, however, that “a determination made in good faith to defer commencement of the prosecution for further investigation or for other sufficient reasons, will not deprive the defendant of due process of law even though the delay may cause some prejudice to the defense” (*id.* at 254, citing *Lovasco*, 431 US at 790). In preindictment delay cases decided after *Singer*, we have repeated that statement (see *Decker*, 13 NY3d at 14; *Vernace*, 96 NY2d at 888).

By contrast, in post-charge delay cases, the People’s good faith determination to delay the defendant’s trial cannot continue indefinitely, even if their proffered justification for the delay would otherwise excuse a *reasonable* period of delay. For example, in *Romeo*, we held that the defendant’s constitutional speedy trial right had been violated even though the defendant did “not suggest that the People acted with bad faith” (*Romeo*, 12 NY3d at 56). Thus, in cases considering delay between formal commencement of a criminal action and trial, although bad faith by the People “obviously would weigh heavily in favor of dismissal of the indictment,” the People’s good faith will not insulate their decision to delay trial from judicial review on constitutional speedy trial grounds (*id.* at 56-57; see also *Doggett v United States*, 505 US 647, 656-657 [1992]; *Barker*, 407 US at 531).

The People necessarily have wider discretion to delay *commencement of prosecution* for good faith, legitimate reasons than they do to delay a defendant’s *trial* after charges have been filed, even for legitimate reasons and without acting in bad faith.

“It requires no extended argument to establish that prosecutors do not deviate from ‘fundamental

conceptions of justice' when they defer seeking indictments until they have probable cause to believe an accused is guilty; indeed it is unprofessional conduct for a prosecutor to recommend an indictment on less than probable cause. It should be equally obvious that prosecutors are under no duty to file charges as soon as probable cause exists but before they are satisfied they will be able to establish the suspect's guilt beyond a reasonable doubt. . . . [R]equiring prosecutions to commence when probable cause is established is undesirable because it would increase the likelihood of unwarranted charges being filed, and would add to the time during which defendants stand accused but untried. . . . [N]o one's interests would be well served by compelling prosecutors to initiate prosecutions as soon as they are legally entitled to do so" (*Lovasco*, 431 US at 790-792).

In other words, the People generally have "the untrammelled power to institute a prosecution any time within the limitations period . . . but *once having instituted the prosecution by detainer warrant, indictment or other initiatory process, they have the obligation of advancing it unless there is a reasonable ground for delay*" (*People v White*, 32 NY2d 393, 398 [1973], quoting *People v Winfrey*, 20 NY2d 138, 144 [1967]).

Here, we assume that the People acted on a good faith belief that Armstead's testimony would "significantly enhance the overall nature and quality of the evidence against . . . defendant," as they assert. Yet the People cannot justify this extraordinary delay through their good faith alone. The People do not have unfettered discretion to indefinitely pursue evidence that would strengthen their case while the defendant's trial is postponed.

We do not suggest that a defendant's constitutional rights will be violated whenever the People delay trial for a reasonable period of time to pursue evidence that would strengthen their case. Nor do we suggest that it is unacceptable for the People to delay a defendant's trial for a reasonable period of time while they attempt to obtain the cooperation of a codefendant in testifying against the defendant. Considering the particular circumstances of this case, however, as we must (*see Taranovich*, 37 NY2d at 445), the People pursued a cooperation agreement with Armstead for 2½ years, even though they

concede that Armstead repeatedly told them through his attorney that he would never testify against defendant. When those efforts failed, the People attempted for the following three years to obtain a conviction against Armstead in the hope that Armstead would decide to testify against defendant in exchange for a more lenient sentence. The People were repeatedly unsuccessful in that endeavor as well. After three mistrials, Armstead had been convicted of only criminal possession of a weapon in the second degree, he had been acquitted of second-degree murder, and the People were no closer to securing his testimony against defendant. The People “knew or should have known that there was no guarantee” (*Romeo*, 12 NY3d at 57), or even any likelihood, that Armstead would agree to testify against defendant, or that they would promptly obtain a conviction against Armstead on a top count. We assume that their choice to proceed as they did was a good faith effort to obtain stronger evidence against defendant in order to secure his conviction. Nevertheless, by pursuing Armstead’s testimony for several years, without any guarantee that they would secure it, instead of moving defendant’s case to trial without Armstead’s cooperation, “the People ran the risk of a speedy trial violation” (*id.*).

The Supreme Court’s decision in *Barker v Wingo* is particularly instructive on the good cause analysis, although there the Court ultimately concluded that Barker’s speedy trial right was not violated, primarily because he did not assert that right and indeed “did not want a speedy trial” (*Barker*, 407 US at 534). Unlike the federal speedy trial factors, the state *Taranovich* factors do not separately consider whether the defendant has asserted his or her right to a speedy trial (*compare Taranovich*, 37 NY2d at 445, *with Barker*, 407 US at 528-530). In any event, there is no support in the record for the conclusion that defendant intentionally acquiesced in the delay caused by the People and Armstead in order to gain a strategic advantage.

In *Barker*, the prosecution attempted to secure the cooperation of the codefendant, Manning, in testifying against Barker by convicting Manning first, but they had to try Manning several times over four years in order to convict him, meanwhile continually moving for adjournments of Barker’s case (*see Barker*, 407 US at 516-517). The Supreme Court concluded that “the length of delay between arrest and trial—well over five years—was extraordinary” (*id.* at 533). With respect to the

reason for the delay, the Court observed that “[o]nly seven months of that period can be attributed to a strong excuse, the illness of the ex-sheriff who was in charge of the investigation” (*id.* at 533-534). As to the prosecution’s pursuit of Manning’s testimony, the Court acknowledged that “[p]erhaps some delay would have been permissible under ordinary circumstances,” but concluded that “more than four years was too long a period” (*id.* at 534).

We similarly conclude that, although we assume that the People acted in good faith in attempting to secure Armstead’s testimony against defendant, and a reasonable period of delay to do so would have been supported by good cause, under all the circumstances of this case, five years was “too long a period” (*id.*), and the People therefore have not established good cause for the extraordinary delay. We therefore disagree with the Appellate Division that the second *Taranovich* factor favors the People.

C.

The third *Taranovich* factor requires us to consider the nature of the underlying charges against defendant (*see Taranovich*, 37 NY2d at 445). It is undisputed that the charges against defendant, which included murder in the second degree, were serious. The People “may be expected to proceed with far more caution and deliberation than [they] would expend on a relatively minor offense” (*id.* at 446). “Of course, this is not to say that one’s right to a speedy trial is dependent upon what one is charged with, but rather that the prosecutor may understandably be more thorough and precise in . . . preparation for the trial” (*id.*). This factor therefore favors the People.

D.

With respect to the fourth *Taranovich* factor, we consider “whether or not there has been an extended period of pretrial incarceration” (*Taranovich*, 37 NY2d at 446). Here, defendant was incarcerated for the entirety of the delay between his arrest and guilty plea, which amounted to more than six years. We therefore agree with the Appellate Division that this factor favors defendant (*see Wiggins*, 143 AD3d at 457). To the extent the Appellate Division concluded, however, that the importance of this factor was diminished because “during a significant portion of this time, defendant was also under indictment for two

other assault charges, one of which resulted in a conviction and sentence of 4½ years” (*id.*), we disagree.

[4] Although we have held that the significance of the fourth *Taranovich* factor may be mitigated under certain circumstances, for example where the defendant is incarcerated pursuant to a sentence imposed after conviction on unrelated charges (*see Romeo*, 12 NY3d at 58; *People v Prosser*, 309 NY 353, 357 [1955]), the same rationale will not necessarily apply to a defendant who is facing *pending* unrelated charges, inasmuch as the defendant is presumed to be innocent of those charges until convicted, and where, as here, it cannot be determined whether the defendant would have otherwise been subject to pretrial incarceration on those charges. Indeed, one of the assault charges upon which the Appellate Division relied to minimize the importance of defendant’s lengthy pretrial incarceration was ultimately dismissed after pending for nearly four years. In June 2013, when defendant was sentenced on the assault conviction to 4½ years’ imprisonment, he had already spent five years in pretrial incarceration. We reiterate, however, that even though the fourth *Taranovich* factor may have less significance where the defendant is incarcerated on unrelated charges, such imprisonment cannot provide good cause for the delay, as the People concede (*see Singer*, 44 NY2d at 254; *Winfrey*, 20 NY2d at 141).

In any event, the People have not demonstrated, on this record, that defendant would have been held on the unrelated pending charges alone if he was not incarcerated pending trial on the present charges (*cf. Romeo*, 12 NY3d at 58). The significance of the extended period of defendant’s pretrial incarceration therefore was not mitigated.

E.

The fifth and final *Taranovich* factor requires us to consider prejudice to the defendant (*see Taranovich*, 37 NY2d at 446-447). The Appellate Division concluded that this factor favored the People because “defendant has not shown any prejudice as a result of the delay” (*Wiggins*, 143 AD3d at 458). We disagree.

[5] Defendant has not demonstrated any specific impairment to his defense as a result of the extraordinary delay. Nevertheless, both the United States Supreme Court and this Court have recognized that a demonstration of specific prejudice is not necessarily required (*see Moore v Arizona*, 414 US 25, 26 [1973], citing *Barker*, 407 US at 532-533; *Taranovich*, 37 NY2d

at 446-447). The Supreme Court has stated that “impairment of one’s defense is the most difficult form of speedy trial prejudice to prove because time’s erosion of exculpatory evidence and testimony ‘can rarely be shown’” (*Doggett*, 505 US at 655, quoting *Barker*, 407 US at 532). The courts therefore “generally have to recognize that excessive delay presumptively compromises the reliability of a trial in ways that neither party can prove or, for that matter, identify” (*id.*). Although “presumptive prejudice cannot alone carry a Sixth Amendment claim without regard to the other *Barker* criteria, . . . it is part of the mix of relevant facts, and its importance increases with the length of delay” (*id.* at 656). Similarly, in *Taranovich* we refused to “depart from the now traditional view in this court that where [under] the circumstances delay is great enough there need be neither proof nor fact of prejudice to the defendant” (*Taranovich*, 37 NY2d at 447).

In addition, “prejudice to a defendant caused by delay in bringing him to trial is not confined to the possible prejudice to his defense in those proceedings” (*Moore*, 414 US at 26-27).

“Inordinate delay, wholly aside from possible prejudice to a defense on the merits, may seriously interfere with the defendant’s liberty, whether he is free on bail or not, and . . . may disrupt his employment, drain his financial resources, curtail his associations, subject him to public obloquy, and create anxiety in him, his family and his friends. These factors are more serious for some than for others, but they are inevitably present in every case to some extent, for every defendant will either be incarcerated pending trial or on bail subject to substantial restrictions on his liberty” (*id.* at 27 [internal quotation marks and citations omitted]).

The People argue that under the federal *Barker* factors, the period of pretrial incarceration is not considered separately from the prejudice factor, and so federal courts consider the effects of pretrial incarceration as relevant to prejudice, whereas the *Taranovich* factors consider only whether the defense has been impaired due to the delay (*see Taranovich*, 37 NY2d at 445). Whether we consider it as relevant to the lengthy period of pretrial incarceration or to the prejudice factor, it remains true that a lengthy period of pretrial incarceration detrimentally impacts an accused individual in ways that go beyond specific impairment of the defense.

We therefore conclude that defendant suffered presumptive prejudice. This factor would weigh more heavily in defendant's favor if he had demonstrated specific impairment to his defense, but considering the extraordinary length of the delay and the fact that defendant was incarcerated during the entirety of that delay, this factor favors defendant.

III.

[6] After evaluating all the relevant *Taranovich* factors under the circumstances of this particular case, we conclude that defendant's constitutional right to a speedy trial was violated. The delay was extraordinary, and although we assume that the People acted out of a good faith belief that Armstead's testimony would significantly enhance their case against defendant, their decision to pursue a strategy for Armstead's cooperation that continued to be unsuccessful after five years cannot justify that extraordinary delay. Although the serious nature of the charges favors the People, the lengthy period of pretrial incarceration, as well as the presumptive prejudice to defendant that resulted from the lengthy delay and pretrial incarceration, favor defendant.

Accordingly, the order of the Appellate Division should be reversed and the indictment dismissed.

Chief Judge DiFiore (dissenting). It is undisputed that the five-year postindictment delay in prosecuting defendant, who was incarcerated the entire time, was extraordinary, triggering the "sensitive weighing process of the diversified factors present in the particular case," as set forth in *People v Taranovich* (37 NY2d 442, 445 [1975]). There is also no question that the lengthy pretrial incarceration of a defendant who was 16 years old at the time of arrest is presumptively prejudicial. However, it remains incumbent upon us, in determining whether dismissal of the indictment is required, to balance all of the *Taranovich* factors in this particular case. In doing so, on this factual record, I would conclude that defendant, who stood accused of the intentional murder of a 15 year old—a grave offense exempt from the five-year statute of limitations for felonies—was not deprived of his right to a speedy trial, or the due process right to prompt prosecution.

I.

Defendant was arrested and arraigned on a felony complaint on May 29, 2008, five days after the murder was committed,

and was remanded without bail.¹ In June 2008, he and co-defendant Jamal Armstead were charged jointly in a single indictment with murder in the second degree, two counts of attempted murder in the second degree (involving another victim) and criminal possession of a weapon in the second degree. In August 2008, defendant filed an omnibus motion seeking, among other relief, a severance. The motion was denied in October 2008, except for the portion of the motion seeking a severance under *Bruton v United States* (391 US 123 [1968]). The severance issue was held in abeyance pending the resolution of a *Huntley* hearing in Armstead's case, as the codefendant's statement implicated defendant as the shooter. Armstead's suppression hearing was held in May and June 2012, whereupon Supreme Court denied Armstead's motion to suppress and defendant's trial was severed in August 2012 (CPL 200.40).

In May 2013, defendant moved to dismiss the indictment under CPL 210.20 (1), arguing that the five-year delay in his prosecution violated his state right to due process and his federal constitutional right to a speedy trial, as well as his state statutory right to a speedy trial under CPL 30.20. The factual allegations in the motion concerning the reasons for the first four years of adjournments—from the commencement of the action in 2008 to 2012, when the pretrial hearings for the codefendant were held—can fairly be characterized as sparse, except for the litany of adjournments. One thing the motion does make clear is that defendant was brought to court with diligence on essentially a monthly basis from the time of his June 2008 indictment until May 2012 and that, on each occasion, “the matter was adjourned.” Defendant made no claim that he objected to any of the adjournments during this four-year period or that he raised any speedy trial protest during these proceedings. Indeed, there is nothing in the motion papers to indicate anything other than his silent acquiescence to the continuation of the case in this manner. To be precise, although he averred that he was incarcerated for the five-year period, he simply asserted that “[t]he reasons for the delay are not clear from the court file.”

Defendant's motion papers specifically aver that after the cases were severed in August 2012, the People elected to try Armstead first. The motion sets forth that defendant's matter

1. There is no preaccusatory delay in this case.

was adjourned for two months beginning in May 2012 while pretrial hearings were conducted in Armstead’s case. It also alleges that defendant’s case was adjourned for the period attributable to both Armstead’s first trial in October 2012, which ended in a mistrial after the jury rendered a partial verdict convicting the codefendant of criminal possession of a weapon but failed to convene for the continuation of the trial due to Hurricane Sandy, and Armstead’s second trial in April 2013, which was ongoing when defendant filed his dismissal motion. Defendant maintained that the “8-week period for the codefendant’s two trials does not justify the 5 year delay in bringing defendant . . . to trial.” Thus, the focus of defendant’s motion is plainly on the delay in his prosecution caused by the People’s attempt to resolve the case against codefendant Armstead before defendant was tried. Aside from defendant’s protest as to the entire five-year period of delay, the requisite factual allegations set forth in support of his motion to dismiss on speedy trial grounds narrowly addressed those proceedings that began in May 2012—four years after defendant’s arrest and one year prior to the filing of the speedy trial motion (*see* CPL 210.45 [1]).

Finally, defendant posited that,

“[b]ased upon the length of the post-arrest delay in this case, the People must establish good cause to justify such delay. In the event the People are unable to establish good cause for the 5 year delay in bringing the instant defendant to trial, defendant moves, pursuant to CPL 210.20(1)(h), to dismiss the indictment.”

Defendant’s motion was devoid of any allegation that he had suffered prejudice—actual or presumed—as a result of the delay. Rather, he observed that, where the delay is “lengthy and unjustifiable,” dismissal of the indictment may be required even in the absence of actual prejudice.

In response, the People conceded that the five-year delay was “atypically long,” but asserted that dismissal of the murder indictment was not warranted. The People noted that Armstead had consented to several adjournments beginning in January 2009 while a series of three ADAs attempted to secure his cooperation against defendant. Armstead rejected the cooperation agreement in June 2011 and then moved for reassignment of counsel. After new counsel was assigned in July 2011, “every single adjournment of Armstead’s case [was] at

the request of Armstead’s counsel”—including several adjournments after the People answered ready to try Armstead in May 2012. These latter adjournments were granted over the People’s objection that the delays would impact defendant. The People further observed that, since defendant’s speedy trial motion was filed, Armstead’s second trial had ended in a mistrial and another six-month adjournment was granted at Armstead’s counsel’s request. They maintained that they decided to try Armstead first in an attempt to obtain his testimony against defendant—observing that “[h]is testimony would significantly enhance the overall nature and quality of the evidence against the defendant.” The People conceded that Armstead had repeatedly maintained through his counsel that he would not testify against defendant, but asserted that “Armstead himself has wavered on this point.”

The People also pointed out that defendant had been indicted for two separate assaults that occurred during the course of his pretrial incarceration. In January 2009, at the early stages of the case, he was indicted in Bronx County for gang assault and other related charges. Those charges were later dismissed in March 2013. In addition, defendant was indicted in October 2011 in New York County for attempted gang assault in the first degree, attempted assault in the first degree and two counts of assault in the second degree, based on a “jailhouse assault” that took place at the Manhattan Detention Center. He was convicted of assault in the second degree after an April 2013 jury trial and was sentenced to 4½ years’ imprisonment, to be followed by three years’ postrelease supervision (PRS).

Supreme Court denied defendant’s motion, without a hearing, after engaging in the appropriate balancing test, holding that his right to a speedy trial had not been violated. Notably, although the court recognized that a significant portion of the delay was due to codefendant Armstead (and his counsel)—particularly beginning in July 2011—the court also observed that the People have “broad discretion” when determining the order in which to prosecute codefendants. The court pointed out that the People “consistently push[ed Armstead’s] attorney to get ready for trial.” Moreover, the court held that there were several additional reasons for the various delays, including the substitution of counsel for both the People and defendants and proceedings relating to defendant’s other pending indictments. The court ultimately concluded that there was good cause for the delay.

In June 2014, defendant made a second motion to dismiss the indictment on speedy trial grounds. However, defendant pleaded guilty on September 23, 2014 to the reduced charge of manslaughter in the first degree in full satisfaction of the indictment, in exchange for a sentence of 12 years' imprisonment, to be followed by five years' PRS. The manslaughter sentence was ordered to be served concurrent with the previously imposed 4½-year sentence for the 2011 assault, and to run nunc pro tunc from the date of defendant's May 2008 arrest.²

The Appellate Division affirmed, with two Justices dissenting, agreeing that defendant's right to a speedy trial had not been violated (143 AD3d 451 [1st Dept 2016]). The Court likewise held that there was good cause for the delay. The Court opined that, although the attempt to get Armstead to testify "certainly played an important role," it was not the only source of delay. It held that "much of the delay was occasioned by requests for adjournments by defendant and/or his codefendant for motion practice, change of counsel, discovery proceedings, unavailability of co-defendant's counsel and the like" (143 AD3d at 455). The Court also concluded that the People's attempt to secure Armstead's cooperation was made in good faith. After balancing all of the relevant factors, the Court determined that there was no speedy trial violation. The dissent, however, would have dismissed the indictment, finding that the People failed to show good cause for the delay and hypothesizing that on the basis of the length of the delay it was "likely" that the defense was prejudiced. The majority noted that the dissent "minimize[d] the defense side of the equation in determining the reason for the delay" (143 AD3d at 455).

2. Before the plea of guilty was entered, defense counsel acknowledged on the record that there was a second speedy trial motion filed in June that had not been decided and that he was withdrawing the motion. To the extent defendant now argues that the length of the delay at issue was beyond the five-year period designated in the first motion, that argument is not before this Court. Defendant expressly withdrew his second speedy trial motion prior to accepting the guilty plea. There is no indication whatsoever in this record that defendant's guilty plea was conditioned by the court or the People on the withdrawal of the second speedy trial motion and the motion, which was undecided, was therefore abandoned upon the entry of the plea (*see People v Alexander*, 19 NY3d 203, 218-219 [2012]). Thus, the length of delay that is properly before us is limited to the five-year period asserted in defendant's first speedy trial motion.

II.

The United States Constitution guarantees a defendant a “right to a speedy and public trial” (US Const 6th Amend). Recognizing that it is difficult to identify exactly when that right has been abridged, the United States Supreme Court has imposed a balancing test requiring an evaluation of the particular circumstances of each case (*see Barker v Wingo*, 407 US 514 [1972]). The Court identified four relevant factors to be weighed: “[l]ength of [the] delay, the reason for the delay, the defendant’s assertion of his right, and [actual or potential] prejudice to the defendant” (407 US at 530).

Although New York does not have a specific constitutional speedy trial provision, we do have statutory speedy trial requirements under the due process doctrine (CPL 30.20; Civil Rights Law § 12). We have also recognized that “unreasonable delay in prosecuting a defendant constitutes a denial of due process of law” and that undue delay may require dismissal of the indictment, even when there is no resulting prejudice to the defendant (*People v Staley*, 41 NY2d 789, 791 [1977]). “In this State, ‘we have never drawn a fine distinction between due process and speedy trial standards’ when dealing with delays in prosecution” (*People v Vernace*, 96 NY2d 886, 887 [2001], quoting *People v Singer*, 44 NY2d 241, 253 [1978]). We have evaluated both the speedy trial right and the due process right to prompt prosecution under a multi-factor balancing test derived from *Barker* (*see People v Taranovich*, 37 NY2d 442 [1975]).

“The following factors should be examined in balancing the merits of an assertion that there has been a denial of defendant’s right to a speedy trial: (1) the extent of the delay; (2) the reason for the delay; (3) the nature of the underlying charge; (4) whether or not there has been an extended period of pretrial incarceration; and (5) whether or not there is any indication that the defense has been impaired by reason of the delay” (37 NY2d at 445).

The evaluation of these factors requires “a sensitive weighing process of the diversified factors present in the particular case” and “no one factor or combination of the factors . . . is necessarily decisive or determinative of the speedy trial claim” (37 NY2d at 445).

Where there has been an extended period of delay, the burden is on the People to establish good cause (*see Singer*, 44

NY2d at 254). However, “[t]he Appellate Division’s determination that the People established good cause for the delay in prosecuting the defendant is a mixed question of law and fact,” which is beyond our review if there is support in the record (see *Vernace*, 96 NY2d at 887).

We have made clear that “there is no specific temporal duration after which a defendant automatically becomes entitled to release for denial of a speedy trial” (*Taranovich*, 37 NY2d at 444-445). “Moreover, the various factors must be evaluated on an *ad hoc* basis since no rigid precepts may be formulated which apply to each and every instance in which it is averred that there has been a deprivation of the speedy trial right” (*Taranovich*, 37 NY2d at 445). Thus, the five-year delay in this case is not, in itself, a tipping point—particularly where, as here, the five-year felony statute of limitations is inapplicable to the crime of murder (see CPL 30.10 [2]). Moreover, this case does not involve prosecutorial inaction resulting in preindictment or preaccusatory delay (see *Singer*, 44 NY2d 241; *People v Staley*, 41 NY2d 789 [1977]). Nor does it involve the People’s failure to bring defendant into the court to answer the charges (see *People v White*, 32 NY2d 393 [1973]; *People v Winfrey*, 20 NY2d 138 [1967]). This case involves a five-year delay in a postindictment courtroom setting where there are regular calendar adjournments while defendant and his counsel are present.

III.

Here, the first factor of length of delay clearly weighs in defendant’s favor. The five-year delay between defendant’s arrest and his speedy trial motion, during which defendant was held in pretrial detention, was an undisputed fact and is presumptively prejudicial so as to trigger the speedy trial balancing test (see *Barker*, 407 US at 530). Prompt prosecutions are fundamentally sound and serve the needs of both defendants and society. Five years of postindictment delay, even in a murder case, is antithetical to our long established goals in the speedy trial universe.

As to the second factor, the reason for the five-year delay, the facts are in dispute. Both courts below held that the People established good cause for the delay attributed to the codefendant. Rather significantly, both courts also found that there were a variety of factors that contributed to the overall delay, including defendant’s actions. The primary question as to one

part of the delay is whether the People's decision to defer defendant's prosecution while pursuing a cooperation agreement with Armstead amounts to good cause. A similar situation was presented in *Barker*, where the Supreme Court held that a delay of four years so that the codefendant in a double murder could be used as a witness against the defendant was "too long . . . particularly since a good part of that period was attributable to the Commonwealth's failure or inability to try [the codefendant] under circumstances that comported with due process" (407 US at 534). Similarly, the prosecution believed it had a stronger case against the codefendant and that they could "assure his testimony" against Barker if they convicted the codefendant first (407 US at 516). There, the codefendant was tried six times—including two hung juries and two convictions that were then litigated and overturned on appeal. However, after balancing all of the other relevant factors, the Court concluded that Barker was not deprived of his right to a speedy trial. The Court noted the lack of prejudice—Barker was only incarcerated for 10 months of the pretrial delay and there was no indication that witnesses had gone missing or suffered memory loss (*see* 407 US at 534). "More important," was the Court's conclusion that "Barker did not want a speedy trial" (407 US at 534). The Court observed that he had not asserted his speedy trial right for nearly four years and that the record suggested that Barker was "gambling on [the codefendant's] acquittal" (407 US at 535). Indeed, Barker's counsel had essentially conceded as much.

Here, the majority does not even attempt to analyze this case under the federal constitutional speedy trial right. Indeed, as in *Barker*, defendant's failure to assert his speedy trial right for five years on a record that, despite regular court appearances, does not indicate that he ever objected to four of the five years of delay would be a significant factor weighing against him (*see People v Prosser*, 309 NY 353, 359-360 [1955]; *compare United States v Tigano*, 880 F3d 602 [2d Cir 2018]). One could reasonably conclude from this record that defendant, who faced a minimum sentence of 15 years to life imprisonment on the murder charge, and potential consecutive prison sentences on the two assault indictments, had reason to bide his time and acquiesce in the delay in order to await the outcome of Armstead's first trial and assess the strength of the People's case.

In any event, the People have "broad discretion in determining when and in what manner to prosecute a suspected of-

fender” (*People v Di Falco*, 44 NY2d 482, 486 [1978]). This discretion is not without boundaries and a defendant’s trial cannot be postponed indefinitely while the People pursue a jointly indicted codefendant’s conviction or cooperation. To that end, the lengthy adjournments granted by the court to Armstead’s counsel at the latter stage of this case, over the People’s objection on defendant’s behalf, are at odds with defendant’s right to a speedy trial at that late juncture.³ However, the record supports the reasonableness of the People’s determination that Armstead’s testimony would strengthen the evidence against defendant—the shooter. Significantly, there is no record to support that the People were not diligent, were negligent or acted in bad faith in their efforts to prosecute Armstead and obtain his cooperation against defendant (*cf. Doggett v United States*, 505 US 647, 652-653 [1992]; *People v Romeo*, 12 NY3d 51, 56 [2009]). As this period of delay was not a result of prosecutorial inaction, negligence or bad faith, the nature of any presumed prejudice is weighed less as a consequence (*see Doggett*, 505 US at 652-653). Nor is this period of delay viewed in isolation. As the courts below also pointed out, there are several additional reasons that contributed to the other periods of delay—including factors that were beyond the People’s control or were directly attributable to defendant (substitution of counsel, trial adjournments, etc.). Like *Barker*, this is a close case, but it appears that there is record support for the Appellate Division’s conclusion that the People established good cause for the delay in this case and the issue is beyond our further review (*see Vernace*, 96 NY2d at 887).⁴

Under no circumstances do we discount the extensive length of the pretrial delay here. In order to expedite the matter, it may have been better to conduct a joint trial as a modified form of severance with separate juries for defendant and Armstead, especially when Armstead went to trial (*see People v*

3. Although CPL 30.30 is not controlling to a CPL 30.20 speedy trial claim, it is relevant that the legislature has determined that this type of delay attributable to a joined codefendant would be excludable for speedy trial computation (*see* CPL 30.30 [4] [d]).

4. Despite the majority’s conclusion that there is no disputed issue of fact, the question of good cause necessarily entails a factual inquiry into the reasons for all of the delay and the merits of those reasons. Indeed, defendant himself argues only that there is no record support for the Appellate Division’s conclusion—not that reasonable minds could not draw different inferences from the established facts (*see e.g. People v McRay*, 51 NY2d 594, 601 [1980]).

Ricardo B., 73 NY2d 228 [1989]; *People v Irizarry*, 83 NY2d 557, 560 [1994]). Although trials with “multiple juries are the exception, not the rule,” we have observed that they do “have obvious attractions, particularly in cases involving *Bruton* problems” (73 NY2d at 235).

The third factor, the nature of the underlying charge (here, the intentional murder of a 15 year old), is clearly in the People’s favor. The grave nature of the charge, in itself, however, does not eclipse defendant’s right to a speedy trial (see *People v Romeo*, 12 NY3d 51, 57 [2009]).

The fourth factor of pretrial incarceration presumptively weighs in defendant’s favor, although not determinatively so, given that, for more than four years of the five-year period, he was simultaneously detained on other indictments relating to two separate violent felonies committed during the course of his pretrial incarceration.

The final factor in the case weighs against the defendant, as there was no allegation of actual prejudice to defendant in his motion papers and there is no apparent prejudice but for the pretrial incarceration, which has been fully accounted for in the fourth factor. Although a defendant is not necessarily required to show that he has been prejudiced by the delay, the circumstances of each particular case control, and whether or not the defense has been impaired can be a “critical” factor in the weight analysis (see *Taranovich*, 37 NY2d at 446-447). Here, despite that trial proceedings had been ongoing against Armstead, defendant made no allegation whatsoever that witnesses at the trials were having difficulty remembering the crime or that any witnesses were unavailable. Moreover, the witness testimony in Armstead’s trials could have been a source of ample *Rosario* material to defendant’s benefit. Nor can we ignore what courts have long recognized—“[d]elay is not an uncommon defense tactic” (*Barker*, 407 US at 521). The delay did work in defendant’s favor to the extent that, after the co-defendant’s trial resulted in mistrials, defendant received a very favorable sentence—concurrent terms of imprisonment for the reduced manslaughter conviction and the assault conviction.

In its prejudice analysis, the majority maintains that defendant has suffered “presumptive prejudice” (majority op at 19)—language that is used by the Supreme Court to denote an extensive period of pretrial incarceration that will trigger the speedy trial balancing test (see *Barker*, 407 US at 530; *Doggett*,

505 US at 652). However, as the majority observes, this prejudice is fully accounted for, under *Taranovich*, in the pretrial incarceration factor. In any event, under *Doggett*, presumptive prejudice must be evaluated on a sliding scale, in that not all delay is treated equally (*see* 505 US at 656-658). A delay resulting from bad faith weighs against the prosecution, while the weight “assign[ed] to official negligence compounds over time as the presumption of evidentiary prejudice grows” (505 US at 657). On the other hand, where the prosecution has been pursued with “reasonable diligence,” the defendant must demonstrate specific prejudice (*see* 505 US at 656). As noted above, the delay in bringing defendant to trial did not involve bad faith or “protracted[]” negligence likely to threaten “the fairness of the accused’s trial” (*see* 505 US at 657). In the conspicuous absence of any allegation in the motion papers of a specific prejudice to defendant, this factor weighs in the People’s favor.

Clearly, five years is an extensive amount of time, even for a murder case, when the defendant remains incarcerated for the duration. The People, even while acting in good faith, must be wary of delays of this length when attempting to secure a co-defendant’s cooperation in a joint prosecution. However, the record supports the finding of the courts below that the People were making diligent efforts to move forward with the prosecution. In this context, it is duly noted that the court brooked an unacceptable amount of delay in defendant’s case as a result of codefendant’s adjournments. Nevertheless, on this record, as defined by the pretrial motion papers, defendant apparently acquiesced in the bulk of the delay—between 2008 and 2012 (*see* CPL 210.45). Based on a careful balancing of all of the factors, the courts below did not err in denying defendant’s motion to dismiss the murder indictment based on an alleged violation of defendant’s due process right or right to a speedy trial. As this was the senseless murder of a 15-year-old victim, the most serious of offenses, the fact that defendant failed to allege any prejudice militates against the dismissal of the indictment under all the particular circumstances. Thus, I would affirm the Appellate Division order and uphold the denial of defendant’s motion to dismiss the indictment.

Judges RIVERA, STEIN and WILSON concur; Chief Judge DiFiore dissents in an opinion, in which Judges GARCIA and FEINMAN concur.

Order reversed and indictment dismissed.

[96 NE3d 191, 73 NYS3d 95]

CORTLANDT STREET RECOVERY CORP., Plaintiff, and WILMINGTON TRUST COMPANY, Respondent, v DAVID BONDERMAN et al., Appellants, et al., Defendants. (And Three Other Actions.)

Argued January 9, 2018; decided February 20, 2018

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered September 15, 2016. The Appellate Division order, insofar as appealed from, modified, on the law, so much of orders of the Supreme Court, New York County (Marcy S. Friedman, J.; op 47 Misc 3d 544 [2014]), as had granted defendants' motions to dismiss the complaint in each of three separate actions. The modification consisted of denying the motion to dismiss the complaint in the action bearing index No. 653357/11 insofar as asserted by plaintiff Wilmington Trust Company, as indenture trustee. The following question was certified by the Appellate Division: "Was the order of this Court, which unanimously modified the order of Supreme Court, properly made?"

Cortlandt St. Recovery Corp. v Hellas Telecom., S.A.R.L., 142 AD3d 833, affirmed.

HEADNOTES

Secured Transactions — Security Agreements — Trust Indenture — Authority of Trustee to Bring Tort Action on Behalf of Noteholders

1. Plaintiff indenture trustee was permitted by the plain terms of the indenture to bring a third-party action on behalf of the noteholders to recover monies due and unpaid on the notes as a result of defendant private equity investment funds' alleged fraudulent redemption scheme intended to siphon off assets. The text of the indenture authorized plaintiff to pursue "any available remedy," which, by its terms, included all remedies available at law and in equity. The indenture further provided that those remedies could be pursued "to collect the payment of principal, premium, if any, and interest on the [n]otes or to enforce the performance of any provision of the [n]otes or th[e] [i]ndenture." The plain meaning was to authorize a trustee to pursue any lawful means of enforcing the noteholders' rights, against any individual or entity, based on any viable theory of recovery in order to secure repayment upon the event of a default on the debt to noteholders. Moreover, the indenture's "no-action clause," which served to make it more difficult for individual bondholders to bring suits that are unpopular with their fellow bondholders, did not limit plaintiff's power. Plaintiff's suit was on behalf of all noteholders, and its proceeds would be distributed ratably. Therefore, resolution of the matter was of interest to the entire class of securityholders.

Corporations — Disregarding Corporate Entity — Fraudulent Note Redemption Scheme

2. In plaintiff indenture trustee's action on behalf of noteholders to recover monies due and unpaid on the notes as a result of defendant private equity investment funds' alleged fraudulent redemption scheme, defendants were not entitled to dismissal of plaintiff's claim seeking to pierce the corporate veil and impose corporate obligations on defendants under an alter ego theory of liability. Courts will disregard the corporate form and "pierce the corporate veil" whenever necessary to prevent fraud or to achieve equity. At the pleading stage, the plaintiff must adequately allege the existence of a corporate obligation and that the defendant exercised complete domination and control over the corporation and abused the privilege of doing business in the corporate form to perpetrate a wrong or injustice. The complaint alleged facts sufficient to support plaintiff's claim that the corporate note issuer and guarantor were liable for repayment plus interest, and to therefore satisfy the threshold corporate liability. Moreover, it is sufficient at the pleading stage that the alleged facts and inferences drawn from them establish the basic elements of the doctrine of piercing the corporate veil. The complaint alleged that the individual defendants adopted the corporate scheme, created the corporate shells to further the scheme, misused the corporate form to commit a fraud that injured noteholders by defendants' decisions to issue debt in the form of the payment-in-kind notes, and distributed the loan proceeds and the certificates themselves, with the known and intended result that the issuer and guarantor would be rendered insolvent and unable to pay the note creditors.

Corporations — Disregarding Corporate Entity — Claim Not Duplicative of Underlying Cause of Action

3. Plaintiff indenture trustee's claim on behalf of the noteholders seeking to pierce the corporate veil and impose corporate obligations on defendant private equity investment funds under an alter ego theory of liability to recover monies due and unpaid on the notes as a result of defendants' alleged fraudulent redemption scheme was not duplicative of plaintiff's fraudulent conveyance causes of action. An argument to pierce the corporate veil is not a cause of action in itself, but rather dependent on the action against the corporation. Since the complaint alleged the existence of a corporate debt, created by defendants by their use of the corporate form to profit from fraudulent conveyances that left the corporate note issuer and guarantor insolvent, plaintiff could request that the court pierce the corporate veil to impose liability upon defendants as the alter egos of the issuer and guarantor. Plaintiff's demand was not duplicative of another cause of action, but rather a dependent legal theory plaintiff sought to employ to go behind the corporate existence in order to circumvent the limited liability of the owners and to hold them liable for some underlying corporate obligation.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Corporations §§ 470, 1587; AM JUR 2d Secured Transactions § 31; AM JUR 2d Securities Regulation—Federal §§ 805, 810, 813–814, 816, 818, 824.

CARMODY-WAIT 2d Actions and Proceedings by and Against Corporations, Their Officers, Directors, and Shareholders § 121:3.

NY JUR 2d Actions § 24; NY JUR 2d Business Relationships §§ 37, 330–331; NY JUR 2d Secured Transactions §§ 20, 117, 326.

ANNOTATION REFERENCE

Validity, construction, and application of express restrictions on right of action by individual holder of one or more of a series of corporate bonds or other obligations. 108 ALR 88.

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POINTS OF COUNSEL

Ropes & Gray LLP, New York City (*Robert S. Fischler*, *C. Thomas Brown* and *Paul S. Kellogg* of counsel), for *Apax Partners Europe Managers Limited* and others, and *Kasowitz, Benson, Torres & Friedman LLP*, New York City (*Paul M. O'Connor III*, *David J. Abrams* and *Michelle G. Bernstein* of counsel), for *David Bonderman* and others, appellants. I. The First Department erred in holding that *Wilmington Trust Company* has standing under the indenture to assert the third-party claims. (*Quadrant Structured Prods. Co., Ltd. v Vertin*, 23 NY3d 549; *Greenfield v Philles Records*, 98 NY2d 562; *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *AG Capital Funding Partners, L.P. v State St. Bank & Trust Co.*, 11 NY3d 146; *United Bonding Ins. Co. v Alexander*, 413 F2d 1025; *Amusement Indus., Inc. v Midland Ave. Assoc., LLC*, 820 F Supp 2d 510; *In re Washington Pub. Power Supply Sys. Sec. Litig.*, 623 F Supp 1466; *Premier Bank v Tierney*, 114 F Supp 2d 877.) II. The First Department erred in holding that the complaint sufficiently alleges alter ego liability. (*Cobalt Partners, L.P. v GSC Capital Corp.*, 97 AD3d 35; *TNS Holdings v MKI Sec. Corp.*, 92 NY2d 335; *East Hampton Union Free School Dist. v Sandpebble Bldrs., Inc.*, 16 NY3d 775; *Matter of Morris v New York State Dept. of Taxation & Fin.*, 82 NY2d 135; *Feigen v Advance Capital Mgt. Corp.*, 150 AD2d 281; *Wolkowsky v Carlton*, 18 NY2d 414; *Ferro Fabricators, Inc. v 1807-1811 Park Ave. Dev. Corp.*, 127 AD3d 479; *Board of Mgrs. of the Gansevoort Condominium v 325 W. 13th, LLC*, 121 AD3d 554; *501 Fifth Ave. Co. LLC v Alvona LLC*, 110 AD3d 494; *Aetna Cas. & Sur. Co. v Merchants Mut. Ins. Co.*, 84 AD2d 736.)

Flemming Zulack Williamson Zauderer LLP, New York City (Mark C. Zauderer and Grant A. Shehigian of counsel), and *Stamell & Schager, LLP*, New York City (Jared B. Stamell and Andrew R. Goldenberg of counsel), for respondent. I. The First Department correctly held that the trustee has standing to prosecute remedies in accordance with the indenture. (*Greenfield v Philles Records*, 98 NY2d 562; *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *AG Capital Funding Partners, L.P. v State St. Bank & Trust Co.*, 11 NY3d 146; *Hearn 45 St. Corp. v Jano*, 283 NY 139; *Bluebird Partners v First Fid. Bank, N.J.*, 248 AD2d 219; *Premier Bank v Tierney*, 114 F Supp 2d 877; *In re Washington Pub. Power Supply Sys. Sec. Litig.*, 623 F Supp 1466.) II. The First Department correctly held that the complaint sufficiently states a cause of action against appellants under an alter ego/veil piercing theory. (*Ledy v Wilson*, 38 AD3d 214; *2406-12 Amsterdam Assoc. LLC v Alianza LLC*, 136 AD3d 512; *Foley v D'Agostino*, 21 AD2d 60; *Baby Phat Holding Co., LLC v Kellwood Co.*, 123 AD3d 405; *Matter of Morris v New York State Dept. of Taxation & Fin.*, 82 NY2d 135; *Tap Holdings, LLC v Orix Fin. Corp.*, 109 AD3d 167; *Walkovszky v Carlton*, 18 NY2d 414; *Aetna Cas. & Sur. Co. v Merchants Mut. Ins. Co.*, 84 AD2d 736; *Open Door Foods, LLC v Pasta Machs., Inc.*, 136 AD3d 1002; *TNS Holdings v MKI Sec. Corp.*, 92 NY2d 335.)

OPINION OF THE COURT

RIVERA, J.

On this appeal we must determine whether an indenture trustee may seek recovery on behalf of noteholders for defendants' alleged fraudulent redemptions intended to siphon off assets, leaving corporate obligors unable to pay the noteholders. The indenture at issue authorizes the trustee to "pursue any available remedy to collect the payment of principal, premium, if any, and interest on the Notes," and thus empowers that trustee to proceed at law and in equity to recover losses incurred by all noteholders from the unpaid notes. As such, the trustee may assert causes of action to recover pro rata losses caused by defendants' scheme to render the note debtor insolvent. The trustee may also seek to pierce the corporate veil and impose corporate obligations on defendants under an alter ego theory of liability based on properly pleaded factual allegations—here that defendants created, for unlawful purposes, a corporate structure over which they exercised complete control and domination, and which they used to incur

corporate debt so they could distribute the loan proceeds to themselves through fraudulent transfers, leaving the corporation unable to pay its creditors.

I. Procedural and Factual Background

The defendants on the appeal before us are private equity investment funds and their individual partners (collectively the private equity defendants) who are part of a consortium controlled by the global private equity groups Apax Partners, L.L.P. (Apax) and TPG Capital Management (TPG).¹ In 2005, these private equity defendants created a group of shell companies incorporated in Luxembourg to acquire TIM Hellas Telecommunications (TIM Hellas), which at the time was the third largest cellular telephone company in Greece, profitable and nearly debt-free. The multicompany corporate group of shell companies (Hellas Group) include Hellas Telecommunications, S.à.r.l. (Hellas), the parent company of Hellas Telecommunications Finance, S.C.A. (Hellas Finance), Hellas Telecommunications I, S.à.r.l. (Hellas I), and Hellas Telecommunications II, S.C.A. (Hellas II).²

By the end of 2005, the Hellas Group carried €1.6 billion in debt but only €38 million in equity and zero retained earnings.³ The Hellas Group continued to borrow heavily, and by mid-2006 the Hellas Group's long-term debt had increased to almost €1.94 billion, as against shareholders' equity of €11.4 million. Notwithstanding this heavy debt to equity ratio, in December

1. This appeal pertains only to certain claims by plaintiff Wilmington Trust Company against the following defendants-appellants: Apax Partners L.P., Apax Partners Europe Managers Limited, Apax Europe VI GP Co. Ltd., Apax Europe VI GP, L.P., Apax Europe VI-A, L.P., Apax Europe VI-I, L.P., Troy L.P. Inc., Apax WW Nominees Ltd., Martin Halusa, John F. Megrue, Jr., and Giancarlo Aliberti, TPG Capital N.Y., Inc. (sued as TPG Capital-N.Y., LLP), TPG Partners IV, L.P., TPG Advisors IV, Inc., TPG GenPar IV, L.P., TPG Advisors II, Inc., T3 GenPar II, L.P., T3 Partners II, L.P., T3 Parallel II, L.P., TPG Troy LLC, T3 Troy LLC, David Bonderman, James Coulter, and Matthias Calice (collectively, defendants). Hellas Telecommunications Co-Invest Ltd.; Hellas Telecommunications Employees Ltd.; and Hellas Telecommunications II, S.C.A., who were named as defendants, are no longer parties to this action.

2. In the period relevant to this appeal, the private equity defendants owned all shares in Hellas, which is the 100% owner of Hellas I, which is the limited partner and majority owner of Hellas II and Hellas Finance. Hellas II is a 100% owner of various additional Hellas subsidiaries.

3. "€" refers to "euros."

2006, as part of Hellas Group's recapitalization, Hellas Finance issued €200 million in PIK (payment-in-kind) notes,⁴ guaranteed by Hellas I, and governed by the indenture at issue in this case.⁵ Simultaneously, as part of the recapitalization, Hellas redeemed convertible preferred equity certificates (certificates)⁶ that had been held by the private equity defendants for approximately €973.7 million, which the private equity defendants pocketed.⁷ Two months after the redemption of the certificates, defendants sold the Hellas Group to an investor.

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4. "Deferred interest or payment-in-kind (PIK) notes are promissory notes issued by the borrower in lieu of cash payments of principal, interest, or both, that are due under the original note. PIK notes are likely to be issued by start-up companies, highly leveraged companies, or companies with tight, short-term cash flows. In these situations, the borrower may not have enough cash on hand to make interest payments. Rather, the borrower issues a note in a principal amount equal to the cash payment then due. Often, a loan agreement that contemplates the issuance of PIK notes will give the borrower the option to pay the interest when due in cash or to execute such a note in the amount equal to the past due principal or interest" (Richard W. Grice & Rick D. Blumen, *Georgia's Usury Laws and Interest on Interest: The Need to Transcend the Nineteenth Century*, 8 Ga St U L Rev 291, 309 [1992]).
 5. Simultaneously with the issuance of the PIK notes, Hellas II issued subordinated notes. Plaintiff alleged Hellas borrowed approximately €1.5 billion in total, which included issuance of the PIK notes and the subordinated notes of Hellas II.
 6. "PECs (preferred equity certificates) or CPECs (convertible preferred equity certificates) are hybrid financial instruments that are typically used in a cross-border context to finance Luxembourg holding companies. Under Luxembourg tax law, these instruments qualify as debt for capital duty and for corporate income tax and net wealth tax purposes. Consequently, payments or accruals made under the PECs or CPECs are, similar to interest payments, deductible from the tax base of the Luxembourg entity and are exempt from withholding tax" (New York State Bar Association, Tax Section, Employee Benefits Committee, *Report on Rules Governing Nonqualified Deferred Compensation Under Section 457A* at 71 n 160 [Oct. 5, 2009]).
 7. The complaint alleges that Hellas II redeemed 27.3 million CPECs issued to and held by Hellas I for €979 million, that Hellas I redeemed 27.4 million CPECs issued to and held by Hellas for €973.7 million, and that Hellas redeemed 27.4 million CPECs issued to and held by the private equity defendants for €973,657,610. It also alleges Hellas redeemed PECs issued to and held by the private equity defendants for approximately €211 million. Plaintiffs allege the total payments to the private equity defendants were over €1.185 billion. Hellas reported €946,284,610 of the payments as a dividend to shareholders.

Less than three years later, during the global financial crisis in 2009, Hellas Finance and Hellas I defaulted on the PIK notes, leading to litigation to recover on behalf of the noteholders. Plaintiff Wilmington Trust Company (WTC), as the successor to the original indenture trustee,⁸ brought the instant action against several Hellas entities and the private equity defendants to recover payment due on the PIK notes from the assets allegedly looted by defendants from Hellas Finance and Hellas I, including the €973.7 million in certificate redemptions.⁹

WTC claims that the recapitalization was not intended as a traditional restructuring of debt and equity, but in actuality was a scheme designed to distribute the loan proceeds to the private equity defendants by redeeming securities from the Hellas Group, including the certificates, and—in effect, paying out unlawful dividends—even though the Hellas Group was in considerable debt. The complaint alleges defendants adopted this scheme to “bleed-out” the Hellas Group, whereby:

“With an initial investment of €50 million, in 2005, TPG and Apax organized a group of interrelated companies to acquire a profitable, nearly debt-free company, then called Tim Hellas Telecommunications, S.A. (‘TIM Hellas’), creating a complex multi-company group. Under the control of Apax and TPG, the newly formed Hellas entities borrowed heavily, paid the loan proceeds to Apax and TPG and their investment funds, and were left debt-laden and insolvent to the detriment of their creditors.”

As against the private equity defendants, the complaint asserts causes of action for breach of contract, fraudulent conveyances, unlawful corporate distribution, and unjust enrichment.¹⁰ In addition to the various causes of action to hold liable the parties named for their own conduct, the complaint further

8. The original trustee was The Bank of New York.

9. The dismissal of co-plaintiff, Cortlandt Street Recovery Corporation, is not at issue on this appeal (*Cortlandt St. Recovery Corp. v Hellas Telecom., S.à.r.l.*, 47 Misc 3d 544, 555 [2014]). After WTC filed the instant matter, it secured a \$565 million judgment in another action against Hellas Finance and Hellas I, as issuer and guarantor respectively, upon those defendants’ default.

10. The complaint asserted 10 causes of action in total. The first cause of action is against Hellas Finance, Hellas I, and Hellas for payment of PIK notes. The fourth and tenth are against the private equity defendants as

(n. cont’d)

seeks to pierce the corporate veil on the theory that the private equity defendants are the alter egos of the Hellas Group and therefore liable for the corporate debt. For each cause of action, WTC requests payment of the €268 million owed on the PIK notes,¹¹ plus interest, trustee's fees, attorneys' fees, and the costs and disbursements of the action.

As relevant to this appeal, Supreme Court granted defendants' motion to dismiss the complaint, concluding that WTC lacked standing because the indenture did not permit the trustee to sue the private equity defendants for what the court considered "entirely separate claims" that could have been brought well before default (*Cortlandt St. Recovery Corp. v Hellas Telecom., S.à.r.l.*, 47 Misc 3d 544, 569 [Sup Ct, NY County 2014]). The court dismissed the cause of action based on the alter ego theory of liability for the same reason, but noted that, in any case, it was inadequately pleaded and duplicative of the fraudulent conveyance causes of action that the trustee is not authorized to maintain (*id.* at 572 n 11).¹²

On WTC's appeal, the Appellate Division modified on the law and denied the motion to dismiss the complaint, insofar as as-

alter egos for payment of the PIK notes and for unjust enrichment and imposition of a constructive trust. The remaining causes of action are against all defendants for breach of contract, violation on prohibitions on distributions, for conveyances by insolvents, conveyances by persons in business, conveyances made with intent to incur debt beyond the ability to pay, intentional fraudulent conveyances, and conveyances of partnership property. All of the conveyance claims are based on New York's Debtor and Creditor Law (§§ 273-277).

11. The complaint alleges this is the principal amount due on the PIK notes as of November 27, 2009—the date on which the original trustee issued a notice of event of default due to the commencement of an insolvency proceeding by Hellas II. On the tenth cause of action against the private equity defendants for unjust enrichment, plaintiff seeks imposition of a constructive trust as well as an order to disgorge the €268 million plus interest, fees, and costs.

12. In its order, Supreme Court addressed four related matters (*Cortlandt St. Recovery Corp. v Hellas Telecom., S.à.r.l.*, 47 Misc 3d 544, 547-550 [Sup Ct, NY County 2014]): first, "*Cortlandt I*," commenced solely by Cortlandt suing as assignee and agent of collection of approximately €102 million of PIK notes (index No. 651693/10); second, "*Cortlandt II*," the instant action by the trustee (index No. 653357/11); third, a motion for summary judgment in lieu of complaint involving the same PIK notes as the previous two actions (index No. 653363/11); and fourth, an action on the subordinated notes brought by Cortlandt against Hellas II, as well as the other Hellas and Apax/TPG entities (index No. 653181/11). Supreme Court also dismissed the complaint in *Cortlandt I*, as well as the subordinated notes action (*id.* at 555).

served by WTC as indenture trustee, and otherwise affirmed the orders (*Cortlandt St. Recovery Corp. v Hellas Telecom., S.A.R.L.*, 142 AD3d 833 [1st Dept 2016]). The Court concluded that the relevant language of the indenture

“confers standing on the trustee to pursue . . . the fraudulent conveyance and other . . . claims, which seek recovery solely of the amounts due under the notes, for the benefit of all noteholders on a pro rata basis, as a remedy for an alleged injury suffered ratably by all noteholders by reason of their status as noteholders” (*id.* at 833-834).

The Court also found that the complaint sufficiently states a cause of action against these defendants under a veil-piercing theory (*id.* at 834).¹³ The Appellate Division granted defendants leave to appeal and certified the question whether the Court properly modified the order of Supreme Court. We answer that question in the affirmative.

II. Motion to Dismiss Standard of Review

“When reviewing a defendant’s motion to dismiss a complaint for failure to state a cause of action, a court must give the complaint a liberal construction, accept the allegations as true and provide plaintiffs with the benefit of every favorable inference” (*Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, 30 NY3d 572, 582 [2017] [internal quotation marks omitted]). “Whether a plaintiff can ultimately establish its allegations is not part of the calculus in determining a motion to dismiss” (*EBC I, Inc. v Goldman, Sachs & Co.*, 5 NY3d 11, 19 [2005]). Furthermore, “[u]nlike on a motion for summary judgment where the court searches the record and assesses the sufficiency of the parties’ evidence, on a motion to dismiss the court merely examines the adequacy of the pleadings” (*Davis v Boenheim*, 24 NY3d 262, 268 [2014] [internal quotation marks omitted]). The complaint here sufficiently pleads causes of action against defendants, in accordance with the indenture, based on the alleged fraudulent transfer scheme and in support of WTC’s request to pierce the corporate veil.

13. The merits of defendant’s alternative grounds for dismissal raised before Supreme Court were not briefed by defendants to the Appellate Division nor on this appeal. They were not addressed by the Appellate Division (*Cortlandt*, 142 AD3d at 834 n 2).

III. An Indenture Trustee's Role and Authority to Act on
Behalf of Noteholders

“An indenture is essentially a written agreement that bestows legal title of the securities in a single Trustee to protect the interests of individual investors who may be numerous or unknown to each other” (*Quadrant Structured Prods. Co., Ltd. v Vertin*, 23 NY3d 549, 555 [2014] [citation omitted]). As a partial solution to the collective-action problem presented by a fluctuating group of securities-holders with diverse interests, an indenture trustee “is appointed to act as a type of agent on behalf of the [securities-holders] collectively” (Steven L. Schwarcz & Gregory M. Sergi, *Bond Defaults and the Dilemma of the Indenture Trustee*, 59 Ala L Rev 1037, 1038 [2008]). “Unlike the ordinary trustee, who has historic common-law duties imposed beyond those in the trust agreement, an indenture trustee is more like a stakeholder whose duties and obligations are exclusively defined by the terms of the indenture agreement” (*Meckel v Continental Resources Co.*, 758 F2d 811, 816 [2d Cir 1985]; cf. *AG Capital Funding Partners, L.P. v State St. Bank & Trust Co.*, 11 NY3d 146, 156 [2008] [under corporate indenture, the rights of the trustee's pre-default duties are defined exclusively by the terms of the agreement]). Therefore, to determine the trustee's authority to pursue the causes of action in the appeal before us, we look to the language of the indenture.

“[U]nder New York law[,] interpretation of indenture provisions is a matter of basic contract law” (*Quadrant*, 23 NY3d at 559 [internal quotation marks, brackets and citations omitted]), and we construe an indenture subject to the rule that “a written agreement that is complete, clear and unambiguous on its face must be enforced according to the plain meaning of its terms” (*id.* at 559-560). “It is well established that when reviewing a contract, particular words should be considered, not as if isolated from the context, but in the light of the obligation as a whole and the intention of the parties manifested thereby” (*Kolbe v Tibbetts*, 22 NY3d 344, 353 [2013] [internal quotation marks and brackets omitted]). “A reading of the contract should not render any portion meaningless” (*Beal Sav. Bank v Sommer*, 8 NY3d 318, 324 [2007]). We now turn to the specific indenture language at issue here, and the scope of the trustee's authority to pursue the instant action against defendants to recover on the unpaid PIK notes.

IV. The Indenture's Trustee Authorization to Collect the PIK
Note Debt

[1] Indenture § 6.03, titled “Other Remedies,” states, in relevant part: “If an Event of Default occurs and is continuing, the Trustee may pursue any available remedy to collect the payment of principal, premium, if any, and interest on the Notes or to enforce the performance of any provision of the Notes or this Indenture.” Occurrences that would be considered an “Event of Default” are enumerated in section 6.01, and include a default in the payment of interest when due for 30 days, default in the payment of principal of any note when due at its maturity, and the failure by Hellas I or Hellas Finance to comply for 60 days after notice with its other agreements contained in the indenture.¹⁴ Thus, by the terms of the agreement, the trustee is empowered to bring this third-party suit against the defendants in order to recover monies due and unpaid on the PIK notes.

The text of the indenture authorizes the trustee to pursue “any available remedy.” This, by its terms, includes all remedies available at law and in equity. The indenture further provides that those remedies may be pursued “to collect the payment of principal, premium, if any, and interest on the Notes or to enforce the performance of any provision of the Notes or this Indenture.” The plain meaning of section 6.03, then, is to authorize a trustee to pursue any lawful means of enforcing the noteholders’ rights, against any individual or entity, based on any viable theory of recovery in order to secure repayment upon the event of a default on the debt to noteholders.

Interpreting “any available remedy to collect . . . on the Notes” to include causes of action to recover noteholders’ pro rata losses also gives effect to other sections of the indenture. Section 7.01 (a) provides that a trustee in “an Event of Default . . . will exercise such of the rights and powers vested in it by this Indenture.” Under section 4.01, an event of default includes the failure of an issuer to “pay or cause to be paid the principal of, premium, if any, and interest on, the Notes” as prescribed in the notes and the indenture. In such a case, the

14. Section 6.02 of the indenture also provides for acceleration of payment as a remedy for an event of default. It authorizes the trustee and noteholders of at least 25% in aggregate principal amount of the then outstanding notes to declare immediately due and payable the principal and unpaid, accrued interest on the notes.

trustee may pursue any available remedy to collect the payment due, not for its own benefit or for some of the noteholders, but for all the noteholders, under a common claim of default (*see Kolbe*, 22 NY3d at 353).

Defendants argue section 6.03 should be read narrowly, so that a claim for payment “on the Notes” is construed to mean solely a claim for payment due “under the terms and conditions of the Notes.” The trustee, they argue, is therefore not permitted to assert third-party actions based on defendants’ alleged fraudulent conduct and may only bring claims against the parties who actually agreed to make payments on the PIK notes: the issuer and guarantor. Defendants’ arguments are unsupported by law and the language of the indenture. The words actually used in the indenture are dispositive; not, as defendants would have it, a phrase found nowhere in the document (*see Quadrant*, 23 NY3d at 559-560).

Nevertheless, defendants’ assert that persuasive authority from other jurisdictions stands for the proposition that a trustee may not sue third parties in actions such as this one. A careful reading of the cases cited by defendants in support of its construction of section 6.03 makes clear that courts do not, in fact, limit the trustee in such way. *Regions Bank v Blount Parrish & Co., Inc.* (2001 WL 726989, 2001 US Dist LEXIS 8814 [ND Ill, June 27, 2001, No. 01 C 0031]), heavily relied upon by defendants, is illustrative. *Regions* involved a remedies clause with almost identical language to that contained in section 6.03.¹⁵ There, the court concluded that the clause did not give the trustee power to protect all rights of the bondholders or to pursue a bondholder’s tort claims (2001 WL 726989, *5, 2001 US Dist LEXIS 8814, *12-13). The case, however, turned on the nature of the specific claims at issue. The trustee in *Regions* brought a suit for fraudulent inducement—specifically, for misrepresentations and nondisclosures in the offering memorandum about the actual risks of the underlying technology in which the bondholders invested, and, as a consequence, the risk of entering the agreement—in violation of various provisions of the Securities Exchange Act (15 USC § 78a *et seq.*)

15. “If an Event of Default occurs and is continuing, the Trustee may pursue any available remedy by proceeding at law or in equity to collect the principal of, premium, if any, or interest on the Bonds or to enforce the performance of any provision of the Bonds, this Indenture, the Facility Lease Agreement or the Guaranty” (2001 WL 726989, *2, 2001 US Dist LEXIS 8814, *5-6).

and Illinois common law. Unlike the appeal here, *Regions* involved a pre-agreement fraudulent act to induce the bondholders' purchase. It could not have uniformly affected the bondholders' reliance when undertaking the investment. In contrast, WTC is not stepping into the shoes of particular note-holders to assert their claims, but rather seeking to remedy the post-agreement collective loss that springs from the issuer and guarantor's failures to satisfy payment of the PIK notes. In other words, the trustee is attempting to collect payments due on the notes. This difference is decisive.

WTC's fraudulent conveyance claim does not suffer from the flaw identified by *Regions* and other courts as a "carte blanche" to sue on common law and securities claims (*see Regions*, 2001 WL 726989, *4, 2001 US Dist LEXIS 8814, *10-11, quoting *Continental Bank, N.A. v Caton*, 1990 WL 129452, *5, 1990 US Dist LEXIS 11624, *15 [D Kan, Aug. 6, 1990, No. 88-1611-C]). Those cases, also cited by defendants, similarly focus on fraudulent inducement and securities claims, rather than claims seeking recovery of the actual monies the issuer was obligated to pay on the notes, and are similarly distinguishable. In *Continental Bank*, the court held the indenture did not authorize a trustee to pursue an action against an underwriter for fraudulently representing a bond's financial condition and viability (1990 WL 129452, *5, 1990 US Dist LEXIS 11624, *14-15). The court noted there was no "language giving the trustee the unrestricted authority to enforce any 'legal or equitable right' of the bondholders" (1990 WL 129452, *5, 1990 US Dist LEXIS 11624, *15-16). In *Premier Bank v Tierney* (114 F Supp 2d 877, 881 [WD Mo 2000]), the court held that the trustee could not sue a director of the bonds' guarantor for negligence in failing to disclose the guarantor's true financial condition because "[n]o authority is conferred to pursue separate tort actions at all" (*id.*). Moreover, even where a trustee seeks to pursue securities fraud claims, broad indenture language has been held to allow the trustee to bring suits like that at issue here (*see In re Washington Pub. Power Supply Sys. Sec. Litig.*, 623 F Supp 1466, 1483 [WD Wash 1985], *aff'd* 823 F2d 1349 [9th Cir 1987] [where the indenture included a remedy provision granting the trustee broad authority, trustee had standing to assert fraud claims under Securities and Exchange Commission rule 10b-5 (17 CFR 240.10b-5)]; *Continental Bank, N.A. v Village of Ludlow*, 777 F Supp 92, 97 [D Mass 1991] [same]). The persuasive logic of these decisions supports our conclusion

that section 6.03 empowers the trustee to pursue causes of action to remedy an injury common to all noteholders arising from the failure to pay the PIK note obligations.

We find unpersuasive defendants' argument that section 6.06 of the indenture—the “no-action clause”—supports its interpretation of section 6.03 and limits the trustee's power here. That clause provides, in relevant part, that in the event of default, the trustee is “under no obligation to exercise any of the rights or powers under this Indenture at the request or direction of any of the Holders unless such Holders have offered to the Trustee indemnity or security satisfactory to the Trustee against any loss, liability or expense” (§ 6.06 [a]). It also provides that noteholders may not pursue any remedy with respect to the indenture or the notes “[e]xcept to enforce the right to receive payment of principal, premium (if any) or interest when due,”¹⁶ unless the noteholder has given notice to the trustee of default, noteholders having at least 25% of the outstanding notes have requested the trustee pursue the remedy, the noteholders have offered the trustee security or indemnity, the trustee has not complied with the request within 60 days after receiving the offer of security or indemnity, and the majority noteholders have not directed the trustee otherwise (*id.*). Defendants ignore the primary purpose of a no-action clause, which we have explained “is to protect issuers from the expense involved in defending individual lawsuits that are either frivolous or otherwise not in the economic interest of the corporation and its creditors” (*Quadrant*, 23 NY3d at 565 [internal quotation marks, brackets and citation omitted]). The inclusion of such a clause in an indenture “makes it more difficult for individual bondholders to bring suits that are unpopular with their fellow bondholders” (*id.* at 566 [internal quotation marks, brackets and citation omitted]). A no-action clause achieves these goals,

“by delegating the right to bring a suit enforcing rights of bondholders to the trustee, or to the holders of a substantial amount of bonds, and by delegating to the trustee the right to prosecute such a suit in the first instance. These clauses also ensure that the proceeds of any litigation actually prosecuted will be shared ratably by all bondhold-

16. This provision does not contain the “any available remedy” language found in section 6.03 of the indenture at issue on this appeal.

ers' " (*Quadrant*, 23 NY3d at 566, citing *Feldbaum v McCrory Corp.*, 1992 WL 119095, *6, 1992 Del Ch LEXIS 113, *21 [June 2, 1992, Civ A Nos. 11866, 11920, 12006]).

Here, the trustee's suit is in fact on behalf of all noteholders, and its proceeds will be distributed ratably. In other words, this suit upon default "is an attempt to secure payment, and resolution of the matter is of interest to the entire class of securityholders" (*Quadrant*, 23 NY3d at 567 n 15).¹⁷

Contrary to defendants' argument, the analyses in *Feldbaum v McCrory Corp.* (1992 WL 119095, 1992 Del Ch LEXIS 113 [June 2, 1992, Civ A Nos. 11866, 11920, 12006]) and *Lange v Citibank, N.A.* (2002 WL 2005728, 2002 Del Ch LEXIS 101 [Aug. 13, 2002, No. Civ A 19245-NC]) favor the trustee in this case. *Feldbaum* and *Lange* both interpreted a no-action clause in an indenture and held that the clauses prohibited individual security holders from asserting fraudulent conveyance claims on their own. The cases do not stand for the proposition, however, that such claims could not be brought by the indenture trustee. Quite the contrary. In *Feldbaum*, the court found that "[g]iven the derivative character of these claims, it is clear that they can be prosecuted by the trustees representing the bondholders as a group, provided the trustees are in a position in which they can represent plaintiffs fairly" (1992 WL 119095, *8, 1992 Del Ch LEXIS 113, *27-28). In *Lange* the court went further, noting explicitly that, since the complaint sought "redress for harm suffered by all [holders] on a *pro rata* basis," it "may be pursued by the Indenture Trustee on their behalf" (2002 WL 2005728, *7, 2002 Del Ch LEXIS 101, *22).

While the plain language of the indenture is dispositive, we also note that our construction of section 6.03 is in line with the intended meaning of nearly identical language from the Revised Model Simplified Indenture, also numbered section 6.03, and, given the similarities between the two, apparently

17. Defendants' references to other sections of the indenture to support its argument against WTC's standing in this case fare no better. The language in section 14.07 of the indenture, namely, "for any claim based on, in respect of, or by reason of such obligations or their creation" is an addition to the language that states there is no liability for the notes—evincing that the first provision is on the notes, which is exactly what the plaintiff pursues here. The same is true of section 14.09. All that these provisions establish is that the parties included language for claims that are not for recovery triggered by an event of default. Here, the action is in response to and for recovery on an event of default, i.e., the failure to pay the debt on the notes.

the model for the agreement at issue in this case (*see Revised Model Simplified Indenture*, 55 Bus Law 1115, 1137 [2000]).¹⁸ As the American Bar Association commentaries to the Revised Model Simplified Indenture explain: “In authorizing the Trustee to ‘pursue any available remedy’ for collection on the Securities or enforcement of the Indenture, the Model Simplified Indenture subsumes all of the customary phraseology: ‘actions, suits or proceedings,’ ‘at law or in equity,’ ‘under this Indenture or otherwise by law,’ etc.” (*id.* at 1189).¹⁹ Significantly, the commentary observes that the language in section 6.03 “does not empower the Trustee to pursue claims which may be available to purchasers or sellers of Securities under state or federal securities laws or the common law for misrepresentations inducing them to purchase or hold the securities” (*id.* at 1190). As the commentary explains, these sorts of fraud claims may create conflicts for the trustee: first, fraud claims may be held by persons who no longer hold the securities and who sold after the fraud was discovered, as well as by those who still hold the securities; second, holders may have different rights depending on when they purchased and whether they can prove reliance on the fraud; third, recoveries by holders of fraud claims may prejudice collections by current holders; and fourth, securities fraud claims may be subordinated to other holders under bankruptcy laws (*id.* at 1190). This rationale, although

18. Section 6.03 of the Revised Model Simplified Indenture reads: “If an Event of Default occurs and is continuing, the Trustee may pursue any available remedy to collect the payment of Principal or interest on the Securities or to enforce the performance of any provision of the Securities or this Indenture” (55 Bus Law at 1137). The corresponding passage in the prior 1965 model indenture reads,

“[i]f an Event of Default occurs and is continuing, the Trustee may in its discretion proceed to protect and enforce its rights and the rights of the Debentureholders by such appropriate judicial proceedings as the Trustee shall deem most effectual to protect and enforce any such rights, whether for the specific enforcement of any covenant or agreement in this Indenture or in aid of the exercise of any power granted herein, or to enforce any other proper remedy” (American Bar Foundation, Commentaries on Model Debenture Indenture Provisions § 5.3 at 224 [1971]).

19. Without the customary language subsumed, the provision would read: “If an Event of Default occurs and is continuing, the Trustee may pursue actions, suits or proceedings at law or in equity under this Indenture or otherwise by law to collect the payment of principal, premium, if any, and interest on the Notes or to enforce the performance of any provision of the Notes or this Indenture.”

sound as applied to most claims related to securities fraud as, for example, under Securities Exchange Commission Rules rule 10b-5 for acts or omissions resulting in fraud or deceit in connection with the purchase or sale of securities, where individual noteholders will be in different positions and are best positioned to bring their own suits, has no purchase here. WTC seeks recovery solely of the amounts due under the notes, for the benefit of all noteholders on a pro rata basis, as a remedy for an injury suffered ratably by all noteholders by reason of the issuer and guarantor's default. Such action protects the collective interest of the noteholders in repayment of the PIK notes, without prioritizing one noteholder over another or placing a noteholder's rights at risk because of the actions of a minority of noteholders. As we noted in *Quadrant*, "parties sophisticated and well versed in this area of the law—like the parties here—are well aware of these commentaries" (*Quadrant*, 23 NY3d at 568).

For the preceding reasons, the language of section 6.03 of the indenture permits the kind of third-party action at issue here. If the parties to the indenture intended to limit the trustee to actions against the issuer and guarantor only—as defendants maintain—the signatories to the indenture could have easily said so. They did not. Therefore, WTC is empowered under section 6.03 to pursue causes of action to recover pro rata payment for all noteholders against those who WTC alleges bled dry the issuer and guarantor for defendants' profit, to the detriment of the noteholders.

V. Alter Ego Theory of Liability to Pierce the Corporate Veil

The complaint also asserts liability based on the theory that individual defendants acted as the alter egos of the issuer and guarantor, and caused those entities to divest the funds that would have otherwise been available to pay the notes. WTC thus seeks to persuade the court to pierce the corporate veil and impose corporate liability on these defendants. Defendants argue that the complaint is deficient because it fails to allege adequate facts, and in any event, WTC's claim should be dismissed as duplicative of the fraudulent conveyance causes of action that underlie WTC's alter ego theory. Defendants are wrong on both counts.

As discussed above, "[o]n a motion to dismiss pursuant to CPLR 3211, the pleading is to be afforded a liberal construction. We accept the facts as alleged in the complaint as true,

accord plaintiffs the benefit of every possible favorable inference, and determine only whether the facts as alleged fit within any cognizable legal theory” (*Leon v Martinez*, 84 NY2d 83, 87-88 [1994] [citation omitted]). Whether plaintiff can ultimately prove its allegations is not a consideration in determining a motion to dismiss (see *EBC I, Inc.*, 5 NY3d at 19). Furthermore, a fact-laden claim to pierce the corporate veil is unsuited for resolution on a pre-answer, pre-discovery motion to dismiss (see e.g. *Holme v Global Mins. & Metals Corp.*, 22 Misc 3d 1123[A], 2009 NY Slip Op 50252[U] [Sup Ct, NY County 2009], *affd* 63 AD3d 417 [1st Dept 2009]). We are therefore acutely aware of the potential to decide the matter prematurely on a motion to dismiss.

“Broadly speaking, the courts will disregard the corporate form, or, to use accepted terminology, ‘pierce the corporate veil’, whenever necessary ‘to prevent fraud or to achieve equity’” (*Matter of Morris v New York State Dept. of Taxation & Fin.*, 82 NY2d 135, 140 [1993] [citation omitted]). The party asserting this equitable doctrine, “seek[s] to go behind the corporate existence in order to circumvent the limited liability of the owners and to hold them liable for some underlying corporate obligation” (*id.* at 141). Properly understood, “an attempt . . . to pierce the corporate veil does not constitute a cause of action independent of that against the corporation; rather it is an assertion of facts and circumstances which will persuade the court to impose the corporate obligation on its owners” (*id.*).

“Generally, a plaintiff seeking to pierce the corporate veil must show that (1) the owners exercised complete domination of the corporation in respect to the transaction attacked; and (2) that such domination was used to commit a fraud or wrong against the plaintiff which resulted in plaintiff’s injury” (*Conason v Megan Holding, LLC*, 25 NY3d 1, 18 [2015] [internal quotation marks omitted]; see also *TNS Holdings v MKI Sec. Corp.*, 92 NY2d 335, 339 [1998] [plaintiff bears “heavy burden of showing that the corporation was dominated as to the transaction attacked and that such domination was the instrument of fraud or otherwise resulted in wrongful or inequitable consequences”]). At the pleading stage, “a plaintiff must do more than merely allege that [defendant] engaged in improper acts or acted in ‘bad faith’ while representing the corporation” (*East Hampton Union Free School Dist. v Sandpebble Bldrs., Inc.*, 16 NY3d 775, 776 [2011]). The plaintiff must adequately allege the existence of a corporate obligation and that defendant

“exercised complete domination and control over the corporation and ‘abused the privilege of doing business in the corporate form to perpetrate a wrong or injustice’ ” (*id.*, quoting *Morris*, 82 NY2d at 142).

[2] Applying these principles here, we conclude that the complaint is sufficient and survives defendants’ motion to dismiss. The complaint alleges Hellas Finance issued the PIK notes guaranteed by Hellas I, the noteholders purchased the notes for €200 million, then, after Hellas Finance and Hellas I failed to pay the amounts due under the notes, the trustee made demand for payment, and the amounts remain unpaid. These factual allegations are sufficient to support WTC’s claim that Hellas Finance and Hellas I are liable for repayment plus interest. Having set forth the threshold corporate liability, the complaint must then allege “facts and circumstances which will persuade the court to impose the corporate obligation on its owners” (*Morris*, 82 NY2d at 141).

To meet this requirement, the complaint alleges that the private equity defendants owned and controlled Hellas, the parent company of Hellas I and Hellas Finance, and, as the alter egos of the issuer and guarantor, the private equity defendants had control and domination of the corporate form of the companies that defaulted on the PIK notes. The complaint further alleges that the private equity defendants misused the corporate form and describes a borrowing scheme that employed the Hellas Group shell companies to acquire long-term debt which dwarfed shareholder equity, all the while distributing the PIK loan proceeds and certificate redemptions to the private equity defendants. Critically, the complaint alleges these shell companies were created both to facilitate this flow of funds from the offering of the PIK and subordinated notes, and to conceal the true nature of these transactions from the noteholders (*cf. TNS Holdings*, 92 NY2d at 339-340 [“An inference of abuse does not arise . . . where a corporation was formed for legal purposes or is engaged in legitimate business”]; *see also Tap Holdings, LLC v Orix Fin. Corp.*, 109 AD3d 167, 175 [1st Dept 2013] [“The mere fact that (the corporation) continues to operate as a legitimate automotive business should not relieve the Senior Lenders of liability when they are alleged to have caused the creation of the entity specifically to harm the note holders”]). The consequence of these actions, according to the complaint, is that the scheme “forced” the Hellas corporations “to commit business suicide by paying borrowed

funds to the Private Equity Defendants that the Hellas Defendants could not repay.” The complaint describes the precarious financial status of the Hellas Group when the private equity defendants took the corporate assets for themselves, setting forth how and when the business acquired debt, and how that debt continued to grow despite the shareholders’ disproportionately low equity at the time. The complaint sets forth the alleged fraudulent conveyances, providing the dates and amounts of the PIK note proceeds and certificate redemptions distributed to the private equity defendants and their principals. These factual allegations, along with the reasonable inferences to be drawn therefrom, support a cause of action that Hellas Finance and Hellas I defaulted on payment to the noteholders because the private equity defendants used their control of the corporate form for the unlawful purpose of intentionally divesting the corporate assets through fraudulent conveyances, under the guise of dividends and redemptions, which in turn rendered these companies insolvent and unable to pay their creditors.

Defendants argue that the complaint is inadequate because it fails to plead with specificity the conduct alleged against each defendant that would support alter ego liability. While the complaint refers to the “Private Equity Defendants” throughout, the complaint also alleges various details about Apax- and TPG-affiliated entities, as well as the individuals that manage the funds that owned Hellas, which suggests a strong suspicion of fraud. It points to various individuals and entities tasked with directing Apax and TPG’s day-to-day activities at the time of the fraudulent conveyances, it lists their titles and management positions, and it also identifies specific transferees of the fraudulent conveyance proceeds. It would be unreasonable to require greater detail from WTC as to each individual’s daily conduct and involvement in the fraud at this pre-answer, pre-discovery stage (*see Tap Holdings*, 109 AD3d at 175 [allegations against “Senior Lenders” adequate]).

It is sufficient at the pleading stage that the alleged facts and the inferences drawn from them establish the basic elements of the doctrine of piercing the corporate veil: the individual defendants adopted the corporate scheme, created the corporate shells to further the scheme, misused the corporate form to commit a fraud that injured noteholders by defendants’ decisions to issue debt in the form of the PIK notes, and distributed the loan proceeds and the certificates to themselves,

with the known and intended result that Hellas I and Hellas Finance would be rendered insolvent and unable to pay the PIK note creditors.

[3] Nor is the claim duplicative of the fraudulent conveyance causes of action. “The key to determining whether a claim is duplicative . . . is discerning the essence of each claim” (*Johnson v Proskauer Rose LLP*, 129 AD3d 59, 68 [1st Dept 2015]). An argument to pierce the corporate veil is not a cause of action in itself, but rather dependent on the action against the corporation (*see Morris*, 82 NY2d at 141). Since the complaint alleges the existence of a corporate debt, created by defendants by their use of the corporate form to profit from fraudulent conveyances that left Hellas I and Hellas Finance insolvent, WTC may request that the court pierce the corporate veil to impose liability upon defendants as the alter egos of Hellas I and Hellas Finance. WTC’s demand is not duplicative of another cause of action, but rather a dependent legal theory WTC seeks to employ “to go behind the corporate existence in order to circumvent the limited liability of the owners and to hold them liable for some underlying corporate obligation” (*id.* at 140-141).

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge DiFiore and Judges Stein, Fahey, Wilson and Feinman concur; Judge Garcia taking no part.

Order, insofar as appealed from, affirmed, with costs, and certified question answered in the affirmative.

[96 NE3d 209, 73 NYS3d 113]

KEYSPAN GAS EAST CORPORATION, Appellant, v MUNICH REINSURANCE AMERICA, INC., Defendant, and CENTURY INDEMNITY COMPANY et al., Respondents.

Argued February 6, 2018; decided March 27, 2018

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered September 1, 2016. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, New York County (Saliann Scarpulla, J.; op 46 Misc 3d 395 [2014]), as, to the extent appealed from, had denied defendant Century Indemnity Company's motion for partial summary judgment declaring that it is not responsible for any part of the costs of cleanup for periods of time when insurance was unavailable before 1953 and after 1986; (2) granted defendant's motion; and (3) declared that defendant Century Indemnity Company is not responsible for any part of the costs of cleanup for periods of time where insurance was unavailable before 1953 and after 1986. The Appellate Division certified to the Court of Appeals the question whether its order was properly made.

Keyspan Gas E. Corp. v Munich Reins. Am., Inc., 143 AD3d 86, affirmed.

HEADNOTE

Insurance — Liability Insurance — Unavailability Rule — Policy Providing for Pro Rata Allocation

The unavailability rule, under which an insurance policyholder bears the risk for time periods when it elected not to purchase available insurance, but not for those years when insurance was unavailable, does not apply where policy language provides for pro rata risk allocation. Accordingly, defendant insurer was not obligated to indemnify plaintiff manufactured gas plants owner for losses attributable to environmental contamination occurring outside its policy periods when liability insurance was unavailable in the marketplace, as the policies limited defendant's liability to losses and occurrences happening "during the policy period." Policy language restricting an insurer's liability to all sums incurred and occurrences happening "during the policy period" generally supports a pro rata allocation. Pro rata allocation, rather than all sums allocation, is more consistent with such policy language because the policies provide indemnification for liability incurred as a result of an accident or occurrence during the policy period, not outside that period. The unavailability rule is inconsistent with contract language that provides the foundation for the pro rata approach, and to allocate risk to

the insurer for years outside the policy period would be to ignore the very premise underlying pro rata allocation. Application of the unavailability rule would effectively provide insurance coverage to policyholders for years in which no premiums were paid and in which insurers made the calculated choice not to assume or accept premiums for the risk in question. Moreover, such a rule would contravene the reasonable expectations of the average insured, who would not expect to receive coverage without regard to the number of years for which it purchased applicable insurance.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Insurance §§ 517, 679–680, 708–709, 713, 1402, 1751, 1758, 1974; AM JUR 2d Pollution Control § 1348.
CARMODY-WAIT 2d Limitation of Actions §§ 13:145, 13:271.
COUCH ON INSURANCE (3d ed) §§ 102:24–102:25, 219:27, 220:25, 220:27, 220:30.
NY JUR 2d Insurance §§ 793, 1684–1685, 2052, 2345.

ANNOTATION REFERENCE

Event triggering liability insurance coverage as occurring within period of time covered by liability insurance policy where injury or damage is delayed—modern cases. 14 ALR5th 695.

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POINTS OF COUNSEL

Covington & Burling LLP, Washington, D.C. (*Robert A. Long*, of the District of Columbia bar, admitted pro hac vice, *William F. Greaney*, *Jay T. Smith*, *Michael Lechliter*, of the District of Columbia bar, admitted pro hac vice, *David M. Zions*, of the District of Columbia bar, admitted pro hac vice, of counsel), and New York City (*Christopher Yeung* of counsel), for appellant. I. When pro rata allocation applies, liability for long-term, indivisible damage should be allocated only across periods when insurance was available. (*Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208; *Matter of Viking Pump, Inc.*, 27 NY3d 244; *Stonewall Ins. Co. v Asbestos Claims Mgt. Corp.*, 73 F3d 1178; *Olin Corp. v Insurance Co. of N. Am.*, 221 F3d 307; *American Home Prods. Corp. v Liberty Mut. Ins. Co.*, 565 F Supp 1485; *Taylor v United States Cas. Co.*, 269 NY 360; *Pioneer Tower Owners Assn. v State Farm Fire & Cas. Co.*, 12

NY3d 302; *Lavanant v General Acc. Ins. Co. of Am.*, 79 NY2d 623; *Selective Ins. Co. of Am. v County of Rensselaer*, 26 NY3d 649; *Sincoff v Liberty Mut. Fire Ins. Co.*, 11 NY2d 386.) II. Century Indemnity Company's policies contain anti-stacking provisions that, under *Matter of Viking Pump, Inc.* (27 NY3d 244 [2016]), require an "all-sums" allocation. (*Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208; *Kane v Walsh*, 295 NY 198; *Matter of Khatibi v Weill*, 8 AD3d 485; *AB Green Gansevoort, LLC v Peter Scalamandre & Sons, Inc.*, 102 AD3d 425; *Rivers v Sauter*, 26 NY2d 260; *Hirald v Allstate Ins. Co.*, 8 AD3d 230; *Matter of Martin v C. A. Prods. Co.*, 8 NY2d 226; *Matter of Bevona [Superior Maintenance Co.]*, 204 AD2d 136; *Esa v New York Prop. Ins. Underwriting Assn.*, 89 AD2d 865.)

O'Melveny & Myers LLP, Washington, D.C. (*Jonathan D. Hacker*, of the District of Columbia bar, admitted pro hac vice, of counsel), and New York City (*Jonathan Rosenberg*, *Anton Metlitsky* and *Leah Godesky* of counsel), and *Boutin & Altieri, P.L.L.C.*, Carmel (*John L. Altieri, Jr.*, of counsel), for Century Indemnity Company, respondent. I. The Appellate Division correctly declined to apply an insurance-unavailability exception to pro rata allocation. (*Matter of Viking Pump, Inc.*, 27 NY3d 244; *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208; *Roman Catholic Diocese of Brooklyn v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 21 NY3d 139; *Doerr v Goldsmith*, 25 NY3d 1114; *People v Andrades*, 4 NY3d 355; *State of New York v Green*, 96 NY2d 403; *Spartan Petroleum Co., Inc. v Federated Mut. Ins. Co.*, 162 F3d 805; *Sybron Transition Corp. v Security Ins. of Hartford*, 258 F3d 595; *Breed v Insurance Co. of N. Am.*, 46 NY2d 351; *Slamow v Del Col*, 79 NY2d 1016.) II. Cases recognizing an unavailability exception for the post-coverage period do not apply here and do not justify applying an exception to the precoverage period. (*Stonewall Ins. Co. v Asbestos Claims Mgt. Corp.*, 73 F3d 1178; *Olin Corp. v Insurance Co. of N. Am.*, 221 F3d 307.) III. KeySpan Gas East Corporation's contention that all-sums allocation applies here is procedurally barred and meritless. (*Patrician Plastic Corp. v Bernadel Realty Corp.*, 25 NY2d 599; *Matter of Haverstraw Park v Runcible Props. Corp.*, 33 NY2d 637; *Hecht v City of New York*, 60 NY2d 57; *Parochial Bus Sys. v Board of Educ. of City of N.Y.*, 60 NY2d 539; *511 W. 232nd Owners Corp. v Jennifer Realty Co.*, 98 NY2d 144; *Foley v Roche*, 86 AD2d 887; *Matter of OnBank & Trust Co.*, 90 NY2d 725; *Matter of Viking Pump, Inc.*, 27 NY3d 244; *Olin Corp. v American Home Assur.*

Co., 704 F3d 89; *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208.)

White and Williams LLP, New York City (*Robert F. Walsh* of counsel), for Northern Assurance Company of America, respondent. The Appellate Division correctly interpreted the policy language to limit coverage to damage occurring during the policy period and not to cover damage happening in other time periods because insurance was unavailable to the policyholder in those years. (*Roman Catholic Diocese of Brooklyn v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 21 NY3d 139; *Matter of Viking Pump, Inc.*, 27 NY3d 244.)

Anderson Kill P.C., New York City (*Robert M. Horkovich* and *Mark Garbowski* of counsel), for WRG Asbestos PI Trust, amicus curiae. I. The drafting history demonstrates that losses are not to be allocated to years where coverage was unavailable. (*Stonewall Ins. Co. v Asbestos Claims Mgt. Corp.*, 73 F3d 1178; *Olin Corp. v Insurance Co. of N. Am.*, 221 F3d 307; *Fulton Boiler Works, Inc. v American Motorists Ins. Co.*, 828 F Supp 2d 481.) II. The decision below breaks with decades of well-settled New York law. (*Stonewall Ins. Co. v Asbestos Claims Mgt. Corp.*, 73 F3d 1178.) III. If the decision below is affirmed, it will harm both policyholders and environmental and mass tort claimants. IV. The *Matter of Viking Pump, Inc.* (27 NY3d 244 [2016]) allocation should be applied here, and highlights inconsistencies with the decision below.

McCarter & English, LLP, Newark, New Jersey (*Gita F. Rothschild* and *Adam J. Budesheim* of counsel), *Reed Smith LLP*, New York City (*Paul E. Breene* of counsel), *Ward Greenberg Heller & Reidy LLP*, Rochester (*Kevin T. Merriman* and *David M. Knapp* of counsel), *Amy Bach*, *United Policyholders*, San Francisco, California, and *Anderson Kill*, New York City (*Robert M. Horkovich* of counsel), for United Policyholders and others, amici curiae. I. Insurers will attempt to leverage the Appellate Division's decision beyond the context of manufactured gas plant environmental claims. II. The Appellate Division broke with decades of well-settled New York law that shaped the expectations of policyholders and insurers. (*Stonewall Ins. Co. v Asbestos Claims Mgt. Corp.*, 73 F3d 1178; *Olin Corp. v Insurance Co. of N. Am.*, 221 F3d 307; *Fulton Boiler Works, Inc. v American Motorists Ins. Co.*, 828 F Supp 2d 481.) III. The standard policy language at issue here supported policyholders' reasonable expectation that they would not be

penalized for periods of unavailability. (*Matter of Viking Pump, Inc.*, 27 NY3d 244; *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208.) IV. The unavailability rule does not require insurers to provide “free coverage.” V. The equities favor reversing the Appellate Division and upholding the unavailability rule. (*Matter of Viking Pump, Inc.*, 27 NY3d 244; *Olin Corp. v OneBeacon Am. Ins. Co.*, 864 F3d 130; *Stonewall Ins. Co. v Asbestos Claims Mgt. Corp.*, 73 F3d 1178; *Chemical Leaman Tank Lines, Inc. v Aetna Cas. & Sur. Co.*, 177 F3d 210.) VI. The financial impact of the Appellate Division’s decision will harm both conscientious policyholders and environmental and mass tort claimants. (*Stonewall Ins. Co. v Asbestos Claims Mgt. Corp.*, 73 F3d 1178.)

Lowenstein Sandler LLP, Washington, D.C. (*David L. Elkind* of counsel), for New York State Electric & Gas Corporation, amicus curiae. I. The policies promised to pay all sums of the policyholder’s liability, not a pro rata amount. (*Cragg v Allstate Indem. Corp.*, 17 NY3d 118; *Hooper Assoc. v AGS Computers*, 74 NY2d 487; *Northville Indus. Corp. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 89 NY2d 621; *Seaboard Sur. Co. v Gillette Co.*, 64 NY2d 304; *Selective Ins. Co. of Am. v County of Rensselaer*, 26 NY3d 649; *Keene Corp. v Insurance Co. of N. Am.*, 667 F2d 1034; *Dean v Tower Ins. Co. of N.Y.*, 19 NY3d 704; *Fieldston Prop. Owners Assn., Inc. v Hermitage Ins. Co., Inc.*, 16 NY3d 257; *Matter of Viking Pump, Inc.*, 27 NY3d 244.) II. If the Court decides to continue an allocation approach, uninsured years should be subject to an availability test. (*Stonewall Ins. Co. v Asbestos Claims Mgt. Corp.*, 73 F3d 1178.)

Crowell & Moring LLP, New York City (*Sehar Sabir* of counsel), and Washington, D.C. (*Laura A. Foggan* of counsel), for Complex Insurance Claims Litigation Association, amicus curiae. I. The unavailability exception is inconsistent with the law of New York and a growing number of other jurisdictions, and is contrary to sound public policy. (*Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208; *American Home Prods. Corp. v Liberty Mut. Ins. Co.*, 565 F Supp 1485; *Spartan Petroleum Co., Inc. v Federated Mut. Ins. Co.*, 162 F3d 805; *Sybron Transition Corp. v Security Ins. of Hartford*, 258 F3d 595; *Insurance Co. of N. Am. v Forty-Eight Insulations, Inc.*, 633 F2d 1212.) II. Most fundamentally, the “unavailability exception” cannot be reconciled with this Court’s established approach to insurance contract interpretation. (*Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208; *Roman*

Catholic Diocese of Brooklyn v National Union Fire Ins. Co. of Pittsburgh, Pa., 21 NY3d 139; *Selective Ins. Co. of Am. v County of Rensselaer*, 26 NY3d 649; *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470; *Matter of Viking Pump, Inc.*, 27 NY3d 244.)

OPINION OF THE COURT

STEIN, J.

On this appeal, we once again venture into the complex realm of long-tail insurance claims. The particular question before us is whether, under the “pro rata time-on-the-risk” method of allocation, defendant Century Indemnity Company is liable to its insured, plaintiff KeySpan Gas East Corporation, for years outside of its policy periods when there was no applicable insurance coverage available on the market. For the reasons explained herein, we hold that KeySpan, not Century, bears the risk for those years during which such coverage was unavailable. We, therefore, affirm the order of the Appellate Division.

I.

The liability underlying this insurance dispute emanates from environmental contamination caused by manufactured gas plants owned and operated by KeySpan’s predecessor, Long Island Lighting Company (LILCO), in Rockaway Park and Hempstead. Gas production at the sites began in the late 1880s and early 1900s. After operations ceased decades later, the New York State Department of Environmental Conservation (DEC) determined that there had been long-term, gradual environmental damage at both sites due to contaminants, such as tar, seeping into the ground and leeching into groundwater. The DEC required KeySpan to undertake costly remediation efforts, which were apparently concluded at the Hempstead and Rockaway Park sites in 2002 and 2012, respectively.

Between 1953 and 1969, Century issued eight excess liability insurance policies to LILCO covering property damage. For the purposes of this appeal, it is undisputed that environmental contamination at the sites occurred gradually and continuously before, during, and after the Century policy periods. It is also uncontroverted that the environmental contamination that occurred in any given year is unidentifiable and indivisible from the total resulting damages.

KeySpan eventually commenced this action, seeking a declaration of coverage and determination of liability owed under a

number of insurance policies, including the policies issued by Century. This litigation has spanned decades and involves multiple insurers, but only Century's policies are relevant to this appeal. In 2014, Century moved for partial summary judgment declaring that it was "not responsible for any portion of the property damage at the Rockaway Park and Hempstead sites that occurred outside the Century policy periods," and that "[a]ny covered costs are to be allocated pro rata over the entire period during which property damage at each site occurred." In opposition, KeySpan did not dispute that pro rata time-on-the-risk allocation controlled under the relevant policies, but argued that Century's pro rata share should not be reduced by factoring in the years in which pollution property damage liability insurance was unavailable. According to KeySpan, Century's expert had opined that such coverage was not available to utilities until approximately 1925, and that a "sudden and accidental pollution exclusion" was later generally adopted by the insurance industry sometime in or after October 1970. Thus, KeySpan argued, the allocation should not take into account any years prior to the availability, or after the unavailability, of the applicable coverage.

Supreme Court partially granted Century's motion, holding that liability should be allocated to KeySpan for the years in which it elected to self-insure and in which the legislature mandated a pollution exclusion in liability policies (46 Misc 3d 395, 402 [Sup Ct, NY County 2014]; *see* former Insurance Law § 46 [13], [14]). However, the court denied the motion with respect to those years in which the relevant insurance coverage was otherwise unavailable in the marketplace (46 Misc 3d at 402). Upon Century's appeal, the Appellate Division reversed Supreme Court's order to the extent appealed from, holding that "under the insurance policies at issue, Century does not have to indemnify Key[S]pan for losses that are attributable to time periods when liability insurance was otherwise unavailable in the marketplace" (143 AD3d 86, 88 [1st Dept 2016]). Thereafter, the Appellate Division certified to us the question of whether its order was properly made.

II.

Before stating and addressing the parties' arguments, we must place them in context. As we posited in our most recent foray into an insurance allocation dispute, long-tail claims present unique difficulties (*see Matter of Viking Pump, Inc.*, 27

NY3d 244, 255 [2016]). In such cases, the injury-producing harm is gradual and continuous and typically spans multiple insurance policy periods or, as here, implicates years during which insurance coverage was in place, as well as years for which no coverage was purchased. In these situations, courts across the country have been tasked with determining the appropriate distribution of liability among various insurers and between the insurers and the policyholder.

In general, two primary methods of allocation are used by the courts to apportion liability across multiple policy periods: all sums and proration. All sums allocation “permits the insured to collect its total liability . . . under any policy in effect during the periods that the damage occurred, up to the policy limits” (*id.* [internal quotation marks and citations omitted]; see *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208, 222 [2002]). By contrast, under pro rata allocation, assuming complete coverage, “an insurer’s liability is limited to sums incurred by the insured during the policy period; in other words, each insurance policy is allocated a ‘pro rata’ share of the total loss representing the portion of the loss that occurred during the policy period” (*Matter of Viking Pump*, 27 NY3d at 256; see *Roman Catholic Diocese of Brooklyn v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 21 NY3d 139, 154 [2013]; *Consolidated Edison*, 98 NY2d at 223). Pro rata shares are often, although not exclusively, calculated based on an insurer’s “time on the risk,” a fractional amount corresponding to the duration of the coverage provided by each insurer in relation to the total loss (see *Consolidated Edison*, 98 NY2d at 225; *Stonewall Ins. Co. v Asbestos Claims Mgt. Corp.*, 73 F3d 1178, 1202 [2d Cir 1995], *op mod on denial of reh* 85 F3d 49 [2d Cir 1996]).

In New York, we have not adopted a strict pro rata or all sums allocation rule. Rather, the method of allocation is governed foremost by the particular language of the relevant insurance policy (see *Matter of Viking Pump*, 27 NY3d at 257). Thus, applying principles of contract interpretation, we held in *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.* that policy language restricting an insurer’s liability to all sums incurred and occurrences happening “during the policy period” generally supports a pro rata allocation (98 NY2d at 224). As we explained, the policies at issue there contained such language providing “for liability incurred as a result of an accident or occurrence during the policy period, not outside that period,” and we concluded that “[p]roration of liability . . . acknowledges

the fact that there is uncertainty as to what actually transpired during any particular policy period” (*id.*).

We subsequently distinguished the policy language in *Consolidated Edison* from that presented in *Matter of Viking Pump, Inc.* and held, in the latter case, that the presence of noncumulation and prior insurance provisions “plainly contemplate that multiple successive insurance policies can indemnify the insured for the same loss or occurrence” and, therefore, require all sums allocation (27 NY3d at 261). Such provisions are inconsistent with pro rata allocation because “the very essence of pro rata allocation is that the insurance policy language limits indemnification to losses and occurrences during the policy period,” such that no two insurance policies indemnify the same loss or occurrence absent overlapping or concurrent policy periods (*id.*).

Where policy language indicates allocation by the pro rata method and gaps in coverage exist, the question arises as to which party—the insurer or the policyholder—bears the risk for periods of time in which no applicable coverage was in place. While “most courts engaging in pro rata allocation require the policyholder to participate in the allocation to some extent” with respect to periods of non-coverage (*Boston Gas Co. v Century Indem. Co.*, 454 Mass 337, 370, 910 NE2d 290, 315 [2009]), courts are divided with regard to whether a policyholder should be held responsible for those periods of time when the relevant coverage was not offered for sale on the market.

When using a pro rata time-on-the-risk allocation, a number of jurisdictions have declined to place the policyholder “on the risk” if insurance was unavailable. These jurisdictions recognize the “unavailability rule” or, stated differently, an “unavailability exception” to the general rule that a policyholder is self-insured and on the risk for periods of time when insurance coverage was not obtained (*see R.T. Vanderbilt Co., Inc. v Hartford Acc. & Indem. Co.*, 171 Conn App 61, 129, 156 A3d 539, 577 [2017], *cert granted* 327 Conn 923, 171 A3d 63 [2017]; *see Wooddale Bldrs., Inc. v Maryland Cas. Co.*, 722 NW2d 283, 297 [Minn 2006]; *Mayor & City Council of Baltimore v Utica Mut. Ins. Co.*, 145 Md App 256, 313 n 54, 802 A2d 1070, 1104 n 54 [2002]; *Chemical Leaman Tank Lines, Inc. v Aetna Cas. & Sur. Co.*, 177 F3d 210, 231 [3d Cir 1999]; *Stonewall Ins. Co.*, 73 F3d at 1203). Under this approach, a policyholder bears the risk for periods of time when it elected not to purchase avail-

able insurance, but not for those years when insurance was unavailable (*see* 15 Steven Plitt et al., *Couch on Insurance* 3d § 220:31). Application of this rule serves to reduce the number of years included in the overall proration calculation, thereby increasing the shares of liability attributable to an insurer for each year in which a policy was in effect.

Other courts have rejected the unavailability rule. These courts have held that a policyholder is on the risk for periods of non-coverage, regardless of whether the lack of insurance coverage was attributable to a voluntary decision to self-insure or to an inability to obtain coverage (*see Boston Gas Co.*, 454 Mass at 371, 910 NE2d at 315; *AAA Disposal Sys., Inc. v Aetna Cas. & Sur. Co.*, 355 Ill App 3d 275, 287, 821 NE2d 1278, 1290 [2005]; *Sybron Transition Corp. v Security Ins. of Hartford*, 258 F3d 595, 598-600 [7th Cir 2001]). Significantly, as the Appellate Division recognized here, the applicability of the unavailability rule is a matter of first impression in New York.

III.

KeySpan does not dispute that it bears the risk for those years in which property damage insurance was available to, but not purchased by, LILCO and it was, therefore, voluntarily self-insured. KeySpan argues, however, that it should be responsible only for those years in which insurance was available in the marketplace. Thus, KeySpan—supported by various amici—urges us to adopt the unavailability rule and hold that, in a pro rata time-on-the-risk allocation, liability should not be allocated to the policyholder for years in which insurance was unobtainable, either because it had not yet been offered by insurers or because the industry had adopted a pollution exclusion.

In response, Century argues that the unavailability rule is inconsistent with the policy language that mandates pro rata allocation in the first instance. Century further contends that the imposition of liability on an insurer for damages resulting from occurrences outside the policy period would contravene the very premise underlying pro rata allocation. We agree.

“It is well established that[,] ‘[i]n determining a dispute over insurance coverage, we first look to the language of the policy’ ” (*Roman Catholic Diocese of Brooklyn*, 21 NY3d at 148, quoting *Consolidated Edison*, 98 NY2d at 221). Here, while the insurance policies at issue do not speak directly to allocation in the context of long-tail claims, each of the policies contains

language (with minor variances) limiting the insurer's liability to losses and occurrences happening "during the policy period." As previously noted, this Court held in *Consolidated Edison* that pro rata allocation—rather than all sums allocation—was more consistent with such policy language because "the policies provide indemnification for liability incurred as a result of an accident or occurrence during the policy period, not outside that period" (98 NY2d at 224).*

It follows from our holding in *Consolidated Edison* that the unavailability rule is inconsistent with the contract language that provides the foundation for the pro rata approach—namely, the "during the policy period" limitation—and that to allocate risk to the insurer for years outside the policy period would be to ignore the very premise underlying pro rata allocation (*id.*). Indeed, such an approach could, once a policy is triggered, impose liability in perpetuity (or retroactively to periods prior to coverage) on an insurer who issued insurance coverage for only a limited number of years, thereby eviscerating much of the distinction between pro rata and all sums allocation. In the context of continuous harms, where the contamination attributable to each policy period cannot be proved and we draw from the contract language to distribute the harm pro rata across the policy periods, it would be incongruous to include harm attributable to years of non-coverage within the policy periods.

Further, application of the unavailability rule to an insurance policy that directs pro rata allocation, either expressly or under our interpretation in *Consolidated Edison* (98 NY2d at 224), would effectively provide insurance coverage to policyholders for years in which no premiums were paid and in which insurers made the calculated choice not to assume or accept premiums for the risk in question. However, "[a]s an insurer, the defendant is free to select its risks" and to exclude certain risks (*Vander Veer v Continental Cas. Co.*, 34 NY2d 50, 52 [1974]). Moreover, such a rule would contravene the reasonable expectations of the average insured, who would not expect to receive coverage without regard to the number of years for which it purchased applicable insurance (*see generally Cragg v Allstate Indem. Corp.*, 17 NY3d 118, 122 [2011]).

* KeySpan's alternative argument that certain "other insurance" clauses in the policies constitute noncumulation clauses and, therefore, mandate all sums allocation, is not properly before us on this appeal.

To be sure, some courts have adopted the unavailability rule in the pro rata context, but they have done so by relying heavily on public policy concerns and a desire to maximize resources available to claimants against the policyholder (see e.g. *Stonewall Ins. Co.*, 73 F3d at 1203; *R.T. Vanderbilt Co., Inc.*, 171 Conn App at 136, 156 A3d at 581). By contrast, those courts which have rejected the unavailability rule have focused their analysis on the policy language that serves as the foundation for pro rata allocation (see *Boston Gas Co.*, 454 Mass at 371-372, 910 NE2d at 315; *Sybron Transition Corp.*, 258 F3d at 600), an approach that is more consistent with New York law (see *Consolidated Edison*, 98 NY2d at 221).

In *Sybron Transition Corp.*, the Seventh Circuit reasoned that “[t]he whole idea of a time-on-the-risk calculation is that any given insurer’s share reflects the ratio of its coverage (and thus the premiums it collected) to the total risk. The full risk is not affected by whether insurance is available later” (258 F3d at 600). That court declined to require an insurer who furnished coverage during a specific period of time before the magnitude of a risk was recognized “to furnish, for nothing, an additional period of high-price coverage” outside of the policy period because the insured, not the insurer, created the risk of loss and there was no contractual basis to impose the consequences of that risk “on an underwriter unlucky enough to insure an early slice of the risk” (*id.* at 600). Likewise, the Supreme Court of Massachusetts declined to apply the unavailability rule in the pro rata context “because to do so would contravene the limitation of coverage in the Century policies to liability attributable to property damage during the policy periods” (*Boston Gas Co.*, 454 Mass at 371, 910 NE2d at 315). We agree with the reasoning of these courts.

Similarly, here, we concur with the Appellate Division that “the spreading of industry risk through insurance is accomplished through the setting and payment of premiums for insurance, consistent with the parties’ forward[-]looking assessment of what that risk might entail,” and that, “[i]n the absence of a contract requiring such action, spreading risk should not by itself serve as a legal basis for providing free insurance to an insured” (143 AD3d at 97). Moreover, to the extent KeySpan claims that it is inequitable to allocate the risk to the policyholder for years when coverage was unavailable, even those courts that have adopted the unavailability rule have recognized that, “[f]rom an equitable standpoint, ei-

ther party can justifiably be assigned responsibility for ongoing [injuries arising after policy exclusion]. The policyholder is the one who allegedly caused the injury and, therefore, who ultimately will be financially responsible should insurance prove insufficient” (*R.T. Vanderbilt Co., Inc.*, 171 Conn App at 134, 156 A3d at 579-580). In any event, notwithstanding competing policy concerns, “this [C]ourt may not make or vary the contract of insurance to accomplish its notions of abstract justice or moral obligation” (*Breed v Insurance Co. of N. Am.*, 46 NY2d 351, 355 [1978]).

Ultimately, because “the very essence of pro rata allocation is that the insurance policy language limits indemnification to losses and occurrences during the policy period” (*Matter of Viking Pump*, 27 NY3d at 261; see *Consolidated Edison*, 98 NY2d at 224), the unavailability rule cannot be reconciled with the pro rata approach. We, therefore, reject application of the unavailability rule for time-on-the-risk pro rata allocation.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Judges RIVERA, FAHEY, WILSON and FEINMAN concur; Chief Judge DiFIORE and Judge GARCIA taking no part.

Order affirmed, with costs, and certified question answered in the affirmative.

[96 NE3d 737, 73 NYS3d 472]

PARAMOUNT PICTURES CORPORATION, Appellant, v ALLIANZ RISK
TRANSFER AG et al., Respondents, et al., Defendant.

Argued January 10, 2018; decided February 20, 2018

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered July 21, 2016. The Appellate Division order, insofar as appealed from, (1) reversed, on the law, to the extent appealed from as limited by the briefs, an order of the Supreme Court, New York County (Jeffrey K. Oing, J.), which had denied defendants' motion to dismiss the complaint; (2) granted the motion; and (3) directed the clerk to enter judgment dismissing the complaint.

Paramount Pictures Corp. v Allianz Risk Transfer AG, 141 AD3d 464, affirmed.

HEADNOTE

**Judgments — Res Judicata — Prior Federal Action — Assertion of
Federal Compulsory Counterclaim in Subsequent State Action
Barred**

In an action arising from an unsuccessful investment venture in which plaintiff alleged that the investors had breached the covenant not to sue in the parties' subscription agreement by filing a federal action against plaintiff, which ended with a judgment in plaintiff's favor, an order of the Appellate Division, which granted defendant's motion to dismiss plaintiff's state court covenant not to sue claim as barred by res judicata, was affirmed.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Counterclaim, Recoupment, and Setoff § 107;

AM JUR 2d Judgments §§ 452, 454, 492.

CARMODY-WAIT 2d Counterclaim § 31:29; CARMODY-WAIT

2d Judgments §§ 63:466, 63:508–63:510.

NY JUR 2d Judgments §§ 440–442; NY JUR 2d Pleading

§§ 158, 184.

SIEGEL, NY PRAC §§ 442, 469.

ANNOTATION REFERENCE

See ALR Index under Counterclaim, Recoupment, and
Setoff; Res Judicata.

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POINTS OF COUNSEL

Kendall Brill & Kelly LLP, Los Angeles, California (*Richard B. Kendall*, of the California bar, admitted pro hac vice, of counsel), and *Pillsbury Winthrop Shaw Pittman LLP*, New York City (*E. Leo Milonas* and *Edward Flanders* of counsel), for appellant. I. The First Department erred by relying on Federal Rules of Civil Procedure rule 13 (a) to bar Paramount Pictures Corporation's covenant not to sue claim under New York's law of res judicata. (*Gargiulo v Oppenheim*, 63 NY2d 843; *Semtek Int'l Inc. v Lockheed Martin Corp.*, 531 US 497; 67-25 *Dartmouth St. Corp. v Syllman*, 29 AD3d 888; *RA Global Servs., Inc. v Avicenna Overseas Corp.*, 843 F Supp 2d 386; *Batavia Kill Watershed Dist. in County of Greene v Charles O. Desch, Inc.*, 83 AD2d 97, 57 NY2d 796; *Wells Fargo Bank NA v Podewik*, 115 AD3d 207; *Pace v Perk*, 81 AD2d 444; *Matter of Hunter*, 4 NY3d 260; *Classic Autos. v Oxford Resources Corp.*, 204 AD2d 209; *Sweet Constructors, LLC v Wallkill Med. Dev., LLC*, 106 AD3d 810.) II. The First Department erred by holding that Paramount Pictures Corporation's covenant not to sue claim, which arises from the filing and prosecution of an underlying lawsuit, was compulsory under Federal Rules of Civil Procedure rule 13 (a). (*Pleasant Val. Packing Co. v Talarico*, 5 NY2d 40; *Harris v Steinem*, 571 F2d 119; *Chrysler Corp. v Fedders Corp.*, 540 F Supp 706; *Mount Everest Ski Shops, Inc. v Nordica USA, Inc.*, 736 F Supp 523.)

Pryor Cashman LLP, New York City (*James A. Janowitz*, *William L. Charron*, *Bryan T. Mohler* and *Benjamin S. Akley* of counsel), and *Harris Beach PLLC*, Albany (*Victoria A. Graffeo* of counsel), for respondents. I. The Appellate Division properly held that res judicata barred Paramount Pictures Corporation's action. (*Matter of Hunter*, 4 NY3d 260; *Israel v Wood Dolson Co.*, 1 NY2d 116; *Fifty CPW Tenants Corp. v Epstein*, 16 AD3d 292; *R.G. Barry Corp. v Mushroom Makers*, 108 Misc 2d 113, 85 AD2d 544; *Gargiulo v Oppenheim*, 63 NY2d 843; *Henry Modell & Co. v Minister, Elders & Deacons of Ref. Prot. Dutch Church of City of N.Y.*, 68 NY2d 456; *Cummings v Dresher*, 18 NY2d 105; *RA Global Servs., Inc. v Avicenna Overseas Corp.*, 843 F Supp 2d 386; *Bogoni v Friedlander*, 197 AD2d 281; *UBS Sec. LLC v Highland Capital Mgt., L.P.*, 86 AD3d 469.) II. The Federal Rules Enabling Act (28 USC § 2072) is immaterial to this appeal. (*Matter of Bottom v Annucci*, 26 NY3d 983; *Wild v*

Catholic Health Sys., 21 NY3d 951; *Wilson v Galicia Contr. & Restoration Corp.*, 10 NY3d 827; *Misicki v Caradonna*, 12 NY3d 511; *Fischer v Zepa Consulting*, 95 NY2d 66; *Altshuler Shaham Provident Funds, Ltd. v GML Tower, LLC*, 21 NY3d 352; *Hecker v State of New York*, 20 NY3d 1087; *Bingham v New York City Tr. Auth.*, 99 NY2d 355; *Semtek Int’l Inc. v Lockheed Martin Corp.*, 531 US 497; *Douglas v NCNB Tex. Natl. Bank*, 979 F2d 1128.)

OPINION OF THE COURT

GARCIA, J.

Nearly 10 years ago, following an unsuccessful investment venture, the parties began litigating their dispute in federal court. The district court entered judgment in favor of Paramount Pictures Corporation—the defendant in that action—and that judgment was affirmed on appeal. Paramount—now the plaintiff—subsequently initiated this state court action. In this appeal, defendants assert that Paramount’s claim is barred by res judicata because it should have been asserted as a counterclaim in the earlier federal action. We agree.

I.

In 2004, Melrose Investors LLC was formed as a special purpose vehicle to facilitate investment in certain films produced and distributed by plaintiff Paramount Pictures Corporation. Defendants Allianz Risk Transfer AG, Marathon Structured Finance Fund, L.P., Newstar Financial Inc., and Munich Re Capital Markets New York, Inc. (the investors) invested in Melrose’s debt and equity.

Prior to investing, the parties exchanged and executed a number of documents, including a private placement memorandum (PPM) and a subscription agreement. The subscription agreement contained a number of representations and warranties, including, among others, a waiver provision and a covenant not to sue. Section 4 (s) of the subscription agreement provided that Paramount had not “made any express or implied representation, warranty, guarantee or agreement, written or oral” to the investors regarding a number of specified matters—for instance, the manner of distribution of any films. The next paragraph, section 4 (t), provided that each investor “waives and releases all claims against Paramount” or any of its affiliates “arising out of, or in connection with, the offering of the Securities,” and further “waives and releases Paramount”

and its affiliates from “liability arising out of the matters described in paragraph (s) above, and agrees that in no event shall it assert any claim or bring any action contradicting the acknowledgements and agreements in this paragraph or in Paragraph (s) above.”

In December 2008, the investors brought suit in the District Court for the Southern District of New York, asserting claims for securities fraud (a federal question), common-law fraud (a state-law cause of action), and unjust enrichment (a state-law cause of action).¹ The investors alleged that they had relied on “Paramount’s knowing misrepresentations and omissions of information material to [the investors’] decision to invest in securities.” In particular, the investors claimed that Paramount had induced them to invest through “disclosures in the PPM stating that Paramount regularly employed specific risk mitigation techniques when producing and distributing films,” but that, “contrary to the specific and repeated representations in the PPM,” Paramount “materially altered its production and distribution plans” with regard to the Melrose investment so as to “dramatically reduce the use of a key risk mitigation technique described in the PPM.” In its answer, Paramount asserted, among other things, (i) that the investors’ claims were barred because, contrary to the allegations, they had “relied on documents and information apart from the PPM in making their investment decisions,” and (ii) that one of those documents, the subscription agreement, contained an “express waiver” barring those claims. Paramount did not assert any counterclaims or otherwise allege that the investors had breached the covenant not to sue.

Following a bench trial, Paramount moved for entry of judgment in its favor. The district court granted Paramount’s motion, finding “no basis for disregarding the subscription agreement” and “no legal reason why th[e] claim waiver would not apply as a matter of law.” Because the waiver was “valid and enforceable,” the court determined that “plaintiff investors waived their claims.” The court further noted: “In paragraph 4

1. The district court exercised federal question and supplemental jurisdiction over the subject matter of the action pursuant to 28 USC §§ 1331 and 1367 (see *Allianz Risk Transfer v Paramount Pictures Corp.*, 2010 WL 1253957, *6, 2010 US Dist LEXIS 32218, *15 [SD NY, Mar. 31, 2010, 08 Civ. 10420 (TPG)]). The court noted that it “also” had original jurisdiction pursuant to 28 USC § 1332 because the action “is between citizens of different states and/or foreign states and the amount in controversy exceeds \$75,000 exclusive of interest and costs” (*id.*).

(t) [of the subscription agreement] there is a waiver. And there is an agreement by the plaintiffs in no event to bring any claim. As I said, I do find that is binding.” The investors appealed and the Second Circuit affirmed, holding that the investors “failed to establish the factual premise of their claims, and the district court correctly dismissed the complaint” (*Marathon Structured Fin. Fund, LP v Paramount Pictures Corp.*, 622 Fed Appx 85, 87 [2d Cir 2015]).

While the investors’ appeal was pending in the Second Circuit, Paramount commenced this action in Supreme Court, alleging that the investors had breached the covenant not to sue in the subscription agreement by filing the federal action.² Paramount seeks compensatory damages of not less than \$8 million—the attorneys’ fees it allegedly incurred in the federal action, plus interest. The investors moved to dismiss the complaint, arguing, among other things, that Paramount’s state court action was barred by res judicata because Paramount was required, and failed, to raise its claim as a compulsory counterclaim in the federal suit. Paramount opposed the motion.

Supreme Court denied the investors’ motion to dismiss. The court “decline[d] to apply FRCP 13 (a)’s compulsory counterclaim rule to support [the investors’] res judicata defense,” reasoning that New York “has a permissive counterclaim rule that was enacted by the legislature,” and it would “not be proper” to ignore that rule.

The Appellate Division unanimously reversed, granting the investors’ motion and dismissing Paramount’s complaint (*Paramount Pictures Corp. v Allianz Risk Transfer AG*, 141 AD3d 464 [1st Dept 2016]). While noting that “New York’s permissive counterclaim rule would save [Paramount’s claim] from the traditional bar of res judicata,” the court determined that “the inquiry does not end there where the prior action was adjudicated in a compulsory counterclaim jurisdiction” (*id.* at 467). The Court then determined that Paramount’s claim was compulsory under rule 13 (a) of the Federal Rules of Civil Procedure because “[i]t existed at the time [Paramount] served its answer to the complaint in the federal action and ‘arises out of the transaction or occurrence that is the subject matter’ of defendants’ federal claim(s)” (*id.* [citations omitted]). Though it

2. Paramount has since settled with defendant Marathon Structured Finance Fund, L.P.

found no “binding precedent . . . hold[ing] that state courts must apply Federal Rules of Civil Procedure rule 13 (a),” the Appellate Division determined that “the later assertion in a state court action of a contention that constituted a compulsory counterclaim in a prior federal action between the same parties is barred under the doctrine of res judicata” (*id.* at 468 [citation omitted]).

We granted Paramount’s motion for leave to appeal (28 NY3d 909 [2016]).

II.

The viability of Paramount’s instant claim hinges on the preclusive effect of the parties’ prior federal judgment. As the United States Supreme Court has instructed, “[t]he preclusive effect of a federal-court judgment” on a subsequent state court action is “determined by federal common law” (*Taylor v Sturgell*, 553 US 880, 891 [2008]; see also *Semtek Int’l Inc. v Lockheed Martin Corp.*, 531 US 497, 507 [2001], quoting *Deposit Bank v Frankfort*, 191 US 499, 514-515 [1903]). “For judgments in federal-question cases,” the “uniform federal rules of res judicata” apply (*Taylor*, 553 US at 891 [internal quotation marks and brackets omitted]) whereas, “[f]or judgments in diversity cases, federal law incorporates the rules of preclusion applied by the State in which the rendering court sits” (*id.* at 891 n 4, citing *Semtek*, 531 US at 508). The United States Supreme Court “has the last word on the claim-preclusive effect of *all* federal judgments” (*Semtek*, 531 US at 507).

The Supreme Court has not squarely addressed the applicable federally prescribed rule of decision—the uniform federal rules or state preclusion law—in a case where, as here, the judgment in the parties’ federal action encompassed both federal- and state-law claims.³ Where federal and state preclusion law dictate the same result, the applicable law is irrelevant; whether analyzed under federal law or under state law

3. Given the Supreme Court’s express directive—that “[t]he preclusive effect of a federal-court judgment is *determined by federal common law*” (*Taylor*, 553 US at 891 [emphasis added])—the applicable law is not an “open question” (concurring op at 81). To the extent any issue remains “open,” it is only the *federally prescribed* rule of decision in a “mixed” jurisdiction case; in determining the preclusive effect of a federal judgment, our starting point is not, under any circumstances, “New York State’s res judicata rules” (concurring op at 82). Nor can we ignore binding Supreme Court precedent simply because the parties purportedly “agree” that we should—even if applying the wrong law would somehow produce the right result (concurring op at 82).

(or, as the dissent puts it, analyzed “separately”), the outcome is the same. But where federal law would bar the claim and state law would not, we anticipate (and the dissent apparently agrees) that *federal* preclusion doctrine will supply the applicable rule of decision, barring the claim. Under either scenario, the outcome prescribed by federal law will control. And so, under either scenario, a state-law analysis is unnecessary.⁴

In the absence of a federal question claim, the res judicata rules of New York—the “State in which the [rendering] court” sat—would ordinarily govern the preclusive effect of state-law claims (*Semtek*, 531 US at 508). But “even when States are allowed to give federal judgments . . . no more than the effect accorded to state judgments”—i.e., in diversity cases—“that disposition is by direction of [the United States Supreme Court], which has the last word on the claim-preclusive effect of *all* federal judgments” (*Semtek*, 531 US at 507). As such, the Supreme Court has provided that state preclusion law may apply to federal diversity judgments only to the extent state law is not “incompatible with federal interests” (*id.* at 509).⁵

Those federal interests are heightened where, as here, the federal judgment encapsulates matters of federal substantive law. In addition to the general interests underlying res judicata—judicial economy, finality, consistency, among other things—the “need for a uniform federal rule” is enhanced where federal, rather than state, substantive law is at issue (*id.* at 508). Given those objectives, the Supreme Court has been unequivocal: Though “no federal textual provision addresses the claim-preclusive effect of a federal-court judgment in a federal-question case,” the Court has “long held that States cannot give those judgments merely whatever effect they would give their own judgments, but must accord them the effect that this Court prescribes” (*id.* at 507; *see also Taylor*, 553 US at 891).

4. Accordingly, we do not decide—even “implicitly” (dissenting op at 93)—whether, under New York state res judicata principles, the claim “is barred” (concurring op at 81) or “should proceed” (dissenting op at 93).

5. The Supreme Court has not yet determined whether its *Semtek* concession—“allow[ing]” state res judicata principles to determine the preclusive effect of pure diversity judgments—applies in the context of counterclaims. And there is reason to believe it may not: Even where state preclusion law would allow an unasserted counterclaim to proceed, the defendant in a state court action that was preceded by a federal diversity action will often be able to remove the case to federal court, and rule 13 (a) would then operate to “bar[] litigants from separately filing what should have been a compulsory counterclaim” (dissenting op at 89).

Accordingly, where federal preclusion principles would operate to preclude a claim—and state law principles would yield a conflicting outcome—the “federal courts’ interest in the integrity of their own processes” justifies the displacement of New York law as the federally prescribed rule of decision (*Semtek*, 531 US at 509; *see also* 18B Charles Alan Wright et al., Federal Practice and Procedure § 4472, Effect of State Law on Federal Res Judicata Rules [2d ed 2011]). Indeed, federal courts generally apply “federal preclusion law” where, as here, “the prior case involved both federal and state substantive law” (*Lucas v JBS Plainwell, Inc.*, 2012 WL 12854880, *5, 2012 US Dist LEXIS 198181, *12-13 [WD Mich, Mar. 8, 2012, No. 1:11-cv-302]; *see also Chudacoff v University Med. Ctr.*, 525 Fed Appx 530, 531 [9th Cir 2013] [applying federal preclusion law to a judgment rendered by a federal court exercising federal question and supplemental jurisdiction]; *In re Residential Capital, LLC*, 507 BR 477, 490 [SD NY 2014] [same]; *In re Zaharescu*, 2013 WL 3762285, *2, 2013 US Dist LEXIS 99423, *4-6 [CD Cal, July 22, 2013, Nos. CV 12-9767-CAS, CV 12-9773-CAS] [same]). For these reasons, federal preclusion law governs our analysis.

III.

In federal court, rule 13 of the Federal Rules of Civil Procedure governs the pleading requirements for counterclaims, requiring a defendant to plead certain related claims. Specifically, rule 13 (a) provides, in relevant part, that a counterclaim is compulsory if it “arises out of the transaction or occurrence that is the subject matter of the opposing party’s claim” (Fed Rules Civ Pro rule 13 [a] [1] [A]). Although the text of rule 13 (a) does not explain the consequences for failure to plead a compulsory counterclaim, “virtually all courts agree that a party who fails to plead a compulsory counterclaim cannot raise that claim in a subsequent action” in federal court (Michael D. Conway, *Narrowing the Scope of Rule 13[a]*, 60 U Chi L Rev 141, 141 [1993]; 6 Charles Alan Wright et al., Federal Practice and Procedure § 1417, Compulsory Counterclaims—Effect of Failing to Plead a Compulsory Counterclaim [3d ed 2010]). The rule itself and its accompanying Advisory Committee Notes are “silent on whether Rule 13 (a) was intended to be a rule of administration for the federal courts or was expected to have wider application”—namely, in state court actions (Wright § 1417).

The investors do not contend that rule 13 (a), by itself, operates to bar unasserted counterclaims raised subsequently in state court. And for good reason. At minimum, “it would be peculiar to find a rule governing the effect that must be accorded federal judgments by other courts ensconced in rules governing the internal procedures of the rendering court” (*Semtek*, 531 US at 503). And at worst, that interpretation would “violate the jurisdictional limitation of the Rules Enabling Act” (*id.*; Wright § 1417 [noting, with regard to rule 13, that “the rule-makers decided that it was beyond the scope of the federal rules to regulate the effect of a judgment”])—that the Federal Rules of Civil Procedure may not “abridge, enlarge or modify any substantive right” (28 USC § 2072 [b]). Instead, the investors contend that principles of *res judicata* act independently to bar Paramount’s claim.

A.

The preclusive effect of a judgment is determined by two related but distinct concepts—issue preclusion and claim preclusion—which collectively comprise the doctrine of “*res judicata*” (see *Taylor*, 553 US at 892). Issue preclusion, also known as collateral estoppel, bars the relitigation of “an issue of fact or law actually litigated and resolved in a valid court determination essential to the prior judgment” (*New Hampshire v Maine*, 532 US 742, 748-749 [2001]; see also Restatement [Second] of Judgments § 27). As a result, the determination of an essential issue is binding in a subsequent action, even if it recurs in the context of a different claim (*Taylor*, 553 US at 892).

While issue preclusion applies only to issues *actually* litigated, claim preclusion (sometimes used interchangeably with “*res judicata*”) more broadly bars the parties or their privies from relitigating issues that were or *could have* been raised in that action (*Cromwell v County of Sac*, 94 US 351, 352 [1877]). The doctrine “encompasses the law of merger and bar”—it precludes the relitigation of all claims falling within the scope of the judgment, regardless of whether or not those claims were in fact litigated (*Migra v Warren City School Dist. Bd. of Ed.*, 465 US 75, 77 n 1 [1984]; *Monahan v New York City Dept. of Corr.*, 214 F3d 275, 285 [2d Cir 2000]; Wright § 1417). As such, claim preclusion serves to bar not only “every matter which was offered and received to sustain or defeat the claim or demand,” but also “any other admissible matter which might have been offered for that purpose” (*Nevada v United States*,

463 US 110, 129-130 [1983], citing *Cromwell*, 94 US at 352). In other words, claim preclusion may “foreclos[e] litigation of a matter that never has been litigated, because of a determination that it should have been advanced in an earlier suit” (*Migra*, 465 US at 77 n 1).

Collectively, these doctrines serve to “relieve parties of the cost and vexation of multiple lawsuits, conserve judicial resources, and, by preventing inconsistent decisions, encourage reliance on adjudication” (*Allen v McCurry*, 449 US 90, 94 [1980]). By promoting consolidation, res judicata shields litigants from undue harassment and protects against the substantial time and expense associated with needless and repetitive litigation (*Taylor*, 553 US at 892; see also Allan D. Vestal, *Res Judicata/Preclusion by Judgment: The Law Applied in Federal Courts*, 66 Mich L Rev 1723, 1723 [1968]). The reduction of duplicative proceedings similarly furthers the goals of convenience, efficiency and judicial economy—the same trial court presides over unified discovery, all relevant motions, and a single trial (*Allen*, 449 US at 94; Conway, 60 U Chi L Rev at 156). Res judicata also preserves the integrity of the courts by fostering finality and minimizing the risk of conflicting judgments, which serve only to undermine public confidence in the judicial process (see *Nevada*, 463 US at 128-129; Vestal, 66 Mich L Rev at 1723; Conway, 60 U Chi L Rev at 162).

B.

Invoking the doctrine of claim preclusion, the investors contend that Paramount’s covenant not to sue claim should have been litigated in the prior federal action, and therefore Paramount’s state court action is barred.⁶ To establish claim preclusion, a party must show: (1) a final judgment on the merits, (2) identity or privity of parties, and (3) identity of claims in the two actions (see *Blonder-Tongue Laboratories, Inc. v University of Ill. Foundation*, 402 US 313, 323-324 [1971]; *Allen*, 449 US at 94; *Chase Manhattan Bank, N.A. v Celotex Corp.*, 56 F3d 343, 345-346 [2d Cir 1995]). The sole issue in this case is whether the claim to be litigated is “the same” as the claims previously litigated by the parties.

The Supreme Court has not articulated a precise test for determining whether there is an identity of claims for purposes

6. While collateral estoppel is not at issue in this appeal, Paramount contends that, assuming its claim is not precluded, the investors will be collaterally estopped from challenging the district court’s factual and legal findings with respect to the subscription agreement.

of claim preclusion, and lower courts do not apply a uniform standard (see John F. Wagner, Jr., *Proper Test to Determine Identity of Claims for Purposes of Claim Preclusion by Res Judicata under Federal Law*, 82 ALR Fed 829, § 2 [a]; *Nevada*, 463 US at 130 n 12, 131; *I.A.M. Natl. Pension Fund, Ben. Plan A v Industrial Gear Mfg. Co.*, 723 F2d 944, 947-948 [D DC 1983]). Prior to the adoption of the Federal Rules of Civil Procedure, courts embraced “[t]he old theory of narrowing the issue down . . . to one single limited matter,” thereby “forcing the parties to bring separate actions” (Federal Rules of Civil Procedure and Proceedings of the American Bar Association Institute, Cleveland 247 [1938]; *Williamson v Columbia Gas & Elec. Corp.*, 186 F2d 464, 469 [3d Cir 1950]). Claims were litigated in a fragmented manner, favoring narrow and discrete issues over more comprehensive proceedings (Proceedings of the American Bar Association Institute at 247; Restatement [Second] of Judgments § 24, Comment *a*). Procedural constraints, including inflexible pleading and joinder rules, reflected the common-law attitude opposing (and in some cases, preventing) the consolidation of claims (Restatement [Second] of Judgments § 24, Comment *a*; *id.* § 22, Comment *a*; *Funny Guy, LLC v Lecego, LLC*, 293 Va 135, 144, 795 SE2d 887, 891 [2017]; *Williamson*, 186 F2d at 469). Underlying this policy was, in part, the notion that a “defendant should not be required to assert his claim in the forum or the proceeding chosen by the plaintiff but should be allowed to bring suit at a time and place of his own selection” (Restatement [Second] of Judgments § 22, Comment *a*); though antithetical to the policies underlying *res judicata*, a defendant’s autonomy was thought to outweigh countervailing interests in convenience, efficiency, and judicial economy.

The common-law doctrine of claim preclusion mirrored these limitations. For purposes of *res judicata*, case law focused on the precise “cause of action” asserted in the two suits (see *United States v Memphis Cotton Oil Co.*, 288 US 62, 67-68 [1933]; see also *In re General Adjudication of All Rights to Use Water in Gila Riv. Sys. & Source*, 212 Ariz 64, 70, 127 P3d 882, 888 [2006]) and, guided by the aim of pleading—“to frame one single legal issue”—that phrase came to have “a very narrow meaning” (*Williamson*, 186 F2d at 469). Indeed,

“in the days when civil procedure still bore the imprint of the forms of action and the division be-

tween law and equity, the courts were prone to associate claim with a single theory of recovery, so that, with respect to one transaction, a plaintiff might have as many claims as there were theories of the substantive law upon which he could seek relief against the defendant” (Restatement [Second] of Judgments § 24, Comment *a*).

One version of the test, for instance, examined the “primary right” of the plaintiff that had allegedly been infringed, and scrutinized whether the two actions involved an alleged infringement of that same legal right by the same wrongful act or omission (*see* Wagner, 82 ALR Fed 829, § 2 [a]; Restatement [Second] of Judgments § 24, Comment *a*; *Baltimore S. S. Co. v Phillips*, 274 US 316, 321 [1927]). Another test focused on whether the same evidence that was considered in the first judgment would sustain the second (*see Nevada*, 463 US at 130 n 12; *see also* Wagner, 82 ALR Fed 829, § 2 [a]; Restatement [First] of Judgments § 61). These narrow conceptions of a “claim” limited the effects of res judicata, enabling piecemeal litigation with minimal risk of preclusion (*see Williamson*, 186 F2d at 469; Restatement [Second] of Judgments § 24, Comment *a*).

But “[d]efinitions of what constitutes the ‘same cause of action’ ” for purposes of claim preclusion “have not remained static over time” (*Nevada*, 463 US at 130 [citations omitted]). Increasingly, modern practice has placed a premium on the policies underlying res judicata— notions of efficiency, finality, and judicial economy, among other things. The earlier common-law rule favoring claim isolation and party autonomy has been gradually supplanted by a new “general philosophy”—one of “limiting the number of law suits possible over one controversy” (Proceedings of the American Bar Association Institute at 247). In response to these evolving procedural ideas, courts have broadened preclusion principles to “apply in contexts not formerly recognized at common law” (*Allen*, 449 US at 94), and “[t]he scope of claims barred has expanded” (Conway, 60 U Chi L Rev at 145). In turn, modern conceptions of res judicata embrace a broadened notion of the scope of a “claim” (*see Williamson*, 186 F2d at 469 [(T)he meaning of ‘cause of action’ for res judicata purposes is much broader today than it was earlier”]; *see also* Vestal, 66 Mich L Rev at 1723-1724 [noting that the “increase in the use of the principle of res judicata/preclusion in the federal courts” is embodied in, among other

things, “(t)he expansion of the scope of the definition of ‘claim’ in connection with . . . claim preclusion”]; Restatement [Second] of Judgments § 24, Comment *a* [“The present trend is to see claim in factual terms and to make it coterminous with the transaction regardless of the number of substantive theories, or variant forms of relief flowing from those theories, that may be available to the plaintiff; regardless of the number of primary rights that may have been invaded; and regardless of the variations in the evidence needed to support the theories or rights”]).

This progression is also reflected in the concomitant evolution of modern procedural rules—namely, pleading and joinder reforms—that similarly operate to urge consolidation of related claims into a single action (Proceedings of the American Bar Association Institute at 247; Restatement [Second] of Judgments § 24, Comment *a*; Conway, 60 U Chi L Rev at 141; *Williamson*, 186 F2d at 469-470; *Funny Guy*, 293 Va at 146, 795 SE2d at 892). Rule 13, for instance, was designed “to flush out all possible counterclaims early in the litigation; in other words ‘to prevent multiplicity of actions and to achieve a just resolution in a single lawsuit of all disputes arising out of common matters’” (*Cyclops Corp. v Fischbach & Moore, Inc.*, 71 FRD 616, 619 [WD Pa 1976], citing 3 Moore’s Federal Practice ¶ 13.12 [1] [1974]). Though it may be “a species different” than res judicata, rule 13 “also has a claim preclusive effect” in federal court, providing an “independent basis” to “bar[] claims that *should have* been presented in a prior action” (*Polymer Indus. Prods. Co. v Bridgestone/Firestone, Inc.*, 211 FRD 312, 318 [ND Ohio 2002], *aff’d* 347 F3d 935 [Fed Cir 2003 en banc]; Conway, 60 U Chi L Rev at 141, 157-158; Wright § 1417). In other words, rule 13 (a) operates as a procedural shortcut—an expedient employed by federal courts to achieve the preclusive ends of res judicata (*Polymer*, 211 FRD at 318; Conway, 60 U Chi L Rev at 141; *see also Trustees of N.Y. City Dist. Council of Carpenters Pension Fund v MI Installers & Furniture Servs., Inc.*, 2013 WL 1385791, *8, 2013 US Dist LEXIS 50014, *24-25 [SD NY, Mar. 28, 2013, No. 12 Civ 2362 (VM)] [noting that the court’s res judicata analysis hinged on “the same reason” as its compulsory counterclaim assessment]). Or, viewed another way, as modern procedural devices broadened the scope of claims that *may* (and in some cases, *must*) be litigated, the scope of claims covered by res judicata—those claims that *should have* been litigated—has symmetrically widened (*see* Restatement

[Second] of Judgments § 24, Comment *a*; see also *Funny Guy*, 293 Va at 146, 795 SE2d at 892).

C.

This modern notion of res judicata has called for a broadened standard for determining whether two claims—or, as in this case, a claim and counterclaim—are the “same” for purposes of claim preclusion. Though courts tasked with applying the “uniform federal rules of res judicata” employ a variety of formulations for purposes of defining a “claim,” the clear trend has been towards the adoption of a transactional analysis (see Wagner, 82 ALR Fed 829, § 2 [a]; see also *Nevada*, 463 US at 130 n 12; Conway, 60 U Chi L Rev at 145 n 23; Restatement [Second] of Judgments § 24, Comment *a*).⁷

7. As the dissent notes, federal courts generally need not address the issue of res judicata in the context of counterclaims, as rule 13 (a) will ordinarily operate in federal court to bar an unasserted compulsory counterclaim (dissenting op at 94-95). That said, those courts that have reached the issue have made clear that res judicata provides an “*independent* basis” to bar a counterclaim that should have been asserted in a prior action (*Polymer*, 211 FRD at 318 [dismissing the plaintiff’s claim pursuant to rule 13 (a) and “find(ing) an *independent* basis for dismissal under the doctrine of *res judicata*”]; see also *Ross ex rel. Ross v Board of Educ. of Twp. High Sch. Dist.* 211, 486 F3d 279, 283 [7th Cir 2007] [the plaintiff’s claim was barred pursuant to “(t)he federal law of claim preclusion,” not rule 13 (a), because it should have been asserted as a counterclaim in the parties’ earlier litigation]; *Pike v Freeman*, 266 F3d 78, 90-91 [2d Cir 2001] [precluding a previously-unasserted counterclaim under “the doctrine of res judicata”]; *Trustees of N.Y. City Dist. Council*, 2013 WL 1385791, *4-8, 2013 US Dist LEXIS 50014, *10-23 [separately analyzing the plaintiff’s unasserted counterclaim under rule 13 (a) and “(t)he doctrine of res judicata,” and concluding that, “for the same reasons th(e) action is not a compulsory counterclaim, it is not barred by res judicata”]; *Cascio v Nettles*, 2011 WL 3847337, *6-8, 2011 US Dist LEXIS 97200, *21-29 [SD NY, Aug. 30, 2011, No. 8:09-CV-1128 (GTS/DRH)] [dismissing the plaintiff’s claims because they were “compulsory counterclaims” in the parties’ prior federal action and “on the alternative ground of res judicata”]; *Star Mark Mgt., Inc. v Koon Chun Hing Kee Soy & Sauce Factory, Ltd.*, 2009 WL 2922851, *7-9, 2009 US Dist LEXIS 81170, *18-24 [ED NY, Sept. 8, 2009, No. 07-CV-3208 (KAM) (SMG)] [holding that the plaintiff’s claims were barred “(u)nder the doctrine of *res judicata* or claim preclusion” because they should have been raised as a counterclaim in the prior action]). In *Pike v Freeman*, for instance, then-Judge Sotomayor assessed whether the defendant’s claim was barred under “the doctrine of res judicata”—not rule 13 (a)—where the defendant failed to raise it as a counterclaim in the parties’ prior arbitral proceeding (266 F3d at 90-91). Although the court ultimately determined that the claim was not barred because it was “not based on the same transaction” as the plaintiff’s claims, the court made clear that res judicata applies to a counterclaim that should have been previously

As articulated by the Second Circuit, “[w]hether or not the first judgment will have preclusive effect depends in part on whether the same transaction [or] series of transactions is at issue, whether the same evidence is needed to support both claims, and whether the facts essential to the second were present in the first” (*Monahan*, 214 F3d at 285; *see also Ross*, 486 F3d at 283). “To ascertain whether two actions spring from the same ‘transaction’ or ‘claim,’” courts look to “whether the underlying facts are ‘related in time, space, origin, or motivation, whether they form a convenient trial unit, and whether their treatment as a unit conforms to the parties’ expectations or business understanding or usage’” (*Pike*, 266 F3d at 91). Put differently, “the question is whether the claim was sufficiently related to the claims . . . in the first proceeding that it *should have been* asserted in that proceeding” (*id.*).

The approach embodied in the Second Restatement similarly provides that “[a] defendant who may interpose a claim as a counterclaim in an action but fails to do so” is precluded from relitigating that claim if

“(a) [t]he counterclaim is required to be interposed by a compulsory counterclaim statute or rule of court, or

“(b) [t]he relationship between the counterclaim and the plaintiff’s claim is such that successful prosecution of the second action would nullify the initial judgment or would impair rights established in the initial action” (Restatement [Second] of Judgments § 22).

By incorporating compulsory counterclaims statutes and rules—adopted in all federal jurisdictions, and in the vast majority of states—the Restatement employs the transactional approach embodied in those statutes and rules to broaden the scope of a “cause of action” to which *res judicata* applies (*see Wright* § 1417; *see also Restatement [Second] of Judgments* § 22).

In a “modern procedural system”—which “permits the presentation in [one] action of all material relevant to the transaction”—“[t]he *transaction* is the basis of the litigative unit or entity which may not be split,” irrespective of the variant legal theories available (Restatement [Second] of Judgments § 24,

raised even where, as in *Pike*, rule 13 (a) did not apply in the prior proceeding (*id.* at 90-92).

Comment *a* [emphasis added]). Under this approach, the law of claim preclusion reflects the expectation that “parties who are given the capacity to present their ‘entire controversies’ shall in fact do so” (*id.*; *Williamson*, 186 F2d at 469).

IV.

Under any transactional analysis, Paramount’s covenant not to sue claim is sufficiently related to the investors’ claims in the federal case so as to preclude its assertion in a subsequent action (*Pike*, 266 F3d at 91). In their federal suit, the investors predominantly alleged that, through material misrepresentations and omissions, Paramount induced them to invest in the Melrose investment. These fraud-type allegations necessarily implicate the negotiations surrounding the Melrose investment—namely, the representations, warranties, and disclosures made by Paramount in connection with the transaction. The investors’ claims therefore required the district court to consider the scope and validity of the various documents exchanged and agreements executed in connection with the Melrose investment, including the PPM (cited frequently in the investors’ federal complaint) and, as relevant here, the subscription agreement.

Indeed, in its ruling, the district court reached issues that would likely prove dispositive to Paramount’s instant claim: the court noted that the waiver provision of the subscription agreement also contained “an agreement by the plaintiffs in no event to bring any claim”—i.e., a covenant not to sue—and held that those provisions were “binding” on the investors. This overlap of essential facts is exemplified most poignantly by Paramount’s offensive assertion of collateral estoppel in the instant case with respect to the district court’s factual and legal findings concerning the subscription agreement.

At bottom, Paramount’s covenant not to sue claim is based on the “same transaction” as the federal action (the Melrose investment); it involves much of the “same evidence” (the subscription agreement and surrounding negotiations); and its essential facts (the scope and validity of the subscription agreement’s provisions) were present in the first action (*see Monahan*, 214 F3d at 285). Unlike in cases involving malicious prosecution or other similar claims, Paramount did not “depend[] upon the judgment” in the federal action in order to allege a breach of the covenant not to sue (*Mount Everest Ski Shops, Inc. v Nordica USA, Inc.*, 736 F Supp 523, 525 [D Vt

1989]; *Mali v Federal Ins. Co.*, 720 F3d 387, 395 [2d Cir 2013]). Nor did its claim depend on events subsequent to the filing of the investors' complaint (see *Harris v Steinem*, 571 F2d 119, 123 [2d Cir 1978]; see also *Star Mark Mgt.*, 2009 WL 2922851, *7-9, 2009 US Dist LEXIS 81170, *18-24; *Chrysler Corp. v Fedders Corp.*, 540 F Supp 706, 713 n 2 [SD NY 1982]). Rather, the covenant not to sue claim accrued immediately when the investors filed suit in the federal action and could be resolved upon consideration of nearly identical factual and legal issues.⁸ Accordingly, because it should have been asserted in the parties' federal action, Paramount's claim is barred by res judicata.

V.

Pursuant to federal principles of claim preclusion—the applicable rules of decision in this case (*Semtek*, 531 US at 507)—Paramount's covenant not to sue claim is transactionally related to the investors' claims in the federal case, amounting to the same “claim” for purposes of res judicata. As such, Paramount's claim should have been asserted in the parties' prior federal action. Because it was not, it is now barred.

The order, insofar as appealed from, should be affirmed, with costs.

RIVERA, J. (concurring). I agree with the plurality that plaintiff Paramount Pictures Corporation is barred by res judicata from pursuing a claim for attorneys' fees based on defendants' alleged breach of a covenant not to sue, because

8. The dissent notes an apparent absence of authority assessing whether a contractual covenant not to sue must be filed as a compulsory counterclaim (dissenting op at 98 n 9). This shortage is unsurprising: In the vast majority of cases, the counterclaiming parties apparently assume that these claims are compulsory and opt to plead them (see *Taupita Inv., Ltd. v Benny Ping Wing Leung*, 2017 WL 3600422, *7, 2017 US Dist LEXIS 132408, *21-22 [SD NY, Aug. 17, 2017, 14 Civ. 9739 (PAE)] [breach of covenant not to sue brought as a counterclaim]; *Reach Music Pub., Inc. v Warner/Chappell Music, Inc.*, 2014 WL 5861984, *1, 2014 US Dist LEXIS 159139, *4-5 [SD NY, Nov. 10, 2014, No. 09 Civ. 5590 (KBF)] [same]; *Kamfar v New World Rest. Group, Inc.*, 347 F Supp 2d 38, 42 [SD NY 2004] [same]; *Wallingford Shopping, LLC v Lowe's Home Ctrs., Inc.*, 2001 WL 96373, *6, 2001 US Dist LEXIS 896, *20-22 [SD NY, Feb. 5, 2001, No. 98 Civ. 8463 (AGS)] [same]; *Society for Advancement of Educ., Inc. v Gannett Co., Inc.*, 1999 WL 33023, *1, 1999 US Dist LEXIS 700, *1-2 [SD NY, Jan. 21, 1999, No. 98 Civ. 2135 (LMM)] [same]; *Cefali v Buffalo Brass Co., Inc.*, 748 F Supp 1011, 1013 [WD NY 1990] [same]; *Bellefonte Re Ins. Co. v Argonaut Ins. Co.*, 586 F Supp 1286, 1287 [SD NY 1984] [same]; *Artvale, Inc. v Rugby Fabrics Corp.*, 232 F Supp 814, 819 [SD NY 1964] [same]; see also Wright § 1417).

Paramount failed to assert this as a counterclaim in defendants' prior federal lawsuit against Paramount. However, I reach that conclusion without the need to determine, as the plurality does here, whether a federal court would agree that state law provides the proper analytic framework. We have no reason to opine on an open question of federal law—namely, what rule of *res judicata* applies to claims asserted in state court where there has been a prior federal judgment predicated on “mixed” subject matter jurisdiction and not solely on the existence of a federal question.¹ Paramount's claim is barred regardless of whether federal or New York State *res judicata* rules apply, because it arises out of the same transaction as the defendants' federal claim which was litigated to its conclusion in the prior federal action. Since the result is the same, the plurality's discussion is essentially an advisory opinion, and one that may prove mistaken (*see New York Pub. Interest Research Group v Carey*, 42 NY2d 527, 530 [1977] [reminding us that “the courts should not perform useless or futile acts and thus should not resolve disputed legal questions unless this would have an immediate practical effect on the conduct of the parties”]). We should leave to the United States Supreme Court the problem of determining the state *res judicata* effect of a federal judgment predicated on “mixed” subject matter jurisdiction, or wait until the question is squarely presented to our Court.²

Indeed, the posture of this case and the manner in which the parties have litigated the issues render it particularly ill-suited

1. In a “mixed” subject matter jurisdiction case, jurisdiction is not predicated exclusively on either a federal question under 28 USC § 1331 or diversity under 28 USC § 1332. Such “mixed” cases include, for example, those in which a party asserts both federal and state law claims, and the federal court thus exercises federal question along with diversity or supplemental jurisdiction. Of course, there is no preclusive effect where, pursuant to 28 USC § 1367 (c), a federal district court declines to exercise supplemental jurisdiction over a state law claim, because in that case the party asserting the state claim did not have a full and fair opportunity to litigate the issue and the federal judgment does not resolve it. That is not the case before us now, however, since Paramount never asserted its claim in defendants' federal lawsuit.

2. Contrary to the plurality's contention, the Supreme Court has not conclusively determined which *res judicata* law applies in these “mixed” subject matter jurisdiction cases (plurality op at 69 n 3). Indeed, the plurality recognizes that there is no direct case on point and goes to great lengths to counter the dissent's arguments that the Supreme Court would instruct state courts to look at the nature of the underlying claim rather than at the federal judgment (plurality op at 69-71; dissenting op at 90). The question is still undecided, and we need not resolve it here.

for a complex analysis of the preclusive effect of a “mixed” subject matter federal judgment. The parties agree that this case should be decided under New York State’s res judicata rules, and neither they, Supreme Court, nor the Appellate Division discussed whether New York State or federal res judicata law applied. Much of the legal analysis the plurality opinion offers was never briefed by the parties or relied upon as the basis for the decisions of the lower courts. Here, to reach beyond the arguments squarely before us is inappropriate and unnecessary (*cf. Greenlaw v United States*, 554 US 237, 243 [2008] [observing that American courts, “in the first instance and on appeal, . . . follow the principle of party presentation(—)that is, we rely on the parties to frame the issues for decision”]; *People v Hawkins*, 11 NY3d 484, 493 [2008] [noting that our Court’s purpose is “best accomplished when (we) determine() legal issues of statewide significance that have first been considered by both the trial and the intermediate appellate court”]).

The facts relevant to the res judicata analysis are not in dispute. Several investment entities (investors) sued Paramount in federal district court for the Southern District of New York for securities fraud, arising from Paramount’s alleged misrepresentations and omissions. In that lawsuit, Paramount argued that the investors waived their right to sue for fraud under a waiver clause contained in section 4 (t) of the parties’ subscription agreement. Section 4 (t) also contains what the parties refer to as a “covenant not to sue,” by which each investor “agree[d] that in no event shall it assert any claim or bring any action contradicting the acknowledgments and agreements in this paragraph.” After a bench trial, the district court dismissed the complaint, determining, in relevant part, that the investors waived their claims and failed to establish the alleged fraud, and further noting that the investors made a binding agreement “in no event to bring any claim.” The Second Circuit affirmed, concluding that the investors failed to establish the underlying facts of their claims and thus that the district court properly dismissed the complaint (*Marathon Structured Fin. Fund, LP v Paramount Pictures Corp.*, 622 Fed Appx 85, 87 [2d Cir 2015]).

While the federal appeal was pending, Paramount filed the instant action in state court against the same investors who were the plaintiffs in the prior federal action, seeking attorneys’ fees for the investors’ alleged breach of the covenant not to sue.

Paramount concedes it could have asserted this cause of action as a counterclaim in the federal lawsuit, but did not do so. The Appellate Division held that Paramount's suit qualified as a compulsory counterclaim under Federal Rules of Civil Procedure rule 13 (a) and was thus barred in state court by res judicata (*Paramount Pictures Corp. v Allianz Risk Transfer AG*, 141 AD3d 464, 467-468 [1st Dept 2016]).

The plurality's discussion of which rule of res judicata to apply and the history of federal claim preclusion law is unnecessary (plurality op at 69-71 [part II], 73-77 [part III.B]), but I agree with the plurality's conclusion that Paramount's claim here is transactionally related to the prior federal claim and, as such, should have been asserted in that case as a compulsory counterclaim (plurality op at 78-80). Although the plurality reaches its judgment after what is ostensibly a "federal res judicata" analysis, it mirrors the analysis under our state law and leads to the same conclusion: Paramount's claim is clearly part of the same transaction, and so barred. Paramount effectively conceded that there is a transactional relationship between its claims by alleging in the trial court that the investors were collaterally estopped from denying that section 4 (t)'s covenant not to sue applied in the state action because the district court found that section 4 (t)'s waiver provision applied.³

"It is blackletter law that a valid final judgment bars future actions between the same parties on the 'same cause of action'" (*Matter of Reilly v Reid*, 45 NY2d 24, 27 [1978]). "This State has adopted the transactional analysis approach in deciding *res judicata* issues [so that] once a claim is brought to a final conclusion, all other claims arising out of the same transaction or series of transactions are barred, even if based upon different theories or if seeking a different remedy" (*O'Brien v City of Syracuse*, 54 NY2d 353, 357 [1981]). Thus, res judicata "applies not only to claims actually litigated but also to claims that could have been raised in the prior litigation" (*Matter of Hunter*, 4 NY3d 260, 269 [2005]). As explained, and notwithstanding Paramount's exhortations to the contrary, Paramount's state claim is transactionally related to the investors' federal claim and should have been raised in the federal

3. In addition, the waiver and covenant not to sue clauses are both part of the same contract provision and indeed the same sentence in section 4 (t) of the parties' subscription agreement.

lawsuit. Since Paramount did not assert the claim when it had the chance, it may not avoid the consequences of its choice simply by crossing the street and filing in state court.

Paramount maintains that this ordinary analysis should not apply because New York is a permissive counterclaim jurisdiction, which reflects a legislative preference to maximize party forum selection. Paramount's argument misses the mark and distracts from the central question in this case, namely what preclusive effect to give the prior federal court judgment. We answer that question by looking to the rules that define the scope and consequences of the litigants' claims and the final judgment entered. Where the prior litigation took place in a different jurisdiction, our law requires that we begin by looking to the law of the issuing forum to determine the judgment's scope in its home jurisdiction. Here, the final judgment in the prior action was entered by a federal court, under a system which has adopted a compulsory counterclaim pleading requirement (*see* Fed Rules Civ Pro rule 13 [a]). We give *res judicata* effect to the prior federal judgment as it stands under that pleading regime, with its attendant consequences for future litigation.⁴ Here, because the federal court would bar Paramount from filing a second action to pursue its breach of contract claim, that same claim is barred under *res judicata* in our New York courts. As Judge Fuld explained over 50 years ago:

“[W]hen the Federal suit was commenced, it is indisputably clear that the plaintiffs now before us should have interposed as counterclaims in the earlier litigation the very causes of action now sued upon. Having failed to do so, it necessarily follows that the judgment entered (by the [federal] Court) is *res judicata* as to the merits of the counterclaims which should have been pleaded. . . . ‘To the extent to which a judgment of a federal court operates as *res adjudicata* in that court, it operates as *res adjudicata* in the courts of this state.’ And . . . it likewise operates as *res judicata* in New York.” (*Cummings v Dresher*, 18 NY2d 105, 109 [1966, Fuld, J., concurring] [citation omitted], quoting *Horne v Woolever*, 170 Ohio St 178, 183, 163 NE2d 378, 383 [1959]).

4. By extension, if the prior action had been filed in a permissive counterclaim jurisdiction, then the party in a subsequent action might not be barred from pursuing the claim, absent some other grounds to preclude.

Nor does it affect the analysis that “[o]ur permissive counterclaim rule may save from the bar of res judicata those claims for separate or different relief that could have been but were not interposed in the parties’ prior action” (*Henry Modell & Co. v Minister; Elders & Deacons of Ref. Prot. Dutch Church of City of N.Y.*, 68 NY2d 456, 462 n 2 [1986]). That observation was made in the context of analyzing a prior New York state court judgment’s preclusive effect on a subsequent New York state court action. Here, however, New York’s pleading rules have no place, as the prior action was not brought in New York state court. Instead, Paramount was faced with defending itself in federal court, where it was subject to the Federal Rules of Civil Procedure, including rule 13 (a), when it decided not to assert its transactionally-related counterclaim. It cannot now seek to escape the consequences of the tactical decision it made in federal court.

To the extent Paramount suggests that it appropriately relied on New York’s permissive pleading requirement, it is mistaken. To refrain from asserting a claim carries risks even under New York’s law. Even if the investors had initially brought suit in New York state court instead of federal court, it is not clear that Paramount’s state claim would be permitted, as under our jurisprudence New York will not always allow a previously unasserted claim to proceed in a future state action. As the Court has explained, our permissive counterclaim rule “does not . . . permit a party to remain silent in the first action and then bring a second one on the basis of a preexisting claim for relief that would impair the rights or interests established in the first action” (*Henry Modell*, 68 NY2d at 462 n 2). Paramount unpersuasively claims this state court action could not possibly impair rights or interests established in the prior federal case, since Paramount won in that lawsuit. Nothing in our case law limits the reach of a holding to the victorious party. If the federal decision established the rights and interests of the investors too, New York courts would be required to respect that decision as well.⁵

Moreover, Paramount’s approach would encourage simultaneous litigation in two jurisdictions and promote forum shop-

5. For example, the investors argued below that entertaining this suit for attorneys’ fees separate from the underlying action would require a New York court to look over the shoulder of the federal court and make a number of judgments that were explicitly or implicitly settled by the action, including whether the initial suit was itself in “good faith.” Of course, we have no occa-

(n. cont’d)

ping, contrary to the well-recognized policies underlying res judicata. “Res judicata is designed to provide finality in the resolution of disputes to assure that parties may not be vexed by further litigation” (*Matter of Reilly*, 45 NY2d at 28 [italics omitted]). “[A] party who has been given a full and fair opportunity to litigate a claim should not be allowed to do so again” (*Matter of Hunter*, 4 NY3d at 269). As the Court has oft explained, “[c]onsiderations of judicial economy as well as fairness to the parties mandate, at some point, an end to litigation” (*Matter of Reilly*, 45 NY2d at 28; see also e.g. *Insurance Co. of State of Pa. v HSBC Bank USA*, 10 NY3d 32, 38 [2008]; *Xiao Yang Chen v Fischer*, 6 NY3d 94, 100 [2005]; *Matter of Hunter*, 4 NY3d at 269-270). Applying our state res judicata rules as I have described furthers these policies by promoting judicial economy and closure.

This case illustrates the point. Although Paramount could have filed its claim in the prior action, it filed its state action while the federal appeal was pending, after the parties had litigated in federal court for seven years, in the hopes of vindicating a claim that might have been impossible to establish under controlling Second Circuit precedent (see *Artvale, Inc. v Rugby Fabrics Corp.*, 363 F2d 1002, 1008 [2d Cir 1966] [holding that a party may not recover attorneys’ fees on an action for breach of a covenant not to sue where the allegedly breaching plaintiff “claim(s) in good faith” that the covenant “had been obtained by unfair means”]). To permit Paramount’s use of the state courts in this way undermines the goals of finality and efficiency, in support of a litigant who had every opportunity to bring the claim in federal court but chose not to. Res judicata is one of the cornerstones on which the stability of our legal system rests and New York will not lend its courts or laws to undermine the settled decisions of other legitimate tribunals.⁶

sion to further consider the question, given the inapplicability of New York’s counterclaim rule.

6. We recognize that “[t]hese strong policy bases, however, if applied too rigidly, could work considerable injustice. In properly seeking to deny a litigant two ‘days in court’, courts must be careful not to deprive [a litigant] of one” (*Matter of Reilly*, 45 NY2d at 28). Thus, res judicata does not bar separate litigation of a second claim where more than one claim arises out of a “course of dealing between the same parties” (*id.* at 28-29). Contrary to the argument advanced in the dissent, that is not the case here (dissenting op at 97 and 95 n 6).

For the foregoing reasons, under state res judicata principles, Paramount's claim is barred, requiring dismissal of the complaint.

WILSON, J. (dissenting). I begin with a proposition as to which I believe the plurality and I agree: New York is a "permissive counterclaim" jurisdiction, so that, had Allianz Risk Transfer AG's initial lawsuit been filed in New York State court, without a federal securities law claim, Paramount Pictures Corporation would not have been required to file as a counterclaim thereto its claim that Allianz breached the contract's covenant not to sue. New York's legislature has adopted a different rule from rule 13 (a) of the Federal Rules of Civil Procedure, driven by its judgment about the efficiency of the two different approaches (*see* CPLR 3019). In that regard, there is no right answer: the Federal Rules rest on a rebuttable presumption that trying all claims—including claims the defendant may have against the plaintiff—in a single action is the most efficient way to proceed, even if that complicates, slows, and enlarges that lawsuit, because there will be no second lawsuit. New York, like several other states (including Maryland, Pennsylvania, and Connecticut), has made a different calculation, permitting defendants to choose not to litigate counterclaims as part of the initial action, so that the initial action may proceed more simply and expeditiously. The second action may be obviated because of settlement or substantially reduced or eliminated by operation of issue preclusion arising from the first action. Indeed, the procedural difference between New York's permissive counterclaim rule and the Federal Rules is not stark. Despite the requirement of rule 13 (a), federal district courts often end up in the same place that a New York court would because of Federal Rules of Civil Procedure rule 42 (b), which expressly permits federal district courts to bifurcate any counterclaims from the plaintiffs' claims.¹ Thus, the real difference in procedure is *who* (the court on motion of

1. Hundreds of reported cases bifurcate rule 13 (a) compulsory counterclaims from the plaintiffs' claims; sometimes, courts even bifurcate defenses, as rule 42 (b) allows (*see e.g. Seiko Epson Corp. v Glory S. Software Mfg.*, 2010 WL 256505, *5, 2010 US Dist LEXIS 4917, *14 [D Or, Jan. 19, 2010, No. 06-CV-477-BR] [granting motion to bifurcate trial of "Walker Process" counterclaim arising from same transaction or occurrence]; *Donnelly Corp. v Reitter & Schefenacker USA Ltd. P'ship*, 2002 WL 31418042, *8, 2002 US Dist LEXIS 15205, *26 [WD Mich, Aug. 13, 2002, No. 1:00-CV-751] [bifurcating both patent misuse defense and antitrust counterclaim arising from same transaction or occurrence]; *Shire LLC v Mickle*, 2011 WL 2959461, *1, 2011 US Dist LEXIS 76811, *4-5 [WD Va, July 15, 2011, No. 7:10-cv-00434]

(n. cont'd)

a party, rather than the defendant) makes the decision to try separately a counterclaim arising from the same transaction or occurrence. From that starting point, I believe the plurality has made two wrong turns, either of which, if righted, would independently produce a different result here.

First, Semtek Int’l Inc. v Lockheed Martin Corp. (531 US 497, 508 [2001]) holds that a federal court sitting in diversity must apply the res judicata rules of the forum state. *Taylor v Sturgell* (553 US 880, 891 [2008]) holds that a federal court vested with federal question jurisdiction must apply federal common-law res judicata rules. Neither case decides what a federal court should do when both federal and state-law claims are present. The plurality concludes that, so long as a federal court’s judgment is entered in an action that raised a federal claim, the preclusive effect of all claims disposed of in that lawsuit must be determined by federal res judicata law. The Supreme Court has not directly decided that question, but I believe the Supreme Court would decide the question differently, holding that the claim-preclusive effect of each claim in the federal action should be determined by the res judicata principles of the jurisdiction whence each claim sprung.² The legal source of each claim, not the source of the federal court’s jurisdiction, should determine the applicable claim-preclusion law. Here, under my approach, the claim-preclusive effect of the dismissal of Allianz’s federal securities law claim would be determined by federal res judicata principles, but the claim-preclusive effect of the dismissal of Allianz’s New York State law claims would be determined by New York’s res judicata principles. Paramount’s claim would not be barred by New

[bifurcating counterclaims alleging sham litigation, slander, and breach of a contractual non-disparagement from breach-of-contract claim]; *Otsuka Pharm. Co., Ltd. v Apotex Corp.*, 143 F Supp 3d 188, 197 n 10 [D NJ 2015] [bifurcating patent misuse and antitrust claims because “(b)ifurcation, in turn, aims to ensure efficiency and avoid needless expense, particularly where resolution of the primary claims may, as here, obviate the need to proceed to discovery on the remaining claims”]).

2. That is not to say that the forum state’s substantive law would always apply. I understand *Semtek* to include the choice-of-law rules of the forum state—not the res judicata law of the forum state even if the courts of that state would, in a particular case, choose the law of a foreign state. *Semtek*’s underpinning requires a federal court sitting in diversity to do exactly what the forum state would *do*, even if that is to choose the law of a different state (see 531 US at 508 [“This is, it seems to us, a classic case for adopting, as the federally prescribed rule of decision, the law that *would be applied* by state courts in the State in which the federal diversity court sits” (emphasis added)]).

York's law of res judicata, because it would not nullify the original judgment or impair the rights of the parties established in the prior action.

Second, my above disagreement with the plurality's conclusion does not matter in this case, because Paramount's counterclaim for breach of the covenant not to sue is not barred by federal or New York claim-preclusion doctrine. The plurality misinterprets federal claim-preclusion law and reaches the wrong result in its application. Neither the Supreme Court nor the Federal Courts of Appeals have decided whether a covenant not to sue can be separately litigated in state court as a matter of federal res judicata. In federal courts, it is rule 13 (a)—not federal claim preclusion doctrine—that bars litigants from separately filing what should have been a compulsory counterclaim. Rule 13 (a) is a procedural rule expressing the policy choice of the federal courts as to how best to operate efficiently, and cannot impose that choice on state legislatures that have made a different judgment. Federal res judicata principles would not bar subsequent litigation in state court unless that litigation would nullify the original judgment or impair the rights of the parties established in the first action, neither of which is true here.

I.

A.

As the plurality explains, the preclusive effect of a judgment of a federal court is determined by federal common law, which, in turn, is ultimately pronounced by the United States Supreme Court (*see Semtek*, 531 US at 503). In *Semtek*, the Supreme Court directed that federal courts sitting in diversity (that is, when no federal question is present) must apply the preclusion law of the state in which the federal court sits (*id.* at 508). Where a lawsuit is based on the violation of the federal constitution or a federal statute, “federal courts participate in developing ‘uniform federal rule[s]’ of res judicata, which [the United States Supreme Court] has ultimate authority to determine and declare” (*Taylor*, 553 US at 891). *Semtek* involved state-law claims only; *Taylor* involved a federal claim only. Neither case explicitly states how the claim-preclusive effect should be determined when, as here, a case involves both federal and state-law claims.

The plurality's answer to that question is that “where federal preclusion principles would operate to preclude a claim—and

state-law principles would yield a conflicting outcome—the ‘federal courts’ interest in the integrity of their own processes’ justifies the displacement of New York law,” citing *Semtek* (plurality op at 71).³ In *Semtek*, the Supreme Court illustrated the type of incompatibility that might require resort to federal res judicata principles—dismissal of a lawsuit with prejudice for “willful violation of discovery orders,” because allowing the plaintiff to re-file in state court would implicate “federal courts’ interest in the integrity of their own processes” (see *Semtek* at 509). Nothing remotely like that comes into play simply because a state, as here, has made a choice that differs from the choice made in rule 13 (a). There is no question that rule 13 (a) would bar the separate filing in federal court of a claim that should have been filed as a compulsory counterclaim, but there is no incompatibility—or even federal interest implicated—by a state’s choice to allow that claim to be filed in state court.

The plurality’s answer is not the answer I predict the Supreme Court will eventually give. Instead, *Semtek*’s rationale requires us to analyze the claim-preclusive effects of the federal claim and the state-law claims separately. In the present case, the claim-preclusive effect of the judgment dismissing the federal 10b-5 claim should be determined by the “uniform federal rules of res judicata” (*Taylor*, 553 US at 891 [internal quotation marks and brackets omitted]). The claim-preclusive effect of the judgment as to the state-law fraud and unjust enrichment claims, however, should be determined by New York’s rules of res judicata.

In *Semtek*, the Court held that the claim-preclusive rule of the forum state should be applied in diversity cases:

3. The plurality’s cases do not support its theory. Each of those cases concerns supplemental jurisdiction, not diversity jurisdiction. Supplemental jurisdiction requires that the state-law claims be “so related to claims in the action within such original jurisdiction that they form part of the same case or controversy under Article III of the United States Constitution” (28 USC § 1367 [a]). A claim based on diversity jurisdiction, in contrast, need not have any relationship to the federal claim, and its claim-preclusive effect may therefore have a very different sweep than that of the federal claim. Indeed, state-law claims appended to federal claims by way of supplemental jurisdiction are precisely the set of claims in which rule 13 (a) and federal res judicata law are congruent. *In re Residential Capital, LLC* (507 BR 477, 490 [SD NY 2014]) makes that very distinction (“When federal jurisdiction in a prior case is based on federal question jurisdiction, with the court exercising supplemental—not diversity—jurisdiction over the plaintiff’s remaining claims, federal preclusion doctrine applies”).

“Since state, rather than federal, substantive law is at issue there is no need for a uniform federal rule. And indeed, nationwide uniformity in the substance of the matter is better served by having the same claim-preclusive rule (the state rule) apply whether the dismissal has been ordered by a state or a federal court. This is, it seems to us, a classic case for adopting, as the federally prescribed rule of decision, the law that would be applied by state courts in the State in which the federal diversity court sits” (531 US at 508).

With that rationale in mind, it becomes important to recall that the claim-preclusive effect of any judgment is determined by the claims in which the merits were actually adjudicated. Indeed, *Semtek* held that despite Federal Rules of Civil Procedure rule 41 (b)’s specification that an involuntary dismissal operates as an “adjudication on the merits,” claim-preclusive effect is not given to all claims nominally disposed of “on the merits,” but only to those “in which the merits of [a party’s] claim are in fact adjudicated [for or] against the [party] after trial of the substantive issues” (*id.* at 502). Thus, if a complaint contains two causes of action, and a court dismisses one without prejudice (or in some other manner in which the merits are not decided) and adjudicates the other to conclusion, only the second claim will have preclusive effect, not the first. If the first is a claim based on federal law, and the second a claim based on state law, *Semtek*’s rationale would require the claim-preclusive effect of the state-law claim to be determined by state-law *res judicata* principles, not federal. Taking the example one step further, if both the federal and state-law claims are adjudicated on the merits, the claim-preclusive effect of the federal claim would be determined by federal common law, as per *Taylor*, but the claim-preclusive effect of the state-law claim would be determined by state *res judicata* principles, as per *Semtek*.

As was true in *Semtek*, “any other rule would produce the sort of ‘forum-shopping . . . and . . . inequitable administration of the laws’ that *Erie* seeks to avoid . . . since filing in, or removing to, federal court would be encouraged by the divergent effects that the litigants would anticipate from likely grounds of dismissal” (*id.* at 508-509). Under the plurality’s rule, some parties would be similarly incentivized to forum shop by including a federal claim—related or not, colorable or not—along with state-law claims. Put differently, the claim-

preclusive effect of a federal court's judgment should not turn on the court's subject-matter jurisdictional basis, but on the source of each claim's underlying substantive law.

In a case heard in federal court, where both a federal claim and a state-law claim are present, the claim-preclusive effect of the federal claim will be determined by federal claim-preclusion doctrine, as *Taylor* requires, and the claim-preclusive effect of the state-law claim will be determined by state claim-preclusion doctrine, as *Semtek* provides. Again, the plurality and I agree that, if the claim-preclusive effect of either one would bar a subsequent claim, it does not matter what the effect of the other would be—the subsequent claim is barred. That is, each claim adjudicated on the merits by the federal court will have its own claim-preclusive effect, independent of the others. Take, as an example, a plaintiff who sues for a declaration of patent invalidity (federal claim) and for unfair competition by the patent holder, based on deceptive marketing of the patented product (state-law claim). Each claim, if decided on the merits, will have a different claim-preclusive effect, based on the nature of the claim itself. The patent claim, if decided in the plaintiff's favor, would preclude the patent holder from bringing a later infringement action against the plaintiff (under federal res judicata rules). The unfair competition claim, if decided on the merits, would not bar a subsequent claim by the patent holder for patent infringement. My analytical difference with the plurality (if a federal claim is present, the plurality would apply federal common-law claim preclusion doctrine to determine the effect of all claims in the case, whereas I would apply federal claim-preclusion doctrine to the federal claims and state claim-preclusion doctrine to the state claims) is not the source of our disagreement as to the result here; that disagreement arises from our divergent views on whether the federal court's judgment rejecting Allianz's federal securities fraud claims operates to preclude Paramount from bringing its claim for breach of the covenant not to sue, discussed below.

B.

If, as I believe, the Supreme Court would direct us to apply New York res judicata principles to determine whether Paramount's claim is barred by the prior judgment on the state-law claims, then it would not be barred. (I do not want to read too much into the plurality's opinion but, by deciding this case on the basis of a difficult and unsettled proposition of federal

law, the plurality implicitly agrees that the result would be different under New York law.) Under New York rules of claim preclusion, Paramount's covenant-not-to-sue claim should proceed. When asking whether a litigated claim precludes the defendant in the action from bringing a claim against the original plaintiff, New York's "decisive test" is "whether the substance of the rights or interests established in the first action will be destroyed or impaired by the prosecution of the second" (*Schuylkill Fuel Corp. v Nieberg Realty Corp.*, 250 NY 304, 308 [1929]; see also *Henry Modell & Co. v Minister, Elders & Deacons of Ref. Prot. Dutch Church of City of N.Y.*, 68 NY2d 456, 461 [1986]; *Eubanks v Liberty Mtge. Banking Ltd.*, 976 F Supp 171, 173 [ED NY 1997] ["Only a defendant who is silent in the first action and then tries to bring a second action that would undermine 'the rights or interests established in the first action' is barred under New York's res judicata rule"]). With respect to plaintiff claim splitting, New York has adopted the broader, transactional approach of the Restatement (Second) of Judgments (see *Matter of Reilly v Reid*, 45 NY2d 24, 30 [1978]). However, those two scenarios must be kept distinct, as New York's claim preclusion rule "has a narrower effect on a defendant who then brings her claim in a separate action than it does on the plaintiff who brings successive claims that arise from the same transaction" (*Eubanks* at 173).

II.

The plurality asserts that under federal res judicata principles, a defendant in a prior federal question action cannot later assert, in state court, a counterclaim that arises from the same transaction or occurrence as the original federal claim. How can that be? As the plurality correctly notes, it cannot be by means of Federal Rules of Civil Procedure rule 13 (a) "by itself" (plurality op at 72).⁴ The federal rule cannot prescribe the preclusive effect of a federal judgment on a second, state court action without violating the Rules Enabling Act (see *Semtek* at 503 ["(I)t would be peculiar to find a rule governing the effect that must be accorded federal judgments by other courts ensconced in rules governing the internal procedures of the rendering court itself. Indeed, such a rule would arguably

4. However, the plurality contradicts itself later when claiming that rule 13 "also has a claim preclusive effect . . . rule 13 (a) operates as a procedural shortcut—an expedient employed by federal courts to achieve the preclusive ends of res judicata" (plurality op at 76 [internal quotation marks omitted]).

violate the jurisdictional limitation of the Rules Enabling Act”]; 28 USC § 2072 [b]). There is similarly no question that Federal Rules of Civil Procedure rule 13 (a) does not merely codify federal rules of res judicata. If it did, the rule would be superfluous (*see Painter v Harvey*, 863 F2d 329, 333 [4th Cir 1988]), and nothing in the legislative history suggests that the drafters meant rule 13 (a) as a codification of federal res judicata.

Instead, the plurality suggests a novel theory: although at the time rule 13 (a) was enacted, it barred (as a procedural rule applicable only to federal courts) actions that would not have been barred by the doctrine of claim preclusion, federal common law of claim preclusion has “systematically widened” over the years to the point that it is now coterminous with rule 13 (a). The plurality’s conclusion is completely unwarranted.

As a general matter, the federal cases on which the plurality relies for the proposition that federal common law has expanded to be coterminous with rule 13 (a) do not support any such proposition.⁵ Neither the Supreme Court nor any federal Court of Appeals has held that rule 13 (a) has been rendered superfluous by the evolution of federal common law

5. For example, *Polymer Indus. Prods. Co. v Bridgestone/Firestone, Inc.* (211 FRD 312, 318 [ND Ohio 2002]), *affd* 347 F3d 935 [Fed Cir 2003 en banc]) is a case in which the Federal Circuit reaffirmed its rule that a lawsuit alleging patent infringement is a compulsory counterclaim under rule 13 (a) to an initial declaratory action for noninfringement. There is no question that claim preclusion would bar the filing of a counterclaim that was merely a mirror image of the initial claim—not because the two claims arose from the same transaction or occurrence, but because the separate litigation of one after the other was decided would constitute an attempt to relitigate the first judgment. *Monahan v New York City Dept. of Corr.* (214 F3d 275, 279-280 [2d Cir 2000]) held that correction officers were barred by the doctrine of res judicata from bringing the exact same claim previously brought and lost “by the president of the Correction Officers’ Benevolent Association . . . , the exclusive bargaining agent for New York City correction officers.” Again, traditional principles of claim preclusion would prevent separate parties in privity from retrying the same claim against the same defendant. *Ross ex rel. Ross v Board of Educ. of Twp. High Sch. Dist. 211* (486 F3d 279 [7th Cir 2007]) is a case in which res judicata barred a student who had previously sued the school district for violation of the Individuals with Disabilities Education Act from bringing a second suit against the district for violations of the Americans with Disabilities Act, the Rehabilitation Act, and the Civil Rights Act, arising out of the same conduct that underlay the initial lawsuit. Here too, traditional principles of res judicata (claim splitting)—not some “expanded” form of res judicata—barred her claim. Importantly, none of the cases relied on by the plurality involve a counterclaim that is not merely a mirror image of the initial claim.

of res judicata, nor could the courts reach that issue except in the context present here, because in cases brought in federal court, rule 13 (a) would govern the result, rendering any incidental discussion of federal common law pure *dicta*.⁶

Second, and much more fundamentally, the doctrine of claim preclusion, which derives from the doctrines of merger and bar, protects the finality of a judgment; courts could not exist unless their judgments meant something, and to mean something, the same essential claim cannot repeatedly be retried by the losing party, in hope of winning someday. Therefore, a plaintiff cannot bring the same or related claims over and over, and the defendant cannot try to attack the original judgment by bringing his or her own claims later. A counterclaim rule, on the other hand, reflects a judgment about whether it would be more efficient to litigate a different claim by a different party in the original lawsuit or a separate lawsuit. A litigant in federal court who chooses not to file a compulsory counterclaim is barred from filing that claim later in federal court, because the federal courts have made a procedural choice that efficiency and fairness would best be served by hearing all claims at once if they arise from the same transaction or occurrence, unless the district court bifurcates the claim for efficiency's sake.⁷ The efficiency determination by federal courts is not implicated when a suit is later brought in state court, because a federal court is in no way burdened by the filing of the state court action. With its permissive counterclaim rule, New York

6. In fact, "the doctrine applied by most courts seems to be the converse. That is, absent the compulsory-counterclaim rule, a pleader is never barred by claim preclusion from suing independently on a claim that [he] refrained from pleading as a counterclaim in a prior action" (6 Charles Alan Wright et al., *Federal Practice and Procedure* § 1410 [3d ed]). At most, there are no "uniform" rules of res judicata, because some federal Courts of Appeals appear to adhere to the narrower conception of res judicata (see e.g. *Martino v McDonald's Sys., Inc.*, 598 F2d 1079, 1083-1084 [7th Cir 1979] ["(L)ong-standing principles of res judicata establish a narrowly defined class of 'common law compulsory counterclaims' . . . For cases like this one, to which Rule 13(a) is inapplicable, Martino's argument correctly states the general rule. When facts form the basis of both a defense and a counterclaim, the defendant's failure to allege these facts as a defense or a counterclaim 'does not preclude him from relying on those facts in an action subsequently brought by him against the plaintiff' "]).

7. See 18 Charles Alan Wright et al., *Federal Practice and Procedure* § 4414 (3d ed) ("[S]ubsequent litigation so close to the first action as to present questions of defendant preclusion ordinarily 'arises out of the transaction or occurrence that [was] the subject matter of' the first action, and is foreclosed by *direct operation* of Rule 13[a]" [emphasis added]).

has made a different efficiency choice about procedure, and its courts will bear whatever burden there is in hearing a second case.

Of course, a federal court judgment would preclude a defendant from bringing a state court action that would nullify that federal judgment or impair the rights established in the first action; that is the purpose of claim preclusion. Additionally, because of the procedural choice made in rule 13 (a), a defendant would be barred from bringing his or her counterclaim—even if it would not be barred by claim preclusion—in a separate federal court action, because the Federal Rules have made an efficiency judgment about how cases will proceed, and the procedural rules of the federal courts apply to the second action if attempted in federal court.⁸ It would be quite strange, though, for the federal court to “extend” the preclusive effect of its judgment to a subsequent claim, arising from the same transaction or occurrence, brought by a defendant seeking to litigate a *state-law* claim and have his or her own day in *state* court, where the state has made the choice to allow a defendant that option. Unless a judgment on the separately-filed claim would nullify or undermine the federal judgment, federal courts have neither a *res judicata* interest nor an efficiency interest in that outcome.

The plurality relies on the history of what constitutes a “claim” for purposes of federal claim preclusion to support its conclusion that federal *res judicata* now encompasses the compulsory counterclaim law. However, the plurality fails to recognize the different effects of claim preclusion on plaintiffs and defendants. The “expansion” the plurality refers to—what constitutes a claim for purposes of claim preclusion—relates to restrictions on plaintiffs’ “claim splitting.” When a final judgment is rendered in favor of the plaintiff, the plaintiff cannot later bring an action on the original claim or any claims that

8. A compulsory counterclaim rule is not the only option. A court could adopt a counterclaim rule requiring that, when A sues B, both A and B must join every claim they have at the time against each other, even if the claims have no common factual nexus. Likewise, a court rule could say nothing about counterclaims, and allow claims (not otherwise barred by *res judicata*) to be brought in separate actions or not. A court could even have a procedural rule barring the bringing of counterclaims (other than those that would be barred by *res judicata*). Yet, in none of those cases is the counterclaim rule necessary to preserve the meaning of the court’s judgment. *Res judicata* is what protects the judgment and the rights of the parties established in that judgment, regardless of the counterclaim rule.

arose out of the same transaction or occurrence, because his or her claims “merged” into the original judgment. Such a rule protects “the interests of the defendant and of the courts in bringing litigation to a close” (Restatement [Second] of Judgments § 24, Comment *b*). Contrary to the plurality’s contention, procedural changes (*e.g.*, rules about joinder of parties) *allowed for* such an expansion to take place, but the expansion was not a necessary result of such changes.

Claim preclusion restricts the defendant, too, but in different ways. Absent a compulsory counterclaim rule, there are two situations where a defendant in the first action may be barred from bringing a second action on a claim that could have been raised in the first action: where successful prosecution of the counterclaim in a subsequent action would (1) nullify the original judgment or (2) impair the rights of the parties established in the first action (*see Valley View Angus Ranch, Inc. v Duke Energy Field Servs., Inc.*, 497 F3d 1096, 1101 [10th Cir 2007]; *Martino v McDonald’s Sys., Inc.*, 598 F2d 1079, 1084-1085 [7th Cir 1979]; 18 Charles Alan Wright et al., Federal Practice and Procedure § 4414 [3d ed]; Restatement [Second] of Judgments § 22, Comment *f*). “For such an occasion to arise, it is not sufficient that the counterclaim grow out of the same transaction or occurrence as the plaintiff’s claim” (Restatement [Second] of Judgments § 22, Comment *f*). It does not matter that the facts relevant to a counterclaim are also relevant to a defense asserted: “[A]fter litigation of the defense judgment is given for the defendant, the defendant is not precluded by the rule of merger from maintaining a subsequent action against the plaintiff based upon these facts. In the subsequent action, the rules of issue preclusion will apply to issues litigated and determined in the first action” (Restatement [Second] of Judgments § 22, Comment *d* [citations omitted]). Nor does it matter that the counterclaim itself could also have been raised as a defense:

“The failure to interpose a defense to the plaintiff’s claim precludes the defendant from thereafter asserting the defense as a basis for attacking the judgment. But the defendant’s claim against the plaintiff is not normally merged in the judgment given in that action, and issue preclusion does not apply to issues not actually litigated. The defendant, in short, is entitled to his day in court on his own claim” (*id.*, Comment *b* [citations omitted]; *see also Valley View Angus Ranch* at 1101 n 6).

III.

Under both federal and state claim preclusion law, Paramount's claim is not barred. Neither precludes a defendant from bringing a claim arising from the same transaction or occurrence as the plaintiff's claim, unless doing so would nullify the judgment or impair the rights established in the first action. In federal court, rule 13 (a) would prevent the defendant from filing separately. This case is not in federal court, our rules—not federal rules—apply, and whether wisely or unwisely, New York has made a different procedural choice. Thus, the only question is whether litigation of Paramount's covenant-not-to-sue claim would nullify the federal court judgment or impair the rights of the parties from the first action.

Although Paramount's claim for breach of the covenant not to sue arises from the contract, it does not in any way attack the judgment or impair Allianz's rights from the first action. How could it when Paramount was victorious in the first action? Issue preclusion would prevent Allianz from relitigating issues it lost, but neither federal nor New York rules of claim preclusion restrict Paramount from bringing its claim for breach of the covenant not to sue in a separate state court action.⁹ I therefore dissent.

9. It is hardly clear that Paramount's claim for breach would constitute a compulsory counterclaim under rule 13 (a). In affirming the district court, the United States Court of Appeals for the Second Circuit noted that Allianz "do[es] not assert that Paramount committed any misconduct or wrongdoing apart from the misrepresentations or omissions Paramount purportedly made in the offering documents" (*Marathon Structured Fin. Fund, LP v Paramount Pictures Corp.*, 622 Fed Appx 85, 86 [2d Cir 2015]). The district court held that the offering statements were truthful, which finding the Second Circuit affirmed. Allianz's claims arose from the alleged falsity of the offering statements; Paramount's claim for breach arises from a specific contract provision, not the offering statements. The parties cite no law, apparently because there is none, in which a court has held that rule 13 (a) requires a claim of breach of a contractual covenant not to sue be filed as a compulsory counterclaim to a fraud claim. The plurality contends that the absence of law on this point is because parties always state breaches of the covenant not to sue as counterclaims, not separate lawsuits, and cites some examples. Here are some examples of litigants who took the opposite approach: see e.g. *Grendene USA, Inc. v Brady* (2015 WL 1499229, *3, 2015 US Dist LEXIS 43425, *6 [SD Cal, Apr. 1, 2015, No. 3:14-cv-2955-GPC-KSC] [holding breach of covenant not to sue claim was not compulsory under Fed Rules Civ Pro rule 13 (a) because "(the prior action) involves facts dealing with alleged infringement . . . This action involves facts dealing with the Bradys decision to file a lawsuit based on that alleged infringement . . . These are separate facts as the decision to bring a legal cause of action is

(n. cont'd)

Judges STEIN and FAHEY concur; Judge RIVERA concurs in result in an opinion, in which Chief Judge DiFIORE concurs; Judge WILSON dissents in an opinion; Judge FEINMAN taking no part.

Order, insofar as appealed from, affirmed, with costs.

separate from the elements of that cause of action”]); *Gramercy Advisors, LLC v Ripley* (2014 WL 4188099, *8, 2014 US Dist LEXIS 118233, *22-24 [SD NY, Aug. 24, 2014, No. 13-CV-9070 (VEC)]); *Oracle Corp. v ORG Structure Innovations LLC* (2012 WL 12951187, *5, 2012 US Dist LEXIS 198709, *12-14 [ND Cal, Mar. 30, 2012, No. C 11-3549 SBA]); *Abbott v Okoye* (2010 WL 3220184, *3, 2010 US Dist LEXIS 82443, *6-8 [ED Cal, Aug. 13, 2010, No. 2:08-cv-00445-GEB-DAD], *affd* 460 F Appx 678 [9th Cir 2011]). Permissive counterclaim jurisdictions give defendants the choice; defendants make different choices based on their strategic judgments.

[96 NE3d 784, 73 NYS3d 519]

ANDREW KOLCHINS, Respondent, v EVOLUTION MARKETS, INC.,
Appellant.

Argued February 13, 2018; decided March 29, 2018

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered April 2, 2015. The Appellate Division modified, on the law, so much of an order of the Supreme Court, New York County (Eileen Bransten, J.; op 2013 NY Slip Op 31978[U] [2013]), as, to the extent appealed from, had denied defendant's motion pursuant to CPLR 3211 to dismiss the first cause of action for breach of contract. The modification consisted of dismissing so much of the first cause of action for breach of contract as sought to recover a special noncompete payment under plaintiff's 2009 employment agreement. The Appellate Division affirmed the order as modified. The following question was certified by the Appellate Division: "Was the order of Supreme Court, as modified in part and otherwise affirmed by this Court, properly made?"

Kolchins v Evolution Mkts., Inc., 128 AD3d 47, affirmed.

HEADNOTES**Contracts — Formation of Contract — Offer and Acceptance**

1. Defendant employer was not entitled to dismissal pursuant to CPLR 3211 (a) (1) of plaintiff employee's breach of contract cause of action alleging that email correspondence between plaintiff and defendant's chief executive officer (CEO) constituted a written confirmation of the parties' valid and binding contract extending plaintiff's existing employment agreement, where defendant failed to meet its burden of conclusively refuting plaintiff's allegations that the parties had entered into a new contract. The initial email from the CEO to plaintiff stated that "[t]he terms of our offer are the same [as the] terms of your existing contract," apart from one "clarification," and added that if plaintiff had "[a]ny further questions" he should consult his "existing contract." Inasmuch as the email explained that "[t]he terms of [defendant's] offer" were to be nearly identical to the terms of plaintiff's existing contract, a reasonable factfinder could have interpreted it as evincing an objective manifestation of defendant's intent to enter into a bargain, such that plaintiff was justified in understanding that his assent to that bargain was invited and would conclude it. The exchange—in essence, we "offer" and "I accept," followed by an arguably congratulatory exclamation, coupled with a forward-looking statement about the next stage of the parties' continuing relationship—sufficiently evinced an objective manifestation of an intent to be bound for purposes of surviving a motion to dismiss. Moreover, the additional email correspondence submitted by defendant revealed gaps in time between the

parties' written correspondence, referred to discussions that were not reflected in the record, and did not include conclusive evidence of material disagreements regarding the terms of the agreement sufficient to negate the initial intent to be bound, as a matter of law.

Contracts — Employment Contracts — Eligibility to Receive Bonus

2. In a breach of contract action arising out of the breakdown of negotiations to extend an employment agreement under which plaintiff employee was eligible to receive a "Production Bonus" that was "based on [his] performance" each trimester if he was "actively employed" at the time of the firm-wide bonus payment dates, defendant employer failed to meet its burden of establishing, as a matter of law, that plaintiff was not entitled to the bonus once his employment ceased upon the expiration of the agreement. Generally, an employee's entitlement to a bonus is governed by the terms of the employer's bonus plan. However, Labor Law § 193 (1) prohibits employers from making "any deduction from the wages of an employee," and section 190 (1) broadly defines "wages" as "the earnings of an employee for labor or services rendered, regardless of whether the amount of earnings is determined on a time, piece, commission or other basis." Thus, to the extent plaintiff's production bonus constituted "earned wages" under the Labor Law, it was not subject to forfeiture. Moreover, there was language in the agreement that could have been read as providing that plaintiff's bonus was predicated on his personal productivity, rather than solely on defendant's overall success, and other aspects of plaintiff's compensation package were specifically described as "discretionary," while the production bonus was not. Thus, to the extent the bonus was not discretionary and, instead, was based only on plaintiff's performance as a manager during his final trimester of employment, it could have constituted nonforfeitable "wages." In that event, any provision of the agreement that would operate to deny plaintiff those wages after they were "earned" based on the timing of payment would be void as against public policy under Labor Law article 6.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Contracts §§ 44–48, 168; AM JUR 2d Employment Relationship §§ 12, 17, 27, 55, 66.

McKINNEY'S, CPLR 3211 (a) (1); Labor Law §§ 190 (1); 193.

NY JUR 2d Contracts §§ 12, 33; NY JUR 2d Employment Relations §§ 62–64, 68, 78, 86, 135, 138.

WILLISTON ON CONTRACTS (4th ed) 4:16.

ANNOTATION REFERENCE

See ALR Index under Bonuses; Discharge from Employment or Office; E-Mail; Labor and Employment.

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POINTS OF COUNSEL

Wechsler & Cohen, LLP, New York City (*David B. Wechsler, Todd Gutfleisch* and *Kim Michael* of counsel), for appellant. I. Andrew Kolchins' claim for breach of an alleged 2012 agreement should have been dismissed. (*Zheng v City of New York*, 19 NY3d 556; *Dratfield v Gibson Greetings*, 269 AD2d 294; *Ciaramella v Reader's Digest Assn., Inc.*, 131 F3d 320; *Arcadian Phosphates, Inc. v Arcadian Corp.*, 884 F2d 69; *Adjustrite Sys., Inc. v GAB Bus. Servs., Inc.*, 145 F3d 543; *Stonehill Capital Mgt. LLC v Bank of the W.*, 28 NY3d 439; *Skycom Corp. v Telstar Corp.*, 813 F2d 810; *Empro Mfg. Co., Inc. v Ball-Co Mfg., Inc.*, 870 F2d 423; *Durable, Inc. v Twin County Grocers Corp.*, 839 F Supp 257; *R.G. Group, Inc. v Horn & Hardart Co.*, 751 F2d 69.) II. The First Department erroneously failed to dismiss Andrew Kolchins' claim for breach of the 2009 employment agreement concerning the "Production Bonus." (*Truelove v Northeast Capital & Advisory*, 95 NY2d 220; *Pachter v Bernard Hodes Group, Inc.*, 10 NY3d 609; *Hall v United Parcel Serv. of Am.*, 76 NY2d 27; *Bader v Wells Fargo Home Mtge. Inc.*, 773 F Supp 2d 397; *Ireton-Hewitt v Champion Home Bldrs. Co.*, 501 F Supp 2d 341; *O'Dell v Trans World Entertainment Corp.*, 153 F Supp 2d 378; *Weiner v Diebold Group*, 173 AD2d 166; *Ryan v Kellogg Partners Inst. Servs.*, 19 NY3d 1.)

Debevoise & Plimpton LLP, New York City (*Jyotin Hamid* of counsel), for respondent. I. The courts below correctly denied dismissal of Andrew Kolchins' breach of contract claim under the extension agreement. (*Matter of Express Indus. & Term. Corp. v New York State Dept. of Transp.*, 93 NY2d 584; *Zheng v City of New York*, 19 NY3d 556; *Brown Bros. Elec. Contrs. v Beam Constr. Corp.*, 41 NY2d 397; *Stonehill Capital Mgt. LLC v Bank of the W.*, 28 NY3d 439; *Newmark & Co. Real Estate Inc. v 2615 E. 17 St. Realty LLC*, 80 AD3d 476; *Williamson v Delsener*, 59 AD3d 291; *Kowalchuk v Stroup*, 61 AD3d 118; *Goshen v Mutual Life Ins. Co. of N.Y.*, 98 NY2d 314; *Arcadian Phosphates, Inc. v Arcadian Corp.*, 884 F2d 69; *Ciaramella v Reader's Digest Assn., Inc.*, 131 F3d 320.) II. The courts below correctly denied dismissal of Andrew Kolchins' breach of contract claim under the 2009 employment agreement. (*Weiner v Diebold Group*, 173 AD2d 166; *Mirchel v RMJ Sec. Corp.*, 205 AD2d 388; *Guggenheimer v Bernstein Litowitz Berger & Grossmann LLP*, 11 Misc 3d 926; *Pachter v Bernard Hodes Group, Inc.*, 10 NY3d 609; *Truelove v Northeast Capital & Advisory*, 95 NY2d 220; *Ireton-Hewitt v Champion Home Bldrs. Co.*, 501 F

Supp 2d 341; *Hall v United Parcel Serv. of Am.*, 76 NY2d 27; *Bader v Wells Fargo Home Mtge. Inc.*, 773 F Supp 2d 397; *Herbert Rosenthal Jewelry Corp. v St. Paul Fire & Mar. Ins. Co.*, 21 AD2d 160.)

OPINION OF THE COURT

STEIN, J.

The issue on this appeal is whether the documentary evidence proffered by defendant Evolution Markets, Inc. on its motion to dismiss pursuant to CPLR 3211 (a) (1) conclusively refuted plaintiff Andrew Kolchins's breach of contract claims. We hold that defendant has not met its burden and we, therefore, affirm.

I

Defendant is a corporation that structures transactions and provides brokerage and advisory services in the global environmental and energy commodity marketplace. In 2005, plaintiff joined defendant as a commodities broker and, in 2006, the parties entered into an employment agreement with a three-year term. Subsequently, in 2009, plaintiff and defendant entered into another three-year employment agreement with an "Ending Date" of August 31, 2012.

Under the 2009 agreement, plaintiff was an "at will" employee; however, if defendant terminated him without "Cause" or he ceased employment for "Good Reason," and he complied with certain restrictive covenants, he would be paid his base salary through the ending date, as well as a "Special Non-Compete Payment" thereafter.¹ His compensation package included a \$200,000 annual base salary and a "Sign On Bonus" of \$750,000. Separately, the agreement set forth terms under which plaintiff was eligible to receive a "Production Bonus" that was "based on [his] performance" each trimester, and which would be "paid within two months of the close of a given trimester."²

The 2009 agreement also provided for minimum "Guaranteed Compensation" of \$750,000 each contract year. The guaranteed

1. The restrictive covenants prohibited plaintiff from, among other things, working for a competitor for six months after his employment with defendant ceased.

2. Under the agreement, "[t]he total bonus pool available to the Eastern U.S. renewable energy brokerage desk [that plaintiff managed] . . . [would] be no less than 55% of the Net Earnings of [that desk]."

compensation consisted of plaintiff's "base salary and any bonus paid or payable" to him for such period, but did not include the amount paid as his sign on bonus. In that regard, the 2009 agreement provided that, "[f]or the avoidance of doubt, your bonus to be paid to you in respect of the second trimester of 2009 is not included in the calculation of your guaranteed compensation." However, any special non-compete payment made during the last year of the agreement would "count towards your guaranteed compensation." Critically, the 2009 agreement also set forth that, "in order to be eligible to receive any Production Bonus, bonus from the Discretionary Management Bonus Pool, or Guaranteed Compensation, you must be actively employed . . . at the time of our firm-wide bonus payment dates."

On June 15, 2012, as the ending date of the 2009 agreement approached, defendant's chief executive officer, Andrew Ertel, sent plaintiff an email with the subject line "In writing," which stated that, "[t]he terms of our offer are the same [as the] terms of your existing contract (other than a clarification around the issue of departed members of the team), and include: [a] 3 year term[,], \$200,000 base salary[,], \$750,000 sign on bonus . . . [,] \$750,000 per year minimum cash compensation[, and the same] production bonus." He added, "[a]ny further questions, let me know but u [sic] do have your existing contract." One month later, on July 16, plaintiff responded by email with "I accept, pls [sic] send contract," to which Ertel replied, "Mazel. Looking forward to another great run." Following this exchange, plaintiff and defendant's general counsel, Benjamin Zeligler, communicated by email and in person over the ensuing weeks in an unsuccessful attempt to reduce the parties' mutual understanding to a more formal written instrument. Despite these efforts, defendant notified plaintiff, by letter dated September 1, 2012, that his employment had ceased upon the expiration of the 2009 agreement.

Plaintiff then commenced this breach of contract action against defendant, alleging that the parties had entered into a valid and binding contract setting forth the terms of his continued employment with defendant. Plaintiff alleged that the June 15 and July 16 email correspondence with Ertel constituted a written confirmation of the new agreement. Plaintiff also sought to recover amounts allegedly still owed to him under the 2009 agreement, including a special non-compete payment and a final production bonus. He asserted that the

production bonus was vested and earned as of the ending date of the 2009 agreement.

Prior to answering the complaint, defendant moved for, among other things, an order dismissing plaintiff's breach of contract claims pursuant to CPLR 3211 (a) (1). In support of its motion, defendant annexed as exhibits the email and letter correspondence between the parties, as well as the parties' prior employment agreements. As relevant here, Supreme Court denied defendant's motion insofar as it sought to dismiss plaintiff's breach of contract claims (2013 NY Slip Op 31978[U] [2013]).

On defendant's appeal, the Appellate Division, with one Justice dissenting, modified Supreme Court's order by dismissing so much of the breach of contract cause of action that sought to recover a special non-compete payment under the 2009 agreement, and otherwise affirmed (128 AD3d 47 [1st Dept 2015]). The Court held that, according plaintiff the benefit of every possible favorable inference, "one may reasonably find that by the June 15-to-July 16, 2012 email exchange, the parties had entered into an agreement to renew plaintiff's employment for a new three-year term, carrying forward the existing compensation plan under the 2009 employment agreement" (*id.* at 60). The Court also concluded that the documentary evidence of the additional correspondence submitted by defendant did not "utterly refute" plaintiff's allegations that the parties reached an agreement on the material terms of a contract renewal (*id.* at 50).³ With regard to plaintiff's claim seeking payment of a production bonus under the 2009 agreement, the Court held that defendant failed to establish, as a matter of law, that plaintiff was not entitled to the bonus, reasoning that the bonus could constitute wages not subject to forfeiture under Labor Law article 6 (*see id.* at 64).

The Appellate Division granted defendant leave to appeal to this Court, certifying the question of whether its order was properly made.

II

Because this case is before us on a CPLR 3211 (a) (1) motion to dismiss, we must "accept the facts as alleged in the complaint as true, accord plaintiff[] the benefit of every pos-

3. In addition, the Court held that "there is no blanket rule by which email is to be excluded from consideration as documentary evidence under [CPLR 3211 (a) (1)]" (*id.* at 59).

sible favorable inference, and determine only whether the facts as alleged fit within any cognizable legal theory” (*Leon v Martinez*, 84 NY2d 83, 87-88 [1994]). Dismissal is warranted only if the documentary evidence “establishes a defense to the asserted claims as a matter of law” (*id.* at 88). Thus, defendant bears the burden of demonstrating that the proffered correspondence conclusively refutes plaintiff’s factual allegations (see *Goshen v Mutual Life Ins. Co. of N.Y.*, 98 NY2d 314, 326 [2002]).

In considering whether a binding contract exists, “[t]he first step . . . is to determine whether there is a sufficiently definite offer such that its unequivocal acceptance will give rise to an enforceable contract” (*Matter of Express Indus. & Term. Corp. v New York State Dept. of Transp.*, 93 NY2d 584, 589-590 [1999]). In that regard, we recently reaffirmed that our decision in “*Brown Bros.* presents the template for deciding a case, such as this one, where the issue is ‘whether the course of conduct and communications between [the parties have] created a legally enforceable agreement’” (*Zheng v City of New York*, 19 NY3d 556, 571 [2012], quoting *Brown Bros. Elec. Constr. v Beam Constr. Corp.*, 41 NY2d 397, 398 [1977]). Under *Brown Bros.*,

“it is necessary to look . . . to the objective manifestations of the intent of the parties as gathered by their expressed words and deeds. In doing so, disproportionate emphasis is not to be put on any single act, phrase or other expression, but, instead, on the totality of all of these, given the attendant circumstances, the situation of the parties, and the objectives they were striving to attain” (41 NY2d at 399-400).

While the courts are charged with interpreting written instruments, “where a finding of whether an intent to contract is dependent . . . on other evidence from which differing inferences may be drawn, a question of fact arises” (*id.* at 400).

Of course, “[i]f an agreement is not reasonably certain in its material terms, there can be no legally enforceable contract” (*Cobble Hill Nursing Home v Henry & Warren Corp.*, 74 NY2d 475, 482 [1989]). This “requirement of definiteness assures that courts will not impose contractual obligations when the parties did not intend to conclude a binding agreement” (*id.*). However, while a “mere agreement to agree, in which a material term is left for future negotiations, is unenforceable” (*Joseph Martin, Jr., Delicatessen v Schumacher*, 52 NY2d 105, 109

[1981]), the “terms of a contract [do not] need [to] be fixed with absolute certainty” to give rise to an enforceable agreement (*Matter of Express Indus.*, 93 NY2d at 590; see *Cobble Hill*, 74 NY2d at 483). At the same time, “if the parties to an agreement do not intend it to be binding upon them until it is reduced to writing and signed by both of them, they are not bound and may not be held liable until it has been written out and signed” (*Scheck v Francis*, 26 NY2d 466, 469-470 [1970]; see *Stonehill Capital Mgt. LLC v Bank of the W.*, 28 NY3d 439 [2016]).

[1] Here, we conclude that, based on all the documentary evidence proffered by defendant, a reasonable factfinder could determine that a binding contract was formed. Ertel’s initial email to plaintiff stated that “[t]he terms of our offer are the same [as the] terms of your existing contract”—apart from “a clarification” concerning an issue that plaintiff characterizes as minor—and outlined the core terms that were included in the 2009 agreement. He added that, if plaintiff had “[a]ny further questions” he should consult his “existing contract.” Inasmuch as this email explained that “[t]he terms of the offer” were to be nearly identical to the terms of plaintiff’s existing contract, a reasonable factfinder could interpret it as evincing an objective manifestation of defendant’s intent to enter into a bargain, such that plaintiff was justified “in understanding that his assent to that bargain [was] invited and [would] conclude it” (Restatement [Second] of Contracts § 24 [1981]). Put differently, it could reasonably be inferred that Ertel’s email constituted a valid offer by defendant. In response to that email, plaintiff wrote “I accept. pls [sic] send contract,” to which Ertel replied, “Mazel. Looking forward to another great run.”⁴ Affording plaintiff the benefit of every favorable inference, this exchange—in essence, we “offer” and “I accept,” followed by an arguably congratulatory exclamation, coupled with a forward-

4. In response to the Appellate Division’s interpretation that “[m]azel is an obvious reference to ‘[m]azel tov’ or ‘mazel tov,’ a Hebrew or Yiddish phrase used to express congratulations for a happy and significant occasion or event” (128 AD3d at 59 n 2), defendant maintains that the word was merely an expression of luck. The phrase “mazel tov” apparently derives from the “post-biblical Hebrew” words for “good” and “luck” (Oxford English Dictionary [2018], mazel tov). At one time, the word “mazel” referred to a celestial body (see Sidney J. Jacobs, *The Jewish Word Book* 189 [1982]; Leo Rosten, *The Joys of Yiddish* 225 [1968]). However, these aspects of the word were eventually forgotten; ultimately “mazel” came to mean “luck” and “mazel tov” an expression of congratulations (see Leo Rosten, *The Joys of Yiddish* 225 [1968]; Oxford English Dictionary). Thus, counsel is correct that the literal

looking statement about the next stage of the parties' continuing relationship—sufficiently evinces an objective manifestation of an intent to be bound for purposes of surviving a motion to dismiss.⁵ Although Ertel's email referenced one outstanding "clarification," the parties' further communications indicate that such clarification was incorporated into the first draft of the new agreement sent by Zelig to plaintiff, and no evidence was offered to suggest that plaintiff resisted that change to the terms of the 2009 agreement.

We reject defendant's argument that plaintiff's contract claim should have been dismissed because the additional correspondence defendant proffered in support of its motion to dismiss reflects a lack of mutual assent to material terms—such as plaintiff's minimum guaranteed compensation and the length of the non-compete term—and that this indefiniteness renders the purported contract invalid as a matter of law. As the Appellate Division concluded, that correspondence does not conclusively refute contract formation (*see Goshen*, 98 NY2d at 326; *Leon*, 84 NY2d at 88). The additional emails reveal gaps in time between the parties' written correspondence, refer to discussions that are not reflected in the record before this Court, and do not include conclusive evidence of material disagreements regarding the terms of the agreement sufficient to negate the initial intent to be bound, as a matter of law. Because it is possible to draw competing inferences based on the totality of the parties' communications as set forth in this record—which does not otherwise reflect that defendant expressly reserved the right not to be bound except in a formal written document—defendant has not met its burden to conclusively refute the allegations of the complaint that the parties entered into a new contract.

III

[2] The courts below also correctly denied defendant's motion to dismiss as it relates to plaintiff's claim for a production

translation of "mazel" does not necessarily express congratulations. Nevertheless, a factfinder could reasonably infer that the word was being used here in reference to the congratulatory interjection "mazel tov."

5. As defendant notes, prior to his July 16 response to Ertel's initial email, plaintiff notified defendant of his intent not to renew the 2009 agreement, which otherwise would have automatically continued for an additional one-year term. Although defendant maintains that this notice constituted a rejection of Ertel's email, a reasonable factfinder could determine otherwise, on the basis, for example, that plaintiff's decision not to renew the 2009 agreement for a one-year term was consistent with an intent to enter into a new agreement with the same material provisions, including a three-year term.

bonus. As a general matter, “an employee’s entitlement to a bonus is governed by the terms of the employer’s bonus plan” (*Truelove v Northeast Capital & Advisory*, 95 NY2d 220, 225 [2000] [internal quotation marks omitted]). However, “[a]rticle 6 of the Labor Law sets forth a comprehensive set of statutory provisions . . . [that] strengthen and clarify the rights of employees to the payment of wages” (*Truelove*, 95 NY2d at 223). As relevant here, Labor Law § 193 (1) prohibits employers from making “any deduction from the wages of an employee,” and section 190 (1) broadly defines “wages” as “the earnings of an employee for labor or services rendered, regardless of whether the amount of earnings is determined on a time, piece, commission or other basis.” Thus, as the Appellate Division concluded, to the extent plaintiff’s production bonus constituted “earned wages” under the Labor Law, it was not subject to forfeiture.

Defendant contends that plaintiff’s claim regarding his entitlement to a production bonus for the second trimester of 2012 is barred by the express terms of the 2009 agreement, which provide that, in order to receive the bonus, plaintiff had to be actively employed by defendant at the time all such firm-wide bonuses were paid. Because it is undisputed that he was not so employed when the bonus at issue was paid, defendant maintains that the bonus was never “earned,” as a matter of law, under our decision in *Truelove*. We disagree. The terms of the compensation plan at issue in *Truelove* did not predicate bonus payments on the plaintiff’s personal productivity; rather, the plaintiff’s share of the bonus pool was based on his employer’s overall financial success, and was entirely discretionary (see 95 NY2d at 224). Thus, we concluded that the bonus payments constituted “[d]iscretionary additional remuneration” that was “outside the protection of the statute” (*id.*).

Contrary to defendant’s argument here, the terms of the 2009 agreement do not conclusively establish that the production bonus was not vested and earned as of the contract’s ending date. That agreement expressly provided that plaintiff was “eligible to be paid a bonus on a trimester basis *based on [his] performance*.” Although the agreement sets forth a calculation for the “total bonus pool” available as a percentage of net earnings of the renewable energy brokerage desk, plaintiff managed that desk. Significantly, unlike the compensation plan at issue in *Truelove*, there is language in the 2009 agreement that

could be read as providing that plaintiff's bonus was predicated on his personal productivity, rather than solely on defendant's overall success. Moreover, the language of the 2009 agreement does not conclusively establish that the bonus was discretionary. Indeed, under an earlier employment agreement between the parties, plaintiff was eligible for a similar trimester-based bonus at the "exclusive and sole discretion" of defendant, but that discretionary language was not carried over to the 2009 agreement. Likewise, pursuant to the 2009 agreement, other aspects of plaintiff's compensation package were specifically described as "discretionary," while the production bonus was not.

To the extent the production bonus was not discretionary and, instead, was based only on plaintiff's performance as a manager during his final trimester of employment—a question not conclusively answered by the language of the agreement—the bonus could constitute nonforfeitable "wages." In that event, any provision of the 2009 agreement that would operate to deny plaintiff those wages after they were "earned" based on the timing of payment would be void as against public policy under article 6 of the Labor Law.⁶ Therefore, defendant has failed to meet its burden of establishing, as a matter of law, that plaintiff was not entitled to the production bonus, and its motion to dismiss on this ground was correctly denied.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

Chief Judge DiFiore and Judges Rivera, Fahey, Garcia and Wilson concur; Judge Feinman taking no part.

Order affirmed, with costs, and certified question answered in the affirmative.

6. Defendant also relies upon *Pachter v Bernard Hodes Group, Inc.* (10 NY3d 609, 618 [2008]) in which the relevant issue was whether the Labor Law prevented the parties from structuring the plaintiff's compensation formula so that her commissions would be deemed earned only after certain deductions were taken from the billings attributable to her. That question is not relevant to the dispute before us. In any event, nothing in *Pachter* suggests that the parties may agree, in violation of the public policy reflected in the Labor Law, that wages earned and vested before an employee leaves a job will be forfeited if the employee is no longer working for the employer when the employer is obligated to remit payment (see *Ryan v Kellogg Partners Inst. Servs.*, 19 NY3d 1, 16 [2012]).

[97 NE3d 389, 73 NYS3d 780]

LINDSAY LOHAN, Appellant, v TAKE-TWO INTERACTIVE SOFTWARE,
INC., et al., Respondents.

Argued February 7, 2018; decided March 29, 2018

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered September 1, 2016. The Appellate Division order, insofar as appealed from, modified, on the law, an order of the Supreme Court, New York County (Joan M. Kenney, J.; op 2016 NY Slip Op 32866[U] [2016]), which had denied defendants' motion to dismiss the amended complaint and for sanctions. The modification consisted of granting the part of defendants' motion seeking to dismiss the amended complaint.

Lohan v Take-Two Interactive Software, Inc., 142 AD3d 776, affirmed.

HEADNOTES

Civil Rights — Right of Privacy — Use of Portrait for Commercial Purposes — Graphical Representation of Person in Video Game

1. A graphical representation of a person in a video game or like media may constitute a "portrait" within the meaning of Civil Rights Law article 5. Civil Rights Law § 51 provides that "[a]ny person whose . . . portrait . . . is used . . . for advertising purposes or for the purposes of trade without . . . written consent" may sue to recover damages for injuries resulting from such use. Although the statute was enacted before digital technology was invented, general legislative enactments are mindful of the growth and increasing needs of society, and they should be construed to encourage, rather than to embarrass, the inventive and progressive tendency of the people.

Civil Rights — Right of Privacy — Misappropriation of Likeness for Use in Video Game

2. The complaint by plaintiff, a celebrity actor, alleging privacy violations pursuant to Civil Rights Law §§ 50 and 51 based on a video game created by defendants featuring a "look-a-like" character and images allegedly misappropriating plaintiff's "portrait" was properly dismissed, as the images were not reasonably identifiable as plaintiff. There can be no appropriation of a plaintiff's likeness for commercial purposes if he or she is not recognizable from the image in question. Thus, a privacy action cannot be sustained because of the nonconsensual use of a representation without identifying features. There must be a basis for the conclusion that the person depicted is capable of being identified from the advertisement alone as the plaintiff. The character and images in the video game were not recognizable as plaintiff inasmuch as they merely were generic artistic depictions of a "twenty something" woman without any particular identifying physical characteris-

tics. The artistic renderings were indistinct, satirical representations of the style, look, and persona of a modern, beach-going young woman. Moreover, it was undisputed that defendants did not refer to plaintiff or use her name or a photograph of her in the game. The ambiguous representations were nothing more than cultural comment that was not recognizable as plaintiff and therefore was not actionable under Civil Rights Law article 5.

Civil Rights — Right of Privacy — Misappropriation of Voice for Use in Video Game

3. The complaint by plaintiff, a celebrity actor, alleging privacy violations pursuant to Civil Rights Law §§ 50 and 51 based on a video game created by defendants featuring a “look-a-like” character and allegedly, through the dialogue of the character, misappropriating plaintiff’s voice by incorporating her “voice resemblance and accent” was properly dismissed. Defendants submitted an affidavit asserting that plaintiff’s voice was not used in the game, and plaintiff implicitly conceded that the game did not use her “voice.”

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Privacy §§ 8, 26, 27, 30, 62, 63, 68, 69, 203, 207.

McKINNEY’S, Civil Rights Law art 5; §§ 50, 51.

NY JUR 2d Defamation and Privacy §§ 295, 300–302, 315, 318, 346, 347, 362.

NEW YORK LAW OF TORTS §§ 1:60–1:62.

ANNOTATION REFERENCE

See ALR Index under Privacy.

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POINTS OF COUNSEL

Monaco & Monaco, LLP, Brooklyn (*Frank A. Delle Donne* of counsel), and *The Pritchard Law Firm*, New York City (*Robert O. Pritchard* of counsel), for appellant. The amended complaint alleges a sustainable cause of action that Grand Theft Auto V’s unauthorized deliberate use of Lindsay Lohan’s recognizable image on billboards and disc packaging solely to advertise and promote their video game violates Civil Rights Law § 51. (*Messenger v Gruner + Jahr Print. & Publ.*, 94 NY2d 436; *Arrington v New York Times Co.*, 55 NY2d 433; *Binns v Vitagraph Co. of Am.*, 210 NY 51; *Spahn v Julian Messner, Inc.*, 18 NY2d 324; *Porco v Lifetime Entertainment Servs., LLC*, 147 AD3d 1253;

Campbell v Acuff-Rose Music, Inc., 510 US 569; *Wojtowicz v Delacorte Press*, 58 AD2d 45, 43 NY2d 858; *Ali v Playgirl, Inc.*, 447 F Supp 723; *Allen v National Video, Inc.*, 610 F Supp 612; *Onassis v Christian Dior-N.Y.*, 122 Misc 2d 603.)

Debevoise & Plimpton LLP, New York City (*Jeremy Feigelson*, *Jared I. Kagan* and *Alexandria P. Swain* of counsel), for respondents. I. Lindsay Lohan’s claim regarding the transition screen artworks is time-barred. (*Hoosac Val. Farmers Exch. v AG Assets*, 168 AD2d 822; *Nussenzweig v diCorcia*, 9 NY3d 184.) II. Grand Theft Auto V does not use Lindsay Lohan’s “name, portrait, picture or voice” as Civil Rights Law § 51 requires. (*Wojtowicz v Delacorte Press*, 58 AD2d 45, 43 NY2d 858; *Toscani v Hersey*, 271 App Div 445; *Cohen v Herbal Concepts*, 63 NY2d 379; *Onassis v Christian Dior-N.Y.*, 122 Misc 2d 603; *Loftus v Greenwich Lithographing Co., Inc.*, 192 App Div 251; *Allen v National Video, Inc.*, 610 F Supp 612; *Ali v Playgirl, Inc.*, 447 F Supp 723.) III. Creative content in expressive works like Grand Theft Auto V is absolutely protected, because it is not for purposes of “advertising” or “trade” as Civil Rights Law § 51 requires. (*Lohan v Perez*, 924 F Supp 2d 447; *Foster v Svenson*, 128 AD3d 150; *Altbach v Kulon*, 302 AD2d 655; *Hoepker v Kruger*, 200 F Supp 2d 340; *Costanza v Seinfeld*, 279 AD2d 255; *Stephano v News Group Publs.*, 64 NY2d 174; *Spahn v Julian Messner, Inc.*, 18 NY2d 324; *Binns v Vitagraph Co. of Am.*, 210 NY 51; *Messenger v Gruner + Jahr Print. & Publ.*, 94 NY2d 436; *Campbell v Acuff-Rose Music, Inc.*, 510 US 569.) IV. Constitutional free speech values support the statutory grounds for dismissal. (*Porco v Lifetime Entertainment Servs., LLC*, 147 AD3d 1253.) V. Rockstar North is not subject to personal jurisdiction. (*Ehrenfeld v Bin Mahfouz*, 9 NY3d 501; *McGowan v Smith*, 52 NY2d 268; *Benifits by Design Corp. v Contractor Mgt. Servs., LLC*, 75 AD3d 826; *Leonard v Gateway II, LLC*, 68 AD3d 408.)

Patrick S. Kabat, *The First Amendment and The Arts Project*, *The Spangenberg Center for Law, Technology & The Arts*, *Case Western Reserve University School of Law*, Cleveland, Ohio, for Jarryd Huntley, amicus curiae. I. Civil Rights Law § 51 does not apply to “works of fiction.” (*Hampton v Guare*, 195 AD2d 366; *Costanza v Seinfeld*, 279 AD2d 255; *University of Notre Dame Du Lac v Twentieth Century-Fox Film Corp.*, 22 AD2d 452, 15 NY2d 940; *Zacchini v Scripps-Howard Broadcasting Co.*, 433 US 562; *Hicks v Casablanca Records*, 464 F Supp 426; *Rogers v Grimaldi*, 875 F2d 994.) II. The First Amend-

ment protects “works of fiction.” (*Mutual Film Corp. v Industrial Comm’n of Ohio*, 236 US 230; *Pathe Exch., Inc. v Cobb*, 202 App Div 450; *Humiston v Universal Film Mfg. Co.*, 189 App Div 467; *Koussevitzky v Allen, Towne & Heath, Inc.*, 188 Misc 479; *Lahiri v Daily Mirror, Inc.*, 162 Misc 776; *Winters v New York*, 333 US 507; *Joseph Burstyn, Inc. v Wilson*, 343 US 495; *Molony v Boy Comics Publs., Inc.*, 277 App Div 166; *Flores v Mosler Safe Co.*, 7 NY2d 276.) III. The celebrity’s request to withdraw protections for “works of fiction” from video games should be denied. (*Sarver v Chartier*, 813 F3d 891; *Brinkley v Casablancas*, 80 AD2d 428; *Bleistein v Donaldson Lithographing Co.*, 188 US 239; *Frosch v Grosset & Dunlap*, 75 AD2d 768; *Gravano v Take-Two Interactive Software, Inc.*, 142 AD3d 776; *University of Notre Dame Du Lac v Twentieth Century-Fox Film Corp.*, 22 AD2d 452; *Hicks v Casablanca Records*, 464 F Supp 426; *Rogers v Grimaldi*, 875 F2d 994; *Messenger v Gruner + Jahr Print. & Publ.*, 94 NY2d 436; *Porco v Lifetime Entertainment Servs., LLC*, 147 AD3d 1253.)

Davis Wright Tremaine LLP, New York City (Robert D. Balin and Samuel M. Bayard of counsel), and Los Angeles, California (Kelli L. Sager of counsel), for The Motion Picture Association of America, Inc. and another, amici curiae. I. Civil Rights Law § 51 does not apply to the evocation of a celebrity’s style, personality, or life experiences in an expressive work. (*Wojtowicz v Delacorte Press*, 43 NY2d 858; *Toscani v Hersey*, 271 App Div 445; *Waters v Moore*, 70 Misc 2d 372; *Lombardo v Doyle, Dane & Bernbach*, 58 AD2d 620; *Burck v Mars, Inc.*, 571 F Supp 2d 446.) II. This Court should narrowly construe the “advertisement in disguise” and “no real relationship” doctrines to protect the creative freedom of filmmakers, television producers, and other content creators. (*Finger v Omni Publs. Intl.*, 77 NY2d 138; *Arrington v New York Times Co.*, 55 NY2d 433; *Murray v New York Mag. Co.*, 27 NY2d 406; *Rogers v Grimaldi*, 875 F2d 994; *E.S.S. Entertainment 2000, Inc. v Rock Star Videos, Inc.*, 547 F3d 1095; *Romantics v Activision Pub., Inc.*, 574 F Supp 2d 758; *TCA Tel. Corp. v McCollum*, 839 F3d 168; *Abdul-Jabbar v General Motors Corp.*, 85 F3d 407; *Beverly v Choices Women’s Med. Ctr.*, 78 NY2d 745.) III. Filmmakers, television producers, and other content creators rely on New York law and the First Amendment to protect advertising about the content of their expressive works. (*Groden v Random House, Inc.*, 61 F3d 1045; *Booth v Curtis Publ. Co.*, 15 AD2d 343, 11 NY2d 907; *Altbach v Kulon*, 302 AD2d 655; *Hoepker v Kruger*, 200 F Supp 2d 340; *Velez v VV Publ. Corp.*, 135 AD2d

47; *Namath v Sports Illustrated*, 48 AD2d 487, 39 NY2d 897; *Cher v Forum Intl., Ltd.*, 692 F2d 634; *Daly v Viacom, Inc.*, 238 F Supp 2d 1118; *Lane v Random House, Inc.*, 985 F Supp 141; *Joseph Burstyn, Inc. v Wilson*, 343 US 495.) IV. The alleged use of elements of Lindsay Lohan’s personality or life story does not create an “invented fictional biography.” (*Binns v Vitagraph Co. of Am.*, 210 NY 51; *Spahn v Julian Messner, Inc.*, 18 NY2d 324, 387 US 239, 21 NY2d 124; *Messenger v Gruner + Jahr Print. & Publ.*, 94 NY2d 436; *Hicks v Casablanca Records*, 464 F Supp 426; *Bartnicki v Vopper*, 532 US 514; *United States v Stevens*, 559 US 460; *Central Hudson Gas & Elec. Corp. v Public Serv. Comm’n of N. Y.*, 447 US 557; *Sorrell v IMS Health Inc.*, 564 US 552; *Howell v New York Post Co.*, 81 NY2d 115; *Roberson v Rochester Folding Box Co.*, 171 NY 538.)

Jenner & Block LLP, Washington, D.C. (*Kenneth L. Dorosh* and *Devi M. Rao* of counsel), and *Stanley Pierre-Louis, Entertainment Software Association*, Washington, D.C., for Entertainment Software Association, amicus curiae. I. Video games are a modern form of artistic expression. II. The First Amendment protects video games because they are a form of artistic expression. (*Brown v Entertainment Merchants Assn.*, 564 US 786; *E.S.S. Entertainment 2000, Inc. v Rock Star Videos, Inc.*, 547 F3d 1095; *Dillinger, LLC v Electronic Arts Inc.*, 795 F Supp 2d 829; *American Amusement Mach. Assn. v Kendrick*, 244 F3d 572; *Winters v New York*, 333 US 507; *Joseph Burstyn, Inc. v Wilson*, 343 US 495; *United States v Playboy Entertainment Group, Inc.*, 529 US 803; *People ex rel. Arcara v Cloud Books*, 68 NY2d 553.) III. This Court should interpret “advertising” and “trade” under Civil Rights Law § 51 so as not to apply to constitutionally-protected artistic expression. (*Roberson v Rochester Folding Box Co.*, 171 NY 538; *Arrington v New York Times Co.*, 55 NY2d 433; *Foster v Svenson*, 128 AD3d 150; *Messenger v Gruner + Jahr Print. & Publ.*, 94 NY2d 436; *Rand v Hearst Corp.*, 31 AD2d 406, 26 NY2d 806; *Groden v Random House, Inc.*, 61 F3d 1045; *Lohan v Perez*, 924 F Supp 2d 447; *Ann-Margret v High Socy. Mag., Inc.*, 498 F Supp 401; *Time, Inc. v Hill*, 385 US 374; *Joseph Burstyn, Inc. v Wilson*, 343 US 495.)

Dentons US LLP, New York City (*Michael A. Bamberger* and *Richard M. Zuckerman* of counsel), for American Booksellers Association and others, amici curiae. I. Plaintiff proposes an unwarranted expansion of New York’s limited statutory right of publicity. (*Messenger v Gruner + Jahr Print. & Publ.*, 94

NY2d 436; *Freihofer v Hearst Corp.*, 65 NY2d 135; *Wojtowicz v Delacorte Press*, 43 NY2d 858; *Howell v New York Post Co.*, 81 NY2d 115; *Gravano v Take-Two Interactive Software, Inc.*, 142 AD3d 776; *Costanza v Seinfeld*, 279 AD2d 255; *Hampton v Guare*, 195 AD2d 366; *Foster v Svenson*, 128 AD3d 150; *Hoepker v Kruger*, 200 F Supp 2d 340; *Altbach v Kulon*, 302 AD2d 655.) II. Plaintiff's proposed expansion of Civil Rights Law § 51 would substantially chill amici curiae's First Amendment protected speech. (*Nussenzweig v diCorcia*, 38 AD3d 339; *Immuno AG. v Moor-Jankowski*, 77 NY2d 235.)

Hartman & Winnicki, P.C., Ridgewood, New Jersey (*Daniel L. Schmutter* of counsel), and *Eugene Volokh, Scott & Cyan Banister First Amendment Clinic, UCLA School of Law*, Los Angeles, California, for Eric M. Freedman and others, amici curiae. I. Authors have long based characters on real people, and have a constitutional right to do so. (*Cardtoons, L.C. v Major League Baseball Players Assn.*, 95 F3d 959; *ETW Corp. v Jireh Pub., Inc.*, 332 F3d 915.) II. Video games are as protected by the First Amendment as are other expressive works. (*Brown v Entertainment Merchants Assn.*, 564 US 786; *American Amusement Mach. Assn. v Kendrick*, 244 F3d 572.) III. The right of privacy in New York is generally limited to commercial advertising. (*Foster v Svenson*, 128 AD3d 150; *Frosch v Grosset & Dunlap*, 75 AD2d 768; *Messenger v Gruner + Jahr Print. & Publ.*, 94 NY2d 436; *Freihofer v Hearst Corp.*, 65 NY2d 135; *Roberson v Rochester Folding Box Co.*, 171 NY 538; *Arrington v New York Times Co.*, 55 NY2d 433; *Wojtowicz v Delacorte Press*, 58 AD2d 45, 43 NY2d 858; *Hampton v Guare*, 195 AD2d 366; *Costanza v Seinfeld*, 279 AD2d 255; *Hicks v Casablanca Records*, 464 F Supp 426.) IV. Only explicit use of a person's name or likeness is covered by the privacy statute. (*Allen v National Video, Inc.*, 610 F Supp 612; *Wojtowicz v Delacorte Press*, 43 NY2d 858; *Greene v Paramount Pictures Corp.*, 138 F Supp 3d 226.) V. This Court should continue to narrowly construe the right of privacy statute to avoid First Amendment problems. (*Edward J. DeBartolo Corp. v Florida Gulf Coast Building & Constr. Trades Council*, 485 US 568; *C.B.C. Distrib. & Mktg., Inc. v Major League Baseball Advanced Media, L.P.*, 505 F3d 818; *Hart v Electronic Arts, Inc.*, 717 F3d 141; *In re NCAA Student-Athlete Name & Likeness Licensing Litig.*, 724 F3d 1268; *Davis v Electronic Arts Inc.*, 775 F3d 1172; *Hilton v Hallmark Cards*, 599 F3d 894; *ETW Corp. v Jireh Pub., Inc.*, 332 F3d 915; *Lohan v Perez*, 924 F Supp 2d 447; *Harper & Row, Publishers, Inc. v Nation Enterprises*, 471 US 539; *Hannegan v Esquire, Inc.*, 327 US 146.)

OPINION OF THE COURT

FAHEY, J.

The primary questions on this appeal are whether an avatar (that is, a graphical representation of a person, in a video game or like media) may constitute a “portrait” within the meaning of Civil Rights Law §§ 50 and 51 and, if so, whether the images in question in the video game central to this matter are recognizable as plaintiff. We conclude a computer generated image may constitute a portrait within the meaning of that law. We also conclude, however, that the subject images are not recognizable as plaintiff, and that the amended complaint, which contains four causes of action for violation of privacy pursuant to Civil Rights Law §§ 50 and 51, was properly dismissed.

Facts¹

Defendants develop, sell, market, and distribute video games, including the commercially successful “Grand Theft Auto V” (GTAV) game. GTAV is an action-adventure game that is set in a fictional state called “San Andreas” that, according to the vice-president for quality assurance of defendant Rockstar Games, Inc. (Rockstar), is intended to evoke Southern California. GTAV’s plot occurs in and around a fictional city called “Los Santos,” which in turn is intended to evoke Los Angeles. In addition to a 50-hour principal storyline, GTAV contains approximately 100 hours of supplementary game play containing “random events” that a player may choose to explore as he or she proceeds through the game’s main plot.

One of those random events is relevant to this appeal. In what defendants characterize as the “Escape Paparazzi” scene in GTAV, the player encounters a character named “Lacey Jonas” hiding from paparazzi in an alley. To the extent the player chooses to help her escape those photographers, Jonas enters the player’s automobile before describing herself as an “actress slash singer” and the “voice of a generation.” Jonas also characterizes herself as “really famous,” and the player’s character recognizes “that Jonas has starred in romantic comedies and a cheerleader dance-off movie.”

1. Inasmuch as this appeal arises from defendants’ motion to dismiss the amended complaint, we must, among other things, “accept as true the facts alleged in the [amended] complaint and any submissions in opposition to the dismissal [application]” (511 W. 232nd Owners Corp. v Jennifer Realty Co., 98 NY2d 144, 151-152 [2002]).

Before the GTAV storyline may proceed to any random events, including the “Escape Paparazzi” scene, the player must view what defendants refer to as “transition screens,” which “contain artwork that appears briefly on the user’s screen while the game content [loads] into the game console’s memory.” Two “screens” from GTAV are relevant to this appeal. One such screen contains an image (the “Stop and Frisk” image) of a blonde woman who is clad in denim shorts, a fedora, necklaces, large sunglasses, and a white T-shirt while being frisked by a female police officer. The second such screen contains an image (the “Beach Weather” image) wherein the same blonde woman is depicted wearing a red bikini and bracelets, taking a “selfie” with her cell phone, and displaying the peace sign with one of her hands.

Defendants purportedly released GTAV for the PlayStation and Xbox 360 video game consoles on or about September 17, 2013. Through that release, copies of GTAV were distributed to and sold by numerous domestic and foreign retailers, including retailers within New York State. To advertise the game prior to its release, defendants allegedly used the “Stop and Frisk” and “Beach Weather” images on various promotional materials, including billboards. Defendants also used the “Beach Weather” image on the packaging for the GTAV, and both the “Beach Weather” and “Stop and Frisk” images on video game discs.

According to plaintiff, who describes herself as a figure “recognized in social media” and as “a celebrity actor . . . who has been regularly depicted in television, tabloids, blogs, movies, fashion related magazines, talk shows and theatre for the past 15 . . . years,” the Jonas character is her “look-a-like” and misappropriates her “portrait[] and voice.” Plaintiff also believes that the “Stop and Frisk” and “Beach Weather” images each cumulatively evoke her “images, portrait[,] and persona.”

Inasmuch as she did not provide written consent for the use of what she characterizes as her portrait and her voice in GTAV, plaintiff commenced this action seeking, among other things, compensatory and punitive damages for invasion of privacy in violation of Civil Rights Law §§ 50 and 51. In lieu of answering, defendants moved to dismiss the amended complaint for failure to state a cause of action (*see* CPLR 3211 [a] [7]) and based on, among other things, documentary evidence (*see* CPLR 3211 [a] [1]). Supreme Court denied the part of the motion seeking dismissal of the amended complaint (2016 NY Slip Op 32866[U] [2016]) but, on appeal, the Appellate Division modi-

fied that order and granted that application to the extent it sought dismissal of the operative pleading (142 AD3d 776, 777 [1st Dept 2016]). We subsequently granted plaintiff leave to appeal to this Court (28 NY3d 915 [2017]), and we now affirm the Appellate Division order insofar as appealed from.

The Statutory Right of Privacy

“Historically, New York common law did not recognize a cause of action for invasion of privacy” (*Shields v Gross*, 58 NY2d 338, 344 [1983]). That point was articulated in *Roberson v Rochester Folding Box Co.* (171 NY 538 [1902]), which arose from the unauthorized use of approximately 25,000 reproductions of a photograph of the infant plaintiff to promote the defendant’s flour (*see id.* at 542). In dismissing the complaint in that matter, which sounded in the breach of a “so-called right of privacy” (*id.* at 544), we “broadly denied the existence of such a cause of action under New York common law” (*Arrington v New York Times Co.*, 55 NY2d 433, 439 [1982]; *see Roberson*, 171 NY at 556).

In response to *Roberson* (171 NY 538), the legislature codified “a limited statutory right of privacy” in article 5 of the Civil Rights Law (*Messenger v Gruner + Jahr Print. & Publ.*, 94 NY2d 436, 441 [2000], *resolved issue certified* 208 F3d 122 [2d Cir 2000], *cert denied* 531 US 818 [2000]). Civil Rights Law § 50 “makes it a misdemeanor to use a living person’s ‘name, portrait or picture’ for advertising or trade purposes ‘without having first obtained the written consent of such person, or if a minor of his or her parent or guardian’ ” (*Messenger*, 94 NY2d at 441, quoting Civil Rights Law § 50). Civil Rights Law § 51, as amended in 1921 (L 1921, ch 501, § 1), “adds the civil damages teeth” (*Messenger*, 94 NY2d at 449 [Bellacosa, J., dissenting]) and “makes a violation of section 50 actionable in a civil suit” (*Arrington*, 55 NY2d at 438 n 1). As relevant here, Civil Rights Law § 51 specifically provides that

“[a]ny person whose name, portrait, picture or voice is used within this state for advertising purposes or for the purposes of trade without the written consent first obtained as . . . provided [in Civil Rights Law § 50] may maintain an equitable action . . . to prevent and restrain the use thereof; and may also sue and recover damages for any injuries sustained by reason of such use”

In point of fact, Civil Rights Law §§ 50 and 51 “were drafted narrowly to encompass only the commercial use of an individual’s name or likeness and no more” (*Arrington*, 55 NY2d at 439). Based on that slender legislative intent, courts determining questions of the application of Civil Rights Law § 51 have limited the remedial use of that statute. By way of example, we have deemed non-commercial—and therefore non-actionable—the use of a person’s likeness with respect to “newsworthy events or matters of public interest” (*Howell v New York Post Co.*, 81 NY2d 115, 123 [1993]; see *Finger v Omni Publs. Intl.*, 77 NY2d 138, 141-142 [1990]; *Stephano v News Group Publs.*, 64 NY2d 174, 184 [1984]), and other courts have explicitly concluded that works of humor (see *Onassis v Christian Dior-N.Y.*, 122 Misc 2d 603, 614 [Sup Ct, NY County 1984], *affd* 110 AD2d 1095 [1st Dept 1985]), art (see *Altbach v Kulon*, 302 AD2d 655, 658 [3d Dept 2003]), fiction, and satire (see *Hampton v Guare*, 195 AD2d 366, 366 [1st Dept 1993], *lv denied* 82 NY2d 659 [1993]; see also *University of Notre Dame Du Lac v Twentieth Century-Fox Film Corp.*, 22 AD2d 452 [1st Dept 1965], *affd on op below* 15 NY2d 940 [1965]) do not come within the ambit of section 51 (see generally *Messenger*, 94 NY2d at 446). Indeed, at bottom, courts have cabined section 51 “to avoid any conflict with the free dissemination of thoughts, ideas, newsworthy events, and matters of public interest’ guaranteed by the First Amendment” (*Ann-Margret v High Socy. Mag., Inc.*, 498 F Supp 401, 404 [SD NY 1980], quoting *Time, Inc. v Hill*, 385 US 374, 382 [1967]; see *Howell*, 81 NY2d at 123) because “freedom of speech and the press . . . transcends the right to privacy” (*Namath v Sports Illustrated*, 80 Misc 2d 531, 535 [Sup Ct, NY County 1975], *affd* 48 AD2d 487 [1st Dept 1975], *affd* 39 NY2d 897 [1976]).

Analysis

Turning to the merits, based on the language of the statute, “[t]o prevail on a . . . right to privacy claim pursuant to [Civil Rights Law § 51], a plaintiff must prove: (1) use of plaintiff’s name, portrait, picture or voice (2) for advertising purposes or for the purposes of trade (3) without consent and (4) within the state of New York” (*Lohan v Perez*, 924 F Supp 2d 447, 454 [ED NY 2013] [internal quotation marks omitted]). Our review turns on the “portrait” element of that statute and, as an initial matter, we conclude that an avatar (that is, a graphical representation of a person, in a video game or like media) may con-

stitute a “portrait” within the meaning of article 5 of the Civil Rights Law.

The affirmative answer to that “avatar” inquiry requires us to proceed to the issue whether the images in question in GTAV are recognizable as plaintiff. Applying the settled rules applicable to this motion to dismiss (*see Leon v Martinez*, 84 NY2d 83, 87-88 [1994]), we conclude that the amended complaint was properly dismissed because the artistic renderings are indistinct, satirical representations of the style, look, and persona of a modern, beach-going young woman that are not reasonably identifiable as plaintiff (*see Cohen v Herbal Concepts*, 63 NY2d 379, 384 [1984]). We address each of those controversies separately for ease of review.

The Avatar Question

To be sure, “‘[t]he language of a statute is generally construed according to its natural and most obvious sense . . . in accordance with its ordinary and accepted meaning, unless the Legislature by definition or from the rest of the context of the statute provides a special meaning’” (*Samiento v World Yacht Inc.*, 10 NY3d 70, 77-78 [2008], quoting McKinney’s Cons Laws of NY, Book 1, Statutes § 94 at 191-194 [1971 ed]). Civil Rights Law § 51 was enacted in 1903 (*see* L 1903, ch 132, § 2), at which time digital technology was uninvented. To that end, a reasonable mind could question how the term “portrait,” as incorporated in the original and present forms of Civil Rights Law § 51, could embrace the imagery in question.

The appropriate course, however, is to employ the theory of statutory construction that general terms encompass future developments and technological advancements. In the context of statutory construction, this Court has observed that “general legislative enactments are mindful of the growth and increasing needs of society, and they should be construed to encourage, rather than to embarrass[,] the inventive and progressive tendency of the people” (*Hudson Riv. Tel. Co. v Watervliet Turnpike & Ry. Co.*, 135 NY 393, 403-404 [1892]; *see* McKinney’s Cons Laws of NY, Book 1, Statutes § 93 [“statutes framed in general terms ordinarily apply to cases and subjects within their terms subsequently arising”]).

[1] Operating under that standard, we conclude that an avatar may constitute a “portrait” within the meaning of Civil Rights Law article 5. We have held that the term “portrait” embraces both photographic and artistic reproductions of a

person's likeness (see *Cohen*, 63 NY2d at 384; see also *Binns v Vitagraph Co. of Am.*, 210 NY 51, 57 [1913] ["A picture within the meaning of (Civil Rights Law article 5) is not necessarily a photograph of the living person, but includes any representation of such person"]; see generally *Young v Greneker Studios, Inc.*, 175 Misc 1027, 1028 [Sup Ct, NY County 1941] ["The words 'picture' and 'portrait' are broad enough to include any representation, whether by photograph, painting or sculpture"]). Federal courts share the view that "any recognizable likeness, not just an actual photograph, may qualify as a 'portrait or picture'" (*Burck v Mars, Inc.*, 571 F Supp 2d 446, 451 [SD NY 2008], quoting *Allen v National Video, Inc.*, 610 F Supp 612, 622 [SD NY 1985]), having ruled that a composite photograph and drawing (*Ali v Playgirl, Inc.*, 447 F Supp 723, 726 [SD NY 1978]) and a cartoon (*Allen*, 610 F Supp at 622) may trigger the protections of Civil Rights Law article 5. In view of the proliferation of information technology and digital communication, we conclude that a graphical representation in a video game or like media may constitute a "portrait" within the meaning of the Civil Rights Law.

The Portrait Question

Even applying the deferential rules germane to a motion to dismiss, we nevertheless conclude that the images in question do not constitute a "portrait" of plaintiff, and that the amended complaint therefore was properly dismissed (see generally *Leon*, 84 NY2d at 87-88).

"Manifestly, there can be no appropriation of [a] plaintiff's [likeness] for commercial purposes if he or she is not recognizable from the [image in question]" (*Cohen*, 63 NY2d at 384). It follows that "a privacy action [cannot] be sustained . . . because of the nonconsensual use of a [representation] without identifying features" (*id.*). Whether an image or avatar is a "portrait" because it presents a "recognizable likeness" typically is a question for a trier of fact (*id.*). Nevertheless, before a factfinder can decide that question, there must be a basis for it to conclude that the person depicted "is capable of being identified from the advertisement alone" as plaintiff (*id.*). That legal determination will depend on the court's evaluation of the "quality and quantity of the identifiable characteristics" present in the purported portrait (*id.*).

[2, 3] Here, the Jonas character simply is not recognizable as plaintiff inasmuch as it merely is a generic artistic depiction

of a “twenty something” woman without any particular identifying physical characteristics. The analysis with respect to the Beach Weather and Stop and Frisk illustrations is the same. Those artistic renderings are indistinct, satirical representations of the style, look, and persona of a modern, beach-going young woman. It is undisputed that defendants did not refer to plaintiff in GTAV, did not use her name in GTAV, and did not use a photograph of her in that game (*see* 142 AD3d at 776-777, citing *Costanza v Seinfeld*, 279 AD2d 255, 255 [1st Dept 2001]). Moreover, the ambiguous representations in question are nothing more than cultural comment that is not recognizable as plaintiff and therefore is not actionable under Civil Rights Law article 5 (*see generally Cohen*, 63 NY2d at 384).²

In view of our determination, we do not address plaintiff’s remaining contention with respect to the “advertising” and “trade” elements of Civil Rights Law § 51. We also do not address the alternative contention of defendant Rockstar North in support of dismissal of the amended complaint as against it.

Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs.

Chief Judge DiFIORE and Judges RIVERA, STEIN, GARCIA and FEINMAN concur; Judge WILSON taking no part.

Order, insofar as appealed from, affirmed, with costs.

2. [3] As noted, plaintiff also alleges in the amended complaint that, through the dialogue of GTAV’s Jonas character, defendants have misappropriated her voice. Defendants submitted an affidavit asserting that her voice was not used in GTAV. In response, plaintiff did not dispute this fact but, rather, claimed that GTAV incorporated her “voice resemblance and accent.” Before this Court, plaintiff again implicitly concedes that GTAV did not use her “voice.” Accordingly, the amended complaint was also properly dismissed with respect to that claim.

[97 NE3d 386, 73 NYS3d 777]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TERI W., Appellant.

Argued February 14, 2018; decided March 29, 2018

SUMMARY

APPEAL, by permission of the Chief Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered September 29, 2016. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Rena K. Uviller, J.), which had (1) convicted defendant, upon her plea of guilty, of sexual abuse in the first degree; (2) adjudicated her a youthful offender; and (3) sentenced her to a term of 10 years' probation.

People v Teri W., 142 AD3d 924, affirmed.

HEADNOTE

Crimes — Sentence — Youthful Offender — Period of Probation for Felony Sex Offense

In the prosecution of defendant, who was adjudicated a youthful offender upon her plea of guilty to one count of sexual abuse in the first degree, a class D felony sex offense, the sentence of 10 years' probation imposed on her was legal. Penal Law § 60.02 (2) provides that the sentence for a youthful offender adjudication replacing a felony conviction must be a sentence "authorized to be imposed upon a person convicted of a class E felony." The version of Penal Law § 65.00 (3) (a) (i) in effect at the time defendant committed her offense provided for a period of probation of five years for undesignated class E felonies; however, sexual assault felonies were excepted from that five-year period. Instead, section 65.00 (3) (a) (iii) provided that, "[f]or a felony sexual assault, the period of probation shall be ten years." While the youthful offender statute did not differentiate among class E felonies when it was enacted in 1971, the legislature, when it later carved out various designations and mandated sentences for class E violent, sex and drug offenses, did not make an exception for youthful offenders. When the legislature amends a particular statute, it is presumed to act with knowledge of the effect of that amendment on the interpretation of other statutes. Under section 65.00 (3), the definition of "sexual assault" includes sex offenses that are class E felonies, and, thus, a probation period of 10 years for a felony sexual assault is an authorized sentence under section 60.02 (2). Nor does the language requiring a 10-year probationary period conflict facially with any other statutory provision. Further, the legality of the sentence was compatible with the fresh start provided by the youthful offender statute as defendant would not be registered as a sex offender and was sentenced as a class E felon despite pleading guilty to a class D felony, and the trial judge could terminate the period of probation sooner upon a finding of certain factors.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Constitutional Law §§ 703, 725; AM JUR 2d

Criminal Law § 819; AM JUR 2d Juvenile Courts and Delinquent and Dependent Children § 32, Pardon and Parole §§ 95–96.

CARMODY-WAIT 2d Juvenile, Adolescent, and Youthful Offenders §§ 206:55–206:61, 206:67, 206:69.

LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 26.1, 26.9.

McKINNEY'S, Penal Law §§ 60.02 (2); 65.00 (3) (a) (iii).

NY JUR 2d Criminal Law: Procedure §§ 1846, 1848–1852, 1856, 1864, 3106–3107.

ANNOTATION REFERENCE

See ALR Index under Children and Minors; Conviction; Criminal Law; Juvenile Courts and Delinquent Children; Sentence and Punishment; Sexual Relations and Offenses.

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POINTS OF COUNSEL

Seymour W. James, Jr., The Legal Aid Society, New York City (Lawrence T. Hausman of counsel), for appellant. Since a defendant whose felony conviction is substituted by a youthful offender adjudication must be sentenced to an unclassified E felony sentence, regardless of the level of the felony or the classification of the felony that is being substituted, the imposition of a 10-year probationary term—the sentence for adult felony convictions that are classified as sex offenses—was unlawful. (*Matter of United Parcel Serv., Inc. v Tax Appeals Trib. of the State of N.Y.*, 98 AD3d 796; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *People v Green*, 68 NY2d 151; *People v Tychanski*, 78 NY2d 909; *Pajak v Pajak*, 56 NY2d 394; *People v Rudolph*, 21 NY3d 497; *People v Jorge D.*, 109 AD3d 16; *People v Tyler E.*, 75 AD3d 666; *People v Cory T.*, 59 AD3d 1063.)

Cyrus R. Vance, Jr., District Attorney, New York City (Lee M. Pollack and Vincent Rivelles of counsel), for respondent. The Penal Law requires a 10-year sentence of probation for a felony sexual assault; defendant's youthful offender status does not change this requirement. (*People v Gray*, 2 AD3d 275; *People v Torrez*, 5 AD3d 405; *People v Brandon T.*, 19 AD3d 883; *Matter*

of *State Farm Mut. Auto. Ins. Co. v Fitzgerald*, 25 NY3d 799; *Palladino v CNY Centro, Inc.*, 23 NY3d 140; *People v Hobson*, 39 NY2d 479; *People v Williams*, 19 NY3d 100; *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *Easley v New York State Thruway Auth.*, 1 NY2d 374; *Brownley v Doar*, 12 NY3d 33.)

OPINION OF THE COURT

WILSON, J.

Late one evening, when Teri W. was 17 years old, she and a man she knew sexually assaulted a 15-year-old girl. Teri W. pleaded guilty to one count of sexual abuse in the first degree, a class D felony sex offense. Pursuant to CPL 720.20, upon Supreme Court's determination that "the interest of justice would be served by relieving [her] from the onus of a criminal record," she was adjudged to be a youthful offender, meaning that her "conviction [was] deemed vacated and replaced by a youthful offender finding; and [that] the court must sentence the defendant pursuant to section 60.02 of the penal law" (CPL 720.20 [1] [a]; [3]). Supreme Court sentenced her to 10 years' probation. Teri W. appealed, contending that her 10-year probation sentence illegally exceeded the five-year maximum for undesignated class E felonies. The Appellate Division held her sentence was legal (142 AD3d 924 [1st Dept 2016]). We now affirm.

Penal Law § 60.02 (2) provides that the sentence for a youthful offender adjudication replacing a felony conviction must be a sentence "authorized to be imposed upon a person convicted of a class E felony." Teri W. argues that "class E felony" here refers to an undesignated E felony, and that her probation term must therefore be no more than five years under Penal Law § 65.00 (3) (a) (i). The version of that statute in effect when Teri W. committed her offense provided that

"[f]or a felony, other than a class A-II felony defined in article two hundred twenty of this chapter or the class B felony defined in section 220.48 of this chapter, or any other class B felony defined in article two hundred twenty of this chapter committed by a second felony drug offender, or a sexual assault, the period of probation shall be five years"

(former Penal Law § 65.00 [3] [a] [i] [emphasis added]).¹

Pursuant to the exception above, “[f]or a felony sexual assault, the period of probation shall be ten years” (Penal Law § 65.00 [3] [a] [iii]).

When the youthful offender statute was enacted in 1971, the Penal Law did not differentiate among the class E felonies. The legislature over the decades has carved out various designations, and mandated determinate prison sentences for class E felony violent, sex and drug offenses (Penal Law §§ 70.02 [2] [c]; 70.80 [4]; 70.00 [1]). The legislature has also differentiated terms of probation by type of offense and, as relevant here, enacted Penal Law § 65.00 (3) (a) (iii), lengthening the term of probation for misdemeanor and felony sex offenses. Teri W.’s argument is that the legislature, when creating the differentiation among class E felonies—and specifically when establishing a 10-year probationary sentence for felony sex offenders—did not intend to change the probationary period for youthful offenders who committed a felony sex offense, but meant to retain the five-year period applicable to undesignated class E felonies. Addressing her argument, the Appellate Division relied on its decision in *People v Gray* (2 AD3d 275, 275 [1st Dept 2003]), in which it held that the 10-year probation term for felony sex offenders did not include an exception for youthful offenders (*see* 142 AD3d at 925; Penal Law § 65.00 [3] [a] [iii]). Other departments of the Appellate Division have reached the same conclusion (*see People v Brandon T.*, 19 AD3d 883 [3d Dept 2005]; *People v Torrez*, 5 AD3d 405 [2d Dept 2004]).

“As the clearest indicator of legislative intent is the statutory text, the starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof” (*People v Golo*, 26 NY3d 358, 361 [2015] [citation omitted]). Penal Law § 60.02 (2) requires that, in the case of a felony youthful offender, “the court must impose a sentence authorized to be imposed upon a person convicted of a class E felony.” Penal Law § 65.00 in turn indicates that sentences of probation should be considered in accordance with “the nature and circumstances of the crime and . . . the history, character and condition of the defendant,” and the statute prescribes

1. In 2013, the provision was amended to permit a term of three, four or five years (Penal Law § 65.00 [3]; L 2013, ch 556, § 1).

specific probationary terms according to a variety of factors, including class of felony, designation of such felonies as violent, sex or drug, or whether the crime is a misdemeanor (Penal Law § 65.00 [1] [b]; [3]). “Sexual assault” in that statute is defined as

“an offense defined in article one hundred thirty [sex offenses generally, which includes A, B, C, D and E felonies as well as misdemeanors] or two hundred sixty-three [sexual performance by a child, which includes B, C, D and E felonies], or in section 255.25, 255.26 or 255.27 of this chapter [incest offenses, which are E, D and B felonies, respectively], or an attempt to commit any of the foregoing offenses” (Penal Law § 65.00 [3]).

Because that definition includes sex offenses that are class E felonies, a probation period of 10 years for a felony sexual assault is a sentence “authorized to be imposed upon a person convicted of a class E felony” (Penal Law § 60.02 [2]). Concorantly, Penal Law § 65.00 (3) (a) (i) exempts “sexual assaults” from the shorter probationary period applicable to non-sexual assault class E felonies.

Teri W. turns for support to the Third Department’s decision in *People v Jorge D.* (109 AD3d 16 [2013]). There, the Appellate Division held that although, subsequent to the adoption of the youthful offender statute, the legislature classified certain E felonies (violent, drug and sex offenses) as requiring determinate sentences, those provisions could not be applied to youthful offenders, because the youthful offender statute specifically contemplates indeterminate sentences of imprisonment for youthful offenders (*id.* at 19; *see* CPL 720.20 [1] [a]). Thus, to reconcile two facially contradictory statutory provisions, the Third Department concluded that the more specific statute concerning youthful offenders would prevail. The rule of lenity would suggest the same result (*People v Green*, 68 NY2d 151, 153 [1986]). In any event, the question of which sentence would apply for a term of imprisonment is not presently before us. Here, the language requiring a 10-year probation period in Penal Law § 65.00 (3) (a) (iii) does not conflict facially with any other statutory provision.

At most, Teri W.’s arguments suggest that the legislature, when classifying E felonies, may not have been thinking about the effect of the classifications on youthful offender sentencing. However, even if it were clear that the legislature had not

contemplated the effect of its felony classifications on youthful offenders, and even if the lengthened term of probation for sexual assaults might not seem to be fully congruous with the policies underlying the youthful offender statute, neither of those propositions tells us what the legislature would have done. Instead, we are left with what it has done, which, as regards this case, is a clear statement that individuals who commit sexual assaults be subjected to longer terms of probation than other, undesignated class E felons. When the legislature amends a particular statute, it is presumed to act with knowledge of the effect of that amendment on the interpretation of other statutes (*see generally People v Williams*, 19 NY3d 100, 104 [2012]).²

Teri W. similarly objects that imposing 10 years' probation on youthful offenders convicted of a sex offense is a substantially longer term than, for example, the probationary term a youthful offender convicted of a class B violent non-sexual assault felony would receive. Again, this demonstrates the legislature's concern that sex offenders be treated differently, but does not establish that the legislature meant to exempt youthful offenders who have committed a felony sex offense from the 10-year term statutorily required for all felony sex offenders sentenced to probation.

Because Teri W.'s argument fundamentally rests on the colorable but unproven proposition that the legislature inadvertently and unfairly imposed a 10-year probationary term on youthful sex offenders, it is worth pointing out that our decision is fully compatible with the youthful offender statute. First, as part of the fresh start provided by the youthful offender statute, Teri W. will not be registered as a sex offender (*see* Correction Law § 168-a [1]; CPL 720.20 [3]). Second, although Teri W. pleaded guilty to a class D felony, the legislature provided that all youthful offenders will be sentenced as if they committed a class E felony (Penal Law § 60.02 [2]), which generally carries a more lenient sentence than higher classes of felonies. Third, a trial judge has the ability to "terminate[]

2. Moreover, Teri W.'s position, as presented at oral argument, is not that she must be sentenced to a class E felony probation term as it was defined at the time the youthful offender statute was enacted in 1971, but that if the legislature changes the sentences for class E felonies, those changes would apply to youthful offenders. That is, in effect, what the legislature did when it classified certain E felonies based on the nature of the offense.

[the period of probation] sooner in accordance with the criminal procedure law” (Penal Law § 65.00 [3]), if the court is satisfied that

“(i) the probationer is no longer in need of such guidance, training or other assistance which would otherwise be administered through probation supervision;

“(ii) the probationer has diligently complied with the terms and conditions of the sentence of probation; and

“(iii) the termination of the sentence of probation is not adverse to the protection of the public” (CPL 410.90 [3] [a]).

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge DiFIORE and Judges RIVERA, STEIN, FAHEY, GARCIA and FEINMAN concur.

Order affirmed.

[97 NE3d 711, 74 NYS3d 162]

GILBANE BUILDING CO./TDX CONSTRUCTION CORP. et al., Appellants, v ST. PAUL FIRE AND MARINE INSURANCE COMPANY et al., Defendants, and LIBERTY INSURANCE UNDERWRITERS, Respondent.

Argued February 7, 2018; decided March 27, 2018

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered September 15, 2016. The Appellate Division (1) reversed, on the law, an order of the Supreme Court, New York County (Anil C. Singh, J.; op 2014 NY Slip Op 33766[U] [2014]), which had (a) denied defendant Liberty Insurance Underwriters's motion for summary judgment declaring that plaintiff Gilbane Building Co./TDX Construction Corp., a joint venture, is not an additional insured under the policy issued by Liberty to nonparty Samson Construction Company; and (b) declared that plaintiff is an additional insured under the policy; (2) granted the motion of defendant Liberty Insurance Underwriters; (3) vacated the declaration; and (4) directed the clerk to enter judgment declaring that plaintiff Gilbane Building Co./TDX Construction Corp., a joint venture, is not an additional insured under the subject policy. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the [o]rder of the Supreme Court, properly made?"

Gilbane Bldg. Co./TDX Constr. Corp. v St. Paul Fire & Mar. Ins. Co., 143 AD3d 146, affirmed.

HEADNOTE

Insurance — Construction of Policy — Additional Insured Endorsement

Defendant insurer was not obligated to defend and indemnify plaintiff construction manager under the general liability insurance policy issued to nonparty insured in connection with a building construction project, where plaintiff was not an additional insured under the policy because it had no written contract with the insured denominating it an additional insured. The "Additional Insured—By Written Contract" provision "include[d] as an insured any person or organization with whom [the insured had] agreed to add as an additional insured by written contract." The endorsement was facially clear and did not provide for coverage unless plaintiff was an organization "with whom" the insured had a written contract. Defendant and the insured included the preposition "with" in the contract between them, and it had to be given its ordinary meaning. The "with" could only mean that the written contract must have been "with" the additional insured.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Insurance §§ 660, 684.

COUCH ON INSURANCE (3d ed) §§ 21:21, 40:26, 40:29–40:30, 126:7, 201:67.

NY JUR 2d Insurance §§ 718, 1627–1628, 1642.

ANNOTATION REFERENCE

Risks covered by contractor's liability policy. 156 ALR 1285.

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POINTS OF COUNSEL

Saxe Doernberger & Vita, P.C., Trumbull, Connecticut (*Richard W. Brown* of counsel), for appellants. I. The Appellate Division decision conflicts with the plain meaning of the Liberty Insurance Underwriters, Inc. additional insured endorsement, well-settled rules of policy interpretation and the parties' reasonable expectations. (*White v Continental Cas. Co.*, 9 NY3d 264; *Sperling v Great Am. Indem. Co.*, 7 NY2d 442; *AB Green Gansevoort, LLC v Peter Scalamandre & Sons, Inc.*, 102 AD3d 425; *Linarello v City Univ. of N.Y.*, 6 AD3d 192; *American Home Assur. Co. v Zurich Ins. Co.*, 26 Misc 3d 1223[A], 2010 NY Slip Op 50237[U]; *Murnane Bldg. Contrs., Inc. v Zurich Am. Ins. Co.*, 33 Misc 3d 1215[A], 2011 NY Slip Op 51943[U], 107 AD3d 674; *Cragg v Allstate Indem. Corp.*, 17 NY3d 118; *Ace Wire & Cable Co. v Aetna Cas. & Sur. Co.*, 60 NY2d 390.) II. The Liberty Insurance Underwriters, Inc. additional insured endorsement is susceptible to more than one reasonable interpretation, and is therefore ambiguous and must be construed against Liberty and in favor of coverage. (*Brad H. v City of New York*, 17 NY3d 180; *State of New York v Home Indem. Co.*, 66 NY2d 669; *Breed v Insurance Co. of N. Am.*, 46 NY2d 351; *AB Green Gansevoort, LLC v Peter Scalamandre & Sons, Inc.*, 102 AD3d 425; *Linarello v City Univ. of N.Y.*, 6 AD3d 192; *Murnane Bldg. Contrs., Inc. v Zurich Am. Ins. Co.*, 33 Misc 3d 1215[A], 2011 NY Slip Op 51943[U], 107 AD3d 674; *Hartford Acc. & Indem. Co. v Wesolowski*, 33 NY2d 169.)

Hardin Kundla McKeon & Poletto, P.A., New York City (George R. Hardin of counsel), for respondent. I. Plaintiffs do not qualify as additional insureds under the Liberty Insurance Underwriters, Inc. policy issued to Samson Construction Company, Inc. (*State of New York v Home Indem. Co.*, 66 NY2d 669; *Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208; *Federal Ins. Co. v International Bus. Machs. Corp.*, 18 NY3d 642; *Breed v Insurance Co. of N. Am.*, 46 NY2d 351; *AB Green Gansevoort, LLC v Peter Scalamandre & Sons, Inc.*, 102 AD3d 425; *Linarello v City Univ. of N.Y.*, 6 AD3d 192; *Mayo v Metropolitan Opera Assn., Inc.*, 108 AD3d 422; *City of New York v Nova Cas. Co.*, 104 AD3d 410; *Murnane Bldg. Contrs., Inc. v Zurich Am. Ins. Co.*, 33 Misc 3d 1215[A], 2011 NY Slip Op 51943[U], 107 AD3d 674; *Best Buy Co., Inc. v Sage Elec. Contr., Inc.*, 2009 NY Slip Op 30208[U].) II. If considered by this Court because raised in the Appellate Division dissent, Liberty Insurance Underwriters, Inc. (LIUI) maintains plaintiffs failed to comply with their inherent obligation to provide LIUI timely notice of the occurrence. (*Eaves Brooks Costume Co. v Y.B.H. Realty Corp.*, 76 NY2d 220; *Matter of Satori R.*, 202 AD2d 432; *Ell Dee Clothing Co. v Marsh*, 247 NY 392; *City of New York v Investors Ins. Co. of Am.*, 89 AD3d 489; *Security Mut. Ins. Co. of N.Y. v Acker-Fitzsimons Corp.*, 31 NY2d 436; *Argo Corp. v Greater N.Y. Mut. Ins. Co.*, 4 NY3d 332; *Travelers Ins. Co. v Volmar Constr. Co.*, 300 AD2d 40; *Structure Tone v Burgess Steel Prods. Corp.*, 249 AD2d 144; *1700 Broadway Co. v Greater N.Y. Mut. Ins. Co.*, 54 AD3d 593; *16449 CBB, LLC v Zurich Am. Ins. Co.*, 31 Misc 3d 1212[A], 2011 NY Slip Op 50654[U].)

Louis J. Manger, Turner Construction Company, Montvale, New Jersey, for Turner Construction Company, amicus curiae. I. Gilbane Building Co./TDX Construction Corp. is entitled to additional insured coverage under the Liberty Insurance Underwriters, Inc. policy. (*Dean v Tower Ins. Co. of N.Y.*, 19 NY3d 704; *Linarello v City Univ. of N.Y.*, 6 AD3d 192; *AB Green Gansevoort, LLC v Peter Scalamandre & Sons, Inc.*, 102 AD3d 425.) II. Gilbane Building Co./TDX Construction Corp. qualifies as an additional insured on the Liberty Insurance Underwriters, Inc. policy. (*Camrex Contrs. [Mar.] Ltd. v Reliance Mar. Applicators, Inc.*, 579 F Supp 1420; *Zurich Am. Ins. Co. v Endurance Am. Speciality Ins. Co.*, 145 AD3d 502.)

OPINION OF THE COURT

WILSON, J.

In January 2002, Dormitory Authority of the State of New York (DASNY) contracted with Samson Construction Company (Samson), a general contractor, for construction of a new forensic laboratory for New York City, to be built next to Bellevue Hospital. Although the lab was constructed for use by New York City's Office of the Chief Medical Examiner, the construction documents identified DASNY as the owner. DASNY also contracted with a joint venture between Gilbane Building Company and TDX Construction Corporation (hereinafter, Gilbane JV) for Gilbane JV to be the construction manager for the project. DASNY's contract with Samson provided that Samson would obtain general liability insurance for the job, with an endorsement naming as additional insureds: "[DASNY], the State of New York, the Construction Manager [Gilbane JV] and other entities specified on the sample Certificate of Insurance provided by [DASNY]." Samson obtained general liability insurance coverage from Liberty Insurance Underwriters (Liberty). The sample certificate of insurance listed as "Additional Insureds under General Liability as respects this Project: . . . Gilbane/TDX Construction Joint Venture."

In 2006, DASNY sued Samson and Perkins Eastman Architects, P.C., the project architect, alleging that Samson damaged the excavation support system in August of 2003 by negligently removing a section of steel plating which caused the foundation of the neighboring building to settle several inches. Perkins then commenced a third-party action against Gilbane JV in 2010. Gilbane JV provided notice to Liberty by letter in April of 2011, seeking defense and indemnity under the Liberty policy for Perkins' suit against it, which Liberty denied in July of that year. Gilbane JV commenced this lawsuit in September of 2012, arguing that it qualified for coverage under the Liberty policy as an additional insured. Supreme Court denied Liberty's motion for summary judgment, holding that Gilbane JV is an additional insured under the policy (2014 NY Slip Op 33766[U] [2014]). The Appellate Division subsequently reversed, granting Liberty's motion (143 AD3d 146 [2016]). We now affirm, because the terms of the policy at issue here require a written contract between the named insured and an additional insured, if coverage is to be extended to an additional insured.

The relevant portion of the Liberty policy is the “Additional Insured—By Written Contract” provision, which reads:

“WHO IS AN INSURED (Section II) is amended to include as an insured any person or organization *with whom* you have agreed to add as an additional insured by written contract but only with respect to liability arising out of your operations or premises owned by or rented to you.” (Emphasis added.)

Gilbane JV has no written contract with Samson denominating it an additional insured, but argues no such contract is necessary, because that requirement would conflict with the plain meaning of the Liberty endorsement; with “well-settled rules of policy interpretation”; and with the parties’ reasonable expectations. Alternatively, Gilbane JV argues that the Liberty endorsement is, at most, ambiguous on that point, and therefore must be construed against Liberty and in favor of coverage. Gilbane JV is incorrect; the endorsement is facially clear and does not provide for coverage unless Gilbane JV is an organization “with whom” Samson has a written contract.

“Generally, the courts bear the responsibility of determining the rights or obligations of parties under insurance contracts based on the specific language of the policies” (*State of New York v Home Indem. Co.*, 66 NY2d 669, 671 [1985]). “In determining a dispute over insurance coverage, we first look to the language of the policy” (*Consolidated Edison Co. of N.Y. v Allstate Ins. Co.*, 98 NY2d 208, 221 [2002]). “As with the construction of contracts generally, ‘unambiguous provisions of an insurance contract must be given their plain and ordinary meaning’” (*Vigilant Ins. Co. v Bear Stearns Cos., Inc.*, 10 NY3d 170, 177 [2008], quoting *White v Continental Cas. Co.*, 9 NY3d 264, 267 [2007]).

Here, the endorsement would have the meaning Gilbane JV desires if the word “with” had been omitted. Omitting “with,” the phrase would read: “any person or organization whom you have agreed by written contract to add,” and Gilbane JV’s position would have merit. But Samson and Liberty included that preposition in the contract between them, and we must give it its ordinary meaning. Here, the “with” can only mean that the written contract must be “with” the additional insured. Gilbane JV proposes other wordings that, in its view, would more clearly require the existence of a written contract between Samson and an additional insured, but those formulations are

no clearer and, in any event, the endorsement's meaning is plain and unambiguous.*

The dissent aptly notes that “[a] reviewing court must decide whether, affording a *fair meaning to all of the language* employed by the parties in the contract and leaving no provision without force and effect, there is a reasonable basis for a difference of opinion as to the meaning of the policy” (*Federal Ins. Co. v International Bus. Machs. Corp.*, 18 NY3d 642, 646 [2012] [internal quotation marks, brackets and citations omitted and emphasis added]), and yet offers no explanation for the meaning of “with” in “with whom” in the provision at issue when proposing that the language is ambiguous (dissenting op at 138). The dissent also centers its argument on the proposition that “the test to determine whether an insurance contract is ambiguous focuses on the reasonable expectations of the average insured upon reading the policy and *employing common speech*” (dissenting op at 138, 142 [internal quotation marks omitted and emphasis added], citing *Universal Am. Corp. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 25 NY3d 675, 680 [2015]). We cannot ascribe to the position that, whereas “with” has a definite meaning in English, the average insured understands it to have no meaning. Likewise, our decision does not “undermine[] an industry market solution aimed at efficiently allocating risk among entities involved in construction projects” (dissenting op at 137)—it merely requires contracting parties who desire the result proposed by the dissent to remove the word “with” from their future contracts.

Gilbane JV cites extrinsic materials, including the sample certificate of insurance in support of its argument that it rea-

* Liberty and Gilbane JV each cite a smattering of cases interpreting similar contractual language that rule in their favor (*compare Liberty Mut. Fire Ins. Co. v Zurich Am. Ins. Co.*, 2016 WL 452157, 2016 US Dist LEXIS 13604 [SD NY, Feb. 4, 2016, 14 Civ 7568 (PAC)], *Plaza Constr. Corp. v Zurich Am. Ins. Co.*, 2011 NY Slip Op 30709[U] [Sup Ct, NY County 2011], and *American Home Assur. Co. v Zurich Ins. Co.*, 26 Misc 3d 1223[A], 2010 NY Slip Op 50237[U] [Sup Ct, Kings County 2010], with *Zoological Socy. of Buffalo, Inc. v Carvedrock, LLC*, 2014 WL 3748545, 2014 US Dist LEXIS 103800 [WD NY, July 29, 2014, No. 10-CV-35-A (Sr)], *AB Green Gansevoort, LLC v Peter Scalamandre & Sons, Inc.*, 102 AD3d 425 [1st Dept 2013], *Linarello v City Univ. of N.Y.*, 6 AD3d 192 [1st Dept 2004], *Murnane Bldg. Contrs., Inc. v Zurich Am. Ins. Co.*, 33 Misc 3d 1215[A], 2011 NY Slip Op 51943[U] [Sup Ct, Suffolk County 2011], and *Best Buy Co., Inc. v Sage Elec. Contr., Inc.*, 2009 NY Slip Op 30208[U] [Sup Ct, NY County 2009]). That some courts may have erred in interpreting the policy language does not render the language ambiguous (*Breed v Insurance Co. of N. Am.*, 46 NY2d 351, 355 [1978]).

sonably expected to be covered by the policy, and relies heavily on the contract between DASNY and Samson, which required Samson, as the prime contractor, to name Gilbane JV as an additional insured on all liability policies obtained by Samson. However, “[e]xtrinsic evidence of the parties’ intent may be considered only if the agreement is ambiguous, which is an issue of law for the courts to decide” (*Greenfield v Philles Records*, 98 NY2d 562, 569 [2002]). Gilbane JV might have a claim against Samson for failing to obtain additional insured status for Gilbane JV, but that breach would not permit us to rewrite Samson’s contract with Liberty.

Accordingly, the order of the Appellate Division should be affirmed, with costs, and the certified question answered in the affirmative.

STEIN, J. (dissenting). In concluding that the Appellate Division order should be affirmed, the majority focuses on a single word in the blanket additional insured endorsement at issue while ignoring others, thereby finding clarity where none exists. In doing so, the majority disregards the appropriate standard of review concerning barriers to coverage and, as a result, undermines an industry market solution aimed at efficiently allocating risk among entities involved in construction projects. Because the language of the policy endorsement is ambiguous and subject to more than one reasonable interpretation, it should be construed against defendant Liberty Insurance Underwriters, as the insurer, and in favor of coverage. The majority interprets the ambiguous language in favor of defendant and I, therefore, respectfully dissent.

The starting point in a dispute over insurance coverage is the language of the policy itself (see *Selective Ins. Co. of Am. v County of Rensselaer*, 26 NY3d 649, 655 [2016]). Of course, “[a]n insurance agreement is subject to principles of contract interpretation” (*Universal Am. Corp. v National Union Fire Ins. Co. of Pittsburgh, Pa.*, 25 NY3d 675, 680 [2015]) and, “[a]s with any contract, unambiguous provisions of an insurance contract must be given their plain and ordinary meaning” (*White v Continental Cas. Co.*, 9 NY3d 264, 267 [2007]). An insurance “contract is unambiguous if the language it uses has a definite and precise meaning, unattended by danger of misconception in the purport of the agreement itself, and concerning which there is no reasonable basis for a difference of opinion” (*Greenfield v Philles Records*, 98 NY2d 562, 569

[2002] [internal quotation marks, brackets and citation omitted]). Particularly relevant here, “ ‘the test to determine whether an insurance contract is ambiguous focuses on the reasonable expectations of the average insured upon reading the policy and employing common speech’ ” (*Universal Am. Corp.*, 25 NY3d at 680, quoting *Matter of Mostow v State Farm Ins. Cos.*, 88 NY2d 321, 326-327 [1996]; accord *Federal Ins. Co. v International Bus. Machs. Corp.*, 18 NY3d 642, 646 [2012]; *Cragg v Allstate Indem. Corp.*, 17 NY3d 118, 122 [2011]). Guided by these principles,

“[a] reviewing court must decide whether, affording a fair meaning to all of the language employed by the parties in the contract and leaving no provision without force and effect, there is a reasonable basis for a difference of opinion as to the meaning of the policy. If this is the case, the language at issue would be deemed to be ambiguous and thus interpreted in favor of the insured” (*Federal Ins. Co.*, 18 NY3d at 646 [internal quotation marks, brackets and citations omitted]; see *White*, 9 NY3d at 267).

The endorsement in the policy at issue here provides, in relevant part, as follows: “WHO IS AN INSURED (Section II) is amended to include as an insured any person or organization with whom you have agreed to add as an additional insured by written contract.” The pertinent language, as written, is awkward and unclear, at the very least. Plaintiff Gilbane JV asserts that the phrase “by written contract” modifies “to add,” and argues that it refers to the act of the named insured, Samson, agreeing to add an additional insured. Put differently, Gilbane JV argues that “by written contract” means only that any agreement by Samson to add an additional insured must be memorialized in a writing—not necessarily a writing between Samson and the purported additional insured. Thus, according to Gilbane JV, the contract between DASNY and Samson—under which Samson agreed in writing to procure a general liability insurance policy for the construction project and to name Gilbane JV as an additional insured—was sufficient to confer additional insured status upon Gilbane JV. Defendant, on the other hand, focuses on the phrase “with whom,” arguing that the named insured must agree with the purported additional insured, in a writing between those parties, to add coverage for that entity under the policy.

Fixating on the word “with,” the majority summarily concludes that the policy does not “provide for coverage unless

Gilbane JV is an organization ‘with whom’ Samson has a written contract” (majority op at 135). In so doing, the majority places the phrase “by written contract” directly after “agreed,” effectively rewriting the policy while altogether failing to address Gilbane JV’s proposed construction. Under this reformulation, the pertinent policy language would confer additional insured status upon “any person or organization with whom you have agreed by written contract to add as an additional insured.” Of course, that is not what the policy says. Moreover, even though the majority’s construction is reasonable, the policy language is ambiguous because the construction proffered by Gilbane JV is also reasonable; indeed, Gilbane JV’s interpretation is consistent with the “reasonable expectations of the average insured” that would seek to procure this type of coverage, whereas defendant’s interpretation is not (*Universal Am. Corp.*, 25 NY3d at 680).

In particular, given the unusual syntax of the endorsement—placing the phrase “by written contract” at the end of the sentence, a placement the majority chooses to ignore—it is reasonable for the average insured to expect that the phrase “by written contract” modifies only the immediately preceding infinitive “to add,” such that the phrase prescribes only that the agreement by which the named insured commits to extend coverage to the purported additional insured must be evidenced in a contract reduced to writing. In any event, because each party’s reading of this language is reasonable, the endorsement is “ambiguous and thus [should be] interpreted in favor of” coverage (*Federal Ins. Co.*, 18 NY3d at 646). It follows, then, that the endorsement should *not* be interpreted as imposing a requirement of privity between Samson and Gilbane JV to effectuate additional insured coverage of Gilbane JV, and the DASNY-Samson contract was sufficient to satisfy the policy provision and entitle Gilbane JV to such coverage.¹

1. Contrary to the majority’s characterization, the DASNY-Samson contract cannot simply be discarded in the “extrinsic materials” bin (majority op at 136). The parties do not dispute that, pursuant to the DASNY-Samson contract, Samson agreed to procure general liability insurance with an endorsement naming Gilbane JV as an additional insured. That contract establishes that the condition to coverage—i.e., that the agreement by Samson to add Gilbane JV as an additional insured must be memorialized in a written contract—has been satisfied. In other words, the DASNY-Samson contract is not extrinsic evidence necessary to interpret the policy language but, instead, demonstrates compliance with the condition to coverage.

A review of *Liberty Mut. Fire Ins. Co. v Zurich Am. Ins. Co.* (2016 WL 452157, 2016 US Dist LEXIS 13604 [SD NY, Feb. 4, 2016, 14 Civ 7568 (PAC)])—a case in which defendant sought a declaration of additional insured coverage under a policy issued by Zurich and took a position antithetical to the one it takes here, yet also prevailed—is instructive. In that case, construing similar policy language, the District Court rejected the argument that defendant now asserts, “as an incorrectly cramped reading of the policy language” (2016 WL 452157, *2, 2016 US Dist LEXIS 13604, *5).² The District Court reasoned that the additional insured clause extended coverage to “any person or organization with whom the insured . . . agreed in a written contract to provide insurance for,” explaining that the endorsement was “not so restrictive as to limit coverage to only the person or organization with whom . . . the named insured . . . contracted” (*id.* [internal quotation marks and citation omitted]). That court declined to “add a requirement of direct contractual privity between the named insured and the purported additional insured that [did] not exist in the policy language” (2016 WL 452157, *2 n 3, 2016 US Dist LEXIS 13604, *5 n 3). This Court should, likewise, refuse to impose this additional requirement in the face of the ambiguous policy language here.³ If defendant sought that requirement, it could have so provided by using clear and unambiguous language (*compare AB Green Gansevoort, LLC v Peter Scalamandre & Sons, Inc.*, 102 AD3d 425, 426 [1st Dept 2013] [holding a priv-

2. The language of the policy at issue in *Zurich* was more favorable to the insurer resisting coverage, providing that “additional insured[s] include [a]ny person or organization with whom you have agreed, through written contract, agreement or permit, executed prior to the loss, to provide additional insured coverage” (2016 WL 452157, *1, 2016 US Dist LEXIS 13604, *3 [internal quotation marks and citation omitted]).

3. The majority rejects *Zurich* and other authorities construing similar contractual language in a like manner, asserting that the policy language is not rendered ambiguous because those “courts may have erred” in determining that more than one reasonable interpretation of the policy language exists (majority op at 136 n). In support of that proposition, the majority cites *Breed v Insurance Co. of N. Am.* (46 NY2d 351, 355 [1978]). However, *Breed* merely stands for the proposition that “[i]t is . . . for this court to say, as matter of law, whether reasonable [people] may reasonably differ as to [the] meaning [of an exclusionary clause in an insurance policy], or whether the indulgence of the lower courts has . . . written a new contract for the parties and extended the defendant’s liability beyond the plain and unambiguous language of the policy” (*id.*). It is the majority that, by ignoring one reasonable interpretation, rewrites the policy at issue here in violation of *Breed* and curtails defendant’s liability, contrary to what the insurer and insured originally contemplated, as discussed more fully herein.

ity requirement exists where the policy unambiguously stated that an organization is added as an additional insured “when you and such . . . organization have agreed in writing in a contract or agreement that such . . . organization be added as an additional insured on your policy”]; *Linarello v City Univ. of N.Y.*, 6 AD3d 192 [1st Dept 2004] [same]). Its failure to do so is fatal to the argument it advances here.

Moreover, interpreting the policy language as imposing an additional privity requirement where none clearly exists runs counter to the intended purpose of the type of additional insured endorsement at issue here. It is hornbook law that

“[f]or an additional premium to the named insured, a third party such as a general contractor or project owner can be named by endorsement as an additional insured on the [general commercial liability] policy of a named insured such as a subcontractor. In fact, in the construction industry, this is the rule” (Scott C. Turner, *Insurance Coverage of Construction Disputes* § 42:1 [2d ed] [emphasis omitted]).

Construction project owners, such as DASNY, customarily require contractors of every tier, such as Samson, to provide coverage for “upstream” parties—such as Gilbane JV—as additional insureds on their general liability policies (*see id.*). This allocation of risk makes sense insofar as the party that is best positioned to control and mitigate any potential risks is responsible for obtaining coverage that extends to those upstream entities that are removed from the work being performed by a particular subcontractor yet—as a property owner or project manager—may be exposed to third-party liability.⁴

Consistent with this risk transfer regime, “[a] blanket additional insured endorsement generally provides coverage for

4. As amicus Turner Construction Company explains, because every construction project involves inherent risks for each individual participant in the project, the construction industry has established a common risk transfer method under which the party closest to the work being performed—and, thus, in the best position to control the work—bears the risk of any bodily injury or property damage arising from that work. In other words, the risk falls on the party best positioned to mitigate potential hazards. A critical component of risk transfer in the industry is additional insured coverage afforded to parties that are upstream—typically general contractors, construction managers, and property owners—and do not have immediate control over the work being performed. Downstream subcontractors, at each tier, are typically required to provide this coverage for all upstream parties. Blanket

(n. cont'd)

any person or organization to whom or to which the named insured is obligated to name as an additional insured by virtue of a written contract or agreement” (3 Steven Plitt et al., *Couch on Insurance* § 40:30 [3d ed]).⁵ The point of such a blanket endorsement is to furnish a means of providing such coverage that is more efficient than requiring either a separate contract between each subcontractor and each additional insured (which the majority finds to be necessary here) or that the policy list the identity of each additional insured (a list that would have to be amended whenever the named insured undertakes an obligation to add a new upstream entity, consistent with standard commercial practice). In that regard, counsel for defendant conceded that underwriting considerations for a policy like the one before us are based, not on the number or identity of additional insureds that may be covered but, instead, on the nature of the insured’s work. Thus, when Samson—a subcontractor on a major construction project, with a practical understanding of risk allocation in the construction industry—procured the policy here, it would reasonably expect that it had the right to add Gilbane JV, an upstream entity, as an additional insured without the approval of, or even so much as a notification to, defendant, so long as such coverage was required by a written contract. Seen through this lens, the interpretation proffered by Gilbane JV is consistent with the “reasonable expectations of the average insured upon reading the policy and employing common speech” (*Universal Am. Corp.*, 25 NY3d at 680 [internal quotation marks and citation omitted]). Faced with two competing, reasonable interpretations, the language of the endorsement at issue is ambiguous and, therefore, should be interpreted in favor of coverage (*see Federal Ins. Co.*, 18 NY3d at 646).

Accordingly, I would reverse the order of the Appellate Division, answer the certified question in the negative, and remit for consideration of issues raised, but not addressed, by that Court.

additional insured endorsements are, thus, a market solution aimed at efficiently allocating risk consistent with these widely-understood conventions.

5. Presumably, the requirement of a written contract safeguards against potential abuse by ensuring that the extension of additional insured coverage legitimately falls within the scope of the named insured’s operations. Here, as discussed above, the DASNY-Samson contract is a written contract in which Samson agreed to extend coverage to Gilbane JV, an upstream entity on the construction project on which Samson was engaged to work. Therefore, the DASNY-Samson contract, alone, satisfies any potential legitimacy concerns.

Judges RIVERA, FAHEY, GARCIA and FEINMAN concur; Judge STEIN dissents in an opinion in which Chief Judge DiFIORE concurs.

Order affirmed, with costs, and certified question answered in the affirmative.

[98 NE3d 696, 74 NYS3d 781]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SPENCE
SILBURN, Appellant.

Argued February 8, 2018; decided April 3, 2018

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered December 14, 2016. The Appellate Division affirmed a judgment of the Supreme Court, Kings County (Joel M. Goldberg, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a weapon in the second degree, aggravated unlicensed operation of a motor vehicle in the third degree, and unlicensed operation of a motor vehicle.

People v Silburn, 145 AD3d 799, affirmed.

HEADNOTES**Crimes — Right to Representation Pro Se — Unequivocal Request to Proceed Pro Se**

1. If a defendant asserts a timely and unequivocal request to proceed pro se, the trial court must conduct a searching inquiry to ensure that defendant's waiver of the right to counsel is knowing, intelligent and voluntary. Thus, the trial court in defendant's criminal prosecution did not err in failing to conduct such inquiry where the record supported the court's conclusion that defendant's request to proceed pro se was equivocal and was conditioned on the assistance of counsel. A criminal defendant's request to defend pro se must be unequivocal and timely asserted, meaning that the defendant must demonstrate an actual fixed intention and desire to proceed without professional assistance in his or her defense to the charges. While the Sixth Amendment and the New York State Constitution afford a defendant the right to counsel or to self-representation, they do not guarantee a right to both; to choose one means to forgo the other. At the outset of defendant's second request, defense counsel informed the court that defendant wanted to question prospective jurors and witnesses in addition to the questioning done by counsel. The court again explained to defendant that it did not allow "standby counsel," and that defendant had either the right to represent himself without counsel or the right to have an attorney. Defendant's subsequent invocation of the Sixth Amendment during the colloquy and his evident desire to have counsel question the prospective jurors and witnesses along with him was neither a waiver of the right to counsel nor the substance of an unequivocal request to represent himself. While defendant used the words "standby counsel," the substance of his request demonstrated that he was seeking dual representation.

Crimes — Right to Representation Pro Se — Equivocal Request to Proceed Pro Se — Further Colloquy Not Required

2. Further colloquy by the trial court is not constitutionally required when a criminal defendant remains equivocal in his or her request to proceed pro

se, despite having been informed by the court on more than one occasion that the right to self-representation includes a waiver of the right to an attorney. While the better practice when a defendant asks to proceed “pro se with standby counsel” and the trial court explains the scope of the right to proceed pro se, and specifically denies the defendant’s request for hybrid representation, would be to again ask the defendant if he or she still wants to proceed without counsel, courts are not compelled to engage in any particular catechism before denying an equivocal request to proceed pro se because neither the Constitution nor precedent requires it. As it is the trial court’s function to ensure the orderly administration of the proceedings, it remains within the trial court’s discretion to conduct any further colloquy where a defendant does not unequivocally request to proceed without counsel, but instead prefers to proceed with the assistance of counsel.

Crimes — Evidence — Notice of Intention to Present Psychiatric Evidence

3. Defendant was not deprived of a fair trial by the court’s preclusion of psychiatric testimony concerning defendant’s diagnosis of bipolar disorder for the purpose of showing that he had been incapable of voluntarily waiving his *Miranda* rights based on his failure to serve on the People “written notice of his intention to present psychiatric evidence” as required by CPL 250.10 (2). The term “psychiatric evidence” includes “[e]vidence of mental disease or defect to be offered by the defendant in connection with any other defense not specified in the preceding paragraphs” (CPL 250.10 [1] [c]). The purpose of the statute was to eliminate surprise and promote fairness at trial by allowing the People, upon defendant’s timely notice, the opportunity pretrial to obtain otherwise privileged psychiatric evidence to rebut defendant’s affirmative use of the evidence at trial. Therefore, allowing a defendant to use unnoticed psychiatric evidence without good cause shown would be contrary to the legislative intent to ensure the prosecution sufficient opportunity to obtain the psychiatric and other evidence necessary to refute the proffered defense of mental infirmity. The legislature also intended to avoid the delay that would result from the surprise presentation of such evidence at trial. It is the very nature of psychiatric evidence that mandates the requirement of notice, if the defendant intends to rely on the evidence to negate the People’s evidence of guilt. Thus, it was consistent with the purpose of the statute to construe the phrase “any other defense” as used in CPL 250.10 (1) (c) to apply to defendant’s offer of psychiatric evidence in support of his contention that due to his mental illness, his statements, which were direct evidence of guilt, must be rejected by the jury.

Crimes — Evidence — Failure to Notify People of Intention to Offer Psychiatric Evidence — Prejudice

4. The trial court in defendant’s criminal prosecution did not abuse its discretion in precluding psychiatric evidence, of which defendant failed to put the People on notice pursuant to CPL 250.10, concerning defendant’s diagnosis of bipolar disorder for the purpose of showing that he had been incapable of voluntarily waiving his *Miranda* rights on the ground that the surprise evidence prejudiced the People. Even if the People were aware early on that defendant had a mental illness, knowing that did not put the prosecutor on notice that defendant intended to introduce evidence at trial that his diagnosis rendered him incapable of giving a voluntary statement to the police, especially since defendant never raised that voluntariness argument at his *Huntley* hearing. Additionally, a defendant’s own medical records are privileged until he or she waives the privilege. Thus, the People cannot have

a mental health expert of their choosing examine a defendant nor can they obtain his or her medical records due to the privileged and confidential nature of the evidence, unless the defendant wants to affirmatively use a mental condition as evidence at trial, thereby waiving Fifth Amendment rights and statutory privileges. The record also refuted defense counsel's claim that good cause was shown for his untimeliness, as he was fully aware at least a year before trial that defendant had a long-standing history of mental health problems. Moreover, the psychiatrist testified outside the presence of the jury that he had no recollection of the examination of defendant, and there was no indication in the record that a diagnosis of bipolar disorder renders a defendant incapable of knowingly and voluntarily waiving his or her *Miranda* rights.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Criminal Law §§ 1126–1129, 1131, 1133–1135, 1137, 1139–1141.
CARMODY-WAIT 2d Right to Counsel §§ 184:78, 184:84–184:87, 184:95–184:97, 184:100; CARMODY-WAIT 2d Pre-trial Notice §§ 188:9–188:11.
LAFAVE, ET AL., CRIMINAL PROCEDURE (3d ed) §§ 11.3, 11.4.
McKINNEY'S, CPL 250.10 (1) (c); (2).
NY JUR 2d Criminal Law: Procedure §§ 831–833, 837, 838, 845, 846, 849, 856, 1777, 1779.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Mental Condition or Capacity; Notice or Knowledge; Pro Se.

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POINTS OF COUNSEL

Paul Skip Laisure, Appellate Advocates, New York City (Alexis A. Ascher and Lynn W.L. Fahey of counsel), for appellant. I. The trial court denied appellant his constitutional right to self-representation when it twice denied his requests to proceed pro se without making any further inquiry, solely because he had also requested standby counsel. (*Faretta v California*, 422 US 806; *People v McIntyre*, 36 NY2d 10; *People v Rosen*, 81 NY2d 237; *People v Stone*, 22 NY3d 520; *People v Payton*, 45 NY2d 300; *People v Providence*, 2 NY3d 579; *People*

v Mirenda, 57 NY2d 261; *People v Crampe*, 17 NY3d 469; *People v Garcia*, 69 NY2d 903; *People v Sawyer*, 57 NY2d 12.) II. The trial court denied appellant a fair trial and the right to present a defense and violated his privilege against self-incrimination when it (a) held CPL 250.10 notice to be required for psychiatric evidence to support a claim that a *Miranda* waiver was unknowing and involuntary; and (b) abused its discretion in completely precluding such evidence when the People had knowledge of appellant's mental health issues almost immediately after the crime and had themselves generated the psychiatric evidence in issue. (*Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382; *People v Almonor*, 93 NY2d 571; *People v Berk*, 88 NY2d 257; *People v Segal*, 54 NY2d 58; *Crane v Kentucky*, 476 US 683; *D'Ambra v Rhinelander*, 234 NY 289; *Matter of Foley v Bratton*, 92 NY2d 781; *People v Little*, 24 AD3d 1244; *People v Rivers*, 281 AD2d 348; *People v Diaz*, 15 NY3d 40.)

Eric Gonzalez, District Attorney, Brooklyn (*Howard B. Goodman* and *Leonard Joblove* of counsel), for respondent. I. The trial court properly denied defendant's request to represent himself with the assistance of standby counsel. (*Faretta v California*, 422 US 806; *People v McIntyre*, 36 NY2d 10; *People v Payton*, 45 NY2d 300, 445 US 573; *Matter of Kathleen K. [Steven K.]*, 17 NY3d 380; *People v Henriquez*, 3 NY3d 210; *People v Rodriguez*, 95 NY2d 497; *People v Cabassa*, 79 NY2d 722; *People v Slaughter*, 78 NY2d 485; *People v Mirenda*, 57 NY2d 261; *People v Providence*, 2 NY3d 579.) II. The trial court properly precluded defendant from presenting testimony of a psychiatrist on the issue of whether defendant was capable of understanding and waiving his *Miranda* rights, because defendant had failed to serve and file timely notice pursuant to CPL 250.10; in any event, any error was harmless. (*Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106; *People v Jones*, 26 NY3d 730; *Matisoff v Dobi*, 90 NY2d 127; *People v Correa*, 15 NY3d 213; *Matter of Town of New Castle v Kaufmann*, 72 NY2d 684; *Kimmel v State of New York*, 29 NY3d 386; *People v Combest*, 4 NY3d 341; *People v Yates*, 290 AD2d 888.)

OPINION OF THE COURT

Chief Judge DiFiore.

We are called upon to decide two issues in this appeal. Defendant contends that he was denied his right of self-repre-

sentation when the trial court denied his request to proceed pro se with “standby counsel.” Defendant further argues that he was deprived of a fair trial when the trial court precluded his proffered psychiatric testimony for failure to serve notice on the People pursuant to CPL 250.10. We agree with the courts below that neither contention is consistent with the controlling law. Therefore, we now affirm.

I.

In August of 2011, the police lawfully stopped defendant while he was driving a stolen car with a license that had been suspended and revoked. Defendant was searched and a loaded .45 caliber handgun was found in his jacket pocket. After the police seized the gun, defendant spontaneously declared that it was a good thing the officer had his gun drawn as quickly as he did because defendant would have shot him. Later at the precinct, defendant waived his *Miranda* rights and admitted to stealing the car at gunpoint. Toward the end of the 15-minute interview, defendant became agitated. He was later taken by police to a hospital for a psychiatric evaluation. Defendant was thereafter indicted for criminal possession of a weapon in the second degree, aggravated unlicensed operation of a motor vehicle in the third degree, and related counts. In August 2012, two psychiatrists examined defendant pursuant to CPL article 730, and a competency hearing was held. At the hearing, defense counsel questioned one of the examining psychiatrists about defendant’s history of mental illness, and discussed the symptoms of schizophrenia that defendant exhibited. Defendant was found competent to stand trial.

A year later in 2013, and two weeks before trial, defendant requested to “proceed as pro se.” The trial court inquired if defendant wanted to represent himself, to which defendant replied that he did “[n]ot just [want to] represent myself, but having limitation with my counsel.” The court plainly informed defendant that “[y]ou either have a lawyer, or you don’t have a lawyer. . . . You choose to represent yourself, you sit there by yourself. You want to have a lawyer, you have a lawyer.” The court then asked, “All right?” The record does not reflect defendant’s response, if any, and defense counsel continued to represent defendant at trial.

Defendant raised the issue again after voir dire, when defense counsel informed the court that defendant had wanted to question the prospective jurors and sought to question the

witnesses, in addition to the questioning done by his attorney. The court again told defendant that “you have a right to represent yourself without an attorney. Or you have the right to have an attorney.” Defendant maintained that the Sixth Amendment gave him the right to the assistance of counsel and he wanted “assistance” from his counsel—for his attorney to “act[] like an aide.” The court told defendant he could not have dual representation. Although defendant replied, “I was asking if I could go pro se with standby counsel,” he again clarified that he wanted the opportunity to ask any questions that his attorney failed to ask. The court denied the request.

During trial, despite having never served a CPL 250.10 notice, defense counsel sought to introduce the testimony of the psychiatrist who evaluated defendant, at the behest of the police, the day he was arrested. Counsel informed the court that the psychiatrist diagnosed defendant as “bipolar, with psychotic features” and, counsel argued, this diagnosis rendered defendant mentally incapable of voluntarily waiving his *Miranda* rights. After hearing from the psychiatrist outside the presence of the jury, the court precluded the evidence, concluding that (i) the proffered testimony was of slight probative value because the psychiatrist had no recollection of examining defendant; (ii) the evidence was insignificant; and (iii) the failure to serve a CPL 250.10 notice prejudiced the People.

The jury convicted defendant of criminal possession of a weapon in the second degree, aggravated unlicensed operation of a motor vehicle in the third degree, and a related offense. The Appellate Division affirmed, determining that defendant’s request to proceed pro se was equivocal since defendant asked only to proceed pro se with standby counsel (145 AD3d 799, 799-800 [2d Dept 2016]). Thus, the Court concluded that defendant did not make a “knowing, voluntary, and intelligent waiver of the right to counsel” (*id.* at 799 [internal quotation marks and citation omitted]). The Court further held that the trial court did not err in precluding defendant’s proffered psychiatric evidence because defendant did not provide timely notice of his intent to present the evidence under CPL 250.10 (*id.* at 801).

A Judge of this Court granted defendant leave to appeal (29 NY3d 952 [2017]).

II.

Defendant argues that the trial court violated his constitutional right to self-representation when it denied his requests

to proceed pro se without making any further inquiry. He maintains that the request was unequivocal despite the fact that it was conditioned on his request to proceed with “standby counsel.” In response, the People assert that the trial court did not err in denying defendant’s request to proceed pro se, since defendant, as evidenced in the colloquy conducted by the court, never made an unequivocal request to represent himself alone, without counsel.

Under the New York and Federal Constitutions, a defendant has the right to proceed without counsel and to represent him or herself at trial, and the State may not force counsel upon a defendant (*see* NY Const, art I, § 6; *Faretta v California*, 422 US 806, 836 [1975]). In *People v McIntyre*, we set forth a three-prong test, long used to address a defendant’s right to self-representation:

“A defendant in a criminal case may invoke the right to defend *pro se* provided: (1) the request is unequivocal and timely asserted, (2) there has been a knowing and intelligent waiver of the right to counsel, and (3) the defendant has not engaged in conduct which would prevent the fair and orderly exposition of the issues” (36 NY2d 10, 17 [1974]).

If a defendant asserts a timely and unequivocal request to proceed pro se, then the trial court must “conduct a ‘searching inquiry’ to ensure that the defendant’s waiver [of the right to counsel] is knowing, intelligent, and voluntary” (*Matter of Kathleen K. [Steven K.]*, 17 NY3d 380, 385 [2011]; *see also People v White*, 56 NY2d 110, 117 [1982]).

In clarifying what “unequivocally” means, we have explained that the pro se request must be “clearly and unconditionally presented to the trial court,” so that “convicted defendants may not pervert the system by subsequently claiming a denial of their *pro se* right” (*McIntyre*, 36 NY2d at 17). We determined that a defendant’s request to proceed pro se was not unequivocal, where “[a]t no time did [defendant] demonstrate an actual fixed intention and desire to proceed without professional assistance in his defense to the charges against him” (*People v Payton*, 45 NY2d 300, 314 [1978], *revd on other grounds* 445 US 573 [1980]). We have further concluded that the application to proceed pro se “must reflect a purposeful decision to

relinquish the benefit of counsel and proceed singularly” (*Matter of Kathleen K.*, 17 NY3d at 386).¹

In *People v Mirenda* (57 NY2d 261, 265 [1982]), we rejected the argument that a defendant has a constitutional right to the assistance of standby counsel while conducting a pro se defense, establishing that “[n]o such right is guaranteed by either the State or Federal Constitution.” Nearly 20 years after *Mirenda*, we reaffirmed that, “[w]hile the Sixth Amendment and the State Constitution afford a defendant the right to counsel or to self-representation, they do not guarantee a right to both. These are separate rights depicted on the opposite sides of the same constitutional coin. To choose one obviously means to forego the other” (*People v Rodriguez*, 95 NY2d 497, 501 [2000] [internal quotation marks, brackets and citation omitted]). In doing so, we held that “[b]ecause a defendant has no constitutional right to hybrid representation, the decision to allow such representation lies within the sound discretion of the trial court” (*id.* at 502). “An accused awaiting trial therefore has only two choices regarding legal representation—proceed with counsel or waive the protection of the Sixth Amendment and proceed pro se” (*People v Henriquez*, 3 NY3d 210, 215 [2004]). Here, the record supports the trial court’s conclusion that defendant’s request to proceed pro se was equivocal, and was conditioned on the assistance of counsel. Accordingly, the trial court did not err in failing to conduct a further “searching” inquiry in response to defendant’s request.

[1] Indeed, at the outset of the second request, defense counsel informed the court that defendant wanted to question prospective jurors and witnesses in addition to the questioning done by counsel. The court again explained to defendant that the court did not allow “standby counsel,” and that defendant had either the right to represent himself without counsel or the right to have an attorney. Defendant responded that the Sixth Amendment gave him the right to the aid and assistance of counsel. Defendant’s invocation of the Sixth Amendment during the colloquy and his evident desire to have counsel

1. In the context of a defendant’s constitutional right to counsel, we stated that a defendant asking the police “should I speak to a lawyer” did not amount to an unequivocal request for an attorney, such that his right to counsel did not attach and the statement he made to the police was not in violation of the Federal and State Constitutions (*see People v Hicks*, 69 NY2d 969, 970 [1987]; *see also People v Mitchell*, 2 NY3d 272, 276 [2004]; *People v Glover*, 87 NY2d 838, 839 [1995]; *People v Roe*, 73 NY2d 1004, 1006 [1989]; *People v Fridman*, 71 NY2d 845, 846 [1988]).

question the prospective jurors and witnesses along with him is neither a waiver of the right to counsel nor the substance of an unequivocal request to represent himself. The United States Supreme Court “explicit[ly]” stated that the appointment of standby counsel is “to relieve the [trial] judge of the need to explain and enforce basic rules of courtroom protocol or to assist the defendant in overcoming routine obstacles that stand in the way of the defendant’s achievement of his own clearly indicated goals” (*McKaskle v Wiggins*, 465 US 168, 184 [1984]). It is not to provide a defendant a cocounsel in front of the jury. Here, while defendant used the words “standby counsel,” the substance of his request—that he be permitted to ask questions in addition to those asked by his attorney—demonstrated that he was seeking dual representation.² Whether his request is labeled as one of “dual representation,” “hybrid representation,” or “pro se with standby counsel,” the record supports the conclusion that what this defendant wanted was his right to the assistance of counsel at trial—i.e., he was not seeking to waive his constitutional right to counsel—and he never requested to proceed without counsel.³ Thus, defendant did not satisfy the first prong of *McIntyre* that he unequivocally request to represent himself and, therefore, the trial court did not err in failing to conduct a further inquiry.⁴

2. The fast food analogy offered in Judge Wilson’s dissent, joined by Judge Rivera, is both inapt and inappropriate. Whatever its intended effect, the use of such a rhetorical device trivializes the constitutional rights of defendant implicated on this appeal. In any event, the purported analogy presented by the dissent is completely defeated by the factual record.

3. In interpreting the federal right to self-representation under *Faretta*, the Second Circuit has pointedly explained,

“[t]he purpose of requiring that a criminal defendant make an ‘unequivocal’ request to waive counsel is twofold. First, unless the request is unambiguous and unequivocal, a convicted defendant could have a colorable Sixth Amendment appeal regardless of how the trial judge rules: if his request is denied, he will assert the denial of his right to self-representation; if it is granted, he will assert the denial of his right to counsel. Second, the requirement of an unambiguous and unequivocal request inhibits any ‘deliberate plot to manipulate the court by alternatively requesting, then waiving counsel’” (*Williams v Bartlett*, 44 F3d 95, 100-101 [2d Cir 1994] [citations omitted]).

4. The cases relied on by the Wilson dissent (*People v Crampe*, 17 NY3d 469 [2011]; *People v Providence*, 2 NY3d 579 [2004]) are inapposite as they both address the sufficiency of the colloquy the trial court has with a defendant who unequivocally requests to proceed pro se. The records in these cases demonstrate that in each case the defendant unequivocally, unconditionally

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[2] Defendant urges that a court presented with a request to proceed pro se with “standby counsel” should make an in-depth inquiry whether defendant still desires to represent himself, once defendant is informed that dual representation will not be provided. We hold that further colloquy by the trial court is not constitutionally required when a defendant remains equivocal, despite having been informed by the court on more than one occasion that his right to self-representation includes a waiver of the right to an attorney, as here. When a defendant asks to proceed “pro se with standby counsel” and the trial court explains the scope of the right to proceed pro se, and specifically denies the defendant’s request for hybrid representation, the better practice would be to again ask the defendant if he or she still wants to proceed without counsel. Nevertheless, “[w]hile such inquiries may be the better practice, we will not compel courts to engage in any particular catechism” before denying an equivocal request to proceed pro se because “[n]either our Constitution nor our precedent requires it” (*Rodriguez*, 95 NY2d at 502). As it is the trial court’s function to “ensur[e] the orderly administration of the proceedings” (*id.*, citing *Mirenda*, 57 NY2d at 266), it remains within the trial court’s discretion to conduct any further colloquy where a defendant does not unequivocally request to proceed without counsel, but instead prefers to proceed with the assistance of counsel.⁵

III.

[3] CPL 250.10 (2) prohibits a defendant from introducing psychiatric evidence as to his or her mental capabilities at trial “unless the defendant serves upon the people and files with the court a written notice of his intention to present psychiatric evidence.” “Such notice must be served and filed before trial and not more than thirty days after entry of the plea of not guilty

and repeatedly requested to represent himself, which then triggered the second prong under *McIntyre*, requiring the court to inquire whether the defendant knowingly, voluntarily, and intelligently waived counsel. Here, by contrast, we are confronted with the first prong of *McIntyre*: whether the defendant unequivocally requested to represent himself without counsel. Defendant does not satisfy this initial prong on the record before us.

5. The Wilson dissent’s alternative conclusion—the trial court abused its discretion in denying defendant’s request for hybrid representation—is one that is not urged by defendant on this appeal nor was it raised below (*see* Wilson, J., dissenting op at 166-167; *see also* Rivera, J., dissenting op at 176 [acknowledging the issue is not before us]).

to the indictment” (CPL 250.10 [2]). The term “psychiatric evidence” is defined as “[e]vidence of mental disease or defect to be offered by the defendant in connection with” either (a) “the affirmative defense of lack of criminal responsibility by reason of mental disease or defect,” (b) the “affirmative defense of extreme emotional disturbance,” or (c) “any other defense not specified in the preceding paragraphs” (CPL 250.10 [1]). We previously held CPL 250.10 (1) (c) is a “catch-all provision that contemplates a defendant’s use of psychiatric evidence in connection with ‘any other defense’” (*People v Almonor*, 93 NY2d 571, 578 [1999]). Defendant argues that the trial court erred in precluding his unnoticed psychiatric evidence because a challenge to the voluntariness of a confession pursuant to CPL 710.70 is not a “defense” and is thus outside the ambit of CPL 250.10 (1) (c). We disagree.

Defendant narrowly construes the phrase “any other defense” in CPL 250.10 (1) (c) to be limited to psychiatric evidence offered in support of a complete defense to an element of the crime, such as mens rea; he does not interpret the statute to include a defense strategy to offer evidence that allows the jury to negate the prosecution’s evidence of guilt. As explained below, this argument ignores the legislative intent, our precedent espousing the very purpose of notice, and the fact that, if a defendant’s confession was the primary evidence of guilt and the defendant raises the issue of voluntariness at trial, then voluntariness could be a complete defense to the crime (*see People v Miller*, 28 NY3d 355, 359 [2016]).⁶ Notably, our Court has previously labeled a defendant’s challenge to the voluntariness of his statement pursuant to CPL 710.70 a “defense” (*see People v Combest*, 4 NY3d 341, 347-348 [2005]).⁷ Moreover, lower courts have found that the CPL 250.10 notice require-

6. Contrary to the musings of the dissent, cases where confessions constitute the primary evidence of guilt are not rare and since 1881, the legislature has included statutory safeguards requiring corroboration of a defendant’s confession (*see* Wilson, J., dissenting op at 169-170 n 2; *see also* *People v Lipsky*, 57 NY2d 560, 570 [1982]; CPL 60.50).

7. In the context of an ineffective assistance of counsel claim, we treated a defendant’s challenge to the voluntariness of his confession as a “defense” (*see People v Oliveras*, 21 NY3d 339, 347 [2013]). There, the defendant moved to vacate his conviction for murder in the second degree, arguing his trial counsel was ineffective for “fail[ing] to provide timely notice pursuant to CPL 250.10, to present evidence of defendant’s psychiatric history, to obtain defendant’s psychiatric records, [and] to consult an expert to explain the relationship between defendant’s psychiatric history and the voluntariness and reliability of his statements” (*id.* at 344). We noted that “other than defend-

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ment applies when a defendant seeks to use psychiatric evidence at trial to challenge the voluntariness of his or her statements (see *People v Brown*, 4 AD3d 886, 888 [4th Dept 2004]; *People v Yates*, 290 AD2d 888, 890 [3d Dept 2002]; *People v Matthews*, 57 Misc 3d 1210[A], 2017 NY Slip Op 51371[U], *6 [Sup Ct, NY County 2017]; *People v Oliver*, 45 Misc 3d 765, 773-774 [Sup Ct, Kings County 2014]; *People v Prater*, 172 Misc 2d 831, 833 [Sup Ct, Kings County 1997]; *People v Morrello*, 142 Misc 2d 142, 143-144 [Westchester County Ct 1988]).

A.

In interpreting a statute, “our primary consideration is to discern and give effect to the Legislature’s intention” (*Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106, 120 [2012]). Evidence of legislative intent is “first sought in the words the Legislature has used. But we may not stop there; the spirit and purpose of the act and the objects to be accomplished must also be considered” (*People v White*, 73 NY2d 468, 473-474 [1989] [citations omitted]; see also *Matisoff v Dobi*, 90 NY2d 127, 133 [1997] [“where a statute’s language is capable of various constructions, the ‘obvious spirit and intent’ of a statute necessarily informs the meaning and import to be accorded that language”]). Since the phrase “any other defense” in CPL 250.10 (1) (c) is susceptible to multiple interpretations, the phrase must be construed in light of the legislature’s purpose in enacting it (see *Kimmel v State of New York*, 29 NY3d 386, 393 [2017] [“We have repeatedly held that ‘the word “any” means “all” or “every” and imports no limitation’ ” (citation omitted)]). An inquiry into the purpose of the statute “requires examination of the statutory context of the provision as well as its legislative history” (*Matter of Sutka v Conners*, 73 NY2d 395, 403 [1989]).

The precursor to CPL 250.10 was former Code of Criminal Procedure § 336, which required defendants to serve and file notice only if they intended to rely on the insanity defense (see

ant’s statements to the police, no other evidence directly connected defendant with the murder” (*id.* at 343), and therefore, we concluded that defense counsel was ineffective for failing to “secure and review” defendant’s psychiatric records because “trial counsel’s ability to undermine the voluntariness of [defendant’s inculpatory] statements was crucial” (*id.* at 348).

Code Crim Pro § 336).⁸ CPL 250.10 was later enacted and subsequently amended in 1980, and the notice requirement remained limited to the insanity defense (*see* L 1980, ch 548, § 7). In 1982, however, the legislature codified this Court's decision in *People v Segal* (54 NY2d 58 [1981]) by expanding the notice requirement to include the affirmative defense of extreme emotional disturbance in subdivision (1) (b) and the catchall "any other defense" in subdivision (1) (c) (*see* L 1982, ch 558, § 9; *People v Cruickshank*, 105 AD2d 325, 329 [3d Dept 1985], *affd sub nom. People v Dawn Maria C.*, 67 NY2d 625 [1986]; *see also* Joseph W. Bellacosa, Practice Commentary, McKinney's Cons Laws of NY, Book 11A, CPL 250.10 at 425 [1982 ed]). In 1984, subdivision (1) (a) of the statute was amended to reflect the change of the insanity defense to an affirmative defense (*see* L 1984, ch 668, §§ 6, 7). As we stated, "CPL 250.10 and its notice provisions initially contemplated only an insanity defense (now an affirmative defense). Recognizing, however, that psychiatric evidence could properly be introduced for mitigatory purposes, the Legislature broadened the definition of psychiatric evidence to include the two other categories" (*Almonor*, 93 NY2d at 578).

Indeed, as evidenced by the statute's bill jacket, the purpose of the 1982 amendments was to "provide for a simplified and expanded exchange of [evidentiary] information between the prosecution and defense" before trial (Governor's Mem approving L 1982, ch 558, 1982 Legis Ann at 186). This process would "markedly increase[]" the "efficiency and fairness of criminal

8. The purpose behind the notice requirement in former Code of Criminal Procedure § 336 was to ensure that the People were not unfairly surprised at trial. According to the legislative memorandum accompanying the former provision,

"At present, there is no provision in the Code requiring notice that the defendant intends to present evidence of mental disease or defect. In fact, he may offer such evidence under a plea of not guilty without the specification of insanity and, if the defense is sustained, the jury may acquit. This, obviously, may place the People at an unfair disadvantage in that, surprised by the sudden interposition of this collateral defense, they may have insufficient opportunity to obtain the psychiatric and other evidence necessary to refute it and to establish, as they must, the defendant's sanity beyond a reasonable doubt. The bill would rectify this situation" (Mem of Commn on Rev of Penal Law and Crim Code following L 1963, ch 595, reprinted in 1963 McKinney's Session Laws of NY at 1986; *see also People v Berk*, 88 NY2d 257, 263-264 [1996]).

proceedings” and “improve[] evidentiary discovery practices” with the goal of reducing “judicial delay” (*id.*). As we explained,

“The Legislature enacted CPL 250.10 to promote procedural fairness and orderliness. The statute is designed to create a format by which psychiatric evidence may be prepared and presented manageably and efficiently, eliminating the element of surprise. With that in mind the Legislature has formulated a procedure that depends upon proper notification, adversarial examination, and preclusion when appropriate” (*Almonor*, 93 NY2d at 577-578).

That is, the very purpose behind the statute was to eliminate surprise and promote fairness at trial by allowing the People, upon defendant’s timely notice, the opportunity pretrial to obtain otherwise privileged psychiatric evidence to rebut defendant’s affirmative use of the evidence at trial. Therefore, allowing a defendant to use unnoticed psychiatric evidence without good cause shown would be contrary to the “legislative intent . . . to ensure the prosecution sufficient opportunity to obtain the psychiatric and other evidence necessary to refute the proffered defense of mental infirmity” (*People v Berk*, 88 NY2d 257, 264 [1996] [internal quotation marks, citation and emphasis omitted]).

The legislature also intended to avoid the delay that would result from the surprise presentation of such evidence at trial, which, in fairness, would necessitate an adjournment so that the People could have the defendant examined by their own mental health expert and obtain the relevant medical records (*see* CPL 250.10 [3]). These principles apply equally whether the psychiatric evidence is offered in connection with a *mens rea* defense, or in connection with the defendant’s challenge to the voluntariness of his or her statements to the police. It is the very nature of psychiatric evidence that mandates the requirement of notice, if the defendant intends to rely on the evidence to negate the People’s evidence of guilt. Thus, it is entirely consistent with the purpose of the statute to construe the phrase “any other defense” as used in CPL 250.10 (1) (c) to apply to defendant’s offer of psychiatric evidence in support of his contention that due to his mental illness, his statements, which are direct evidence of guilt, must be rejected by the jury (*see e.g. People v Rumble*, 45 NY2d 879, 880-881 [1978]).

Moreover, our prior case law demonstrates that we have repeatedly construed the statute broadly in order to carry out

the legislative intent to ensure the fairness of the trial. For example, in *Berk*, we expanded the parameters of what constitutes “psychiatric evidence” under CPL 250.10, by holding that the plain language of the statute requires notice of an intention to offer psychiatric evidence irrespective of whether the expert actually examined the defendant (*Berk*, 88 NY2d at 263). In *People v Pitts*, the companion case to *Almonor*, the defendant timely served notice of his intention to offer psychiatric evidence relating to his acute stress disorder in connection with his insanity affirmative defense, but because the defendant did not timely notify the People that the same psychiatric evidence surrounding the defendant’s stress disorder was also going to be used to support a defense based on lack of assaultive intent, the court precluded the evidence (93 NY2d at 581). In other words, although the People were aware of the “general nature of the alleged psychiatric malady” the defendant sought to introduce, they had no notice of “its relationship to a particular, proffered defense” and thus they were “not . . . able to conduct a meaningful psychiatric examination of [their] own” (*id.*). We therefore held preclusion of the evidence was appropriate. In *People v Diaz* (15 NY3d 40 [2010]), we applied the notice requirement to mental health testimony provided by lay witnesses. We stated, “for purposes of the notice provision, psychiatric evidence, which we have broadly construed to encompass ‘any’ mental health evidence offered by a defendant, includes lay testimony” (*id.* at 47; *see also Segal*, 54 NY2d at 66-67 [expanding the statute, then limited to the insanity defense, to apply to a defense based on mental defect that negated intent]; *Matter of Lee v County Ct. of Erie County*, 27 NY2d 432, 441-442 [1971] [affording the prosecution the right to have its own expert examine the defendant who seeks to call a psychiatrist at trial]).⁹

9. Despite the dissent’s recognition that “a court cannot amend a statute by inserting words that are not there, nor will a court read into a statute a provision which the Legislature did not see fit to enact” (*Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85 NY2d 382, 394 [1995] [internal quotation marks and citation omitted]; *see Wilson, J.*, dissenting op at 174), this is precisely what the dissent does when it concludes that psychiatric evidence offered by defendant in connection with “any other defense” under subdivision (1) (c) “can only be meant to include evidence that would either raise a defense by creating reasonable doubt about the mens rea element of the crime or establish an affirmative defense” (*Wilson, J.*, dissenting op at 169). Where, as here, the legislature, in contrast to subdivision (1) (a) and (b), omitted the word “affirmative” from subdivision (1) (c), it is not appropriate

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The dissent asserts, among other things, that our interpretation of the statutory term “any other defense” in CPL 250.10 to mean what it plainly says—any other defense—somehow impinges on a defendant’s “constitutional right to present witnesses” and that CPL 250.10 assists the People in proving “what they *must*” (see Wilson, J., dissenting op at 167, 171). However, courts have long rejected the notion that a statutory pretrial notice requirement somehow shifts the People’s burden of proof or is a constitutional violation of the right to present a defense (see *People v Rodriguez*, 3 NY3d 462, 468-469 [2004]; see also *Leland v Oregon*, 343 US 790, 799-800 [1952]; *People v Kohl*, 72 NY2d 191, 193-194 [1988]). The statute simply provides the People pretrial access to generally unavailable evidence for the limited purpose of rebuttal, and requires a defendant to open the door to the People’s rebuttal by affirmatively presenting the psychiatric defense (see *Buchanan v Kentucky*, 483 US 402, 422-423 [1987]). As the United States Supreme Court has explained, “if a defendant requests such an evaluation or presents psychiatric evidence, then, at the very least, the prosecution may rebut this presentation” (*id.* at 422).¹⁰

As concluded by the courts below, the applicability of CPL 250.10 to the instant case is wholly consistent with our longstanding interpretation that there can be no surprise psychiatric evidence and that pretrial notice is necessary based upon “principles of fairness and the integrity of the trial process” (*Segal*, 54 NY2d at 65). Thus, in order not to defeat the purpose of the statute, we construe the phrase “any other defense,” as

for us to insert it. It was plainly the intent of the legislature to expand subdivision (1) (c) and require defendants to provide notice to the People when they seek to introduce psychiatric evidence in connection with “any other defense” (CPL 250.10 [1] [c]). The dissent’s narrow interpretation of this catchall phrase that is designed to be inclusive defeats the principle of fundamental fairness, which was the impetus for the statute.

10. The dissent’s discussion as to CPL 250.10’s applicability to suppression hearings (see Wilson, J., dissenting op at 172-173) involves an issue not before us as the argument was never raised in the trial court. This discussion also confuses the difference between the admissibility of a statement, a decision that may only be determined by the court, with the ability of the jury to determine the voluntariness of the statement at trial (see *People v Hamlin*, 71 NY2d 750, 761 [1988]; CPL 710.70). It further ignores that the CPL demands defendants provide pretrial notice of the legal grounds on which the suppression motion is made (CPL 710.60 [3] [a]). And lastly, timely notice under CPL 250.10 (2), i.e., “not more than thirty days after entry of the plea of not guilty to the indictment,” of a defense of mental illness as to the voluntariness of a statement, would provide the People ample opportunity to obtain rebuttal evidence before the pretrial suppression hearing.

used in CPL 250.10 (1) (c), to apply to psychiatric evidence offered by defendant in support of his contention that his statements to police were involuntary because his diagnosis of bipolar disorder rendered him incapable of understanding and waiving *Miranda* warnings.

B.

[4] Defendant next argues that the record belies the trial court's finding that preclusion of the evidence was warranted on the ground that the surprise evidence prejudiced the People. In support, he claims the record shows that the People were aware early on that defendant had a mental illness. However, there are two critical flaws in this argument. First, knowing that defendant had a mental illness did not put the prosecutor on notice that defendant intended to introduce evidence at trial that his diagnosis rendered him incapable of giving a voluntary statement to the police. To be sure, defendant never even raised this voluntariness argument at his *Huntley* hearing. Second, defendant's contention ignores the law that his own medical records are privileged until he waives the privilege (see *Matter of Lee*, 27 NY2d at 441). When defense counsel told the court that he had not received any hospital records from the prosecution, the court shrewdly observed that defendant's medical records were privileged and that the prosecution had no right to look at them. This is one of the primary reasons for CPL 250.10's existence. The People cannot have a mental health expert of their choosing examine a defendant nor can they obtain his or her medical records due to the privileged and confidential nature of the evidence, unless the defendant wants to affirmatively use a mental condition as evidence at trial, thereby waiving Fifth Amendment rights and statutory privileges (see *id.*; see also *Segal*, 54 NY2d at 64-65; CPLR 4507).

Finally, defendant contends that the court's refusal to excuse the lack of notice was an abuse of discretion since under the statute, the court may accept late notice "[i]n the interest of justice and for good cause shown" (CPL 250.10 [2]). The record flatly refutes defense counsel's claim that good cause was shown for his untimeliness. Defense counsel was fully aware that defendant had a long-standing history of mental health problems, including diagnoses of bipolar disorder and schizophrenia, as evidenced by the record of the CPL article 730 hearing, which took place a year before the trial. Furthermore,

on the second day of trial, defense counsel informed the court that he had been trying unsuccessfully to contact the psychiatrist witness “for weeks,” contradicting his current assertion that he did not plan to challenge the voluntariness of defendant’s statements to the police until hearing the officer’s trial testimony.

The trial court, after examining the psychiatrist outside the presence of the jury, precluded the evidence—a police form containing a mere diagnosis—as speculative on the issue of voluntariness and because the People had no opportunity to examine defendant or obtain rebuttal evidence. That the psychiatrist testified that he had no recollection of the examination of defendant is also part of this equation. So too is the fact that there is no indication in the record that a diagnosis of bipolar disorder renders a defendant incapable of knowingly and voluntarily waiving his *Miranda* rights. Thus, the court reasonably decided to preclude the evidence at trial. Defendant’s claim that the trial court abused its discretion in doing so is meritless.¹¹

CPL 250.10 was designed to preserve the integrity of the trial process predicated on a principle of fairness. Accordingly, the trial court neither erred nor abused its discretion in precluding defendant’s unnoticed psychiatric evidence as there was no justification for the surprise on this record, and to allow it would contradict the statutory purpose behind the notice requirement.

Accordingly, the order of the Appellate Division should be affirmed.

WILSON, J. (dissenting). “The right of an accused in a criminal trial to due process is, in essence, the right to a fair opportunity to defend against the State’s accusations” (*Chambers v Mississippi*, 410 US 284, 294 [1973]). Included in that right is the “chance to present his case in his own way” by calling witnesses and by entrusting their examination to either his

11. Even if the psychiatric evidence at issue here had been erroneously excluded, its preclusion would have been harmless beyond a reasonable doubt as there was overwhelming evidence of guilt and no significant probability that preclusion impacted the verdict (*see People v Crimmins*, 36 NY2d 230, 241-242 [1975]). Officers recovered a loaded weapon on defendant’s person after lawfully pulling him over in a car that he was driving without a valid license. Further, defendant spontaneously admitted his possession of the loaded gun when he said he would have shot the officer had he not been apprehended so quickly.

counsel or his own faculties (*McKaskle v Wiggins*, 465 US 168, 177 [1984]). The majority denies Mr. Silburn his chance in contravention of our precedents; I would reverse to grant him a new trial on that ground. I disagree with the majority's interpretation of CPL 250.10, but agree the error here was harmless, and therefore would not reverse on that ground.

I.

"[T]he right to self-representation embodies one of the most cherished ideals of our culture; the right of an individual to determine his own destiny" (*People v McIntyre*, 36 NY2d 10, 14 [1974]). Unless the accused has agreed to representation by counsel, "the defense presented is not the defense guaranteed him by the Constitution, for, in a very real sense, it is not *his* defense" (*Faretta v California*, 422 US 806, 821 [1975]). Of course, the Federal and New York Constitutions also guarantee that the accused will "have the Assistance of Counsel for his defence" (US Const Amend VI; *see also* NY Const, art I, § 6). Asserting the right to self-representation requires relinquishment of representation by competent counsel. Few defendants will possess the legal training and experience of counsel. Therefore, when a defendant makes a timely and unequivocal request to proceed pro se, we require trial courts to ascertain whether there has been a knowing and intelligent waiver of the right to counsel and whether the defendant's conduct would prevent a fair and orderly trial (*McIntyre*, 36 NY2d at 17). Here, Mr. Silburn timely and unequivocally asserted his right to represent himself, but the trial court defaulted in its duty to inquire. Accordingly, I would reverse Mr. Silburn's conviction and remand the case for a new trial.

The facts are as presented in the majority opinion. Two weeks before trial, Mr. Silburn requested to proceed pro se.

"THE DEFENDANT: Your Honor, excuse me, your Honor.

"THE COURT: Yes?

"THE DEFENDANT: I would like to know if I could proceed as pro se.

"MR. CHAIKIN [DEFENSE COUNSEL]: Pro se.

"THE COURT: In other words, you want to represent yourself?

"THE DEFENDANT: Not just that represent myself, but having limitation with my counsel—

“THE COURT: No, I don’t do that. You either have a lawyer, or you don’t have a lawyer. I don’t have legal advisors. You choose to represent yourself, you sit there by yourself. You want to have a lawyer, you have a lawyer.

“All Right?

“August 7 for conference.

“August 13 for trial.”

As that transcript makes clear, Mr. Silburn began by stating his unequivocal request to proceed pro se. He followed it with what any reader of *McIntyre*, “the foundation stone of our self-representation jurisprudence,” and its progeny would have considered a second unequivocal expression of that desire (*People v Crampe*, 17 NY3d 469, 481 [2011]; see *McIntyre*, 36 NY2d at 12-13 [treating Mr. McIntyre’s request that he “try the case himself and that counsel be permitted to sit with him as an adviser” as unequivocal]; see also *Crampe*, 17 NY3d at 477 [treating Mr. Wingate’s request that he proceed pro se with “an attorney to assist” as unequivocal]; *People v Providence*, 2 NY3d 579, 581-582 [2004] [treating Mr. Providence’s request that he “proceed pro se, with assigned counsel placed in a ‘standby’ role” as unequivocal]). The majority offers no explanation why Mr. Silburn should be treated differently from those who came before.

Nothing in Mr. Silburn’s two statements—his only statements before the court summarily concluded the hearing—supports the majority’s conclusion that his request to proceed pro se was *conditioned on*, rather than merely eventually *combined with*, his request for standby counsel. Consider the following illustration:

CUSTOMER: Sir, excuse me, sir.

CASHIER: Yes?

CUSTOMER: I would like to order a Big Burger.

CASHIER: In other words, you want two all-beef patties, special sauce, lettuce, cheese, pickles, onions on a sesame seed bun?

CUSTOMER: Not just that, but I would also like fries with it—

CASHIER: No, we don’t do that. You either have a Big Burger, or you have fries. We don’t serve combinations. You choose a Big Burger, you sit there without fries. You want fries, you have fries only.

All Right?

Next customer.

Would the cashier be justified in assuming the customer no longer desired a Big Burger and delivering an order of fries only? Should the customer go hungry for using a correlative conjunction?

There are two important differences that make Mr. Silburn's situation grave, when compared to a fast-food fiasco. First, the court is tasked with determining which of two fundamental constitutional rights Mr. Silburn wishes to choose, if he must forgo one. That determination demands far more concern and precision than a simple lunch order.¹ Ironically here, although a "lack of knowledge of legal principles" and "unfamiliarity with courtroom procedures" cannot bar defendants from exercising their right to self-representation, the majority's decision uses those exact shortcomings to prevent Mr. Silburn from requesting to exercise his right (*People v Davis*, 49 NY2d 114, 120 [1979]). Second, the customer and cashier are on even footing, whereas Mr. Silburn is far less versed in law than the court. (Indeed, customers can take their money to the burger joint next door; Mr. Silburn is rooted to his spot.) The majority frees courts from engaging in "any particular catechism"—at the price of imposing a precise one on defendants (majority op at 153, quoting *People v Rodriguez*, 95 NY2d 497, 502 [2000]). Yet who in that relationship has the pulpit?

Moreover, even assuming Mr. Silburn could be understood to have conditioned his request for self-representation on his request for the appointment of standby counsel, trial courts presented with those two requests should, if they deny the second, be required to ask defendants whether they prefer to reassert or recant the first. Mr. Silburn did not, as the majority would have it, remain equivocal despite having been informed of the scope of his right (majority op at 153); he remained silent. Given the court's decision to abruptly conclude the hearing after clarifying its rules, we cannot interpret that silence as consent to representation by counsel. Only by asking follow-up questions that ascertain defendants' true intentions can trial

1. The majority's complaint that my illustration trivializes Mr. Silburn's constitutional rights underscores their error: a cashier would not treat a customer's request for a burger and fries this way; should a court treat Mr. Silburn's request for his constitutional rights with less or greater regard (majority op at 152 n 2)? To "trivialize" something is to ascribe little worth or importance to it; who here has done so?

courts avoid Sixth Amendment violations and foreclose the majority's concern that wily defendants will "pervert the system" by spouting ambiguities in a "deliberate plot to manipulate the court" (majority op at 150, 152 n 3).

The injustice of the majority's approach is compounded by the fact that defendants reasonably expect their requests for standby counsel to be granted. It is unfair to punish a defendant for requesting what all assume—on the basis of our prior case law, their prior trials, the attestations of fellow inmates, the American Bar Association's (ABA) recommendations, or a colorable reading of the Sixth Amendment (*see McIntyre*, 36 NY2d at 13; *Crampe*, 17 NY3d at 475 [defendant "had previously represented himself with a lawyer's assistance"]; Erica J. Hashimoto, *Defending the Right of Self-Representation: An Empirical Look at the Pro Se Felony Defendant*, 85 NC L Rev 423, 485 [2007] ["In the overwhelming majority of cases . . . the defendant was afforded advisory counsel"]; ABA Standards for Criminal Justice: Special Functions of the Trial Court Judge standards 6-3.6–6-3.7 [3d ed 2000]; *People v Mirenda*, 57 NY2d 261, 267-269 [1982, Meyer, J., dissenting])—will be provided in the first place. "To allow the uninformed to unwittingly waive their right of self-representation merely by requesting standby counsel 'is to imprison a man in his privileges and call it the Constitution' " (*People v Dennany*, 445 Mich 412, 456, 519 NW2d 128, 147 [1994, Cavanagh, Ch. J., concurring in part and dissenting in part], quoting *Adams v United States ex rel. McCann*, 317 US 269, 280 [1942]; *see also Farett*, 422 US at 822-823 ["There is something specially repugnant to justice in using rules of practice in such a manner as to debar a prisoner from defending himself, especially when the professed object of the rules so used is to provide for his defence" (citation and internal quotation marks omitted)]). Here, although the trial court was not required to satisfy Mr. Silburn's request for standby counsel (*Mirenda*, 57 NY2d at 265), it erred in immediately curtailing any further conversation and thereby preventing the determination of whether Mr. Silburn wished to proceed pro se without any assistance of counsel.

The majority does not engage with Mr. Silburn's first request to proceed pro se. Instead, it rests its analysis on his second request, made two weeks after the first (majority op at 151). Neither the majority nor the People contend that the court's failure to conduct a *McIntyre* inquiry upon Mr. Silburn's initial request was cured by his subsequent request. Nor could they

plausibly argue that the second colloquy—which was, like the first, summarily curtailed by the court’s abruptly adjourning proceedings for the day—supports the proposition that Mr. Silburn’s initial request was conditioned on his receiving standby counsel. In that second colloquy, the court attempted to describe Mr. Silburn’s earlier position, saying “[Y]ou said you didn’t want to represent yourself.” Mr. Silburn immediately denied it: “I never said that.” The transcript plainly shows that Mr. Silburn, not the court, was correct.

In any event, Supreme Court also erred in refusing to contemplate even the possibility of assigning standby counsel. Whether to permit standby counsel is “a subject for the discretion of the Trial Judge” (*Mirenda* at 266; see majority op at 151). The U.S. Supreme Court has explained that “[t]he term ‘discretion’ implies the absence of a hard-and-fast rule. The establishment of a clearly defined rule of action would be the end of discretion” (*The Styria, Scopinich v Morgan*, 186 US 1, 9 [1902] [emphasis omitted]). “When invoked as a guide to judicial action, it means a sound discretion, that is to say, a discretion exercised not arbitrarily or willfully, but with regard to what is right and equitable under the circumstances” (*Langnes v Green*, 282 US 531, 541 [1931]). Our own precedents are equally clear that exercises of discretion must be rooted in “fact or circumstance” (*Matter of Superintendent of Banks of State of N.Y.*, 207 NY 11, 15 [1912]). We will intervene “where the trial court has either abused its discretion or exercised none at all” (*People v Smith*, 27 NY3d 652, 663 [2016] [brackets omitted]; see also *People v Williams*, 56 NY2d 236, 240 [1982] [(“T)his is an exercise of discretion that should be left to the trial court. But it is also an exercise of discretion that should be performed by the trial court”]). Our trial courts understand that discretion

“has long been recognized as requiring an actual exercise of judgment upon the part of the court . . . [that] necessitates a consideration by the court of the facts and circumstances which are necessary to make a sound, fair and just determination. The court is not permitted to arbitrarily establish a fixed policy to govern every case, as that is the exact antithesis of discretion” (*Application of Frazzita*, 147 NYS2d 11, 16-17 [Sup Ct, Jefferson County 1955]).

That antithesis—not the abuse of discretion, but its absence—

was on display here. Supreme Court did not consider any facts or circumstances in denying Mr. Silburn's request for standby counsel. Instead, it relied on a blanket policy against them—and later reiterated that policy, describing standby counsel as something "I don't allow."

Although we have determined that defendants choosing to proceed pro se have no constitutional right to standby counsel, that conclusion does not mean the decision should be left to the personal preferences of each trial judge, without consideration of the defendant's abilities, the nature, length and complexity of the case, or other factors bearing on the value of standby counsel. Pro se defendants may have no constitutional right to standby counsel, but that proposition does not mean that the availability of standby counsel should turn on the vicissitudes of which judge they happen to draw, whose discretionary decision will be unreviewable. Uniformity could be provided by statute or court rule.

II.

As I explain below, the majority has misinterpreted CPL 250.10. I would not reverse on that basis, however, because I agree with the majority that the error here was harmless beyond a reasonable doubt (majority op at 161 n 11).

A.

The majority interprets CPL 250.10 (1) (c) as defining psychiatric evidence to include testimony offered not only to negate an element of the crime, but also to attack the weight to be given evidence offered by the People. That newly expansive interpretation of a statute impinging somewhat on defendants' "constitutional right to present witnesses" in their own defense ignores the plain meaning of the provision as well as its legislative history and statutory context (*People v Berk*, 88 NY2d 257, 266 [1996]). Accordingly, I would hold that Mr. Silburn did not have to provide notice of his intention to introduce psychiatric evidence offered to persuade the jury to discount the evidentiary weight to be given to his statements to the police.

CPL 250.10 requires a defendant who intends to proffer psychiatric evidence at trial to provide notice of that intention within 30 days of pleading not guilty, and allows the People when served with such notice to apply for an order requiring the defendant to submit to an examination by the People's psy-

chiatrist or licensed psychologist (CPL 250.10 [2], [3]). It defines “psychiatric evidence” as:

“(a) Evidence of mental disease or defect to be offered by the defendant in connection with the affirmative defense of lack of criminal responsibility by reason of mental disease or defect.

“(b) Evidence of mental disease or defect to be offered by the defendant in connection with the affirmative defense of extreme emotional disturbance as defined in paragraph (a) of subdivision one of section 125.25 of the penal law and paragraph (a) of subdivision two of section 125.27 of the penal law.

“(c) Evidence of mental disease or defect to be offered by the defendant in connection with any other defense not specified in the preceding paragraphs.” (CPL 250.10 [1].)

The question is whether to read CPL 250.10 (1) (c) in the light of its fellow paragraphs or as an unheralded restriction on defendants’ ability to present their case.

The majority and I agree that in approaching that question “our primary consideration is to discern and give effect to the Legislature’s intention” and that “[e]vidence of legislative intent is ‘first sought in the words the Legislature has used’ ” (majority op at 155 [citations and internal quotation marks omitted]). The statutory text is the “best evidence” and “clear-est indicator” of legislative intent (*Kimmel v State of New York*, 29 NY3d 386, 392 [2017] [internal quotation marks omitted]; *Matter of Mestecky v City of New York*, 30 NY3d 239, 243 [2017]). To resolve questions of statutory interpretation, we therefore “rely first and foremost on the plain language of the statute and canons of statutory interpretation” (*Matter of Avella v City of New York*, 29 NY3d 425, 441 [2017, DiFiore, Ch. J., dissenting]). Included among those canons is the proposition that “[w]hen the statutory language at issue is but one component in a larger statutory scheme, it must be analyzed in context and in a manner that harmonizes the related provisions and renders them compatible” (*Mestecky*, 30 NY3d at 243 [internal quotation marks omitted]; see McKinney’s Cons Laws of NY, Book 1, Statutes § 97). Similarly, “[w]e have recognized that meaning and effect should be given to every word of a statute and that an interpretation that renders words or

clauses superfluous should be rejected” (*Mestecky* at 243 [internal quotation marks omitted]; see Statutes § 98 [a]). “[C]ourts should construe unambiguous language to give effect to its plain meaning” (*Mestecky* at 243).

Here, the plain language of CPL 250.10 (1) is susceptible to only one interpretation: “psychiatric evidence” includes only evidence of mental disease or defect offered in connection to an affirmative defense or an element of the crime charged. First, the “familiar principles of *ejusdem generis*”—invoked with particular force in this case by the reference in the term at issue to the “other” defenses “specified in the preceding paragraphs”—require we limit the general language of paragraph (c) by the specific phrases of paragraphs (a) and (b) (*People v Illardo*, 48 NY2d 408, 416 [1979] [internal quotation marks omitted]; see Statutes § 239 [b]). Those paragraphs enumerate certain statutory defenses that would, if established, completely exonerate the accused or mitigate the crimes charged—which is what a “defense” does. Read with its companions, paragraph (c) can only be meant to include evidence that would either raise a defense by creating reasonable doubt about the mens rea element of the crime or establish an affirmative defense (see Penal Law § 25.00; see e.g. *People v Rivers*, 281 AD2d 348 [1st Dept 2001] [notice required when defendant argued his use of a medication prescribed for liver trouble rendered him unaware of what he was doing at the time of the crime]; *People v Oakes*, 168 AD2d 893 [4th Dept 1990] [notice required when defendant argued his low IQ and susceptibility to being led by authority figures prevented him from knowingly and willingly giving false testimony]).²

2. The flaws in the majority’s definition can be illustrated by the following hypothetical: Imagine the police witnessed a defendant assault a fellow bar patron. That defendant tells her friends not to worry—she has a great defense—she intends to argue a video of the events in question should be suppressed as the fruit of an illegal search. Those friends would rightly object that that is no defense at all, and that the defendant should instead establish, e.g., an alibi, her infancy, or that she acted in self-defense.

The majority hypothesizes that in some cases a defendant’s confession is the sole or overwhelming evidence of guilt (majority op at 154). Even so, the nature of the prosecution’s proof does not convert a question of admissibility into a defense. Moreover, the majority rests its hypothetical on a trial in which “[t]he People’s case, in addition to the inculpatory statements, included two eyewitnesses to the crime” and the People admitted they “were uncertain as to whether they were going to introduce defendant’s statements” (*People v Miller*, 28 NY3d 355, 357 [2016]). The inapposite citation suggests the

(n. cont’d)

Second, the majority's expansive interpretation of paragraph (c) would impermissibly reduce paragraphs (a) and (b) to mere surplusage. There would be no reason to specify certain defenses in those paragraphs if (c) is meant, as the majority suggests, to apply to all psychiatric evidence whatsoever. In fact, there would be no reason to retain *any* of the 92 words of CPL 250.10 (1) that follow "[a]s used in this section, the term 'psychiatric evidence' means: (a) Evidence of mental disease or defect to be offered by the defendant." What, in the majority's view, are we to make of the remaining 81% of the subdivision? Only the more limited interpretation propounded by Mr. Silburn gives meaning to paragraphs (a) and (b) while allowing them to inform the meaning of paragraph (c).

It is unsurprising, then, that prior decisions of this Court have understood CPL 250.10 (1) (c) in the same, limited terms. In *People v Almonor*, which comprehensively dissected the statute's three classifications, we defined the defense described in CPL 250.10 (1) (c) as "a *mens rea*-type defense" that "serves to negate a specific intent necessary to establish guilt" (93 NY2d 571, 580 [1999]). Similarly, in *People v Gonzalez*, we summarized all three paragraphs of CPL 250.10 (1) as operating "in connection with the defenses of lack of criminal responsibility" (22 NY3d 539, 545 [2014]). Yes, those statements are dicta. But they are suggestive of how "the statutory language is generally construed according to its natural and most obvious sense"—and thus further evidence of how effect should be given to it here (Statutes § 94).³ The unambiguous meaning of CPL 250.10 allows no other result.

hypothesized case is infrequent. Even were such cases common, I would nevertheless rest easy if the worst consequence of preferring the People's statutory pronouncements to the People's ease is that a prosecutor may someday have difficulty convincing a jury to convict primarily on the confession of defendants too mentally impaired to have waived their *Miranda* rights.

3. Last year's Report of the Advisory Committee on Criminal Law and Procedure to the Chief Administrative Judge of the Courts of the State of New York (Jan. 2017) is similarly suggestive. Its discussion of CPL 250.10 recommends amending subdivision (1) (c) to refer to "any other defense or claim"—a step that would be unnecessary if the many luminaries on that committee shared the majority's expansive interpretation of the current statute (Report at 71). Additionally, that report's conclusion that the statute applies only to evidence of the defendant's mental disease or defect, and not to evidence of a third party's—even though such evidence might be relevant to, e.g., a justification defense—undermines the majority's claim that the statute was intended to eliminate all surprise (*id.*; see also CPL 250.10 [3] [allowing the People to apply for an order requiring the "defendant submit to an examination"]).

Were we to look beyond the unambiguous language for evidence of the legislature's intent, the legislative history and statutory context of the provision fully support the above interpretation. That history begins with the 1963 amendments to former Code of Criminal Procedure § 336. Those amendments were adopted to solve two specific problems that arose when a defendant surprised the People and the court by raising an insanity defense once a jury was impaneled: first, the inevitable adjournments that "disturb[ed] the orderly progress of the trial, and could involve the reordering of proof and witnesses, all to the disservice of the court proceedings and the trier of fact" (*Almonor*, 93 NY2d at 579); second, the prospect that even those adjournments might provide the People "insufficient opportunity to obtain the psychiatric and other evidence necessary . . . to establish, as they must, the defendant's sanity beyond a reasonable doubt" (*People v Berk*, 88 NY2d 257, 264 [1996], quoting Mem of Commn on Rev of Penal Law and Crim Code following L 1963, ch 595, reprinted in 1963 McKinney's Session Laws of NY at 1986). The Code's new notice provision "avoid[ed] delay" and "enable[d] the People to have defendant examined by their own experts within close temporal proximity to the offense" (*id.* at 265). It came into being not to provide the People a preview of defendant's arguments, or to eliminate all surprise for its own sake—many things at trial are surprising—but to make it possible for them, within the limits imposed by the right to present a defense (*see* Letter from Thomas F. McCoy, St Administrator of Jud Conf, Apr. 15, 1963, Bill Jacket, L 1963, ch 595 at 6), to do their job without *unfair* surprise—that is, to make it possible for them in insanity defense cases, which turn on psychiatric evidence, to establish what they *must*.

The extension of the statute from insanity to other psychiatric defenses followed a similar rationale. In 1981, we applied the logic of Code of Criminal Procedure § 336, by then operating under its present designation in the CPL, to a defendant's effort to introduce psychiatric evidence showing he suffered a memory impairment and thus lacked the intent to provide false testimony that was an essential element of the People's perjury charge (*People v Segal*, 54 NY2d 58 [1981]). The "basic point" of the notice provision has always been the need to make it possible for the People to fulfill their obligation, which is "fundamentally" to "prove every element of the crime, including intent whenever relevant" (*id.* at 66). Without notice of psy-

chiatric evidence that might undermine proof of an element of the crime, it would be simply impossible—rather than merely more difficult—for the People to carry that burden. Thus, “[a]lthough proof of a mental defect other than insanity may not have acquired the status of a statutory defense, and will not constitute a ‘complete’ defense in the sense that it would relieve the defendant of responsibility for all his acts[,] it may in a particular case negate a specific intent necessary to establish guilt” (*id.* [citations omitted]). In such a case, *Segal* held, notice was required. The following year, the legislature codified that holding by adding paragraphs (b) and (c)—thereby writing *Segal*’s narrow interpretation of what constitutes a defense for CPL 250.10 (1) (c) purposes into the law as it stands today (majority op at 156; William C. Donnino, Practice Commentaries, McKinney’s Cons Laws of NY, Book 11A, CPL 250.10 at 361 [2014 ed]). That we have since furthered the narrow purpose of the statute by broadly defining who is capable of offering psychiatric evidence is not license to interpret the purpose itself more broadly than the legislature intended (*Berk*, 88 NY2d 257; *People v Diaz*, 15 NY3d 40 [2010]; *but see Gonzalez*, 22 NY3d 539).

The statutory context of CPL 250.10 (1) cleanly illustrates the legislature’s intent to have paragraph (c) operate only in the limited cases suggested by its plain language and legislative history. CPL 250.10 (2) brings the machinery of the section to life only when a defendant intends to proffer psychiatric evidence “upon a trial”; notice is not required before offering identical evidence at a pretrial hearing. Had Mr. Silburn proffered Dr. Elie’s notes to contest the validity of his *Miranda* waiver at his suppression hearing—21 months into a 24-month pretrial detention period—but not planned to introduce them at trial, he would not have been required to provide notice at all. The majority has not provided an explanation of why evidence that could have been presented, without notice, at a hearing presents such a threat to the principle of fundamental fairness when adduced at trial. Instead, the majority argues that as a practical matter, “timely notice . . . would provide the People ample opportunity to obtain rebuttal evidence before the pretrial suppression hearing” (majority op at 159 n 10). That rejoinder misses the very point of my argument: very different types of psychiatric-evidence-based arguments are presented at suppression hearings and at trial. That focus on the trial itself strongly suggests the legislature intended to require

notice of psychiatric evidence that proved the defenses typically raised at trial, and did not intend to bring into CPL 250.10's ambit psychiatric evidence that addressed the evidentiary issues, not generally fatal to the People's case, typically raised at pretrial hearings.⁴

"This result does not offend the important policy considerations underlying the notice requirement" (*Gonzalez*, 22 NY3d at 548). In disagreeing with the majority's interpretation, I do not dispute that CPL 250.10 furthers a "compelling" purpose, as it must to withstand the close scrutiny that attends any restriction on defendants' right to call witnesses on their behalf (*Almonor*, 93 NY2d at 581; *Ronson v Commissioner of Corr. of State of N.Y.*, 604 F2d 176 [2d Cir 1979]). When defendant seeks only to challenge evidence through which the People can prove their case, however, rather than a required element of the offense or an affirmative defense, the concern for preventing unfair surprise is reduced. We, no less than the trial courts, "must be vigilant in weighing a defendant's constitutional rights against the resultant prejudice to the People from the belated notice" (*People v Diaz*, 15 NY3d 40, 47 [2010] [internal quotation marks omitted]). Here, that vigilance requires us to enforce the balance set by the legislature rather than bolster the People's position in ways that the legislature never intended. Adjusting that balance is not a task for this Court (see *Matter of Chemical Specialties Mfrs. Assn. v Jorling*, 85

4. The difference is plainly rooted in type rather than timing. The legislature's intent in passing CPL 250.10 was to prevent two unfortunate consequences of introducing psychiatric evidence without prior notice: delaying the proceedings and delaying the prosecution's opportunity to obtain countervailing evidence that might be lost forever to the vagaries of mental health conditions if the People's psychiatrist did not examine the defendant shortly after the offense. The first consequence is of less concern in a suppression hearing, which is less likely to be compromised by a brief adjournment than is a jury trial already underway. The second consequence, however, is fully present; the suppression hearing will take place months or years after the contested statements. The opportunity to obtain reliable countervailing psychiatric evidence—the "primary aim of the pretrial notice requirement" (*Berk*, 88 NY2d at 264)—will be lost without notice, and yet notice is not required, even though the potential impact on the People's case—outright exclusion, rather than the possibility of a jury discounting evidence it has already been presented—is much greater. CPL 710.60 (3) does not, despite the majority's effort to equate it to CPL 250.10, require before suppression hearings anything like the early notice required before introducing psychiatric evidence at trial. Instead, it allows the court to "summarily deny the [suppression] motion if . . . [t]he motion papers do not allege a ground constituting legal basis for the motion" (CPL 710.60 [3] [a]).

NY2d 382, 394 [1995] [(A) court cannot amend a statute by inserting words that are not there, nor will a court read into a statute a provision which the Legislature did not see fit to enact”).

Here, the very fact that the error is harmless reinforces the difference between a “defense”—at which the statute is directed—and the weight or admissibility of evidence at trial, at which the statute is not directed. That is, even if the jury completely credited the psychiatric testimony, treated Mr. Silburn’s *Miranda* waiver as ineffective, and utterly disregarded his subsequent inculpatory statements, no reasonable jury could have acquitted him. The psychiatric evidence, therefore, was unrelated to any “other defense,” and is not subject to CPL 250.10.

B.

Trial courts have the discretion to permit belated notice of an intent to proffer psychiatric evidence at any time “[i]n the interest of justice and for good cause shown” (CPL 250.10 [2]). The majority rejects Mr. Silburn’s claim that, assuming notice was required, the trial court abused that discretion in refusing to permit late notice. In so doing, it propagates the trial court’s confusion over which party had custody of the records in question. The evidence the defendant sought to introduce was not a privileged medical record but a “police form” (majority op at 161). It was generated under the auspices of, and retained by, law enforcement officials. As such, it could have been admitted and the suppression issue argued without causing much more unfair surprise to the People than the unnoticed extreme emotional disturbance defense advanced on the People’s proof that we approved in *Gonzalez* (22 NY3d at 548). Where the People should not have been surprised by the evidence, the relevance of Mr. Silburn’s mental health to the voluntariness of his confession was not plain until the interrogating officer testified at trial, and Mr. Silburn relied in good faith on what I believe to have been the correct, and on what was certainly a colorable, interpretation of CPL 250.10 in declining to provide notice, it was error for the trial court to refuse late notice under the statute. However, because I agree that the court was justified in precluding the evidence for its lack of probative value, and because the error would have been harmless, I concur in the result reached by the majority on this aspect of the CPL 250.10 question as well.

Accordingly, I would reverse Mr. Silburn's conviction and remand the case for a new trial before which his motion to proceed pro se, if renewed, could receive the requisite attention from the court.

RIVERA, J. (dissenting). Defendant Spence Silburn claims he was deprived of his constitutional right to self-representation when the trial judge treated his unequivocal request to proceed pro se as if it were conditioned on receiving the assistance of standby counsel. This particular trial judge had a uniform rule against "legal advisors," and informed the defendant that, in his courtroom, "[y]ou either have a lawyer, or you don't have a lawyer." The judge assumed that, given this binary choice, the defendant retracted his request to represent himself.

The judge's policy of denying all requests for standby counsel, regardless of the seriousness of the case or the defendant's sentencing exposure, appears based on this Court's decision in *People v Mirenda*, in which a majority of this Court held that "[a] defendant has no constitutional right . . . to the assistance of a lawyer while conducting a *pro se* defense" (57 NY2d 261, 264 [1982]). Over 3½ decades ago, when the Court decided *Mirenda*, access to standby counsel was understood to be primarily "a matter of trial management" (*id.* at 266). The constitutional right to proceed pro se was, then, only a few years old (*see People v McIntyre*, 36 NY2d 10 [1974] [recognizing a right to proceed pro se under the New York State Constitution]; *Faretta v California*, 422 US 806 [1975] [recognizing the same under the Federal Constitution]). The American Bar Association Standards for Criminal Justice, which have proved the preeminent restatement of constitutional norms and best practices (*see* Hon. Martin Marcus, *The Making of the ABA Criminal Justice Standards: Forty Years of Excellence*, 23 Crim Just 10 [Winter 2009]), and which this Court cited in its decision in *Mirenda* (*see* 57 NY2d at 266), said relatively little at the time about standby counsel or when defendants were entitled to it, other than to suggest mandatory appointment for the most serious and complex of cases (*see* ABA Standards for Criminal Justice, Special Functions of the Trial Judge, standard 6-3.7 [2d ed] [observing that "the trial judge should consider the appointment of standby counsel" and that such counsel "should always be appointed in cases expected to be long or complicated or in which there are multiple defendants"]). The formal status of standby counsel was, then, a newly legal and mostly untested development.

More than 30 years' experience has demonstrated the importance of standby counsel for enabling defendants to vindicate their fundamental constitutional rights. It is now widely acknowledged that standby counsel help strike the delicate, necessary balance between defendants' constitutional right to counsel and their constitutional right to proceed pro se. This is reflected in the updated edition of the American Bar Association Standards for Criminal Justice, Special Functions of the Trial Judge, which now calls for the mandatory appointment of standby counsel where a defendant faces a capital charge or the possibility of lifetime imprisonment without parole, and observes categorically that "[s]tandby counsel should ordinarily be appointed" not only where "trials [are] expected to be long or complicated or in which there are multiple defendants" but also "in any case in which a severe sentence might be imposed" (ABA Standards for Criminal Justice, Special Functions of the Trial Judge, standard 6-3.7 [a] [3d ed]; see also *id.*, Commentary ["The overriding interest in appointing standby counsel . . . is to facilitate the function of the criminal justice process, while protecting the autonomy of the defendant and the principles and policies underlying the right to counsel"]; Anne Bowen Poulin, *The Role of Standby Counsel in Criminal Cases: In the Twilight Zone of the Criminal Justice System*, 75 NYU L Rev 676 [2000] [exploring the importance of standby counsel to the criminal justice system]; Jona Goldschmidt, *Judging the Effectiveness of Standby Counsel: Are They Phone Psychics? Theatrical Understudies? Or Both?*, 24 S Cal Rev L & Soc Just 133 [2015] [arguing for a constitutional right to standby counsel]). This near-universal agreement on the importance of standby counsel reflects a shift in prevailing legal norms. In other words, times have changed and the trend has been in favor of appointment of standby counsel to ensure the rights of the accused and the integrity of our criminal justice system.*

Nevertheless, defendant does not challenge whether the trial judge's unwavering rule against standby counsel is permissible under *Mirenda*, nor does he directly attack *Mirenda*'s holding. Instead, he claims that he made an unequivocal request to proceed pro se, not conditioned on his additional request for legal assistance. Given defendant's challenge as limited on ap-

* Defense counsel represented at oral argument that few New York courts bar standby counsel based on a categorical rule and the vast majority provide for their appointment.

peal to this Court, I agree, for the reasons discussed in Judge Wilson's dissent, that defendant is entitled to a new trial because he was deprived of his constitutional right to proceed pro se. I also agree with the dissent's analysis of CPL 250.10 and its conclusion that the majority has misinterpreted the statutory language and legislative purpose of the notice requirement as applied to subdivision (1) (c), but, on the facts of this case, the trial court error was harmless.

Judges STEIN, FAHEY, GARCIA and FEINMAN concur; Judge WILSON dissents in an opinion, in which Judge RIVERA concurs in a separate dissenting opinion.

Order affirmed.

[99 NE3d 858, 75 NYS3d 465]

RICHARD ALTMAN, Respondent, v 285 WEST FOURTH LLC, Appellant.

Argued March 22, 2018; decided April 26, 2018

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 4, 2016. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Michael L. Katz, J.), which had (1) awarded plaintiff damages for rent overcharges, including treble damages and prejudgment interest; (2) declared the premises subject to the Rent Stabilization Law and Regulations of the State and City of New York; (3) directed defendant to tender a lease to plaintiff; (4) directed defendant to register the premises as a rent-stabilized apartment; (5) set the legal rent at \$1,829.49 until the apartment is properly registered; (6) following tender and registration, set the legal rent at \$2,195.39 per month thereafter; and (7) referred the issue of attorney's fees to a referee. The appeal brings up for review a prior nonfinal order of that Appellate Division, entered April 28, 2015. The Appellate Division (1) modified, on the law, an order and judgment (one paper) of that Supreme Court (Donna M. Mills, J.; op 2014 NY Slip Op 32702[U] [2014]), which had (a) granted defendant's cross motion for summary judgment to the extent of dismissing the complaint, adjudging the issue of rent stabilization in defendant's favor; (b) declared that plaintiff is not entitled to the protection of rent stabilization in connection with his occupancy of the subject apartment; and (c) granted plaintiff's motion for consolidation and to dismiss certain counterclaims and affirmative defenses only to the extent of dismissing the counterclaims for sanctions and fraud; and (2) remanded the matter for calculation of the amount of rent overcharge owed to plaintiff. The modification consisted of denying defendant's cross motion for summary judgment in its entirety, granting summary judgment to plaintiff and declaring that plaintiff's tenancy is entitled to rent stabilization protection. The Appellate Division affirmed the order and judgment as modified.

Altman v 285 W. Fourth LLC, 127 AD3d 654, reversed.

Altman v 285 W. Fourth LLC, 143 AD3d 415, reversed.

HEADNOTE**Landlord and Tenant — Rent Regulation — Calculation of Legal Regulated Rent — Vacancy Increase**

The 20% vacancy increase set forth in Rent Stabilization Law of 1969 (Administrative Code of City of NY) § 26-511 (c) (5-a) should be included when calculating the legal regulated rent for purposes of determining whether an apartment has reached the \$2,000 deregulation threshold in the Rent Stabilization Law. Accordingly, plaintiff tenant's apartment was properly deregulated because its rent exceeded \$2,000 once the statutory vacancy increase was added to the last regulated rent. It is reasonable to read the plain language of Rent Stabilization Law § 26-504.2 (a) to refer to the legal regulated rent, including the available statutory increases, applicable to the apartment after the tenant's vacancy. Moreover, the legislature clearly intended to include the vacancy increase, as it added a second clause to the statute in response to restrictions imposed by the New York City Council preventing vacancy bonuses and owner improvements from being considered in reaching the \$2,000 threshold.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Landlord and Tenant §§ 909–913.

NY JUR 2d Landlord and Tenant §§ 434, 444, 453.

ANNOTATION REFERENCE

See ALR Index under Landlord and Tenant; Rent.

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Query: rent-stabilization /s increase /3 vacancy & de-regulat!

POINTS OF COUNSEL

Rosenberg & Estis, P.C., New York City (*Jeffrey Turkel* and *Blaine Z. Schwadel* of counsel), and *Amsterdam & Lewinter, LLP*, New York City (*Mark L. Amsterdam*, *Mark Lewinter* and *Joseph P. Mitchell* of counsel), for appellant. I. The subject apartment has been lawfully deregulated under Rent Stabilization Law (Administrative Code of City of NY) § 26-504.2. (*McSweeney v Bazinet*, 269 App Div 213, 295 NY 797; *People v Hardy*, 128 AD3d 1453; *Matter of Gerald R.M.*, 12 AD3d 1192; *Colbert v International Sec. Bur.*, 79 AD2d 448, 53 NY2d 608; *Rangolan v County of Nassau*, 96 NY2d 42; *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55; *Jemrock Realty Co., LLC v Krugman*, 13 NY3d 924;

Matter of Shannon, 25 NY3d 345; *Dixon v 105 W. 75th St. LLC*, 148 AD3d 623; *Matter of 300 W. 49th St. Assoc. v New York State Div. of Hous. & Community Renewal, Off. of Rent Admin.*, 212 AD2d 250.) II. The amount of the award of rent overcharge is improper. (*Jemrock Realty Co., LLC v Krugman*, 13 NY3d 924; *Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270; *Borden v 400 E. 55th St. Assoc., L.P.*, 24 NY3d 382; *Matter of Boyd v New York State Div. of Hous. & Community Renewal*, 23 NY3d 999; *Matter of Grimm v State of N.Y. Div. of Hous. & Community Renewal Off. of Rent Admin.*, 15 NY3d 358; *Conason v Megan Holding, LLC*, 25 NY3d 1; *Todres v W7879, LLC*, 137 AD3d 597, 28 NY3d 910; *Mohassel v Fenwick*, 5 NY3d 44.)

Lawrence W. Rader, New York City, for respondent. I. The apartment remains rent-stabilized, because it was never vacant and there were no improvements. (*Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270; *Altschuler v Jobman 478/480, LLC*, 2013 NY Slip Op 30208[U]; *Randall Assoc., LLC v Davis*, 20 Misc 3d 1116[A], 2008 NY Slip Op 51363[U]; *Lerner v W7879 LLC*, 2012 NY Slip Op 32402[U]; *Matter of Smith v State of N.Y. Div. of Hous. & Community Renewal*, 2010 NY Slip Op 31648[U]; *132132 LLC v Strasser*, 19 Misc 3d 658; *111 on 11 Realty Corp. v Norton*, 189 Misc 2d 389; *Jazilek v Abart Holdings LLC*, 41 AD3d 124, 10 NY3d 943, 72 AD3d 529; *Cates-Reither v 160 E. 48th St. Owner II LLC*, 2017 NY Slip Op 30809[U]; *Koval v St. Nicholas 175 Assoc. LLC*, 2017 NY Slip Op 31156[U].) II. The issues in this appeal are solely legal questions, and this Court need not defer to the Division of Housing and Community Renewal. Its rulings are neither persuasive nor controlling. (*Matter of Excellus Health Plan v Serio*, 2 NY3d 166; *Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303.) III. Recent Appellate Division decisions have not overruled this case; they reach correct results on completely different facts. (*Dixon v 105 W. 75th St. LLC*, 148 AD3d 623; *Matter of 18 St. Marks Place Trident LLC v State of New York Div. of Hous. & Community Renewal, Off. of Rent Admin.*, 149 AD3d 574; *Matter of Park v New York State Div. of Hous. & Community Renewal*, 150 AD3d 105; *Aimco 322 E. 61st St., LLC v Brosius*, 50 Misc 3d 10; *233 E. 5th St. LLC v Smith*, 54 Misc 3d 79; *Smith v Acquisition Am. VIII, LLC*, 2017 NY Slip Op 31386[U].) IV. The landlord's dire predictions should be ignored. (*Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270; *East Four-Forty Assoc. v Ewell*, 138 Misc 2d 235; *C.S.A. Contr. Corp. v New York City School Constr. Auth.*, 5 NY3d 189; *Mat-*

ter of Higby v Mahoney, 48 NY2d 15; *Northrup v Northrup*, 43 NY2d 566.) V. The 2015 amendments to the Rent Stabilization Code make it absolutely clear that the “legal regulated rent” sufficient for decontrol is the rent which was being paid by the departed tenant, regardless of any permitted increases. (*Matter of Knight-Ridder Broadcasting v Greenberg*, 70 NY2d 151; *Matter of Schmidt v Falls Dodge, Inc.*, 19 NY3d 178; *RKO-Keith-Orpheum Theatres, Inc. v City of New York*, 308 NY 493; *Palladino v CNY Centro, Inc.*, 23 NY3d 140.) VI. The amount of the overcharge judgment is correct in all respects. It properly includes prejudgment interest and excludes any interim rent increases. (*Randall Assoc., LLC v Davis*, 20 Misc 3d 1116[A], 2008 NY Slip Op 51363[U]; *Altschuler v Jobman 478/480, LLC.*, 135 AD3d 439, 28 NY3d 945, 29 NY3d 903; *72A Realty Assoc. v Lucas*, 101 AD3d 401; *Fav 45 LLC v McBain*, 42 Misc 3d 1231[A], 2014 NY Slip Op 50292[U]; *Conason v Megan Holding, LLC*, 25 NY3d 1, 25 NY3d 1193; *Matter of Grimm v State of N.Y. Div. of Hous. & Community Renewal Off. of Rent Admin.*, 15 NY3d 358; *Thornton v Baron*, 5 NY3d 175; *Ernest & Maryanna Jeremias Family Partnership, LP v Matas*, 39 Misc 3d 1206[A], 2013 NY Slip Op 50505[U]; *Bradbury v 342 W. 30th St. Corp.*, 84 AD3d 681; *Mohassel v Fenwick*, 5 NY3d 44, 5 NY3d 825.)

Belkin Burden Wenig & Goldman, LLP, New York City (Magda L. Cruz, Sherwin Belkin and Matthew S. Brett of counsel), for Rent Stabilization Association of New York City, Inc. and others, amici curiae. A reinterpretation of well-settled law widely relied upon by owners cannot be used to impose extreme draconian penalties against owners. (*Jemrock Realty Co., LLC v Krugman*, 13 NY3d 924; *Roberts v Tishman Speyer Props., L.P.*, 62 AD3d 71, 13 NY3d 270; *206 W. 104th St., LLC v Cohen*, 41 Misc 3d 134[A], 2013 NY Slip Op 51858[U]; *126 W. 25th St. Realty Co. v Chea*, 40 Misc 3d 141[A], 2013 NY Slip Op 51485[U]; *167 8th Ave LLC v Leishman*, 2012 NY Slip Op 31055[U]; *Aimco 322 E. 61st St., LLC v Brosius*, 50 Misc 3d 10; *233 E. 5th St. LLC v Smith*, 54 Misc 3d 79; *Matter of 18 St. Marks Place Trident LLC v State of New York Div. of Hous. & Community Renewal, Off. of Rent Admin.*, 149 AD3d 574; *Breen v 330 E. 50th Partners, L.P.*, 154 AD3d 583; *Dixon v 105 W. 75th St. LLC*, 148 AD3d 623.)

Hogan Lovells US LLP, New York City (Pieter Van Tol, David R. Michaeli and Daryl L. Kleiman of counsel), for Urban Justice Center and others, amici curiae. I. The Appellate

Division's holding is correct. (*154 Realty Corp. v Fischer*, 19 Misc 2d 989; *Steiner v Laskin*, 17 Misc 2d 141; *Empire State, Inc. v Graceline Handbags, Inc.*, 192 Misc 679; *Blitzkrieg Amusement Corp. v Rubenstein Bros. Drinks, Inc.*, 184 Misc 975; *Berfond v Hoffman*, 65 Misc 2d 506; *132132 LLC v Strasser*, 24 Misc 3d 140[A], 2009 NY Slip Op 51694[U]; *Lerner v W7879 LLC*, 2012 NY Slip Op 32402[U]; *Matter of Smith v State of N.Y. Div. of Hous. & Community Renewal*, 2010 NY Slip Op 31648[U]; *111 on 11 Realty Corp. v Norton*, 189 Misc 2d 389; *People v Smith*, 139 AD3d 131.) II. The recognized public policy purpose of the Rent Stabilization Law weighs strongly in favor of affirming the decision below. (*233 E. 5th St. LLC v Smith*, 54 Misc 3d 79.)

Ezra Kautz, Brooklyn, for Make the Road New York and another, amici curiae. I. Expanding decontrol beyond the explicit language of Rent Stabilization Law (Administrative Code of City of NY) § 26-504.2 would be inconsistent with the statutory structure and remedial purpose of the Rent Stabilization Law. (*People v Bourne*, 139 AD2d 210; *Matter of Coffina v New York State Div. of Hous. & Community Renewal*, 61 AD3d 404; *Matter of Cintron v Calogero*, 15 NY3d 347; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201; *Jericho Water Dist. v One Call Users Council, Inc.*, 10 NY3d 385; *Van Amerogen v Donnini*, 78 NY2d 880; *Matter of Charles*, 200 Misc 452, 279 App Div 741, 304 NY 776.) II. Nothing in the text of the statute supports deregulation based on hypothetical rent increases during vacancy. (*Frank v Meadowlakes Dev. Corp.*, 6 NY3d 687.) III. Inconclusive legislative history cannot enact what statute fails to express. (*People v Smith*, 139 AD3d 131; *Braschi v Stahl Assoc. Co.*, 74 NY2d 201; *Archer v Equitable Life Assur. Socy. of U. S.*, 218 NY 18; *Henry Modell & Co. v Minister, Elders & Deacons of Ref. Prot. Dutch Church of City of N.Y.*, 68 NY2d 456.)

OPINION OF THE COURT

Chief Judge DiFiore.

The issue on this appeal is whether the 20% vacancy increase should be included when calculating the legal regulated rent for purposes of determining whether the subject apartment has reached the \$2,000 deregulation threshold in the Rent Stabilization Law. We conclude that the vacancy increase must be included in that calculation.

In November 2003, plaintiff Richard Altman entered into a sublease with Keno Rider, who had been the tenant of the

subject apartment since 1993. Rider had a rent-stabilized lease with the prior landlord at a legal regulated rent of \$1,829.49 per month. In December 2004, the prior landlord commenced a nonpayment proceeding against Altman and Rider. In March 2005, Altman and the prior landlord entered into a stipulation of settlement, under which the parties agreed that Rider would surrender all rights to the apartment and the landlord would deliver a new lease to Altman. Along with the new lease, Altman executed a “Deregulation Rider for First Unregulated Tenant.” The deregulation rider stated that the apartment was not rent-stabilized “because the legal rent was or became \$2000 or more on vacancy” after the statutory vacancy increase was added to the last regulated rent. In August 2005, the landlord removed the apartment from registration with the Division of Housing and Community Renewal (DHCR), based on “high rent vacancy.”

Defendant 285 West Fourth LLC (the owner) subsequently purchased the premises and, in 2007, entered into a fair market renewal lease with Altman at a monthly rent of \$2,600. At that time, the parties also executed an agreement acknowledging that the apartment was not subject to rent stabilization. Under the terms of the agreement, Altman agreed to refrain from challenging the nonregulated status of the apartment and further agreed that, if he did so, it would be “conclusively presumed” that he had entered the agreement with the intent to obtain its benefits by fraud in the inducement.

Beginning in 2008 and continuing until early 2014, the owner commenced a series of nonpayment proceedings against Altman. In his answers to the petitions for nonpayment, Altman did not challenge the apartment’s deregulated status. Then, in June 2014, Altman brought this action seeking a declaration that the premises are subject to rent stabilization, an injunction requiring defendant to offer Altman a rent-stabilized lease, a determination of lawful rent and a money judgment for the rent overcharge. The owner answered and raised several affirmative defenses, as well as two counterclaims seeking sanctions and punitive damages. Altman moved to dismiss the owner’s counterclaims and certain affirmative defenses, and the owner cross-moved for summary judgment dismissing the complaint.

Supreme Court granted the owner’s cross motion for summary judgment dismissing the complaint (2014 NY Slip Op 32702[U] [2014]). The court declared that Altman was not

entitled to the protection of rent stabilization because the apartment had become exempt in March 2005 pursuant to Rent Stabilization Law (Administrative Code of City of NY) § 26-504.2 (a) when the legal regulated rent—including the 20% vacancy increase—exceeded \$2,000. Supreme Court granted Altman’s motion only to the extent of dismissing the owner’s counterclaims for sanctions and punitive damages.

The Appellate Division modified by denying the owner’s cross motion for summary judgment in its entirety, granting Altman summary judgment, and declaring that Altman’s tenancy was entitled to the protection of rent stabilization and, as so modified, affirmed (127 AD3d 654 [1st Dept 2015]). The Court held that, although the owner was entitled to a 20% rent increase for Altman’s initial lease, that increase did not serve to deregulate the apartment because the rent was not over \$2,000 at the time the prior tenant vacated the premises. The Court remanded the matter to Supreme Court for calculation of the rent overcharge due to Altman.

Supreme Court entered judgment in Altman’s favor in the amount of \$165,363.80, including treble damages and prejudgment interest, and set the legal rent at \$1,829.49 until the owner registered the premises with DHCR as a rent-stabilized apartment. The Appellate Division affirmed (143 AD3d 415 [1st Dept 2016]). We granted the owner leave to appeal (29 NY3d 903 [2017]) and now reverse.

Under the Rent Stabilization Law, rent-stabilized apartments are subject to certain statutory rent increases, including a 20% increase for a two-year lease upon vacancy (Rent Stabilization Law § 26-511 [c] [5-a]). In addition, Rent Stabilization Law § 26-504.2 (a) provides for the deregulation of rent-stabilized apartments that reach a threshold legal regulated rent. Specifically, as relevant here, deregulation will apply to:

“any housing accommodation which becomes vacant on or after [April 1, 1997] and before the effective date of the rent act of 2011 and where at the time the tenant vacated such housing accommodation the legal regulated rent was two thousand dollars or more per month; *or*, for any housing accommodation which is or becomes vacant on or after the effective date of the rent regulation reform act of 1997 and before the effective date of the rent act of

2011, with a legal regulated rent of two thousand dollars or more per month” (Rent Stabilization Law § 26-504.2 [a] [emphasis added]).*

The Appellate Division relied on the first clause, which plainly states that the relevant consideration for deregulation purposes is the legal regulated rent “at the time the tenant vacated” the apartment. By contrast, the second clause provides that the key consideration when there is a vacancy is the legal regulated rent, without reference to the rent at the time of the tenant’s vacatur. Given that the second clause is an alternative to the first (preceded by “or”), it must mean something different from the first clause—i.e., something other than the legal regulated rent at the time the tenant vacated the apartment. Thus, it is reasonable to read the plain language of the second clause to refer to the legal regulated rent (including the available statutory increases) applicable to the apartment *after* the tenant’s vacancy.

Although the statutory language is generally the best indication of the legislature’s intent, “the legislative history of an enactment may also be relevant and ‘is not to be ignored, even if words be clear’” (*Riley v County of Broome*, 95 NY2d 455, 463 [2000], quoting McKinney’s Cons Laws of NY, Book 1, Statutes § 124, Comment at 252 [1971 ed]). Here, the legislative history could not be clearer and leaves no doubt that the legislature intended to include the vacancy increase. Notably, in 1997, the New York City Council had enacted Local Law No. 13 to clarify its intent that “a vacant housing accommodation becomes deregulated only where the maximum rent or legal regulated rent was two thousand dollars or more *at the time the tenant vacated such housing accommodation*” (Rep of Comm on Housing and Buildings, 1997 NY City Legis Ann at 44-45).

The state legislature acted quickly in response to Local Law No. 13 by enacting the Rent Regulation Reform Act of 1997, effective June 19, 1997, to amend the high rent deregulation statute by adding the second clause—“or any housing accommodation which is or becomes vacant on or after the effective date of the rent regulation reform act of 1997 with a legal regulated rent of two thousand dollars or more per month” (L 1997, ch 116, § 15). The bill jacket demonstrates that the legislative intent was specifically to counter the provision added by the City Council in Local Law No. 13, stating that

* The vacancy at issue occurred in 2005. Thus, we do not address the effect of the 2015 amendments to the statute (L 2015, ch 20, § 1, part A, § 10).

“[d]econtrol will be allowed at any time the vacant apartment has a maximum rent of \$2,000 or more. *The bill also eliminates restrictions imposed by the New York City Council, which currently prevent vacancy bonuses and owner improvements from being considered in reaching the \$2,000 threshold*” (Senate Introducer’s Mem in Support, Bill Jacket, L 1997, ch 116 at 37, 1997 NY Legis Ann at 74 [emphasis added]; *see also* Governor’s Mem approving L 1997, ch 116, 1997 NY Legis Ann at 74).

Thus, in the present case, the 20% increase should have been considered in determining the legal regulated rent at the time of the vacancy and, as a result, the subject apartment was properly deregulated in 2005. Altman’s remaining arguments relating to this issue are without merit. In light of this disposition, we do not address the rent overcharge award.

Accordingly, the order appealed from and prior order of the Appellate Division insofar as brought up for review should be reversed, with costs, and the motion for summary judgment dismissing the complaint granted.

Judges RIVERA, STEIN, FAHEY, GARCIA, WILSON and FEINMAN concur.

Order appealed from and prior order of the Appellate Division insofar as brought up for review reversed, with costs, and motion for summary judgment dismissing the complaint granted.

[99 NE3d 867, 75 NYS3d 474]

CONTACT CHIROPRACTIC, P.C., as Assignee of Girtha Butler, Respondent, v NEW YORK CITY TRANSIT AUTHORITY, Appellant.

Argued March 21, 2018; decided May 1, 2018

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Second Judicial Department, from an order of that Court, entered January 20, 2016. The Appellate Division affirmed an order of the Appellate Term of the Supreme Court for the Second, Eleventh, and Thirteenth Judicial Districts (op 42 Misc 3d 60 [2013]), which had affirmed an order of the Civil Court of the City of New York, Queens County (Richard G. Latin, J.), which, insofar as appealed from, upon renewal, had adhered to the original determination in an order of that Civil Court (Diane A. Lebedeff, J.) denying that branch of defendant's motion which was for summary judgment dismissing the complaint as time-barred. The following question was certified by the Appellate Division: "Was the decision and order of this Court dated January 20, 2016, which determined that an action to recover first-party no-fault benefits from a party which is self-insured is subject to a six-year statute of limitations, properly made?"

Contact Chiropractic, P.C. v New York City Tr. Auth., 135 AD3d 804, reversed.

HEADNOTE

Limitation of Actions — What Statute Governs — Action to Recover First-Party No-Fault Benefits

The three-year statute of limitations set forth in CPLR 214 (2), which governs disputes with respect to liabilities created by statute, applies to no-fault claims against a self-insurer. Accordingly, plaintiff medical provider's action to recover assigned first-party no-fault benefits from defendant self-insured transit authority, brought more than three but less than six years after the claims were submitted to defendant, was time-barred. The no-fault benefits in dispute were not provided by a contract with a private insurer, and in the absence of private law requiring defendant to pay first-party benefits, the only requirement that defendant provide such remuneration to plaintiff's assignee as a result of the accident appeared in relevant parts of the Vehicle and Traffic Law and the Insurance Law. Consequently, the source of the claim was wholly statutory, meaning that the three-year period of limitations in CPLR 214 (2) should control, and not the six-year period of limitations for an action based upon a contractual obligation or liability in CPLR 213 (2).

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Automobile Insurance §§ 343, 489; AM JUR 2d Insurance §§ 1909, 1931; AM JUR 2d Limitation of Actions §§ 132, 139, 141, 153, 223, 242.
CARMODY-WAIT 2d Limitation of Actions §§ 13:145, 13:187–13:188.
COUCH ON INSURANCE (3d ed) §§ 234:30, 234:69.
MCKINNEY'S, CPLR 213 (2); 214 (2).
NY JUR 2d Insurance §§ 1900, 1915, 2513, 2517, 2527; NY JUR 2d Limitations and Laches §§ 66, 68, 146, 183.
SIEGEL, NY PRAC §§ 35, 37, 40.

ANNOTATION REFERENCE

When statute of limitations commences to run on automobile no-fault insurance personal injury claim. 36 ALR4th 357.

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POINTS OF COUNSEL

Jones Jones LLC, New York City (Agnes Neiger of counsel), for appellant. I. Application of the three-year statute of limitations to the instant action is supported by Court of Appeals authority. (*Hartnett v New York City Tr. Auth.*, 86 NY2d 438; *Bulova Watch Co. v Celotex Corp.*, 46 NY2d 606; *Aetna Life & Cas. Co. v Nelson*, 67 NY2d 169; *M.N. Dental Diagnostics, P.C. v New York City Tr. Auth.*, 82 AD3d 409; *Richard Denise M.D. P.C. v New York City Tr. Auth.*, 96 AD3d 561.) II. No-fault coverage is statutory, not "contractual in nature." (*Matter of ELRAC, Inc. v Suero*, 38 AD3d 544; *Aetna Life & Cas. Co. v Nelson*, 67 NY2d 169; *Matter of Motor Veh. Acc. Indem. Corp. v Aetna Cas. & Sur. Co.*, 89 NY2d 214; *Hartnett v New York City Tr. Auth.*, 86 NY2d 438; *Acupuncture Works, P.C. v MVAIC*, 27 Misc 3d 131[A], 2010 NY Slip Op 50646[U]; *Shtarkman v MVAIC*, 20 Misc 3d 132[A], 2008 NY Slip Op 51447[U]; *Boulevard Multi-spec Med., P.C. v MVAIC*, 19 Misc 3d 138[A], 2008 NY Slip Op 50872[U]; *Stracar Med. Servs., P.C. v Motor Veh. Acc. Indem. Corp.*, 10 Misc 3d 1056[A], 2005 NY Slip Op 51987[U]; *Universal Acupuncture Pain Servs. P.C. v MVAIC*, 13 Misc 3d 1244[A],

2006 NY Slip Op 52343[U].) III. A comparison between the obligations of insurers and self-insurers under the No-Fault Law is irrelevant to the issue of the appropriate statute of limitations. (*Van Rossum v New York City Tr.*, 16 Misc 3d 1121[A], 2007 NY Slip Op 51537[U]; *Matter of Manhattan & Bronx Surface Tr. Operating Auth. v Evans*, 95 AD2d 470; *Mandarino v Travelers Prop. Cas. Ins. Co.*, 37 AD3d 775; *Hartnett v New York City Tr. Auth.*, 86 NY2d 438.)

Law Office of Cohen & Jaffe, LLP, Lake Success (Tricia C. Smith of counsel), for respondent. I. This Court attaches “no legal significance” to the manner in which a vehicle owner insures its vehicle, by self-insurance or by policy of insurance. (*Ryder Truck Lines v Maiorano*, 44 NY2d 364; *ELRAC, Inc. v Ward*, 96 NY2d 58.) II. Statutorily mandated coverage will be impliedly included in an insurance policy or certificate of self-insurance if omitted. (*Matter of De Luca [Motor Veh. Acc. Indem. Corp.]*, 17 NY2d 76; *Matter of Country-Wide Ins. Co. [Manning]*, 96 AD2d 471, 62 NY2d 748; *Matter of Elrac, Inc. v Exum*, 18 NY3d 325; *Matter of ELRAC, Inc. v Suero*, 38 AD3d 544.) III. It is well-settled that claims brought pursuant to statutorily mandated provisions within a policy of insurance are contractual in nature and governed by the six-year statute of limitations. (*Matter of De Luca [Motor Veh. Acc. Indem. Corp.]*, 17 NY2d 76; *Motor Veh. Acc. Indem. Corp. v National Grange Mut. Ins. Co.*, 19 NY2d 115; *Gurnee v Aetna Life & Cas. Co.*, 55 NY2d 184; *Hanover Ins. Co. v Fleisher*, 96 AD2d 881; *Nahmias v Merchants Mut. Ins. Co.*, 91 AD2d 680; *Matter of New York Cent. Mut. Fire Ins. Co. v Czumaj*, 9 AD3d 833; *Benson v Boston Old Colony Ins. Co.*, 134 AD2d 214; *Micha v Merchants Mut. Ins. Co.*, 94 AD2d 835.) IV. Actions seeking statutorily mandated insurance under a certificate of self-insurance are contractual in nature and governed by the six-year statute of limitations. (*Matter of New York City Tr. Auth. v Powell*, 126 AD3d 705; *Matter of Manhattan & Bronx Surface Tr. Operating Auth. v Evans*, 95 AD2d 470; *Matter of New York City Health & Hosps. Corp. [Degorter]*, 133 Misc 2d 93.) V. Liability to provide insurance coverage is derived from the instrumentality of insurance. (*Matter of De Luca [Motor Veh. Acc. Indem. Corp.]*, 17 NY2d 76; *Motor Veh. Acc. Indem. Corp. v National Grange Mut. Ins. Co.*, 19 NY2d 115; *Laba v Petrullo*, 2003 NY Slip Op 50797[U].) VI. When an action is based upon both a “contractual obligation or liability” and upon a “liability, penalty or forfeiture created or imposed by statute,” the longer, six-year statute of limitations, as provided in CPLR 213 (2), is applied to the

exclusion of the three-year statute of limitations provided in CPLR 214 (2). (*Matter of Travelers Indem. Co. of Conn. v Glenwood Med., P.C.*, 48 AD3d 319.) VII. Legislative history and intent behind automobile insurance and self-insurance have been influential factors behind this Court's decisions. (*General Acc. Ins. Group v Cirucci*, 46 NY2d 862; *Rosado v Eveready Ins. Co.*, 34 NY2d 43; *Collins v Travelers Ins. Co.*, 105 Misc 2d 732; *Colon v Aetna Cas. & Sur. Co.*, 48 NY2d 570; *Matter of City of Syracuse v Utica Mut. Ins. Co.*, 61 NY2d 691; *Matter of McKenna v County of Nassau, Off. of County Attorney*, 61 NY2d 739; *Matter of Country-Wide Ins. Co. [Manning]*, 96 AD2d 471; *Matter of Manhattan & Bronx Surface Tr. Operating Auth. v Evans*, 95 AD2d 470; *Matter of Manhattan & Bronx Surface Tr. Operating Auth. [Coccia]*, 118 Misc 2d 378.) VIII. A comparison of the substantive obligations under the Insurance Law between insurers and self-insurers, as well as legislative intent behind the authorization of self-insurance, is relevant to determining the nature of a self-insurer's liability. (*Matter of Elrac, Inc. v Exum*, 18 NY3d 325.) IX. An action to recover statutorily-mandatory insurance benefits is predicated on the contractual obligation to assume the risk of loss associated with the mandated coverage in exchange for a benefit to the insurer and self-insurer. (*Matter of Shutter v Philips Display Components Co.*, 90 NY2d 703.) X. An action arising from an implied contract is governed by CPLR 213 (2). (*Mandarino v Travelers Prop. Cas. Ins. Co.*, 37 AD3d 775; *Matter of Travelers Indem. Co. of Conn. v Glenwood Med., P.C.*, 48 AD3d 319; *Regional Economic Community Action Program, Inc. v Enlarged City School Dist. of Middletown*, 18 NY3d 474; *Matter of Ahern v South Buffalo Ry. Co.*, 303 NY 545; *Miller v Schloss*, 218 NY 400; *Sharp v Kosmalski*, 40 NY2d 119; *Flores v Lower E. Side Serv. Ctr., Inc.*, 4 NY3d 363; *Wood v Duff-Gordon*, 222 NY 88; *Ortiz v New York City Tr. Auth.*, 30 Misc 3d 1208[A], 2010 NY Slip Op 52326[U]; *Sinclair v Purdy*, 235 NY 245.) XI. This Court's decisions in *Matter of Motor Veh. Acc. Indem. Corp. v Aetna Cas. & Sur. Co.* (89 NY2d 214 [1996]) and *Aetna Life & Cas. Co. v Nelson* (67 NY2d 169 [1986]) are distinguishable from the instant matter. XII. Appellant's reliance upon First Department case law is misguided. (*M.N. Dental Diagnostics, P.C. v New York City Tr. Auth.*, 82 AD3d 409; *Richard Denise M.D. P.C. v New York City Tr. Auth.*, 96 AD3d 561; *Matter of Elrac, Inc. v Exum*, 18 NY3d 325.) XIII. Appellant's attempt to liken itself to the Motor Vehicle Accident Indemnification Corporation is misplaced. (*Acupuncture Works, P.C. v MVAIC*,

27 Misc 3d 131[A], 2010 NY Slip Op 50646[U]; *Shtarkman v MVAIC*, 20 Misc 3d 132[A], 2008 NY Slip Op 51447[U]; *Stracar Med. Servs., P.C. v Motor Veh. Acc. Indem. Corp.*, 10 Misc 3d 1056[A], 2005 NY Slip Op 51987[U]; *Boulevard Multispec Med., P.C. v MVAIC*, 19 Misc 3d 138[A], 2008 NY Slip Op 50872[U]; *Universal Acupuncture Pain Servs. P.C. v MVAIC*, 13 Misc 3d 1244[A], 2006 NY Slip Op 52343[U].)

Zachary W. Carter, Corporation Counsel, New York City (*Tahirih M. Sadrieh, Richard Dearing and Devin Slack* of counsel), for City of New York, amicus curiae. No-fault benefits claims are governed by the limitations period for statutory liabilities. (*Viviane Etienne Med. Care, P.C. v Country-Wide Ins. Co.*, 25 NY3d 498; *Aetna Life & Cas. Co. v Nelson*, 67 NY2d 169; *Safeco Ins. Co. of Am. v Jamaica Water Supply Co.*, 83 AD2d 427, 57 NY2d 994; *Montgomery v Daniels*, 38 NY2d 41; *Ives v South Buffalo Ry. Co.*, 201 NY 271; *Hartnett v New York City Tr. Auth.*, 86 NY2d 438; *Hospital for Joint Diseases v Travelers Prop. Cas. Ins. Co.*, 9 NY3d 312; *LMK Psychological Servs., P.C. v State Farm Mut. Auto. Ins. Co.*, 12 NY3d 217; *New York & Presbyt. Hosp. v Country-Wide Ins. Co.*, 17 NY3d 586; *M.N. Dental Diagnostics, P.C. v New York City Tr. Auth.*, 82 AD3d 409.)

Short & Billy, P.C., New York City (*Skip Short* of counsel), and *Greenberg Taurig, LLP*, New York City (*Carmen Beauchamp Ciparick* of counsel), for American Transit Insurance Company, amicus curiae. I. A no-fault claim against a self-insurer is statutorily created and the limitations period should be three years. (*Aetna Life & Cas. Co. v Nelson*, 67 NY2d 169; *Matter of Motor Veh. Acc. Indem. Corp. v Aetna Cas. & Sur. Co.*, 89 NY2d 214; *Gurnee v Aetna Life & Cas. Co.*, 55 NY2d 184; *Perez-Hernandez v M. Marte Auto Corp.*, 104 AD3d 489; *Thomas v Travelers Ins. Co.*, 54 AD2d 608; *Collins v Blunt*, 15 AD3d 992; *Oeschger v Fullforth*, 51 AD2d 864.) II. Applying a three-year statute of limitations is consistent with public policy promoting speedy resolution of no-fault claims. (*Aetna Health Plans v Hanover Ins. Co.*, 27 NY3d 577; *Pommells v Perez*, 4 NY3d 566; *Walton v Lumbermens Mut. Cas. Co.*, 88 NY2d 211.) III. The Court's decision could broadly impact the no-fault insurance industry. (*Aetna Health Plans v Hanover Ins. Co.*, 27 NY3d 577; *Matter of Country-Wide Ins. Co. [Manning]*, 96 AD2d 471; *Matter of Simmons [Government Empls. Ins. Co.]*, 59 AD2d 468; *Dermatossian v New York City Tr. Auth.*, 67 NY2d 219; *City of New York v Kingsview Homes*, 70 AD2d 866; *Barnes v*

Maryland Cas. Co., 124 Misc 2d 942; *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854.)

Gary Tsirelman, P.C., Brooklyn (*Gary Tsirelman* of counsel), for Gary Tsirelman, P.C., amicus curiae. I. This Court should reject amicus curiae American Transit Insurance Company's invitation to shorten the limitations period applicable to insurance contracts and statutory interest, which is well-established and not at issue in this appeal. (*Mandarino v Travelers Prop. Cas. Ins. Co.*, 37 AD3d 775; *Gurnee v Aetna Life & Cas. Co.*, 55 NY2d 184; *Matter of Gee [State Farm Mut. Auto. Ins. Co.]*, 107 AD3d 1559; *Benson v Boston Old Colony Ins. Co.*, 134 AD2d 214; *Micha v Merchants Mut. Ins. Co.*, 94 AD2d 835; *Allstate Ins. Co. v Stein*, 1 NY3d 416.) II. The lower courts' finding that the six-year contractual statute of limitations applies to both insured and self-insured parties in no-fault is well-supported by law. (*Aetna Cas. & Sur. Co. v World Wide Rent-A-Car*, 28 AD2d 286; *Guercio v Hertz Corp.*, 40 NY2d 680; *Danner v Hertz Corp.*, 584 F Supp 293; *Shave v Allstate Ins. Co.*, 549 F Supp 1006; *Matter of Allstate Ins. Co. v Shaw*, 52 NY2d 818; *Matter of New York City Tr. Auth. [Thom]*, 70 AD2d 158, 52 NY2d 1032; *Koerner v State of N.Y., Pilgrim Psychiatric Ctr.*, 62 NY2d 442; *Aetna Life & Cas. Co. v Nelson*, 67 NY2d 169; *Matter of Motor Veh. Acc. Indem. Corp. v Aetna Cas. & Sur. Co.*, 89 NY2d 214; *Walker v Stein*, 305 AD2d 972.)

OPINION OF THE COURT

FAHEY, J.

This appeal presents the question whether the three-year statute of limitations set forth in CPLR 214 (2) applies to no-fault claims against a self-insurer. We conclude that it does.

Background and Motion Practice

In January 2001, Girtha Butler sustained personal injuries in a motor vehicle accident involving a bus on which she was a passenger. The bus was owned by defendant, New York City Transit Authority. It did not have no-fault coverage and instead was self-insured with respect to that risk.¹ Plaintiff, Contact Chiropractic, P.C., subsequently provided health services to

1. Vehicle and Traffic Law § 321 (1) excepts vehicles owned by a political subdivision of any state from the no-fault insurance procurement and security requirements of Vehicle and Traffic Law § 370 (1). Vehicle and Traffic Law § 321 (2), in turn, provides that any such motor vehicle shall be subject to the provisions of article 51 of the Insurance Law, including Insurance Law

(n. cont'd)

Butler for the personal injuries she sustained in the accident. Butler assigned to plaintiff her right to recover first-party benefits from the self-insured defendant. To that end, plaintiff submitted its claims, bills, and no-fault verification forms to defendant between March 14, 2001 and August 27, 2001.

On January 8, 2007, plaintiff commenced this action seeking, among other things, reimbursement for allegedly outstanding invoices. After joining issue, defendant moved for an order to, among other things, dismiss the complaint “based on [plaintiff’s] failure to commence the action within the three-year statute of limitations.” Defendant contended that the three-year statute of limitations under CPLR 214 (2), which applies to actions to recover upon a liability created or imposed by statute, governs this case because defendant was self-insured at the time of the subject accident and therefore had no contract for insurance with respect to that loss, as opposed to CPLR 213 (2), which establishes a six-year period of limitations for an action based upon a contractual obligation or liability. Defendant relied upon authority of the Appellate Division, First Department, providing that a self-insured’s “obligation to provide no-fault benefits arises out of the no-fault statute,” and that “the three-year statute of limitations as set forth in CPLR 214 (2)” applies to disputes with respect to the payment of such benefits by a self-insured (*M.N. Dental Diagnostics, P.C. v New York City Tr. Auth.*, 82 AD3d 409, 410 [1st Dept 2011]).

In opposition to the motion, plaintiff maintained that the six-year statute of limitations controls this case. For its part, plaintiff relied upon authority of the Appellate Division, Second Department, providing that an injured person’s “claim for uninsured motorist benefits against a self-insured vehicle owner, while statutorily mandated, remains contractual rather than statutory in nature and, as such, is subject to the six-year statute of limitations” (*Matter of ELRAC, Inc. v Suero*, 38 AD3d 544, 545 [2d Dept 2007] [internal quotation marks and citations omitted], *lv denied* 9 NY3d 811 [2007]).

Civil Court denied the motion, holding that a six-year statute of limitations applies to no-fault benefit claims against both insurers and self-insurers. The court reasoned that “[n]either self-insured nor governmental status supports a short-

§ 5103 (a) (1), which establishes minimum no-fault insurance and security requirements.

ened statute of limitations”; in support of that point, the court noted that the Second Department has applied a six-year statute of limitations to no-fault claims, regardless of whether the prospective payor has an insurance policy or is self-insured (*see Suero*, 38 AD3d at 544).

Defendant subsequently moved for leave to renew the motion, and the court granted renewal but adhered to the prior determination. In this order, the court acknowledged the “split of authority” in the Appellate Division with respect to this statute of limitations question, and deemed controlling the Second Department case law applying a six-year statute of limitations in cases such as this one on the ground that “no-fault matters . . . are arguably contractual in nature, even when dealing with a self-insured entity such as [defendant].”

The Appeals in the Lower Courts

On appeal, the Appellate Term affirmed the order determining the motion to renew and applying the six-year statute of limitations to this matter (42 Misc 3d 60 [App Term, 2d Dept, 2d, 11th & 13th Jud Dists 2013]), reasoning “that the intent of the legislature was not to impose a lesser duty on a public carrier which posts a bond than the duty imposed upon an owner who purchases insurance” (*id.* at 62). On further appeal, the Appellate Division affirmed the Appellate Term’s order, concluding that the Appellate Term had “correctly determined that an action by an injured claimant, or his or her assignee, to recover first-party no-fault benefits from a defendant who is self-insured, is subject to a six-year statute of limitations, since the claim is essentially contractual, as opposed to statutory, in nature” (135 AD3d 804, 805 [2d Dept 2016]).

The Appellate Division granted defendant’s subsequent application for leave to appeal to this Court and certified this question for our review: “Was the decision and order of [the Appellate Division], which determined that an action to recover first-party no-fault benefits from a party which is self-insured is subject to a six-year statute of limitations, properly made?” We now answer that question in the negative.

Analysis

This case arises from the No-Fault Law, which “is aimed at ensuring ‘prompt compensation for losses incurred by accident victims without regard to fault or negligence, to reduce the burden on the courts and to provide substantial premium sav-

ings to New York motorists’ ” (*Viviane Etienne Med. Care, P.C. v Country-Wide Ins. Co.*, 25 NY3d 498, 504-505 [2015], quoting *Matter of Medical Socy. of State of N.Y. v Serio*, 100 NY2d 854, 860 [2003]). We previously have recognized the complex “nature of the statutory and regulatory scheme of the No-Fault Law” (*id.* at 505), characterizing it as a “Rube-Goldberg” like maze (*Presbyterian Hosp. in City of N.Y. v Maryland Cas. Co.*, 90 NY2d 274, 286 [1997]). This matter is another illustration of the intricacy of that law.

Our review begins with Vehicle and Traffic Law § 312 (1) (a), which provides, in pertinent part, that

“[n]o motor vehicle shall be registered in this state unless the application for such registration is accompanied by proof of financial security which shall be evidenced by proof of insurance or evidence of a financial security bond, a financial security deposit or qualification as a self-insurer under [Vehicle and Traffic Law § 316].”

Inasmuch as the registrant of a motor vehicle may prove “financial security” through, among other things, evidence of a “financial security bond” (Vehicle and Traffic Law § 312), it follows that registration of a motor vehicle in this state is not contingent upon proof of insurance. To the extent a registrant elects to forgo insurance, the alternative form of financial security chosen (be it self-insurance under Vehicle and Traffic Law § 316 or the financial security bond referenced in section 312) must satisfy Insurance Law § 5103, which generally requires the payment of no-fault benefits (minimum amounts of which are specified in 11 NYCRR 65-1.1) and which applies its provisions to any contract for insurance that does not meet the demands of that article (Insurance Law § 5103 [h]; see *Matter of Allstate Ins. Co. v Shaw*, 52 NY2d 818, 820 [1980]).

In matters involving questions with respect to no-fault claims against insurance companies liable for no-fault benefits due to the issuance of an insurance policy, the Appellate Division has applied a six-year statute of limitations (see *Matter of Travelers Indem. Co. of Conn. v Glenwood Med., P.C.*, 48 AD3d 319, 319 [1st Dept 2008]; *Mandarino v Travelers Prop. Cas. Ins. Co.*, 37 AD3d 775, 776 [2d Dept 2007]; *Benson v Boston Old Colony Ins. Co.*, 134 AD2d 214, 215 [1st Dept 1987]; *Micha v Merchants Mut. Ins. Co.*, 94 AD2d 835, 835 [3d Dept 1983]; see also *Flatlands Acupuncture, P.C. v Fireman’s Fund Ins. Co.*, 32

Misc 3d 17, 18 [App Term, 2d Dept, 2d, 11th & 13th Jud Dists 2011]; *Chester Med. Diagnostic, P.C. v Kemper Cas. Ins. Co.*, 21 Misc 3d 1108[A], 2008 NY Slip Op 52009[U], *2 [Civ Ct, Kings County 2008] [collecting Appellate Division cases]). This dispute, however, arises from an instance in which the party responsible for the payment of no-fault benefits is self-insured and, as noted, the law is unsettled regarding what statute of limitations applies to no-fault benefit claims involving such entities.

We conclude that the three-year statute of limitations as set forth in CPLR 214 (2), which governs disputes with respect to liabilities created by statute, should control this case. There is no dispute “that it is the gravamen or essence of the cause of action that determines the applicable Statute of Limitations” (*Western Elec. Co. v Brenner*, 41 NY2d 291, 293 [1977]), or that a three-year limitations period applies to “an action to recover upon a liability . . . created or imposed by statute” (CPLR 214 [2]; *cf.* CPLR 213 [2] [imposing a six-year statute of limitations upon actions involving contractual obligations and liabilities]). Moreover, although the three-year period of limitations in “CPLR 214 (2) does not automatically apply to all causes of action in which a statutory remedy is sought” (*Gaidon v Guardian Life Ins. Co. of Am.*, 96 NY2d 201, 208 [2001]), that condition does attach to instances in which “liability would not exist but for a statute” (*id.* [internal quotation marks omitted]).

The no-fault benefits in dispute are not provided by a contract with a private insurer. Instead defendant has met its statutory obligation by self-insuring. No-fault is a creature of statute (*see Aetna Life & Cas. Co. v Nelson*, 67 NY2d 169, 175 [1986] [“the No-Fault Law does not codify common-law principles; it creates new and independent statutory rights and obligations in order to provide a more efficient means for adjusting financial responsibilities arising out of automobile accidents”]). Our holding in *Aetna Life & Cas. Co.* is directly applicable here. As we stated in that case, “first-party benefits are a form of compensation unknown at common law, resting on predicates independent of the fault or negligence of the injured party” (*id.* at 175). In the absence of private law requiring defendant to pay first-party benefits (that is, in the absence of a contract for insurance), the only requirement that defendant provide such remuneration to the assignee as a result of the accident appears in relevant parts of the Vehicle and Traffic Law and the Insurance Law. Consequently, the source of

this claim is wholly statutory, meaning that the three-year period of limitations in CPLR 214 (2) should control this case.²

Finally, we note that our holding here does not reduce the no-fault liability or obligations of self-insurers, or curtail the substantive no-fault rights of injured parties or their assignees as against such self-insurers. “[S]tatutes of limitations are considered procedural because they are deemed as pertaining to the remedy rather than the right” (*Portfolio Recovery Assoc., LLC v King*, 14 NY3d 410, 416 [2010] [internal quotation marks omitted]). Therefore, applying the three-year statute of limitations set forth in CPLR 214 (2) does not alter the substantive protections afforded under the No-Fault Law to those with a claim against a self-insurer.

Accordingly, the Appellate Division order should be reversed, with costs, that branch of defendant’s motion which was to dismiss the complaint as time-barred granted, and the certified question answered in the negative.

STEIN, J. (concurring). I concur in the majority’s analysis and conclusion. However, I write separately to point out that, on this appeal, we do not resolve the question of whether insurance companies who issue contractual insurance policies covering no-fault claims are subject to a three- or six-year statute of limitations, as that question is not before us.

GARCIA, J. (dissenting). I would hold that an action to recover no-fault benefits—whether from insurers or self-insurers—is subject to the six-year statute of limitations. As the majority acknowledges, the lower courts have, for decades, held that a no-fault claim against an insurance company is subject to the six-year limitation (majority op at 195-196 [collecting cases]). And this Court has cited to the “applicable six-year Statute of Limitations” for such claims (*Gurnee v Aetna Life &*

2. Here we make two somewhat tangential points. First, as a general matter, we disagree with the dissent’s conclusion that the *substance* of the responsibility to provide no-fault benefits, rather than the *source* of that obligation, controls this statute of limitations analysis.

Second, we note that *Matter of Elrac, Inc. v Exum* (18 NY3d 325 [2011]) does not compel a result different from that which we have reached herein. In *Elrac, Inc.*, we interpreted the Workers’ Compensation Law and determined that the phrase “any other liability whatsoever” could not be interpreted literally to bar an employee from recovering uninsured motorist benefits from an employer (*id.* at 328). Our reasoning did not address, and does not bind us in, the context of interpreting the No-Fault Law or CPLR 214 (2).

Cas. Co., 55 NY2d 184, 193 [1982]). Despite accepting that premise, the majority holds that the *same* claim against a self-insurer—on the *same* theory of liability—is subject to the three-year statute of limitations. By electing to be self-insured, defendant stands in the same position as any other insurer under the No-Fault Law. A different statute of limitations for self-insurers, essentially providing a shorter limitations period for those who demonstrate “financial security,” is an unfortunate result and one not required by our precedent. Accordingly, I dissent.

I.

As the name suggests, New York’s “Comprehensive Motor Vehicle Insurance Reparations Act,” commonly referred to as the “No-Fault Law” (*see* Insurance Law § 5101 *et seq.*), requires that “every owner of a motor vehicle provide himself [or herself], members of [the owner’s] household, operators, occupants and pedestrians with compensation for ‘basic economic loss’ resulting from injuries occasioned by the use or operation of that vehicle in this State, regardless of fault” (*Montgomery v Daniels*, 38 NY2d 41, 46 [1975]). “[T]he no-fault legislation foreclosed recovery for pain and suffering by persons who had suffered relatively minor injuries in automobile accidents, but balanced this by providing a means of obtaining prompt and full recovery for certain economic losses” (*Gurnee*, 55 NY2d at 193). The No-Fault Law imposes *equal* liability for the payment of no-fault benefits on insurers and self-insurers alike (*see* Insurance Law § 5103 [a] [1]; *Dermatossian v New York City Tr. Auth.*, 67 NY2d 219, 224 [1986]).¹

Reimbursement payments for basic economic loss, known as “first-party benefits” (Insurance Law § 5102 [b]), must be made “as the loss is incurred” and benefits become “overdue if not paid within thirty days after the claimant supplies proof of the fact and amount of loss sustained” (*id.* § 5106 [a]). Accordingly, the accrual date for a cause of action against an insurer or self-insurer based on its failure to pay first-party benefits is the date when the payments became overdue (*see Matter of Motor Veh. Acc. Indem. Corp. v Aetna Cas. & Sur. Co.*, 89 NY2d 214, 222 [1996]).

1. There are various ways to qualify as a “self-insurer” under the relevant statutes, including by demonstrating “financial security” (11 NYCRR 65-2.1 [a] [1]-[2]). In lieu of providing an insurance policy or surety bond, corporations engaged in the business of transporting passengers for hire, such as defendant, may file a certificate of self-insurance (*see* Vehicle and Traffic Law § 370).

The No-Fault Law does not provide a statute of limitations for actions to recover first-party benefits from insurers or self-insurers. Accordingly, in determining the appropriate limitations period, “it is necessary to examine the substance of that action to identify the relationship out of which the claim arises and the relief sought” (*Hartnett v New York City Tr. Auth.*, 86 NY2d 438, 443-444 [1995], quoting *Solnick v Whalen*, 49 NY2d 224, 229 [1980]). The touchstone is “the gravamen or essence of the cause of action” rather than the form in which it is pleaded (*Western Elec. Co. v Brenner*, 41 NY2d 291, 293 [1977]).

A claim in contract is subject to the six-year statute of limitations in CPLR 213 (2), which “includes a cause of action for indemnification, whether the obligation to indemnify arises expressly or by operation of law” (David D. Siegel, *New York Practice* § 35 at 46 [5th ed 2011]). By contrast, the three-year statute of limitations applies to “an action to recover upon a liability, penalty or forfeiture created or imposed by statute except as provided in sections 213 and 215” (CPLR 214 [2]). The three-year limitations period “does not automatically apply to all causes of action in which a statutory remedy is sought, but only where liability ‘would not exist but for a statute’” (*Gaidon v Guardian Life Ins. Co. of Am.*, 96 NY2d 201, 208 [2001], quoting *Aetna Life & Cas. Co. v Nelson*, 67 NY2d 169, 174 [1986]).

The majority’s application of the three-year statute of limitations in CPLR 214 (2) forecloses any recovery here, despite the fact that defendant made no payments or adjustments whatsoever with respect to the claims, bills, and no-fault verification forms submitted by plaintiff. I would apply the six-year statute of limitations in CPLR 213 (2) and hold that plaintiff’s action was timely.

II.

As the majority notes, it is well settled that an action to recover first-party benefits from an insurance company is premised on the terms of the insurance contract and so subject to CPLR 213 (2)’s six-year statute of limitations (*see* majority *op* at 195-196). The First, Second, and Third Departments have long held that a no-fault claim asserted by an insured against an insurer is contractual in nature and therefore subject to the six-year statute of limitations (*see Mandarino v Travelers Prop. Cas. Ins. Co.*, 37 AD3d 775, 776 [2d Dept 2007] [holding “that a no-fault claimant’s right (or that of his or her assignee) to re-

cover first-party benefits derives primarily from the terms of the relevant contract of insurance”]; *Benson v Boston Old Colony Ins. Co.*, 134 AD2d 214, 215 [1st Dept 1987]; *Micha v Merchants Mut. Ins. Co.*, 94 AD2d 835, 836 [3d Dept 1983]). This Court has also recognized that the six-year limitation applies to claims seeking withheld or overdue first-party benefits (*Gurnee*, 55 NY2d at 193).² In an analogous context, we applied the six-year statute of limitations to an uninsured motorist claim against the Motor Vehicle Accident Indemnification Corporation (MVAIC) under the relevant insurance policy (see *Matter of De Luca [Motor Veh. Acc. Indem. Corp.]*, 17 NY2d 76, 79 [1966]).

There is no dispute that a no-fault action against an insurer is subject to the six-year statute of limitations governing contractual obligations.³

III.

The issue then is whether a self-insurer should have a different limitations period than an insured who pays a premium for coverage. Considerations of public policy and fundamental fairness militate against that outcome. Those considerations should control given that application of a uniform six-year limitations period finds support in our case law.

A.

Contrary to the majority’s assertion, the absence of a contract does not necessarily mean that an action against a self-insurer is fundamentally statutory in nature. The term “insurer” is defined in the No-Fault Law as “the insurance company or the self-insurer, as the case may be” (Insurance Law § 5102 [g]). Although technically a self-insurer, defendant is nonetheless considered the functional equivalent of an “insurer” for the

2. *Gurnee* involved the retroactive application of our decision in *Kurcsics v Merchants Mut. Ins. Co.* (49 NY2d 451 [1980]), which interpreted the Insurance Law as it related to no-fault insurance protection to cap lost earnings at \$1,000 per month rather than the \$800 per month proposed by the Superintendent of Insurance. Plaintiffs brought suit against the insurance companies seeking to recover the difference on prior claims. We held that our earlier decision should apply to all claims not barred by the statute of limitations. In doing so, we specifically “noted that the applicable six-year Statute of Limitations has already extinguished a portion of the insurers’ potential liability,” citing CPLR 213 (*Gurnee*, 55 NY2d at 193).

3. To suggest otherwise would make uncertain the viability of thousands of no-fault claims against insurance companies that could otherwise be timely asserted under this well-established, and much relied-upon, six-year rule.

purposes of administering no-fault coverage. Indeed, self-insurance is different from insurance only insofar as “the self-insurer has assumed the risk of personally satisfying any tort judgments against it” (*ELRAC, Inc. v Ward*, 96 NY2d 58, 74 [2001]). But, in this context, the obligation to provide no-fault benefits is *functionally* the same for insurers and self-insurers. We therefore “attach no legal significance to whether the [defendant] is self-insured or carries insurance coverage” (*Ryder Truck Lines v Maiorano*, 44 NY2d 364, 372 [1978]). As a corporation carrying passengers for hire, defendant “may . . . choose one method or the other to make economic provision to assure discharge of its financial obligations. Its liability, however, is unaffected by the implementing mechanism it selects” (*id.*).

The lack of a meaningful difference between insurers and self-insurers is confirmed by settled precedent. In *Matter of Allstate Ins. Co. v Shaw* (52 NY2d 818 [1980]), this Court resolved the question whether self-insured entities were required to provide uninsured motorist benefits. We answered that question in the affirmative, holding that self-insurers had to provide the same minimum coverage as insured entities with insurance policies. We then extended the rationale in *Shaw* to hold that Workers’ Compensation Law § 11 does not bar an employee from recovering uninsured motorist benefits from his self-insured employer in connection with an accident that occurred while the employee was driving the employer’s vehicle (see *Matter of Elrac, Inc. v Exum*, 18 NY3d 325, 327-328 [2011]). In so holding, we noted that “[a]n action against a self-insurer to enforce the liability recognized in *Shaw* is, in our view, essentially contractual. *The situation is as though the employer had written an insurance policy to itself, including the statutorily-required provision*” (*id.* at 328 [emphasis added]).

By electing to be self-insured, defendant assumes the obligation to provide no-fault and uninsured motorist coverage and “[w]ith that, [defendant] undertook all the duties and responsibilities of an insurer” (*Ward*, 96 NY2d at 77). Defendant, in other words, is in the same position as any other insurer for the purposes of providing coverage. The instrumentality of no-fault coverage—whether a certificate of self-insurance or a policy of insurance—is immaterial to the obligation to indemnify. Plaintiff’s claim against a self-insurer is therefore properly

viewed as a breach of contract governed by the six-year statute of limitations.⁴

Citing our decision in *Aetna Life & Cas. Co. v Nelson* (67 NY2d 169 [1986]), the majority nonetheless posits that no-fault coverage is a creature of statute. In *Nelson*, we observed that the “no-fault concept . . . modifies the common-law system of reparation for personal injuries under tort law . . . and that first-party benefits are a form of compensation unknown at common law, resting on predicates independent of the fault or negligence of the injured party” (*id.* at 175 [internal quotation marks omitted]). In short, “the No-Fault Law does not codify common-law principles; it creates new and independent statutory rights and obligations in order to provide a more efficient means for adjusting financial responsibilities arising out of automobile accidents” (*id.*). We therefore applied CPLR 214 (2)’s three-year statute of limitations to an insurance company’s action to enforce a statutory lien, pursuant to a specific provision of the No-Fault Law, on a judgment awarded to a plaintiff who had already been paid first-party benefits (*see Nelson*, 67 NY2d at 174-175; Insurance Law § 5104 [b]). That third-party claim, which did not exist at common law, “could not properly be viewed as arising out of any contract” (*Mandarino*, 37 AD3d at 777). The present case, involving a direct claim for indemnification by an injured party or the party’s assignee, is readily distinguishable. That self-insurers may avoid purchasing an insurance policy does not alter the basis of their liability.

B.

As we have consistently recognized, a defendant “may not, merely because it is a self-insurer, decrease the obligations that it owes to its insureds” (*Ward*, 96 NY2d at 77; *see Shaw*, 52 NY2d at 820). Giving self-insurers, based on no substantive difference in their obligation to pay, a shorter limitations period than those who obtain insurance policies, leads to arbitrary and inequitable outcomes in the provision of no-fault benefits. Consider the scenario of a private automobile, insured through a policy of insurance, colliding with a public bus,

4. The Appellate Division, Second Department has applied the same limitation to self-insurers in the analogous context of uninsured motorist benefits (*see Matter of New York City Tr. Auth. v Powell*, 126 AD3d 705, 706 [2d Dept 2015]; *Matter of New York City Tr. Auth. v Hill*, 107 AD3d 897, 898 [2d Dept 2013]; *Matter of ELRAC, Inc. v Suero*, 38 AD3d 544, 545 [2d Dept 2007]).

insured through a certificate of self-insurance. The driver of the car and a passenger on the bus suffer relatively minor injuries requiring medical treatment. They both seek payment for first-party medical benefits from those obligated to pay. Under the majority's holding, the injured driver will have six years to file suit based on the failure to pay first-party benefits, but the injured passenger will have only three years. By the mere fortuity that a public bus company is "self-insured," the injured passenger is put at significant disadvantage. From an injured claimant's perspective, however, the right to recover benefits from a self-insurer is no different than the equivalent right under a contract of insurance issued to a private automobile owner (*see Matter of Country-Wide Ins. Co. [Manning]*, 96 AD2d 471, 472 [1st Dept 1983], *affd* 62 NY2d 748 [1984]). The rule now put forward by the majority raises the troubling appearance that an equally-deserving claimant could be barred from recovering benefits merely because the offending party effectively "bought" self-insured status. In making insurers and self-insurers equally liable for no-fault benefits, I do not believe the legislature ever contemplated such an outcome.⁵

IV.

An action to recover no-fault benefits from an insurer is subject to the six-year statute of limitations in CPLR 213 (2). Applying the same six-year limitation to self-insurers would make the limitations period consistent across all no-fault claims. Our precedent supports this outcome and it is consistent with the public policy underlying no-fault liability. Allowing six years for bringing claims against an insured but only three years for bringing claims against a self-insurer is both unfair and unnecessary. Accordingly, I dissent.

Chief Judge DiFiore and Judges Stein and Feinman concur, Judge Stein in a concurring opinion; Judge Garcia dissents and votes to affirm in an opinion in which Judges Rivera and Wilson concur.

Order reversed, with costs, that branch of defendant's motion which was to dismiss the complaint as time-barred granted and certified question answered in the negative.

5. Nothing in the legislative history of the No-Fault Law suggests that the legislature intended self-insurers to have a different statute of limitations than private insurers.

[99 NE3d 877, 75 NYS3d 484]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TWANEK CUMMINGS, Appellant.

Argued March 28, 2018; decided May 8, 2018

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered December 8, 2016. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Ruth Pickholz, J., at jury selection; Bruce Allen, J., at remainder of trial and sentencing), which had convicted defendant, upon a jury verdict, of assault in the first degree, attempted assault in the first degree (two counts), criminal possession of a weapon in the second degree (two counts), and assault in the second degree (two counts).

People v Cummings, 145 AD3d 490, reversed.

HEADNOTES**Crimes — Law of the Case — Evidentiary Ruling — Reconsideration by Substitute Judge**

1. The law-of-the-case doctrine did not prevent the substitute Supreme Court Justice, who took over when the first Justice took ill after all but the alternate jurors were selected, from revisiting the prior Justice's decision to exclude an unidentified speaker's statement recorded in the background of a 911 call under the excited utterance exception to the hearsay rule. The decision to admit hearsay as an excited utterance is an evidentiary decision, left to the sound judgment of the trial court, and thus may be reconsidered on retrial. There is no reason to apply a different rule to a successor judge within the same trial. Notably, defendant did not contend that he lacked sufficient notice of, or had taken irremediable steps in reliance on, the ruling allowing the admission of the statement from the 911 call, which was made before the jury was empaneled.

Crimes — Evidence — Excited Utterances

2. In a criminal prosecution arising from the shooting of three people, it was error to admit into evidence at defendant's trial under the excited utterance exception to the hearsay rule a statement heard in the background of a 911 call and spoken by an unidentified person, because the record contained no evidence from which a trier of fact could reasonably have inferred that the statement was based on the personal observation of the declarant. About 20 seconds into a 911 call made by one of the shooting victims within, at the most, three minutes of the shooting, someone in the background could be faintly heard saying, "Yo, it was [defendant's first name], man! It was [defendant's first name], man!" Surveillance video showed someone running away from the scene of the shooting and entering a minivan immediately af-

ter the shooting, and several people hurrying towards the scene moments later, but it did not show the scene of the shooting, and neither the shooter nor the person overheard on the 911 call could be identified from the video. Defendant's fingerprint was subsequently found on the passenger door of the minivan, and cell site data was consistent with his presence in the area at the time of the shooting, but he was not identified by the victims in a lineup. The declarant's bare conclusory statement contained no basis from which personal knowledge of the shooting could reasonably be inferred. The fingerprint defendant left on the minivan did not help to determine whether the declarant personally observed the shooting or was passing on hearsay several times removed. The call was close in time to the shooting, but numerous people arrived between the shooting and the statement on the call, and there was consequently no way to know whether the statement was made by someone who could see the assailant—who was wearing a hoodie, was not identifiable from the videos, and was not identified by the victims. The error in admitting the statement into evidence was not harmless, as the People's remaining evidence was not nearly as strong without the statement from the 911 call.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Criminal Law § 1065; AM JUR 2d Evidence §§ 689, 875–876, 879–880, 883, 887–889, 896–899.
CARMODY-WAIT 2d Particular Types of Evidence §§ 194:81–194:88, 194:107.
NY JUR 2d Criminal Law: Procedure §§ 2164, 2166, 2169;
NY JUR 2d Evidence and Witnesses §§ 358, 360, 363, 366–367.

ANNOTATION REFERENCE

See ALR Index under Criminal Law; Evidence; Evidence Rules; Exclusion of Evidence; Res Gestae; Witnesses.

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POINTS OF COUNSEL

Robert S. Dean, Center for Appellate Litigation, New York City (Benjamin Wiener and Susan H. Salomon of counsel), for appellant. The substituted trial judge not only lacked the power to overrule his predecessor in admitting a hearsay accusation against appellant, but the substituted judge's ruling that the hearsay qualified as an excited utterance constituted error—which, in the context of this circumstantial case on the perpetrator's identity, warrants reversal of the judgment. (*Mat-*

ter of Dondi v Jones, 40 NY2d 8; *Martin v City of Cohoes*, 37 NY2d 162; *People v Bilsky*, 95 NY2d 172; *People v Thompson*, 90 NY2d 615; *People v Hampton*, 21 NY3d 277; *People v Nieves*, 67 NY2d 125; *People v Medina*, 44 NY2d 199; *People v Linares*, 2 NY3d 507; *People v Beauchamp*, 84 AD3d 507; *People v Carmichael*, 73 AD3d 622.)

Cyrus R. Vance, Jr., District Attorney, New York City (Ross D. Mazer and Sylvia Wertheimer of counsel), for respondent. The record supports the lower courts' findings that it was reasonably inferable that the unidentified declarant personally observed the shooting, and the declarant's statement was properly admitted as an excited utterance. (*Crawford v Washington*, 541 US 36; *Arizona v California*, 460 US 605; *Messenger v Anderson*, 225 US 436; *People v Nieves*, 67 NY2d 125; *People v Malizia*, 62 NY2d 755; *United States v Birney*, 686 F2d 102; *People v Hernandez*, 28 NY3d 1056; *People v Carroll*, 95 NY2d 375; *Christianson v Colt Industries Operating Corp.*, 486 US 800; *People v Amaya*, 103 AD3d 568.)

OPINION OF THE COURT

WILSON, J.

Defendant Twanek Cummings appeals from an order of the Appellate Division affirming the trial court's decision to admit a statement, heard in the background of a 911 call and spoken by an unidentified person, under the excited utterance exception to the hearsay rule. Although we reject his argument that the law-of-the-case doctrine prevented the substitute Supreme Court Justice from revisiting the prior Justice's decision to exclude the statement, admission of the statement was error because the record contains no evidence from which a trier of fact could reasonably infer that the statement was based on the personal observation of the declarant. On the record here, we cannot conclude the error was harmless. Accordingly, we reverse the order of the Appellate Division and order a new trial.

On March 19, 2012, at about 2:28 p.m., three men—Messrs. Relaford, Phillips and Allen—were on the corner of 129th St. and St. Nicholas Terrace. A silver minivan drove past and double parked. The passenger exited, walked past the group, then turned around and pointed a gun at Mr. Relaford. The gunman shot Mr. Relaford in the hand and leg, Mr. Phillips in the leg, and Mr. Allen in the buttocks. The gunman briskly reentered the minivan, which sped off.

The exact timing is disputed, but somewhere between 2:29 p.m. and 2:32 p.m., Mr. Phillips called 911. About 20 seconds

into the call, someone in the background can be faintly heard saying, “Yo, it was Twanek, man! It was Twanek, man!” A woman in the assembled crowd provided the police with a partial license plate number for the minivan. An officer spotted and stopped a minivan matching the description and partial license plate a short distance from the crime scene, at which point both the driver and passenger exited the vehicle. The officer stayed with and arrested the driver, but the passenger—the suspected gunman—slipped away.

Mr. Cummings’ fingerprint was subsequently found on the passenger door of the minivan, and cell site data is consistent with his presence in the area at the time of the shooting. The People assert that Mr. Cummings left the state soon after the shooting, returning a few days later. No weapon was recovered, and the shooting victims failed to identify Mr. Cummings in a lineup. Surveillance video shows someone running away from the scene and entering the minivan immediately after the shooting, and several people hurrying towards the scene moments later. The surveillance video does not show the scene of the shooting. Neither the shooter nor the person saying, “It was Twanek, man,” can be identified from the video.

During Mr. Cummings’ first trial, the People sought to admit the unidentified person’s statement on the 911 call under the excited utterance exception to the hearsay rule. The court denied the application. The jury deadlocked, and the court declared a mistrial. The matter was to be retried before a different Supreme Court Justice in October 2013. That Justice also denied the People’s application to admit the statement. She took ill after all but the alternate jurors were selected, and was replaced by another Supreme Court Justice. The People renewed their application to admit the statement, and the court allowed admission of the statement as an excited utterance. Mr. Cummings was tried and convicted of one count of assault in the first degree, two counts of attempted assault in the first degree, two counts of criminal possession of a weapon in the second degree, and two counts of assault in the second degree. He was acquitted of three counts of attempted murder.

On appeal, Mr. Cummings argued that the law-of-the-case doctrine barred the substitute Supreme Court Justice presiding over his second trial from reconsidering the prior Justice’s decision to exclude the unidentified speaker’s statement recorded in the background of the 911 call. He also argued that the ruling was incorrect, because there was no evidence from

which to infer that the unidentified speaker personally observed the shooting. The Appellate Division rejected both arguments, and summarily stated that even if the admission of the statement was erroneous, it was harmless (145 AD3d 490, 491 [1st Dept 2016]). A Judge of this Court granted Mr. Cummings leave to appeal.

I. Law of the Case

Law of the case is “a judicially crafted policy that ‘expresses the practice of courts generally to refuse to reopen what has been decided, [and is] not a limit to their power.’ As such, law of the case is necessarily ‘amorphous’ in that it ‘directs a court’s discretion,’ but does not restrict its authority” (*People v Evans*, 94 NY2d 499, 503 [2000] [citations omitted]). Law of the case does not apply to every judge or every ruling. Our cases applying law of the case have generally involved courts of *coordinate jurisdiction* (see *id.*; *Matter of Dondi v Jones*, 40 NY2d 8, 15 [1976]). Further, absent prejudice to the defendant, a judge may revisit his or her own evidentiary rulings during trial (see *United States v Wade*, 512 Fed Appx 11, 14 n 1 [2d Cir 2013] [“pre-trial evidentiary rulings may be revisited w(h)ere no prejudice accrues to the party that had previously thought it had secured a favorable ruling from the . . . court”]; cf. *Aridas v Caserta*, 41 NY2d 1059, 1061 [1977]). On retrial, evidentiary rulings may be reconsidered, but orders determining the result of a suppression hearing generally cannot (see *Evans* at 504-505; *People v Malizia*, 62 NY2d 755, 758 [1984]; *People v Nieves*, 67 NY2d 125, 136 [1986]).

[1] The decision to admit hearsay as an excited utterance is an evidentiary decision, “left to the sound judgment of the trial court” (*People v Hernandez*, 28 NY3d 1056, 1057 [2016]), and thus may be reconsidered on retrial (see *Nieves* at 136-137 [noting that a ruling on admissibility of evidence as excited utterance would not be binding in a subsequent trial]). There is no reason to apply a different rule to a successor judge within the same trial and we, therefore, have no basis to adopt a per se rule prohibiting a substitute judge from exercising independent discretion concerning an evidentiary trial ruling. To be sure, “the law of the case doctrine is designed to eliminate the inefficiency and disorder that would follow if courts of coordinate jurisdiction were free to overrule one another in an ongoing case” (*Evans*, 94 NY2d at 504). This, however, weighs against Mr. Cummings’ argument that a substitute justice’s

discretionary reconsideration of a prior evidentiary ruling necessitates per se reversal (*cf. Wright v Cayan*, 817 F2d 999, 1002 n 3 [2d Cir 1987] [“it would be self-defeating to reverse a correct ruling by the second judge solely because of a departure from the law of the case”]). Accordingly, the substitute Justice was not bound by law of the case and acted within his discretion to revisit the evidentiary ruling (*see Evans*, 94 NY2d at 506).

Notably, Mr. Cummings does not contend that he lacked sufficient notice of, or had taken irremediable steps in reliance on, the ruling allowing the admission of the statement from the 911 call (*see United States v Birney*, 686 F2d 102, 107 [2d Cir 1982]). Where, as here, the evidentiary ruling was reversed before the jury was empaneled, absent a showing of prejudice resulting from, for example, a mid-trial reversal of an evidentiary ruling that impedes the defense strategy, we cannot say that an abuse of discretion occurred.

II. Admissibility

A “spontaneous declaration or excited utterance—made contemporaneously or immediately after a startling event—which asserts the circumstances of that occasion as observed by the declarant” is an exception to the prohibition on hearsay (*People v Edwards*, 47 NY2d 493, 496-497 [1979] [the declaration may be admitted into evidence “as expressing the true belief of the declarant as to the facts observed”]). “The admission of a hearsay statement under any exception deprives the defendant of the right to test the accuracy and trustworthiness of the statement by cross-examination” (*People v Brown*, 80 NY2d 729, 736 [1993]). Although hearsay, excited utterances may be admissible because, “as the impulsive and unreflecting responses of the declarant to the injury or other startling event, they possess a high degree of trustworthiness, and, as thus expressing the real tenor of said declarant’s belief as to the facts *just observed by him*, may be received as testimony of those facts” (*People v Caviness*, 38 NY2d 227, 231 [1975] [emphasis added]). As we stated in *People v Fratello*: “To be sure, . . . it must be inferable that the declarant had an opportunity to *observe personally* the event described in the [spontaneous] declaration” (92 NY2d 565, 571 [1998] [emphasis added]). Direct observation by the person making the excited utterance ensures that the declarant is in fact reacting to and “assert[ing] the circumstances of” the event causing the excitement (*Edwards*, 47 NY2d at 496-497).

[2] The question presented is whether it is reasonably inferable from the circumstances that the unidentified speaker, heard in the background of the 911 call, personally observed the shooting. Both parties agree that this is a mixed question of law and fact, and thus, our inquiry is limited to whether there is record support for the admissibility ruling. There is none.

As we recognized in *Fratello*, “[i]n most instances, [the personal observation] requirement is satisfied self-evidently from the circumstances that the declarant was an actual participant in the event which is the subject of the declaration” (92 NY2d at 571). In *Fratello*, the declarant was the victim of a shooting, but the defendant challenged the admission of the victim’s initial identification because the identification took place after “a nighttime attack during a high-speed car chase” (*id.*). We held it was reasonably inferable that the victim observed the shooter before identifying him as the defendant because the car chase occurred on a block with street lights, the victim was a close friend of the defendant, the victim accurately identified the type of car chasing him, and the victim testified that he observed one of the attackers in the rearview mirror sufficiently to describe his appearance.

Of course, the declarant need not be a victim or participant: bystander-declarants can make admissible excited utterances. For example, in *People v Caviness*, we held that a statement by a nonparticipant could be admitted as an excited utterance: “Assuming that the non-participant is shown to have had adequate opportunity to observe the event, there is no sound reason why his spontaneous exclamation should not be admitted, for the unexpected exciting event may just as effectively produce a natural and spontaneous declaration by a bystander as by a participant” (38 NY2d at 231-232). Under the circumstances present in that case—the “declarant’s proximity to the occurrence, which furnished an adequate opportunity to observe, the professed shock, and the immediacy of the utterance following the event,” as well as the fact that the declarant knew the shooter and victim, described what she saw when she testified at trial, and was subject to cross-examination—the excited utterance was admissible (*id.* at 232 [citations omitted]).

In contrast to *Fratello* and *Caviness*, the declarant here is unidentified. The People are correct that lack of identification of the declarant does not make an excited utterance inadmis-

sible per se, but facts must exist from which a reasonable trier of fact could infer that the declarant personally observed the incident. In *People v Brown*, we held that an unidentified declarant's statement on a 911 call was an admissible present-sense impression (80 NY2d at 737). There, the caller was relaying to the 911 dispatcher his continuous, real-time observations of a burglary in process, describing what the two burglars were wearing, where they were, and the apprehension of one while the other was located on the roof. Those details were corroborated by the statements of police officers (*id.* at 736-737). Similarly, in *People v Coleman* (16 AD3d 254 [1st Dept 2005]), the Appellate Division permitted the admission of a statement made during a 911 call as both an excited utterance and a present-sense impression. In *Coleman*, the declarant was "describing an attack in progress against a man and a woman at a specified location" and "[t]he 911 operator requested and obtained a description of the assailant" (*id.* at 254.) Here, unlike in *Brown* and *Coleman*, the declarant's bare conclusory statement contained no basis from which personal knowledge can reasonably be inferred. Moreover, to the extent the People argue that the fingerprint Mr. Cummings left on the minivan "strongly corroborated" the unidentified declarant's statement that "It was Twanek," we are unpersuaded. Such proof does not help us determine whether the declarant personally observed the shooting or was passing on hearsay several times removed.

The People rely heavily on the fact that the call was close in time to the shooting, arguing that "for the declarant to have exclaimed from that corner so quickly, he had to have been either at the corner or extremely nearby when the shooting occurred." However, the video evidence shows that many people ran toward the site of the shooting just after the gunman turned the corner and entered the minivan. So, even if we accept the People's timeline,* numerous people arrived between the shooting and the statement on the call, and there is consequently no way to know whether the statement was made by someone who could see the assailant (who was wearing a hoodie, was not identifiable from the videos, and was not identified by the victims). Here, as the Supreme Court Justice who took ill concluded, there is "no way to know whether the declarant observed the incident first hand or whether someone else

* The People repeatedly told Supreme Court that the 911 call was within three minutes of the shooting, with the call beginning at 2:32 p.m., but eventually claimed that the call occurred at 2:29 p.m.

reported the facts to him and he was just parroting what he was told” (see *Miller v Keating*, 754 F2d 507, 511 [3d Cir 1985] [“The declarant might have been drawing a conclusion on the basis of what he saw as he approached the scene of the accident. He might have been hypothesizing or repeating what someone else had said”]). Because there is no evidence from which a reasonable inference can be drawn that the declarant personally observed the incident, admission of the statement heard in the background of the 911 call was error.

That error was not harmless. Here, the non-constitutional standard applies, because Mr. Cummings did not make a due process argument and concedes that the admission of the statement does not violate the Confrontation Clause. Under the non-constitutional standard, we ask whether proof of guilt was overwhelming, and whether there was no significant probability that the jury would have acquitted had the proscribed evidence not been introduced (see *People v Kello*, 96 NY2d 740, 744 [2001]; *People v Crimmins*, 36 NY2d 230, 231 [1975]). That standard is not met here.

The People’s remaining evidence is not nearly as strong without the statement from the 911 call. The circumstantial evidence centers around Mr. Cummings’ fingerprint on the exterior of the car door, the cell phone records that may place him in the area, and his out-of-state travel shortly after the shooting, presented as consciousness of guilt. However, no one—victim or bystander—identified Mr. Cummings as the shooter, even though the victims gave a physical description. That fact distinguishes this case from *People v Kello* (96 NY2d at 744). There, we held that wrongful admission of hearsay as a present-sense impression was harmless under the non-constitutional standard; however, in *Kello*, two eyewitnesses “unequivocal[ly]” identified the defendant, and thus, “at most, the tapes [recording the present-sense impression] weakly confirmed the two eyewitnesses’ testimony” (*id.*). Here, the unidentified declarant’s statement is the only identification evidence. The cell phone records are not precise as to location, and not determinative of criminality; in fact, the cell phone evidence indicates that Mr. Cummings called the driver at 2:36 p.m., which the People admit would be inconsistent with Mr. Cummings’ presence in the minivan unless the call was accidental. Those pieces of evidence together were not so powerful as to make the unidentified speaker’s claim, “Yo, it was Twanek, man,” unimportant.

The People's "heavy reliance" on the statement during summation underscores its importance (*People v Hardy*, 4 NY3d 192, 199 [2005]). The People opened the summation by playing the call, and saying:

"An individual's voice was captured in the recording you just heard in the 911 call, and it declared in that particular way it was Twanek, it was Twanek, on the heels of the shooting. Now, that person unequivocally identified the defendant, Twanek Cummings, to you, by his very uncommon first name, more than once and emphatically right after the shooting, and his certainty and his sincerity was clear. After all, you heard it. It was captured in real time as it was said. This is on the scene, evidence of not only the identification of the defendant, Twanek Cummings, as the perpetrator of the shooting, but it's also direct evidence of how the statement was made and how the identification of the defendant was made right there on the street, precisely what was said and also exactly how it was said in the moment."

The People continued to reference the statement several times throughout summation to corroborate other evidence, and ended the summation by playing the call a final time. Based on the evidence presented at trial, there was a "significant probability" that "had it not been for the error[] which occurred, this jury or a third would have acquitted the defendant" (*Crimmins*, 36 NY2d at 231).

Accordingly, the order of the Appellate Division should be reversed and a new trial ordered.

RIVERA, J. (concurring). Defendant Twanek Cummings appeals his conviction on the basis that the trial court erroneously admitted a 911 call under the excited utterance exception to the hearsay rule. The justification for this exception, while longstanding, warrants serious reconsideration.

"Excited utterances," statements "made contemporaneously or immediately after a startling event which affected or was observed by the declarant, and relate to the event," are an exception to federal and state evidentiary rules against hearsay (see *People v Nieves*, 67 NY2d 125, 135 [1986]; *People v Fratello*, 92 NY2d 565 [1998]). "The essential element of the exception is that the declarant spoke while under the stress or influ-

ence of the excitement caused by the event, so that [their] reflective capacity was stilled” (*Nieves*, 67 NY2d at 135). The exception’s rationale posits that when a “declarant is exposed to a startling or upsetting event that is sufficiently powerful to render [their] normal reflective processes inoperative” (*People v Cantave*, 21 NY3d 374, 381 [2013] [internal quotation marks and citation omitted]), the resulting statement could “not [be] the product of studied reflection and[or] possible fabrication” (*People v Johnson*, 1 NY3d 302, 306 [2003]). “The spontaneity of the declaration guarantees its trustworthiness and reliability” (*Cantave*, 21 NY3d at 381).

Legal scholars and jurists have questioned the continued vitality of this exception, in light of advances in psychology and neuroscience that demonstrate an individual’s inability to accurately recall facts when experiencing trauma, and, in turn, to create falsehoods immediately. For example, the Seventh Circuit has stated that, “[a]s with much of the folk psychology of evidence, it is difficult to take this rationale [that immediacy negates the likelihood of fabrication] entirely seriously, since people are entirely capable of spontaneous lies in emotional circumstances. Old and new studies agree that less than one second is required to fabricate a lie” (*Lust v Sealy, Inc.*, 383 F3d 580, 588 [7th Cir 2004] [internal quotation marks and citation omitted]). Circuit Judge Posner has explained pointedly the weak foundation for this exception:

“The [Federal Rules of Evidence] Advisory Committee Notes provide an even less convincing justification for . . . the ‘excited utterance’ rule. The proffered justification is ‘simply that circumstances may produce a condition of excitement which temporarily stills the capacity of reflection and produces utterances free of conscious fabrication.’ The two words I’ve italicized drain the attempted justification of any content. And even if a person is so excited by something that [they] lose[] the capacity for reflection (which doubtless does happen), how can there be any confidence that [their] unreflective utterance, provoked by excitement, is reliable? . . .

“As pointed out in the passage that the majority opinion quotes from the McCormick treatise, ‘The entire basis for the [excited utterance] exception may . . . be questioned. While psychologists would

probably concede that excitement minimizes the possibility of reflective self-interest influencing the declarant's statements, they have questioned whether this might be outweighed by the distorting effect of shock and excitement upon the declarant's observation and judgement.'

"The Advisory Committee Notes go on to say that while the excited utterance exception has been criticized, 'it finds support in cases without number.' I find that less than reassuring. Like the exception for present sense impressions, the exception for excited utterances rests on no firmer ground than judicial habit, in turn reflecting judicial incuriosity and reluctance to reconsider ancient dogmas" (*United States v Boyce*, 742 F3d 792, 801-802 [7th Cir 2014, Posner, J., concurring] [citations omitted]; see also Steven Baicker-McKee, *The Excited Utterance Paradox*, 41 Seattle U L Rev 111, 114 [2017] ["Psychological studies suggest that stressful events trigger the '(fight)-or-flight' response, and that deceptive statements are not only possible, they can be a natural component . . . A traumatic event dramatically increases cognitive load, leading to perception deficits and distortions. Thus, excited witness perceptions tend to be unreliable for many reasons"]; Melissa Hamilton, *The Reliability of Assault Victims' Immediate Accounts: Evidence from Trauma Studies*, 26 Stan L & Pol'y Rev 269, 304 [2015] ["Evidence law's entrenchment in a precedential schematic relying upon longstanding tradition as proving any rule's validity is unfortunate in light of advances in scientific knowledge concerning human cognitions, physiological functioning, psychological experiences, and purposeful actions"]).

It appears that only tenuous support exists for the proposition that a declarant's event-concurrent statements should evade traditional evidentiary requirements, and thus for this judicially-created "excited utterance" exception. Science, fact, and common sense suggest that we should cabin, if not outright abandon, the exception. Certainly, "judicial habit, in turn reflecting judicial incuriosity and reluctance to reconsider ancient dogmas" (*Boyce*, 742 F3d at 802 [Posner, J., concurring]) is no reason to guard this exception so tightly, especially

in the face of criticism stemming from an informed understanding of human cognitive behavior.

Nevertheless, because defendant does not challenge the premise of the “excited utterance” exception, instead confining his analysis to traditional notions of existing hearsay rules, I am compelled to consider his appeal on those terms, rather than reverse on the basis that the exception should be rejected whole cloth. Thus, regarding the present claim as limited by defendant, and on constraint of our prior case law, I agree for the reasons set forth by the majority that the Appellate Division should be reversed.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Garcia and Feinman concur; Judge Rivera in a concurring opinion.

Order reversed and a new trial ordered.

[100 NE3d 799, 76 NYS3d 460]

In the Matter of TALIB W. ABDUR-RASHID, Appellant, v NEW YORK CITY POLICE DEPARTMENT et al., Respondents.

In the Matter of SAMIR HASHMI, Appellant, v NEW YORK CITY POLICE DEPARTMENT et al., Respondents.

Argued February 6, 2018; decided March 29, 2018

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered June 2, 2016. The Appellate Division (1) affirmed a judgment of the Supreme Court, New York County (Alexander W. Hunter, Jr., J.; op 45 Misc 3d 888 [2014]), entered in a proceeding pursuant to CPLR article 78 (the first above-entitled proceeding), which had (a) denied the petition seeking to compel respondents New York City Police Department (NYPD) and NYPD Commissioner Raymond Kelly to disclose documents requested by petitioner Talib W. Abdur-Rashid pursuant to the Freedom of Information Law (FOIL) (Public Officers Law § 84 *et seq.*); and (b) granted respondents' motion to dismiss the proceeding; and (2) (a) reversed, on the law, an order of the Supreme Court, New York County (Peter H. Moulton, J.; op 46 Misc 3d 712 [2014]), entered in a proceeding pursuant to CPLR article 78 (the second above-entitled proceeding), which had (i) denied respondents' motion to dismiss the petition seeking to compel them to disclose documents requested by petitioner Samir Hashmi pursuant to FOIL; and (ii) ordered respondents to submit an answer to the petition; (b) granted the motion to dismiss; and (c) vacated the order to submit an answer.

Matter of Abdur-Rashid v New York City Police Dept., 140 AD3d 419, affirmed.

HEADNOTES

Records — Freedom of Information Law — Refusal to Confirm or Deny Existence of Responsive Records — Glomar Doctrine

1. When confronted with a targeted Freedom of Information Law (Public Officers Law § 84 *et seq.* [FOIL]) request for information concerning whether an individual or organization is the subject of police surveillance and/or investigation, a police agency is permitted to decline to confirm or deny the existence of responsive material on the rationale that whether or not it is investigating a particular person or organization constitutes information exempt from disclosure under the law enforcement and public safety exemp-

tions of Public Officers Law § 87. Under the federal statutory scheme of the Freedom of Information Act (5 USC § 552 [FOIA]), it is permissible for a federal agency to use a so-called Glomar response and decline to acknowledge possession of responsive records when the fact that responsive records exist would itself reveal information protected under a FOIA exemption. The Glomar doctrine is well settled as a proper response to a FOIA request because it is the only way in which an agency may assert that a particular FOIA statutory exemption covers the existence or nonexistence of the requested records in a case in which a plaintiff seeks such records. FOIL was modeled after FOIA, and there are occasions when, due in large part to the precise manner in which the FOIL request is structured, an interpretation of the statute that compels a law enforcement agency to reveal that responsive records exist with respect to a specific individual or organization would, in effect, force the agency to disclose substantive information that is protected under FOIL's law enforcement and public safety exemptions. Thus, when there is a FOIL request as to whether a specific individual or organization is being investigated or surveilled, the agency, in order to avoid tipping its hand, must be permitted to provide a Glomar-type response.

Records — Freedom of Information Law — Refusal to Confirm or Deny Existence of Responsive Records — Factual Basis to Invoke Law Enforcement and Public Safety Exemptions

2. Respondent New York City Police Department properly refused to acknowledge the existence of documents responsive to petitioners' Freedom of Information Law (Public Officers Law § 84 *et seq.* [FOIL]) requests for information related to any surveillance and investigation of them as individuals and of a mosque and student group with which they were associated, as respondent established a factual basis to invoke the law enforcement and public safety exemptions of Public Officers Law § 87. Petitioners' requests concerning recent or ongoing investigations by a law enforcement agency implicated the core concerns underlying the exemptions. Without revealing any specific information about petitioners, the affidavit of respondent's chief of intelligence explained in extensive detail how disclosing the information sought would imperil its ongoing counterterrorism efforts to protect New York City, and that respondent's role in preventing the next attack is dependent on its ability to collect information without publicizing its methods or sources to anyone who can use the information to counter its efforts. He also contended that compelling respondent to acknowledge that it possessed records responsive to the request, even if it did not turn over documents, would reveal whether petitioners or the organizations with which they were affiliated were subjects of respondent's investigative interest, information that was itself exempt from disclosure. Moreover, petitioners did not offer evidence that respondent's response to the particular requests was a function of bad faith, rather than the legitimate law enforcement concerns identified in the affidavit.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Freedom of Information Acts §§ 265–267, 329, 356, 407, 508, 544.

CARMODY-WAIT 2d Proceeding Against a Body or Officer §§ 145:642, 145:644, 145:648, 145:661.

McKINNEY'S, Public Officers Law §§ 84, 87.
NY JUR 2d Records and Recording §§ 52, 60, 65, 84.
5 USCA § 552.

ANNOTATION REFERENCES

Constitutionality, construction, and effect of statute or regulation relating specifically to divulgence of information acquired by public officers or employees. 165 ALR 1302.

Validity, construction, and application of statutory provisions relating to public access to police records. 82 ALR3d 19.

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POINTS OF COUNSEL

Law Firm of Omar T. Mohammedi, LLC, New York City (Omar T. Mohammedi and Elizabeth K. Kimundi of counsel), for appellants. I. The Appellate Division, First Department erred when it allowed the New York City Police Department to invoke the Federal Glomar doctrine in response to a New York State Freedom of Information Law request for records. (*Matter of Markowitz v Serio*, 11 NY3d 43; *Matter of Fappiano v New York City Police Dept.*, 95 NY2d 738; *Matter of Hanig v State of N.Y. Dept. of Motor Vehs.*, 79 NY2d 106; *Matter of Thomas v New York City Dept. of Educ.*, 103 AD3d 495; *Matter of New York Civ. Liberties Union v City of Schenectady*, 2 NY3d 657; *Payne v Tennessee*, 501 US 808; *Matter of Asian Am. Legal Defense & Educ. Fund v New York City Police Dept.*, 125 AD3d 531; *Matter of Nicholas v Kahn*, 47 NY2d 24; *Matter of County of Oneida v Berle*, 49 NY2d 515.) II. The application of the Glomar doctrine would be inappropriate in the appellants' case. (*Wilner v National Sec. Agency*, 592 F3d 60; *Wolf v Central Intelligence Agency*, 473 F3d 370; *Minier v Central Intelligence Agency*, 88 F3d 796; *Benavides v Drug Enforcement Admin.*, 968 F2d 1243; *National Day Laborer Org. Network v United States Immigration & Customs Enforcement Agency*, 811 F Supp 2d 713; *Phillippi v Central Intelligence Agency*, 546 F2d 1009; *Gardels v Central Intelligence Agency*, 689 F2d 1100; *Morley v Central Intelligence Agency*, 508 F3d 1108; *Lame v United States Dept. of Justice*, 654 F2d 917; *Ely v Federal Bur. of Investigation*, 781 F2d 1487.)

Zachary W. Carter, Corporation Counsel, New York City (*Devin Slack, John Moore and Richard Dearing* of counsel), for respondents. I. The Freedom of Information Law does not require an agency to reveal protected information when denying a request for exempt records. (*Matter of Markowitz v Serio*, 11 NY3d 43; *Matter of Hanig v State of N.Y. Dept. of Motor Vehs.*, 79 NY2d 106; *Matter of Federation of N.Y. State Rifle & Pistol Clubs v New York City Police Dept.*, 73 NY2d 92; *Wilner v National Sec. Agency*, 592 F3d 60; *Phillippi v Central Intelligence Agency*, 546 F2d 1009; *Matter of Fink v Lefkowitz*, 47 NY2d 567; *Matter of Xerox Corp. v Town of Webster*, 65 NY2d 131; *Matter of Prisoners' Legal Servs. of N.Y. v New York State Dept. of Correctional Servs.*, 73 NY2d 26; *Shelton v American Motors Corp.*, 805 F2d 1323; *United States v Hubbell*, 530 US 27.) II. The New York City Police Department properly provided a circumscribed response to petitioners' requests. (*Matter of Asian Am. Legal Defense & Educ. Fund v New York City Police Dept.*, 125 AD3d 531; *Matter of Leshner v Hynes*, 19 NY3d 57; *Matter of Fink v Lefkowitz*, 47 NY2d 567; *Matter of Bellamy v New York City Police Dept.*, 87 AD3d 874, 20 NY3d 1028; *American Civ. Liberties Union of Michigan v Federal Bur. of Investigations*, 734 F3d 460; *American Civ. Liberties Union v United States Dept. of Defense*, 628 F3d 612; *Wilner v National Sec. Agency*, 592 F3d 60; *Hunt v Central Intelligence Agency*, 981 F2d 1116; *Moore v Central Intelligence Agency*, 666 F3d 1330; *Wolf v Central Intelligence Agency*, 473 F3d 370.)

Davis Wright Tremaine LLP, Washington, D.C. (*Alison Schary* of counsel), and New York City (*John M. Browning* of counsel), and *Reporters Committee for Freedom of the Press*, Washington, D.C. (*Bruce D. Brown, Katie Townsend and Adam A. Marshall* of counsel), for Reporters Committee for Freedom of the Press and others, amici curiae. I. Use of the Glomar response, which was developed to protect the most sensitive national security secrets, has exploded across federal agencies. (*Phillippi v Central Intelligence Agency*, 546 F2d 1009; *Military Audit Project v Casey*, 656 F2d 724; *Wilner v National Sec. Agency*, 592 F3d 60; *American Civ. Liberties Union v Department of Defense*, 389 F Supp 2d 547.) II. Glomar responses will inhibit the ability of plaintiffs and courts to evaluate withholdings in Freedom of Information Law (FOIL) cases and constitute a radical change to FOIL; such a change, if made at all, should be made by the legislature. (*Wilner v National Sec. Agency*, 592 F3d 60; *Vaughn v Rosen*, 523 F2d 1136; *Matter of Gould v New York City Police Dept.*, 89 NY2d 267; *Matter of*

Fink v Lefkowitz, 47 NY2d 567; *Phillippi v Central Intelligence Agency*, 546 F2d 1009; *Matter of Leshner v Hynes*, 19 NY3d 57; *Matter of Encore Coll. Bookstores v Auxiliary Serv. Corp. of State Univ. of N.Y. at Farmingdale*, 87 NY2d 410.) III. Adoption of the Glomar doctrine will hinder the Freedom of Information Law's effectiveness as a tool for keeping the public informed, especially about the activities of New York law enforcement agencies. (*NLRB v Robbins Tire & Rubber Co.*, 437 US 214; *Cox Broadcasting Corp. v Cohn*, 420 US 469.)

New York Civil Liberties Union Foundation, New York City (*Mariko Hirose, Robert Hodgson and Christopher Dunn* of counsel), for New York Civil Liberties Union, amicus curiae. I. The First Department's recognition of the Glomar doctrine significantly undermines the Freedom of Information Law's promise of transparency and accountability. (*Matter of Grabell v New York City Police Dept.*, 139 AD3d 477; *Matter of Gould v New York City Police Dept.*, 89 NY2d 267; *American Civ. Liberties Union v Department of Defense*, 389 F Supp 2d 547.) II. If the Court were to recognize the Glomar doctrine under the Freedom of Information Law, it should adopt additional safeguards beyond those proposed by the New York City Police Department. (*New York Times Co. v United States Dept. of Justice*, 756 F3d 100; *Hassan v City of New York*, 804 F3d 277; *Matter of Gould v New York City Police Dept.*, 89 NY2d 267; *Wilner v National Sec. Agency*, 592 F3d 60; *Krikorian v Department of State*, 984 F2d 461; *American Ins. Assn. v Garamendi*, 539 US 396; *In re National Sec. Agency Telecom. Records Litig.*, 630 F Supp 2d 1092; *United States v Adams*, 473 F Supp 2d 108; *American Civ. Liberties Union of N.J. v Federal Bur. of Investigation*, 733 F3d 526.)

Scott D. McNamara, District Attorneys Association of the State of New York (*Tammy J. Smiley, Andrea M. DiGregorio and Monica M.C. Leiter* of counsel), for District Attorneys Association of the State of New York, amicus curiae. A Glomar response is necessary to effectuate the legislative intent of protecting enumerated categories of information under the Freedom of Information Law. (*Wilner v National Sec. Agency*, 592 F3d 60; *Larson v Department of State*, 565 F3d 857; *Wolf v Central Intelligence Agency*, 473 F3d 370; *Bassiouni v Central Intelligence Agency*, 392 F3d 244; *Minier v Central Intelligence Agency*, 88 F3d 796; *Phillippi v Central Intelligence Agency*, 546 F2d 1009; *Matter of Data Tree, LLC v Romaine*, 9 NY3d 454; *Matter of Fink v Lefkowitz*, 47 NY2d 567; *People for the*

Ethical Treatment of Animals v National Inst. of Health, Dept. of Health & Human Servs., 745 F3d 535; *Matter of Asian Am. Legal Defense & Educ. Fund v New York City Police Dept.*, 125 AD3d 531.)

Kelley Drye & Warren LLP, New York City (Michael Yim of counsel), for New York City Council's Black, Latino and Asian Caucus, amicus curiae. I. The New York City Police Department's application of the Glomar doctrine undermines the legislative intent of New York State's Freedom of Information Law. (*Matter of Capital Newspapers, Div. of Hearst Corp. v Whalen*, 69 NY2d 246; *Phillippi v Central Intelligence Agency*, 546 F2d 1009.) II. Glomar is a purely federal doctrine that has no application for state and city agencies like the New York City Police Department. (*De Canas v Bica*, 424 US 351; *Department of Navy v Egan*, 484 US 518; *United States v Carolene Products Co.*, 304 US 144; *Yick Wo v Hopkins*, 118 US 356; *People v New York City Tr. Auth.*, 59 NY2d 343; *Brown v City of Oneonta, N.Y.*, 221 F3d 329; *Chavez v Illinois State Police*, 251 F3d 612; *Arlington Heights v Metropolitan Housing Development Corp.*, 429 US 252; *Hayden v Paterson*, 594 F3d 150; *Hasan v City of New York*, 804 F3d 277.)

OPINION OF THE COURT

Chief Judge DiFiore.

The issue presented is whether an agency may decline to acknowledge that requested records exist in response to a Freedom of Information Law request (Public Officers Law § 84 *et seq.* [FOIL]) when necessary to safeguard statutorily exempted information. Under these circumstances, we hold that it may and therefore affirm the Appellate Division order, which reached the same conclusion.

The federal courts have long permitted federal agencies responding to Freedom of Information Act (5 USC § 552 [FOIA]) requests to neither confirm nor deny the existence of responsive documents—a so-called Glomar response—when the agency's acknowledgement that it possesses responsive documents would itself reveal information protected from disclosure under a FOIA exemption. In the context presented here, where a law enforcement agency was asked to disclose records relating to a police investigation and surveillance activities involving two specific individuals and associated organizations—information protected under the law enforcement and public safety exemptions of Public Officers Law § 87—such a response is compatible with the FOIL statute and our precedent interpreting it.

In October 2012, petitioners Talib Abdur-Rashid and Samir Hashmi separately submitted targeted FOIL requests seeking any records possessed by the New York City Police Department (NYPD) related to any “surveillance” and “investigation” of them as individuals and of certain specified entities with which they were associated (including a mosque and a university student association, respectively) for the six-year period immediately preceding the request. The agency denied the requests, stating in each case that the information, “if possessed by the NYPD,” would be protected from disclosure under various statutory exemptions, including the law enforcement, public safety and personal privacy provisions. After the NYPD adhered to those decisions on administrative appeal, petitioners commenced separate CPLR article 78 proceedings challenging the determinations. Petitioners asserted that the NYPD was engaged in an ongoing domestic surveillance program in which, as alleged in press articles, it had targeted Muslim individuals, places of worship, businesses, schools, student groups and the like. It was in this context that petitioners attempted to ascertain whether they were subjects of surveillance or investigation, noting that they had supplied certifications of identity waiving their personal privacy interests and authorizing the NYPD to release responsive records to their attorneys.¹

The NYPD’s response, although styled as a motion to dismiss the petition in each case, did not assert a procedural objection but defended the FOIL responses on the merits. The agency explained the basis for its denial of the FOIL requests and its refusal to disclose whether it possessed responsive documents in a 22-page affidavit of its Chief of Intelligence, Thomas Galati. Without offering any specific information relating to petitioners, Chief Galati described the NYPD’s ongoing and wide-ranging counterterrorism efforts, acknowledging that the agency was actively engaged in covert surveillance and other intelligence gathering in its effort to preempt acts of terrorism in New York City, which remains a prime target in the wake of the World Trade Center attacks. The Galati affidavit averred that disclosure of whether the NYPD possesses records responsive to the FOIL requests would necessarily reveal whether petitioners had been the subjects of its investigation,

1. While petitioners waived their own privacy interests, they did not claim to have the authority to waive the privacy interests of other members of the associated entities with respect to which they also sought information.

information which—particularly if aggregated—would provide unprecedented and invaluable information concerning NYPD counterterrorism strategies, operations, tactics and techniques to those planning future terrorist attacks. The Galati affidavit also averred that the NYPD intelligence strategies are monitored by individuals and organizations with the goal of developing counterintelligence measures, and the greatest vulnerability to the NYPD Intelligence Bureau is the release of even “seemingly innocuous information” which would inexorably reveal sources from which information is gathered by the NYPD.

The proceedings were assigned to different justices for resolution. In *Abdur-Rashid*, Supreme Court granted the NYPD’s motion to dismiss and denied the petition, reasoning that the NYPD demonstrated that its response—including its refusal to acknowledge whether responsive records existed—was not prohibited by FOIL as the records sought were exempt from disclosure under the statute and the cases interpreting it (45 Misc 3d 888 [Sup Ct, NY County 2014]). In *Hashmi*, although not disputing that the content of responsive records may be exempt, Supreme Court, among other things, denied the motion to dismiss on the rationale that the NYPD’s failure to acknowledge whether or not responsive records existed was impermissible under FOIL (46 Misc 3d 712 [Sup Ct, NY County 2014]). Hearing the cases together, the Appellate Division affirmed in *Abdur-Rashid* and, among other things, reversed the order denying the motion to dismiss in *Hashmi*, granting the motion and dismissing the petition (140 AD3d 419 [1st Dept 2016]). The Appellate Division reasoned that, through the affidavits of Chief Galati, the NYPD had “establish[ed] that confirming or denying the existence of the records would reveal whether petitioners or certain locations or organizations were the targets of surveillance, and would jeopardize NYPD investigations and counterterrorism efforts” in contravention of the law enforcement and public safety exemptions (*see id.* at 421). Thus, the Court held that NYPD’s refusal to confirm or deny the existence of responsive records was consistent with FOIL and the cases construing it. We granted petitioners leave to appeal (28 NY3d 908 [2016]).

To promote open government and public accountability, FOIL imposes a broad duty on government agencies to make their records available to the public (*see* Public Officers Law § 84). The statute is based on the policy that “the public is vested

with an inherent right to know and that official secrecy is anathematic to our form of government” (*Matter of Fink v Lefkowitz*, 47 NY2d 567, 571 [1979]). Consistent with the legislative declaration in Public Officers Law § 84, FOIL is liberally construed and its statutory exemptions narrowly interpreted (see *Matter of Data Tree, LLC v Romaine*, 9 NY3d 454, 462 [2007]). All records are presumptively available for public inspection and copying, unless the agency satisfies its burden of demonstrating that “the material requested falls squarely within the ambit of one of [the] statutory exemptions” (*Fink*, 47 NY2d at 571). “While FOIL exemptions are to be narrowly read, they must of course be given their natural and obvious meaning where such interpretation is consistent with the legislative intent and with the general purpose and manifest policy underlying FOIL” (*Matter of Hanig v State of N.Y. Dept. of Motor Vehs.*, 79 NY2d 106, 110 [1992] [internal quotation marks and citation omitted]). Nor may the courts order disclosure of records deemed *confidential* by the legislature: “[o]nce it is determined that the requested material falls within a FOIL exemption, no further [balancing of interests or] policy analysis is required” (*id.* at 112).²

[1] From the outset of FOIL, the legislature expressly exempted certain agency records from public access, recognizing that there is sometimes “a legitimate need on the part of government to keep some matters confidential” (*Fink*, 47 NY2d at 571). For example, the law enforcement exemption and the public safety exemption, which the NYPD relied on here, protect records that, if disclosed, would interfere with law enforcement investigations or judicial proceedings, reveal nonroutine criminal investigative techniques or endanger the

2. In New York, challenges to FOIL determinations are resolved in summary proceedings pursuant to CPLR article 78 (see Public Officers Law § 89 [4] [b]). Where—as here—exemptions are relied upon, “the agency involved shall have the burden of proving that such record falls within” the claimed exemptions (*id.*). Beyond merely disposing of motions to dismiss, here the Appellate Division considered the petitions on the merits, concluding the NYPD met its burden of justifying its reliance on FOIL exemptions in each instance to shield the existence and contents of any responsive records. Whether the Court erred in that regard presents an issue of law in this Court. We therefore disagree with the suggestion that the merits are not ripe for adjudication by virtue of a “scant record” or “contested facts” (Wilson, J., concurring and dissenting op at 257). In each proceeding, the record here was fully developed; the NYPD supplied all of the documents comprising a return, supported by a detailed affidavit explaining the basis for the claimed exemptions, which submissions were addressed by petitioners.

life or safety of any person (Public Officers Law § 87 [2] [e] [i], [iv]; [f]). When interpreting these provisions, we have emphasized that “the purpose of [FOIL] is not to enable persons to use agency records to frustrate pending or threatened investigations nor to use that information to construct a defense to impede a prosecution” (*Matter of Madeiros v New York State Educ. Dept.*, 30 NY3d 67, 77 [2017] [internal quotation marks and citation omitted]). FOIL was not designed to assist wrongdoers in evading detection or, put another way, “to furnish the safecracker with the combination to the safe” (*Fink*, 47 NY2d at 573). As this Court has acknowledged, the disclosure of information acquired by the police during a criminal investigation “could potentially endanger the safety of witnesses, invade personal rights, and expose confidential information of nonroutine police procedures” (*Matter of Gould v New York City Police Dept.*, 89 NY2d 267, 278 [1996]).

In *Matter of Leshner v Hynes* (19 NY3d 57, 60-61 [2012]), an author sought “[a]ny and all” records from a District Attorney’s office concerning its pending prosecution of a defendant charged with sexual abuse who fled the country “one step ahead of an arrest warrant.” The District Attorney declined to turn over any records, broadly asserting that any records relevant to the pending prosecution—including correspondence with federal officials relating to extradition efforts—were protected from disclosure under the law enforcement exemption. Petitioner argued, among other things, that the District Attorney had not adequately explained how the release of records relating to a publicly acknowledged prosecution would interfere with law enforcement investigations or judicial proceedings. In rejecting that argument, we adopted the analysis in *NLRB v Robbins Tire & Rubber Co.* (437 US 214 [1978]) in which the United States Supreme Court held—interpreting its own analogous law enforcement exemption (5 USC § 552 [b] [7] [A])—that courts may determine that “with respect to particular kinds of enforcement proceedings, disclosure of particular kinds of investigatory records while a case is pending would generally ‘interfere with enforcement proceedings’ ” (*Robbins*, 437 US at 236, quoting 5 USC § 552 [b] [7] [A]). Thus, in the case of a pending criminal investigation or prosecution, a law enforcement agency is not required to make a specific evidentiary showing relating to the likelihood that disclosure of records would pose any unique or unusual danger of interference in the individual case that is the subject of the request (*Leshner*,

19 NY3d at 67). Rather, the agency may fulfill its burden to articulate a factual basis for the exemption under FOIL by “identify[ing] the generic kinds of documents for which the exemption is claimed, and the generic risks posed by disclosure of [those] categories of documents” (*id.*). In *Lesher*, for example, the prosecutor’s general explanation that the correspondence sought contained information concerning the particulars of the crime and the identities and statements of witnesses and that “its release posed an obvious risk of prematurely tipping the District Attorney’s hand” was sufficient to support reliance on the exemption (*id.* at 67-68).

We recognized the need to protect investigative information in *Lesher* even though the existence of the criminal action was a matter of public record. Before criminal proceedings have commenced, the inherent dangers of premature disclosure are even greater. In fact, the need for government confidentiality may be at its zenith when a law enforcement agency is undertaking a covert investigation of individuals or organizations, where the lives of the public, cooperators and undercover officers may hang precariously in the balance and the reputation, livelihood or liberty of the subject may be at stake. This Court has never held that FOIL compels a law enforcement agency to reveal records relating to an ongoing criminal investigation of a particular individual or organization to the target, the press or anyone else—and the structure and purpose of the law enforcement and public safety exemptions in Public Officers Law § 87 are rendered meaningless by a contrary conclusion. The dissent does not argue otherwise and petitioners in this case no longer challenge the applicability of the cited exemptions to the content of the investigation and surveillance records they requested.³

3. Nowhere in their briefs do petitioners analyze the propriety of the exemptions as applied to their requests. Petitioners cite with approval the Appellate Division decision in *Matter of Asian Am. Legal Defense & Educ. Fund v New York City Police Dept.* (125 AD3d 531 [1st Dept 2015], *lv denied* 26 NY3d 919 [2016] [*AALDEF*]) in which an organization sought 13 categories of documents generated by the NYPD Intelligence Division relating to investigation of Muslim persons, among others. There the Appellate Division indicated that these documents fell within the law enforcement exemption. Petitioners do not dispute that the “investigation” and “surveillance” records they seek here, if they exist, would be a subset of the documents they acknowledge were properly treated as exempt in *AALDEF*. While, as the dissent notes, petitioners have not been provided with the records requested, they could have argued that records of a recent or pending covert investiga-

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Rather, the thrust of petitioners' argument is that, when declining to disclose records which fall squarely within an exemption, the NYPD must specify whether or not it possesses materials responsive to the FOIL request even when doing so would reveal information safeguarded by that same FOIL exemption. Taken to its logical extreme, petitioners argue a Catch-22 paradigm where the NYPD would have to acknowledge the existence of an investigation involving a particular person notwithstanding that the contents of any responsive records would be exempt and revelation of their existence would result in the same harm justifying exemption of the contents—whether the FOIL request comes from the target, a newspaper or some other member of the public.

The NYPD counters that this Court should follow the commonsense doctrine employed by the federal courts, which have recognized that it is permissible under the federal statutory scheme of FOIA for a federal agency to decline to acknowledge possession of responsive records when the fact that responsive records exist would itself reveal information protected under a FOIA exemption. Federal recognition of this policy dates back to *Phillippi v Central Intelligence Agency* (546 F2d 1009 [DC Cir 1976]), in which a reporter sought records from the CIA concerning its relationship with a vessel known as the Hughes Glomar Explorer, purportedly owned by a private corporation but believed to have been used by the CIA to gather information concerning sunken Russian submarines. The District of Columbia Circuit credited the CIA's explanation that, to require it to reveal whether it possessed records relating to the vessel would be tantamount to requiring it to reveal its connection to the vessel—a fact exempt from disclosure under FOIA exemptions 1 (5 USC § 552 [b] [1], protecting materials classified pursuant to Executive Order) and 3 (5 USC § 552 [b] [3], protecting materials “specifically exempted from disclosure by statute”). Thus, in federal parlance, when an agency neither confirms nor denies that it possesses records in response to a FOIA request, it is known as a Glomar response (*see e.g. Wilner v National Sec. Agency*, 592 F3d 60, 64 [2d Cir 2009], *cert denied* 562 US 828 [2010]).

tion of specific individuals are not exempt from disclosure—but it is telling that neither they nor the dissent make such a claim. Instead, the dissent essentially ignores the fact that petitioners specifically requested “investigation” and “surveillance” records—not some other class of documents without a clear connection to such activities.

The federal courts have recognized that “[FOIA’s] exemptions cover not only the content of the protected government records but also the fact of their existence or nonexistence, if that fact itself properly falls within the exemption” (*id.* at 68, quoting *Larson v Department of State*, 565 F3d 857, 861 [DC Cir 2009]). Thus, as the Second Circuit has explained, “[t]he *Glomar* doctrine is well settled as a proper response to a FOIA request because it is the only way in which an agency may assert that a particular FOIA statutory exemption covers the ‘existence or nonexistence of the requested records’ in a case in which a plaintiff seeks such records” (*Wilner*, 592 F3d at 68). The burden is on the agency to submit an affidavit explaining in as much detail as possible why the information protected by a *Glomar* response—i.e., whether the agency possesses responsive documents—logically falls within the claimed FOIA exemptions (*Phillippi*, 546 F2d at 1013).

Although pointed FOIA requests analogous to the inquiries here are rare, the dangers of disclosure of the existence of an investigation of a particular person have been acknowledged under that statute. In *Vazquez v United States Dept. of Justice* (887 F Supp 2d 114 [DC Cir 2012], *not for summary affirmance granted* 2013 WL 6818207, 2013 US App LEXIS 25854 [DC Cir, Dec. 18, 2013, No. 13-5197]), plaintiff sought records about him maintained by the FBI’s National Crime Information Center (NCIC), a compilation of 19 separate databases containing investigative material compiled for law enforcement purposes. In upholding the use of a *Glomar* response under FOIA law enforcement exemption 7 (E), the court credited the FBI’s assertion

“that [p]ublic confirmation of NCIC transactions would alert individuals that they are the subject of an investigation as well as reveal[] the identity of the investigative agency. With this information, individuals could modify their criminal behavior, thereby preventing detection by law enforcement agencies and risking circumvention of the law. . . . In other words, persons knowing that they are being investigated by a law enforcement entity, which the requested information would reveal, could reasonably be expected to use the information to circumvent the law. Conversely, . . . knowledge that there have been no NCIC checks run [would indicate the person] is not on law enforcement’s

radar [permitting them] to continue to engage in unlawful endeavors with renewed vigor” (887 F Supp 2d at 117-118 [internal quotation marks omitted]).

FOIA cases involving counterintelligence records are also particularly instructive. In *Hunt v Central Intelligence Agency* (981 F2d 1116 [9th Cir 1992]), a defendant on trial for murder sought disclosure from the CIA of records regarding his victim, an Iranian national. The Ninth Circuit upheld the CIA’s use of a Glomar response, crediting its explanation in supporting affidavits that

“the disclosure of the existence or non-existence of documents must not be viewed in isolation but rather as one tile in a mosaic of intelligence gathering. Through the CIA’s disclosure of the existence or non-existence of records on particular individuals, a FOIA requester could make the information public or otherwise available to counter-intelligence operations from other nations. . . . [T]hose experts could then determine the contours and gaps of CIA intelligence operations and make informed judgments as to the identities of probable sources and targets [who] . . .

“could find themselves under suspicion and in grave danger. . . . [P]otential future sources would be reluctant to come forward; targets of intelligence scrutiny would be alerted and could take additional precautions; and foreign operatives could learn whether or not the CIA was aware of their activities” (981 F2d at 1119).

The same risk has been recognized when the subject of the request is not an individual but a specific organization or institution. For example, in *Gardels v Central Intelligence Agency* (689 F2d 1100 [DC Cir 1982]), the FOIA request sought records from the CIA relating to its past and present relationships with the University of California. The District of Columbia Circuit emphasized that the specific request could not be viewed in isolation, particularly there where the CIA had received 125 similar requests seeking information relating to about 100 American colleges and universities. Acknowledgment of the existence of records concerning any one institution, when aggregated, could reveal substantial information relating to the CIA’s covert activities and assist foreign intelligence

bodies in determining which institutions to avoid and where to concentrate their efforts. In *Gardels*, the court reasoned that the CIA could properly treat all such requests uniformly by providing a Glomar response, neither revealing the existence or nonexistence of responsive records with respect to any one institution.

Given that our statute was modeled after FOIA, we have repeatedly looked to federal precedent when interpreting FOIL, particularly in relation to the law enforcement exemptions (see *Matter of Friedman v Rice*, 30 NY3d 461 [2017]; *Madeiros*, 30 NY3d 67; *Leshner*, 19 NY3d 57). And while it is not necessary for us to consider on this appeal whether there are other circumstances when a Glomar-type response might be permissible under FOIL, the analysis in the federal cases is instructive in the unique situation presented here where a targeted request seeks records concerning a specific individual's involvement in a pending NYPD investigation. As these cases demonstrate, there are indeed occasions when, due in large part to the precise manner in which the FOIL request is structured, an interpretation of the statute that compels a law enforcement agency to reveal that responsive records exist with respect to a specific individual or organization would, in effect, force the agency to disclose substantive information that is protected under FOIL's law enforcement and public safety exemptions. Just as requiring the CIA to state whether it possesses documents relating to the Hughes Glomar Explorer would reveal whether or not it was connected to that vessel, compelling the NYPD to state whether or not it possesses "investigative or surveillance" records would reveal substantive information concerning an individual's involvement with the NYPD investigation. Put another way, when there is a FOIL request as to whether a specific individual or organization is being investigated or surveilled, the agency—in order to avoid "tipping its hand"—must be permitted to provide a Glomar-type response.⁴

4. Although we find federal law persuasive, we reach this conclusion by interpreting FOIL's statutory exemptions and our cases construing them—there has been no "blind adoption of a federal judicial doctrine" (see dissenting op at 267). That being said, we are unpersuaded that there are relevant textual distinctions between the provisions of FOIA and FOIL. The fact that FOIL requires that a request be "denied" whereas FOIA permits an agency to treat FOIA as "not apply[ing]" to exempt matters in no way impacts the Glomar issue, nor has any federal court relied on the dissent's novel textual

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We reject petitioners' argument that there is a textual basis in New York's FOIL statute foreclosing an agency from declining to reveal whether responsive documents exist when it is denying a FOIL request based on a statutory exemption. The general rule requiring an agency to acknowledge the existence of responsive records stems from the presumption of access—it is usually necessary for an agency to reveal that a particular record exists in order to demonstrate the applicability of an exemption.⁵ But there is no specific statutory language requiring an agency to certify the existence of records wholly protected under an exemption. Petitioners rely on Public Officers Law § 89 (3) (a), which states that an agency “shall certify that it does not have possession of such record or that such record cannot be found after diligent search.” However, that provision is triggered when, in lieu of granting a FOIL request, the agency finds that it either does not possess the item requested or is unable to locate it after a diligent search (*see Matter of Rattley v New York City Police Dept.*, 96 NY2d 873, 874-875 [2001]); it does not require certification of the existence of records for which the agency is claiming an exemption. Here, the NYPD based its denial on the applicability of various exemptions and not on an inability to locate responsive documents af-

analysis. The 1986 amendment adding 5 USC § 552 (c)—discussed extensively by the dissent—likewise in no way undermined the commonsense analysis underlying the federal Glomar cases that precede or follow it, which do not restrict the doctrine to classified or national security materials under exemptions 1 and 3. The dissent's speculation that the analysis is unavailable or limited in cases involving FOIA's law enforcement exemptions is unsupported and inconsistent with cases indicating just the opposite (*see Vazquez*, 887 F Supp 2d 114; *see e.g. Department of Justice v Reporters Comm. for Freedom of Press*, 489 US 749 [1989] [upholding denial of request under law enforcement exemption 7 (C) where agency neither confirmed nor denied possession of information on rap sheet involving specific individual]). Moreover, the dissent's analysis misses the mark for the more fundamental reason that it fails to focus on the facts of this case and the contours of New York's law enforcement and public safety exemptions—which are controlling here.

5. In most instances, the fact that an agency possesses responsive records does not itself provide substantive information protected by an exemption. For example, in *Leshner*, the pending prosecution was a matter of public record and, as such, the fact that the District Attorney possessed responsive records did not reveal confidential information—only the contents of those records fell within an exemption. Thus, in cases like *Leshner* involving pending or completed prosecutions, a request for records related to a defendant in the possession of the pertinent police agency would be unlikely to engender a Glomar-type response because the fact that defendant has been the subject of investigation is obvious from the prosecution itself. In that scenario, the contents of the records may or may not be exempt under FOIL, but the fact that responsive records exist would not be.

ter a diligent search. Nor is the response inconsistent with the provisions in section 89 (3) (a) identifying the three permissible final responses to a FOIL request: (1) grant the request and disclose documents, (2) certify that the record cannot be found after a diligent search, or (3) “deny such request,” invoking one or more exemptions (see *Matter of Beechwood Restorative Care Ctr. v Signor*, 5 NY3d 435, 440-441 [2005]). The determinations under review, in which the NYPD refused to turn over any records relying on multiple exemptions, fell into the third category—a denial of the request for records.⁶

It is the rare case where, due to the surrounding circumstances and the manner in which a FOIL request is structured, acknowledging that any responsive records exist would, itself, reveal information tethered to a narrow exemption under FOIL. But when a FOIL request seeks to ascertain if a specific person or organization is under investigation by the NYPD Intelligence Bureau, such a response is entirely consistent with the purpose and structure of our statute. To recognize that those unusual circumstances coalesce here does not create a broad judicial exemption as the dissent erroneously claims. Rather, we are applying a commonsense interpretation of the relevant statutory language to give full effect to the law enforcement and public safety exemptions carefully crafted by the legislature, as interpreted for decades by this Court. A model of understatement, the dissent recognizes that requiring an agency to acknowledge the existence of records in these circumstances “may have concerning implications” (dissenting op at 270-271) but protests that the Court is powerless to avoid such a result—that only the legislature can intervene. We disagree. The legislature has already acted by adopting the law enforcement and public safety exemptions—the task of

6. The dissent’s conclusion to the contrary is puzzling. FOIL provides a mechanism for public access to records and, here, the NYPD expressly and categorically denied petitioners’ FOIL requests. In this case, if responsive records do not exist, petitioners were not entitled to disclosure of anything. If responsive records do exist, the question is whether either their contents—or the fact that they exist, which itself may disclose confidential information—is protected under one or more FOIL exemptions. We believe this is the central issue in the case, which the dissent entirely fails to confront. If the existence of records is protected information under a statutory exemption, nothing in FOIL compels its disclosure. In this regard, it is the dissent that adopts a new requirement found nowhere in the text of the statute—a requirement that, in all instances, an agency expressly certify that responsive records exist, regardless of whether the existence of the records is protected under an exemption.

interpreting them falls squarely within the province of the courts. At bottom, the legislative intent was not to provide public access to information, the secrecy of which is necessary to sustain the government's legitimate exercise of police powers to investigate criminal activity. We will not abdicate our fundamental role to interpret the statutory language to give full effect to the FOIL exemptions implicated in this case, just as the federal courts have done in the Glomar cases. While the dissent rightfully expresses concern about "blanket" or "carte blanche" exemptions, we endorse nothing of the sort here as our decision is premised on respondents' factual demonstration of the necessity for non-access, which is addressed below. Like the federal courts, our courts must scrutinize an agency's refusal to confirm or deny the existence of responsive documents on a case-by-case basis to ensure it is warranted under the particular circumstances presented.

Here, in assessing the propriety of the agency's refusal to reveal whether responsive records exist, we begin with the requests themselves, which were both extremely specific and quite unusual. Indeed, we know of no other FOIL case in which individuals who had never been arrested, involved in a police confrontation or formally charged have asked a police agency to acknowledge if they were under investigation. Abdur-Rashid requested records relating to any "investigation" or "surveillance" of himself, individually or in his capacity as leader of a religious institution. Hashmi similarly sought all records relating to "investigation" or "surveillance" of himself or a student group with which he is associated. In their petitions, both men referred to news articles describing the NYPD's ongoing counterterrorism investigation and surveillance program.⁷ Petitioners seek to learn their connection, if any, to this en-

7. The dissent faults the Galati affidavit for justifying the NYPD's response by referencing its counterterrorism investigation, lamenting that "[w]e do not know if any past or current investigations of petitioners actually related to counterterrorism" (dissenting op at 265). However, the NYPD response cannot be so easily dismissed. In the petitions, petitioners referenced news articles alleging that the NYPD was engaged in an ongoing domestic surveillance program involving Muslim individuals and institutions. The news articles reported that, in the wake of the September 11th attacks, the NYPD, with the assistance of the CIA, had undertaken a covert domestic counterterrorism operation in the tri-state area. The NYPD thus interpreted petitioners' request for "investigation" and "surveillance" records (for a discrete time period immediately preceding the request) as relating to that ongoing investigation, described in detail in the Galati affidavit; this was not the product of an "unsupported assumption" (see dissenting op at 265). The NYPD

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deavor—anyone who suspects, reasonably or otherwise, that they are the subject of or even a peripheral figure in a covert police investigation might understandably feel the same. However, FOIL was never designed to compel a law enforcement agency to disclose inherently confidential, investigatory information of this nature.

[2] Petitioners' requests for information concerning a recent or ongoing investigation by a law enforcement agency implicate the core concerns underlying the law enforcement and public safety exemptions. Under *Lesher*, the agency could meet its obligation to provide a factual basis for the exemptions by identifying the generic kind of records for which the exemption was claimed and the generic risks posed by disclosure of those types of records. The Galati affidavits fulfilled that requirement. Without revealing any specific information about these petitioners (which it could not do without revealing the very information it claimed was exempt), the affidavit explained in extensive detail how disclosing the information sought—i.e., who has been the subject of investigation or surveillance—would imperil its ongoing counterterrorism efforts to protect New York City.

Chief Galati noted that, unlike other NYPD units that investigate crimes after they have occurred (essentially gathering evidence to reconstruct a past event), the intelligence unit of the NYPD is tasked with the objective to be preemptive—amassing information to deter, detect and thwart future terrorist activity. He described numerous, recent cases involving terrorist activity in New York City, demonstrating that the City remains a primary target for terrorist attacks and that, working jointly and sharing information with other state and federal law enforcement agencies, his unit plays a pivotal role in identifying terrorist plots and arresting those involved in order to prevent planned attacks designed to cause mass casualties. The unit gathers information from a myriad of sources, from undercover operations and confidential informants to open sources, as well as a well-publicized counterterrorism hotline, welcoming any and all leads from the public on a promise of confidentiality. Chief Galati averred that it was essential to the

could not have provided more specific information relating to these individuals without disclosing precisely the information claimed to be exempt—i.e., whether petitioners were subjects of the investigation they referenced—which is exactly the purpose of the refusal to confirm or deny the existence of the information sought.

operational integrity of the intelligence program that it be able to keep confidential the information it gathers, the sources it uses and the methodologies and tactics it employs to defend against countermeasures used by individuals and organizations to expose the vulnerabilities in the NYPD program. The NYPD's role in preventing the next attack is dependent on its ability to collect information without publicizing its methods or sources to anyone who can use the information to counter its efforts, an assertion consistent with the basic realities of intelligence work.

Further, Chief Galati asserted that the FOIL requests under review here could not be viewed in isolation, noting that the NYPD was beginning to receive similar requests from others. In particular, Chief Galati highlighted the recent initiation of a mass FOIL campaign by a local organization, which encouraged and assisted constituents in submitting requests to the NYPD "FOILing" themselves. The affidavit explained that, if records from disparate requests were aggregated, this would place any individual response into a larger mosaic which could be used to analyze NYPD's counterterrorism operation and identify areas of focus and sources of information. Critically, Chief Galati contended that compelling the NYPD to acknowledge that it possesses records responsive to the request—even if it did not turn over documents—would reveal whether petitioners or the organizations with which they are affiliated were subjects of NYPD investigative interest, information that is itself exempt from disclosure.

The Appellate Division did not err in determining that the Galati affidavit established a factual basis for the exemptions claimed under the circumstances presented. This is true even though the NYPD does not claim (nor could it, consistent with its desire to maintain secrecy) that petitioners or their organizations are connected in any way with its pending counterterrorism investigation. As the federal courts have recognized (*see generally Gardels*, 689 F2d 1100), a Glomar-type response would be ineffective if it were permissible only when the agency possesses responsive records, even though that is the situation when it is most evident that revealing the existence of the records would damage a pending investigation. Such a myopic approach would prove unworkable because it would not be difficult to distinguish between individuals and organizations who are under investigation (who would receive a Glomar-type response) and those who are not (who would be

told that responsive records do not exist). Thus, in the circumstances presented here, when confronted with a targeted FOIL request of this nature, a police agency must be permitted to give a uniform response—to decline to confirm or deny the existence of responsive material in either scenario—on the rationale that whether or not it is investigating a particular person or organization constitutes information that is itself statutorily exempt from disclosure.

Finally, petitioners argue that even if—as we have concluded—an agency can decline to acknowledge that responsive records exist in these unique circumstances, various safeguards recognized by the federal courts preclude the NYPD’s use of such a response here. For example, petitioners contend that an agency cannot decline to reveal the existence of records when it has publicly revealed the information for which it is claiming an exemption. They further argue that the NYPD invoked Glomar in a bad faith effort to cover up embarrassing or unlawful acts, such as its use of racial or religious profiling. We caution that we have no occasion in this case to consider whether a Glomar-type response is available under FOIL in any circumstance other than that presented here where the request involves an ongoing criminal investigation, nor do we adopt wholesale the approach taken by the federal courts. That being said, we agree that a police agency that has already revealed the records sought and for which it claims an exemption cannot credibly support such a response. Here, petitioners have not come forward with any evidence that the NYPD publicly acknowledged that it investigated or surveilled petitioners or the organizations referenced in their specific FOIL requests.

As for bad faith, the strongest safeguard against misuse of a FOIL exemption is the factual showing requirement. An agency denying a FOIL request must establish a bona fide, factual basis for the exemptions claimed and any evidence that undermines that showing is material to the court’s assessment of the adequacy of the agency’s submission—including a claim of bad faith. Although there is no language in the statute authorizing the procedure, New York courts have interpreted FOIL to permit in camera review of sensitive or confidential materials when the court deems such a procedure appropriate or necessary in a particular case to test the legitimacy of a claim of confidentiality or to oversee the redaction process in cases where portions of a record are subject to disclosure (*see e.g. Matter of New York Times Co. v City of N.Y. Fire Dept.*, 4

NY3d 477, 490 [2005]).⁸ Given that the requests here sought “investigative” and “surveillance” records involving a specific person relating to a discrete time period immediately preceding the request, and in light of the comprehensive affidavit supporting application of the claimed exemptions, there was certainly no abuse of discretion in declining to order in camera review in these cases.

Moreover, other than general allegations arising from news reports, petitioners offered no evidence that the NYPD’s response to these particular requests is a function of bad faith, rather than the legitimate law enforcement concerns identified in the comprehensive Galati affidavit. Notably, the Galati affidavit set forth the types of investigative activities which the NYPD is authorized to conduct in furtherance of its goals of detecting or preventing terrorist activities, none of which hinted at an insidious type of surveillance (*see e.g. People v Capolongo*, 85 NY2d 151, 160 [1995]). Here, the Galati affidavit was properly deemed sufficient to meet the factual basis requirement for the invocation of the statutory exemption. However, there may well be instances when the FOIL request is more general, either in terms of its subject or the nature of the materials sought, where the propriety of a Glomar-type response is less clear from the law enforcement agency affidavit, or where indicia of improper motive significantly undermine the asserted basis for the exemption. In that event, some form of in camera review may be warranted, even if modifications to the typical procedure are necessary. Thus, our existing FOIL paradigm contains important safeguards against misuse of the exemptions that are no less available in the rare instance when a law enforcement agency denying a request neither confirms nor denies the existence of responsive records.

It bears emphasizing, as is also true under FOIA, that if an agency establishes that the records sought fall within a FOIL exemption adopted by the legislature, the courts cannot order disclosure based on some other public policy concern asserted by a party or the court (*see Hanig*, 79 NY2d at 112; *see Minier*

8. Despite its concern about judicial overreach, the dissent endorses the in camera review procedure, taking no issue with this exercise of judicial prerogative. While noting the absence of in camera review (*see* dissenting op at 266, 270), the dissent neither suggests that the *nisi prius* court abused its discretion by failing to invoke the procedure nor explains what types of materials could have been submitted that would have warranted a different outcome here where no one disputes that the requested “investigation” or “surveillance” records, if they exist, are exempt from disclosure.

v Central Intelligence Agency, 88 F3d 796, 802-803 [9th Cir 1996]). While FOIL is an important tool in ensuring government transparency and public accountability, it is not—and was never designed to be—the only check against government overreach. For example, post-use notice requirements are set by the legislature for intrusive police surveillance, taking into account the need to protect the secrecy of the pending investigation (see CPL 700.50 [3]). Complaints of unconstitutional discriminatory actions have resulted in federal court actions and settlements (see *Handschu v Special Servs. Div.*, 605 F Supp 1384, 1416 [SD NY 1985]). Further, petitioners' claims that an NYPD investigative unit engaged in improper racial and religious profiling were the subject of numerous press articles. As averred in the Galati affidavit, the NYPD—while denying any wrongdoing—has nonetheless changed its policy.

For all of these reasons, under the circumstances presented here, where necessary to give full effect to the law enforcement and public safety statutory exemptions, the NYPD's response neither confirming nor denying the existence of the investigative or surveillance records sought is compatible with FOIL and the policy underlying those exemptions, which is to provide the public access to records without compromising a core function of government—the investigation, prevention and prosecution of crime.

Accordingly, in each case, the order of the Appellate Division should be affirmed, with costs.

WILSON, J. (concurring in part and dissenting in part). We have not before been asked whether a governmental agency may, in response to a Freedom of Information Law (Public Officers Law art 6 [FOIL]) request, decline to confirm or deny the existence of documents. All of us agree that FOIL expresses New York's strong policy command that, subject to limited exceptions, government documents must be made available to the public; that FOIL differs from and is more powerful than FOIA (5 USC § 552), and that the public is not permitted to use FOIL to disrupt law enforcement operations. FOIL eschews a police state in which citizens are subject to the secret whims of government, yet recognizes the immense public interest in the effective and faithful enforcement of law. As the majority points out, the dissent's position is unsupportable, because FOIL does not require that an agency state whether documents exist if that disclosure itself would reveal information falling within an exemption. As the dissent explains, the majority's

position, though repeatedly self-described as narrow and pertaining solely to the facts of this case, logically requires that the NYPD—or any other governmental agency charged with law enforcement—should respond to all FOIL requests seeking information about investigations by refusing to state whether any responsive documents exist.

I write separately to explain what the process compelled by FOIL and our prior decisions should be. In this case, that process would result in a partial remittal. I have organized my explanation as follows. *First*, neither FOIL nor our decisional law interpreting it requires an agency to confirm or deny the existence of protected documents if such confirmation or denial would itself be protected by an exemption. *Second*, conforming our FOIL doctrine to the FOIA Glomar doctrine is inappropriate, because of the unique foreign policy concerns underlying the Glomar doctrine and the criticism of federal decisions expanding that doctrine into more mundane areas. *Third*, agencies must evaluate the specific terms of each FOIL request and, if appropriate, make partial responses differentiated by the scope of the request and the nature of documents the agency possesses. *Fourth*, the procedural safeguards proffered by the NYPD, along with some additional safeguards, should be part of the CPLR article 78 process when a FOIL applicant seeks to challenge an agency's refusal to confirm or deny the existence of records on the ground that the act of doing so would itself disclose protected information. *Fifth*, the evidence tendered here by the NYPD is not sufficient to meet its prima facie burden to justify its wholesale nonresponse or to overcome the objections raised by the petitioners. Although that evidence is presently insufficient, I would remit to Supreme Court to give the parties the opportunity to present evidence in line with the process and guidelines I suggest.

I.

I begin with FOIL's language. Within five business days of receiving a written request for records, an agency "[i] shall make such record available to the person requesting it, [ii] deny such request in writing or [iii] furnish a written acknowledgement of the receipt of such request and a statement of the approximate date . . . when such request will be granted or denied" (Public Officers Law § 89 [3] [a]). The statutory language authorizing denial of a request does not require the agency to offer any reason for the denial at this stage. Thus, at this initial stage an agency is permitted merely to deny a

request, without explanation—and certainly without any requirement to state whether such documents do or do not exist.

As a second step, any person whose request is denied may take an administrative appeal to the agency's director or her designee, who then has 10 business days to provide the responsive records or "fully explain in writing to the person requesting the record the reasons for further denial" (*id.* § 89 [4] [a]). The statute does not state that the "full explanation" must identify any particular document's existence, or the existence of responsive documents at all. Thus, if the response to a request would itself reveal exempt information, the "full explanation" could state only that. For example, section 87 (2) (h) exempts "examination questions or answers which are requested prior to the final administration of such questions." In anticipation of sitting for a police officer examination, I might lodge a FOIL request asking for all documents concerning any questions on the forthcoming test that relate to this Court's *De Bour* factors. Confirming that such documents exist would tell me that I should study those factors; confirming that they do not exist would tell me not to bother. I might serve hundreds of similar requests which, if answered, would give me a very good idea of the test's composition. A satisfactory "full response in writing" to my request would be that the request seeks to compromise the test, and without confirming or denying whether any such documents exist, if they did they would be exempt from disclosure. But if I asked the same questions for a test given in the 1970s, that response would be patently unsatisfactory.

As a third step, a person displeased with the result of the second step (or whose administrative appeal is not timely resolved) may commence an article 78 petition in Supreme Court (*id.* § 89 [4] [b]). In that proceeding, the agency "shall have the burden of proving that such record falls within the provisions of" one of the exceptions contained in section 87 (2) (*id.*). That, then, brings us to the question in this case: what does the agency's burden entail when the agency asserts that the acknowledgement of the existence or nonexistence of documents would itself fall within an exception?

The statute is silent as to any requirements specifically pertaining to such an article 78 challenge. Although FOIL's process requires agencies to explain why any records they withhold are exempt from disclosure, no provision in the statute

requires those agencies in possession of responsive but exempt documents to disclose the existence of those documents in every case. Instead, the statute contemplates a spectrum of increasingly circumscribed, and increasingly difficult to justify, responses. To be sure, FOIL's goal of extending public accountability "wherever and whenever feasible" requires agencies to disclose as much information as is not protected by an exemption (*id.* § 84); exemptions are to be applied only to the relevant "records or portions thereof" and requests are to be "granted . . . in part" whenever possible (*id.* §§ 87 [2]; 89 [3] [a]). Thus, if an agency establishes a responsive document contains protected information, it will be "required to prepare a redacted version" (*Matter of Data Tree, LLC v Romaine*, 9 NY3d 454, 464 [2007]). If no sufficient redaction is possible, it will be permitted to instead provide a list "enumerating or describing . . . the documents withheld" (*Matter of Rose v Albany County Dist. Attorney's Off.*, 111 AD3d 1123, 1126 [3d Dept 2013]; see *Matter of West Harlem Bus. Group v Empire State Dev. Corp.*, 13 NY3d 882, 885 [2009] [calling "conclusory characterizations" "insufficient"]; *Cirale v 80 Pine St. Corp.*, 35 NY2d 113, 119 [1974] [requiring agencies, in the context of the common-law privilege for official information but with an eye toward the recently passed FOIL, to provide a "description of the material sought, the purpose for which it was gathered and other similar considerations" when invoking an exception]). By extension, if an agency establishes that enumeration would divulge protected information, it may acknowledge the existence of, but choose not to in any way describe, the withheld documents (see *American Civ. Liberties Union v Central Intelligence Agency*, 710 F3d 422, 433 [DC Cir 2013]). In the "rare case" (majority op at 233) where an agency establishes that even acknowledging the existence of responsive documents would divulge information protected by any one of the FOIL exemptions, it may provide an evidentiary basis for its conclusion while refusing to admit or deny the existence of any requested documents.

II.

The majority's reliance on the federal Glomar doctrine is misplaced. Yes, FOIL was structurally modeled on FOIA. However, as the dissent explains, the Glomar doctrine arises not from FOIA's law enforcement exemption, but from FOIA's exemption of documents "specifically authorized under criteria

established by an Executive order to be kept secret in the interest of national defense or foreign policy” (5 USC § 552 [b] [1] [A]), which has no analog in FOIL. The Constitution arrogates national defense and foreign policy to the federal government; the NYPD is not searching for a lost Soviet submarine or worried about the foreign policy consequences thereof. Both the majority and dissent tar their FOIL analysis by referring to the NYPD’s response as a “Glomar” response.

Glomar’s peculiar history has had a profound effect on its logic. FOIA exemptions 1 and 3, together with certain national security-related statutes, create a “near-blanket . . . exemption” for properly classified materials and CIA records (*Minier v Central Intelligence Agency*, 88 F3d 796, 801 [9th Cir 1996]). The exemptions’ near-blanket nature opens the door to the federal judiciary’s hands-off approach. The national security-related content of FOIA exemptions 1 and 3, coupled with a sense of the uniquely executive purview of national security, pushes judges through it: federal courts consistently reaffirm their “deferential posture” in Glomar cases (*Larson v Department of State*, 565 F3d 857, 865 [DC Cir 2009]). By way of example, the U.S. Court of Appeals for the D.C. Circuit believes that it is “in an extremely poor position to second-guess the predictive judgments made by the government’s intelligence agencies regarding questions such as whether a country’s changed political climate has yet neutralized the risk of harm to national security posed by disclosing particular intelligence sources” (*id.* [internal quotation marks omitted]).

The federal courts’ routine deference to Glomar responses “has been justified on both constitutional and prudential separation of powers grounds: Courts opine that protection of national security information is entrusted to the executive under Article II of the Constitution and that courts lack the competence to assess executive determinations to withhold national security information” (Nathan Freed Wessler, “[We] Can Neither Confirm Nor Deny the Existence or Nonexistence of Records Responsive to Your Request”: Reforming the Glomar Response Under FOIA, 85 NYU L Rev 1381, 1383, 1398 [2010]). It has also been criticized for resting on “concerns about comparative competence [that] are overblown and are outweighed by the institutional conflict of interest that arises when the executive branch makes essentially unreviewed decisions to withhold its own records from disclosure” (*id.*).

Those foreign-policy insecurities have no place in New York State’s excellent Unified Court System. Our government

features neither a unitary executive tasked with the national defense nor an elaborate system of classified information to which courts routinely defer. Most CIA endeavors will never see the light of day, let alone that of a courthouse; the destiny of every successful NYPD investigation is to appear before a judge. Regardless of federal courts' competence to evaluate foreign countries' changing political climates, we are not similarly handicapped in judging the soundness of FOIL exemptions based on police, privacy, or other justifications. Our courts are fully capable of scrutinizing an agency's response "on a case-by-case basis to ensure it is warranted under the particular circumstances presented" (majority op at 234).

III.

Glomar aside, both the majority and the dissent come to what I view as unsound resolutions because they fail to consider two important propositions. First, the scope of a particular FOIL request affects the appropriateness of a response refusing to admit or deny the existence of documents. Second, an agency, in responding to a FOIL request, may not be able to make a single response that is appropriate for all the information sought by the request.

Consider two requests: (1) all documents the NYPD possesses concerning any investigation of me; (2) all documents the NYPD possesses concerning any female undercover officer present at the XYZ bar on the evening of February 27, 2018. FOIL requires a different agency response to these two requests, and the former requires far more proof than the latter to justify a refusal to admit or deny the existence of documents. In the case of the latter request, the request facially is to determine the identity of an undercover officer or the existence of an ongoing investigation, and no extrinsic proof should be required to justify the NYPD's refusal to admit or deny the existence of documents. The dissent's absolutist position would require the NYPD to respond that documents do (or do not), exist, which is neither required by FOIL nor responsible public policy.

On the other hand, the majority's treatment of Mr. Abdur-Rashid's request—which is very much like request (1) above—prompts the dissent's salvo at the expansive implications of the majority's writing, allowing the NYPD to "claim the right to refuse to confirm or deny the existence of any record that even tangentially relates to any past, present, or future investigation of 'crime,' thereby avoiding its FOIL obligations in in-

numerable cases” (dissenting op at 266).¹ If the NYPD has in its possession documents from its surveillance of Mr. Abdur-Rashid in 1993, when he attended the Parliament of World Religions in Chicago, the majority has exempted the NYPD from saying whether it has such documents.

Neither the majority nor the dissent acknowledges that, in the case of a broad request such as (1) above, the agency is not entitled to give a monolithic response, and cannot give any response without examining the documents in its possession, if any. That is, FOIL expressly states that agencies may grant or deny requests “in whole or in part,” and a broad request likely calls for a differentiated response, based on the agency’s examination of what, if anything, it possesses.

Here, as the dissent notes, the requests seek information about current investigations as well as past investigations. Those two differ in the proof required. As to pending investigations, an agency’s refusal to admit or deny the existence of responsive records should require little, if any, proof, because the acknowledgement of the existence of an investigation while it is pending (or being contemplated) is clearly likely to “interfere with law enforcement investigations.” However, absent some specific proof that would bring disclosure of the existence of a past investigation within a FOIL exception, documents related to closed matters do not presumptively interfere with law enforcement investigations. Although agnostic on the question, today’s decision, if properly implemented, should allow the NYPD categorically to refuse to confirm or deny the existence of records only if those records “involve[] an ongoing criminal investigation” or were provided to it under an information-sharing agreement with federal agencies whose records are specifically exempted from disclosure (majority op at 237). I discuss the application to the facts of this matter in part V.

1. The majority, too, resorts to occasional hyperbole. It describes the logical conclusion of the petitioners’ argument as the NYPD having to acknowledge the existence of an investigation involving a particular person “whether the FOIL request comes from the target, a newspaper or some other member of the public” (majority op at 228). The NYPD, however, demands a release before commencing a search for records that could implicate an individual’s privacy and are being requested by the third party. The petitioners’ requests are restricted to requests for information about themselves.

IV.

I agree with the majority that “our existing FOIL paradigm contains important safeguards against misuse of the exemptions that are no less available in the rare instance when a” Glomar-response is asserted (majority op at 238).

Chief among those safeguards is the parties’, our lower courts’, and the majority’s recognition that an agency declining to confirm or deny the existence of responsive records must be held to the same standard expected of every agency that denies any part of a FOIL request.² To withhold responsive records, or any information about those records (including the fact of their existence or nonexistence), an agency must demonstrate that they, or the information, “fall[] squarely within a FOIL exemption by articulating a particularized and specific justification for denying access” (*Matter of Capital Newspapers Div. of*

2. That standard is stricter than federal courts’ “deferential posture” toward agency affidavits attempting to justify Glomar responses under FOIA exemptions 1 and 3 (*Larson*, 565 F3d at 865). Although courts in those cases “must accord substantial weight to an agency’s affidavit,” their relaxed scrutiny has nothing to do with the portable logic of a Glomar-like response (*Wolf v Central Intelligence Agency*, 473 F3d 370, 374 [DC Cir 2007] [internal quotation marks and emphasis omitted]). Instead, it is the result of a Congressional dictate specific to affidavits “‘concerning the details of the classified status of the disputed record’” (*Ray v Turner*, 587 F2d 1187, 1194 [DC Cir 1978], quoting S Rep 93-1200, 93d Cong, 2d Sess at 12, reprinted in 1974 US Code Cong & Admin News at 6290). New York, as already noted, has no analog to the first FOIA exemption, no Congress, and no classification authority.

In any case, the lower federal standard is simply incompatible with our precedents (*compare Larson*, 565 F3d at 862 [“Ultimately, an agency’s justification for invoking a FOIA exemption is sufficient if it appears ‘logical’ or ‘plausible’ ”], *with Data Tree*, 9 NY3d at 462 [an agency must meet its burden “in more than just a ‘plausible fashion’ ”]; *compare also Gardels v Central Intelligence Agency*, 689 F2d 1100, 1105 [DC Cir 1982] [“The test is not whether the court personally agrees in full with the CIA’s evaluation of the danger—rather, the issue is whether on the whole record the Agency’s judgment objectively survives the test of reasonableness, good faith, specificity, and plausibility”], *with Matter of Markowitz v Serio*, 11 NY3d 43, 51 [2008] [the court must find the agency’s evidence “persuasive”]). The lower courts properly rejected its application here (*see Matter of Abdur-Rashid v New York City Police Dept.*, 140 AD3d 419, 420-421 [1st Dept 2016] [holding the NYPD to FOIL cases’ usual “error of law” standard under article 78]; *Matter of Abdur-Rashid v New York City Police Dept.*, 45 Misc 3d 888, 893 [Sup Ct, NY County 2014] [observing that the federal standard stems from a unique national security context and concluding that “(a)lthough federal cases note that a court must accord ‘substantial weight’ to the agency’s affidavits, this court only looks to federal cases for guidance in interpreting the requirement and is not required to give the same substantial weight to the affidavits”]).

Hearst Corp. v Burns, 67 NY2d 562, 566 [1986]). Those “exemptions are to be narrowly interpreted so that the public is granted maximum access to the records of government” (*Matter of Data Tree, LLC v Romaine*, 9 NY3d 454, 462 [2007]). For the same reason, those justifications must present “specific, persuasive evidence” and “cannot merely rest on a speculative conclusion that disclosure might potentially cause harm” (*Matter of Markowitz v Serio*, 11 NY3d 43, 50-51 [2008]). In other words, the NYPD must meet its burden “in more than just a ‘plausible fashion’ ” (*Data Tree*, 9 NY3d at 462).

Another familiar safeguard is the expectation, shared by the majority, that courts unable to determine whether withheld documents fall entirely within the scope of the asserted exemption will “test the legitimacy of a claim of confidentiality” by ordering an “in camera review of sensitive or confidential materials” (majority op at 237; see *Matter of Gould v New York City Police Dept.*, 89 NY2d 267, 275 [1996]).³ “Supreme Court should decide” whether in camera review is necessary on the basis of an agency’s submission, regardless of whether the petitioner raises the issue (*Matter of New York Times Co. v City of N.Y. Fire Dept.*, 4 NY3d 477, 491 [2005]; see also *Matter of Xerox Corp. v Town of Webster*, 65 NY2d 131, 133 [1985]; *Church of Scientology Intl. v United States Dept. of Justice*, 30 F3d 224, 233 [1st Cir 1994] [(“T)he fact that the Church did not request *in camera* review in no way lessens the government’s burden to make an adequate showing . . . In other

3. I join the majority in rejecting our federal counterparts’ reluctance to review in camera documents whose existence the agency wishes neither to confirm nor to deny (see *Phillippi v Central Intelligence Agency*, 546 F2d 1009, 1012-1013 [DC Cir 1976] [“When the Agency’s position is that it can neither confirm nor deny the existence of the requested records, there are no relevant documents for the court to examine other than the affidavits”]). That reluctance is not only at odds with our precedent, but also predicated on Glomar’s unique context. Because federal courts have committed to policing, absent a showing of bad faith, only the formal logic of an agency’s affidavit, they have less need to examine the documents, if any, underlying that affidavit. Furthermore, the blanket nature of the first and third FOIA exemptions makes in camera review both less relevant and considerably more time-consuming for the court. As most equally circumscribed responses under FOIL will be justified by the extremely specific way in which the requests are phrased, they are likely to involve more exercises of discretion and fewer responsive records through which the court, aided by a confidential index, can be expected to sift. This aspect of the Glomar doctrine has sustained particularly heavy criticism (Wessler, 85 NYU L Rev at 1409-1410 [calling “in camera review . . . (of) any underlying records . . . an important first step toward reform of the Glomar response”]).

words, *in camera* review is a tool available to a court when the government's showing otherwise is inadequate to satisfy the burden of proving the exempt status of withheld documents. . . . The Church had no obligation to request such a review"). The more circumscribed the response, the more necessary the review: in the "rare case"—like this one—where no index of withheld documents can be provided, "it would seem proper that the material requested be examined by the court *in camera*" (*Cirale*, 35 NY2d at 119).

A third and final familiar safeguard is the provision, recently augmented by the legislature, for attorney's fees to be awarded to petitioners who substantially prevail over an agency's effort to restrict the freedom of information (Public Officers Law § 89 [4] [c] [i]-[ii]). As I understand the majority's logic, agencies refusing to confirm or deny the existence of responsive records first establish an exemption applies to the contents of that record. Then, they rerun their analysis, under the same or another exemption, against the bare fact of the record's existence. Petitioners who prevail over that second iteration of the FOIL provision, even if they do not succeed in accessing the document itself, may be entitled to whatever attorney's fees are attributable to that portion of their effort.

In addition to those familiar safeguards, all parties in this case suggest—and the majority agrees—that further precautions should be adopted in FOIL cases where the agency neither confirms nor denies the existence of responsive records.

First, the "burden is on the agency to submit an affidavit explaining in as much detail as possible why the information protected by [the agency's response]—i.e., whether the agency possesses responsive documents—logically falls within the claimed [FOIL] exemptions" (majority op at 229).

Second, as the NYPD proposes, a petitioner should have the opportunity to test the affidavit by (a) "argu[ing] that the agency's claims are insufficient to show that acknowledging the existence of records implicates an exemption to disclosure" and (b) "producing competent evidence" that rebuts the agency's proffered justification for using a circumscribed response (brief for respondents at 43-44). To "create as complete a public record as is possible," the petitioner "should be allowed to seek appropriate discovery" (*Phillippi*, 546 F2d at 1013).

Third, a petitioner should have the opportunity to challenge the asserted FOIL exemption by advancing "a claim of bad

faith” (majority op at 237). “[T]he mere allegation of bad faith should not undermine the sufficiency of agency submissions” (*Minier v Central Intelligence Agency*, 88 F3d 796, 803 [9th Cir 1996] [internal quotation marks omitted]). Should a court find that an agency’s refusal to disclose information is motivated not by the spirit of the exemption but by some more invidious purpose, the primary remedy is “to review the agency affidavits with greater scrutiny” (*id.*).

Fourth, a petitioner should have the opportunity to establish an exemption to the exemption by demonstrating that the agency “has already revealed the records sought and for which it claims an exemption” (majority op at 237). If so, that agency “cannot credibly support [a Glomar-type] response” and the court should “compel[] [the disclosure of information] over an agency’s otherwise valid exemption claim” (*id.*; *Fitzgibbon v Central Intelligence Agency*, 911 F2d 755, 765 [DC Cir 1990]). Although the long-standing test for whether information has been officially acknowledged by an agency appears quite narrow (*see id.*), more recent decisions have compelled disclosure when an agency, or another high-ranking public official, has revealed not the document itself but the information that would otherwise justify withholding the document (*New York Times Co. v United States Dept. of Justice*, 756 F3d 100, 120-121 [2d Cir 2014]; *American Civ. Liberties Union*, 710 F3d 422, 428-432 [DC Cir 2013]). The world’s few Glomar watchers would see the federal courts move still further in that direction (Michael D. Becker, *Piercing Glomar: Using the Freedom of Information Act and the Official Acknowledgment Doctrine to Keep Government Secrecy in Check*, 64 Admin L Rev 673, 698 [2012]; Wessler, 85 NYU L Rev at 1414).

Moreover, the federal official acknowledgement doctrine is instructive, but—even at its broadest—too narrow for FOIL. As with other concepts borrowed from Glomar cases, its birth “in the arena of intelligence and foreign relations” has stunted its growth (*Fitzgibbon*, 911 F2d at 765). In those arenas, “there can be a critical difference between official and unofficial disclosures” (*id.*; *see Wilson v Central Intelligence Agency*, 586 F3d 171, 186 [2d Cir 2009] [(F)oreign governments can often ignore unofficial disclosures of CIA activities that might be viewed as embarrassing or harmful to their interests;) . . . (t)hey cannot, however, so easily cast a blind eye on official disclosures made by the CIA itself”]; *Afshar v Department of State*, 702 F2d 1125, 1130-1131 [DC Cir 1983] [“Unofficial leaks

and public surmise can often be ignored by foreign governments that might perceive themselves to be harmed by disclosure of their cooperation with the CIA, but official acknowledgment may force a government to retaliate”). “In the world of international diplomacy, where face-saving may often be as important as substance, official confirmation . . . could have an adverse effect on our relations” with other countries (*Phillippi v Central Intelligence Agency*, 655 F2d 1325, 1332-1333 [DC Cir 1981]).

The NYPD, however, has no international diplomacy docket. Accordingly, the official acknowledgement doctrine should yield, here, to the broader public domain doctrine (see *Chesapeake Bay Found., Inc. v United States Army Corps of Engrs.*, 722 F Supp 2d 66, 72 n 3 [D DC 2010] [refusing to apply the open acknowledgement doctrine in a case involving law enforcement records]). “Under the public domain doctrine, FOIA-exempt information may not be withheld if it was previously disclosed and preserved in a permanent public record. . . .The plaintiff bears the initial burden of pointing to specific information in the public domain that appears to duplicate that being withheld” (*id.* at 72 [internal quotation marks and brackets omitted]). If FOIL petitioners can establish that the existence of a document, or the information an agency seeks to protect by refusing to confirm the existence of a document, is already included in a public record, then agencies should have to disclose that information.

Together, these safeguards—as well as others that courts deem appropriate in discharging their obligations to adjudicate FOIL determinations challenged pursuant to article 78—suffice to protect petitioners from overzealous assertions of an agencies’ inability to confirm or deny the existence of records.⁴

V.

Here, the NYPD moved to dismiss petitioners’ article 78 proceeding because it alleged confirming or denying the existence of any records responsive to their requests would cause harms cognizable under FOIL’s law enforcement and public safety exemptions (Public Officers Law § 87 [2] [e], [f]). In sup-

4. Although I have discussed the safeguards in isolation in the interest of analytical clarity, there is interplay between them. For instance, “[w]here there is evidence of bad faith on the part of the agency[,] . . . [i]n camera inspection is plainly necessary” (*Carter v United States Dept. of Commerce*, 830 F2d 388, 393 [DC Cir 1987] [internal quotation marks omitted]).

port of that contention, it offered a public affidavit from NYPD Chief of Intelligence Thomas Galati. Chief Galati's "22-page affidavit" consists of five pages describing his background and the organization of the NYPD's Intelligence Division, and another seven listing public accounts of apprehending and trying terrorists. The balance avers that "disclosure of whether responsive documents even exist necessarily would reveal whether Petitioner currently is or previously has been the subject of a counter-terrorism investigation." Chief Galati lists four consequences the NYPD seeks to avoid:

1. "The knowledge that a person or group is the subject of a NYPD counter-terrorism investigation would allow that person or group to alter their behavior so as to avoid detection"
2. "Conversely, the knowledge that a person or group is not a subject of investigation would allow such persons to more freely engage in illegal activity"
3. "[A] person who knows he or she is under investigation might scrutinize his or her contacts more carefully and, in doing so, could discern the identity of an undercover police officer or confidential informant working on the case. Not only would this compromise the integrity and value of any information to be learned from such sources, but it could endanger the lives and safety of such sources"
4. "Disclosure of whether a particular individual or group is the subject of investigation would allow those bent on unlawful activity to prepare a road-map of investigatory operations, decisions, techniques and information that would enable every group to anticipate investigative tactics and activities, and undermine current and future investigations."

In opposing the motion to dismiss, the petitioners argued that Chief Galati's affidavit failed to establish a *prima facie* case for asserting such a severely circumscribed response. They also argued that, even had the case been established, it would have been defeated by the fact that the information the NYPD sought to protect was already a matter of public record, by the stricter scrutiny turned on agencies that assert FOIL exemptions in bad faith, and by in camera review.

A. The NYPD's Prima Facie Case

As discussed in part III, in response to a FOIL request seeking information about investigations, I would hold that the NYPD has the right to refuse to confirm or deny the existence of documents as to any pending investigation, because such a request facially interferes with a law enforcement investigation.⁵ However, the requests here are not limited to present investigations, but include past ones as well. As to those, the NYPD has not carried its burden of articulating a particularized and specific justification for refusing to confirm or deny whether documents responsive to any of petitioners' 22 requests exist.

The first three harms it alleges are premised on the conjecture that individuals—presumably other than Mr. Hashmi and Mr. Abdur-Rashid, whom the record suggests are upstanding citizens—inclined to terrorism or organized crime will FOIL themselves, and then tailor the scope of their activities to either stymie investigators or exploit the discovery that they are not (or were not) under investigation. Chief Galati's affidavit, however, cannot identify "any instance of this use of FOIL by terrorists" (*Hashmi v New York City Police Dept.*, 46 Misc 3d 712, 721 [Sup Ct, NY County 2014]), nor does it provide any factual basis to conclude that terrorists have used similar information to tailor their activities. Absent such a statement, let alone the evidence thereof that our probing standard would require, it strains belief that terrorists are self-identifying themselves to the NYPD by filing regular FOIL requests.

Those three harms fail to justify the NYPD's refusal to confirm or deny the existence of past investigations. Contrary to the majority's insistence that the requests were "extremely specific" and related to "a discrete time period immediately preceding the request," many of them were unbounded in time and in type (majority op at 234, 238). Petitioners requested, for instance, "[a]ll records related to the surveillance of Imam Talib W. Abdur-Rashid by NYPD," "[a]ll records related to the Mosque of Islamic Brotherhood . . . relied upon by the NYPD

5. It is important to remember that the proper denial of a FOIL request, whether a refusal to state whether responsive documents exist or merely a refusal to furnish the documents, means only that the documents will not be *publicly* available to all—not that courts must refuse their disclosure if relevant to a civil lawsuit. Thus, the majority correctly identifies civil litigation as a further check on government overreach, independent of FOIL (majority op at 239).

that led to any report being filed,” and “[a]ll records related to any investigation of Samir Hashmi, between 2006-2012.” Chief Galati’s affidavit does not suggest that law enforcement purposes or the public safety would be compromised if the agency revealed that it had records from the 1960s pertaining to Mr. Abdur-Rashid or the mosque with which he is now affiliated (see *Matter of Leshner v Hynes*, 19 NY3d 57 [2012]), or to an investigation into noise complaints against Mr. Hashmi’s college parties. FOIL’s demand that agencies provide in part what records or information they cannot provide in whole should have led the agency to disclose, or Supreme Court to require it to disclose, whether relevant records from a time or of a type that did not trigger the affidavit’s concerns existed. The NYPD could readily have accompanied that admission with a statement that it would neither confirm nor deny the existence of any records related to ongoing terrorism investigations.

The fourth harm alleged in Chief Galati’s affidavit is more substantial. Acknowledging the existence of records responsive to requests of the kind submitted by these petitioners could, in the aggregate, provide terrorists and other criminals or criminal organizations with a guide to the people and places, or the type of people and places, monitored by the NYPD.

That rationale, however, is subject to the same time and type restrictions as its companions. As to time, there is some point, which the NYPD should have specified or Supreme Court should have determined, prior to which information about the NYPD’s historical capabilities, strategies, and operating tactics will cease to provide today’s threats with relevant information. A map of NYPD activities around Rutgers may continue to reveal important general practices, or may be considerably less germane to a world in which the NYPD has substantially curtailed or abandoned its out-of-state activities. Given the constant improvements to and alterations in NYPD capabilities and strategies, as well as the significant changes made to the Intelligence Division in the wake of the 2013 mayoral election that separated the initial request for records from the hearing on the motion to dismiss, Chief Galati’s affidavit either failed to justify categorically refusing to acknowledge the existence of records pertaining to closed investigations or—equally fatally—must be taken to justify withholding such information permanently. As to type, whatever the counterintelligence capacities of gangsters and terrorists, garden-variety criminals

(and law-abiding citizens) are probably not piecing FOIL reports into a jigsaw puzzle depicting the anticipated movements of NYPD officers.

Put aside the deficiencies in Chief Galati's affidavit. Still, its purported justification goes to terrorism-related threats only, and the NYPD's FOIL response should at a minimum have read "We [have] [do not have] records of investigating or surveilling the petitioners on suspicions other than terrorism. As to whether terrorism-related records exist, we cannot say." Accordingly, I would reverse the Appellate Division's order granting the motion to dismiss and remand the case to Supreme Court, where the NYPD can augment Chief Galati's affidavit and the parties can hash out, on a request-by-request basis, to what extent an entirely circumscribed response is appropriate as to past investigations.

B. The Petitioners' Rebuttal Evidence

In addition to challenging the sufficiency of the NYPD's affidavit, petitioners invoked one other safeguard native to FOIL and two modeled on federal FOIA decisions.

As to the native safeguard, petitioners have steadfastly requested in camera review.⁶ Here, although the NYPD could have refused to confirm or deny the existence of records relating to *ongoing* investigations on the strength of only a public affidavit, the doubts the petitioners raised about the propriety of withholding information about *prior* investigations should have required Supreme Court, absent a very different affidavit, to order in camera review of responsive documents, if any. In *Abdur-Rashid*, the court abused its discretion in impliedly deciding to forgo that review. In *Hashmi*, uncontrovertibly, the court committed an error of law in concluding that in camera

6. Their article 78 petitions, memoranda of law in opposition to the motion to dismiss, and their combined brief on appeal all request the court either direct the NYPD to release the records or order an in camera review. The NYPD understood petitioners to be asking the courts to base their decisions on the motions to dismiss on not only the public affidavit but also on an in camera review of responsive documents, if any, but argued that review was "inapposite and entirely premature" under the Glomar doctrine. In *Hashmi*, Supreme Court's decision and statements at oral argument on the motion for leave to appeal left little doubt that it would have evaluated the motion to dismiss in the light of an in camera review of the responsive documents, if any, had it not been already inclined to deny the petition on theoretical grounds and had it not thought in camera review precluded by analogy to the Glomar doctrine. Supreme Court in *Abdur-Rashid*, and the Appellate Division in the combined appeal, did not address the request.

review, which it wished to undertake, was, by spurious analogy to the Glomar doctrine, unavailable.

In addition to requesting in camera review, petitioners alleged facts invoking two additional FOIL safeguards: the bad faith and official acknowledgment doctrines. The NYPD urges not only those safeguards' adoption but also their zealous enforcement; "[F]ederal courts employing similar safeguards do not operate as a rubber stamp on agencies' use of the circumscribed response . . . [P]rocedural safeguards are far from a paper tiger and allow for meaningful judicial review" (reply brief for respondents-appellants in *Hashmi v New York City Police Dept.*, 140 AD3d 419 [1st Dept 2016], at 20, reprinted in record at 837). Because respondents are here on a motion to dismiss, it is our responsibility to accept all the facts claimed in the petitions as true, accord petitioners the benefit of every possible favorable inference, and determine only whether the facts as alleged make out any cognizable legal theory for defeating the protections of the FOIL exemptions (*see Leon v Martinez*, 84 NY2d 83, 87-88 [1994]). Under that standard, even had Chief Galati's affidavit made out a prima facie case for nondisclosure, the motion to dismiss should have been denied and the cases remitted to Supreme Court.

Turning first to the bad faith doctrine, petitioners allege several grounds for their assertion that the NYPD is refusing to confirm or deny the existence of responsive records not because that would cause a harm cognizable under a FOIL exemption, but because it wishes to conceal evidence of underlying illegality: an investigation and surveillance program premised on religious discrimination. The majority dismisses that argument by complaining that "other than general allegations arising from news reports, petitioners offered no evidence that the NYPD's response to these particular requests is a function of bad faith" (majority op at 238). In so doing, it ignores the standard of review appropriate on a motion to dismiss. The AP's Pulitzer Prize-winning series of articles detailing the NYPD's questionable conduct and efforts to cover up that conduct satisfies the threshold showing required to allow petitioners to "seek appropriate discovery . . . to identify the procedures by which [the NYPD's] position was established" (*Phillippi*, 546 F2d at 1013). That showing is buttressed by the allegations that the NYPD, which took nearly eight months to respond substantively to the petitioners' requests, was "purposefully delaying the process" by supplying sequential notices of delay and by

throwing up unusual objections to the form of the requests, including a particularly obstructionist cavil regarding a typographical error in Mr. Abdur-Rashid's name.

Second, the petitioners alleged the NYPD has already officially acknowledged the information it hopes to conceal by refusing to confirm or deny the existence of responsive records. In a June 2012 deposition in a different case, Chief Galati acknowledged that "none of the visits conducted by the Zone Assessment Unit [ZAU] resulted in an investigation." Although that statement is followed by some discussion of what constitutes an investigation and whether the ZAU was designed to pursue them, it seems in tension with the NYPD's claim that it had not already denied having, for example, "records related to any investigation of Talib W. Abdur-Rashid in relation to his activities as Imam of the Mosque of Islamic Brotherhood." In addition, in *Hashmi*, it is ambiguous whether Supreme Court found nothing in "Mayor de Blasio's well-publicized decision to disband the NYPD unit that had conducted the surveillance" that undermined the agency's ability to deny the existence of records or erroneously concluded, as the prior sentence of its opinion suggests, that the mayor was not the kind of senior executive branch official whose statements are "sufficient to effect waiver of a *Glomar* response" (*Hashmi*, 46 Misc 3d at 723). It may be that "[w]hatever protection" the records "might once have had has been lost by virtue of public statements . . . at the highest levels" (*New York Times Co. v United States Dept. of Justice*, 756 F3d 100, 120-121 [2014]).

Even if those disclosures do not satisfy the official acknowledgment doctrine, they, coupled with the information in the AP articles and in the leaked NYPD documents that accompanied those articles, may defeat the NYPD's refusal to confirm or deny the existence of certain responsive documents. Rather than grapple with the full scope of the disclosures, the NYPD fixates on the fact that they emanate from the AP, rather than from its own officials. That fixation "confuses the act of waiver . . . with an agency's independent obligation to 'carry its burden'" of showing the mere disclosure of a document's existence would be protected (*Florez v Central Intelligence Agency*, 829 F3d 178, 186 and n 8 [2d Cir 2016] [rejecting a "per se rule barring consideration of third party disclosures" and instead remanding "to allow the District Court to weigh the facts in the first instance" (emphasis omitted)]). A third party's disclosures "cannot waive the asserting agency's right to a *Glo-*

mar response, but such disclosures may well shift the factual groundwork upon which a district court assesses the merits of such a response” (*id.* at 186).

Several references in the existing record suggest that has happened in this case. To give but one example, the petitioners requested “[a]ll directives and/or memoranda sent or received by the NYPD related to surveillance of the Rutgers Muslim Student Associations from 2006-2012.” The AP published a copy of the NYPD’s weekly Muslim student association report responsive to that request. It is untenable for the NYPD to neither confirm nor deny the existence of that responsive record. Once the existence of one record in a category must be disclosed, it may be that the existence of other records in the same category are not protected.

“The *Glomar* doctrine is in large measure a judicial construct, an interpretation of . . . exemptions that flows from their purpose rather than their express language. In this case, the [agency] asked the courts to stretch that doctrine too far—to give their imprimatur to a fiction of deniability that no reasonable person would regard as plausible. ‘There comes a point where . . . Court[s] should not be ignorant as judges of what [they] know as men’ and women” (*American Civ. Liberties Union*, 710 F3d at 431, quoting *Watts v Indiana*, 338 US 49, 52 [1949]).

The cases should be remitted to Supreme Court so the petitioners can augment the record with additional documents disclosed by the AP and so the court can consider the implications of the disclosure of those documents.

The majority’s insistence on resolving these cases on the scant record before us privileges the expectation that FOIL suits will be resolved on the law over the reality that these FOIL suits turn, in part, on contested facts. It is at odds with our standard of review for motions to dismiss and inconsistent with the federal practice in *Glomar* cases of “first determin[ing] whether the district court had an adequate factual basis upon which to base its decision” (*Minier*, 88 F3d at 800). Whatever the majority’s confidence in its conclusions, “[p]laintiffs are entitled to an opportunity to conduct their own litigation” (*Phillippi*, 546 F2d at 1015).

Even were the record not riddled with opportunities for further development, the appropriate remedy after resolving the

thorny theoretical issue in this case of first impression would be to remit the petitions to Supreme Court for consideration unclouded by the overarching and overwhelming question of whether an agency may *ever* refuse to confirm or deny the existence of responsive records. Simply put, “we lack the benefit of an evaluation of th[ese] issue[s] by the [lower] court[s]” (*Florez*, 829 F3d at 183-184, quoting *Official Comm. of Unsecured Creditors of WorldCom, Inc. v Securities & Exchange Commn.*, 467 F3d 73, 79 [2d Cir 2006, Sotomayor, J.]; *id.* at 189 [collecting cases]). Whereas the U.S. Court of Appeals for the Second Circuit was able when first addressing the Glomar doctrine to “adopt the District Court’s careful and well-reasoned analysis” as that court “in the interest of thoroughness . . . provided a detailed explanation and analysis of the affidavits submitted” (*Wilner v National Sec. Agency*, 592 F3d 60, 71-73 [2009]), none of the three lower courts whose decisions are before us today reached the fact-specific issues the majority now decides.

For that and the foregoing reasons, I would remit these cases to Supreme Court to provide both parties with a fair opportunity to litigate their cases on the terms described herein.

STEIN, J. (dissenting). Whether, and to what extent, law enforcement agencies should be permitted, under the Freedom of Information Law (Public Officers Law art 6 [FOIL]), to issue “Glomar” responses (*see Phillippi v Central Intelligence Agency*, 546 F2d 1009, 1012 [DC Cir 1976]) that refuse to confirm or deny the existence of requested records is a thorny question with strong competing public policy concerns on each side of the debate. However, this Court must look to New York’s FOIL statute, as it is written and has been interpreted by our prior case law, to answer the question of whether Glomar responses are permissible and, if so, under what circumstances. In my view, authorization for such responses cannot be found in, or reconciled with, the language of FOIL, and the majority’s determination to the contrary sanctions a blanket exemption from disclosure for a vast amount of information and records. Granting such a broad judicial exemption is at odds with the express will of the legislature, as reflected in the statutory text.

It is beyond dispute that terrorism presents a significant threat that our law enforcement agencies must be equipped to combat. Undoubtedly, the concerns of respondent New York City Police Department (NYPD) and various amici warrant

legislative attention with regard to whether FOIL should be amended to allow agencies to refuse to acknowledge the existence of certain records when confronted with requests seeking targeted information regarding, among other things, “pending” or “ongoing” law enforcement investigations of particular persons or organizations (majority op at 226, 227). Conversely, there are compelling policy arguments raised by petitioners and amici on the other side of the issue, pertaining to governmental transparency and accountability, and to a citizen’s right to access information pursuant to FOIL. These concerns also merit legislative consideration. Because existing state law does not accommodate Glomar responses, weighing these competing interests is a matter for the legislature, not the Court. I, therefore, respectfully dissent.

I.

FOIL is founded upon the “‘premise that the public is vested with an inherent right to know and that official secrecy is anathematic to our form of government’” (*Matter of Madeiros v New York State Educ. Dept.*, 30 NY3d 67, 73 [2017], quoting *Matter of Fink v Lefkowitz*, 47 NY2d 567, 571 [1979]). As explained in the FOIL “Legislative declaration,”

“a free society is maintained when government is responsive and responsible to the public, and when the public is aware of governmental actions. The more open a government is with its citizenry, the greater the understanding and participation of the public in government.

“As state and local government services increase and public problems become more sophisticated and complex and therefore harder to solve, and with the resultant increase in revenues and expenditures, it is incumbent upon the state and its localities to extend public accountability wherever and whenever feasible.

“The people’s right to know the process of governmental decision-making and to review the documents and statistics leading to determinations is basic to our society. Access to such information should not be thwarted by shrouding it with the cloak of secrecy or confidentiality.

“The legislature therefore declares that government is the public’s business and that the public, individually and collectively and represented by a free press, should have access to the records of government in accordance with the provisions of this article” (Public Officers Law § 84).

Consistent with this legislative intent, we have recognized that “judicious use of the provisions of [FOIL] can be a remarkably effective device in exposing waste, negligence and abuses on the part of government; in short, ‘to hold the governors accountable to the governed’” (*Matter of Fink*, 47 NY2d at 571, quoting *NLRB v Robbins Tire & Rubber Co.*, 437 US 214, 242 [1978]).

To effectuate these goals, FOIL incorporates a presumption of access to records (see *Matter of Data Tree, LLC v Romaine*, 9 NY3d 454, 462 [2007]). More specifically, Public Officers Law § 87 (2) states that an agency “shall . . . make available for public inspection and copying *all* records” (emphasis added). This open access is qualified by the caveat that an agency “may deny access to records or portions thereof” which, “if disclosed,” would cause certain specified harms (Public Officers Law § 87 [2]). The harms justifying an agency’s denial of access include, as relevant here, disclosure of records and information that would constitute an unwarranted invasion of privacy or endanger the life or safety of any person, as well as disclosure of records compiled for law enforcement purposes, where such disclosure would interfere with law enforcement investigations or judicial proceedings, identify confidential sources or confidential information relating to a criminal investigation, or reveal criminal investigative techniques or procedures (see Public Officers Law § 87 [2] [b], [e] [i], [ii], [iv]; [f]). The crux of the question before us on this appeal is whether FOIL authorizes a “Glomar” response—i.e., an agency response that neither confirms nor denies the existence of requested records but, rather, presupposes that, if the requested materials did exist, they would qualify for exemption under one of these provisions.

To that end, “our primary consideration ‘is to ascertain and give effect to the intention of the Legislature’” as indicated through the statutory text (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006], quoting *Riley v County of Broome*, 95 NY2d 455, 463 [2000]). Further, we must “giv[e] effect to the plain meaning” of unambiguous language (*Majewski*

v Broadalbin-Perth Cent. School Dist., 91 NY2d 577, 583 [1998]), and “the failure of the Legislature to include a matter within the scope of an act may be construed as an indication that its exclusion was intended” (McKinney’s Cons Laws of NY, Book 1, Statutes § 74; see *Matter of Corrigan v New York State Off. of Children & Family Servs.*, 28 NY3d 636, 642 [2017]; *Commonwealth of the N. Mariana Is. v Canadian Imperial Bank of Commerce*, 21 NY3d 55, 61 [2013]).

As written, FOIL permits an agency to “deny access” to records or information where the requested “disclosure” meets certain criteria (Public Officers Law § 87 [2]), and regulations governing the FOIL process require that any “[d]enial of access shall be in writing stating the reason therefor” (21 NYCRR 1401.7 [b]; see Public Officers Law §§ 86 [3]; 89 [1] [b] [iii]; 21 NYCRR 1401.1 [b]).¹ The FOIL statutes and regulations do not expressly allow an agency to refuse to acknowledge the existence of the record or information that is responsive to the FOIL request (see Public Officers Law §§ 87, 89; 21 NYCRR 1401.5). Moreover, such a refusal would be inconsistent with Public Officers Law § 89 (3) (a), which sets forth the permissible responses to a FOIL request: grant the request and “make such record available to the person requesting it”; deny the request for access; acknowledge the request and specify the date on which it will be granted or denied; or certify that the record cannot be found or is not in the agency’s possession (see *Matter of Beechwood Restorative Care Ctr. v Signor*, 5 NY3d 435, 440-441 [2005] [“When faced with a FOIL request, an agency must either disclose the record sought, deny the request and claim a specific exemption to disclosure, or certify that it does not possess the requested document and that it could not be located after a diligent search”]; Comm on Open Govt FOIL-AO-18946 [2012] [“interpret(ing) the certification requirement to be necessary if requested, after the agency has indicated that there are no records”]).² These permitted responses do not contemplate an agency’s refusal to acknowledge the existence

1. It is, therefore, inaccurate to state that, at the initial stage of a FOIL denial, an agency “is permitted merely to deny a request, without explanation” (partial dissenting op of Wilson, J., at 240-241).

2. In analyzing the sufficiency of such a certification, this Court observed in *Matter of Rattley v New York City Police Dept.* that a certification is required “[w]hen an agency is unable to locate documents properly requested under FOIL” (96 NY2d 873, 875 [2001]). However, we have never held that a certification is required *only* when an agency grants a FOIL request and subsequently discovers that it has lost or does not possess the relevant rec-

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or nonexistence of information or a record that the agency possesses. The majority's novel interpretation of the heretofore generally accepted responses available to agencies responding to FOIL requests introduces new uncertainty into the FOIL process.

Pursuant to Public Officers Law § 89 (4) (b), “[i]n the event that access to any record is denied pursuant to the provisions of . . . section [87 (2)] of this article, the agency involved shall have the burden of proving that such record falls within the provisions of such subdivision.” We have long held that, to meet this burden, an agency must “‘articulate particularized and specific justification’” for denying disclosure (*Matter of Friedman v Rice*, 30 NY3d 461, 475 [2017], quoting *Matter of Fink*, 47 NY2d at 571; see *Matter of Capital Newspapers Div. of Hearst Corp. v Burns*, 67 NY2d 562, 566 [1986]), and we have made it clear that “blanket exemptions for particular types of documents are inimical to FOIL’s policy of open government” (*Matter of Gould v New York City Police Dept.*, 89 NY2d 267, 275 [1996]).

We also have emphasized that FOIL “exemptions are to be narrowly interpreted so that the public is granted maximum access to the records of government” (*Matter of Data Tree, LLC*, 9 NY3d at 462; see *Matter of Madeiros*, 30 NY3d at 73). An agency “cannot merely rest on a speculative conclusion that disclosure might potentially cause harm” (*Matter of Markowitz v Serio*, 11 NY3d 43, 51 [2008]). Rather, “[o]nly where the material requested falls squarely within the ambit of one of these statutory exemptions may disclosure be withheld” (*Matter of Fink*, 47 NY2d at 571).

The NYPD attempts to circumvent the plain language of FOIL and these principles governing the use of FOIL exemptions—and, ultimately to avoid their burden of proving the applicability of such an exemption—by arguing that a Glomar response must be permissible because, in some limited contexts, a FOIL request may be framed in such a way that disclosure of the existence of the record, alone, causes the same harm as disclosure of the actual record sought. To be sure, “‘the purpose of [FOIL] is not to enable persons to use agency records to frustrate pending or threatened investigations nor to use that

ords. Indeed, it would make little sense for the certification to apply only where a FOIL request has already been granted because an agency will not always be able to ascertain whether, and to what extent, a requested record is disclosable under FOIL without undertaking a review thereof.

information to construct a defense to impede a prosecution’ ” (*Matter of Madeiros*, 30 NY3d at 77, quoting *Matter of Fink*, 47 NY2d at 572). For that reason, and consistent with the statutory exemption for such disclosures, we have held that FOIL does not require the disclosure of records when it would interfere with a “pending” investigation or prosecution or one that is “plainly contemplated in the near future” (*Matter of Madeiros*, 30 NY3d at 77; see Public Officers Law § 87 [2] [e] [i]).

The flaw in the NYPD’s position is that, in order for a Glomar response to be effective, it must be utilized whether or not the requested record exists and whether or not a FOIL exemption actually applies. In other words, to permit the Glomar response is to authorize the agency—here, the NYPD—to give the same response to individuals requesting information pertaining to its investigations regardless of whether the subject of the requested information is actively being investigated, was never investigated, or was investigated and cleared of any wrongdoing in the past. After all, the Glomar response would be the equivalent of an implicit concession that responsive records exist if invoked only when there is an ongoing investigation.

To illustrate how the Glomar response can protect information otherwise disclosable under FOIL, we need only point out that the Glomar response will inevitably cloak in secrecy records pertaining to *closed* investigations. Without additional factual explanation, the NYPD would lack a valid claim that revealing the nonexistence of records would cause any harm qualifying for FOIL exemption, such as interference with a law enforcement investigation, identification of a confidential source, or endangerment of life and safety (see *Matter of Leshner v Hynes*, 19 NY3d 57, 68 [2012]). In such instances, it is likely that a FOIL exemption would not apply and, typically, “[i]f the [agency] fails to prove that a statutory exemption applies, FOIL ‘compels disclosure, not concealment’ ” (*Matter of Data Tree, LLC*, 9 NY3d at 463, quoting *Matter of Westchester Rockland Newspapers v Kimball*, 50 NY2d 575, 580 [1980]). The Glomar doctrine, however, permits concealment.

To adopt the Glomar doctrine is, therefore, to endorse an impermissible blanket exemption that is not set forth in the statute and which applies without regard to whether the harm protected by the relevant FOIL exemption is actually implicated or whether it is merely speculative. Contrary to the majority’s

suggestion, such a result is not sanctioned by our holding in *Matter of Lesher v Hynes* (19 NY3d 57 [2012]). In *Lesher*, we held that law enforcement agencies may determine that disclosure of particular kinds of investigatory records would generally interfere with pending investigations or proceedings and that an agency need not, in responding to every specific request, always articulate facts demonstrating that the particular pending investigation in question would be jeopardized by disclosure (*see id.* at 67). However, we “emphasize[d] that this does not mean that every document in a law enforcement agency’s criminal case file is automatically exempt from disclosure simply because kept there” and that “[t]he agency must identify the generic kinds of documents for which the exemption is claimed” (*id.* at 67). In that case, the District Attorney met this burden by identifying the responsive documents as “crime summaries, timelines of when and where each crime occurred, witness names and personal information, and witness statements” (*id.* at 63). Here, in stark contrast, the NYPD has not indicated whether any responsive documents even exist, let alone the nature of such documents, to support their claimed exemptions as required by *Lesher*. Further, we made clear in *Lesher* that disclosure may be mandated where there is “no longer any pending or potential law enforcement investigation” (*id.* at 68). The majority does not explain how the Glomar response can be applied in a manner consistent with this directive.

In view of our recognition that “the Legislature established a general policy of disclosure by enacting the Freedom of Information Law” (*Matter of Fink*, 47 NY2d at 571), this Court recently held that “we cannot undermine that policy by exempting a large category of information from FOIL in a manner inconsistent with the plain language of the statute” (*Matter of Friedman*, 30 NY3d at 478). Yet, the majority does just that by giving a law enforcement agency carte blanche to exempt, with precious little (if any) judicial oversight, a broad swathe of governmental records, without regard to whether the records requested—assuming they do exist—actually fall within the plain language of the exemption on which the Glomar response is purportedly based or whether the agency has made any factual showing to that effect.

Here, no “particularized and specific justification” was offered for the exemptions claimed (*Matter of Fink*, 47 NY2d at 571), as reflected by the fact that the NYPD submitted identi-

cal affidavits justifying use of the Glomar response to FOIL requests made by, and concerning investigations and surveillance of, two different individuals and the distinct organizations with which they are associated. In fact, while the majority repeatedly characterizes the requested records as relating to a “pending” or “ongoing” “covert” investigation (majority op at 226, 227), those characterizations are based on both an unsupported assumption and an astonishingly expansive view of the relevant “investigation.” To be clear, we do not know whether either of the petitioners here were ever investigated or whether they are currently implicated in any ongoing or pending investigations, warranted or otherwise. We do not know if any past or current investigations of petitioners actually related to counterterrorism or whether any such investigations involved some other matter where disclosure would not implicate the same concerns posited by the NYPD. Frankly, we know very little beyond the undeniable reality that terrorism and the NYPD’s counterterrorism efforts are of significant importance. However, this does not obviate the requirement that the agency comply with the mandate of the FOIL statute, as enacted by the legislature.³

3. The majority asserts that petitioners do not “analyze the propriety of the exemptions as applied to their requests” (majority op at 227 n 3). Considering that petitioners are unaware of what, if any, records exist and cannot discern when, if ever, they were investigated, it is unclear exactly what argument the petitioners could make, other than that which is currently presented, which is that the NYPD’s Glomar response is an impermissible blanket exemption that has not been authorized by the legislature. Again, the majority’s response to this is to assume, without foundation, that the only records that exist, if any, relate to a “pending covert investigation” (majority op at 227-228 n 3) and are, therefore, “protected under one or more FOIL exemptions” (majority op at 233 n 6).

Further, the majority completely fails to address the implications of Glomar responses in cases where records exist that are not protected by a statutory exemption but which, nevertheless, will be shielded from disclosure and judicial review by such a response. Instead, the majority avoids this problematic aspect of its position by suggesting that petitioners limited the dispute to records concerning terrorism-related investigations. This is inaccurate. Petitioners’ FOIL requests are devoid of any reference to terrorism investigations or to news articles relating to the NYPD’s covert domestic counterterrorism operations. Petitioners requested, among other things, “[a]ll records related to *any* investigation of [petitioners] between 2006-2012,” “[a]ll records related to [the petitioners] relied upon by the NYPD that led to any report being filed,” and “[a]ll records related to the surveillance of [the petitioners] by [the] NYPD” (emphasis added). Indeed, the majority’s apparent claim that the Glomar response was given only because the investigations at issue related to terrorism is untenable considering that the NYPD

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Moreover, despite our repeated direction that, “[i]f the court is unable to determine whether withheld documents fall entirely within the scope of the asserted exemption, it should conduct an in camera inspection of representative documents and order disclosure of all nonexempt, appropriately redacted material” (*Matter of Gould*, 89 NY2d at 275; see *Matter of Fink*, 47 NY2d at 571), the majority abdicates this oversight in adopting the Glomar doctrine in this case, resulting in our inability to determine whether a FOIL exemption squarely applies. Rather, the majority accepts, without any scrutiny, the NYPD’s claim that the scope of the relevant “investigation” is “terrorism,” and that revelation of any investigation—apparently of any person for any reason—could impede its counterterrorism efforts.⁴ Viewed in this light, it follows that the NYPD could claim the right to refuse to confirm or deny the existence of any record that even tangentially relates to any past, present, or future investigation of “crime,” thereby avoiding its FOIL obligations in innumerable cases. It is the legislature’s prerogative to decide whether a blanket exemption of this type is consistent with the objectives of FOIL.

denied petitioners’ administrative appeals, in part, on the ground that petitioners failed to specifically identify the nature of the investigations to which the FOIL requests pertained. Moreover, while it is true that petitioners referenced a series of news articles concerning NYPD surveillance of Muslim communities in their CPLR article 78 petitions—filed after the Glomar responses had been conveyed—at no point did they disavow or narrow their earlier requests for records pertaining to “any investigation.” In addition, they maintained that the NYPD’s response was an impermissible blanket exemption and that the NYPD should instead redact any records containing protected information. Despite the majority’s repeated attempts to shift the blame to petitioners for the agency’s noncompliant response here, it is unquestionably the NYPD’s burden to demonstrate the applicability of an exemption to any records withheld—a showing that is woefully lacking.

4. The majority’s failure to require any in camera review also increases the likelihood that a Glomar response will violate the precept that an agency “cannot refuse to produce the whole record simply because some of it may be exempt from disclosure” and, instead, should make every effort to redact protected information while disclosing exempt information (*Matter of Schenectady County Socy. for the Prevention of Cruelty to Animals, Inc. v Mills*, 18 NY3d 42, 46 [2011]). Further, contrary to the majority’s likening of its creation of a blanket exemption to this Court’s prior approval of in camera review, unlike the Glomar response, FOIL expressly authorizes judicial review of an agency’s response to a FOIL request (see Public Officers Law § 89 [4] [b]), and our precedent clearly establishes the propriety of in camera review.

II.

To support its position before us, the NYPD relies heavily on federal case law interpreting the Freedom of Information Act (5 USC § 552 [FOIA]) and adopting the Glomar doctrine. This reliance is understandable considering that the doctrine originated in federal courts, FOIL is modeled on FOIA, and we have often found FOIA case law to be instructive (*see e.g. Matter of Leshner*, 19 NY3d at 64; *Matter of Madeiros*, 30 NY3d at 76). Nevertheless, we have never before endorsed a blind adoption of a federal judicial doctrine in analyzing a matter of state statutory construction and, in my view, it is inappropriate to follow federal case law here in light of material distinctions between the two statutory schemes.

The Glomar doctrine originated in 1976 when the Central Intelligence Agency (CIA) responded to a request for information regarding the Hughes Glomar Explorer—an oceanic research vessel that was allegedly owned by the United States government and used to retrieve a sunken Soviet Union submarine during the Cold War—by refusing to either confirm or deny the existence of relevant records (*see Phillippi*, 546 F2d at 1012). The CIA asserted that the existence or nonexistence of the requested records was, itself, a classified fact since admitting their existence would implicitly reveal that the CIA had some affiliation with the Explorer. Accordingly, the CIA argued that the existence or nonexistence of records was exempt from disclosure pursuant to FOIA Exemptions (1) and (3), which exempt “classified” information (*see* 5 USC § 552 [b] [1]) and certain additional information that is specifically exempted from disclosure by other statutes (*see* 5 USC § 552 [b] [3]), such as the National Security Act of 1947. As the majority recognizes, Glomar has since been adopted by other federal Circuits (*see e.g. Taylor v National Sec. Agency*, 618 Fed Appx 478, 482 [11th Cir 2015]; *Wilner v National Sec. Agency*, 592 F3d 60, 67-68 [2d Cir 2009], *cert denied* 562 US 828 [2010]; *Bassiouni v Central Intelligence Agency*, 392 F3d 244, 246 [7th Cir 2004], *cert denied* 545 US 1129 [2005]).

At its inception, the Glomar doctrine was not expressly authorized by the FOIA statute (*see e.g. Shapiro v United States Dept. of Justice*, 153 F Supp 3d 253, 275 [D DC 2016] [recognizing that the Glomar doctrine is a judicial “gloss” on FOIA’s text]; *American Civ. Liberties Union v Central Intelligence Agency*, 710 F3d 422, 431 [DC Cir 2013] [“The *Glomar* doctrine is in large measure a judicial construct”]). Nevertheless, federal

courts concluded that the doctrine did not directly conflict with the text of FOIA which, unlike FOIL, does not limit the agency's available responses but, rather, permits an agency to treat FOIA as "*not apply[ing]* to matters that are" delineated as exempt (5 USC § 552 [b] [emphasis added]). This language leaves substantially more room for judicial interpretation.

In those federal courts in which the Glomar doctrine has gained acceptance, it has been invoked almost exclusively in connection with FOIA Exemptions (1) and (3) (*see* 5 USC § 552 [b] [1], [3]) and, to a lesser extent, Exemption 7 (C) (*see* 5 USC § 552 [b] [7] [C] [pertaining to disclosures that would constitute an unwarranted invasion of personal privacy]; *see e.g. Cause of Action v Treasury Inspector Gen. for Tax Admin.*, 70 F Supp 3d 45, 55 [D DC 2014]). Notably, there is no counterpart in FOIL to the exemption for "classified" information under FOIA Exemptions (1) and (3), and the NYPD does not claim to have any state-authorized classification authority (*see* Public Officers Law § 87 [2]). Nor does the NYPD point to any other statutes through which the requested records "are specifically exempted from disclosure by state or federal statute" (Public Officers Law § 87 [2] [a]). Inasmuch as the federal cases relied on by the majority primarily concern FOIA Exemptions (1) and (3), they are inapposite for the reasons explained in Judge Wilson's partial dissent (*see Hunt v Central Intelligence Agency*, 981 F2d 1116 [9th Cir 1992]; *Larson v Department of State*, 565 F3d 857 [DC Cir 2009]; *Gardels v Central Intelligence Agency*, 689 F2d 1100 [DC Cir 1982]).⁵ It merits comment that, in *Hunt v Central Intelligence Agency*, quoted by the majority

5. To the extent the NYPD also relies on *North Jersey Media Group Inc. v Bergen County Prosecutor's Off.* (447 NJ Super 182, 188, 146 A3d 656, 660 [App Div 2016]), such reliance is misplaced. In that case, a New Jersey appellate court interpreted the New Jersey Open Public Records Act (OPRA), to permit an agency to neither confirm nor deny the existence of records when the agency "(1) relies upon an exemption authorized by OPRA that would itself preclude the agency from acknowledging the existence of such documents and (2) presents a sufficient basis for the court to determine that the claimed exemption applies" (*North Jersey Media Group*, 447 NJ Super at 189, 146 A3d at 660). That court held that a Glomar-type response was authorized in limited circumstances by language in OPRA providing that the statute "shall not abrogate . . . [a] grant of confidentiality heretofore established or recognized by the Constitution of this State, statute, court rule or judicial case law, which privilege or grant of confidentiality may duly be claimed to restrict public access to a public record or government record" (NJ Stat Ann 47:1A-9 [b]). Under New Jersey law, "before OPRA was enacted, judicial decisions recognized the need to maintain 'a high degree of confidentiality' for records regarding a person who has not been arrested or

at length, the Ninth Circuit recognized that federal courts are, through the Glomar doctrine, “only a short step [from] exempting all CIA records from FOIA” and that this “result may well be contrary to what Congress intended” (981 F2d at 1120 [internal quotation marks omitted]). The majority overlooks this cautionary warning and ignores the reality that the Glomar response operates as a blanket exemption.

Cases applying the Glomar doctrine to the law enforcement exemptions in FOIA—the federal analogues to the exemptions on which the NYPD principally rely here—are scarce.⁶ This is likely because, 10 years after the judicial formulation of the Glomar doctrine, Congress enacted 5 USC § 552 (c) (*see* Pub L 99-570, tit I, subtit N, §§ 1801-1804, 100 US Stat 3207-48 to 3207-50), which sets forth exclusions that specifically authorize agencies to “treat the records as not subject to the requirements of” FOIA. The section 552 (c) exclusions apply where a FOIA request involves access to records: (1) compiled for investigations of criminal violations of the law, where disclosure can reasonably be expected to interfere with enforcement proceedings and “there is reason to believe that . . . the subject of the investigation or proceeding is not aware of its pendency”; (2) “maintained by a criminal law enforcement agency under an informant’s name or personal identifier [that] are requested by a third party according to the informant’s name or personal identifier, . . . unless the informant’s status as an informant has been officially confirmed”; and (3) “maintained by the [FBI] pertaining to foreign intelligence or counterintelligence, or international terrorism, and the existence of the records is classified information” (5 USC § 552 [c] [1]-[3]). Thus, in en-

charged” (*North Jersey Media Group*, 447 NJ Super at 203-204, 146 A3d at 669). Accordingly, the New Jersey court held that the mere existence of records pertaining to someone who had been investigated, but not charged or arrested, was exempt under the statutory provision exempting materials that were confidential under prior case law. FOIL, however, does not contain a similar provision.

6. The majority concedes this point, but claims—without any basis in record or fact—that FOIA requests analogous to those presented here are “rare” (majority op at 229). Moreover, while there certainly exists a federal case or two applying the Glomar doctrine to the FOIA law enforcement exemption (*see Vazquez v United States Dept. of Justice*, 887 F Supp 2d 114 [DC Cir 2012]), we note that the United States Supreme Court has never addressed the propriety of the Glomar doctrine, despite the majority’s suggestion otherwise (*see Department of Justice v Reporters Comm. for Freedom of Press*, 489 US 749 [1989] [addressing only whether the actual contents of a rap sheet are exempt under FOIA Exemption 7 (C)]).

acting section 552 (c), Congress codified the use of a Glomar-type response for law enforcement investigations, including those that do not necessarily involve “classified” information (see *Benavides v Drug Enforcement Admin.*, 968 F2d 1243, 1246 [DC Cir 1992] [concluding “from the text and legislative history that Congress intended (section 552 [c]) to provide express legislative authorization for a Glomar response”], *op mod on reh* 976 F2d 751 [DC Cir 1992]; see *Light v Department of Justice*, 968 F Supp 2d 11, 30 [D DC 2013]; see e.g. *Pickard v Department of Justice*, 653 F3d 782, 786 [9th Cir 2011] [analyzing Glomar response under 5 USC § 552 (c)]). Indeed, the enactment of section 552 (c) was largely prompted by the FBI’s recognition that, while the CIA could utilize Exemptions (1) and (3) to issue a Glomar response, “using such a response to protect ‘sensitive, ongoing criminal investigations’ would not be ‘in full compliance with the letter and spirit of the FOIA’ ” (*American Civ. Liberties Union of Michigan v Federal Bur. of Investigations*, 734 F3d 460, 469 [6th Cir 2013], quoting Hearings on Freedom of Information Reform Act before Subcomm of the HR Comm on Govt Operations, 98th Cong, 2d Sess at 906-910 [Aug. 9, 1984]).

Although years have passed since the proliferation of the Glomar doctrine under federal case law, and decades have gone by since congressional enactment of section 552 (c) to define the narrow circumstances in which the Glomar doctrine should be applied to law enforcement investigations, our state legislature has not authorized the Glomar response. This is so despite numerous other amendments to FOIL. Abiding by the principle that “courts are not to legislate under the guise of interpretation” or by reading into a statute an exception that does not exist, it is not our place to do so now (*People v Finnegan*, 85 NY2d 53, 58 [1995], *cert denied* 516 US 919 [1995]).

III.

The majority repeatedly asserts that permissible use of the Glomar doctrine will be “rare” and “unusual” (majority op at 233). However, application of the doctrine under the circumstances presented here—despite the absence of in camera review to determine whether any of the exemptions set forth in FOIL actually apply and by defining the relevant investigation at the macro level of “terrorism”—casts doubt on whether that will, or indeed can ever be, the reality. While complete rejec-

tion of the doctrine may have concerning implications of its own, even federal courts have recognized that “[t]he danger of Glomar responses is that they encourage an unfortunate tendency of government officials to over-classify information, frequently keeping secret that which the public already knows, or that which is more embarrassing than revelatory of intelligence sources or methods” (*American Civ. Liberties Union v Department of Defense*, 389 F Supp 2d 547, 561 [SD NY 2005]). Adoption of the Glomar doctrine without legislative guidance in the statutory text, and with insufficient procedural safeguards, is bound to unduly “constrict[] the broad access to which the public is entitled under the law” (*Matter of Friedman*, 30 NY3d at 477).

In my view, the analyses of the majority and the partial dissent tread too closely to a weighing of policy arguments relating to the wisdom of the respective parties’ perspectives with regard to society’s interests in government transparency during dangerous times. These difficult choices are for the legislature, not for this Court to make under the guise of statutory interpretation. Ultimately, our task is to read and give effect to the statute “as it is written by the [l]egislature, not as the court may think it should or would have been written if the [l]egislature had envisaged all the problems and complications which might arise” (*People v Tychanski*, 78 NY2d 909, 911 [1991] [internal quotation marks and citations omitted]).

Accordingly, I dissent.

Judges FAHEY, GARCIA and FEINMAN concur; Judge WILSON dissents in part in an opinion; Judge STEIN dissents in an opinion in which Judge RIVERA concurs.

Order affirmed, with costs.

[101 NE3d 341, 76 NYS3d 873]

ROBERT J. CONGEL et al., as Members of the Executive Committee of, and on Behalf of, POUGHKEEPSIE GALLERIA COMPANY, Respondents, v MARC A. MALFITANO, Appellant.

Argued February 13, 2018; decided March 27, 2018

SUMMARY

APPEAL, by permission of the Court of Appeals, from a second amended judgment of the Supreme Court, Dutchess County (Charles D. Wood, J.), entered August 15, 2016. The Supreme Court, upon remittal from the Appellate Division of the Supreme Court in the Second Judicial Department, (1) applied a minority discount to reduce defendant's interest in the Poughkeepsie Galleria Company, a New York general partnership, to \$911,072.50; (2) ruled that plaintiffs were entitled to damages in the amount of \$1,822,460.25, which included \$1,596,157.50 in legal and expert fees plus statutory interest; (3) set a fixed amount to be recovered by plaintiffs of \$911,387.75; and (4) directed the clerk of the court to enter judgment. The appeal brings up for review two prior nonfinal orders of that Appellate Division entered April 21, 2009, and one entered May 18, 2016.

The first order entered April 21, 2009, modified, on the law, so much of an order of that Supreme Court (James D. Pagones, J.) as had (1) denied defendant's motion to dismiss the complaint pursuant to CPLR 3211 (a) (7) for failure to state a cause of action; and (2) granted those branches of plaintiffs' motion which were to cancel a notice of pendency and for an award of costs and disbursements occasioned by the filing and cancellation of the notice of pendency in an amount to be determined by a referee, with defendant to bear the cost of the referee's fee. The modification consisted of (1) deleting the provision granting that branch of plaintiffs' motion which was for an award of costs and disbursements occasioned by the filing and cancellation of the notice of pendency in an amount to be determined by a referee and substituting a provision therefor denying that branch of plaintiffs' motion; and (2) deleting the provision directing defendant to bear the cost of the referee's fee and substituting a provision therefor directing plaintiffs to pay one half of the referee's fee and defendant to pay one half of the referee's fee. The Appellate Division affirmed the order as modified.

The second order entered April 21, 2009, (1) affirmed so much of an order of that Supreme Court (James D. Pagones, J.) as

had (a) granted those branches of plaintiffs' motion which were for summary judgment on the first cause of action declaring that defendant wrongfully dissolved the Poughkeepsie Galleria Company Partnership and on the issue of liability on the second cause of action to recover damages for breach of contract, and dismissing the first, second and fourth counterclaims; (b) denied defendant's cross motion for summary judgment; and (c) denied his separate motion to be "treated as a partner of Poughkeepsie Galleria Company"; (2) remitted the matter to the Supreme Court for further proceedings on the issue of damages on the second cause of action and the entry of a judgment declaring that defendant wrongfully dissolved the Poughkeepsie Galleria Company Partnership.

The order entered May 18, 2016, (1) modified, on the law and the facts, an amended judgment of that Supreme Court (Charles D. Wood, J.), which had (a) declared that defendant wrongfully dissolved the Poughkeepsie Galleria Company Partnership; (b) declared that he breached the Poughkeepsie Galleria Company Partnership agreement; and (c) entered judgment in favor of defendant and against plaintiffs in the principal sum of \$857,164.75; (2) affirmed, insofar as appealed and cross-appealed from, the amended judgment as modified; and (3) remitted the matter to the Supreme Court for a new calculation of damages that incorporated a 66% minority discount applied to the value of defendant's interest in the partnership and for entry of an appropriate second amended judgment thereafter. The modification consisted of deleting the provision in favor of defendant and against plaintiffs in the principal sum of \$857,164.75.

Congel v Malfitano, 61 AD3d 807, modified.

Congel v Malfitano, 61 AD3d 810, modified.

Congel v Malfitano, 141 AD3d 64, modified.

HEADNOTES

Partnership — Dissolution — Wrongful Dissolution — Definite Term or Particular Undertaking Specified in Agreement

1. In a breach of contract action seeking a declaratory ruling that defendant minority partner wrongfully dissolved the partnership by withdrawing from and unilaterally electing to dissolve it, the lower courts erred in applying Partnership Law § 62 (1) (b) in finding that the dissolution breached the partnership agreement, as the agreement clearly specified under what terms the partnership could be dissolved and therefore did not intend for an "at will" partnership. Partnership Law § 62 (1) (b) states that a partner may unilaterally dissolve a partnership, without violating the partnership agree-

ment, if “no definite term or particular undertaking is specified” in the agreement and the partnership is therefore “at will.” However, parties to a partnership agreement generally have the right to contract around a provision of the Partnership Law, provided they do so in language that is clear, unequivocal and unambiguous. Therefore, dissolution does not violate a partnership agreement if it occurs “[b]y the termination of the definite term or particular undertaking specified in the agreement” (Partnership Law § 62 [1] [a]). The agreement stated that the partnership “shall continue until it is terminated as hereinafter provided,” and, in a subsequent provision, stated that the partnership would dissolve upon “[t]he election by the partners to dissolve the [p]artnership” or “[t]he happening of any event which makes it unlawful for the business of the [p]artnership to be carried on or for the [p]artners to carry it on in [p]artnership.” The partners clearly intended that the methods provided in the agreement for dissolution were the only methods whereby the partnership would dissolve in accordance with the agreement, and by implication that unilateral dissolution would breach the agreement. The lower courts’ conclusion that defendant’s dissolution was wrongful, however, was correct. The breach was clear from the agreement alone.

Partnership — Dissolution — Wrongful Dissolution — Attorneys’ Fees

2. In a breach of contract action seeking a declaratory ruling that defendant minority partner had wrongfully dissolved the partnership by withdrawing from and unilaterally electing to dissolve it, plaintiff remaining partners were not entitled to collect attorneys’ or experts’ fees with respect to their lawsuit from defendant as part of their “damages for breach of the agreement” under Partnership Law § 69 (2) (a) (II). To award fees to plaintiffs would contradict New York’s well-established adoption of the American Rule that the prevailing litigant ordinarily cannot collect attorneys’ fees from its unsuccessful opponents. Attorneys’ fees are treated as incidents of litigation, rather than damages. The exception is when an award is authorized by agreement between the parties or by statute or court rule, but plaintiffs pointed to no provision within the agreement or the Partnership Law authorizing such an exception to the American Rule here. There is a distinction between, on the one hand, legal fees incurred in prosecuting or defending a successful civil lawsuit and, on the other hand, legal fees, in the nature of damages, incurred in carrying out separate acts necessitated by the breach.

Partnership — Dissolution — Wrongful Dissolution — Goodwill Deduction

3. In a breach of contract action arising from defendant minority partner’s wrongful dissolution of the partnership, the lower courts’ assessment of a goodwill deduction against defendant’s interest in the partnership pursuant to Partnership Law § 69 (2) (c) (II) was supported by evidence in the record, and the Court of Appeals therefore lacked power to review that factual determination. Partnership Law § 69 (2) (c) (II) gives a partner who dissolves a partnership in contravention of the partnership agreement the right “to have the value of his [or her] interest in the partnership, less any damages caused to his [or her] copartners by the dissolution, ascertained and paid” in cash. However, any goodwill component in the value of the partner’s interest must be deducted. Goodwill is an intangible asset of a business, corresponding in this context to what a buyer would pay for the business, over and above its value as a mere sum of tangible assets, because of the patronage and support of regular customers. Although no goodwill value was reflected in the books or financial statements of the partnership, which had been formed for the

ownership, operation, and management of a shopping mall, lack of goodwill does not follow as a matter of law from that circumstance. The trial court found, based on the expert testimony and other evidence, that the shopping mall and the mall's tenants attracted regular, loyal shoppers, and there was record support for the affirmed finding that the value of the partnership included, in addition to its real property and cash, a goodwill component.

Appeal — Preservation of Issue for Review — Marketability Discount after Wrongful Dissolution of Partnership

4. In a breach of contract action arising from defendant minority partner's wrongful dissolution of the partnership, defendant failed to preserve any challenge to the lower courts' application of a marketability discount to the value of his partnership interest. At trial, defendant's expert conceded that a marketability discount would apply and defendant did not depart from that in his posttrial motion papers. The parties' dispute before the trial court was over the percentage. Because the broader issue was not preserved, the application of the marketability discount was not properly before the Court of Appeals.

Partnership — Dissolution — Wrongful Dissolution — Minority Discount

5. In a breach of contract action arising from defendant minority partner's wrongful dissolution of the partnership in which plaintiff remaining partners continued the business under Partnership Law § 69 (2) (b), a minority discount was properly applied in calculating defendant's partnership interest pursuant to Partnership Law § 69 (2) (c) (II). A minority discount is a standard tool in valuation of a financial interest, designed to reflect the fact that the price an investor is willing to pay for a minority ownership interest in a business, whether a corporation or a partnership, is less because the owner of a minority interest lacks control of the business. Partnership Law § 69 (2) (c) (II) contemplates a valuation of a wrongfully dissolving partner's interest based on treating the partnership as a going concern, rather than an asset to be liquidated. In other words, the statute does not contemplate a valuation of the entire business as if it were being sold on the open market, but rather a determination of the fair market value of the wrongfully dissolving partner's interest as if that interest were being sold piecemeal and the rest of the business continuing as a going concern. Given that the focus is on one partner's interest in a persisting concern, a minority discount was applicable because a minority interest is worth less to anyone buying that interest alone.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Partnership §§ 351, 353, 358, 374, 560, 568, 661, 707, 737.

CARMODY-WAIT 2d Actions and Proceedings by or Against, or in Reference to, Partnerships and Associations §§ 122:7, 122:39, 122:73, 122:76, 122:80, 122:84, 122:86, 122:95.

McKINNEYS, Partnership Law §§ 62 (1) (a), (b); 69 (2) (b), (c) (II).

NY JUR 2d Business Relationships §§ 1170, 1598, 1776,

1798, 1801, 1804–1805, 1830, 1838, 1850, 1912, 1991, 2361.

ANNOTATION REFERENCE

Actions at law between partners and partnerships. 168 ALR 119.

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POINTS OF COUNSEL

Harris Beach PLLC, Albany (Victoria A. Graffeo and Aubrey A. Ohanian of counsel), for appellant. I. Marc A. Malfitano did not engage in a wrongful dissolution of the partnership because the partnership agreement lacked a definite term or a particular undertaking under Partnership Law § 62. (*People v Favor*, 82 NY2d 254; *Vandenbark v Owens-Illinois Glass Co.*, 311 US 538; *Matter of Americorp Sec. v Sager*, 239 AD2d 115; *Gurnee v Aetna Life & Cas. Co.*, 55 NY2d 184; *Gager v White*, 53 NY2d 475; *Tropeano v Dorman*, 441 F3d 69.) II. The partnership is not entitled to recover counsel fees in this breach of contract action because neither the governing contract nor any statute allows for such recovery. (*Hunt v Sharp*, 85 NY2d 883; *Mighty Midgets v Centennial Ins. Co.*, 47 NY2d 12; *Alyeska Pipeline Service Co. v Wilderness Society*, 421 US 240; *Mount Vernon City School Dist. v Nova Cas. Co.*, 19 NY3d 28; *Matter of A.G. Ship Maintenance Corp. v Lezak*, 69 NY2d 1; *Flemming v Barnwell Nursing Home & Health Facilities, Inc.*, 15 NY3d 375; *Millman v Brownlee*, 133 AD2d 221; *National Union Fire Ins. Co. of Pittsburgh, PA v Odyssey Reins. Co.*, 143 AD3d 626; *Chicago Tit. Ins. Co. v LaPierre*, 140 AD3d 821; *Halstead v Fournia*, 134 AD3d 1269.) III. Section 69 of the Partnership Law does not entitle the partnership to diminish the value of Marc A. Malfitano's partnership interest by applying a minority discount, marketability discount, or goodwill reduction. (*Grunfeld v Grunfeld*, 255 AD2d 12; *Cohen v Cohen*, 279 AD2d 599; *Matter of Cinque v Largo Enters. of Suffolk County*, 212 AD2d 608; *Kaplan v Schachter & Co.*, 261 AD2d 440; *Matter of Brown*, 242 NY 1; *Dawson v White & Case*, 88 NY2d 666; *Saltzstein v Payne, Wood & Littlejohn*, 292 AD2d 585; *Siddall v Keating*, 8 AD2d 44, 7 NY2d 846; *Matter of Friedman v Beway Realty Corp.*, 87 NY2d 161; *Matter of Penepent Corp.*, 96 NY2d 186.)

Gibson, Dunn & Crutcher LLP, New York City (Caitlin J. Halligan and Lee R. Crain of counsel), and *Goodwin Procter LLP*, New York City (Anthony A. Fiotto and Emily Unger of counsel), for respondents. I. Partnership Law § 62 does not nullify the partnership agreement's detailed dissolution provisions by rendering the partnership dissolvable at will. (*Sterling v Sterling*, 21 AD3d 663; *Dawson v White & Case*, 88 NY2d 666; *Ederer v Gursky*, 9 NY3d 514; *Lanier v Bowdoin*, 282 NY 32; *Corr v Hoffman*, 256 NY 254; *Riviera Congress Assoc. v Yassky*, 18 NY2d 540; *In re Popkin & Stern*, 340 F3d 709; *Dental Health Assoc. v Zangeneh*, 34 AD3d 622; *Napoli v Domnitch*, 18 AD2d 707; *Gelman v Buehler*, 20 NY3d 534.) II. The Appellate Division correctly valued Marc A. Malfitano's partnership interest. (*Better Living Now, Inc. v Image Too, Inc.*, 67 AD3d 940; *Hooker Chems. & Plastics Corp. v International Mins. & Chem. Corp.*, 90 AD2d 991; *Scholastic, Inc. v Harris*, 259 F3d 73; *Ca-hill v Haff*, 248 NY 377; *Cohen v Cohen*, 279 AD2d 599; *Matter of Brown*, 242 NY 1; *Spaulding v Benenati*, 57 NY2d 418; *Dawson v White & Case*, 88 NY2d 666; *Matter of Cinque v Largo Enters. of Suffolk County*, 212 AD2d 608; *Matter of Murphy v United States Dredging Corp.*, 74 AD3d 815.) III. The Appellate Division properly affirmed the award of damages for costs directly occasioned by Marc A. Malfitano's breach of the partnership agreement. (*BGW Dev. Corp. v Mount Kisco Lodge*, 264 AD2d 433; *Aero Garage Corp. v Hirschfeld*, 185 AD2d 775; *City of Elmira v Larry Walter, Inc.*, 150 AD2d 129; *DePinto v Rosenthal & Curry*, 237 AD2d 482.)

Stroock & Stroock & Lavan LLP, New York City (Claude G. Szyfer and Michele L. Pahmer of counsel), for The Real Estate Roundtable and others, amici curiae. I. Partnership agreements should be enforced in accordance with their express terms. (*Lanier v Bowdoin*, 282 NY 32; *Gelman v Buehler*, 20 NY3d 534.) II. Application of marketability and minority discounts is appropriate when valuing the interest of a partner who wrongfully withdraws. (*Matter of Murphy v United States Dredging Corp.*, 74 AD3d 815; *Matter of Giaimo v Vitale*, 101 AD3d 523; *Matter of Friedman v Beway Realty Corp.*, 87 NY2d 161; *Vick v Albert*, 47 AD3d 482.) III. The lower courts properly excluded Poughkeepsie Galleria Company's goodwill in valuing appellant's interest in recognition of the fact that shopping centers can have goodwill. (*Metropolitan Bank v St. Louis Dispatch Co.*, 149 US 436; *Haberle Crystal Springs Brewing Co. v Clarke*, 30 F2d 219.)

Holland & Knight LLP, New York City (Martin P. Miner and

Stosh M. Silivos of counsel), and *Faegre Baker Daniels LLP*, Chicago, Illinois (*Barry B. Nekritz, J. William Callison* and *Melissa Economy* of counsel), for American College of Real Estate Lawyers, amicus curiae. I. Partnership agreements govern the partnership relationship and the Uniform Partnership Act serves only as a gap filler which is inapplicable here. (*Silverman v Caplin*, 150 AD2d 673; *Cole v Macklowe*, 99 AD3d 595; *Dental Health Assoc. v Zangeneh*, 34 AD3d 622; *Ederer v Gursky*, 9 NY3d 514; *Gelman v Buehler*, 20 NY3d 534.) II. The dissolution and exit provisions in the Poughkeepsie Galleria Company partnership agreement are clear and should be enforced without the use of gap fillers. (*Gelman v Buehler*, 20 NY3d 534; *Kaufman v Cohen*, 307 AD2d 113.)

Whiteman Osterman & Hanna LLP, Albany (*John R. Dunne* of counsel), for Daniel Kleinberger and others, amici curiae. I. A general partnership is fundamentally a voluntary association, with its internal affairs governed by a contract among the associated partners, and under the Uniform Partnership Act the partnership agreement is the primary source of rules governing the partners' inter se relationships. (*Martin v Peyton*, 246 NY 213; *Levy v Leavitt*, 257 NY 461; *Lanier v Bowdoin*, 282 NY 32.) II. Nothing in the text or comments to the Uniform Partnership Act supports appellant's consideration of the rightful/wrongful dissolution issue as an exception to the general rule that a general partnership is a voluntary business organization in which the relations inter se the partners are primarily governed by their partnership agreement. III. Appellant's "magic words" approach for displacing Uniform Partnership Act (UPA) default rules has no support in the UPA and does violence to the contractual nature of a UPA partnership. (*C.U. Annuity Serv. Corp. v Young*, 281 AD2d 292; *Schiffer v Slomin's*, 39 Misc 3d 414, 40 Misc 3d 884, 48 Misc 3d 15; *Wood v Duff-Gordon*, 222 NY 88; *Cooper v Isaacs*, 448 F2d 1202.) IV. The rightful/wrongful dissolution issue presents New York an important opportunity to advance the Uniform Partnership Act's goal of uniformity. (*Burger, Kurzman, Kaplan & Stuchin v Kurzman*, 139 AD2d 422; *In re Popkin & Stern*, 340 F3d 709.)

OPINION OF THE COURT

FAHEY, J.

A partnership is a voluntary, contractual association in which persons carry on a business for profit as co-owners. In the agreement establishing a partnership, the partners can chart

their own course. New York's Partnership Law creates default provisions that fill gaps in partnership agreements, but where the agreement clearly states the means by which a partnership will dissolve, or other aspects of partnership dissolution, it is the agreement that governs the change in relations between partners and the future of the business. We hold that the partnership agreement in this case dictates the conclusion that defendant Marc A. Malfitano, a partner, wrongfully dissolved the partnership, but we conclude that it was error to include the legal fees incurred by the remaining partners in the damages owed to them by defendant. In other respects, we uphold the Appellate Division's valuation of defendant's interest in the partnership.

I.

In 1985, defendant and seven others entered into a written agreement (the agreement) to form a general partnership known as "Poughkeepsie Galleria Company" (the Partnership), for the ownership, operation, and management of a shopping mall. The mall opened in 1987 and continues to operate today. Defendant initially had a 2.25% ownership interest in the Partnership, which increased to 3.08% by the mid-2000s. In addition to the minority partners, the Partnership had a majority owner, Moselle Associates, which controlled a little over 56% of the Partnership.

The agreement provided that the Partnership "shall continue until it is terminated as hereinafter provided." In a subsequent provision, the agreement stated that the Partnership would dissolve upon "[t]he election by the Partners to dissolve the Partnership" or "[t]he happening of any event which makes it unlawful for the business of the Partnership to be carried on or for the Partners to carry it on in Partnership."

The agreement further stated that "[a]ll decisions to be made by the Partners shall be made by the casting of votes at a meeting of such Partners" and that "[t]he affirmative vote of no less than fifty-one percent (51%)" of the partners "shall be required to approve any matter presented for decision." Day-to-day control of the Partnership was vested in a three-member Executive Committee, comprised of Robert J. Congel, Bruce A. Kenan, and James A. Tuozzolo, the plaintiffs in this case. The Executive Committee had "the exclusive right to manage the business of the Partnership," although a majority of partners had the authority to "overrule or modify" the Committee's deci-

sions, “withdraw or modify” any power granted to the Committee, or remove its members.

In the mid-2000s, defendant decided to withdraw from the Partnership. Defendant asserts that certain conduct by plaintiffs related to the Partnership troubled him, and that when he challenged plaintiffs, they did not address his concerns. He explored the option of a buyout of his interest, but negotiations failed.

On November 24, 2006, defendant wrote to his partners: “[I]n accordance with Section 62 (1)(b) of the Partnership Law, and as a general partner of the Partnership I hereby elect to dissolve the Partnership and by this notice the Partnership is hereby dissolved.”

Partnership Law § 62 (1) (b) states that a partner may unilaterally dissolve a partnership, without violating the partnership agreement, if “no definite term or particular undertaking is specified” in the agreement and the partnership is therefore “at will.” Defendant insisted that his partners were compelled to liquidate. The Partnership was in the process of negotiating a mortgage refinancing, and defendant recorded a notice of pendency on the Poughkeepsie Galleria property.

The partners took the position that defendant had wrongfully dissolved the Partnership,¹ and they continued the business, in the same name as before, pursuant to Partnership Law § 69 (2) (b). That provision states, with certain conditions, that when dissolution is caused in violation of a partnership agreement, “[t]he partners who have not caused the dissolution wrongfully, if they all desire to continue the business in the same name . . . may do so, during the agreed term for the partnership and for that purpose may possess the partnership property.”

In January 2007, plaintiffs, as the Partnership’s Executive Committee and on behalf of the Partnership, commenced this breach of contract action, seeking a declaratory ruling that defendant had wrongfully dissolved the Partnership, as well as damages. Plaintiffs also moved for an order canceling the no-

1. Plaintiffs did not take the position that defendant’s action had no legal effect and failed to dissolve the Partnership. On appeal, plaintiffs concede that the Partnership dissolved by operation of law. The dispute concerns whether the dissolution violated the agreement. Consequently, we have no occasion to consider whether plaintiffs would prevail if they had argued that under the agreement a purported unilateral dissolution is no dissolution at all.

tice of pendency. It was only after the lawsuit was commenced that a mortgage lender was willing to proceed with refinancing of the mall.

Defendant answered and interposed several counterclaims, including the allegation that the dissolution precluded the Partnership from refinancing or taking any business actions other than winding up, and a claim for judicial dissolution under Partnership Law § 63 (1).² Defendant also cross-moved to dismiss the complaint under CPLR 3211 (a) (7) for failure to state a cause of action, insisting that the Partnership qualified as an “at-will” partnership, which can be dissolved without violation of the partnership agreement, under Partnership Law § 62 (1) (b).

After Supreme Court denied defendant’s cross motion to dismiss and canceled the notice of pendency, plaintiffs moved for summary judgment on their wrongful dissolution and breach of contract claims, asserting that the agreement provided for only two methods whereby the Partnership would dissolve without violation of the agreement, and that defendant’s unilateral dissolution breached the agreement. Defendant cross-moved for summary judgment.

Supreme Court granted summary judgment to plaintiffs, holding that the Partnership was not an “at-will” partnership, because it specified a “particular undertaking” within the meaning of Partnership Law § 62 (1) (b), and that defendant’s dissolution of the Partnership breached the agreement. Supreme Court dismissed defendant’s counterclaims, including his claim for judicial dissolution, and denied his cross motion for summary judgment.

In April 2009, the Appellate Division upheld Supreme Court’s ruling on the wrongfulness of the dissolution, albeit on different grounds, finding that the agreement specified a “definite term” or temporal limit under Partnership Law § 62 (1) (b) (61 AD3d 807, 808-809 [2d Dept 2009]). In a separate order issued on the same date, the Appellate Division affirmed Supreme Court’s order granting summary judgment to plaintiffs, holding that plaintiffs had satisfied their prima facie burden of

2. The judicial dissolution statute, Partnership Law § 63, gives a partner the statutory right to seek court dissolution of a partnership, and provides that a court shall decree the dissolution, on a partner’s application, in various situations, including circumstances that would “render a dissolution equitable” (Partnership Law §63 [1] [f]). Defendant did not seek judicial dissolution prior to unilaterally dissolving the partnership.

showing that defendant had dissolved the Partnership in contravention of the agreement, and that defendant had failed to raise a triable issue of fact (61 AD3d 810, 811 [2d Dept 2009]). The Appellate Division also affirmed dismissal of defendant's counterclaims, including his judicial dissolution claim (61 AD3d at 812). The Appellate Division remitted for further proceedings on, among other things, the issue of damages for breach of contract (*id.*).

On remittal in Supreme Court, defendant moved for partial summary judgment, seeking a declaration that plaintiffs were not entitled to attorneys' fees related to their lawsuit. In response, plaintiffs contended that they were entitled to fees on any actions they were compelled to take so as to avoid liquidation. They sought \$2,717,314.50 in attorneys' fees and \$79,705.50 in experts' fees.

Supreme Court ruled that plaintiffs were entitled to attorneys' fees and experts' fees, as part of their damages, reasoning that those costs "are not incidental to the litigation" but instead are "damages caused by the defendant's breach" of the agreement. However, Supreme Court did not award the full amount of attorneys' fees sought, awarding \$1,516,452 in attorneys' fees, as well as experts' fees in the requested amount.

Partnership Law § 69 (2) (c) (II) states that when a partner dissolves a partnership in contravention of the partnership agreement, and the remaining partners continue the business in the same name, the dissolving partner has

"the right as against his copartners . . . to have the value of his interest in the partnership, less any damages caused to his copartners by the dissolution, ascertained and paid to him in cash, or the payment secured by bond approved by the court, and to be released from all existing liabilities of the partnership; but in ascertaining the value of the partner's interest the value of the good-will of the business shall not be considered."

Consequently, in November 2011, Supreme Court conducted a bench trial to establish the value of defendant's interest in the Partnership, taking into account the value of goodwill, and the amount of damages, if any, that defendant owed to plaintiffs. At the outset of trial, the parties stipulated that the value of defendant's interest in the Partnership as of November 24, 2006 was \$4,850,000.

Both parties offered expert witness testimony on the applicability and amounts of certain deductions in value, including whether the stipulated value of defendant's interest in the Partnership included a component of goodwill, for which a deduction would be required under Partnership Law § 69 (2) (c) (II), and whether defendant's interest should be reduced to account for lack of marketability, in light of the absence of a readily available market to sell the partnership interest, and to account for his status as a minority partner.

Plaintiffs' valuation expert testified that the value of the Partnership contained goodwill of 44%, by which amount the value of defendant's interest should be proportionately reduced, and that his interest should be further reduced by, successively, a marketability discount of 35% and a minority discount of 66%. In testifying that a minority discount was applicable, based upon defendant's lack of control in the Partnership, the expert witness emphasized what he described as "draconian" restrictions on transferability under the agreement, and in particular a provision, which the expert testified he had never before seen in his 40-year career, that if a partner sold his or her interest, then for five years after the date of sale, the partner would be jointly and severally liable, with the buyer, for any capital costs. The expert testified that this restriction was relevant not only to the marketability of defendant's interest, but also to the minority status of the interest, in that a minority owner has no say in whether there would be a capital call.

Defendant's valuation expert testified that the Partnership—as a real estate holding company—did not have goodwill, but conceded that he did not regularly value assets of that type. The expert witness further testified that he had been "advised, under the relevant statutes, that a minority discount was not applicable," adding that while a minority discount "would be applicable" if the court were determining "fair market value," it did not apply when determining "fair value." Because of this "advice," the expert witness did not argue, in the alternative, that the amount of the minority discount proposed by plaintiffs' expert, i.e., 66%, was unreasonable or in error.

Conversely, defendant's expert did not contest that a marketability discount would apply, but valued it at 25%, rather than 35%. Notably, in posttrial papers, defendant failed to preserve any general objection to the marketability discount as legally inapplicable, focusing instead on the amount of that discount.

A second plaintiffs' witness testified about plaintiffs' legal fees, insisting that the fees had been incurred as a direct result of defendant's wrongful dissolution, including time and labor required to prevent the consequences that would have ensued if the dissolution had not been deemed wrongful. Defendant himself testified, and challenged the inclusion of plaintiffs' legal fees as damages.

Supreme Court ruled that the stipulated value of \$4,850,000 would be reduced by 15% or \$727,500 to represent the value of the Partnership's goodwill. The trial court reasoned "that the partnership does indeed possess goodwill of its own," because the mall "and its tenants attract regular, loyal shoppers, which point towards the existence of some goodwill." The trial court explained that "[a] potential purchaser of the Poughkeepsie Galleria would more than likely pay more for an established going concern that already has tenant retail stores that attract a loyal customer base," and in this manner "would pay extra for the acquisition of goodwill." However, the court disagreed with plaintiffs' figure of 44% for the goodwill deduction, and concluded that "the 'premium' a buyer would likely pay for goodwill under the facts of this case . . . is 15%."

Next, Supreme Court applied a 35% or \$1,442,875 marketability discount, to the stipulated value as reduced by goodwill, to account for the limited marketability of defendant's interest, generating a discounted value of \$2,679,625. The trial court explained that it had taken into consideration all factors inhibiting transfer of defendant's partnership interest "resulting from a limited market." However, the trial court declined to apply a minority discount, citing cases that have barred the use of a minority discount in evaluation of a minority shareholder's stock in a closely held corporation.

Finally, Supreme Court ruled that defendant owed damages in the amount of \$1,516,452 in plaintiffs' attorneys' fees and \$79,705.50 in plaintiffs' experts' fees. The trial court reasoned that the Partnership was required "to incur enormous legal fees" to avoid the "devastating consequence" of a forced liquidation, and wrote that, although "[b]oth parties contributed to the litigious nature of this case," defendant was "clearly much more responsible than the plaintiffs."

The net result was a judgment in favor of defendant and against plaintiffs in the amount of \$1,083,467.50, to be reduced

by prejudgment interest of 9% in favor of plaintiffs on the fees award.³ Defendant appealed, and plaintiffs cross-appealed.

Defendant contended, among other things, that the Appellate Division should overturn its 2009 rulings holding that he had wrongfully dissolved the Partnership, in light of this Court's decision in *Gelman v Buehler* (20 NY3d 534 [2013]), which provides a detailed analysis of the nature of an "at-will" partnership.⁴ For their part, plaintiffs contended, among other things, that a minority discount should have been applied to the valuation of defendant's interest in the Partnership.

In May 2016, the Appellate Division modified Supreme Court's judgment, by deleting the provision in favor of defendant and against plaintiffs, affirmed as modified, and remitted to the trial court for a new calculation incorporating a 66% minority discount, applied to the discounted value of defendant's interest in the partnership, and for entry of a new judgment (141 AD3d 64, 76 [2d Dept 2016]).

The Appellate Division adhered to its earlier determination that defendant had wrongfully dissolved the Partnership, noting that

"[t]he facts of *Gelman*, involving an alleged oral partnership agreement which lacked a definite term of duration, are plainly distinguishable from the facts of this case. In contrast to *Gelman*, the written partnership agreement here specified that the partnership would continue until terminated by a majority vote of the partners, and was thus not dissolvable at will by a single partner" (141 AD3d at 70 [citation omitted]).⁵

With respect to the minority discount, the Appellate Division distinguished *Matter of Friedman v Beway Realty Corp.* (87

3. The trial court granted defendant postjudgment interest.

4. Addressing the question of when a partnership agreement specifies a "definite term" or "particular undertaking" within the meaning of Partnership Law § 62, this Court adopted the rule that "a 'definite term' . . . is intended to be durational in nature and refers to an identifiable termination date," while "[a] 'particular undertaking' . . . require[s] a specific objective or project that may be accomplished at some future time, although the precise date need not be known or ascertainable at the time the partnership is created" (*Gelman*, 20 NY3d at 537-538 [citations omitted]).

5. In resolving whether *Gelman* required a reassessment of its earlier rulings, the Appellate Division alluded, in passing, to the "law of the case" doctrine, but proceeded to distinguish *Gelman*, rather than consider whether that decision introduced a change in the law (141 AD3d at 70). Contrary to

(n. cont'd)

NY2d 161 [1995]), because that case involved the determination of the “fair value” of stock held by a dissenting shareholder under the Business Corporation Law, whereas “this case . . . involves the determination of the ‘value’ of the shares of a partner who has wrongfully caused the dissolution of a partnership pursuant to Partnership Law § 69 (2) (c) (II)” (141 AD3d at 73). The Appellate Division relied instead on *Anastos v Sable* (443 Mass 146, 819 NE2d 587 [2004]), in which the Massachusetts Supreme Judicial Court analyzed that state’s equivalent of the Partnership Law provisions implicated here.

“Here, as in *Anastos*, the partnership remains a going concern, and the defendant has no right to compel a liquidation sale of the partnership’s shopping mall and receive a proportionate share of the liquidation value of that asset. Under these circumstances, a minority discount may properly be applied to account for the defendant’s lack of control in the partnership as a going concern.” (141 AD3d at 74-75.)

With regard to the goodwill discount, the Appellate Division held that the evidence at trial supported Supreme Court’s determination that the Partnership “had goodwill in connection with the operation of the shopping mall that it owned” (141 AD3d at 75). The Appellate Division found the plaintiffs’ expert’s testimony that a 66% minority discount was appropriate to be credible and supported by the record (*id.*), and summarily rejected defendant’s challenge to the marketability discount (*id.*). On the subject of attorneys’ fees, the Appellate Division held that “the reasonable amount of certain legal expenses incurred by the plaintiffs” constituted “recoverable expenditures directly occasioned and made necessary by the defendant’s breach of the partnership agreement, and were thus properly included as damages” (*id.*).

Upon remand, Supreme Court issued an amended judgment applying the minority discount and further reducing defendant’s interest in the Partnership to \$911,072.50; ruling that the plaintiffs were entitled to \$1,822,460.25 in fees and statutory interest; and concluding that defendant owed plaintiffs \$911,387.75.

We granted defendant leave to appeal, pursuant to CPLR 5602 (a) (1) (ii), from Supreme Court’s amended judgment (28

defendant’s assertion, the Appellate Division did not consider examination of *Gelman* to be foreclosed. Nor do we.

NY3d 1129 [2017]). The appeal brings up for review the Appellate Division's 2009 and 2016 orders.

II.

The first issue, as framed by the parties, is whether defendant's unilateral dissolution of the Partnership violated the agreement. The trial court and the Appellate Division both ruled that the dissolution was wrongful, but focused on whether the agreement specified a "definite term" or "particular undertaking" under Partnership Law § 62 (1) (b). Defendant contends that the Partnership was "at will" because the agreement did not contain a "definite term" or "particular undertaking" under the statute. Plaintiffs urge us to affirm on an alternative ground, namely that because the agreement sets out the methods of dissolving the Partnership in accordance with the agreement, the wrongfulness of defendant's dissolution can be decided without recourse to the statute. We agree with plaintiffs on this issue.

The governing law of partnerships in New York is the Partnership Law of 1919, which enacted into law the original Uniform Partnership Act (UPA). It is well established, however, that "[t]he Partnership Law's provisions are, for the most part, default requirements that come into play in the absence of an agreement" (*Ederer v Gursky*, 9 NY3d 514, 526 [2007]). The statutory scheme

"applies only when there is either no partnership agreement governing the partnership's affairs, the agreement is silent on a particular point, or the agreement contains provisions contrary to law. Where an agreement addresses a particular issue, the terms of the agreement control, and the rights and obligations of the parties are determined by reference to principles of contract law. Thus, an agreement specifying the circumstances under which a partnership may be dissolved is not at will." (*BPR Group Ltd. Partnership v Bendetson*, 453 Mass 853, 863-864, 906 NE2d 956, 964 [2009] [internal quotation marks and citations omitted]; accord e.g. *In re Popkin & Stern*, 340 F3d 709, 714 [8th Cir 2003].)

Indeed, partners may, "absent prohibitory provisions of the statutes or of rules of the common law relating to partnerships, or considerations of public policy, . . . include in the partner-

ship articles any agreement” the partners desire to include (*Cohen v Lord, Day & Lord*, 75 NY2d 95, 102-103 [1989] [internal quotation marks omitted]). “[T]he partners of either a general or limited partnership, as between themselves, may include in the partnership articles any agreement they wish concerning the sharing of profits and losses, priorities of distribution on winding up of the partnership affairs and other matters. If complete, as between the partners, the agreement so made controls” (*Lanier v Bowdoin*, 282 NY 32, 38 [1939]).

In short, parties to a partnership agreement generally have the right to contract around a provision of the Partnership Law, provided of course they do so in language that is “clear, unequivocal and unambiguous” (*Springsteen v Samson*, 32 NY 703, 706 [1865]; see generally *Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470, 475 [2004]). No particular magic words need be recited, provided that the parties’ intent is clear. With these principles in mind, we now summarize the Partnership Law provisions relied on by the lower courts, in order to assess whether they come into play or whether the agreement controls.

The Partnership Law provides that dissolution does not violate a partnership agreement if it occurs “[b]y the termination of the definite term or particular undertaking specified in the agreement” (Partnership Law § 62 [1] [a]). For example, if a partnership agreement provides that the agreement will terminate on a certain date, then the dissolution of the partnership on that date will be in accordance with the agreement. Moreover, if “no definite term or particular undertaking is specified” in the partnership agreement, then the partnership is said to be an “at-will” partnership, and a unilateral dissolution “[b]y the express will of any partner” does not violate the partnership agreement (Partnership Law § 62 [1] [b]). “[W]hen a partnership has no definite term or particular objective to be achieved, it may be dissolved at any time by the express will of one or more of the partners” (*Harshman v Pantaleoni*, 294 AD2d 687, 687 [3d Dept 2002]).

By contrast, the Partnership Law provides that a partnership is dissolved “[i]n contravention of the agreement between the partners, where the circumstances do not permit a dissolution under any other provision of this section, by the express will of any partner at any time” (Partnership Law § 62 [2]). In other words, “[w]hen the agreement specifies a durational term, or a defined project, an attempt unilaterally to dissolve the

partnership would violate the partnership agreement” (*Scholastic, Inc. v Harris*, 259 F3d 73, 85 [2d Cir 2001]). While “partners are statutorily empowered to dissolve the partnership at any time, wrongfully dissolving partners may be liable to the expelled partner for breach of the partnership agreement” (*Dawson v White & Case*, 88 NY2d 666, 670 n 1 [1996] [citation omitted]; accord *Napoli v Domnitch*, 18 AD2d 707, 708 [2d Dept 1962], *affd* 14 NY2d 508 [1964]).

Partnership Law § 62 (1) (b) codifies common-law doctrine that “a contract of partnership, containing no stipulation as to the time during which it shall continue in force . . . may be dissolved by either partner at his own will, at any time” (*Kar-rick v Hannaman*, 168 US 328, 333-334 [1897]), unless the “partnership has for its object the completion of a specified piece of work, or the effecting of a specified result” (*Hardin v Robinson*, 178 App Div 724, 729 [1st Dept 1916]; see *Gelman*, 20 NY3d at 537).

[1] Here, the agreement stated that the Partnership “shall continue until it is terminated as hereinafter provided,” and, in a subsequent provision, stated that the Partnership would dissolve upon “[t]he election by the Partners to dissolve the Partnership” or “[t]he happening of any event which makes it unlawful for the business of the Partnership to be carried on or for the Partners to carry it on in Partnership.” The partners clearly intended that the methods provided in the agreement for dissolution were the only methods whereby the partnership would dissolve *in accordance with the agreement*, and by implication that unilateral dissolution would breach the agreement. In other words, the agreement contemplated dissolution only in two instances, leaving no room for other means of dissolution that would be in accordance with its terms.⁶

It follows that Partnership Law § 62 (1) (b) has no application here, because the parties to the agreement clearly specified under what terms it could be properly dissolved, i.e., what would constitute a dissolution under the agreement and what would constitute a dissolution in contravention of it. Accordingly, this was plainly not intended to be an “at-will” partnership.

6. As we have noted (see footnote 1), plaintiffs do not argue that defendant’s action had no legal effect and failed to dissolve the Partnership. Consequently, we have no occasion to consider whether the agreement left no room for *any* other means of dissolution, whether proper or wrongful.

Gelman, therefore, does not apply. In that case, which involved an oral partnership agreement, with “a flexible temporal framework” and a “sequence of anticipated partnership events” that we described as “amorphous” (*Gelman*, 20 NY3d at 538), we applied the Partnership Law to conclude that the omission of an identifiable termination date and of a particular undertaking rendered the partnership “at will.” We did so of necessity. An oral agreement generally does not “set forth the circumstances under which the partnership could be dissolved without breaching the partnership agreement” (*BPR Group Ltd. Partnership*, 453 Mass at 864 n 15, 906 NE2d at 964 n 15). Here, by contrast, we are not required to apply the pertinent Partnership Law provisions to determine whether the dissolution breached the agreement. The breach is clear from the agreement alone.⁷

Although the lower courts erred in applying Partnership Law § 62 (1) (b) to decide whether defendant violated the agreement, the conclusion they reached, i.e., that defendant’s dissolution was wrongful, is correct.

III.

Plaintiffs contend that they are entitled to attorneys’ and experts’ fees, as part of their damages under Partnership Law § 69 (2) (a) (II). Defendant insists that, even assuming that this Court rules against him on the question of breach, he should not be required to pay plaintiffs’ attorneys’ or experts’ fees. On this issue, we agree with defendant.

Under Partnership Law § 69 (2) (a) (II), “[w]hen dissolution is caused in contravention of the partnership agreement . . . [e]ach partner who has not caused dissolution wrongfully shall have . . . [t]he right, as against each partner who has caused the dissolution wrongfully, to damages for breach of the agreement.” The lower courts in this case held that the damages owed by defendant to plaintiffs include fees.

[2] We conclude, however, that to award fees to plaintiffs would be to contradict New York’s well-established adoption of the American Rule that “the prevailing litigant ordinarily cannot collect . . . attorneys’ fees from its unsuccessful opponents”

7. Accordingly, there is no need for us to determine whether Supreme Court erred in deciding that the agreement contained a “particular undertaking” or whether the Appellate Division erred in deciding that the agreement contained a “definite term.”

(*Hunt v Sharp*, 85 NY2d 883, 885 [1995]). Contrary to Supreme Court, the standard is not which party was “more responsible” for the litigation. Attorneys’ fees are treated as “incidents of litigation” (*Matter of A.G. Ship Maintenance Corp. v Lezak*, 69 NY2d 1, 5 [1986]), rather than damages. “In contrast with other legal systems, such as that in Great Britain, it has now long been the universal rule in this country not to allow a litigant to recover damages for the amounts expended in the successful prosecution or defense of its rights” (*Mighty Midgets v Centennial Ins. Co.*, 47 NY2d 12, 21-22 [1979]). The exception is when “an award is authorized by agreement between the parties or by statute or court rule” (*Mount Vernon City School Dist. v Nova Cas. Co.*, 19 NY3d 28, 39 [2012], quoting *A.G. Ship Maintenance Corp.*, 69 NY2d at 5), but plaintiffs point to no provision within the agreement or the Partnership Law authorizing such an exception to the American Rule here. In particular, plaintiffs fail to identify any counterpart in the Partnership Law to statutes such as CPLR 909, allowing recovery of attorneys’ fees in class action lawsuits, or CPLR 5031, allowing recovery of attorneys’ fees in medical malpractice actions.

Plaintiffs principally rely on *City of Elmira v Larry Walter, Inc.* (150 AD2d 129, 133 [3d Dept 1989], *affd* 76 NY2d 912 [1990]) and *Aero Garage Corp. v Hirschfeld* (185 AD2d 775, 776 [1st Dept 1992]). In *City of Elmira*, the Appellate Division held that certain legal expenses incurred by the winning party in a breach of contract case were recoverable because the charges were not “counsel fees” subject to the American Rule, but rather “recoverable expenditures directly occasioned and made necessary by the breach” (*City of Elmira*, 150 AD2d at 133 [internal quotation marks and citations omitted]). The expenses were legal fees expended in rebidding the contract following the breach, not in the breach of contract action itself. Similarly, in *Aero Garage*, the Appellate Division, citing *City of Elmira*, ruled that the trial court correctly “awarded attorney’s fees incurred by plaintiff in obtaining [a] certificate of occupancy as an element of compensatory damages,” because “[t]hese legal expenses were incurred by plaintiff in attempting by itself to fulfill defendants’ obligations under the contract and were directly occasioned and made necessary by defendants’ breach” (*Aero Garage*, 185 AD2d at 776 [internal quotation marks and citations omitted]).

Rather than supporting plaintiffs’ analysis, the cited cases clearly rely on a distinction between, on the one hand, legal

fees incurred in prosecuting or defending a successful civil lawsuit and, on the other hand, legal fees, in the nature of damages, incurred in carrying out separate acts necessitated by the breach. Plaintiffs' approach would mean that fees could be awarded to the victorious party in any breach of contract litigation, as long as that party persuaded a court that it had to litigate the issue in order to avoid the consequences of defendant's breach. Indeed, this purported exception would be so large as to swallow the American Rule.

The lower courts erred in awarding attorneys' fees and experts' fees to plaintiffs, with respect to plaintiffs' lawsuit. To this extent, we modify the amended judgment of Supreme Court from which defendant appeals, as well as the Appellate Division's 2016 order upholding the award of fees, and we remit to Supreme Court for recalculation of damages. Plaintiffs, if they so choose, may argue on remand that certain attorneys' fees, not related to their lawsuit, were incurred as a direct result of defendant's breach and should be included as damages.⁸

IV.

[3] With respect to the reduction for goodwill, Partnership Law § 69 (2) (c) (II) gives a partner who dissolves a partnership in contravention of the partnership agreement the right "to have the value of his interest in the partnership, less any damages caused to his copartners by the dissolution, ascertained and paid to him in cash, . . . but in ascertaining the value of the partner's interest the value of the good-will of the business shall not be considered." In other words, any goodwill component in the value of the partner's interest must be deducted. Defendant argues that he should not have been assessed a goodwill deduction.

Goodwill is an intangible asset of a business, corresponding in this context to what a buyer would pay for the business, over and above its value as a mere sum of tangible assets,

8. For example, the record contains a reference to \$14,640 incurred in attorneys' fees for legal advice and attendance at partner meetings prior to the commencement of the lawsuit, to ensure "formal partnership action to make sure with clarity to the lender that all steps were being taken that were necessary to continue the business." This would correspond to a very small percentage—0.539% by our calculation—of the attorneys' fees plaintiffs originally requested, and defendant accordingly asserts that the great majority of the fees claimed by plaintiffs were related to the litigation of their action.

because of the patronage and support of regular customers. Goodwill consists in “every positive advantage . . . that has been acquired by a proprietor in carrying on [a] business, whether connected with the premises in which the business is conducted, or with the name under which it is managed, or with any other matter carrying with it the benefit of the business” (*Spaulding v Benenati*, 57 NY2d 418, 424 n 3 [1982] [internal quotation marks and citation omitted]). It is, in Judge Cardozo’s words, what people “will pay for any privilege that gives a reasonable expectancy of preference in the race of competition. Such expectancy may come from succession in place or name or otherwise to a business that has won the favor of its customers” (*Matter of Brown*, 242 NY 1, 6 [1926] [citation omitted]; see also *Spaulding*, 57 NY2d at 423).

Defendant argues that the Partnership lacked goodwill as a matter of law. He contends that goodwill does not exist in a real estate holding, citing *Cohen v Cohen* (279 AD2d 599 [2d Dept 2001]) and *Matter of Cinque v Largo Enters. of Suffolk County* (212 AD2d 608 [2d Dept 1995]) for the proposition that when holdings consist solely of real property and cash, no part of the value of the business is attributable to goodwill. Defendant misreads these cases. They do not hold that real estate holdings can never have goodwill value as a matter of law, but merely assert in each case that the subject real estate holding did not have a goodwill component as a matter of fact (see *Cohen*, 279 AD2d at 600; *Cinque*, 212 AD2d at 610).

Defendant also notes that no goodwill value was reflected in the books or financial statements of the Partnership. Lack of goodwill does not follow as a matter of law, however, from this circumstance. While defendant urges the Court to find an implied “agreement among partners . . . that goodwill not be considered an asset of the firm” (*Dawson*, 88 NY2d at 671), the precedent he relies on is clearly distinguishable. In *Dawson*, the partnership agreement of a law firm expressly provided that “no consideration has been or is to be paid for the Firm name or any good will of the partnership, as such items are deemed to be of no value” (*Dawson*, 88 NY2d at 672), a contractual provision not present here. Indeed, *Dawson* clarified that its holding was “based on the specific facts presented, and should not be construed as a prohibition against the valuation, in the appropriate case, of . . . goodwill” (*Dawson*, 88 NY2d at 672).

In short, the goodwill question is a factual one. “In a case such as this, with affirmed findings of fact, our scope of review

is narrow. This court is without power to review findings of fact if such findings are supported by evidence in the record” (*Humphrey v State of New York*, 60 NY2d 742, 743 [1983]). Here, the trial court found, based on the expert testimony and other evidence, that the shopping mall and the mall’s tenants attract regular, loyal shoppers, and there is record support for the affirmed finding that the value of the Partnership included, in addition to its real property and cash, a goodwill component.⁹

V.

[4] The next issue is whether the lower courts erred in applying a discount for lack of marketability, i.e., a deduction from the value of defendant’s ownership interest reflecting the relative illiquidity or deficit in marketability of the interest. Defendant urges this Court to adopt the holding of the Louisiana Supreme Court that such “discounts must be used sparingly and only when the facts support their use” (*Cannon v Bertrand*, 2008-1073 [La 1/21/09], 2 So 3d 393, 396 [2009]). Defendant, however, failed to preserve any challenge to the applicability of a marketability discount to the value of a partnership interest after wrongful dissolution. At trial, his expert conceded that a marketability discount would apply and defendant did not depart from this in his posttrial motion papers. The parties’ dispute before the trial court was over the percentage. Because the broader issue was not preserved, the application of the marketability discount is not properly before us.

VI.

The final question we must resolve is whether a minority discount may be applied in the calculation of the value of a wrongfully dissolving partner’s interest in a partnership, pursuant to Partnership Law § 69 (2) (c) (II), when the remaining partners continue the business under Partnership Law § 69 (2) (b). A minority discount is a standard tool in valuation of a financial interest, designed to reflect the fact that the price an investor is willing to pay for a minority ownership interest in a

9. Defendant observes that the Partnership did not manage the mall, solicit tenants, negotiate leases, or have employees; that was the job of its agent, Pyramid Companies. Nevertheless, even though the Partnership was not directly responsible for day-to-day operations, it owned a shopping mall, with local reputational advantages, from which the Partnership derived goodwill value, just as Pyramid might have goodwill for responsible management of malls.

business, whether a corporation or a partnership, is less because the owner of a minority interest lacks control of the business.¹⁰

Defendant contends that, as a matter of law, minority discounts are not applicable in the valuation of a minority partner's interest after the partner exits a business that remains a going concern. This issue is properly preserved, but we cannot agree with defendant on the merits.¹¹

In requiring the minority discount, the Appellate Division relied on *Anastos v Sable* (443 Mass 146, 819 NE2d 587 [2004]), in which the Massachusetts Supreme Judicial Court interpreted a UPA-based statute that is identical in all relevant respects to our Partnership Law § 69 (2) (c) (II). There, the plaintiff dissolved a partnership in violation of the partnership agreement, and, as here, the other partners continued the partnership business, rather than liquidate. The trial court in *Anastos*, in determining the value of the plaintiff's interest, applied a minority discount to reflect that there was "no ready market for the purchase of an interest in a general partnership whose primary asset is real estate where the partnership agreement contains limitations and restrictions on the control that any minority owner can exercise" (*Anastos*, 443 Mass at 147-148, 819 NE2d at 589). The Supreme Judicial Court of Massachusetts upheld this decision, stating:

"In this case, the remaining partners chose to exercise their statutory right to continue the partnership business for the remainder of the partnership term, so the partnership business is not 'winding up' and must therefore be treated as a going concern. Because the plaintiff cannot compel liquidation of the business at the point of dissolution, we read [Massachusetts General Laws, chapter 108A, § 38 (2) (c) (II)] as offering a nonliquidation based method of calculating the value of his partnership interest." (*Anastos*, 443 Mass at 152, 819 NE2d at 592.)

10. A minority discount is not relevant in valuing an asset, such as a publicly traded share, that is already priced as a minority holding, the fair market value of which can be determined simply by examining the market price of the stock.

11. Defendant has not preserved any objection to the percentage of the discount. Consequently, we do not address the lower courts' determination of the size of the minority discount.

[5] Here, similarly, Partnership Law § 69 (2) (c) (II) contemplates a valuation of a wrongfully dissolving partner's interest based on treating the partnership as a going concern, rather than an asset to be liquidated. In other words, the statute does not contemplate a valuation of the entire business as if it were being sold on the open market, but rather a determination of the fair market value of the wrongfully dissolving partner's interest as if that interest were being sold piecemeal and the rest of the business continuing as a going concern.¹² Given that the focus is on one partner's interest in a persisting concern, we agree with the Massachusetts high court that a minority discount is applicable, because a minority interest is worth less to anyone buying that interest alone.

Notably, New York, like Massachusetts, has not adopted the 1997 Uniform Partnership Act commonly known as RUPA. The dissent's discussion of RUPA and of cases from states that have adopted RUPA does not illuminate the law in New York. In particular, while RUPA, "[b]y focusing on a top-down valuation keyed to a sale of all of the assets of the partnership, . . . directs the analysis away from a valuation of the interests of a particular partner," so that "a minority discount is inappropriate" (dissenting op at 302 [internal quotation marks and citation omitted]), we conclude that the same cannot be said of the UPA.

It is true, of course, that in the Partnership Law § 69 (2) (c) (II) context the wrongfully dissolving partner's interest may simply be absorbed by the remaining partners. In our view, this does not render the value generated by application of a minority discount an inaccurate valuation of the intrinsic worth of that partner's interest. To repeat, the exiting partner's interest may appropriately be valued in light of the fair market value of that minority interest given that the partner is departing and the partnership continuing.

As defendant observes, the closest this Court has come to examining the issue is *Matter of Friedman v Beway Realty Corp.* (87 NY2d 161 [1995]). There, we held that the use of a minority discount should be rejected in the context of valuing the interests of dissenting shareholders in a closely held

12. "[T]he fair market value is the price at which [an asset] would change hands between a willing buyer and a willing seller, neither being under any compulsion to buy or to sell and both having reasonable knowledge of relevant facts" (*Estate of Godley v Commissioner of Internal Revenue*, 286 F3d 210, 214 [4th Cir 2002], quoting *United States v Cartwright*, 411 US 546, 551 [1973]).

corporation. That context, however, is clearly distinguishable from ours. *Friedman* involved a proceeding under Business Corporation Law § 623, which gives “minority stockholders the right to withdraw from a corporation and be compensated for the value of their interests when the corporate majority takes significant action deemed inimical to the position of the minority” (*Friedman*, 87 NY2d at 167). Business Corporation Law § 623 invokes a statutory term of art, “fair value,” in requiring that a dissenting shareholder who exercises appraisal rights be paid the “fair value” of his or her shares (Business Corporation Law § 623 [e]), as opposed to their fair market value. The term “fair value” is not present in the statute under review here.

The terminological difference reflects an underlying difference in statutory scheme. As plaintiffs note, Business Corporation Law § 623 contemplates a significant change to a business that the majority of shareholders have adopted over the minority’s dissent. The value of the corporation’s stock will likely be very different from the value prior to dissent and appraisal. This provides the rationale for the statutory requirement that the dissenter be paid “fair value,” as opposed to fair market value, as a remedial matter. By contrast, wrongful dissolution of a partnership may happen at any time, and valuation of a partner’s interest occurs only if the remaining partners have agreed to continue their business as if nothing changed. Unlike shareholder dissent and appraisal, wrongful dissolution is not necessarily preceded by upheaval “inimical to the position of the minority” (*Friedman*, 87 NY2d at 167), so trial courts need not substitute a “fair value” for the actual value a third party would pay. Indeed, here the upheaval took the form of an action by a minority partner inimical to the majority’s interests.

In short, *Friedman* does not offer a rationale for rejecting the view that third-party market value is the compensation to which a wrongful dissolver is entitled, a view consistent with the use of a minority discount to capture any impact that a lack of control may have on that market price. While “[t]he application of minority discounts is a matter of some debate in close corporations” (1 Christine Hurt et al., Bromberg and Ribstein on Partnership § 7.13 [B] [1] at 7-168 n 17 [2d ed and 2017-2 Suppl]), “courts usually allow the application of a minority discount” in determining the value of an interest in a partnership (*id.* § 7.13 [B] [1] at 7-167 n 17).

Defendant also draws our attention to a decision by the Maryland Court of Special Appeals, *East Park Ltd. Partnership*

v Larkin (167 Md App 599, 893 A2d 1219 [2006], *cert denied* 393 Md 243, 900 A2d 749 [2006]). In that case, partners withdrew from a limited partnership under a statute providing that a partner could do so without dissolution, and “receive, within a reasonable time after withdrawal, the fair value of the partner’s partnership interest in the limited partnership as of the date of withdrawal, based on the partner’s right to share in distributions from the limited partnership” (Md Code Ann, Corps & Ass’ns § 10-604). Again, as in *Friedman*, it is clear that a different statutory scheme, involving cashing out an interest for “fair value,” was at work. By contrast, the statute we are analyzing relates to wrongful dissolution, rather than a statutory right to withdraw, and it makes no mention of “fair value.” Of course, this is not to say that the assessed value should not be fair. The point is simply that the statutory scheme in the Partnership Law is consistent with the application of a fair market value assessment of the particular partnership interest, and the use of standard valuation tools including a minority discount.

In sum, defendant provides no basis for concluding that a minority discount is inapplicable as a matter of law to the valuation of the interest of a wrongfully dissolving partner when the remaining partners continue the partnership.¹³ We note, finally, that the parties to a partnership agreement may contract out of application of a minority discount to the valuation of their interests, just as they may contract around statutory provisions. Defendant does not assert that the agreement precluded use of a minority discount in this manner.

VII.

For these reasons, Supreme Court properly determined the value of defendant’s interest in the Partnership, but erred in awarding fees to plaintiffs as part of the statutory damages.

Accordingly, the judgment appealed from and the orders of the Appellate Division brought up for review should be modified, without costs, by remitting the case to Supreme Court for further proceedings in accordance with this opinion, and, as so modified, affirmed.

FEINMAN, J. (dissenting in part). I fully concur with the well-

13. Our holding is not “that the trial court was *required* to apply a minority discount” (dissenting op at 299 [emphasis added]). We need decide only whether the application of a minority discount in this case was contrary to law.

reasoned analyses in parts I through V of the majority opinion. I do not join part VI, the majority's holding that the trial court was required to apply a minority discount to the value of a partner's interests under Partnership Law § 69 (2) (c) (II). Except for a brief discussion of *Anastos v Sable* (443 Mass 146, 819 NE2d 587 [2004]), a Massachusetts case that I believe is inapposite, the majority's analysis of the minority discount issue consists almost exclusively of distinguishing the extensive authority adverse to its position. It does not, however, advance an affirmative rationale explaining why respondents' proposed interpretation ought to prevail over appellant's.

The consequences of a dissolution, including the dissolving and non-dissolving partners' respective liabilities, are governed principally by the partnership agreement (*see Ederer v Gursky*, 9 NY3d 514, 526 [2007]; *see also Seattle-First Natl. Bank v Marshall*, 31 Wash App 339, 345-347, 641 P2d 1194, 1198-1199 [1982], *review denied* 97 Wash 2d 1023 [June 30, 1982]). As the majority observes, where, as here, the agreement is silent as to the amount payable to a dissolving partner, we must look to the default rules contained in Partnership Law § 69.

Section 69 distinguishes between wrongful and non-wrongful dissolutions. If the partnership's dissolution was not wrongful, then "each partner . . . may have the partnership property applied to discharge its liabilities, and the surplus applied to pay in cash the net amount owing to the respective partners" (Partnership Law § 69 [1]). In effect, "the withdrawing partner, unless otherwise agreed, has the right, upon dissolution, to compel the 'winding up' or liquidation of the company, and receive the value of [its] interest in the partnership" (*Estate of Watts v Commissioner of Internal Revenue*, 823 F2d 483, 486 [11th Cir 1987] [emphasis omitted] [construing substantially identical provisions of the Oregon Uniform Partnership Act]). Where dissolution is wrongful and the partners do not elect to continue the existence of the partnership under section 69 (2) (b), the result is the same, except that the wrongful dissolver's right to payment must be set off against "damages for breach of the agreement" (Partnership Law § 69 [2] [a] [I]-[II]; [c] [I]). If the partnership is continued, however, the Partnership Law states only that the wrongful dissolver is entitled to "the value of [the partner's] interest in the partnership," excluding goodwill and set off against contractual damages (*id.* § 69 [2] [c] [II]). Although this procedure results in a technical dissolution, its economic effect in most cases is that a partner is al-

lowed to cash out of the partnership and withdraw at any time, subject to its obligation to compensate the remaining partners for any losses they incur as a result of the breach of the partnership agreement. In this context, whether the “value of [the partner’s] interest in the partnership” is subject to a discount for that partner’s lack of control is the issue now before us.

Here, the majority insists that the “value of [the partner’s] interest in the partnership” could only mean “the price at which [the interest] would change hands between a willing buyer and a willing seller” “as if that interest were being sold piecemeal and the rest of the business continuing as a going concern” (majority op at 296 and 296 n 12). But the majority does not explain why this is so. It may be true that, *if* we were to adhere to this definition, it would lead to the conclusion that minority partnership interests should be discounted for lack of control (*see Estate of Andrews v Commissioner of Internal Revenue*, 79 TC 938, 951-956 [1982], *superseded on other grounds by statute as recognized in Estate of Jelke v Commissioner of Internal Revenue*, 507 F3d 1317 [11th Cir 2007], *reh and reh en banc denied* 277 Fed Appx 977 [11th Cir 2008], *cert denied* 555 US 826 [2008]; *see also* Sandra K. Miller, *Discounts and Buyouts in Minority Investor LLC Valuation Disputes Involving Oppression or Divorce*, 13 U Pa J Bus L 607, 612-614 [2011] [finding that the evidence “leads one to believe that the minority discount is a very real market phenomenon”]). However, it is not clear that this is what the legislature, or the drafters of the Uniform Partnership Act (1914) (UPA), meant by “value.” The plain meaning of the word “value” does not unambiguously point to fair market value, let alone to the majority’s hypothesized condition of a willing buyer, a willing seller, and a “piecemeal” marketing of only one slice of the partnership (*see BFP v Resolution Trust Corporation*, 511 US 531, 535-540 [1994] [rejecting a construction of “reasonably equivalent value” under 11 USC § 548 (a) (2) that would equate “value” with “fair market value”]). As the Supreme Court explained in *BFP*, “market value, as it is commonly understood, has no applicability in the forced-sale context; indeed, it is the very *antithesis* of forced-sale value” (*id.* at 537).¹

1. The federal tax refund cases from which the majority’s “willing-buyer-willing-seller” methodology is appropriated are simply applying a definition of “value” promulgated by the United States Department of the Treasury (*see*

(n. cont’d)

The UPA left it unclear how a wrongful dissolver's buyout price should be calculated or whether any discounts should be applied (see UPA § 38 [2] [c] [II]; Brian Tully, Comment, *Determining the "Fair Value" of a Withdrawing Partner's Partnership Interest: Exploring the Uncharted Alphabet Soup of Texas Partnership Law*, 54 Baylor L Rev 927, 945-949 [2002]). This ambiguity was explored during the process of drafting what would become the Uniform Partnership Act (1997) (Revised Uniform Partnership Act or RUPA), and attempts to arrive at an appropriate definition were made (see Allan Donn, Robert W. Hillman & Donald J. Weidner, *The Revised Uniform Partnership Act* § 701, Authors' Comment 2 [2017-2018 ed]). As the Reporters for the RUPA acknowledged:

"The UPA says little about the buyout of a partner. UPA section 38(2) provides that, if there is a wrongful dissolution, the partners who have not dissolved wrongfully may continue the business 'during the agreed term' if they unanimously agree to do so. To do so, they must 'secure the payment by bond approved by the court, or pay to any partner who has caused the dissolution wrongfully, the value of his interest in the partnership at the dissolution, less any damages recoverable . . . and in like manner indemnify him against all present or future partnership liabilities.' There is no further definition of the buyout in the statute and the case law leaves many uncertainties about how the UPA rules apply." (Donald J. Weidner & John W. Larson, *The Revised Uniform Partnership Act: The Reporters' Overview*, 49 Bus Law 1, 10-11 [1993].)

The RUPA resolved this ambiguity by explicitly defining the "buyout price" of a withdrawing partner as "the amount that would have been distributable to the dissociating partner . . . if, on the date of dissociation, the assets of the partnership

26 CFR 20.2031-1 [b], 25.2512-1; *United States v Cartwright*, 411 US 546, 550-551 [1973]). It is because of these regulations that tax courts permit a discount for lack of control in assessing the "value" of a minority interest (see *Estate of Andrews*, 79 TC at 954-955, [discussing *Bright's Estate v United States*, 658 F2d 999 (5th Cir 1981, en banc)]). "No purpose [would be] served by questioning the wisdom of the hypothetical party standard" in tax refund cases, "because that is the required measure as established by law, and so it will remain unless Congress changes it" (James Edward Harris, *Valuation of Closely Held Partnerships and Corporations: Recent Developments Concerning Minority Interest and Lack of Marketability Discounts*, 42 Ark L Rev 649, 668 [1989]).

were sold at a price equal to the greater of the liquidation value or the value based on a sale of the entire business as a going concern” (RUPA § 701 [b]).² In other words, a dissociating partner would be entitled to its proportionate share in the value of the business as a going concern, set off against contractual damages, but without an individualized inquiry into the marketability of its particular slice of the partnership. Consistent with this definition, the Official Comment stated that “[t]he notion of a minority discount in determining the buyout price is negated by valuing the business as a going concern” (*id.* § 701 [b], Comment). As one leading treatise on the RUPA explained, “[b]y focusing on a top-down valuation keyed to a sale of all of the assets of the partnership, [RUPA] directs the analysis away from a valuation of the interests of a particular partner. Because the valuation inquiry is not directed to the value of an individual interest, a minority discount is inappropriate” (Donn § 701, Authors’ Comment 4).

Although New York has not adopted the RUPA, “[l]egislative inaction is a weak reed upon which to lean in determining legislative intent” (*Flanagan v Mount Eden Gen. Hosp.*, 24 NY2d 427, 433 [1969]). By excluding minority discounts, it does not appear that the drafters of the RUPA necessarily intended a change in the computation of the buyout price. The only departures from the UPA specifically noted in the Official Comment are the exclusion of the goodwill discount and the elimination of a partner’s right to elect profits in lieu of interest under UPA § 42 (*see* RUPA § 701 [b], Comment). A 1986 report by the American Bar Association’s UPA Revision Subcommittee stated that it was “unlikely that a different measure [of value] was intended” between UPA § 38 (2) (c) (II) and (1)—the amounts payable to wrongful and non-wrongful dissolvers, respectively—“and there is no reason for the terms to be different” (UPA Revision Subcommittee of the Committee on Partnerships and Unincorporated Business Organizations, *Should the Uniform Partnership Act Be Revised?*, 43 Bus Law 121, 174-175 and n 119 [1987], citing Judson Adams Crane & Alan R. Bromberg, *Law of Partnership* 476 n 54 [1968]). This would suggest that “value,” under UPA § 38 (2) (c) (II), means a

2. RUPA § 701 is the “counterpart” to UPA § 38 (2) (*see* Larry E. Ribstein, *The Revised Uniform Partnership Act: Not Ready for Prime Time*, 49 Bus Law 45, 66 [1993]). The RUPA, like the UPA, requires this sum to be offset against any damages that a partner must pay for a wrongful dissociation (*see* RUPA § 701 [c]). Unlike the UPA, however, it contains no discount for goodwill (*see id.* § 701 [b], Comment).

pro rata share of the partnership's value as a whole. As another commentator opined, while it was "not clear that the [UPA] mandates a pro rata share," "a strong argument can be made that the 'default' valuation under the [UPA] should be pro rata" (see Larry E. Ribstein, *A Statutory Approach to Partner Dissociation*, 65 Wash U LQ 357, 383 n 85 [1987]). As Professor Ribstein explains:

"Partnership interests, unlike corporate stock, are not normally freely transferable. Giving each partner a right to sell his interest back to the firm, depending on how the buyout price is determined and the transaction costs of exercising the put, serves as a substitute for the efficient market for corporate stock in containing exploitation. In fact, a buyout price that represents the partner's pro rata share of the partnership is a better counter to exploitation than an efficient market price because the pro rata price prevents the controlling faction from taking advantage of its own exploitive conduct by purchasing the minority's interest at a discount." (*Id.* at 382-383 [footnotes omitted].)

Because this valuation would simply entitle the dissolving partner to its allocable share of the value of the partnership as a whole, it would be incompatible with a minority discount (see *Vick v Albert*, 47 AD3d 482, 484 [1st Dept 2008], *lv denied* 10 NY3d 707 [2008]; Weidner & Larson, 49 Bus Law at 11-12).

In the context of corporate appraisals and judicial dissolutions, minority discounts have been soundly rejected in New York and in the vast majority of jurisdictions across the country (see *Matter of Penepent Corp.*, 96 NY2d 186, 194 [2001]; *Matter of Friedman v Beway Realty Corp.*, 87 NY2d 161, 167-170 [1995]; *Matter of Raskin v Walter Karl, Inc.*, 129 AD2d 642, 644 [2d Dept 1987]; *Brown v Arp & Hammond Hardware Co.*, 2006 WY 107, ¶¶ 28-30, 141 P3d 673, 683 [2006] [collecting cases]; Christopher Vaeth, *Propriety of Applying Minority Discount to Value of Shares Purchased by Corporation or its Shareholders from Minority Shareholders*, 13 ALR5th 840 [1993]). In most states, including New York, minority stockholders must receive their "proportionate interest in the going concern value of the corporation as a whole, that is, what a willing purchaser, in an arm's length transaction, would offer for the corporation as an operating business" (*Friedman*, 87 NY2d at 168 [internal quotation marks omitted], quoting *Matter of Pace Photographers*

[*Rosen*], 71 NY2d 737, 748 [1988]; see *Cavalier Oil Corp. v Harnett*, 564 A2d 1137, 1144 [Del 1989]; 2 American Law Institute, Principles of Corporate Governance: Analysis and Recommendations § 7.22 [a] [1994]). This valuation precludes a minority discount because “[a] minority discount would necessarily deprive minority shareholders of their proportionate interest in a going concern” (*Friedman*, 87 NY2d at 169; *Cavalier*, 564 A2d at 1145).

This wealth of corporate cases has produced a number of interlocking rationales for excluding minority discounts. Two primary rationales have emerged from the case law. First, many courts, including this one, have explained that the exclusion is partially motivated by a desire to deter unfair squeeze-outs and safeguard minority shareholders from oppression (see *Friedman*, 87 NY2d at 169-170; *Shawnee Telecom Resources, Inc. v Brown*, 354 SW3d 542, 552-556 [Ky 2011]; *In re Valuation of Common Stock of McLoon Oil Co.*, 565 A2d 997, 1004-1005 [Me 1989]; *Lawson Mardon Wheaton, Inc. v Smith*, 160 NJ 383, 400-401, 734 A2d 738, 748-749 [1999]). The majority may be correct that these concerns are attenuated in the partnership context; a wrongful dissolution happens at the dissolving partner’s initiative and is not necessarily triggered by a sale of the business or a determination that the partnership engaged in misconduct (cf. Business Corporation Law §§ 623, 1104-a; *Hansen v 75 Ranch Co.*, 288 Mont 310, 325, 957 P2d 32, 41 [1998] [(D)iscounts at the shareholder level are inherently unfair to the minority shareholder who did not pick the timing of the transaction and is not in the position of a willing seller”]; *Cavalier Oil*, 564 A2d at 1145 [(T)he appraisal process is not intended to reconstruct a *pro forma* sale but to assume that the shareholder was willing to maintain (its) investment position”). Nevertheless, the dissenter-like status of a dissociating partner should not be completely ignored. By organizing their business as a general partnership, principals sacrifice limited liability and the free transferability of their equity interests in exchange for, among other things, a statutory right to cash out at any time, subject to their obligation to pay damages if the dissolution is wrongful (see Partnership Law § 69; Larry E. Ribstein, *The Evolving Partnership*, 26 J Corp L 819, 823-824, 849-850 [2001]). Imposing too great a punishment for exit “swings the pendulum toward permitting oppression of locked-in partners. Indeed, close corporations were long plagued by such problems” (Ribstein, 26 J Corp L at 851).

“[T]he problem is one of finding the appropriate balance between these costs of exit and of continuity” (*id.* at 850). Again, although New York has not adopted the RUPA, it is noteworthy that “[t]he strong support for the statutory buyout [in the RUPA] was influenced by trends in corporate law providing liquidity for a minority participant who wanted out of the business” (Donn § 701, Author’s Comment 2).

The second rationale transposes much more easily to the partnership context. As many courts have observed, there is an analytical flaw in applying a minority discount where the actual purchasers of the minority interest are the remaining shareholders, rather than a hypothetical “willing buyer.” The purchasers are not entering into a noncontrolling position, but merely consolidating and increasing whatever degree of control they already have over the business. The Montana Supreme Court’s analysis in *Hansen v 75 Ranch Co.* is commonly cited:

“Applying a discount is inappropriate when the shareholder is selling her shares to a majority shareholder or to the corporation. The sale differs from a sale to a third party and, thus, different interests must be recognized. When selling to a third party, the value of the shares is either the same as or less than it was in the hands of the transferor because the third party gains no right to control or manage the corporation. However, a sale to a majority shareholder or to the corporation simply consolidates or increases the interests of those already in control. Therefore, requiring the application of a minority discount when selling to an ‘insider’ would result in a windfall to the transferee. This is particularly true since the transferring shareholder would expect that the shares would have at least the same value in her hands as in the hands of the transferee. . . . Since there is no ‘market’ involved in an inside transfer of shares, the minority discount should not be applied” (*Hansen*, 288 Mont at 325, 957 P2d at 41; *accord Brown*, 2006 WY 107, ¶ 41, 141 P3d at 687; *Arnaud v Stockgrowers State Bank of Ashland, Kan.*, 268 Kan 163, 169, 992 P2d 216, 220 [1999]; *see also Brown v Allied Corrugated Box Co.*, 91 Cal App 3d 477, 486, 154 Cal Rptr 170, 176 [1979] [“It has been noted . . . that the rule justifying the

devaluation of minority shares in closely held corporations for their lack of control has little validity when the shares are to be purchased by someone who is already in control of the corporation. In such a situation, it can hardly be said that the shares are worth less to the purchaser because they are noncontrolling”).

Therefore, when setting the strike price of a forced sale of stock to the majority shareholders, a minority discount would simply transfer wealth from those who do not control the corporation to those who do (*see In re Valuation of Common Stock of McLoon Oil Co.*, 565 A2d at 1005) and would “unfairly enrich[] the majority shareholders,” allowing them to “reap a windfall” (*Friedman*, 87 NY2d at 169, quoting *Cavalier Oil*, 564 A2d at 1145).

Several courts have therefore held that a minority discount should not be applied in valuing a partner’s interest, when the purpose of that valuation is to establish the price at which the interest would be sold back to the partnership. In *Vick v Albert*, an action for partition and sale of partnership assets and an accounting by surviving partners, the First Department held that a discount for minority lack of control would be unavailable (47 AD3d at 483-484). Although the Court acknowledged that the discount would not “undermine the remedial goal of the appraisal statutes to protect shareholders from being forced to sell at unfair values,” it nevertheless held that “application of the discount[] . . . would deprive plaintiffs of the value of the decedent’s proportionate interest in a going concern, since they would not receive what they would have received had the entire entity been sold on the open market unaffected by a diminution in value as a result of a forced sale” (*id.*). Critically, the case hinged on the Court’s construction of Partnership Law § 73, which employs the same key phrasing as section 69 (*see* Partnership Law § 73 [providing that a partner who retires or dies, or such partner’s legal representative, is entitled to “the value of (the partner’s) interest in the dissolved partnership”]).

In *In re Marriage of Branscomb*, a marital dissolution, the court reversed a trial court’s judgment applying a minority discount to a husband’s interest in a partnership (*see* 201 Or App 188, 117 P3d 1051 [2005], *review denied* 339 Or 544, 125 P3d 750 [2005]). The court held that such a discount was inappropriate where, under the terms of the partnership agreement, the husband could not sell his interests on the open mar-

ket, but would instead be required to sell it to his partners, or, if they did not want to buy it, to have the partnership's assets sold as a whole and the proceeds distributed pro rata (*see* 201 Or App at 198-199, 117 P3d at 1058). "In either case, the factual basis for a minority discount would not exist: no buyer would ever be put in the position of owning a minority interest and assuming a minority risk. If the other partners buy husband out, they simply augment their majority status; they would then become sole owners, neither majority nor minority" (201 Or App at 199, 117 P3d at 1058).

In *East Park Ltd. Partnership v Larkin*, the Maryland Court of Special Appeals determined that a minority discount should not be applied when valuing a withdrawing partner's interests under the Maryland Revised Uniform Limited Partnership Act (Md Code Ann, Corps & Ass'ns § 10-101 *et seq.*) (MRULPA) (*see* 167 Md App 599, 893 A2d 1219 [2006], *cert denied* 393 Md 243, 900 A2d 749 [2006]). The MRULPA provided that a limited partner could withdraw at any time, subject to certain conditions and six months' notice, and "receive, within a reasonable time after withdrawal, the fair value of the partner's partnership interest in the limited partnership" (167 Md App at 613, 893 A2d at 1227-1228 [emphasis omitted]; *see* MRULPA §§ 10-603 [b]; 10-604). Although "fair value" was not defined, the court looked to our decision in *Friedman*, as well as the RUPA, for guidance (*see East Park*, 167 Md App at 614-615, 893 A2d at 1228). The court noted that the purpose of the MRULPA provision at issue, like that of the dissenting shareholder statute, was to allow a partner to "cash out" their interests in order to avoid compelling them to "participate in a corporate course they find objectionable" (167 Md App at 620-621, 893 A2d at 1232). Moreover, the interests were not being sold to a hypothetical third party, but were to be "absorbed by the partnership entity" itself (167 Md App at 619, 893 A2d at 1231). Accordingly, the court found the corporate appraisal cases to be on point:

"In both situations, the individuals are exercising a statutory right to withdraw from an entity, and the entity is absorbing the interests of those individuals. . . .

"The application of discounts is appropriate only under a fair market value analysis, that is, in determining what price a willing buyer would offer,

and a willing seller would accept, on the open market. . . . Here, the application of discounts would unjustly enrich the remaining partners of East Park because they would receive the distributions attributable to the Withdrawing Partners' interests; yet, . . . the remaining partners would end up acquiring the interest[s] of the withdrawing partners for less than they were worth if those interests had remained in the hands of the withdrawing partners." (167 Md App at 620-621, 893 A2d at 1231-1232 [internal quotation marks omitted].)

In *Winn v Winn Enters., Ltd. Partnership*, the Arkansas Court of Appeals held that the trial court erred in applying minority discounts in valuing the interests of a withdrawing member of a family limited partnership (see 100 Ark App 134, 265 SW3d 125 [2007]). The court favorably cited *East Park* and the dissenting shareholder cases, noting that "[i]f discounts are applied, the entity obtains the withdrawing shareholder or partner's interest for less than that interest would be worth in the hands of the withdrawing shareholder or partner" (100 Ark App 139-140, 265 SW3d at 128).

Most recently, the Louisiana Supreme Court joined this line of cases when it held that a minority discount should not have been applied to the value of a withdrawing partner's interests in a limited liability partnership (see *Cannon v Bertrand*, 2008-1073 [La 1/21/09], 2 So 3d 393 [2009]). The court held that, while "[m]inority discounts . . . may have a place" under Louisiana law, "such discounts must be used sparingly" (2008-1073 [La 1/21/09], 2 So 3d at 396). Specifically, the court held that it was an abuse of discretion to apply the discount where "[t]he buyers of the partnership interest at issue are the two remaining partners in the partnership," who would "not be subject to a lack of control as would a third party," and where the remaining partners "opt[ed] to continue the partnership and avoid liquidation" (*id.*). Although *Cannon* eschewed a *per se* rule against minority discounts, and although Louisiana is not a UPA state, *Cannon's* reasoning would appear to preclude discounts where, as here, the non-dissolving partners elect to continue the partnership and absorb the wrongfully-dissolving partner's interests.

Although the Supreme Judicial Court of Massachusetts embraced minority discounts under UPA § 38 (2) (see *Anastos*, 443 Mass 146, 819 NE2d 587), *Anastos* was focused on a differ-

ent legal issue. The issue actually presented and analyzed in *Anastos* was whether the partnership should be valued at liquidation value or as a going-concern (*see* 443 Mass at 149-152, 819 NE2d at 590-592). The court correctly concluded that going-concern value, rather than liquidation value, was the appropriate measure, where the remaining partners elect to continue the partnership's existence under UPA § 38 (2) (b) (*see id.*). However, after concluding that the partnership should be valued as a going concern, the court's only discussion of the minority discount issue was its statement that the trial court's "use of a forty per cent minority shareholder discount [was] well supported by the evidence and therefore not clearly erroneous" (443 Mass at 152, 819 NE2d at 592). The *Anastos* court simply assumed that if the partnership were valued as a going concern, rather than at liquidation value, then the interest should be valued piecemeal, rather than as a proportionate share of the *business* as a going concern. The court never explained why this assumption should hold, and, as explained above, cases decided after *Anastos* have challenged it (*see Vick*, 47 AD3d at 483-484; *East Park*, 167 Md App 599, 893 A2d 1219; *Winn*, 100 Ark App 134, 265 SW3d 125).

A number of authorities have criticized the feasibility of applying a minority discount. In the corporate context, "[d]iscounting individual share holdings injects into the appraisal process speculation on the various factors which may dictate the marketability of minority shareholdings" (*Cavalier Oil*, 564 A2d at 1145; *accord HMO-W Inc. v SSM Health Care Sys.*, 234 Wis 2d 707, 720-722, 611 NW2d 250, 256 [2000]).

"Courts have not . . . agreed on a clear standard for the proper discount figure, and they have applied considerably different discounts. Discounting thus complicates judicial [appraisals], and makes it even more difficult for private parties to anticipate likely appraisal practices. Denying a minority discount, on the other hand, comports with fairness, simplifies the valuation process, and facilitates negotiations between parties" (Robert B. Heglar, Note, *Rejecting the Minority Discount*, 1989 Duke LJ 258, 276 [1989]; *see also* Miller, 13 U Pa J Bus L at 635-636 [arguing against minority discounts in limited liability company (LLC) valuation proceedings, because "LLC jurisprudence should be developed in a way that maximizes certainty and

predictability as much as possible” and “the minority discount creates substantial uncertainty in the setting of the LLC”]).

Minority discounts would essentially randomize the partnership’s liability in many wrongful dissolution cases, hindering the dissolving partner’s ability to settle the dispute out of court based on a reliable and predictable computation of the “value of [its] interest.”

Finally, if the purpose of the minority discount is to deter or punish “wrongful” conduct, as the Appellate Division below implied (*see Congel v Malfitano*, 141 AD3d 64, 73 [2d Dept 2016]), then it is certainly a peculiar way to do so. The brunt of this penalty will fall disproportionately on minority partners, the class of partners whose withdrawal is *least* likely to cause a disturbance, but whose exit rights are *most* important, due precisely to their lack of control over the business. This would “inflict[] a double penalty” upon the minority partner (*Brown*, 2006 WY 107, ¶ 30, 141 P3d at 683, quoting *HMO-W*, 234 Wis 2d at 723, 611 NW2d at 257); the partner not only lacks control over operational decision-making, but would then receive less than a proportionate value *because* of that lack of control. Indeed, by the majority’s own logic, if a wrongful dissolver is a majority or controlling partner—precisely the kind of partner whose dissociation will most damage the business—that partner may now be entitled to a *control premium* under Partnership Law § 69 (2) (c) (II), since this would reflect the amount that a willing third-party buyer would pay for a majority stake (*see* majority op at 296 and 296 n 12). The structure of Partnership Law § 69 (2) (c) (II) already deters wrongful dissolution in two ways: by requiring the dissolving partner to pay damages, and by discounting the value of its partnership interests attributable to goodwill. A further discount for a lack of control is cumulative and unnecessary in light of these other provisions.

In defining the “value of [the partner’s] interest in the partnership,” the question does not turn on whether a particular method of valuation is “accurate,” but whether that valuation will lead to an allocation of wealth as between these partners that best advances the legislative scheme. “Value” can mean many different things, and the definition we embrace should be guided by the ends that the legislature sought to implement when it enacted the Partnership Law. Here, the court applied a minority discount of \$1,768,552.50 to appel-

lant's partnership interests, which were stipulated to be worth \$4,850,000 without adjustments (*see* majority op at 284). The question is, in an action for wrongful dissolution, where the partnership is continued as a going concern, which party has the greater right to that \$1,768,552.50 portion of appellant's interests—the controlling partners, or appellant himself? For the reasons discussed above, I believe this question should resolve in appellant's favor, and the order of the Appellate Division should be modified accordingly.

Judges RIVERA, STEIN, GARCIA and WILSON concur; Judge FEINMAN dissents in part in an opinion in which Chief Judge DiFIORE concurs.

Judgment appealed from, and orders of the Appellate Division brought up for review, modified, without costs, by remitting the case to Supreme Court, Dutchess County, for further proceedings in accordance with the opinion herein and, as so modified, affirmed.

[101 NE3d 366, 76 NYS3d 898]

CARLOS RODRIGUEZ, Appellant, v CITY OF NEW YORK, Respondent.

Argued February 14, 2018; decided April 3, 2018

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered September 1, 2016. The Appellate Division order, insofar as appealed from, affirmed, to the extent appealed from by plaintiff, so much of an order of the Supreme Court, New York County (Kathryn E. Freed, J.; op 2014 NY Slip Op 33650[U] [2014]), as had denied plaintiff's motion for partial summary judgment on the issue of liability. The following question was certified by the Appellate Division: "Was the order of Supreme Court, as affirmed by this Court, properly made?"

Rodriguez v City of New York, 142 AD3d 778, reversed.

HEADNOTE

Negligence — Comparative Negligence — Partial Summary Judgment on Issue of Liability — Burden of Proof

To be entitled to partial summary judgment in a comparative negligence case, a plaintiff does not bear the double burden of establishing a prima facie case of defendant's liability and the absence of his or her own comparative fault. Accordingly, the Appellate Division erred in finding that plaintiff was not entitled to partial summary judgment on the issue of liability in his negligence action because he failed to make a prima facie showing that he was free of comparative negligence. Placing the burden on the plaintiff to show an absence of comparative fault is inconsistent with the plain language of CPLR 1412. In adopting a system of pure comparative negligence, New York directed courts to consider a plaintiff's comparative fault only when considering the amount of damages a defendant owes to plaintiff. Requiring plaintiff to show the absence of comparative fault would also defy the plain language of CPLR 1411, and, if adopted, would permit a possible windfall to defendants and violate section 1411's mandate that a plaintiff's comparative fault "shall not bar" recovery and should only go to the diminution of damages recoverable by plaintiff. Moreover, the legislative history of CPLR article 14-A makes clear that a plaintiff's comparative negligence is no longer a complete defense and its absence need not be pleaded and proved by the plaintiff, but rather is only relevant to the mitigation of plaintiff's damages and should be pleaded and proved by the defendant. Finally, where a plaintiff has already established a defendant's liability as a matter of law, granting the plaintiff partial judgment serves the beneficial purpose of focusing the jury on questions and issues that are in dispute.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Negligence §§ 954, 974, 1068.
CARMODY-WAIT 2d Summary Judgment § 39:176.
DOBBS LAW OF TORTS § 220.
McKINNEY'S, CPLR art 14-A; 1411, 1412.
NY JUR 2d Negligence §§ 116, 133, 134.
NEW YORK LAW OF TORTS §§ 11:9, 11:10, 11:12, 20:2, 20:5.

ANNOTATION REFERENCE

See ALR Index under Comparative Negligence; Summary Judgments.

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POINTS OF COUNSEL

Kelner & Kelner, Esqs., New York City (*Joshua D. Kelner* of counsel), for appellant. I. A plaintiff makes out a prima facie showing of entitlement to relief by demonstrating that the defendant's negligence proximately caused his or her injuries, and can obtain summary judgment as to a defendant's liability even if there is an issue of fact as to comparative fault. (*Roman v A1 Limousine, Inc.*, 76 AD3d 552; *Tselebis v Ryder Truck Rental, Inc.*, 72 AD3d 198; *Gonzalez v ARC Interior Constr.*, 83 AD3d 418; *Calcano v Rodriguez*, 91 AD3d 468; *Maniscalco v New York City Tr. Auth.*, 95 AD3d 510; *Capuano v Tishman Constr. Corp.*, 98 AD3d 848; *Simoneit v Mark Cerrone, Inc.*, 122 AD3d 1246; *Pries-Jones v Time Warner Cable, Inc.*, 93 AD3d 1299; *Doody v Gottshall*, 67 AD3d 1347.) II. Plaintiff should have been granted summary judgment on the issue of liability, as defendant was negligent, and its negligence proximately caused his accident. (*Coutrier v Haraden Motorcar Corp.*, 237 AD2d 774; *Sarosy v Scheina*, 225 AD2d 493; *Pfaffenbach v White Plains Express Corp.*, 17 NY2d 132; *Dudley v Ford Credit Titling Trust*, 307 AD2d 911; *Canfield v Giles*, 182 AD2d 1075; *LaMasa v Bachman*, 56 AD3d 340; *Mitchell v Gonzalez*, 269 AD2d 250; *Long v Niagara Frontier Transp. Auth.*, 81 AD3d 1391; *Sheila C. v Povich*, 11 AD3d 120; *Garcia v Verizon N.Y., Inc.*, 10 AD3d 339.)

Zachary W. Carter, Corporation Counsel, New York City (*Richard Dearing, Tahirih M. Sadrieh* and *Claude S. Platton* of counsel), for respondent. I. Issues of fact as to the City of New York's negligence defeat partial summary judgment on liability. (*Vega v Restani Constr. Corp.*, 18 NY3d 499; *Bruni v City of New York*, 2 NY3d 319; *Ugarriza v Schmieder*, 46 NY2d 471; *Kowalsky v Conreco Co.*, 264 NY 125; *Black v Wallace Church Assoc.*, 147 AD3d 668; *Consalvo v City of New York*, 53 AD3d 521; *Wolfe v Teele*, 223 AD2d 854; *Brugnano v Merrill Lynch & Co.*, 216 AD2d 18; *McKenna v Reale*, 137 AD3d 1533; *Desio v Cerebral Palsy Transp., Inc.*, 121 AD3d 1033.) II. Alternatively, issues of fact as to comparative fault also preclude summary judgment. (*Schmidt v Flickinger Co.*, 88 AD2d 1068; *Thoma v Ronai*, 189 AD2d 635, 82 NY2d 736; *Barker v Savage*, 45 NY 191; *Hersh v New York City Tr. Auth.*, 297 AD2d 556; *Cohen v Simmons*, 240 AD2d 191; *Sammis v Nassau/Suffolk Football League*, 95 NY2d 809; *Castiglione v Kruse*, 130 AD3d 957, 27 NY3d 1018; *Alvarez v Prospect Hosp.*, 68 NY2d 320; *Zuckerman v City of New York*, 49 NY2d 557; *Ferrante v American Lung Assn.*, 90 NY2d 623.)

Andrew Zajac, Rona L. Platt, Brendan T. Fitzpatrick and *Lisa L. Gokhulsingh, Amicus Curiae Committee of the Defense Association of New York, Inc.*, and *Heather Wiltshire Clement, Defense Association of New York, Inc.*, for Defense Association of New York, Inc., amicus curiae. I. Summary judgment is appropriate only when no triable issues of fact remain for a jury to resolve. (*Nicholas Di Menna & Sons, Inc. v City of New York*, 301 NY 118; *Fredburn Constr. Corp. v City of New York*, 280 NY 402; *Friends of Animals v Associated Fur Mfrs.*, 46 NY2d 1065; *Zuckerman v City of New York*, 49 NY2d 557; *Andre v Pomeroy*, 35 NY2d 361; *Sillman v Twentieth Century-Fox Film Corp.*, 3 NY2d 395; *Winegrad v New York Univ. Med. Ctr.*, 64 NY2d 851; *Ritt v Lenox Hill Hosp.*, 182 AD2d 560; *Friends of Thayer Lake LLC v Brown*, 27 NY3d 1039.) II. Requiring a plaintiff to demonstrate both the defendant's negligence and freedom from contributory negligence prima facie promotes fairness and conserves judicial resources. (*Solomon v City of New York*, 66 NY2d 1026; *Derdiarian v Felix Contr. Corp.*, 51 NY2d 308; *Nallan v Helmsley-Spear, Inc.*, 50 NY2d 507; *Vanderhurst v Nobile*, 130 AD3d 716; *Koulermos v A.O. Smith Water Prods.*, 137 AD3d 575; *Rodrigues v Lesser*, 136 AD3d 1322; *Schillaci v Sarris*, 122 AD3d 1085; *Jacobsen v New York City Health & Hosps. Corp.*, 22 NY3d 824; *Valerio v Terrific Yellow Taxi Corp.*, 149 AD3d 1140; *Macaluso v Pilcher*, 145 AD3d

1559.) III. If this Court should adopt the dissent's view, then statutory interest should not run from such an award.

OPINION OF THE COURT

FEINMAN, J.

This appeal requires us to answer a question that has perplexed courts for some time: Whether a plaintiff is entitled to partial summary judgment on the issue of a defendant's liability, when, as here, defendant has arguably raised an issue of fact regarding plaintiff's comparative negligence. Stated differently, to obtain partial summary judgment in a comparative negligence case, must plaintiffs establish the absence of their own comparative negligence. We hold that a plaintiff does not bear that burden.

I.

Plaintiff Carlos Rodriguez was employed by the New York City Department of Sanitation (DOS) as a garage utility worker. He was injured while "outfitting" sanitation trucks with tire chains and plows to enable them to clear the streets of snow and ice. The following facts are uncontradicted: On a snowy winter day, plaintiff and his two coworkers were tasked with outfitting sanitation trucks with tire chains and plows at the Manhattan 5 facility. Typically, the driver backs the truck into one of the garage bays, and the driver and other members of the team "dress" the truck. One person acts as a guide, assisting the driver by providing directions through appropriate hand signals while standing on the passenger's side of the truck. Once the truck is safely parked in the garage, the driver, the guide, and the third member of the team (here, plaintiff) place chains on the truck's tires.

At the time of his accident, plaintiff was standing between the front of a parked Toyota Prius and a rack of tires outside of the garage bay while the driver began backing the sanitation truck into the garage. The guide, at some point, stood on the *driver's* side of the sanitation truck while directing the driver in violation of established DOS safety practices. The sanitation truck began skidding and eventually crashed into the front of the parked Toyota Prius, propelling the car into plaintiff and pinning him up against the rack of tires. Plaintiff was taken to the hospital and ultimately had to undergo spinal fusion surgery, a course of lumbar epidural steroid injections, and extensive physical therapy. He is permanently disabled from working.

Plaintiff commenced this negligence action against the City of New York. After discovery, he moved for partial summary judgment on the issue of defendant's liability pursuant to CPLR 3212. Defendant opposed the motion and cross-moved for summary judgment in its favor. Supreme Court denied both motions. In denying plaintiff's motion for partial summary judgment, Supreme Court held that there were triable issues of fact regarding foreseeability, causation, and plaintiff's comparative negligence.¹

The Appellate Division, among other things, affirmed the denial of plaintiff's motion for partial summary judgment (*Rodriguez v City of New York*, 142 AD3d 778 [1st Dept 2016]). The majority, relying on this Court's memorandum decision in *Thoma v Ronai* (82 NY2d 736 [1993]), held that plaintiff was not entitled to partial summary judgment on the issue of liability, because he failed to make a prima facie showing that he was free of comparative negligence. The dissent, relying on the language and purpose of CPLR article 14-A, would have held that plaintiff does not bear the burden of disproving the affirmative defense of comparative negligence, and thus, plaintiff should have been granted partial summary judgment on the issue of defendant's liability (*Rodriguez*, 142 AD3d at 797 [Acosta, J., dissenting]).

The Appellate Division granted plaintiff leave to appeal to this Court (*lv granted* 2016 NY Slip Op 96039[U] [1st Dept 2016]), certifying the following question: "Was the order of Supreme Court, as affirmed by this Court, properly made?"²

1. Defendant moved for summary judgment on the ground that an employee cannot recover for injuries sustained while doing an assigned job, the purpose of which is to eliminate the cause of the injury. However, Supreme Court disagreed and held that defendant was not entitled to dismissal of the complaint, because contrary to defendant's assertion, "the danger of being knocked down by a skidding sanitation vehicle is not an ordinary and obvious hazard of plaintiff's employment," nor is it "inherent in the work of a sanitation worker" (*Rodriguez v City of New York*, 2014 NY Slip Op 33650[U], *7 [Sup Ct, NY County, Oct. 16, 2014, No. 109444/2011, Freed, J.]). The propriety of this ruling is not before us as defendant did not cross-appeal Supreme Court's order.

2. Defendant additionally argues that material issues of fact exist as to its negligence, which bar plaintiff from obtaining partial summary judgment. We do not reach this issue.

The Appellate Division began its analysis by framing the sole issue for resolution as "whether a plaintiff seeking summary judgment on the issue of liability must establish, as a matter of law, that he or she is free from compara-

(n. cont'd)

II.

Whether a plaintiff must demonstrate the absence of his or her own comparative negligence to be entitled to partial summary judgment as to a defendant's liability is a question of statutory construction of the CPLR. The usual rules of statutory construction apply to the provisions of the CPLR (*see e.g. Chianese v Meier*, 98 NY2d 270, 275 [2002]). "In matters of statutory interpretation, our primary consideration is to discern and give effect to the Legislature's intention" (*Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106, 120 [2012]). We look "first to the plain language of the statute[] as the best evidence of legislative intent" (*Matter of Malta Town Ctr. I, Ltd. v Town of Malta Bd. of Assessment Review*, 3 NY3d 563, 568 [2004]).

CPLR 3212, which governs summary judgment motions, provides that "[t]he motion shall be granted if . . . the cause of action . . . [is] established sufficiently to warrant the court as a matter of law in directing judgment in favor of any party" (CPLR 3212 [b]). The motion for summary judgment must also "show that there is no defense to the cause of action" (*id.*). Further, subdivision (c) of the same section sets forth the procedure for obtaining partial summary judgment and states that "[i]f it appears that the only triable issues of fact arising on a motion for summary judgment relate to the amount or extent of damages . . . the court may, when appropriate for the expeditious disposition of the controversy, order an immediate trial of such issues of fact raised by the motion" (CPLR 3212 [c]).

Article 14-A of the CPLR contains our State's codified comparative negligence principles. CPLR 1411 provides that

"[i]n any action to recover damages for personal injury, injury to property, or wrongful death, the

tive fault" (*Rodriguez*, 142 AD3d at 778). To be sure, Supreme Court addressed the issue of defendant's negligence and agreed with defendant that there are questions of fact as to foreseeability and causation. We do not read the Appellate Division's majority decision as reaching the merits of whether there is any question of fact as to defendant's negligence. Both the majority and dissenting opinions at the Appellate Division framed their resolution of this appeal as turning on whether plaintiff bore the burden of proving the absence of comparative negligence. Although the majority's five-page decision contains one sentence that makes a passing reference to defendant's negligence, it is utilized to distinguish a prior case on the issue of comparative negligence as a bar to summary judgment and is not offered as an evaluation of the merits of defendant's alternative argument.

culpable conduct attributable to the claimant or to the decedent, including contributory negligence or assumption of risk, *shall not bar recovery*, but the amount of damages otherwise recoverable shall be diminished in the proportion which the culpable conduct attributable to the claimant or decedent bears to the culpable conduct which caused the damages.” (Emphasis added.)

CPLR 1412 further states that “[c]ulpable conduct claimed in diminution of damages, in accordance with [CPLR 1411], shall be an affirmative defense to be pleaded and proved by the party asserting the defense.”

Placing the burden on the plaintiff to show an absence of comparative fault is inconsistent with the plain language of CPLR 1412. In 1975, New York adopted a system of pure comparative negligence, and, in so doing, directed courts to consider a plaintiff’s comparative fault only when considering the amount of damages a defendant owes to plaintiff. The approach urged by defendant is therefore at odds with the plain language of CPLR 1412, because it flips the burden, requiring the plaintiff, instead of the defendant, to prove an absence of comparative fault in order to make out a *prima facie* case on the issue of defendant’s liability.³

3. Various commentators have pointed out this inconsistency. The late Professor David Siegel, a preeminent expert in New York civil practice, has referred to the approach defendant proposes as “peculiar,” for it “imposes on the plaintiff the burden of establishing . . . freedom from comparative fault even though by statute that’s a burden of both pleading and proof borne by the defendant under the specific terms of CPLR 1412” (Siegel, NY Prac § 280 [5th ed 2011, Jan. 2013 Update]).

Professor Patrick Connors similarly notes:

“CPLR 1412 and the standards of summary judgment appear to require that defendant tender sufficient evidence to support the affirmative defense on the facts of the case. Requiring the plaintiff moving for partial summary judgment on liability to affirmatively establish complete freedom from comparative fault, while allowing defendant to simply contend that plaintiff has committed at least some culpable conduct, appears to tilt the scales too favorably for the defendant” (Patrick M. Connors, *Can Comparative Fault Stop the Train Known as Summary Judgment?*, NYLJ, Jan. 16, 2013 at 3, col 1, at 8, col 3).

Finally, John R. Higgitt writes in the Practice Commentaries to CPLR 3212 that the approach favored by Siegel and Connors, which he refers to as the “Siegel approach,” has appeal for at least two reasons. First, he notes:

“CPLR 1411’s language suggests that a plaintiff seeking partial summary judgment on the issue of the defendant’s liability

(n. cont’d)

Defendant's approach also defies the plain language of CPLR 1411, and, if adopted, would permit a possible windfall to defendants. CPLR 1411 explicitly provides that "[i]n any action to recover damages for personal injury . . . the culpable conduct attributable to the [plaintiff] . . . shall not bar recovery, but the amount of damages otherwise recoverable shall be diminished in the proportion . . . attributable to the claimant." For example, assuming in a hypothetical case a defendant's negligence could be established as a matter of law because defendant's conduct was in violation of a statute (*see* PJI 2:26) and further assuming plaintiff was denied partial summary judgment on the issue of defendant's negligence because plaintiff failed to establish the absence of his or her own comparative negligence, the jury would be permitted to decide the question of whether defendant was negligent and whether defendant's negligence proximately caused plaintiff's injuries. If the jury answers in the negative on the question of defendant's negligence, the plaintiff would be barred from recovery even though defendant's negligence was established as a matter of law and in contradiction to the plain language of CPLR

should not have the burden of showing her freedom from comparative fault . . . If a plaintiff's comparative fault 'shall not bar recovery' but merely diminishes her damages award, then it would seem that the plaintiff should not be required to prove her freedom from comparative fault as a precondition to obtaining partial summary judgment on the issue of the defendant's liability" (John R. Higgitt, *Supp Practice Commentaries*, McKinney's Cons Laws of NY, CPLR C3212:15).

Secondly, he contends that "the Siegel approach provides for harmony between the substantive law of torts and the rules of decision on a plaintiff's motion for partial summary judgment" (*id.*). Higgitt writes:

"A plaintiff is entitled to recover damages in a negligence action if she demonstrates that a defendant's negligence was 'a' proximate cause of the plaintiff's injuries, i.e., that the defendant's negligence was one, not necessarily the only, substantial factor in causing the injuries. Thus, a plaintiff's right of recovery arises on her showing that the defendant was negligent and that the defendant's negligence was a proximate cause of the plaintiff's injuries, and any comparative fault on the plaintiff's part will merely diminish the damages award.

"Under the present rule reflected in the decisions of the First and Second Departments, a plaintiff seeking partial summary judgment on the issue of the defendant's liability is required to prove her freedom from comparative fault. That doesn't seem to jibe with the rule of substantive law providing that a plaintiff is entitled to recover once she establishes that the defendant was negligent and that the defendant's negligence was a proximate cause of the plaintiff's injuries" (*id.* [citation omitted]).

1411. Such a windfall to a defendant would violate section 1411's mandate that a plaintiff's comparative negligence "shall not bar recovery" and should only go to the diminution of damages recoverable by plaintiff. Furthermore, it is no answer to this conundrum that the trial court could set aside the verdict. The whole purpose of partial summary judgment is to streamline and focus the factfinder on the issues that need resolution, and avoid having juries make findings that are contrary to law.

Defendant's attempts to rely on CPLR 3212's plain language in support of its preferred approach are also unavailing. Specifically, defendant points to CPLR 3212 (b), which provides: "[a] motion for summary judgment shall . . . show that there is no defense to the cause of action." Defendant's approach would have us consider comparative fault a defense. But, comparative negligence is *not* a defense to the cause of action of negligence, because it is not a defense to any element (duty, breach, causation) of plaintiff's prima facie cause of action for negligence, and as CPLR 1411 plainly states, is not a bar to plaintiff's recovery, but rather a diminishment of the amount of damages.

The approach we adopt is also supported by the legislative history of article 14-A (see *Matter of Tompkins County Support Collection Unit v Chamberlin*, 99 NY2d 328, 335 [2003] ["(T)he legislative history of an enactment may also be relevant and is not to be ignored, even if words be clear" (internal quotation marks and citations omitted)]). Article 14-A's enactment was proposed by the 1975 Judicial Conference of the State of New York (the Conference) in response to this Court's decision in *Dole v Dow Chem. Co.* (30 NY2d 143 [1972]), which first provided for the apportionment of negligent responsibility among joint tortfeasors. In proposing the section which later became CPLR 1411, the Conference specifically noted that neither the defense of contributory negligence or assumption of risk "shall continue to serve as complete defenses" in negligence actions (21st Ann Rep of NY Jud Conf at 240). In proposing the section which became CPLR 1412, the Conference urged the adoption of the then-majority rule in this country, which provided that "in all negligence actions . . . the defendant claiming contributory negligence of the plaintiff has the burden of showing it" (*id.* at 245). The Conference also observed that the "burden of pleading and burden of proof are usually parallel" and that "[t]his article may be viewed as having created a partial defense, the effect of which is to mitigate damages, and

such defenses traditionally must be pleaded affirmatively” (*id.* at 246).

When article 14-A was proposed in the legislature, the Introducer’s Memorandum before the New York Assembly noted that the then-current system of traditional contributory negligence had “become an obstacle to the dispensing of substantial justice” (Assembly Introducer’s Mem in Support at 1, Bill Jacket, L 1975, ch 69). The purpose of the law was to bring “New York law into conformity with the majority rule and represents the culmination of the gradual but persistent erosion of the rule that freedom from contributory negligence must be pleaded and proven by the plaintiff” (*id.*, citing *Rossman v La Grega*, 28 NY2d 300, 304 [1971]). The legislative history of article 14-A makes clear that a plaintiff’s comparative negligence is no longer a complete defense and its absence need not be pleaded and proved by the plaintiff, but rather is only relevant to the mitigation of plaintiff’s damages and should be pleaded and proved by the defendant.⁴

Resolution of the issue before us necessarily turns on the interpretation and interplay of these various CPLR provisions. In *Thoma v Ronai* (82 NY2d 736 [1993]), this Court held that the plaintiff there did not meet her burden of demonstrating the absence of any material fact; “a factual question of her reasonable care” existed, and thus plaintiff was properly denied summary judgment (*id.* at 737). However, *Thoma* never ad-

4. The dissent points to recently proposed amendments to CPLR 1412, explicitly pronouncing that the party asserting the defense of comparative negligence must interpose proof of such culpable conduct when asserting the defense on a motion for summary judgment, to contend that the legislature is “under the impression” that *Thoma* is the correct and currently binding rule (see dissenting op at 328, citing 2017 NY Senate-Assembly Bill S2057, A2776; 2016 Senate Bill S7779). However, “we have often been reluctant to ascribe persuasive significance to legislative inaction” (*Desrosiers v Perry Ellis Menswear, LLC*, 30 NY3d 488, 497 [2017], quoting *Boreali v Axelrod*, 71 NY2d 1, 13 [1987]; see also *Pension Benefit Guaranty Corporation v LTV Corp.*, 496 US 633, 650 [1990] [“Congressional inaction lacks persuasive significance because several equally tenable inferences may be drawn from such inaction, including the inference that the existing legislation already incorporated the offered change” (internal quotation marks omitted)]). While at times, we have construed legislative inaction “to be some manifestation of legislative approbation” of a lower’s court’s interpretation of a particular statute, that is only the case in “instances in which the legislative inactivity has continued in the face of a prevailing statutory construction” (*Desrosiers*, 30 NY3d at 497; *Brooklyn Union Gas Co. v New York State Human Rights Appeal Bd.*, 41 NY2d 84, 90 [1976]). That is not the case here, where the Appellate Division Departments have struggled to adopt a universal interpretation.

dressed the precise question we now confront. The decision itself never considered the import of article 14-A, and a review of the briefs publicly filed in that case reveal that the plaintiff proceeded on the assumption that if a question of fact existed as to her negligence, summary judgment on the issue of liability would be denied. The plaintiff in *Thoma*, in her limited submissions to this Court, maintained that “[t]he crux of the case is the existence, as a matter of law, of any question of culpable conduct (contributory negligence) by the Plaintiff that would warrant the Trial Court’s denial of summary judgment pursuant to C.P.L.R. § 3212 on the issue of Defendant’s liability” (brief for plaintiff-appellant in *Thoma* at 1). Thus, to the extent that the Departments of the Appellate Division have interpreted *Thoma* as explicitly holding that a plaintiff must show an absence of comparative fault in order to obtain partial summary judgment on liability, such a reading of *Thoma* is mistaken (see *Global Reins. Corp. of Am. v Century Indem. Co.*, 30 NY3d 508, 517 [2017] [(“T)he Court’s holding comprises only those ‘statements of law which address issues which were presented to the (Court) for determination’”], quoting *Village of Kiryas Joel v County of Orange*, 144 AD3d 895, 900 [2d Dept 2016]).⁵

5. The dissenters question our assessment of *Thoma* and assert that our interpretation is “undermined by later case law” (dissenting op at 326). The dissent maintains that in our memorandum decision in *Sammis v Nassau/Suffolk Football League* (95 NY2d 809, 810 [2000]), and summary reversal in *Castiglione v Kruse* (27 NY3d 1018, 1019 [2016], *rearg denied* 28 NY3d 941 [2016]), we reaffirmed the purported procedural rule created by *Thoma*. Notably missing from either of those decisions is any discussion or even citation to *Thoma*. In fact, it appears this Court has never cited *Thoma* for any proposition whatsoever. Neither *Sammis* nor *Castiglione* addressed whether the CPLR requires plaintiffs to show an absence of comparative fault in order to obtain partial summary judgment on the issue of liability. Further, while we reversed the Appellate Division in *Castiglione*, holding that “triable questions of fact preclud[ed] summary judgment in plaintiff’s favor” (27 NY3d at 1019), it is not at all clear whether such questions of fact related to comparative negligence, the defendant’s negligence, or some other issue related to liability. Contrary to the dissenters’ view, neither *Thoma* nor these subsequent decisions created a procedural rule placing the burden on plaintiffs to show an absence of comparative fault in order to obtain partial summary judgment on the issue of defendant’s liability.

It bears noting that initially courts did not even treat *Thoma* as creating a new rule requiring that plaintiffs show an absence of comparative negligence in order to obtain partial summary judgment on the issue of a defendant’s liability. Indeed, at least in the First Department, a majority of the appellate decisions initially refrained from putting such a burden on plaintiffs even af-

(n. cont’d)

On this appeal, plaintiff raises the issue not addressed in *Thoma*. Plaintiff contends, even assuming there is an issue of fact regarding his comparative fault, that he is entitled to partial summary judgment on the issue of defendant's liability. Defendant would have us follow the line of cases that hold that plaintiff bears the burden of disproving comparative fault as a component of establishing his prima facie entitlement to partial summary judgment on the issue of defendant's liability. Defendant points to various instances of plaintiff's conduct in this case and asserts that plaintiff was comparatively negligent. We agree with plaintiff that to obtain partial summary judgment on defendant's liability he does not have to demonstrate the absence of his own comparative fault.

We also reject defendant's contention that granting the plaintiff partial summary judgment on defendant's liability serves no practical purpose. A principal rationale of partial summary judgment is to narrow the number of issues pre-

ter *Thoma* (see e.g. *Pace v Robinson*, 88 AD3d 530 [1st Dept 2001]; *Gonzalez v ARC Interior Constr.*, 83 AD3d 418 [1st Dept 2011]; *Strauss v Billig*, 78 AD3d 415 [1st Dept 2010]; *Tselebis v Ryder Truck Rental, Inc.*, 72 AD3d 198 [1st Dept 2010]). These decisions reasoned, as articulated in *Tselebis*, that placing the burden on plaintiffs to show freedom from comparative negligence as a component of their prima facie showing on summary judgment "cannot be reconciled" with CPLR 1411 and 1412 "if the statute[s] [are] to be given effect" (*Tselebis*, 72 AD3d at 200).

However, in *Roman v A1 Limousine, Inc.* (76 AD3d 552 [2d Dept 2010]), the Second Department parted company with the First Department. That Court explicitly read *Thoma* as creating such a procedural rule, and held that "plaintiff's motion for summary judgment on the issue of liability was properly denied where the plaintiff's submissions failed to eliminate a triable issue of fact regarding her comparative negligence" (*id.* at 553). Since *Roman*, the clear majority (but not all) of Second Department cases have relied on *Thoma* as answering this issue, and have placed the "double burden" on plaintiffs to not only prove the defendant's prima facie negligence as a matter of law, but also prove their own absence of comparative negligence as a matter of law in order to obtain partial summary judgment on the issue of liability.

After *Roman*, the First Department began to reconsider its holding in *Tselebis*, but it appears to remain sharply divided internally over the issue (see e.g. *Calcano v Rodriguez*, 91 AD3d 468 [1st Dept 2012, Catterson, J., concurring]; *Maniscalco v New York City Tr. Auth.*, 95 AD3d 510 [1st Dept 2012, DeGrasse, J., dissenting]; *Capuano v Tishman Constr. Corp.*, 98 AD3d 848 [1st Dept 2012, Acosta, J., concurring]; *Geralds v Damiano*, 128 AD3d 550 [1st Dept 2015, Moskowitz, J., dissenting]). The Fourth Department recently held in *Simoneit v Mark Cerrone, Inc.* (122 AD3d 1246 [4th Dept 2014]), that a plaintiff was entitled to partial summary judgment on the issue of defendant's liability, notwithstanding unresolved questions of fact regarding the plaintiff's comparative fault (see *id.* at 1248).

sented to the jury (*see Janos v Peck*, 21 AD2d 529, 531 [1964], *affd* 15 NY2d 509 [1964]). In a typical comparative negligence trial, the jury is asked to answer five questions:

1. Was the defendant negligent?
2. Was defendant's negligence a substantial factor in causing (the injury or the accident)?
3. Was plaintiff negligent?
4. Was plaintiff's negligence a substantial factor in causing (his or her) own injuries?
5. What was the percentage of fault of the defendant and what was the percentage of fault of the plaintiff?

(PJI 2:36). Where plaintiff has already established defendant's liability as a matter of law, granting plaintiff partial judgment eliminates the first two questions submitted to the jury, thereby serving the beneficial purpose of focusing the jury on questions and issues that are in dispute.

Nor do we agree with defendant that what it characterizes as bifurcation of the issues of defendant's liability from plaintiff's liability runs counter to the Pattern Jury Instructions. When a defendant's liability is established as a matter of law before trial, the jury must still determine whether the plaintiff was negligent and whether such negligence was a substantial factor in causing plaintiff's injuries. If so, the comparative fault of each party is then apportioned by the jury. Therefore, the jury is still tasked with considering the plaintiff's and defendant's culpability together. As a practical matter, a trial court will instruct the jury in a modified version of Pattern Jury Instruction 1:2B that the issue of defendant's negligence, and in some cases, the related proximate cause question, have been previously determined as a matter of law. Trial courts are experienced in crafting such instructions, for example when liability has already been determined in a bifurcated trial, or when an Appellate Division upholds a liability determination and remands solely for a recalculation of damages, or a trial on damages has been ordered pursuant to CPLR 3212 (c).

III.

To be entitled to partial summary judgment a plaintiff does not bear the double burden of establishing a *prima facie* case of

defendant's liability and the absence of his or her own comparative fault. Accordingly, the order of the Appellate Division, insofar as appealed from, should be reversed, with costs, and the case remitted to the Appellate Division for consideration of issues raised but not determined on the appeal to that Court and the certified question answered in the negative.

GARCIA, J. (dissenting). The majority holds that plaintiff's motion for partial summary judgment on liability was improperly denied, notwithstanding issues of fact as to plaintiff's comparative negligence. We disagree. The rule has been, and should remain, that a plaintiff must demonstrate the absence of issues of fact concerning both defendant's negligence and its own comparative fault in order to obtain summary judgment (see *Thoma v Ronai*, 82 NY2d 736 [1993]).

Plaintiff's injury occurred while he was working in a New York City Department of Sanitation garage, as he and his colleagues outfitted sanitation trucks with tire chains and a plow in order to clear snow and ice from the City streets. With the storm ongoing, plaintiff's colleagues were backing a truck into the Department's garage bay when the truck slid several feet and hit a parked car, which skidded forward and hit plaintiff.

Supreme Court rejected both parties' summary judgment motions. In rejecting plaintiff's motion, the court found that there were triable issues of fact as to the City's liability, specifically with respect to causation and foreseeability, as well as plaintiff's comparative fault. The court noted that "[f]oreseeability questions are generally left for the fact finder to resolve" (2014 NY Slip Op 33650[U], *7 [Sup Ct, NY County 2014], citing *Derdiarian v Felix Contr. Corp.*, 51 NY2d 308, 315 [1980]) and that numerous issues of fact remained concerning causation. In addition, the court found that even if defendant's liability was established, "plaintiff would not be entitled to summary judgment as to liability since the question of his comparative fault must be resolved at trial" (2014 NY Slip Op 33650[U], *8).

The Appellate Division upheld Supreme Court's finding of triable issues concerning defendant's negligence. After reviewing the facts, the Appellate Division held that "[u]nder this factual scenario, the trier of fact could determine *that defendant was free from negligence* and that plaintiff was 100% at fault in causing his injuries" (142 AD3d 778, 781 [1st Dept 2016] [emphasis added]). The majority dismisses this aspect of

the Appellate Division's holding as a "passing reference," and, without explanation, determines that this statement "is not offered as an evaluation of the merits of defendant's alternative argument" (majority op at 317 n 2). Here, where the holding of two lower courts calls into question plaintiff's demonstration of defendant's liability as a matter of law, the majority's summary dismissal of this issue is inadequate.¹ In any event, as discussed below, the fact that the City was found to have created an issue of fact as to any liability on its part highlights the unreasonableness of the majority's approach.

Even assuming plaintiff demonstrated the City's liability as a matter of law, our case law requires, as the Appellate Division majority held, that plaintiff's motion for summary judgment be denied. In *Thoma v Ronai*, the Appellate Division denied summary judgment to plaintiff, a pedestrian struck by a car while "lawfully in [a] crosswalk," finding that although plaintiff's "comparative negligence may be found by a jury to be minimal, or even zero . . . the record does not support our finding a total absence of comparative negligence as a matter of law" (189 AD2d 635, 635-636 [1st Dept 1993]). This Court affirmed, holding that plaintiff was not entitled to summary judgment because "[she] did not satisfy her burden of demonstrating the absence of any material issue of fact," namely the "factual question of her reasonable care" (82 NY2d 736, 737 [1993]). The majority rejects *Thoma's* holding because it does not explicitly "address[] [the relevant] CPLR provisions" and presumes that it "never considered the import of article 14-A" (majority op at 321-322). But this questionable assessment of the *Thoma* holding is undermined by later case law. In *Sammis v Nassau/Suffolk Football League*, we reiterated the *Thoma* rule, denying partial summary judgment to plaintiff because "[o]n this record, there exist issues of fact as to comparative fault for a fact finder to consider pursuant to CPLR 1411" (95

1. The majority "do[es] not reach" the issue of whether plaintiff demonstrated defendant's negligence as a matter of law (majority op at 316 n 2). In fact, this question is a preserved issue of law. The majority asserts that the Appellate Division "fram[ed] as] the sole issue for resolution" the question "whether a plaintiff seeking summary judgment on the issue of liability must establish, as a matter of law, that he or she is free from comparative fault" (*id.* at 316-317 n 2). This is not correct. The Appellate Division certified the question "[w]as the order of Supreme Court, as affirmed by this Court, properly made?" (2016 NY Slip Op 96039[U] [1st Dept 2016].) Accordingly, Supreme Court's ruling that plaintiff did not demonstrate defendant's negligence as a matter of law, and the Appellate Division's affirmance on that issue, is properly before us.

NY2d 809, 810 [2000]). More recently, we reviewed a decision of the Appellate Division that, in granting plaintiff's summary judgment motion, attempted to distinguish *Thoma* because "plaintiffs established that the defendant driver was negligent and that the injured plaintiff was free from comparative fault" (*Castiglione v Kruse*, 130 AD3d 957, 958 [2d Dept 2015]). The dissent, in rejecting summary judgment, asserted that the majority "fail[ed] to correctly apply controlling precedent from the Court of Appeals," namely *Thoma's* assessment of a pedestrian's comparative negligence in failing to "look to the sides" while crossing the street (*id.* at 960-961 [Dillon, J., dissenting]). We reversed, holding that "triable questions of fact preclude summary judgment in plaintiffs' favor" (*Castiglione v Kruse*, 27 NY3d 1018, 1019 [2016]). The rule set out is clear, and speculation as to what the Court "considered"—or in other words, the suggestion that we did not mean what we said—does not mask the fact that the majority is overruling this line of cases.

Accordingly, the issue of whether a plaintiff is entitled to summary judgment without showing freedom from comparative fault is settled, and the Appellate Division Departments have, for the most part, been applying that precedent. Since *Thoma*, each Department has held that a plaintiff is precluded from obtaining summary judgment where issues of fact exist concerning comparative fault (*see e.g. Piscitello v Fortress Trucking, Ltd.*, 118 AD3d 1441 [4th Dept 2014]; *Calcano v Rodriguez*, 91 AD3d 468 [1st Dept 2012]; *Roman v A1 Limousine, Inc.*, 76 AD3d 552 [2d Dept 2010]; *Rigney v Ichabod Crane Cent. School Dist.*, 59 AD3d 842 [3d Dept 2009]). Moreover, in other contexts, each Department has ruled that a plaintiff has the burden of demonstrating the absence of issues of fact as to affirmative defenses to obtain summary judgment (*see e.g. Morley Maples, Inc. v Dryden Mut. Ins. Co.*, 130 AD3d 1413 [3d Dept 2015]; *Ahmad v City of New York*, 129 AD3d 443, 444 [1st Dept 2015]; *Jessabell Realty Corp. v Gonzales*, 117 AD3d 908, 909 [2d Dept 2014]; *Birt v Ratka*, 39 AD3d 1238, 1239 [4th Dept 2007]). Conversely, the majority's approach, granting summary judgment without eliminating issues of fact concerning plaintiff's comparative fault, has only been taken by a minority of judges in the First Department (*Gonzalez v ARC Interior Constr.*, 83 AD3d 418 [1st Dept 2011]; *Tselebis v Ryder Truck Rental, Inc.*, 72 AD3d 198 [1st Dept 2010]; *Strauss v Bilig*, 78 AD3d 415 [1st Dept 2010]), and has been expressly

rejected within the First Department since those cases (*see Calcano*, 91 AD3d at 469 [“Although this Court departed from the *Thoma* holding in *Tselebis* . . . we respectfully decline to follow *Tselebis*”]).²

Similarly, the legislature is under the impression that *Thoma* is the applicable rule and has declined to change it.³ Attempts have been made to amend the comparative fault statute to place on a defendant opposing summary judgment “the burden of interposing proof of culpable conduct” (*see* 2017 NY Senate Bill S2057; 2016 NY Senate Bill S7779; *see also* Mem in Support, 2017 NY Assembly Bill A2776 [proposing amendment to impose on defendant at summary judgment the burden of producing enough evidence of plaintiff’s comparative fault to raise a genuine issue of fact]). Such attempts at legislative reform would be unnecessary if plaintiffs were entitled to summary judgment despite the existence of issues of fact concerning comparative fault. As defendant points out, these proposed bills would still preclude summary judgment where “defendant presents evidence of plaintiff’s comparative fault sufficient to raise a question of fact” after a plaintiff has demonstrated defendant’s liability as a matter of law (*see* Mem in Support, 2017 NY Assembly Bill A2776). The majority’s approach goes well beyond these proposals, enabling a plaintiff to obtain summary judgment even where, as happened here, a defendant

2. This approach has been partially followed in the Fourth Department, with some courts granting partial summary judgment on defendant’s breach of the duty of care, but leaving for the jury the question of proximate cause (*Simoneit v Mark Cerrone, Inc.*, 122 AD3d 1246, 1248 [4th Dept 2014]).

3. The majority cites *Desrosiers v Perry Ellis Menswear, LLC* (30 NY3d 488, 497 [2017]) for the principle that “we have often been reluctant to ascribe persuasive significance to legislative inaction,” but more relevant language follows, distinguishing

“instances in which the legislative inactivity has continued in the face of a prevailing statutory construction. . . . Stated another way, it is a recognized principle that where a statute has been interpreted by the courts, the continued use of the same language by the Legislature subsequent to the judicial interpretation is indicative that the legislative intent has been correctly ascertained” (*id.* [internal quotation marks and citations omitted]).

This is particularly true where “the Legislature, with presumed knowledge of the judicial construction of a statute, [forgoes] specific invitations and requests to amend its provisions to effect a different result” (*id.*, quoting *Matter of Alonzo M. v New York City Dept. of Probation*, 72 NY2d 662, 667 [1988]). Here, the legislative history in support of these amendments specifically refers to our prior determination and provides that “this amendment would not overrule *Thoma*” (Mem in Support, 2017 NY Assembly Bill A2776).

has demonstrated that plaintiff's comparative fault may be significant.

The *Thoma* rule, denying summary judgment where there are triable issues concerning comparative fault, is not only the established rule, it is the fairer outcome. We have previously held that comparative fault must be analyzed from a holistic perspective (see *Arbegast v Board of Educ. of S. New Berlin Cent. School*, 65 NY2d 161, 168-169 [1985] [the comparative fault analysis requires a court to consider "the culpable conduct attributable to the (plaintiff as) compared with the total culpable conduct which caused the damages" and to "fix the relationship of each party's conduct to the injury sustained"]]). Determinations of degrees of fault should be made as a whole, and assessing one party's fault with a preconceived idea of the other party's liability is inherently unfair; or, as the Appellate Division characterized it, a defendant would "enter[] the batter's box with two strikes already called" (142 AD3d at 782). Indeed, as the Appellate Division also noted, the Pattern Jury Instructions advise that a jury consider both parties' liability together (see PJI 2:36). This is because the issues of defendant's liability and plaintiff's comparative fault are intertwined. A jury cannot fairly and properly assess plaintiff's comparative fault without considering defendant's actions (see e.g. Siegel, Practice Commentaries, McKinney's Cons Laws of NY, CPLR C3212:24 [noting that "(n)o purpose (is) served by the granting of summary judgment" where "the proof that would go into the damages question substantially overlaps that on which liability depends"]]). The facts of this case—which two courts have found created an issue of fact as to any liability on the part of defendant—highlight the unfairness of the majority's new rule (see e.g. *Ugarriza v Schmieder*, 46 NY2d 471, 474-475 [1979] ["Negligence cases by their very nature do not usually lend themselves to summary judgment, since often, even if all parties are in agreement as to the underlying facts, the very question of negligence is itself a question for jury determination"]]).

Simultaneous consideration by the jury of both parties' level of culpability is also the more practical approach. Indeed, "few, if any, litigation efficiencies are achieved by the entry of partial summary judgment in this context because the defendant would still be entitled, at trial, to present an all-out case on the plaintiff's culpable conduct" (Vincent C. Alexander, Practice Commentaries, McKinney's Cons Laws of NY, Book 7B, CPLR 1412). In the event that plaintiff obtained partial summary

judgment without removing issues of comparative fault, a jury would still be required to assess plaintiff's degree of liability, and then make a damages determination in a subsequent proceeding. Such an inefficient approach would dispose of any benefits to be gained in granting partial summary judgment (see e.g. *E.B. Metal & Rubber Indus. v County of Washington*, 102 AD2d 599, 602-603 [3d Dept 1984] ["Granting plaintiffs' motions (for partial summary judgment) would be illusory and would spare neither the court's nor the litigants' time and effort. The issue of plaintiffs' comparative negligence would still need to be resolved, which resolution would require a comparison of the parties' culpable conduct"]). The majority promotes its approach by pointing to the "eliminat[ion]" of the first two questions a jury must answer in a "typical comparative negligence trial" (majority op at 324). But these questions would not be eliminated by a grant of partial summary judgment, as an assessment of defendant's negligence would be required in order for the jury to determine comparative fault and damages.

Nor is our approach barred by the statutory language of CPLR article 14-A. Requiring a plaintiff to show freedom from comparative fault in advance of obtaining summary judgment does not "bar recovery" in derogation of article 14-A. Before the enactment of article 14-A, a plaintiff was unable to obtain recovery of any sort where he or she was in any way culpable (*Fitzpatrick v International Ry. Co.*, 252 NY 127, 133-134 [1929] ["At common law a person has no cause of action for negligence, if he himself has contributed, in the slightest degree, to bring it about"]). Article 14-A enables a plaintiff to *recover* despite comparative fault (see *Arbegast*, 65 NY2d at 167 [article 14-A "permit(s) partial recovery in cases in which the conduct of each party is culpable"]). It does not mandate that courts grant partial summary judgment on liability to plaintiffs who are comparatively at fault, as the majority's approach would require. The comparative fault statute simply provides that a plaintiff is entitled to recover a certain amount of damages, to be determined by a jury, even in cases where plaintiff has engaged in some degree of culpable conduct. This requires that each party's culpability be assessed and liability determined before judgment is granted (see *id.* at 168 ["(W)hat the statute requires comparison of is not negligence but conduct which, for whatever reason, the law deems blameworthy, in order to fix the relationship of each party's conduct to the injury sustained and the damages to be paid by the one and received by the other as recompense for that injury"]).

The majority repeatedly speaks to the “double burden” our approach would place on defendant. But there is no unfair tipping of the scales. Plaintiff in his moving papers made a blanket assertion of freedom from any comparative negligence and defendant, in response, came forward with extensive evidence of plaintiff’s comparative fault. Plaintiff’s burden was merely that placed on any party moving for summary judgment—to demonstrate a lack of triable issues of fact. In that, plaintiff failed.

Judges RIVERA, FAHEY and WILSON concur; Judge GARCIA dissents in an opinion in which Chief Judge DiFIORE and Judge STEIN concur.

Order, insofar as appealed from, reversed, with costs, case remitted to the Appellate Division, First Department, for consideration of issues raised but not determined on the appeal to that Court and certified question answered in the negative.

[101 NE3d 379, 76 NYS3d 911]

In the Matter of FMC CORPORATION, Respondent, v NEW YORK
STATE DEPARTMENT OF ENVIRONMENTAL CONSERVATION, Ap-
pellant.

Argued March 21, 2018; decided May 1, 2018

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the Third Judicial Department, from an order of that Court, entered October 20, 2016. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Albany County (Raymond J. Elliott, III, J.), entered in a CPLR article 78 proceeding, which had granted respondent's motion to dismiss the petition; (2) denied the motion; (3) granted the petition; and (4) remitted the matter to respondent for further proceedings not inconsistent with the Court's decision. The following question was certified by the Appellate Division: "Did this Court err, as a matter of law, in reversing, on the law, the judgment of Supreme Court which granted respondent's motion to dismiss the petition, denying the motion, granting the petition and remitting the matter to respondent for further proceedings not inconsistent with this Court's decision?"

Matter of FMC Corp. v New York State Dept. of Envtl. Conservation, 143 AD3d 1128, reversed.

HEADNOTES

Environmental Conservation — Hazardous Waste — Cleanup of Hazardous Waste Disposal Sites — Department of Environmental Conservation's Power to Unilaterally Select Remedial Plan and Use Hazardous Waste Remedial Fund to Pay for Work

1. In a proceeding by petitioner, the owner and operator of a pesticide production facility operating under interim status (ECL 27-0913 [1] [b]) that had released significant quantities of hazardous wastes, to contest respondent Department of Environmental Conservation's (DEC) decision that it would unilaterally undertake a corrective measure it had created to remediate three parcels of properties adjacent to the facility without offering petitioner a hearing, the Appellate Division erred in concluding that DEC was foreclosed from unilateral action under ECL article 27, title 9. The conclusion that an entity with a permit or permission to operate under interim status could not, as a matter of law, violate the provision prohibiting possessing, disposing of or dealing in hazardous wastes without authorization (ECL 27-0914) was error. Under ECL 27-0913 (1) (a), permittees and prospective permittees, including those operating under interim status, may be ordered to undertake "corrective action, including corrective action beyond the facility boundary

where necessary to protect human health and the environment, for all releases of hazardous waste.” Further, section 27-0916 (1) authorizes DEC to use the state superfund “to clean up or return to its original state any area where hazardous wastes were disposed, possessed or dealt in unlawfully in violation of section 27-0914.” Nothing in the ECL or the superfund statute requires DEC to defer its own use of superfund money to clean up a hazardous waste site until it has first ordered a violator to take corrective action or provided that violator with a hearing. Moreover, section 27-0914 prohibits possessing, disposing of or dealing in hazardous wastes “without authorization.” “Authorization” means not merely possessing a permit, but acting pursuant to permit authority. The only reasonable interpretation consistent with the statutory scheme and legislative purposes is that permittees and prospective permittees who exceed terms of their permit or violate the performance standards required for those operating under interim status violate section 27-0914.

Environmental Conservation — Hazardous Waste — Cleanup of Inactive Hazardous Waste Disposal Sites — Department of Environmental Conservation’s Power to Unilaterally Select Remedial Plan and Use Hazardous Waste Remedial Fund to Pay for Work

2. Respondent Department of Environmental Conservation (DEC) was authorized under ECL article 27, title 13 to, unilaterally and without a hearing, use state superfund money to undertake a corrective measure it had created to remediate three parcels of properties adjacent to a pesticide production facility owned and operated by petitioner, which had been listed on the state registry of inactive hazardous waste sites, based on the interpretation of ECL 27-1313 (5) (d) adopted by both parties. Under ECL 27-1313 (3) (a), DEC is authorized to order owners, operators, or other parties responsible for an inactive hazardous waste disposal site constituting a significant threat to the environment to design and implement a DEC-approved remedial program. While section 27-1313 (4) provides that orders may be issued only after parties who may be subject to them are afforded notice and an opportunity for a hearing, DEC is also authorized to develop and implement remedial programs in the event the responsible party is unknown, unable or unwilling to ameliorate the situation. Both parties agreed that ECL 27-1313 (5) (d) authorizes unilateral agency action in every case where DEC determines that action is cost-effective. Section 27-1313 (5) (d), however, entrusts cost-effectiveness determinations to the discretion of the DEC and declines to require DEC to substantiate its findings in writing. Thus, DEC’s decision to proceed unilaterally demonstrated that it determined that path was cost-effective. DEC conducted year-long unsuccessful negotiations to obtain petitioner’s agreement to perform the work deemed necessary by DEC. Those negotiations exceeded the additional conditions imposed by the superfund statute that, absent exigent circumstances, DEC must have first made all reasonable efforts to secure voluntary agreement from owners to pay the costs of the necessary remedial actions. In its attempt to contradict the presumption that DEC’s action was reasonable under the circumstances, petitioner proffered nothing more than a conclusory allegation that private action is always cheaper than public action.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Pollution Control §§ 143, 1055, 1056.

McKINNEY'S, ECL 27-0913, 27-0914, 27-0916 (1); 27-1313, 71-2702 (3).

NY JUR 2d Environmental Rights and Remedies §§ 264, 275, 283, 286.

ANNOTATION REFERENCE

See ALR Index under Environmental Law; Hazardous Substances and Waste; Superfund.

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POINTS OF COUNSEL

Eric T. Schneiderman, Attorney General, Albany (Frederick A. Brodie, Barbara D. Underwood, Andrea Oser and Maureen F. Leary of counsel), for appellant. I. Title 9 of article 27 of the Environmental Conservation Law authorized the New York State Department of Environmental Conservation to use the state superfund to clean up pollution caused by FMC Corporation's facility. II. Title 13 of article 27 of the Environmental Conservation Law independently authorized the New York State Department of Environmental Conservation to undertake the subject cleanup using the state superfund, without first affording FMC Corporation an administrative hearing. (Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib., 2 NY3d 249; Matter of New York State Superfund Coalition, Inc. v New York State Dept. of Env'tl. Conservation, 18 NY3d 289; Town of Moreau v New York State Dept. of Env'tl. Conservation, 178 Misc 2d 56; State of New York v Moulds Holding Corp., 196 F Supp 2d 210; State of New York v Almy Bros., Inc., 866 F Supp 668; Washington State Dept. of Transp. v Washington Natural Gas Co., Pacificorp, 59 F3d 793; Matter of Bell Petroleum Servs., Inc., 3 F3d 889.)

Greenberg Traurig, LLP, Philadelphia, Pennsylvania (David G. Mandelbaum, of the Pennsylvania bar, admitted pro hac vice, and Caleb J. Holmes of counsel), and Hodgson Russ, LLP, Buffalo (Julia M. Hilliker and Rick W. Kennedy of counsel), for respondent. I. The Appellate Division, Third Department properly held that the New York State Department of Environmental Conservation's decision to proceed unilaterally to implement CMA 9 using state funds was arbitrary and capricious.

(*Matter of Thompson Corners, LLC v New York State Dept. of Envtl. Conservation*, 119 AD3d 81; *Matter of New York State Superfund Coalition, Inc. v New York State Dept. of Envtl. Conservation*, 18 NY3d 289; *Matter of Lashins Arcade Co. v Jorling*, 221 AD2d 533; *Matter of Robinson & Co. v Marsh*, 227 AD2d 953; *People v Argyris*, 24 NY3d 1138; *People v McLean*, 15 NY3d 117.) II. Following the statutory procedures would not undermine any public policies, and indeed would promote better decisionmaking and earlier, more effective cleanups. (*Megh-rig v KFC Western, Inc.*, 516 US 479; *Butz v Economou*, 438 US 478; *Mathews v Eldridge*, 424 US 319; *Hallstrom v Tillamook County*, 493 US 20; *Consumer Product Safety Comm'n v GTE Sylvania, Inc.*, 447 US 102.)

OPINION OF THE COURT

WILSON, J.

The Appellate Division held that neither title 9 nor title 13 of article 27 of the Environmental Conservation Law authorized respondent Department of Environmental Conservation (DEC) to unilaterally remediate the significant threat posed by hazardous wastes petitioner FMC Corporation (FMC) had released onto neighboring properties. We conclude that the Appellate Division erred in foreclosing the possibility that title 9 authorized DEC's unilateral action and that the interpretation of title 13 adopted by both parties authorized DEC's unilateral remediation effort. We therefore reverse the Appellate Division's order and dismiss FMC's CPLR article 78 petition.

I. Background

FMC owns and operates a 103-acre pesticide production facility in Niagara County. Over nearly a century of operation, that facility has released significant quantities of hazardous wastes including arsenic, lead, cyanide, acetone, DDT, and carbofuran. Many of those wastes have migrated onto adjacent properties including a school, recreational watercourses, croplands, and several hundred residences. FMC continues to store hazardous wastes and to formulate pesticides on the site.

DEC's substantial involvement with the facility dates back to 1980 and proceeds under two separate titles of article 27 of the Environmental Conservation Law. In that year, FMC initiated a permit application process with DEC and the U.S. Environmental Protection Agency (EPA) under title 9, which regulates the active generation, storage, and disposal of haz-

ardous wastes, and under its federal counterpart, the Resource Conservation and Recovery Act (42 USC § 6901 *et seq.* [RCRA]). Thirty-eight years later, that process has not yet resulted in a permit; instead, the facility has operated all that time on interim status. Also in 1980, DEC listed a portion of the facility on the New York Registry of inactive hazardous waste sites under title 13, which regulates those inactive sites. DEC later substantially expanded the boundaries of the Registry listing and classified the facility as one posing a “[s]ignificant threat to the public health or environment—action required” (ECL 27-1305 [2] [b] [2]).

The title 9 permitting process requires applicants to undertake corrective actions for all releases of hazardous waste (ECL 27-0913). As part of that process, FMC entered into a 1991 consent order with DEC and the EPA that required it to undertake a variety of obligations, including the preparation of a corrective measures study. The 1991 order did not require FMC to undertake a particular corrective measure. Instead, it contemplated that the EPA, which later delegated its authority to DEC, would use the study prepared by FMC to help inform its selection of a final corrective measure. In 2013, DEC adopted a final corrective measure—CMA 9—in a lengthy Final Statement of Basis laying out the reasons for its decision. CMA 9 applies to three parcels of properties adjacent to the FMC facility: a schoolyard, a culvert, and a residential neighborhood. FMC, in its corrective measures study, proposed eight different options for remediation, labelled CMAs 1 through 8. DEC found that none of FMC’s proposals sufficiently ameliorated the threat posed by FMC’s releases of hazardous wastes, and created CMA 9 by combining CMAs 2 and 8. For the following year, DEC attempted to negotiate a new consent order obligating FMC to implement CMA 9. When those negotiations failed, DEC announced it would undertake the corrective measure itself and seek to recover its associated expenses from FMC after the fact. FMC filed this article 78 petition contesting DEC’s decision.

In its petition, FMC asserted four causes of action. The first two, which the Appellate Division rejected, made essentially procedural objections to DEC’s Statement of Basis, claiming it should have been promulgated pursuant to the federal Resource Conservation and Recovery Act instead of the New York Environmental Conservation Law and that DEC had denied FMC recourse to the dispute resolution mechanisms contained

in the 1991 order. The fourth, which the Appellate Division did not reach, alleged that DEC's selection of CMA 9 instead of any of the eight alternatives FMC had suggested was arbitrary and capricious. FMC does not pursue any of those causes of action here.

FMC's arguments are limited to its third cause of action, which alleges that DEC's decision to implement CMA 9 unilaterally, rather than through FMC, was arbitrary and capricious. The Appellate Division, after reversing Supreme Court's order dismissing the petition as untimely, held that DEC's decision to implement CMA 9 itself was arbitrary and capricious, and granted FMC's petition on that basis (*Matter of FMC Corp. v New York State Dept. of Env'tl. Conservation*, 143 AD3d 1128, 1135 [3d Dept 2016]). It later granted DEC's motion for permission to appeal to this Court (*Matter of FMC Corp. v New York State Dept. of Env'tl. Conservation*, 2017 NY Slip Op 63646[U] [3d Dept 2017]).

II. Discussion

The parties agree that DEC had several options through which it could have sought an order requiring FMC to undertake CMA 9 (*see e.g.* ECL 27-1313 [3] [a]; 71-2727). They also agree that those options would have provided FMC with the opportunity for a hearing prior to the implementation of that corrective measure, whereas DEC's decision to conduct the remediation itself left FMC with only two avenues for challenging DEC's decision: this CPLR article 78 proceeding and any cost recovery action DEC may bring under our Environmental Conservation Law or the federal Comprehensive Environmental Response, Compensation, and Liability Act of 1980 (CERCLA) (*see* ECL 71-2705 *et seq.*, 71-2723; 42 USC § 9607 [a] [4] [A]). Finally, they agree that there are circumstances under which titles 9 and 13 authorize DEC to undertake the corrective measure itself, without first providing FMC—which is not being ordered to take any action or to suffer any activity on its property—with the opportunity for a hearing. This case turns on whether either of those circumstances is present.

A. Title 9

Title 9 regulates hazardous wastes “now being generated and sites now being used for disposal of such wastes” (L 1979, ch 282, § 1). It requires any person generating, transporting, treating, storing, or disposing of hazardous wastes to obtain a

permit to do so (ECL 27-0913 [1] [a]). Although new facilities are required to obtain permits before commencing operation, certain legacy operators doing business at the time of the title's effective date can continue operating during a period of interim status pending the final disposition of their permit applications (*id.* § 27-0913 [1] [b]; 6 NYCRR 373-1.3). Interim status "is a temporary measure designed to phase existing facilities into compliance with permit requirements" (6 NYCRR 373-1.3 [a]). As such, it is "conditioned upon compliance with performance standards" set forth at length in 6 NYCRR 373-3.1 through 373-3.31 and may be "modified, suspended or revoked in a manner similar to a permit" (*id.*). However, it "shall not be deemed to be a permit" (ECL 27-0913 [1] [b]). Permittees and prospective permittees, including those operating under interim status, may be ordered to undertake "corrective action, including corrective action beyond the facility boundary where necessary to protect human health and the environment, for all releases of hazardous waste" (*id.* § 27-0913 [1] [a]; *see id.* § 71-2727 [3]).

The permitting scheme is augmented by DEC's authority to seek substantial civil and criminal penalties against violators and by its having the funds and flexibility required to clean up violations. Section 27-0914 prohibits "possess[ing] . . . dispos[ing] of . . . [or] deal[ing] in hazardous wastes without authorization." Title 71 contains the penalties for doing so, which can include fines and damages payable to the state superfund (*id.* §§ 71-2705, 71-2723). Section 27-0916 (1) authorizes DEC to use that superfund "to clean up or return to its original state any area where hazardous wastes were disposed, possessed or dealt in unlawfully in violation of section 27-0914." Nothing in the Environmental Conservation Law or the superfund statute requires DEC to defer its own use of superfund money to clean up a hazardous waste site until it has first ordered a violator of title 9 to take corrective action or provided that violator with a hearing. All DEC must do to unilaterally remediate a site, and to use superfund monies to do so, is determine that section 27-0914's terms were violated.

Here, DEC maintains that it was authorized to undertake CMA 9 because FMC had unlawfully disposed of hazardous waste, including through a number of releases between 1980 and the present. The Appellate Division disagreed. Instead, it held, FMC was "operating lawfully pursuant to its 'interim status'" "at all relevant times" (*FMC Corp.*, 143 AD3d at 1134).

[1] The conclusion that an entity with a permit or permission to operate under interim status cannot, as a matter of law,

violate section 27-0914 was error. That section prohibits possessing, disposing of, or dealing in hazardous wastes “without authorization.” “Authorization” means “the possession . . . of a valid license, permit or certificate . . . or an order issued by the commissioner . . . regarding the possession or release of hazardous . . . wastes . . . or otherwise engaging in conduct which is exempt under applicable statutes, rules or regulations from the requirements of possessing such a license, permit, certificate or order” (ECL 71-2702 [3]).¹ Although the Appellate Division understood the mere possession of a permit or its analog to authorize behavior of any kind, the more natural understanding is that the possession of a permit authorizes a person to possess, dispose of, or deal in hazardous wastes only in accordance with the terms of that permit. That interpretation is supported by the legislative history, including by a memorandum from DEC (one of title 9’s principal drafters) that describes the law as defining “authorization” to mean not merely possessing a permit, but “acting pursuant to permit authority” (Bill Jacket, L 1981, ch 719 at 26). In contrast, the Appellate Division’s interpretation would—for instance—allow an operator who had a permit to transport hazardous wastes to a treatment facility but chose to instead dump those wastes into a stream or field to escape being convicted under section 27-0914 and thus bearing the costs of remediation under section 71-2723; prevent DEC from remediating violations, however imminently dangerous, caused by a permittee who willfully contravened the terms of its permit and refused to perform the cleanup itself; and, when applied to several of article 71’s felony provisions, which share a definition of “authorization” with section 27-0914, free permittees to deal unlawfully in hazardous wastes (*see e.g.* ECL 71-2717). The only reasonable interpretation consistent with the statutory scheme and legislative purpose is that permittees and prospective permittees who exceed the terms of their permit or violate the performance standards required of those operating under interim status violate section 27-0914.

Although FMC’s interim status did not provide it a safe harbor, a reversal of the Appellate Division on that point would

1. Although interim status “shall not be deemed to be a permit” and is not granted by way of “an order issued by the commissioner,” conduct in compliance with the performance standards for interim status is “exempt . . . from the requirements of possessing” a permit (ECL 27-0913 [1] [b]; 71-2702 [3]; *see also* 71-2720 [1]).

merely present the central question: did DEC demonstrate a basis for finding that FMC released hazardous wastes in violation of section 27-0914? Perhaps recognizing the fragility of the Appellate Division's interpretation, FMC now argues that sections 27-0914 and 27-0916, which were enacted in 1981, apply only prospectively.² In addition to that legal dispute over at what point disposals became unlawful under section 27-0914, there is a dispute as to what if any hazardous wastes contaminated the relevant properties after that point. The resolution of those disputes governs not only whether DEC may act, but also to what extent; under title 9, DEC is authorized to return areas only to "the reasonably ascertainable condition of the property immediately prior to the unlawful act or if impracticable to determine such condition . . . to a reasonably sound environmental condition" (*id.* § 27-0916 [1]).

Were title 9 DEC's only avenue of recourse, those disputes would have to be resolved. However, it is usually not our function to evaluate the sufficiency of such evidence in the first instance. Here, DEC also relied upon title 13, to which we now turn.

B. Title 13

Unlike title 9, which regulates working industrial facilities, title 13 concerns inactive hazardous waste disposal sites. Remedial programs—title 13's equivalent to title 9's corrective actions—at those sites are governed by section 27-1313. That section authorizes DEC to order the owners, operators, or other parties responsible for an inactive hazardous waste disposal

2. FMC does not dispute that any "prospective" release of hazardous wastes would violate the performance standards governing interim status. However, it is not clear what "prospectively" means. The sections may apply to violations that occurred after the relevant regulations were promulgated or after either the specific sections or the title generally was enacted. They may also apply (as the contemporary definition of "[a]uthorization" would suggest) to violations of requirements "set forth in statute, rule or regulation," including statutes such as RCRA or the Clean Water Act (33 USC § 1251 *et seq.*) that predate title 9 (L 1981, ch 719, § 12)—or, in light of the sweeping corrective actions title 9 authorizes DEC to order, to violations that would have sounded in nuisance or trespass at the common law and are now codified in the straightforward restrictions of section 27-0914. Guides to how best to interpret the sections may be found in our statutes, including title 9's interplay with title 13's careful scheme for legacy sites, in their legislative history, and in their federal counterparts, but we do not attempt to resolve that question here, because it is unnecessary to our decision and scantily briefed by the parties.

site constituting a significant threat to the environment to design and implement a DEC-approved remedial program (ECL 27-1313 [3] [a]). FMC is such an owner/operator. Orders may be issued only after parties who may be subject to them are afforded notice and an opportunity for a hearing (*id.* § 27-1313 [4]).

Although the section evidences the legislature's preference for using a post-hearing order to "place the burden of remedying these sites on those responsible for the presence of waste material," it also authorizes DEC to develop and implement remedial programs "in the event the responsible party [is] unknown, unable or unwilling to ameliorate the situation" (*Matter of New York State Superfund Coalition, Inc. v New York State Dept. of Envtl. Conservation*, 18 NY3d 289, 292-293 [2011]). In its petition and throughout the course of this litigation, FMC reads the section to describe four independent circumstances in which unilateral agency action would be appropriate: (a) "[w]henever a person ordered to eliminate a threat to the environment . . . has failed to do so within the time limits specified in the order"; (b) "[i]n the event that the commissioner . . . is either unable to determine who may be responsible, or is unable to locate a person who may be responsible"; (c) "[w]henever the commissioner has made findings [of imminent danger] pursuant to [subdivision (3) (b)]"; and (d) "if, in the discretion of the department, it is cost-effective for the department to develop and implement such a remedial program" (ECL 27-1313 [5] [a]-[d]).³ In other words, FMC contends, and DEC agrees, that subdivision (5) (d) authorizes unilateral action in every case where DEC determines that action is cost-effective. Because both parties adopt that view of the statute, we have no occasion to consider the propriety of their interpretation (*cf.* 6 NYCRR 375-2.11 [c] [1] [i] [c]). Under the parties' interpretation of ECL 27-1313 (5) (d),

3. Subdivision (3) (b), added to the section at the same time as subdivision (5) (c) and (5) (d), sets forth the test used to determine whether exigent circumstances authorize DEC to proceed unilaterally and without a hearing. It applies when DEC finds, in writing, that there exists not only the significant threat to the environment required by subdivision (3) (a) but also that the threat in question "presents an imminent danger of causing irreversible or irreparable damage to the environment; and . . . makes it prejudicial to the public interest to delay action until a hearing can be held." It also applies when the Department of Health makes analogous findings regarding imminent dangers to life or health.

DEC was authorized to implement CMA 9 itself, without first ordering FMC to do so or providing a hearing. “[I]t is settled that in a proceeding seeking judicial review of administrative action, the court . . . must ascertain only whether there is a rational basis for the decision or whether it is arbitrary and capricious” (*Flacke v Onondaga Landfill Sys.*, 69 NY2d 355, 363 [1987]). Although agencies are sometimes required to state that basis, subdivision (5) (d) not only entrusts cost-effectiveness determinations to the “discretion of the [D]epartment” but also declines—unlike other paragraphs of the same section—to require DEC to substantiate its findings in writing (ECL 27-1313 [5] [d]; *cf.* [3] [b]).

DEC’s cost-effectiveness determination can be broken into two analytically separate pieces: the choice of CMA 9 and the choice to proceed unilaterally. FMC no longer contests that DEC’s Final Statement of Basis demonstrated CMA 9 was a cost-effective alternative to CMAs 1 through 8.

[2] Thus, the sole outstanding question is whether DEC determined that unilaterally implementing CMA 9 was a cost-effective alternative to ordering FMC to proceed. FMC is correct that the Final Statement of Basis, which was issued before DEC chose to proceed unilaterally, does not address that question. However, DEC’s decision to proceed unilaterally demonstrates it determined that path was cost-effective. Subdivision (5) (d) exempts DEC from having to reduce the grounds for that determination to writing and, other than a conclusory allegation that private action is always cheaper than public action, FMC has proffered nothing under the four statutory factors or otherwise to contradict the presumption that DEC’s action was reasonable under the circumstances.⁴ DEC’s year-long unsuccessful negotiations to obtain FMC’s agreement to perform the work provides record evidence that relying on FMC

4. Although we have no cause to speculate as to any additional ground(s) on which DEC alighted, it may have determined its costs were cheaper than FMC’s; or that FMC’s costs were irrelevant in light of its refusal to implement the program; or that DEC expected to recoup its costs in a CERCLA proceeding and determined those litigation expenses would be less than the expense of litigating a section 27-1313 order; or that the costs of remediating after a lengthy hearing would exceed the costs of remediating now; or that any additional costs incurred in a DEC-led cleanup were justified by remediating a significant threat to life and health and the environment years earlier than the order-and-hearing alternative would allow.

was not a cost-effective alternative for performing CMA 9—indeed, FMC refused to do so.⁵ Thus, under the parties’ interpretation of section 27-1313 (5) (d), DEC had the authority to implement the remedial program itself.

Having established that title 13 provides an avenue for DEC to use the state superfund to unilaterally remediate the relevant properties, it remains only for DEC to establish that it met the additional conditions imposed by the state superfund statute. When proceeding under title 13—although not when proceeding under title 9—that statute requires DEC, absent exigent circumstances, to have first made “all reasonable efforts to secure voluntary agreement to pay the costs of necessary remedial actions from owners” (State Finance Law § 97-b [4]). “Voluntary agreement” requires something less than a section 27-1313 (4) order and hearing, which may not be voluntary at all. Here, DEC’s conducting a year of negotiations only to be told that FMC cannot see any mutually-agreed upon path forward is more than the statute requires. The statute’s other requirement—that DEC later make “all reasonable efforts to recover the full amount of any funds expended” (*id.* § 97-b [6])—will be fulfilled in a CERCLA cost recovery action in federal district court. That action will provide FMC with an opportunity for a hearing to dispute its liability, as DEC has repeatedly acknowledged throughout the course of this proceeding.

Accordingly, the order, insofar as appealed from, should be reversed, with costs, the petition dismissed, and the certified question answered in the affirmative.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey and Feinman concur; Judge Garcia taking no part.

Order, insofar as appealed from, reversed, with costs, petition dismissed and certified question answered in the affirmative.

5. FMC’s April 28, 2014 email to DEC concluded, “FMC does not see a mutually agreeable path forward to allow us to proceed with signing a new agreement . . . Accordingly, we are considering dispute resolution options.”

[102 NE3d 1034, 78 NYS3d 252]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v DONALD ODUM, Respondent.

Argued March 27, 2018; decided May 3, 2018

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Term of the Supreme Court in the First Judicial Department, entered December 23, 2016. The Appellate Term affirmed (1) an order of the Criminal Court of the City of New York, Bronx County (Marc J. Whiten, J.), adopting the findings of fact (with a minor date change) and conclusions of law of the Judicial Hearing Officer (David Stadtmauer, J.), which, among other things, after a hearing, “[s]ubject to confirmation,” had granted defendant’s motion to suppress evidence of defendant’s initial refusal to take a breathalyzer test and the subsequent test results; and (2) an order of that Criminal Court which, upon reargument, had adhered to the prior determination.

People v Odum, 54 Misc 3d 128(A), 2016 NY Slip Op 51806(U), affirmed.

HEADNOTE

Motor Vehicles — Chemical Tests — Suppression

In a prosecution for operating a motor vehicle while under the influence of alcohol and other charges, an order of the Appellate Term, which affirmed a Criminal Court order granting defendant’s motion to suppress evidence of defendant’s initial refusal to take a breathalyzer test and the subsequent test results, was affirmed.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

- AM JUR 2d Automobiles and Highway Traffic §§ 133, 151, 350–352, 955–959; AM JUR 2d Evidence §§ 1035–1036.
CARMODY-WAIT 2d Physical Examinations and Tests §§ 175:6–175:8.
LAFAYE, ET AL., CRIMINAL PROCEDURE (4th ed) § 3.10.
MCKINNEY’S, Vehicle and Traffic Law §§ 1194 (2) (a) (1); (2) (f); (3); 1195 (1).
NY JUR 2d Automobiles and Other Vehicles §§ 566, 567–568, 571, 910, 912, 916, 918–919, 924, 1240; NY JUR 2d Criminal Law: Procedure §§ 717, 719.

ANNOTATION REFERENCES

Necessity and sufficiency of proof that tests of blood

alcohol concentration were conducted in conformance with prescribed methods. 96 ALR3d 745.

Admissibility in criminal case of evidence that accused refused to take test of intoxication. 26 ALR4th 1112.

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POINTS OF COUNSEL

Darcel D. Clark, District Attorney, Bronx (*Stanley R. Kaplan* and *Nancy D. Killian* of counsel), for appellant. The Appellate Term wrongly followed *People v Rosa* (112 AD3d 551 [1st Dept 2013]) in determining that admonitions given to defendant after his initial refusal, made more than two hours after arrest, rendered his ultimate consent to the breathalyzer test coercive and, therefore, inadmissible, where the law in *Rosa* and, by extension, the present case as to license suspension is outdated. Further, the Appellate Term erroneously found that the refusal warning that evidence of refusal could be admissible at trial was improper. (*People v Atkins*, 85 NY2d 1007; *People v Skardinski*, 24 AD3d 1207; *People v Ellis*, 190 Misc 2d 98, 309 AD2d 1314; *People v Rodriguez*, 26 Misc 3d 238; *People v Robinson*, 82 AD3d 1269; *People v Harvin*, 40 Misc 3d 921; *People v Morales*, 161 Misc 2d 128; *People v Brol*, 81 AD2d 739; *People v Smith*, 18 NY3d 544; *People v Zawacki*, 244 AD2d 954.)

The Bronx Defenders, Bronx (*V. Marika Meis* of counsel), for respondent. Neither Mr. Odum’s initial “refusal” to take a breathalyzer test nor his subsequent involuntary “consent” were admissible at trial because the two-hour period of “deemed consent” expired, making the “refusal” a legal nullity and the “warnings” false and misleading and therefore inherently coercive. (*Mapp v Ohio*, 367 US 643; *People v Johnson*, 134 Misc 2d 474; *People v Corbin*, 201 AD2d 359; *People v Whitehurst*, 25 NY2d 389; *People v Gonzalez*, 39 NY2d 122; *People v Atkins*, 85 NY2d 1007; *Bumper v North Carolina*, 391 US 543; *People v Kates*, 53 NY2d 591; *People v Ward*, 176 Misc 2d 398; *People v Robinson*, 82 AD3d 1269.)

OPINION OF THE COURT

STEIN, J.

Vehicle and Traffic Law §§ 1194 and 1195 generally govern the administration and admissibility of chemical breath tests used to determine blood alcohol content. Section 1195 (1) provides that the results of such tests are admissible in evidence at a criminal trial if the tests are “administered pursuant to the provisions of section [1194].” The results of a test also may be admissible absent compliance with section 1194 where a defendant has voluntarily consented to the test because section “1194 . . . ha[s] no application where the defendant expressly and voluntarily consented to a [chemical] test” (*People v Atkins*, 85 NY2d 1007, 1008 [1995]). Here, because the breathalyzer test was not administered in accordance with the requirements of section 1194 and defendant’s consent to take the test was not voluntary, as required by *Atkins*, the results of the test were properly suppressed.

I.

In 2014, defendant was arrested on various charges, including operating a motor vehicle while under the influence of alcohol. More than two hours after his arrest, he was informed that police wanted him to take a breathalyzer test and was asked whether he would “take this test? Yes or no?” After defendant answered “No,” he was given the “refusal warnings” set forth in Vehicle and Traffic Law § 1194—namely, he was warned that, if he refused “to submit to the test,” the result would be “the immediate suspension or subsequent revocation of [his] driver’s license or operating privileges whether or not [he was] found guilty of the charges for which [he had] been arrested.” In addition, he was warned—inaccurately—that if he “refuse[d] to submit to the test or any portion thereof, it w[ould] be introduced as evidence against [him] in any trial proceeding resulting from the arrest.” Defendant then agreed to take the test and provided a breath sample, which showed that his blood alcohol level was above the legal limit.

Defendant subsequently moved to suppress the videotaped recording of the administration of the breathalyzer test, the test results, and all statements that he made to the arresting officer, including his initial refusal to take the test. Defendant asserted that, pursuant to Vehicle and Traffic Law § 1194, because more than two hours had passed between the time of his arrest and the request that he take the breathalyzer test, the officer administering the test should not have advised him

that, if he refused to take it, his driver's license would be suspended and the refusal could be used against him in court. Defendant maintained that the refusal warnings were inappropriate after two hours, and rendered his consent to the test involuntary. Criminal Court, adopting a Judicial Hearing Officer's decision, granted the motion to suppress both defendant's initial refusal to take the test and the test results. The court ruled that, "[i]n light of the uncontradicted evidence that the refusal occurred more than two hours after arrest, suppression of the refusal is warranted." The court further concluded that the breathalyzer test results should have been suppressed because "the warnings given by the police were coercive."

The People moved to reargue, asserting that, although the refusal "warnings were most certainly designed to induce submission to the test [and] [i]t is undisputed that they do threaten the operator-accused with adverse consequences [for refusal] to consent," the warnings do not render a driver's consent involuntary because they merely inform the driver of the privilege that may be lost due to refusal, and that the refusal can be used against the driver in any subsequent legal proceedings. Criminal Court denied the motion to reargue, concluding that under *Atkins*, "where the chemical test is administered more than two hours after an arrest, admissibility of the results requires that the People show that consent was express and voluntary." The court then held that the People failed to meet their burden of demonstrating that defendant's consent was "voluntary and not the result of coercive conduct by the officer" because defendant consented "only after [the officer] gave the improper warnings."

Upon the People's appeal, the Appellate Term, First Department affirmed, holding that Criminal Court "properly suppressed the breathalyzer test results" because defendant's consent, given in response to "inappropriate warnings," was involuntary (54 Misc 3d 128[A], 2016 NY Slip Op 51806[U], *1 [App Term, 1st Dept 2016]). A Judge of this Court thereafter granted the People leave to appeal (29 NY3d 1084 [2017]).

II.

In order to combat driving while intoxicated, which we have long recognized as a "menace" (*People v Ward*, 307 NY 73, 77 [1954]), "law enforcement agencies have been granted statutory authority (*see* Vehicle and Traffic Law § 1194) to use an important investigative tool—chemical tests to determine blood alcohol content" (*People v Washington*, 23 NY3d 228, 231

[2014]). As relevant here, Vehicle and Traffic Law § 1194 (2) (a) (1)—the “deemed consent provision”—states:

“Any person who operates a motor vehicle in this state *shall be deemed to have given consent to a chemical test . . . for the purpose of determining the alcoholic and/or drug content of the blood provided that such test is administered by or at the direction of a police officer . . .*

“having reasonable grounds to believe such person to have been operating in violation of any subdivision of section [1192] of this article and within two hours after such person has been placed under arrest for any such violation” (emphasis added).

Section 1194 (2) (b) (1) provides that the test shall not be given if a person who is under arrest and who has “been informed that the person’s license . . . shall be immediately suspended and subsequently revoked, . . . whether or not the person is found guilty of the charge for which such person is arrested or detained,” nevertheless “refuses to submit to such chemical test.” “Evidence of a refusal to submit to such chemical test . . . shall be admissible” at trial, “upon a showing that the person was given sufficient warning, in clear and unequivocal language, of the effect of such refusal and that the person persisted in the refusal” (*id.* § 1194 [2] [f]).

This Court has explained that “[s]ection 1194 ‘grants a motorist a qualified right to decline to voluntarily take a chemical test’ after being warned that a refusal ‘will result in the immediate suspension and ultimate revocation of the motorist’s driver’s license for one year,’ along with evidence of the refusal being admissible at any subsequent criminal trial” (*Washington*, 23 NY3d at 231, quoting *People v Smith*, 18 NY3d 544, 548 [2012]). The statute “is designed to encourage those suspected of alcohol-related driving offenses to comply with requests to submit to chemical tests in order to obviate the need for securing court orders authorizing blood tests” (*Washington*, 23 NY3d at 231; *see also* Sponsor’s Mem, Bill Jacket, L 1968, ch 85), or “‘the need for the use of force by police officers if an individual in a drunken condition should refuse to submit to the test’” (*People v Kates*, 53 NY2d 591, 596 [1981], quoting Interim Rep of NY St Joint Legis Comm on Motor Veh Problems, 1953 NY Legis Doc No. 25 at 35). In that regard, we have repeatedly stated that “there is no constitutional right to avoid submitting to a chemical test of this nature” (*Smith*, 18 NY3d at 548; *Kates*,

53 NY2d at 594-595; *People v Thomas*, 46 NY2d 100, 109 [1978], *appeal dismissed* 444 US 891 [1979]; *see also Birchfield v North Dakota*, 579 US —, —, 136 S Ct 2160, 2184 [2016] [“the Fourth Amendment permits warrantless breath tests incident to arrests for drunk driving”]).

At the same time, however, nothing prevents the legislature from granting accused motorists a statutory right to decline the test or from placing limits on the authority of the police to administer the test absent voluntary consent—and that is precisely what the legislature has done. Specifically, while the statute is designed to compel compliance, it also sets express limits on police authority to perform the breathalyzer test when, due to the absence of express *and voluntary* consent (*see Atkins*, 85 NY2d at 1008), they must rely on a motorist’s “deemed consent” under Vehicle and Traffic Law § 1194 (2) (a).¹ Those limits, which we cannot simply dismiss as meaningless, include the requirement that the test be performed within two hours. To be sure, we have clarified that the “two-hour limitation” is not “an absolute rule of relevance, proscribing admission of the results of any chemical test administered after that period *regardless of the nature of the driver’s consent*” (*Atkins*, 85 NY2d at 1009 [emphasis added]; *see People v Finnegan*, 85 NY2d 53, 59 [1995], *cert denied* 516 US 919 [1995]; *People v McGrath*, 135 AD2d 60, 62 [2d Dept 1988], *affd for reasons stated below* 73 NY2d 826 [1988]). Nevertheless, we contempo-

1. Contrary to the People’s argument, as well as the conclusion of the Appellate Division, Second Department in *People v Robinson* (82 AD3d 1269, 1269 [2d Dept 2011], *lv denied* 17 NY3d 800 [2011]) and the dissenters, the applicability of the deemed consent provision in Vehicle and Traffic Law § 1194 (2) (a) (1) is not limited to those who are “incapable of consenting” or, as the dissent would have it, “unconscious or incapacitated drivers” (DiFiore, Ch. J., dissenting op at 358). The statutory language itself provides that “[a]ny person who operates a motor vehicle in this state shall be deemed to have given consent to a chemical test . . . within two hours after . . . arrest” (emphasis added). The relevant legislative history further clarifies that the deemed consent provision applies to any person “suspected of driving while under the influence of intoxicating liquors” (Sponsor’s Mem, Bill Jacket, L 1953, ch 854 at 35). Finally, in *Kates*, this Court noted that the “general rule” is that any person operating a motor vehicle is deemed to have consented to such tests (53 NY2d at 595); we did not suggest that the deemed consent provision is limited to those who are unconscious or otherwise incapable of consent, and stated that the “exception” to the general rule contained in subdivision (2) “is only applicable when the driver refuses to consent” (*id.*). That is, the relevant statutory distinction between conscious and unconscious drivers is that only the former need be given the opportunity to revoke consent (*see id.* at 595-596).

aneously instructed that the statute “*mandates* that the breathalyzer test be performed within a two-hour time period following arrest” when the test is conducted pursuant to the deemed consent provision of section 1194 (2) (a) (*People v Finnegan*, 85 NY2d 53, 59 [1995] [emphasis added]).

III.

Here, because the breathalyzer test was not performed within two hours of defendant’s arrest, and the requirements necessary to obtain a court order pursuant to Vehicle and Traffic Law § 1194 (3) were not met, the test results were not admissible under the statutory scheme (*see* Vehicle and Traffic Law § 1195 [1]; *see also Smith*, 18 NY3d at 550-551 [holding that, absent compliance with the statute, even evidence of a refusal must be suppressed]). Nevertheless, as *Atkins* instructs, the test results may still be admissible if defendant voluntarily consented to take the test because “the two-hour limitation . . . has no application” when the “defendant [has] expressly and voluntarily consented to administration of the [breath] test” (85 NY2d at 1009; *see Smith*, 18 NY3d at 548 n 1).² The issue before us, then, is whether defendant gave his voluntary consent to the administration of the test, which generally presents a mixed question of law and fact (*see e.g. People v Mercado*, 25 NY3d 936, 937 [2015]). However, it is undisputed that defendant expressly consented only after the expiration of the two-hour period and after being warned about the consequences of failing to do so; the parties’ dispute here turns on whether the warnings were *legally accurate* and, consequently, whether his consent was voluntary (*compare People v Skardinski*, 24 AD3d 1207, 1208 [4th Dept 2005] [police warning that

2. The fundamental flaw in the dissent’s reasoning is its failure to recognize the distinction between consent that is merely “express” and consent that is both “express[] and voluntar[]ly,” as required by *Atkins* (85 NY2d at 1009; *see DiFiore*, Ch. J., dissenting op at 358-361). We decline to minimize our prior decision in *Atkins*, including the voluntariness requirement, as “somewhat academic” (DiFiore, Ch. J., dissenting op at 362) simply because the Supreme Court of the United States made express in *Birchfield* (579 US at —, 136 S Ct at 2184) what this Court had recognized long before *Atkins* was decided—that the Fourth Amendment permits warrantless breath tests (*see Kates*, 53 NY2d at 594-595). Moreover, contrary to the People’s arguments, *Atkins* does not imply that the two-hour rule is simply irrelevant or that, because a breath test obtained based on voluntary consent is admissible after two hours, a refusal is admissible as well. Rather, *Atkins* held only that the section 1194 (2) (a) is inapplicable when a defendant has voluntarily consented because that statute is concerned only with those “‘required to submit’” (*id.* at 1008, quoting *Ward*, 307 NY at 77).

defendant's driver's license would be suspended if she did not submit to chemical test incorrect where defendant had not yet been arrested], *with People v Slater*, 166 AD2d 828 [3d Dept 1990], *lv denied* 76 NY2d 1024 [1990] [consent voluntary where police warned the defendant that, if he did not consent, they would obtain a court order permitting blood to be taken against his will]; *see Birchfield*, 579 US at —, 136 S Ct at 2186 [remand to reevaluate voluntariness of consent where officer's advisory that law required submission to a blood test was rendered inaccurate by Supreme Court's decision]; *see also Thomas*, 46 NY2d at 107 [(c)ompulsion . . . may . . . be accomplished by the State's attaching to the alternative course of action a penalty, punishment or detriment for the imposition of which no other justification exists and of which the defendant is therefore entitled to be free"]. We conclude that, because more than two hours had passed since defendant's arrest, the warning that evidence of his refusal to take the breathalyzer test would be admissible at trial was inaccurate as a matter of law and, therefore, the record supports the conclusion of the courts below that his consent to the test was involuntary.

As previously noted, evidence of a refusal to take a breathalyzer test is admissible at trial pursuant to Vehicle and Traffic Law § 1194 (2) (f). Although there is no time limit expressly set forth in section 1194 (2) (f), that provision refers directly back to the chemical test authorized in subdivision (2) (a). Specifically, section 1194 (2) (f) states that it is "[e]vidence of a refusal to submit to *such* chemical test" that is admissible at trial (emphasis added), with "such chemical test" being the one to which a defendant is deemed to have consented in subdivision (2) (a). In other words, the use of the word "such" in section 1194 (2) (f) ties that provision back to subdivision (2) (a)—a different paragraph within the same subdivision—so that the two must be read together (*see McKinney's Cons Laws of NY*, Book 1, Statutes § 97, Comment at 213-214, 216 [1971 ed] [(W)ords, phrases, and sentences of a statutory section should be interpreted with reference to the scheme of the entire section . . . and the meaning of a single section may not be determined by splitting it up into several parts]). Section 1194 (2) (a) (1) provides, in turn, that a defendant is "deemed to have given consent to a chemical [breath] test," so long as the test is performed "within two hours after such person has been placed under arrest for" driving while intoxicated. Inasmuch as "such chemical test" is no longer authorized under the deemed

consent provision in section 1194 (2) (a) after the two-hour period has expired, the motorist cannot, as a matter of law, refuse to take the test *within the meaning of section 1194 (2) (f)*.³ Any evidence of a refusal after that point must be suppressed because it does not fall within the parameters of the statute (see *Smith*, 18 NY3d at 550-551).

Our interpretation of Vehicle and Traffic Law § 1194 (2) (f) is supported by that provision's legislative history. As defendant notes, when the deemed consent provision was first enacted in 1953 as section 71-a of the Vehicle and Traffic Law, motorists had an absolute right to refuse the test—subject only to immediate license revocation (see *Kates*, 53 NY2d at 596)—and evidence of a refusal to take the test was never admissible (see *People v Paddock*, 29 NY2d 504 [1971]; *People v Stratton*, 1 NY2d 664 [1956], *affg* 286 App Div 323 [3d Dept 1955]). Therefore, at the time the warnings were added to the statute, voluntariness was not a concern because a refusal could not be used against a defendant at trial. Indeed, the legislature noted that “[t]he proposal [to add the warning language] would not affect any subsequent criminal proceedings on the charge for which arrested, since it specifically applies only to *revocations* for refusal to consent to the chemical test” (Sponsor's Mem, Bill Jacket, L 1968, ch 85 at 2 [emphasis added]).

The statute was not amended to permit evidence of a refusal at trial until 1973, in response to a concurring opinion by Judge Jasen in *Paddock* (see Sponsor's Mem, Bill Jacket, L 1973, ch 351). In his concurrence, Judge Jasen urged the legislature to amend the statute to permit evidence of refusals because “there is no constitutional right to refuse to submit to such a test, [and] it necessarily follows that there can be no constitutional prohibitions to prevent comment upon the accused's failure to take the test” (*Paddock*, 29 NY2d at 505 [Jasen, J., concur-

3. A truly holistic reading of the statute, taking into account its structure, further supports this interpretation. As relevant here, Vehicle and Traffic Law § 1194 authorizes police to seek two types of chemical tests—those based upon deemed consent under subdivision (2) and court-ordered tests under subdivision (3). Section 1194 (2) is a self-contained paragraph that refers only to the “such” chemical tests described therein, i.e., the chemical test to which a defendant is “deemed to have given consent” (*id.* § 1194 [2] [a]). Section 1194 (3), on the other hand applies to “[c]ompulsory chemical tests,” which the statute defines as “[c]ourt ordered chemical tests” (*id.* § 1194 [3] [a]). The reference to “such chemical test[s]” in subdivision (3) refers to the compulsory, court-ordered tests addressed in that paragraph and does not operate to eliminate the two-hour requirement from subdivision (2), as the dissenters conclude (see DiFiore, Ch. J., dissenting op at 361-362 n 6).

ring]; see Sponsor's Mem at 2, Bill Jacket, L 1973, ch 351 [noting that "the prohibition on commenting on the refusal to take the test is strictly statutory"]. Given the previously well-established rule that evidence of a refusal was inadmissible, the 1973 amendment was in derogation of common law. Therefore, it should be strictly construed (see *Rust v Reyer*, 91 NY2d 355, 360 [1998]; see also McKinney's Cons Laws of NY, Book 1, Statutes § 304), further supporting an interpretation of the statute that would apply the two-hour limitation in Vehicle and Traffic Law § 1194 (2) (a) to the evidentiary provision in Vehicle and Traffic Law § 1194 (2) (f).

Finally, although we agree with the Appellate Term's conclusion that the warning pertaining to the admissibility of defendant's refusal was legally inaccurate and, therefore, inappropriate, we note again, as Judge Jasen did in his concurrence in *Paddock*, that the rights asserted by defendant here—insofar as they relate to breath tests—are statutory, not constitutional (see *Smith*, 18 NY3d at 548; *Kates*, 53 NY2d at 594-595; *Thomas*, 46 NY2d at 109; *Paddock*, 29 NY2d at 505 [Jasen, J., concurring]). The legislature is free to amend the statute to clarify the scope of the statutory rights, particularly in light of the express clarification in *Birchfield* that warrantless breath tests are constitutionally permissible (579 US at —, 136 S Ct at 2184). However, it is not for this Court, by judicial fiat, to strike the express protections that the legislature has provided to motorists in Vehicle and Traffic Law § 1194 (2) on the ground that those protections merely "set up arbitrary obstacles to . . . necessary evidence collection" (DiFiore, Ch. J., dissenting op at 357).

In sum, because the warnings given to defendant were at least partially inaccurate—i.e., as to the admissibility at trial of his refusal to submit to testing—the courts below properly suppressed the results of the breathalyzer test on the ground that defendant's consent to take the test was involuntary. The People's remaining argument regarding the accuracy of the warning of license suspension—the crux of the dissent—is both irrelevant to our analysis and academic. Further, the People's argument concerning the admissibility of defendant's initial refusal to take the breathalyzer lacks merit inasmuch as defendant did not "persist[] in the refusal" (Vehicle and Traffic Law § 1194 [2] [f]).

Accordingly, the order of the Appellate Division should be affirmed.

WILSON, J. (concurring). I join the majority, but write separately because law enforcement officials must have clear rules as to what they may tell a motorist suspected of impaired driving. I agree with my dissenting colleagues that the license suspension warning that police gave Mr. Odum—that the Department of Motor Vehicles would suspend or revoke his license if he refused the test—was correct (*see* 2012 NY St Dept of Motor Vehicles Op No. 1-12 at 2). Providing that warning to motorists, even after expiration of the two-hour period, does not constitute coercion, and does not render their subsequent consent involuntarily given.

Chief Judge DiFIORE (dissenting). In this case we are once again called to interpret an enigmatic statute as to its precise parameters in obtaining evidence for criminal prosecutions of intoxicated motorists. Specifically, we are asked to pick up where this Court left off in *People v Atkins* (85 NY2d 1007 [1995]), and answer whether the two-hour rule in Vehicle and Traffic Law § 1194 (2) (a), which governs the deemed consent scenario, nonetheless applies to the administration of refusal warnings to a motorist who thereafter expressly consents to a breath test more than two hours from arrest. Because the only interpretation consistent with the purpose of the statute, our precedent, and the record before us is that the statutory two-hour rule has no such applicability to the refusal warnings provided to the motorist who consents to a breath test, I respectfully dissent.

On October 18, 2014, during the early morning hours, officers were directed to a group of people who had witnessed the driver of a white Cadillac Escalade hit their parked vehicle a few minutes earlier. The group pointed the officers in the direction in which the driver had fled the scene, and within approximately 10 blocks, officers came upon the stopped white Escalade. The driver, the defendant herein, smelled of alcohol and was unsteady on his feet. Police arrested defendant at 3:12 a.m., transported him to the police precinct and, once there, advised him of his *Miranda* rights. Following questioning, and more than two hours from arrest, at approximately 5:50 a.m., an officer asked defendant, “Will you take this [breath] test?” Initially, defendant said no. The officer warned defendant that if he did not take the test, his license would be suspended and

his refusal would be used against him as evidence in court.¹ Defendant consented and provided the breath test, which measured his blood alcohol content (BAC) at .09%—above the legal limit.

Defendant was charged with reckless endangerment in the second degree, reckless driving, and three counts of operating a motor vehicle while under the influence of alcohol. Defendant moved to suppress the results of the breath test on the allegation that the police unlawfully arrested him. During the suppression hearing, defendant continued to argue that the test results were inadmissible as the result of an unlawful seizure of his person,² but in closing arguments also argued that the suppression court was bound by *People v Rosa* (112 AD3d 551 [1st Dept 2013]), wherein the intermediate appellate court in finding the defendant's consent to the chemical test voluntary, stated that when more than two hours pass from arrest, a defendant should not be warned that if he refuses to take a breath test, his driver's license will be suspended and the refusal can be used against him in court (*id.* at 552). The People disagreed with the effect of the dicta in *Rosa* and relied on a Department of Motor Vehicles (DMV) change in policy since the 2011 conviction in *Rosa*, allowing the agency to revoke licenses where a refusal fell outside the two-hour rule. Both the judicial hearing officer and *nisi prius* agreed they were bound by the precedent of *Rosa*, and suppressed the evidence of the chemical test.

On appeal to this Court, the crux of defendant's argument is that because the refusal warnings given to him were based on allegedly erroneous information—namely that the DMV had the authority to revoke defendant's license under the circumstances—his consent following those warnings was coerced. However, based on the undisputed evidence in the hearing rec-

1. The police officer's administration of the refusal warnings, defendant's consent to take the breath test, and the administration of the test were recorded on videotape and admitted into evidence.

2. Under Vehicle and Traffic Law § 1195,

“[a] defendant who has been compelled to submit to a chemical test pursuant to the provisions of *subdivision three* of section [1194] of this article may move for the suppression of such evidence in accordance with article seven hundred ten of the criminal procedure law on the grounds that the order was obtained and the test administered in violation of the provisions of such subdivision or any other applicable law” (Vehicle and Traffic Law § 1195 [3] [emphasis added]; see CPL 710.20 [5]).

In this case, there was no subdivision (3) compulsory test, to wit a court order.

ord, the refusal warnings were not a misapplication of law at all. During the suppression hearing, the most decisive period in this case's history, the People argued that *Rosa* was inapplicable because DMV policy had changed since the facts underlying that case. In 2012, the DMV amended its policy to allow revocation or suspension of a motorist's license for refusing to submit to a breath test, even if such refusal is given more than two hours from arrest (see 2012 NY St Dept of Motor Vehicles Op No. 1-12 at 2). Defendant never once challenged the People's assertion that the controlling refusal warnings as amended by DMV policy were correct as a matter of fact and law, and that defendant's consent was not coerced due to those warnings and must be accepted as voluntary (see *People v Graham*, 25 NY3d 994, 996 [2015]). Voluntariness of consent to a search is a question of fact to be determined by the surrounding circumstances (see *People v Gonzalez*, 39 NY2d 122, 124 [1976]; *Schneckloth v Bustamonte*, 412 US 218, 227 [1973]) and we are bound by the factual record before the hearing court (see *People v Wheeler*, 2 NY3d 370, 373 [2004]). Because it was undisputed that the DMV changed its policy to allow revocation of a license in the event a breath test is refused more than two hours after the arrest—and defendant never challenged that legal authority—our inquiry into alleged coerciveness as a result of the warnings given ends. The majority cannot simply sidestep the fact that defendant in the trial court never disputed the DMV's authority in this area and thus conceded the accuracy of the DMV warnings leading to his consent, allowing the People's legal argument before that court to stand without contradiction.

The cooperation of a licensed motorist in submitting to a chemical test upon arrest for driving while under the influence of alcohol is necessary for the successful administration of a breath test, thus prompting all 50 states to enact “implied consent” laws to secure that cooperation from motorists as a condition of their license to drive on the public highways (see *Birchfield v North Dakota*, 579 US —, —, 136 S Ct 2160, 2168-2169 [2016]). As a pioneer in combating the growing menace of drunk driving since the middle of the last century, New York designed the nation's first deemed consent law to set up a paradigm for evidence collection by providing that the privilege of driving required submission to a chemical test under penalty of a revocation of the license (see Interim Rep of NY St Joint Legis Comm on Motor Veh Problems, 1953 NY Legis Doc No.

25 at 11-18). The sole purpose of the statute, now section 1194, is compulsory submissions to chemical tests from motorists. It is an evidence gathering measure specifically created by the legislature in recognition of the basic difficulty of proving the BAC of drivers at trial without such tests (*see id.* at 12-13). For that reason, the legislature did not—and this Court has never until today—set up arbitrary obstacles to this necessary evidence collection (*see People v Ward*, 307 NY 73, 77 [1954] [(“T)he Committee’s purpose, obviously, was neither to circumscribe nor limit the use of such tests in evidence”]).³

The legislative history provides no basis to expand the limitations of the two-hour rule, which is tethered only to the deemed consent scenario. Originally, the two-hour rule was an evidentiary standard concerned with probativeness (*see* L 1941, ch 726, eff July 1, 1941). Especially at the statute’s inception, when technological advancements in this area were less developed, a prompt breath test was presumably a more accurate measurement of BAC (*see People v Washington*, 23 NY3d 228, 231 [2014]), the legal limit of which has since been reduced by nearly half. In purposely placing the two-hour rule in the section 1194 provisions devoted solely to evidence *collection* in deemed consent cases, as opposed to other section 1194 provisions or section 1195, governing evidence *admissibility* and its probative value, the legislature signaled the two-hour rule does not define either the admissibility or probative value of evidence taken on court order pursuant to section 1194 or upon express consent of the motorist (*see Atkins*, 85 NY2d at 1008-1009). Indeed, as modern breath test devices “can detect the

3. The refusal warnings at issue in this case were meant to warn motorists of the consequences of refusing chemical tests. The effect of the majority’s rule is to accelerate an already growing and alarming rate of refusals as they are without consequence, thus frustrating drunk driving prosecutions and fundamentally undermining the very purpose of the statute (*see* U.S. Department of Transportation National Highway Traffic Safety Administration Traffic Safety Facts, Namuswe et al., *Breath Test Refusal Rates in the United States—2011 Update* at 3 [DOT-HS-811-881, Mar. 2014]; *Birchfield*, 579 US at —, 136 S Ct at 2169-2170). Further, contrary to the majority’s assertion, the legislature intended section 1194 to compel evidence of drunk driving, rather than provide “protections” (*see* majority op at 353) to motorists to avoid taking a breath test (*see People v Thomas*, 46 NY2d 100, 108 [1978], *appeal dismissed* 444 US 89 [1979] [“Submission to the test, not its evasion, was what was desired . . . by the Legislature in the enactment of section 1194”]). Our decision is not a “judicial fiat” but a construction of the statute based on the consideration of the mischief sought to be remedied by the law (*see* McKinney’s Cons Laws of NY, Book 1, Statutes § 95), a remedy that fails when evidence lawfully obtained is suppressed for no logical reason.

presence of alcohol more quickly and accurately than before” and “are generally regarded as very reliable” (*Birchfield*, 579 US at —, 136 S Ct at 2168), linking the probative value of the test to the passage of two hours is arbitrary as the BAC reading from the test alone determines its probativeness (*see* Vehicle and Traffic Law § 1195 [2]).

Contrary to the majority’s resolution of the issue before us, the placement of two hours in the deemed consent provision was not meant to automatically suppress evidence of the circumstances surrounding requests of a motorist to expressly consent to a breath test because that would ignore both the general purpose and spirit of the statute, as well as our precedent. Instead, the intent was to temporally limit police in obtaining warrantless blood sample tests beyond two hours from unconscious or incapacitated drivers, a factual scenario existing at the time of enactment but now curtailed by *Birchfield v North Dakota* (*see* 579 US at —, 136 S Ct at 2186; *People v Kates*, 53 NY2d 591, 595 [1981] [(“T)he history of the statute shows that the wording was carefully chosen with this situation in mind”]). In the scenario of an individual who can only be deemed to consent to a chemical test, a two-hour temporal parameter from the point of arrest for police to conduct compulsory tests was reasonable.

Moreover, to the extent the majority maintains this is somehow a refusal case (*see* majority op at 347-349, 350-353) it is mistaken. This is a consent case with actual evidence of a breath test provided by the motorist. Under section 1194 (2) (f), a defendant’s refusal—which is inextricably linked to the revocation of a license and more readily understood as a revocation of the deemed consent created by the legislature as a condition of a license grant—is admissible at trial “only upon a showing that the person was given sufficient warning, in clear and unequivocal language, of the effect of such refusal *and that the person persisted in the refusal*” (Vehicle and Traffic Law § 1194 [2] [f] [emphasis added]). This evidence is the second legislative penalty of refusal to take the compelled test, the first being the penalty of a revocation of a license (*see People v Thomas*, 46 NY2d 100, 108 [1978], *appeal dismissed* 444 US 891 [1979]). The refusal is defined by the statute as one that must follow the giving of requisite warnings and one whereby a defendant persistently refuses to submit to a compulsory test. Then the evidence of the refusal is admitted pursuant to section 1194 (2) (f) as an inference of guilt. Obviously, refusal

evidence is entirely superfluous when a defendant has consented to a breath test and the BAC results speak directly to the issue of guilt. Further, the position that advising defendant that his refusal could be used as evidence is somehow coercive is also without merit. As we have held, a motorist has no constitutional right to refuse, nor does a motorist enjoy an absolute right of refusal previously given by statute, making the majority's continued reliance on *People v Paddock* (29 NY2d 504 [1971]) misplaced (see majority op at 352; see also *Thomas*, 46 NY2d at 110 ["Inasmuch as that statutory right has now been modified . . . making evidence of refusal admissible, the decision() in . . . *Paddock* (is) no longer determinative"]).

Here, defendant did not contest the DMV's authority to revoke a license beyond the two-hour rule applicable in deemed consent scenarios. A motorist's right of refusal to take a chemical test is neither compelled nor constitutionally privileged, and the DMV's revocation policy is permissible as a condition of the license to drive. Accordingly, the evidence of that refusal is admissible under the general rule that all relevant evidence is admissible unless its admission violates some exclusionary rule (see *People v Scarola*, 71 NY2d 769, 777 [1988]; *People v Berg*, 92 NY2d 701, 706 [1999] ["(I)f evidence is constitutionally permissible, the absence of authorization in a statute does not make it impermissible"]; *Thomas*, 46 NY2d at 109 ["(D)efendant had no constitutional privilege or statutory right to refuse to take the test; hence comment on his refusal represents no infringement of privilege or right"]). As the warning of the consequences of a refusal in this case was legally accurate, a claim of coercion is unsound.

Here, the videotape demonstrated defendant was asked by the officer to take the test. He said no once. Officers then gave him the DMV refusal warning and defendant consented to take the breath test. Like any consent scenario, upon being asked to provide evidence by the police, defendant elected to take the breath test after being made aware of his options. Therefore, at bottom this is an express consent case and the consent was voluntary (compare *Atkins*, 85 NY2d at 1008, with *People v Smith*, 18 NY3d 544, 547 [2012]).

The statute clearly provides three different methods of obtaining compulsory breath tests depending on the different factual scenarios confronting police in encountering intoxicated motorists. To be sure, the first such compulsory test is the

chemical field test, provided in the “field” and requiring no warnings or consent before its administration (*see* Vehicle and Traffic Law § 1194 [1] [b]). The statute also has always made the distinction between conscious drivers capable of cooperating and unconscious drivers or those too drunk to cooperate:

“In the case of an *unconscious individual*, a chemical test can be administered since he is *deemed to have given his consent* when he used the highway. It is not necessary that a person be given the opportunity to revoke his consent. The only reason the opportunity to revoke is given is to eliminate the need for the use of force by police officers if an individual in a drunken condition should refuse to submit to the test” (Interim Rep of NY St Joint Legis Comm on Motor Veh Problems, 1953 NY Legis Doc No. 25 at 35 [emphasis added]; *see Kates*, 53 NY2d at 595-596 [noting that the legislature deliberately distinguished between the conscious driver and the incapacitated driver]).

On that premise, the second compulsory test is provided in section 1194 (2) (a) and covers the deemed consent of motorists to submit to a demand for a chemical test under penalty of losing their license and incorporates the two-hour rule. A persistent refusal triggers section 1194 (2) (b) requiring a report of refusal to submit to a chemical test when a motorist revokes the statutory consent presumed from the license to drive. Lastly, the third compulsory test is set forth in section 1194 (3), which provides for a court order for a compulsory chemical test without any two-hour rule. By this statutory scheme, the refusal warnings in section 1194 (2) (b)—given to motorists who persist in revoking the deemed consent presumed to be given by any licensed driver—serve the purpose of alerting the driver to the consequences of blocking the compulsory method of evidence collection laid out in section 1194 (2) (a).

The two-hour rule, however, has no applicability outside the deemed consent scenario.⁴ That sound explanation furthers the object, spirit, and purpose of the statute (*see* McKinney’s Cons Laws of NY, Book 1, Statutes § 92), and is also compatible with our decades of precedent on this very subject. Indeed, we have long narrowed the applicability of the two-hour rule to the

4. The two-hour rule exists on a sliding scale as it commences only at the time of arrest, which requires the police to take defendant into custody at some juncture.

confines of deemed consent.⁵ To be sure, in *Atkins*, we held that a defendant may provide express consent to undergo a chemical test at any time, thus rendering the two-hour requirement irrelevant (see 85 NY2d at 1009; see also *Smith*, 18 NY3d at 548 n 1 [“Although time is of the essence in obtaining chemical test evidence, if a defendant agrees to take the test, *there is no per se statutory bar on admission of the results if the test was administered more than two hours after defendant’s arrest*” (emphasis added)]). Additionally, in *People v McGrath*, we affirmed the Appellate Division decision holding the two-hour rule inapplicable to section 1194 (3) on tests obtained by court orders (see 135 AD2d 60, 62 [2d Dept 1988], *affd for reasons stated below* 73 NY2d 826 [1988] [“Nothing in the unambiguous language of (section 1194 [2] [a]) indicates that the Legislature intended to impose a specific time limitation on the performance of court-ordered chemical tests. The omission of such a restriction reflects a rational legislative determination that it was unnecessary”]). Finally, in *People v Finnegan* (85 NY2d 53, 59 [1995]), we held “[n]othing in the unambiguous language of [the statute] indicates that the Legislature intended to cross-reference or incorporate” the two-hour rule to section 1194 (4) on independent physician tests. Therefore, we have already largely confined the statutory two-hour rule to the deemed consent scenario and nothing more.⁶

5. Relatedly, we have understood the impracticality of strict compliance with the statute. For example, in *People v Goodell* (79 NY2d 869 [1992]), we held that although the language of the statute provides that the chemical test to an unconscious motorist be administered within two hours after the motorist has been placed under arrest, to formally place an unconscious person under arrest would be “an empty gesture” (*id.* at 871).

6. The majority makes much of the word “such” in referring to chemical tests in section 1194 (2) (f), arguing that this must incorporate the two-hour rule across the statute because it refers to “chemical test” as listed in section 1194 (2) (a) (see majority op at 351-352). However, if the statute is truly to be read in a holistic way, giving purpose to the individual provisions and respect to the desired scheme of the legislature, then “such chemical test” cannot have the effect the majority suggests (see McKinney’s Cons Laws of NY, Book 1, Statutes § 92, Comment at 184 and n 82; *id.* § 95, Comment at 196 and n 47, at 197 and n 48, at 200 and n 54; *id.* § 148, Comment at 304 and n 50; *id.* § 254, Comment at 418 and n 23 [1971 ed]). After all, section 1194 (3) also contains the phrase “such chemical test[s],” but we have previously determined the two-hour rule inapplicable to compulsory court orders (see *McGrath*, 73 NY2d 826). Instead, “such chemical test[s]” refers to the types of chemical tests specifically enumerated in section 1194 (2) (a) (i.e. breath, blood, urine, or saliva). Interpreting “such” to incorporate only the definition of “chemical tests,” not the two-hour rule, harmonizes the statute while also

(n. cont’d)

Here, the issue framed is the allegedly illegal seizure by police of the evidence of a breath test because it was taken without defendant's voluntary consent (*see People v Kuhn*, 33 NY2d 203, 208-209 [1973]). Particularly in light of *Birchfield's* holding that a warrantless breath test is a reasonable search incident to arrest within the meaning of the Fourth Amendment for intoxicated motorists, any issue of consent here is somewhat academic as one's consent is not required for a search and seizure (*see* 579 US at —, 136 S Ct at 2184).⁷ In any event, this is neither a deemed consent case nor a persistent refusal case—a distinction that has muddled this litigation at every stage. We are dealing instead with a defendant's cooperation in expressly consenting to take a breath test after being provided appropriate warnings of the consequences of his refusal to do so. We have held that the best practice for police is to warn defendants of options, as well as their right of refusal so that a defendant's decision to take a breath test is made knowingly and voluntarily (*see Ward*, 307 NY at 78). In this case, police asked defendant to take the breath test and provided the refusal warnings as explained in the DMV's revised policy, advising defendant that his license would be revoked even though more than two hours had passed since his arrest, and a refusal can be used as evidence against him. As a result, defendant made a choice and expressly consented to the breath test. Based on the record, the statute, and our precedent, the statutory two-hour rule does not apply to the administration of the refusal warnings given in such a sce-

fulfilling its legislative purpose (*see Oden v Chemung County Indus. Dev. Agency*, 87 NY2d 81, 87 [1995] ["use of the term 'such' . . . serves as a grammatical echo for its immediate antecedent"]).

7. There is no "fundamental flaw" in this reasoning and any confusion lies with the majority (*see* majority op at 350 n 2). In short, the majority misunderstands the meaning of "consent" in "deemed consent." "Deemed consent" is not consent in the traditional sense at all—rather it is a "demand" to submit (*see* Interim Rep of NY St Joint Legis Comm on Motor Veh Problems, 1953 NY Legis Doc No. 25 at 35). Under a traditional consent analysis, voluntariness is both required and evaluated, which is our distinction when using the term "expressed consent" as opposed to one that is "deemed" (*see Kates*, 53 NY2d at 594). The majority makes its misunderstanding over this basic point clear by divorcing "express" consent from "voluntariness," but traditional—expressed—consent always requires voluntariness (*see Gonzalez*, 39 NY2d at 124). Because *Birchfield* now allows for warrantless breath tests as a search incident to arrest under the Fourth Amendment, traditional consent is no longer a factor—and that is why the majority's focus on voluntary consent is somewhat academic (*see* 579 US at —, 136 S Ct at 2185).

nario. Accordingly, the results of the breath test should not have been suppressed.

For those reasons, I dissent.

Judges RIVERA, WILSON and FEINMAN concur, Judge WILSON in a concurring opinion; Chief Judge DiFiore dissents in an opinion in which Judges FAHEY and GARCIA concur.

Order affirmed.

[102 NE3d 1056, 78 NYS3d 275]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v BRYAN HENRY, Respondent.

Argued April 25, 2018; decided June 12, 2018.

SUMMARY

APPEAL by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered November 16, 2016. The Appellate Division modified, on the law, a judgment of the Supreme Court, Nassau County (Tammy S. Robbins, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree, criminal possession of a weapon in the second degree (two counts), criminal possession of marijuana in the fifth degree, and criminal possession of stolen property in the fifth degree. The appeal to the Appellate Division brought up for review so much of an order of that Supreme Court (Alan L. Honorof, J.) as had denied the suppression of defendant's statements to law enforcement officials relating to the murder charge. The modification consisted of vacating the convictions of murder in the second degree, criminal possession of a weapon in the second degree (two counts), and criminal possession of stolen property in the fifth degree, and vacating the sentences imposed thereon. The Appellate Division affirmed the judgment as modified, modified the Supreme Court order brought up for review by granting the suppression of defendant's statements to law enforcement officials relating to the murder charge, and remitted the matter to Supreme Court for a new trial on those counts of the indictment for which defendant's conviction was vacated.

People v Henry, 144 AD3d 940, reversed.

HEADNOTE

Crimes — Right to Counsel — Representation on Unrelated Matter

In a prosecution arising out of a series of crimes including a robbery, a murder, and criminal possession of marijuana, the only charge on which defendant was represented by counsel at the time he was questioned by police, the Appellate Division misapplied CPL 470.15 and the standard established in *People v Cohen* (90 NY2d 632 [1997]) when it held that CPL 470.15 prevented it from reversing Supreme Court's suppression of defendant's statements concerning the robbery and it was therefore bound by Supreme Court's determination that questioning of defendant on the robbery charges violated his right to counsel when considering the questioning on the murder. Supreme Court found that the robbery and marijuana charges were related

under *Cohen* because the cell phone taken during the robbery and found in defendant's car when he was arrested for marijuana possession was obtained as a result of the marijuana arrest; that court did not suppress his statements regarding the murder, finding the murder and marijuana charges to be unrelated. For purposes of reviewing the suppression ruling as to the murder charge, CPL 470.15 did not bind the Appellate Division to Supreme Court's determination that the marijuana and robbery charges were sufficiently related. Further, since Supreme Court ruled against defendant as to suppression on the murder charge, CPL 470.15 did not restrict the Appellate Division from making an independent determination as to the statements about the murder. Moreover, under *Cohen*, the relevant comparison is between the unrepresented and the represented charges, and the Appellate Division should have compared the murder charge to the represented (marijuana) charge. The mere fact that a particular type and color of car was used in the commission of the murder and was also the vehicle defendant was driving when the police discovered marijuana did not make the murder and marijuana charges so closely related transactionally, or in space or time, that questioning on the murder charge would all but inevitably elicit incriminating responses regarding the marijuana charge. Nor did the officers ask defendant anything about the marijuana charge while questioning him about the robbery and murder.

RESEARCH REFERENCES

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AM JUR 2d Criminal Law §§ 1074, 1079, 1093, 1095, 1097, 1111, 1130; AM JUR 2d Evidence § 762.
CARMODY-WAIT 2d Confessions; Privilege Against Self-Incrimination §§ 176:29, 176:71, 176:75, 176:128;
CARMODY-WAIT 2d Right to Counsel §§ 184:7, 184:21.
LAFAYE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 6.4, 6.9.
MCKINNEY'S, CPL 470.15.
NY JUR 2d Criminal Law: Procedure §§ 596, 599, 604, 741, 745, 811.

ANNOTATION REFERENCE

See ALR Index under Attorneys; Confessions and Admissions; Criminal Law; Custodial Interrogation; Investigations and Interrogations; Self-Incrimination.

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POINTS OF COUNSEL

Madeline Singas, District Attorney, Mineola (Cristin N. Connell, Tammy J. Smiley, Judith R. Sternberg and Jason R.

Richards of counsel), for appellant. The Appellate Division misapplied *People v Cohen* (90 NY2d 632 [1997]) to the facts of this case, extending the right to counsel, by proxy, from a misdemeanor drug case on which defendant was represented by counsel to an unrelated murder case. (*People v Lopez*, 16 NY3d 375; *People v Grant*, 91 NY2d 989; *People v Cunningham*, 49 NY2d 203; *People v Burdo*, 91 NY2d 146; *People v West*, 81 NY2d 370; *Kirby v Illinois*, 406 US 682; *People v Claudio*, 83 NY2d 76; *People v Hobson*, 39 NY2d 479; *People v Arthur*, 22 NY2d 325; *People v Bing*, 76 NY2d 331.)

Judah Maltz, Kew Gardens, for respondent. Respondent's indelible right to counsel which the court below recognized regarding the robbery should be extended to the murder crime since they were transactionally related to each other as to time or place and the police purposefully exploited him during his period of confinement to obtain confessions on these two connected crimes. (*People v Lopez*, 16 NY3d 375; *People v Harris*, 77 NY2d 434; *People v Bing*, 76 NY2d 331; *People v Arthur*, 22 NY2d 325; *People v Rogers*, 48 NY2d 167; *People v Cohen*, 90 NY2d 632; *People v Carl*, 46 NY2d 806; *People v Vella*, 21 NY2d 249; *People v Grant*, 91 NY2d 989; *People v Ermo*, 47 NY2d 863.)

OPINION OF THE COURT

WILSON, J.

The issue before us is whether interrogation of Mr. Henry on a murder charge—for which he was not represented by counsel—was prohibited. The Appellate Division held that Mr. Henry's statements regarding the murder should have been suppressed, because the murder charge was factually related to a robbery charge, and Supreme Court had suppressed Mr. Henry's statements regarding the robbery. We conclude that the Appellate Division misapplied CPL 470.15 and the standard established by this Court's decision in *People v Cohen* (90 NY2d 632 [1997]). Therefore, we reverse.

In December 2010, two masked men robbed the occupants of a tattoo parlor at gunpoint, taking a BlackBerry cell phone from one victim. Surveillance footage showed a black Hyundai Sonata with tinted windows present in the parking lot behind the parlor. Two days later, a masked gunman shot and killed a 19-year-old man who was sitting in a parked car at a gas station convenience store where his friend had gone to make a purchase. An eyewitness reported that the shooter arrived in a

black Hyundai Sonata with tinted windows and sped away in it afterwards.

Five days after the shooting, Mr. Henry—driving a black Hyundai Sonata with tinted windows—sped away when a police car passed by, running two stop signs at 40 m.p.h. before being pulled over. One police officer approaching the car smelled marijuana, and then saw loose marijuana on Mr. Henry's lap. The officers arrested Mr. Henry, and one officer drove the Sonata to the precinct, where it was impounded after a search. Mr. Henry was charged with criminal possession of marijuana, and an attorney was assigned to represent him on that charge. He was subsequently arraigned and released on bail. When arresting Mr. Henry, the police observed several cell phones on the floor of the car; Mr. Henry disclaimed ownership of one of them, a BlackBerry. Following an inventory search of the Sonata and investigation, the police determined that the BlackBerry was the one stolen from the tattoo parlor owner.

Three days after his arrest, Mr. Henry—now driving a different car—was pulled over for speeding; the car's state inspection had also expired. Upon learning that Mr. Henry was wanted for possession of the stolen BlackBerry, the police arrested him and read him his *Miranda* rights, which he waived. During several hours of questioning about the robbery and the murder, Mr. Henry admitted that he was the driver and identified the passengers, but denied any additional involvement. A grand jury returned an indictment charging Mr. Henry with multiple counts of robbery in the first degree, criminal possession of a weapon in the second degree, criminal possession of stolen property in the fifth degree, murder in the second degree, and criminal possession of marijuana in the fifth degree.

Mr. Henry moved to suppress his statements regarding the robbery and murder as having been obtained in violation of his right to counsel, which had attached as to the marijuana charge. Supreme Court suppressed his statements regarding the robbery, reasoning that the robbery and marijuana charges were related under *Cohen*, because the BlackBerry was obtained as a result of the marijuana arrest. Supreme Court refused to suppress Mr. Henry's statements regarding the murder, because the murder and marijuana charges were completely unrelated. Mr. Henry was convicted by a jury of murder in the second degree, two counts of criminal possession of a weapon in the second degree, criminal possession of marijuana

in the fifth degree, and criminal possession of stolen property in the fifth degree. He was acquitted of the robbery charges. Mr. Henry appealed.

The Appellate Division held that Mr. Henry's statements to the police regarding the murder charge should have been suppressed (144 AD3d 940 [2016]). A Judge of this Court granted the People leave to appeal. The People argue that the Appellate Division misapplied *Cohen* by analyzing the relationship between the murder and the robbery (for which Mr. Henry was not represented by counsel) instead of the murder and the marijuana (for which he was represented).

Generally, a defendant who is represented by counsel may be questioned about a different, unrepresented crime (*see People v Taylor*, 27 NY2d 327, 329 [1971]). However, there are two categories of cases in which police questioning on an unrepresented crime may violate a defendant's right to counsel:¹ (1) where the two matters are "so closely related transactionally, or in space or time, that questioning on the unrepresented matter would all but inevitably elicit incriminating responses regarding the matter in which there had been an entry of counsel" (*Cohen*, 90 NY2d at 638-639); and (2) where, although the matters are "less intimately connected . . . the police [are] aware that the defendant was actually represented by an attorney in one of the matters," and "the interrogation actually entail[s] an infringement of the suspect's State constitutional right to counsel by impermissible questioning on the represented crime" (*id.* at 640; *see People v Ermo*, 47 NY2d 863, 865 [1979]; *People v Miller*, 54 NY2d 616, 618-619 [1981]).

Here, Mr. Henry was represented on the marijuana charge only. However, the Appellate Division did not analyze whether the murder was related to the marijuana charge. Rather, the Appellate Division looked to the relationship between the murder and the robbery. The Appellate Division reasoned that because CPL 470.15 prevented the Appellate Division from reversing Supreme Court's suppression of Mr. Henry's statements concerning the robbery, the Appellate Division was "bound by" Supreme Court's determination "that questioning of the defendant on the robbery charges violated his right to

1. A different rule applies when a defendant is in custody on a charge upon which the right to counsel has attached. In that case, the police are prohibited from questioning the defendant on any matters, related or unrelated (*see People v Burdo*, 91 NY2d 146, 149-151 [1997]; *People v Rogers*, 48 NY2d 167, 169 [1979]).

counsel” when considering the questioning on the murder (144 AD3d 940, 944 [2016]). That analysis misinterprets CPL 470.15 and misapplies the standard in *Cohen*. The Appellate Division should have compared the murder charge to the represented (marijuana) charge; CPL 470.15 does not alter that analysis.

Supreme Court’s determination as to the relatedness of the marijuana and robbery has no bearing on the suppression of the statements in connection with the murder charge. CPL 470.15 (1) states: “Upon an appeal to an intermediate appellate court from a judgment, sentence or order of a criminal court, such intermediate appellate court may consider and determine any question of law or issue of fact involving error or defect in the criminal court proceedings which may have adversely affected the appellant.” As the Appellate Division correctly noted, CPL 470.15 prevented it from reversing Supreme Court’s order suppressing the statements in connection with the robbery charge. However, for purposes of reviewing the suppression ruling as to the *murder* charge, CPL 470.15 did not bind the Appellate Division to Supreme Court’s determination that the marijuana and robbery charges are sufficiently related. Supreme Court ruled against Mr. Henry as to suppression on the murder charge, so CPL 470.15 does not restrict the Appellate Division from making an independent determination as to the statements about the murder.

Under *Cohen*, the relevant comparison is between the unrepresented and the represented charges. The first category concerns whether “questioning on the unrepresented matter would all but inevitably elicit incriminating responses regarding the matter in which there had been an entry of counsel” (*Cohen*, 90 NY2d at 638; see *People v Townes*, 41 NY2d 97, 104 [1976]). The purpose of the rule is to protect the right to counsel once it has attached; if the questioning on the unrepresented charge will inevitably lead to statements about the represented charge, the statements should be suppressed. However, if the relationship between the unrepresented and the represented charges is insufficient, then “[d]iscrete questioning [on the unrepresented charge] by a police officer mindful and respectful of the indelible attachment of defendant’s right to counsel [on the represented charge] would not . . . create[] any serious risk of incriminating responses as to the latter crime[]” (*Cohen*, 90 NY2d at 639-640). Thus, the question the Appellate Division should have considered is whether the murder charge was sufficiently related to the marijuana charge. No evidence

in the record would support that claim; indeed, even Mr. Henry does not press it.

In *Cohen*, the defendant was represented as to the burglary of Thompson's Garage, in which three guns were stolen; after a robbery-murder at a Citgo gas station with a gun matching one of those stolen from Thompson's Garage, the police questioned the defendant on both crimes. There, we held that the crimes were not so closely related that statements as to the Citgo murder had to be suppressed.² In *People v Grant* (91 NY2d 989 [1998]), the defendant was questioned about a homicide, for which he was not represented, and a gun possession charge, for which he was represented. The same pistol was implicated in both crimes. Although we sent the case back to the Appellate Division to consider whether the questioning was purposefully exploitative under the second category of *Cohen*, we held the charges "were not so interwoven that any interrogation on the latter would almost necessarily elicit incriminating responses on the former. The only common factual element linking the two was that both involved the same 9 millimeter Glock pistol. Without any other significant unifying factor, that fortuity has no independent legal significance" (*id.* at 991).

We have held that charges were sufficiently related when they stemmed from the same incident (*see People v Townes*, 41 NY2d at 104-105 [defendant was charged with attempted murder and attempted assault of a police officer, and subsequently filed a civil complaint alleging that he had been illegally beaten by police officers on the night of the incident]) or took place at the same location and were close in time (*see People v Carl*, 46 NY2d 806, 807-808 [1978] ["(B)oth incidents involved burglaries or attempted burglaries at the same location, the Tanner Building Company, and were little more than a week apart"]). None of those elements is present here, nor has Mr. Henry pointed to any others that may be relevant. The only fact linking the marijuana charge to the murder charge is the Sonata. However, in *Grant*, we held that two crimes were not sufficiently related where the same pistol was implicated in both (91 NY2d at 991). Similarly, here, the mere fact that a black Sonata was used in the commission of the murder and was also the vehicle Mr. Henry was driving when the police

2. The statements were ultimately suppressed because, although the crimes were not sufficiently related, the questioning was purposefully exploitative under *Cohen's* second category (90 NY2d at 642).

discovered marijuana does not make the murder and marijuana charges “so closely related transactionally, or in space or time, that questioning on the [murder charge] would all but inevitably elicit incriminating responses regarding the [marijuana charge] in which there had been an entry of counsel” (*Cohen*, 90 NY2d at 638). Questioning about the murder would not have implicated Mr. Henry’s marijuana charge at all.

The questioning of Mr. Henry also did not implicate *Cohen*’s second category. The police questioned Mr. Henry about the robbery and murder, but Mr. Henry was not represented on either of those charges at the time. The officers asked Mr. Henry nothing whatsoever about the marijuana charge, so the second category of *Cohen* is inapplicable.

Accordingly, the order should be reversed and the case remitted to the Appellate Division for consideration of the facts (CPL 470.25 [2] [d]; 470.40 [2] [b]) and issues raised but not determined on appeal to that court.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Garcia and Feinman concur.

Order reversed and case remitted to the Appellate Division, Second Department, for consideration of the facts (CPL 470.25 [2] [d]; 470.40 [2] [b]) and issues raised but not determined on appeal to that court.

[103 NE3d 774, 78 NYS3d 703]

2138747 ONTARIO, INC., Appellant, v SAMSUNG C&T CORPORATION et al., Respondents.

Argued April 24, 2018; decided June 12, 2018

SUMMARY

APPEAL, by permission of the Court of Appeals, from a so-ordered stipulation of the parties dated May 16, 2017. The stipulation resolved an appeal from a judgment of the Supreme Court, New York County (Jeffrey K. Oing, J.), which had dismissed plaintiff's remaining repleaded claims. The appeal brings up for review a prior nonfinal order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 11, 2016. The Appellate Division order affirmed so much of an order of that Supreme Court (op 2016 NY Slip Op 31650[U] [2016]), as had granted defendants' motion to dismiss as time-barred the claims assigned by Sky-Power Corp. to plaintiff and dismissed those claims.

2138747 Ontario, Inc. v Samsung C&T Corp., 144 AD3d 122, affirmed.

HEADNOTE**Conflict of Laws — Law Governing Contract Actions — New York Choice-of-Law Provision — Application of Borrowing Statute**

New York's borrowing statute (CPLR 202), which requires a nonresident's cause of action accruing outside New York to be timely under the limitation periods of both New York and the jurisdiction where the cause of action accrued, applies when contracting parties have agreed that their contract would be "enforced" according to New York law. Accordingly, plaintiff's breach of contract claims, which had accrued in Ontario, asserted on behalf of an Ontario renewable energy developer whose nondisclosure agreement (NDA) with defendant was to be "governed by, construed and enforced in accordance with" New York law, were time-barred pursuant to Ontario's two-year statute of limitations. The mere addition of the word "enforced" to the NDA's choice-of-law provision did not demonstrate the intent of the contracting parties to apply solely New York's six-year statute of limitations in CPLR 213 (2) to the exclusion of CPLR 202. Rather, the parties agreed that the use of the word "enforced" evinced their intent to apply New York's procedural law. CPLR 202 is part of that procedural law, and the statute therefore applied. The borrowing statute is a stable fixture of New York's procedural law, of which these sophisticated commercial entities were presumably aware when they chose New York's procedural law to govern their arrangement. Where a contract was negotiated between sophisticated, counseled businesspeople negotiating at arm's length, courts should be especially reluctant to interpret an agreement as impliedly stating something which the parties have neglected to specifically include.

RESEARCH REFERENCES

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AM JUR 2d Conflict of Laws §§ 3, 5, 24, 60, 100, 112, 119, 158; AM JUR 2d Contracts § 255, 259; AM JUR 2d Limitation of Actions §§ 83, 88, 90–95.
CARMODY-WAIT 2d Courts and Their Jurisdiction § 2:87; CARMODY-WAIT 2d Limitation of Actions §§ 13:39, 13:14–13:43, 13:46.
MCKINNEY'S, CPLR 202; 213 (2).
NEW YORK CONTRACT LAW §§ 8:2–8:4, 8:6, 8:8, 19:9–19:10, 16:1, 21:2.
NY JUR 2d Conflict of Laws §§ 3–4, 7, 33, 35–37, 49, 55, 67.
SIEGEL, NY PRAC §§ 28, 52, 57.
WILLISTON ON CONTRACTS (4th ed) §§ 15:15, 19:3–19:4, 19:8.

ANNOTATION REFERENCE

Choice of law as to applicable statute of limitations in contract actions. 78 ALR3d 639.

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POINTS OF COUNSEL

Susman Godfrey L.L.P., New York City (*Jacob W. Buchdahl*, *William Christopher Carmody*, *Shawn J. Rabin* and *Cory S. Buland* of counsel), and *Ressler & Ressler*, New York City (*Ellen R. Werther* and *Bruce J. Ressler* of counsel), for appellant. I. New York should honor the parties' choice that New York local law governs the enforcement of their contract. (*Matter of Smith Barney, Harris Upham & Co. v Luckie*, 85 NY2d 193; *Matter of Diamond Waterproofing Sys., Inc. v 55 Liberty Owners Corp.*, 4 NY3d 247; *Portfolio Recovery Assoc., LLC v King*, 14 NY3d 410; *Ministers & Missionaries Benefit Bd. v Snow*, 26 NY3d 466; *IRB-Brasil Resseguros, S.A. v Inepar Invs., S.A.*, 20 NY3d 310; *Martin v Dierck Equip. Co.*, 43 NY2d 583; *Burdett v Remington Arms Co., L.L.C.*, 854 F3d 733; *Geophysical Sys. Corp. v Raytheon Co., Inc.*, 988 F2d 119; *Global Fin. Corp. v Triarc Corp.*, 93 NY2d 525; *Insurance Co. of N. Am. v ABB Power Generation*, 91 NY2d 180.) II. New York public policy does not

prevent parties from contracting for New York's own legislatively approved six-year statute of limitations. (*John J. Kassner & Co., Inc. v City of New York*, 46 NY2d 544; *IRB-Brasil Resseguros, S.A. v Inepar Invs., S.A.*, 20 NY3d 310; *Ministers & Missionaries Benefit Bd. v Snow*, 26 NY3d 466.)

Baker & McKenzie LLP, New York City (Grant A. Hanessian and Jacob M. Kaplan of counsel), for respondents. I. The Appellate Division correctly held that when parties choose New York's procedural rules, such rules include CPLR 202. (*Matter of Smith Barney, Harris Upham & Co. v Luckie*, 85 NY2d 193, 245 AD2d 17; *Joseph Gunnar & Co., LLC v Bridgeman*, 14 Misc 3d 1238[A], 2007 NY Slip Op 50419[U]; *Matter of Investec [US] v Baron*, 2 Misc 3d 1002[A], 2004 NY Slip Op 50081[U]; *Lerner v Prince*, 119 AD3d 122; *Insurance Co. of N. Am. v ABB Power Generation*, 91 NY2d 180; *Global Fin. Corp. v Triarc Corp.*, 93 NY2d 525.) II. *Ministers & Missionaries Benefit Bd. v Snow* (26 NY3d 466 [2015]) does not overrule Court of Appeals precedent. (*IRB-Brasil Resseguros, S.A. v Inepar Invs., S.A.*, 20 NY3d 310; *Martin v Dierck Equip. Co.*, 43 NY2d 583; *Global Fin. Corp. v Triarc Corp.*, 93 NY2d 525; *Great N. Ins. Co. v Interior Constr. Corp.*, 7 NY3d 412; *Georgia Malone & Co., Inc. v Rieder*, 86 AD3d 406.) III. Plaintiff-appellant's "disparate treatment" argument does not justify departure from Court of Appeals precedent. (*Ledwith v Sears, Roebuck & Co.*, 231 AD2d 17; *Ackerman v Price Waterhouse*, 252 AD2d 179; *Matter of Smith Barney, Harris Upham & Co. v Luckie*, 85 NY2d 193, 245 AD2d 17.) IV. There is no indication the parties attempted to exclude CPLR 202 from New York's procedural rules or their contract. (*Insurance Co. of N. Am. v ABB Power Generation*, 91 NY2d 180; *Matter of Smith Barney, Harris Upham & Co. v Luckie*, 85 NY2d 193, 245 AD2d 17; *Seymour v Balata Belting Co.*, 174 Misc 2d 677; *151 W. Assoc. v Printsiples Fabric Corp.*, 61 NY2d 732.) V. Even had the parties attempted to exclude CPLR 202 from New York's procedural rules or their contract, it would have no impact in this matter. (*John J. Kassner & Co. v City of New York*, 46 NY2d 544.)

OPINION OF THE COURT

FAHEY, J.

On this appeal, we must determine whether CPLR 202—New York's borrowing statute—applies when contracting parties have agreed that their contract would be "enforced" according to New York law. We conclude that it does.

I.

In September 2008, SkyPower Corp., an Ontario renewable energy developer, entered into a nondisclosure agreement (NDA) with defendants to facilitate defendants' evaluation of a potential transaction with SkyPower and its majority shareholder. The NDA allowed defendants to review SkyPower's confidential and proprietary information and contained provisions restricting the use and disclosure of that information, as well as provisions regarding destruction of the information furnished to defendants if they did not wish to proceed with the transaction.

The anticipated transaction never materialized. Plaintiff alleges that in December 2008, defendants entered into a "Memorandum of Understanding" with the Ontario government for development of a renewable energy project that improperly made use of SkyPower's confidential and proprietary information, and that in September 2009 defendants signed a "Framework Agreement" with the Ontario government for the project. SkyPower filed for bankruptcy in 2009, and SkyPower's claims against defendants were assigned to plaintiff, a creditor of SkyPower's successor and also an Ontario corporation. Plaintiff commenced the present action in state court in New York, asserting causes of action for breach of contract and unjust enrichment, in October 2014.

Defendants moved to dismiss the complaint, arguing, as relevant here, that plaintiff's action was time-barred pursuant to Ontario's two-year statute of limitations (*see* Ontario Limitations Act, 2002, SO 2002, ch 24, schedule B, § 4), which applied pursuant to CPLR 202, New York's borrowing statute. New York's general statute of limitations for breach of contract actions is six years (*see* CPLR 213 [2]). Supreme Court concluded that plaintiff's claims accrued on September 26, 2009, and the parties do not challenge that determination here. Thus, the parties agree that if the six-year statute of limitations provided in CPLR 213 (2) applies, then plaintiff's action is timely, but if Ontario's two-year statute of limitations applies pursuant to CPLR 202, the action must be dismissed as time-barred. Defendants contend that New York's borrowing statute, CPLR 202, requires application of Ontario's shorter limitations period. Plaintiff, by contrast, contends that the choice-of-law provision in the NDA requires the conclusion that the parties intended to preclude application of CPLR 202 and instead ap-

ply solely the six-year limitations period provided by CPLR 213 (2).

The NDA contained the following choice-of-law provision:

“This Agreement shall be governed by, construed and enforced in accordance with the laws of the State of New York. You hereby irrevocably and unconditionally consent to submit to the exclusive jurisdiction of the courts of the State of New York and of the United States District Courts located in the County of New York for any lawsuits, actions or other proceedings arising out of or relating to this Agreement and agree not to commence any such lawsuit, action or other proceeding except in such courts. . . . You hereby irrevocably and unconditionally waive any objection to the laying of venue of any lawsuit, action or other proceeding arising out of or relating to this Agreement in the courts of the State of New York or the United States District Courts located in the County of New York, and hereby further irrevocably and unconditionally waive and agree not to plead or claim in any such court that any such lawsuit, action or other proceeding brought in any such court has been brought in an inconvenient forum.”

Supreme Court dismissed plaintiff’s claims asserted on Sky-Power’s behalf as time-barred (2016 NY Slip Op 31650[U] [2016]), and the Appellate Division affirmed, concluding that CPLR 202 applied (144 AD3d 122 [1st Dept 2016]). The parties subsequently entered into a so-ordered stipulation resolving an appeal from a final judgment dismissing plaintiff’s remaining repleaded claims. We granted plaintiff leave to appeal from that stipulation (29 NY3d 913 [2017]), which brings up for review the prior non-final order of the Appellate Division. We now affirm.

II.

CPLR 202 provides:

“An action based upon a cause of action accruing without the state cannot be commenced after the expiration of the time limited by the laws of either the state or the place without the state where the cause of action accrued, except that where the cause

of action accrued in favor of a resident of the state the time limited by the laws of the state shall apply.”

In other words, “[w]hen a nonresident sues on a cause of action accruing outside New York, CPLR 202 requires the cause of action to be timely under the limitation periods of both New York and the jurisdiction where the cause of action accrued” (*Global Fin. Corp. v Triarc Corp.*, 93 NY2d 525, 528 [1999]). The parties agree that plaintiff’s claims asserted on behalf of SkyPower accrued in Ontario. Application of the borrowing statute would therefore require plaintiff’s action to be timely under Ontario’s two-year statute of limitations. Plaintiff contends, however, that the NDA’s broad contractual choice-of-law provision encompasses a choice of New York’s procedural law, including New York’s general six-year statute of limitations in CPLR 213 (2), to the exclusion of CPLR 202, which plaintiff equates to a “statutory choice-of-law directive” of the kind that we held should not be applied in *Ministers & Missionaries Benefit Bd. v Snow* (26 NY3d 466 [2015], *rearg denied* 26 NY3d 1136 [2016]).

We begin with the “fundamental, neutral precept of contract interpretation . . . that agreements are construed in accord with the parties’ intent,” and “[t]he best evidence of what parties to a written agreement intend is what they say in their writing” (*Greenfield v Philles Records*, 98 NY2d 562, 569 [2002] [internal quotation marks omitted]). In addition, it is a “deeply rooted” principle of New York contract law that parties “may . . . contract as they wish” (*J.P. Morgan Sec. Inc. v Vigilant Ins. Co.*, 21 NY3d 324, 334 [2013] [internal quotation marks omitted]) in the absence of “some violation of law or transgression of a strong public policy” (*Rowe v Great Atl. & Pac. Tea Co.*, 46 NY2d 62, 67-68 [1978]; *see New England Mut. Life Ins. Co. v Caruso*, 73 NY2d 74, 81 [1989], *rearg denied* 74 NY2d 651 [1989]).

Contractual “[c]hoice of law provisions typically apply to only substantive issues . . . and statutes of limitations are considered ‘procedural’ because they are deemed ‘as pertaining to the remedy rather than the right’ ” (*Portfolio Recovery Assoc., LLC v King*, 14 NY3d 410, 416 [2010], quoting *Tanges v Heidelberg N. Am.*, 93 NY2d 48, 54-55 [1999]). Here, however, the parties agree with the Appellate Division’s determination that the contract “should be interpreted as reflecting the parties’ intent to apply both the substantive and procedural law of New York State to their disputes” (144 AD3d at 126-127).

CPLR 202 is an abiding part of New York's procedural law. "CPLR 202 is a reenactment, without substantive change, of section 13 of the Civil Practice Act which in turn substantially reenacted section 390-a of the Code of Civil Procedure, added in 1902 (L 1902, ch 193)" (*Antone v General Motors Corp., Buick Motor Div.*, 64 NY2d 20, 27 [1984]; see *Global Fin. Corp.*, 93 NY2d at 528-529). "[E]arlier iterations of the borrowing statute predate the substantive choice-of-law 'interest analysis' test used in tort cases and the 'grouping of contacts' or 'center of gravity' approach used in contract cases" (*Global Fin. Corp.*, 93 NY2d at 529 [citations omitted]). We have described CPLR 202 as "part of this State's procedural code" (*Insurance Co. of N. Am. v ABB Power Generation*, 91 NY2d 180, 187 [1997]; see *Martin v Dierck Equip. Co.*, 43 NY2d 583, 588 [1978]).

It is undisputed that had the NDA's choice-of-law provision incorporated only New York *substantive* law and contained a New York forum selection clause, New York would apply its own procedural law as the law of the forum (see *Tanges*, 93 NY2d at 53), including CPLR 202 (see *Portfolio Recovery Assoc.*, 14 NY3d at 416). Indeed, where the Court has held that parties have opted into New York procedural law in the past, it has suggested that CPLR 202 may apply. Thus, in *Matter of Smith Barney, Harris Upham & Co. v Luckie* (85 NY2d 193 [1995]), which involved contractual choice of law provisions similar to that at issue here (see *id.* at 198-199), the Court remitted to the Appellate Division for a determination regarding statute of limitations issues and instructed the Appellate Division to consider, among other things, the "applicability of the borrowing statute" in making that determination (see *id.* at 206-207).

Plaintiff argues that because the contract in this case specified that it would be "enforced" according to New York law, the parties intended to apply New York's procedural law except for its statutory choice-of-law provisions, which, plaintiff alleges, includes CPLR 202. We conclude, however, that the mere addition of the word "enforced" to the NDA's choice-of-law provision does not demonstrate the intent of the contracting parties to apply solely New York's six-year statute of limitations in CPLR 213 (2) to the exclusion of CPLR 202. Rather, the parties have agreed that the use of the word "enforced" evinces the parties' intent to apply New York's procedural law. CPLR 202 is part of that procedural law, and the statute therefore applies here.

Our decision in *Ministers & Missionaries* does not require a contrary conclusion. That case represented an extension of our decision in *IRB-Brasil Resseguros, S.A. v Inepar Invs., S.A.* (20 NY3d 310 [2012], *cert denied* 569 US 994 [2013]), in which we held that the parties' contractual choice of New York's substantive law, made pursuant to General Obligations Law § 5-1401, precluded application of New York's common-law conflict-of-laws principles (*see id.* at 315-316). In *Ministers & Missionaries*, we extended that holding to contracts outside the scope of General Obligations Law § 5-1401 and to "statutory choice-of-law directives," reasoning that choice-of-law directives enacted into statute stood on equal footing with their common-law counterparts (*Ministers & Missionaries Benefit Bd.*, 26 NY3d at 473-475). We stated that if, under *IRB-Brasil*,

"New York's common-law conflict-of-laws principles should not apply when the parties have chosen New York law to govern their dispute . . . and EPTL 3-5.1 (b) (2) simply represents a common-law conflicts principle that has been codified into statute, that provision should not be considered in resolving this dispute" (*id.* at 474).

CPLR 202, however, differs from the statutory choice-of-law directive at issue in *Ministers & Missionaries*. Inasmuch as earlier iterations of CPLR 202 predate our current common-law conflicts approaches, we have recognized a "significant difference" between those common-law conflicts principles and a statute of limitations issue governed by the CPLR, including CPLR 202 (*see Global Fin. Corp.*, 93 NY2d at 528-529). Indeed, the parties agree that unlike the statute at issue in *Ministers & Missionaries*, which we described as "merely a codification of a long-standing common-law conflict-of-laws principle, eventually placed within the EPTL because it corresponds to that general area of law" (*Ministers & Missionaries*, 26 NY3d at 473), CPLR 202 is in derogation of the long-standing common-law conflicts principle that the law of the forum applies to procedural issues such as the statute of limitations (*see e.g. Portfolio Recovery Assoc.*, 14 NY3d at 416; *Martin*, 43 NY2d at 588; *Miller v Brenham*, 68 NY 83, 87 [1877]). Furthermore, until 1988, the Restatement (Second) of Conflict of Laws did not consider "borrowing statutes" to be "substantive" law subject to common-law choice-of-law principles, but rather applied as a matter of course to bar actions (*see Restatement [Second] of Conflict of Laws* § 142 [1] [1971] ["(A)n action will

not be maintained if it is barred by the statute of limitations of the forum, including a provision borrowing the statute of limitations of another state”). The Restatement changed its position in 1988 (see Restatement [Second] Conflict of Laws § 142 [1988]), but this Court continues to treat statutes of limitation as procedural (see e.g. *Portfolio Recovery Assoc.*, 14 NY3d at 416; *Tanges*, 93 NY2d at 59). For these reasons, we reject plaintiff’s invitation to broadly redefine a “statutory choice-of-law directive” as any statute that may require the application of the law of another state, inasmuch as that definition is unmoored from the rationale of our decisions in *IRB-Brasil* and *Ministers & Missionaries*.¹

In addition, *IRB-Brasil* and *Ministers & Missionaries* each involved a contractual choice-of-law provision that chose only New York’s substantive law. The Court considered the extent to which common-law or statutory principles that refer to the substantive law of another jurisdiction should apply in light of that choice. Those cases did not consider a contractual choice-of-law provision that involved a choice of procedural law, or the boundaries of contracting parties’ ability to preclude application of certain of New York’s procedural laws in an action brought in New York courts.

We further disagree with plaintiff that it is irrational to conclude that the contracting parties may have intended for CPLR 202 to apply. As explained, the borrowing statute is a stable fixture of New York’s procedural law, of which these sophisticated commercial entities were presumably aware when they chose New York’s procedural law to govern their arrangement. Notably, the NDA was signed in 2008, several years before we decided *Ministers & Missionaries* and therefore before the phrase “statutory choice-of-law directive” entered our vocabulary. It is therefore reasonable to conclude that the parties may have intended for CPLR 202 to apply, perhaps for strategic reasons, or because they did not think at the time that it was possible to contract around the application of statutes they believed to be statutory choice-of-law directives, or otherwise.

1. Although statutes enacted in derogation of the common law must be strictly construed (see *Oden v Chemung County Indus. Dev. Agency*, 87 NY2d 81, 86 [1995]), we are not construing or interpreting the text of CPLR 202 here. Rather, we are deciding, based on the language of the parties’ contract, whether CPLR 202 applies at all to disputes arising from that agreement.

Furthermore, although “in the instant case, forum-shopping is not a consideration, since the parties in their agreement have designated New York as their forum of choice,” we have stated that discouraging forum shopping is not the statute’s “only purpose” (*Insurance Co. of N. Am.*, 91 NY2d at 187). “As part of this State’s procedural code, CPLR 202 is [also] designed to add clarity to the law and to provide the certainty of uniform application to litigants” (*id.*). Thus, we have applied CPLR 202 even in cases where the contracting parties agreed to exclusive venue in New York (*see id.* at 187-188).

In short, where a contract “was negotiated between sophisticated, counseled business people negotiating at arm’s length,” courts should be especially “reluctant to interpret an agreement as impliedly stating something which the parties have neglected to specifically include” (*Vermont Teddy Bear Co. v 538 Madison Realty Co.*, 1 NY3d 470, 475 [2004] [internal quotation marks omitted]). “Hence, ‘courts may not by construction add or excise terms, nor distort the meaning of those used and thereby make a new contract for the parties under the guise of interpreting the writing’ ” (*id.*, quoting *Reiss v Financial Performance Corp.*, 97 NY2d 195, 199 [2001]). Here, the contracting parties chose New York’s procedural law, and CPLR 202 is part of that procedural law. The borrowing statute therefore applies.

Inasmuch as the NDA did not expressly provide that disputes arising from the agreement would be governed by New York’s six-year statute of limitations, or otherwise include language that expressed a clear intent to preclude application of CPLR 202, we, like the Appellate Division, have no occasion to address whether enforcement of such a contractual provision would run afoul of CPLR 201 or General Obligations Law § 17-103, or would otherwise violate New York’s public policy against contractual extensions of the statute of limitations before accrual of the cause of action (*see generally John J. Kassner & Co. v City of New York*, 46 NY2d 544, 550-551 [1979]). We therefore express no opinion on that issue.²

Accordingly, the stipulation appealed from and the Appellate Division order brought up for review should be affirmed, with costs.

2. In that regard, we also have no occasion to opine on whether any resemblance between CPLR 202 and a “choice-of-law” directive, insofar as it directs the application of the law of another jurisdiction, may be relevant to that question.

Chief Judge DiFiore and Judges Rivera, Stein, Wilson and Feinman concur; Judge Garcia taking no part.

Stipulation appealed from, and Appellate Division order brought up for review, affirmed, with costs.

[104 NE3d 687, 79 NYS3d 583]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v SERGEY
ALEJNIKOV, Appellant.

Argued March 27, 2018; decided May 3, 2018

SUMMARY

APPEAL, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered January 24, 2017. The Appellate Division (1) reversed, on the law, an amended order of the Supreme Court, New York County (Daniel P. Conviser, J.; op 49 Misc 3d 286 [2015]), which, insofar as appealed from as limited by the briefs, had granted defendant's motion for a trial order of dismissal to the extent of setting aside the jury's verdict convicting him of unlawful use of secret scientific material; (2) denied the motion; (3) reinstated the verdict; and (4) remanded the matter for sentencing.

People v Aleynikov, 148 AD3d 77, affirmed.

HEADNOTES

Crimes — Unlawful Use of Secret Scientific Material — Tangible Reproduction or Representation

1. In the prosecution of defendant for unlawful use of secret scientific material based on his actions in uploading first to a foreign server then downloading to his personal computer a copy of the proprietary source code for his employer's high-frequency trading system without permission before defendant left to work for a start-up company, there was legally sufficient evidence that defendant created a tangible copy of the source code on the foreign server in violation of Penal Law § 165.07. An individual is guilty of unlawful use of secret scientific material under section 165.07 "when, with intent to appropriate . . . the use of secret scientific material, and having no right to do so and no reasonable ground to believe that he [or she] has such right, [the individual] makes a tangible reproduction or representation" of the material "by means of writing, photographing, drawing, mechanically or electronically reproducing or recording" it. The statute was intended to ensure that a defendant who makes a copy of secret scientific material, but does not take the original, is subject to criminal sanction even though the defendant has not committed larceny. The term "tangible" is not defined in the Penal Law, and, although there is a narrow definition of "touchable," it can also denote "material" and "having physical form." According to the statute, what must be tangible is not the secret scientific material, but the reproduction or representation thereof. A copy of source code may be tangible even if the source code is not. Here, the testimony established that while source code, as abstract intellectual property, does not have physical form, the representation of it is material, inasmuch as computer files stored on a hard drive or CD are physically present thereon and that the source code took up physical

space in a computer hard drive. Therefore, a rational jury could have found that the “reproduction or representation” that defendant made of his employer’s source code, when he uploaded it to the foreign server, was tangible in the sense of “material” or “having physical form.”

Crimes — Unlawful Use of Secret Scientific Material — Intent to Appropriate Use of Secret Scientific Material

2. In the prosecution of defendant for unlawful use of secret scientific material based on his actions in uploading first to a foreign server then downloading to his personal computer a copy of the proprietary source code for his employer’s high-frequency trading system without permission before defendant left to work for a start-up company, there was legally sufficient evidence that defendant had the necessary mens rea of “intent to appropriate . . . the use of secret scientific material” in violation of Penal Law § 165.07, notwithstanding that the employer retained and continued to use the source code after defendant copied it. Under Penal Law § 155.00 (4) (a), a person appropriates property by exercising control over it “permanently” or “for so extended a period or under such circumstances as to acquire the major portion of its economic value or benefit.” Appropriation does not imply depriving another of property, inasmuch as the term larceny in general is defined as involving either intent to appropriate or intent to deprive, with the clear implication that the two terms refer to separate concepts. Moreover, interpreting the term “appropriate” to require that defendant intended to deprive his employer of all possession or use of the source code would read the words “the use of” out of “intent to appropriate . . . the use of secret scientific material” (Penal Law § 165.07). In focusing on the appropriation of the use of scientific material, rather than the appropriation of the material itself, the statute necessarily contemplates the simultaneous exercise of control by the rightful possessor of the scientific material. Here, defendant conceded that he intended to exercise control over the source code permanently, alluding in his brief to the fact that he “intended to permanently retain (*i.e.*, did not intend to return) the copy he made of [the employer’s] source code.”

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Computers and the Internet § 255.

McKINNEY’S, Penal Law §§ 155.00 (4) (a); 156.30, 165.07.

NY JUR 2d Criminal Law: Substantive Principles and Offenses § 1039.

ANNOTATION REFERENCE

See ALR Index under Computers; Criminal Law; Internet; Larceny or Theft.

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POINTS OF COUNSEL

Marino, Tortorella & Boyle, P.C., Chatham, New Jersey (Kevin H. Marino, John D. Tortorella, John A. Boyle and Erez J. Davy of counsel), and New York City, for appellant. I. The First Department erred as a matter of law in holding that saving data to a computer hard drive constitutes making a “tangible reproduction or representation.” (*People v Aragon*, 28 NY3d 125; *Thyroff v Nationwide Mut. Ins. Co.*, 8 NY3d 283; *United States v Stafford*, 136 F3d 1109; *United States v Martin*, 228 F3d 1; *United States v Brown*, 925 F2d 1301; *America Online, Inc. v St. Paul Mercury Ins. Co.*, 347 F3d 89; *AMCO Ins. Co. v Carpet Direct Corp.*, 157 F Supp 3d 1018; *District of Columbia v Universal Computer Assoc., Inc.*, 465 F2d 615; *United States v Yijia Zhang*, 995 F Supp 2d 340; *State Auto Prop. & Cas. Ins. Co. v Midwest Computers & More*, 147 F Supp 2d 1113.) II. The First Department erred as a matter of law in holding that Sergey Aleynikov acted with the intent to “appropriate” the “use” of Goldman Sachs’ source code. (*McCourt v People*, 64 NY 583; *People v Lammerts*, 164 NY 137; *People v Kenney*, 135 App Div 380; *People v Headley*, 37 Misc 3d 815; *Almeida v Holder*, 588 F3d 778; *People v Schulz*, 67 NY2d 144; *Sosa v Alvarez-Machain*, 542 US 692; *Matter of Reinaldo O.*, 250 AD2d 502.) III. The plausibility of the trial court’s interpretation of the unlawful use statute compelled Sergey Aleynikov’s acquittal under the rule of lenity. (*People v Thompson*, 26 NY3d 678; *People v Golb*, 23 NY3d 455.)

Cyrus R. Vance, Jr., District Attorney, New York City (Elizabeth Roper, Hilary Hassler, Daniel Holmes and Jeremy Glickman of counsel), for respondent. I. The Appellate Division correctly held that defendant made a “tangible reproduction or representation” of Goldman Sachs’ source code by uploading and saving it onto a computer hard drive. (*People v Williams*, 19 NY3d 100; *People v Golo*, 26 NY3d 358; *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577; *People v Finley*, 10 NY3d 647; *People v Russo*, 131 Misc 2d 677; *People v Versaggi*, 83 NY2d 123; *People v Byron*, 17 NY2d 64; *People v Ocasio*, 28 NY3d 178; *United States v Bottone*, 365 F2d 389; *People v Kent*, 19 NY3d 290.) II. The Appellate Division correctly concluded that the evidence showed defendant’s intent to exercise permanent control over the use of Goldman Sachs’ source code. (*People v Jennings*, 69 NY2d 103; *People v Brigante*, 186 AD2d 360; *People v Guzman*, 68 AD2d 58; *People v Parker*, 96 AD2d 1063; *Matter of Shawn V.*, 4 AD3d 369; *People*

v Matthews, 61 AD2d 1017; *People v Montgomery*, 39 AD2d 889; *Matter of Reinaldo O.*, 250 AD2d 502; *Almeida v Holder*, 588 F3d 778.)

OPINION OF THE COURT

FAHEY, J.

Ideas begin in the mind. By its very nature, an idea, be it a symphony or computer source code, begins as intangible property. However, the medium upon which an idea is stored is generally physical, whether it is represented on a computer hard drive, vinyl record, or compact disc. The changes made to a hard drive or disc when information is copied onto it are physical in nature. The representation occupies space. Consequently, a statute that criminalizes the making of a tangible reproduction or representation of secret scientific material by electronically copying or recording applies to the acts of a defendant who uploads proprietary source code to a computer server.

Background

In May 2007, defendant Sergey Aleynikov began employment at Goldman Sachs (Goldman), the investment banking and financial services company, as a computer programmer working on the firm's high-frequency trading software. High-frequency trading—which uses sophisticated, electronic trading tools, proprietary strategies, and computer algorithms to perform market data calculations and trade securities at very rapid speeds—is highly competitive. At the time, larger, established institutions competed with nimbler start-up companies, which were developing their software from scratch. As a senior employee in Goldman's technology division explained at defendant's trial, the firm sought to “stay competitive by constantly investing in and updating [its] software to be as fast . . . as possible, to have the best connectivity and infrastructure as possible and [to] have the best algorithm[s] as possible.”

The computer code for Goldman's high-frequency trading system is a key to successful trading for several reasons, as the senior employee would testify. First, one essential value of the code is “[c]onnectivity,” which “allows [a] computer program to speak to various stock exchanges or to have market data about what's going on in the world,” including the price of a stock at “any given second.” Second is its “business logic” component,

the algorithms that permit Goldman employees “to make a decision about what trade to generate or what price to advertise, which price [to] buy or sell a security at.” A third key component of the computer code is the “infrastructure” or “all the other software . . . to make [the] system run robustly throughout the trading day.” Goldman’s high-frequency trading software is a constantly updated version of a system acquired by the firm when it purchased a pioneering algorithmic trading company in 1999 for some half a billion dollars.

Defendant’s primary responsibilities at Goldman included “the infrastructure components” of the stock group and “upgrading one of the exchange connectivity components.” Defendant had complete access to the high-frequency trading system’s source code, i.e., computer instructions written in a human-readable programming language. The source code was contained in the firm’s “software repository” or library. A software developer such as defendant “could check out the code . . . make changes to it and test it locally, merge it with the changes of other individuals, and then have those changes become the production software that runs every day.”

Goldman employees, however, were not permitted to remove a copy of source code from the company’s network. Every Goldman employee signed a confidentiality agreement acknowledging that any software the employee is creating is the property of the firm. The employee confidentiality agreement stated that “[c]onfidential and proprietary information and materials shall be used only as authorized and only for the purposes intended by Goldman Sachs.” Moreover, access to the source code while an employee was away from the office was restricted, with the only authorized access to the source code repository from home or while traveling being “remote log-in access to [the employee’s] desktop,” which gave an employee “a window onto” the employee’s Goldman desktop computer, while “all of the files and contents” would “stay inside Goldman Sachs.” Programmers were not permitted to email source code to themselves.

By late 2008, defendant’s annual remuneration at Goldman was \$400,000, but, in the spring of 2009, defendant accepted an offer of employment at Teza Technologies (Teza), a Chicago-based start-up company, where his annual compensation would be \$1.2 million. Teza had no equipment, connectivity, or software for high-frequency trading at the time. Its founder planned to develop high-frequency trading infrastructure and software from scratch, and urged new employees to “execute

relentlessly” because the start-up was “up against experienced and very wealthy competitors.” Defendant was to be the “head of infrastructure” and “the system architect.”

On June 5, 2009, his last day at Goldman, defendant uploaded a large quantity of Goldman’s high-frequency trading source code, via a website, to a subversion repository, i.e., a remote server to which a user could transfer code. He used the same username, “saleyn,” that he had chosen for his personal email account. The Internet security systems at Goldman generally blocked employee access to such websites, but had overlooked this one, based in Germany.

Defendant wrote a computer script to compress data from Goldman’s source code repository into files known as “tarballs.” Defendant ran this program, encrypted the resulting tarballs, and uploaded the source code to the German server. In particular, defendant uploaded Goldman’s “Order Book Builder” or OBB software, used to process market data from stock exchanges. Defendant then erased the tarballs. He also “back dated the script” to make it appear that it had been created two years earlier.

Subsequently, defendant downloaded the source code to his home computers. On June 9, 2009, Teza created an account on a website that allowed companies to share source code within a select group of users. Later that month, defendant placed high-frequency trading software in a source code repository on that website.

In late June 2009, Goldman employees responsible for the firm’s information security discovered that unauthorized transfers of data from Goldman’s repository had occurred in the early evening of June 5, 2009: over 13 megabytes of data in one transfer and over 4.5 megabytes of data in the other. The investigating team at Goldman identified the device from which the transfers had been conducted as defendant’s work computer, and inspected its BASH history, which is a “record of commands issued by a given user to [a] computer.”

The team retrieved the BASH history “from a snapshot directory”—saved on Goldman’s computer network (rather than on defendant’s computer itself)—showing recent past activity on defendant’s computer. In this back-up BASH history, the investigators found “data transfer commands” related to the June 5 source code transfers. Moreover, the back-up BASH history revealed that defendant had entered a command to

selectively remove, from the BASH history stored on his own computer, the copying of source code. Goldman contacted the Federal Bureau of Investigation.

Federal Action

FBI agents arrested defendant on July 3, 2009, after he returned from a trip to Teza's headquarters in Chicago. Defendant waived his *Miranda* rights and admitted that he had uploaded files from his work at Goldman to the German website and had subsequently downloaded the data to his home desktop computer. Defendant indicated that the data could also be found on his laptop computer, USB flash drive, and external hard drive. Defendant told an FBI agent that he had signed up for an account on the German website because Goldman had not "blocked" the site. Defendant suggested that he had kept the software because "he wanted to inspect the files much like a person in college would go back and read a paper." At first, defendant told the agent that he had uploaded and downloaded only files that contained open-source code, i.e., software developed by programmers in a collaborative manner and readily available to the public on the Internet. However, after the agent began to ask questions revealing that the FBI knew the BASH history of defendant's computer, defendant suggested that he had transferred "more files than he intended to" from Goldman's high-frequency trading software library.

Defendant completed and signed a written statement, explaining the process whereby he had compressed, uploaded, and downloaded Goldman's high-frequency trading source code. Defendant again claimed that his initial purpose was "to collect open source work" from Goldman's repository that he "had previously worked on," which he "wanted to inspect . . . later," and he insisted that he had not shared Goldman's proprietary information with anyone.

In February 2010, a federal grand jury charged defendant with violation of the National Stolen Property Act, 18 USC § 2314, which makes it a crime to "transmit[] or transfer[] in interstate or foreign commerce any goods, . . . of the value of \$5,000 or more, knowing the same to have been stolen," as well as violation of the Economic Espionage Act of 1996, 18 USC § 1832. Defendant proceeded to trial in the United States District Court for the Southern District of New York, and in December 2010 a jury found him guilty as charged. On appeal from the District Court's judgment of conviction and sentence,

defendant argued that the source code was not a stolen “good” within the meaning of the National Stolen Property Act, and that the code was not “related to a product . . . used in or intended for use in interstate or foreign commerce” under the Economic Espionage Act.

In 2012, the United States Court of Appeals for the Second Circuit reversed, holding that the source code was “intangible property” and therefore not a “good” under the National Stolen Property Act (*see United States v Aleynikov*, 676 F3d 71, 76-79 [2d Cir 2012]). The Second Circuit ruled that “the theft and subsequent interstate transmission of purely intangible property is beyond the scope of the [National Stolen Property Act]” (*id.* at 77), which has, as its “basic element,” a “taking of a physical thing” (*id.*). The federal court “decline[d] to stretch or update statutory words of plain and ordinary meaning in order to better accommodate the digital age” (*id.* at 79). The Second Circuit also held that defendant did not violate the Economic Espionage Act because the source code was not intended for use in interstate or foreign commerce (*see id.* at 82).

New York Action

In September 2012, defendant was charged in state court (*see* CPL 40.20 [2] [f]) with two counts of unlawful use of secret scientific material (Penal Law § 165.07) and one count of unlawful duplication of computer related material in the first degree (Penal Law § 156.30 [1]). Following pretrial motion practice and a suppression hearing and ruling not pertinent here, defendant proceeded to a jury trial in Supreme Court in April 2015.

The jury heard testimony from FBI agents and Goldman employees concerning the discoveries and admissions that had led to defendant’s federal prosecution. In addition, the People called a number of witnesses who testified about the significance of the source code defendant had uploaded to the German server and then downloaded to his personal electronic devices.

Senior Goldman employees testified that having access to the firm’s high-frequency trading source code would be useful to a competitor for a number of reasons. In addition to testimony about the value of access to Goldman’s algorithmic “theoretical value library” of fair prices for stock, the jury heard that the infrastructure and connectivity aspects of the source code would be useful to a developer working at a start-up, because the developer

“would have the answer in the back of the book from . . . tens or hundreds of people developing a system. If you are at a start-up and you are asked to undertake a task and you can refer to how that was done in a system that you know works, you will be much more productive, much more rapidly able to develop a system that works for the competitor.”

The jury heard testimony regarding Goldman’s OBB software. A former company vice-president who had supervised the firm’s stock group testified as follows:

“[y]ou receive market data from exchanges. Effectively these are the orders that are . . . trying to trade in the market which then effectively makes up the price. But in addition to there being a price, . . . the exchange remembers all the orders that everybody has made on it and it communicates to everybody what this looks like . . . OBB is a way to organize all of these orders into what is called a book and present these books to the trading applications so they can understand the state of the market.”

Having an existing OBB program available to use as a reference would make it easier for a software developer to create a new high-frequency trading system and would improve a start-up’s “time to market, meaning how long it would take a new trading venue . . . to start trading [] effectively.”

The computer engineer and algorithmic trader who had designed and developed Goldman’s OBB, Navin Kumar, testified that he had spent a year and a half to two years on the project, and he explained that OBB was not dependent on other Goldman codes or libraries, and therefore would be easy to implement outside the firm. Most significantly, Kumar testified that the software that defendant placed in Teza’s account at the source code repository website used “the same design as” Goldman’s OBB software, including “[r]oughly a dozen” design decisions that the developer recalled making himself. Similarly, a cybercrime analyst at the District Attorney’s Office testified that a comparison between what defendant uploaded to Teza’s account at the repository website and corresponding material from Goldman revealed only minor modifications.

Kumar also gave testimony about the fundamental nature of source code, stating that “abstract source code,” as intellectual

property, does not have physical form, but that the “[r]epresentation of it” is “concrete.” Kumar added that when computer files are stored on a hard drive or compact disc, they are physically present on that drive or CD, and that data is visible “in aggregate” when stored on such a medium. For example, on “a burned CD, you’d be able to see . . . if anything is written.” Similarly, an FBI agent testified that while source code itself is not something that can be touched and felt, code that is stored on a computer’s hard drive “takes up physical space in a computer hard drive.” In addition, the People called a German law enforcement officer who described how “physical drives,” in the form of “two 400 gigabyte hard drives,” had been removed from the subversion server.

At the close of the People’s case, defendant moved for a trial order of dismissal, under CPL 290.10, arguing that the evidence was not sufficient to show that he had made “a tangible reproduction” of Goldman’s source code, or to show his “intent to appropriate . . . the use of” the code. Defendant did not dispute that the source code constituted “secret scientific material” within the meaning of the pertinent definitional provision, Penal Law § 155.00 (6), or argue that he had copied only open source code. Supreme Court reserved decision on the motion.¹

The jury found defendant guilty of unlawful use of secret scientific material committed on June 5, 2009, failed to reach a unanimous verdict on the other unlawful use count (related to an earlier date), and acquitted defendant of unlawful duplication.

In July 2015, Supreme Court granted defendant’s motion for a trial order of dismissal with respect to both unlawful use of secret scientific material counts and set aside the jury’s verdict (49 Misc 3d 286 [Sup Ct, NY County 2015]). Observing that “[t]here was no evidence Aleynikov ever duplicated the source code he downloaded to a piece of paper, any medium where it could be touched or any medium outside a computer or thumb drive” (49 Misc 3d at 290), the trial court concluded that the source code was not a “tangible reproduction or representation” of the source code, within the meaning of Penal Law § 165.07. The court reasoned that although “[a]n electronic image can become tangible when it is printed on paper[,] . . . computer

1. The principal defense witness was Teza’s owner, who insisted that he had not hired defendant in the hope that he would copy source code from Goldman, but conceded that he had offered defendant by far the highest salary of the programmers he employed.

code does not become tangible merely because it is contained in a computer” (49 Misc 3d at 320).

Supreme Court also held that the evidence is legally insufficient that defendant intended “to appropriate . . . the use of” the source code under Penal Law §§ 165.07 and 155.00 (4). In particular, the trial court found no evidence that defendant “ever sold or attempted to sell the source code he transferred” (49 Misc 3d at 290), or that “Teza was motivated to hire [defendant] because of [his] unauthorized transfer of the code” or “earned any income from the source code [he] obtained” (*id.*).

The People appealed from Supreme Court’s order to the extent it dismissed the unlawful use of secret scientific material count related to the June 5, 2009 transfer. (The People did not seek to reinstate the other unlawful use count.)

In 2017, the Appellate Division reversed Supreme Court’s order, insofar as appealed from, denied defendant’s motion and reinstated the verdict as to the challenged count, and remanded the matter for sentencing (148 AD3d 77 [1st Dept 2017]).

The Appellate Division held that defendant made a “tangible reproduction or representation” of the source code when he uploaded the code to the hard drive of the German server (*see id.* at 85). The Appellate Division pointed out that the issue was “not whether the source code itself was tangible, but whether defendant made a tangible *reproduction* of it” (*id.*). The Court held that defendant made a tangible reproduction of the code “when he copied it onto the server’s ‘physical’ hard drive where it took up ‘physical space’ and was ‘physically present’ ” (*id.*). The Appellate Division noted that “[t]he testimony of the People’s witnesses at trial established that defendant created a copy of the source code that physically resided on the server’s hard drive, a physical medium” (*id.*).

With respect to the question whether the unlawful use statute could have been intended to criminalize conduct involving twenty-first century technology, the Appellate Division reasoned that “[t]he statute was drafted with broad generalized language that fits squarely into today’s digital world” (148 AD3d at 86). The Appellate Division further observed that the statute “proscribes making tangible reproductions or representations of secret scientific material not only by means of ‘writing, photographing [and] drawing,’ but also by ‘mechanically or electronically reproducing or recording [the] material’ ” (*id.*, quoting Penal Law § 165.07 [emphasis omitted]).

The Appellate Division rejected Supreme Court's assumption "that the source code had to have been printed on paper in order to be tangible," explaining that

"[t]he statute merely requires a 'tangible reproduction or representation' of the secret material, and is silent as to the medium upon which the reproduction or representation will reside. Thus, the fact that defendant made the reproduction onto a physical hard drive, rather than onto a piece of paper, is of no consequence. Both are tangible within the meaning of the unlawful use statute. It would be incongruous to allow defendant to escape criminal liability merely because he made a digital copy of the misappropriated source code instead of printing it onto a piece of paper" (148 AD3d at 86).

The Appellate Division noted that

"[t]he natural extension of the trial court's position is that even if defendant had copied the source code onto a compact disk or a thumb drive, and walked out of Goldman's premises with that device, he still would not have violated the unlawful use statute because no paper was involved. Such a result makes little sense because a compact disk and a thumb drive are both unquestionably tangible. The trial court's position also ignores the trial evidence that a hard drive can be taken out of the server, and thus has a physical presence independent of the computer in which it was housed" (148 AD3d at 86-87).

The Appellate Division found support for its position that a "tangible reproduction or representation" of source code is created when the code is saved to a physical medium such as a hard drive in *People v Kent* (19 NY3d 290, 301-302 [2012]).

The Appellate Division wrote that the reasoning underlying the Second Circuit's decision did not call its conclusion into question.

"In finding that defendant's conduct did not violate the National Stolen Property Act, the Second Circuit concluded that the source code transferred by defendant was 'intangible property,' and therefore was not a 'stolen' 'good' within the meaning of the federal statute. As discussed earlier, the rele-

vant inquiry under the unlawful use statute is not whether the source code itself was tangible, but whether defendant made a tangible reproduction of it, which the evidence shows that he did” (148 AD3d at 88 [citation omitted]).

On the issue of intent, the Appellate Division held that “the evidence was legally sufficient to establish that defendant possessed the requisite *mens rea*” (*id.*). Supreme Court had “focused only on the second prong of the definition of ‘appropriate,’ and failed to appreciate the first prong, which refers to the intent to ‘permanently’ exercise control” (*id.*).

“Here, the People’s proof at trial permits a rational inference that defendant intended to exercise permanent control over the use of Goldman’s source code, as opposed to a short-term borrowing. . . . Further, the record contains no evidence that defendant ever tried to return the misappropriated source code to Goldman, or to delete it from his or his new employer’s devices.

“Because the evidence was sufficient to show defendant’s intent to exercise permanent control, the People correctly argue that they were not required to prove the second prong of the definition of ‘appropriate,’ i.e., that defendant intended to acquire the major portion of the economic value or benefit of the source code. Nor was it necessary for the People to prove that defendant intended to deprive Goldman of the use of the source code. The unlawful use statute only requires the intent to ‘appropriate’ the use of the secret scientific material and does not require any intent to ‘deprive.’ Further, the statute does not require that defendant intend to appropriate the source code itself, but only the use of the code” (148 AD3d at 88-89 [emphasis omitted]).

A Judge of this Court granted defendant leave to appeal (29 NY3d 995 [2017]). We now affirm.

Analysis

Under CPL 290.10 (1) (a), a court may grant a motion for a trial order of dismissal when the “trial evidence is not legally sufficient to establish the offense charged.” Evidence is legally sufficient when “viewing the evidence in the light most favor-

able to the prosecution, ‘there is a valid line of reasoning and permissible inferences from which a rational jury could have found the elements of the crime proved beyond a reasonable doubt’ ” (*People v Reed*, 22 NY3d 530, 534 [2014], quoting *People v Danielson*, 9 NY3d 342, 349 [2007]; see *Jackson v Virginia*, 443 US 307, 319 [1979]).

The crime of which defendant was found guilty is unlawful use of secret scientific material (Penal Law § 165.07), a class E felony. An individual is guilty of the crime

“when, with intent to appropriate . . . the use of secret scientific material, and having no right to do so and no reasonable ground to believe that he [or she] has such right, [the individual] makes a tangible reproduction or representation of such secret scientific material by means of writing, photographing, drawing, mechanically or electronically reproducing or recording such secret scientific material” (Penal Law § 165.07).

The disputed elements in this appeal are “with intent to appropriate . . . the use of secret scientific material” and “tangible reproduction or representation of such secret scientific material.” We discuss the “tangible reproduction” issue first.

I.

Defendant’s initial contention is that there is legally insufficient evidence that the source code he uploaded and downloaded was tangible within the meaning of Penal Law § 165.07. Legislative history and case law guide our analysis of the issue.

Penal Law § 165.07, enacted in 1967 (see L 1967, ch 791, § 23), was intended to ensure that a defendant who makes a copy of secret scientific material, but does not take the original, is subject to criminal sanction even though the defendant has not committed larceny. The statute

“works in tandem with the crime of larceny of secret scientific material [Penal Law § 155.30(3)]. In the larceny, the defendant steals ‘property’ consisting of secret scientific material, for example, a document reciting a secret scientific formula. In the unlawful use, with the same larcenous intent with respect to the contents of the formula, the defend-

ant, for example, photographs the document. In the absence of the unlawful use crime, the photographing [of a document containing a secret scientific formula] would not be a crime since it does not represent a traditional taking of the ‘property’ ” (William C. Donnino, Practice Commentary, McKinney’s Cons Laws of NY, Book 39, Penal Law § 165.07 at 200).

The Temporary Commission on Revision of the Penal Law and Criminal Code, which prepared the bill, explained that prior to its enactment, “a person who [stole] the blueprints of a secret process, commit[ted] larceny[, but] one who surreptitiously [made] a photographic copy of such blueprint, leaving the original in its proper place, [did] not commit larceny because he [or she] [was] not stealing ‘property’ ” (1967 NY Legis Ann at 21). Penal Law § 165.07 was intended “[t]o make this . . . type of conduct subject to criminal sanction” (*id.*).

The stimulus for the legislation (*see id.* at 20-21) was a federal case, *United States v Bottone*, in which defendants took, photocopied (at home), and then returned secret scientific documents—instructions for the manufacture of antibiotics and a steroid—from a drug manufacturing company, but did not take the documents permanently (*see United States v Bottone*, 365 F2d 389, 391 [2d Cir 1966]). The issue in *Bottone* was whether the documents had been “stolen” and “transport[ed]” within the meaning of the federal statute under which the defendants (and much later Aleynikov) were prosecuted, the National Stolen Property Act, 18 USC § 2314. Although the Second Circuit ruled that 18 USC § 2314 did apply, our legislature acted to ensure that there was no possible gap in the Revised Penal Law of 1967. The legislature thus sought to criminalize misappropriations of intellectual property that were not traditional takings, but resulted in tangible reproductions of the protected material.

The term “tangible” is not defined in the Penal Law. When a word used in a statute is not defined in the statute, dictionary definitions serve as “useful guideposts” in determining the word’s “‘ordinary’ and ‘commonly understood’ meaning” (*People v Ocasio*, 28 NY3d 178, 181 [2016]). This follows from the principle that, generally, unless a contrary intent is clear, lawmakers employ “words as they are commonly or ordinarily employed” (*People v Finley*, 10 NY3d 647, 654 [2008], quoting McKinney’s Cons Laws of NY, Book 1, Statutes § 232, Comment).

Dictionaries give two meanings of the word “tangible” that are pertinent for our purposes. One is a narrower definition that conforms closely to the word’s etymology: “[c]apable of being touched; affecting the sense of touch; touchable” (Oxford English Dictionary [<http://www.oed.com> (last accessed Apr. 19, 2018)]). This definition—“[c]apable of being touched”—was one of the meanings of the term listed in the edition of Black’s Law Dictionary that was current in 1967 (*see* Black’s Law Dictionary 1627 [4th ed 1951]). Another meaning of “tangible,” a derivative meaning, but equally valid, is “[m]aterial, externally real, objective” (Oxford English Dictionary [<http://www.oed.com> (last accessed Apr. 19, 2018)]), “[h]aving or possessing physical form; corporeal” (Black’s Law Dictionary 1683 [10th ed 2014]), or “substantially real: material” (Merriam-Webster Online Dictionary [<https://www.merriam-webster.com/dictionary/tangible> (last accessed Apr. 19, 2018)]). This definition—“real; substantial”—was also one of the meanings of the word listed in the edition of Black’s Law Dictionary current in 1967 (*see* Black’s Law Dictionary 1627 [4th ed 1951]).²

Defendant invites us to accept only the more restrictive meaning, “touchable,” and then to conclude that the source code he uploaded was intangible because, he maintains, code cannot be touched. Defendant’s argument fails for two fundamental reasons. First, we decline defendant’s invitation to focus on the narrow meaning of “tangible” (“touchable”). Interpreted in this manner, the term does not apply to ink printed on paper any more readily than to source code, and provides no workable criterion. Instead, we accept the dictionaries’ lesson that “tangible” can also denote “material” or “having physical form.” Second, the statutory language is unambiguous that the crime occurs when an individual “*makes a tangible reproduction or representation of . . . secret scientific material by means of writing, photographing, drawing, mechanically or electronically reproducing or recording such secret scientific material*” (Penal Law § 165.07 [emphasis added]). What must be tangible is not the secret scientific material—here, the source code—but the reproduction or representation thereof. The question for the Court, then, is not whether source code is tangible, but whether defendant made a tangible copy or copies of source

2. A third meaning, “[c]apable of being understood by the mind” (Black’s Law Dictionary 1683 [10th ed 2014]), is figurative, and the People do not argue on appeal that the term “tangible” in the statute means “capable of being understood by the mind.”

code when he uploaded source code to a server and downloaded it to his electronic devices.

Once this distinction is made, it becomes clear that the Second Circuit's conclusion, that Goldman's source code was "purely intangible property . . . *at the time of the theft*" (*Aleynikov*, 676 F3d at 78), i.e., prior to being stored on the German server, has no direct bearing on the question before us today, namely whether the "reproduction or representation" that defendant made of the source code is tangible. A copy of source code may be tangible even if the source code itself is not.

Without leaving the confines of the trial evidence before us, we conclude that viewing the facts in the light most favorable to the People, a rational jury could have found that the "reproduction or representation" that defendant made of Goldman's source code, when he uploaded it to the German server, was tangible in the sense of "material" or "having physical form." The jury heard testimony that the representation of source code has physical form. Kumar, the computer engineer, testified that while source code, as abstract intellectual property, does not have physical form, the "[r]epresentation of it" is material. He explained that when computer files are stored on a hard drive or CD, they are physically present on that hard drive or disc, and further stated that data is visible "in aggregate" when stored on such a medium. The jury also heard testimony that source code that is stored on a computer "takes up physical space in a computer hard drive." Given that a reproduction of computer code takes up space on a drive, it is clear that it is physical in nature. In short, the changes that are made to the hard drive or disc, when code or other information is stored, are physical.

Defendant contends that if "tangible" means "having physical form," then the statutory term "tangible reproduction" would involve a redundancy because all computer data is stored in some physical medium. We disagree. Someone with a photographic memory who memorized a piece of source code would not be making a tangible reproduction of the code (*see generally Bottone*, 365 F2d at 393 [referring to a hypothetical "case where a carefully guarded secret formula was memorized, carried away in the recesses of a thievish mind and placed in writing only after a boundary had been crossed"])). It is true that copying secret scientific material solely by memorizing it would not fall under the statute for a separate reason, i.e., that

it would not be “writing, photographing, drawing, mechanically or electronically reproducing or recording such secret scientific material” (Penal Law § 165.07). Nevertheless, the word “tangible,” as we interpret it, does not introduce redundancy; it adds a modest element to “reproduction,” serving to emphasize that the crime consists in making a physical, not a mental, copy of secret scientific material.

Defendant also insists that the legislature did not use broad, open-ended language that could accommodate new forms of technology unforeseen in the 1960s. However, the language of Penal Law § 165.07 is broad, including all “mechanically or electronically reproducing or recording” of material. That the statutory language could have been made even broader does not imply that it is narrow to begin with. Moreover, the inclusion in the statutory language of material copied electronically supports the conclusion that the intent was not to limit the law to reproductions that are tangible in the sense of being able to be manually touched. Indeed, it would be absurd to suppose that the statute criminalizes photographs stored on film but not ones stored on a hard drive.

Further, defendant contends that when the legislature enacted Penal Law § 156.30 (unlawful duplication of computer related material in the first degree), the first statutory scheme in New York for prosecuting computer crime specifically, in 1986 (*see* L 1986, ch 514, § 1), the legislators apparently believed that the existing statutes did not address computer crimes and for that reason enacted laws criminalizing the reproduction in certain circumstances of computer data or computer programs. The argument is that the 1986 statute would not have been necessary if taking of computer data were included in the 1967 statute.

There is some support in the legislative history for defendant’s contention. In 1986, the Division of Probation and Correctional Alternatives expressed the view that “modern technology in the area of computers has resulted in attempts or commission of acts for improper purposes and/or inappropriate monetary gain. Unfortunately, law enforcement and prosecutors have been hindered by existing penal statutes which do not address these improper acts” (Letter from Linda J. Valenti, Gen Counsel, Div of Probation and Corr Alternatives, to Evan A. Davis, Counsel to the Governor, and Lawrence T. Kurlander, Director of Criminal Justice, dated July 1, 1986, Bill Jacket, L 1986, ch 514 at 15). However, a closer inspection of the Bill

Jacket suggests that the 1986 legislation was designed to “eliminate any doubt” that the taking of computer data can be subject to the Penal Law (Amended Mem of Attorney Gen Robert Abrams, Bill Jacket, L 1986, ch 514 at 35), rather than to fill an indisputably empty gap.

In any case, the focus of Penal Law § 156.30 is illegal use of computers generally, while Penal Law § 165.07 targets mechanical or electronic reproduction of scientific secrets. The two statutes criminalize different types of conduct. Of course, a defendant might be guilty under both statutory schemes if the defendant steals scientific secrets by means of a computer, but the existence of the 1986 statute does not prevent the earlier statute from applying to computer crimes.

[1] We conclude that there is legally sufficient evidence that defendant created a tangible copy of the source code on the German server in violation of Penal Law § 165.07.

II.

Our case law is not to the contrary. In *Thyroff v Nationwide Mut. Ins. Co.* (8 NY3d 283 [2007]), which defendant relies on, the question before the Court was whether information stored in the form of electronic records on a computer, rather than as printed documents, is subject to a claim of the tort of conversion in New York. The plaintiff was an insurance agent of the defendant, which leased the plaintiff computer hardware and software, to facilitate the collection and transfer of customer information to the defendant. The plaintiff used the computer system for data storage pertaining to his customers. After the defendant cancelled the plaintiff’s contract, it repossessed the computer system and denied the plaintiff access to the electronic records and data.

The property that the defendant in *Thyroff* allegedly exerted control over and interfered with was plaintiff’s “customer information and other personal information . . . stored on . . . computers” (*id.* at 285). The Court wrote that “the tort of conversion must keep pace with the contemporary realities of widespread computer use” and held “that the type of data that [the defendant] allegedly took possession of—electronic records that were stored on a computer and were indistinguishable from printed documents—is subject to a claim of conversion in New York” (*id.* at 292-293).

Defendant points to language in *Thyroff* implying that the electronic records in question constituted “intangible property”

(*id.*). *Thyroff* is best read, however, as treating the allegedly converted *information* as intangible property, rather than as holding or implying that any electronic reproduction of the information stored on a computer was intangible. The Court had no need to analyze the nature, whether physical or intangible, of electronic reproduction, because it was the information itself that gave rise to the allegations of dominion or control over property amounting to conversion. To the limited extent that the *Thyroff* Court may have suggested that “the information was stored” in an intangible format on computers (*see id.* at 292), such suggestions amounted to dicta. Indeed, the point of *Thyroff* was that information “stored on a computer hard drive has the same value as a paper document kept in a file cabinet” (*id.*).

We came closer to addressing the issues of the present appeal in *People v Kent* (19 NY3d 290 [2012]), where, as relevant here, this Court rejected the defendant’s contention that child pornography images he had downloaded to his computer were intangible and that he could not be convicted of possessing a sexual performance by a child.³

The defendant in *Kent* pointed out that the Penal Law defines “possess” as meaning “to have physical possession or otherwise to exercise dominion or control over *tangible property*” (Penal Law § 10.00 [8] [emphasis added]) and insisted that neither an image appearing on a computer screen nor the computer representation that underlies it is tangible. This Court disagreed, embracing the perspective of federal courts “that for digital images to constitute evidence of knowing possession of child pornography, such images must be connected to something tangible (e.g., the hard drive) . . . and that the defendant must be aware of that connection” (*Kent*, 19 NY3d at 301, citing *United States v Romm*, 455 F3d 990, 1000 [9th Cir 2006]; *United States v Tucker*, 305 F3d 1193, 1205 [10th Cir 2002]). We summarized the federal courts’ interpretation of the tangible quality of a computer image by referring to the image’s “permanent placement on the defendant’s hard drive and his ability to access it later” (*Kent*, 19 NY3d at 302).

3. The Court also held a defendant may *not* be convicted of promoting a sexual performance by a child or possessing a sexual performance by a child solely on the basis of evidence of a web cache showing that the defendant accessed, and viewed on the computer screen, a child pornography image from a website, when the defendant did not download, save, print or otherwise manipulate or control the image (*see Kent*, 19 NY3d at 303-304).

Defendant interprets this language from *Kent* as contrasting intangible computer or Internet images with tangible hard drives, and he would have us hold that the information he uploaded and downloaded is intangible in nature. The majority opinion in *Kent*, however, is entirely consistent with the principle that a *representation* of information stored on a hard drive is tangible. The contrast *Kent* sets out is the distinction between intangible information and physical storage. Just as in *Kent* we held that a defendant may be convicted of possessing a sexual performance by a child if the defendant knows that the images are stored on some tangible material in his possession, so we now hold that a defendant may be convicted of unlawful use of secret scientific material if the defendant makes a copy in the form of tangible material on a server. The Appellate Division properly interpreted *Kent* to support the conclusion that a defendant creates “a ‘tangible reproduction or representation’ of source code . . . when it is saved to a physical medium, such as a hard drive” (148 AD3d at 87).⁴

III.

The last issue we must decide is whether there is legally sufficient evidence that Aleynikov had the necessary mens rea of “intent to appropriate . . . the use of secret scientific material” (Penal Law § 165.07). Defendant insists that he cannot have had that intent because he did not intend to deprive Goldman of the source code. Goldman could and did carry on using the source code after defendant copied it, and there was no evidence that he intended otherwise.

[2] The Penal Law defines the term “to appropriate” in disjunctive terms.

“To ‘appropriate’ property of another to oneself or a third person means (a) to exercise control over it, or to aid a third person to exercise control over it, *permanently or for so extended a period or under such circumstances as to acquire the major portion of its economic value or benefit*, or (b) to dispose of

4. Defendant cites other cases that, like *Thyroff* and *Kent* are concerned primarily with the question whether software or other computer data, as information, are intangible (see e.g. *America Online, Inc. v St. Paul Mercury Ins. Co.*, 207 F Supp 2d 459, 468 [ED Va 2002], *affd* 347 F3d 89 [4th Cir 2003]; *Lucent Tech., Inc. v State Board of Equalization*, 241 Cal App 4th 19, 42, 193 Cal Rptr 3d 323, 339-340 [2015]), as opposed to whether a *reproduction* of software or code can be tangible.

the property for the benefit of oneself or a third person” (Penal Law § 155.00 [4] [emphasis added]).

Penal Law § 155.00 (4) (a) is implicated here. We read the clause “as to acquire the major portion of its economic value or benefit” as grammatically dependent on “for so extended a period or under such circumstances” and not on “permanently.” Under Penal Law § 155.00 (4) (a), then, a person “appropriate[s]” property by exercising control over the property either (i) “permanently” or (ii) “for so extended a period or under such circumstances as to acquire the major portion of its economic value or benefit.”

It follows that exercising permanent control over another’s property is sufficient, without more, for appropriation within the meaning of the Penal Law. Contrary to the trial court’s reasoning, determination of whether a defendant acquired the major part of the property’s economic value or benefit is not necessary if the control (or, here, intended control) is permanent. The interpretation of appropriation then hinges on whether there was sufficient evidence that defendant intended to exercise control over the source code (or aid Teza to do so) permanently. If there was such intent, there is no need to engage in an analysis of the “major portion of its economic value or benefit” element.

Here, defendant concedes that he intended to exercise control over the source code permanently, alluding in his brief to the fact “that Aleynikov intended to permanently retain (*i.e.*, did not intend to return) the copy he made of Goldman’s source code.” Instead, defendant insists that he cannot be guilty under Penal Law § 165.07 for merely copying the code, while leaving the original on the Goldman network, because appropriation is the “taking from another to one’s self . . . to the exclusion of others” (*People v Lammerts*, 164 NY 137, 144 [1900]).

Defendant’s argument fails. Appropriation does not imply depriving another of property. In fact, larceny in general is defined as involving either intent to appropriate or intent to deprive, with the clear implication that the two terms refer to separate concepts. Indeed, Penal Law § 155.00 defines “deprive” and “appropriate” separately, in section 155.00 (3) and (4) respectively. “A person steals property and commits larceny when, with intent to deprive another of property or to appropriate the same . . . , he [or she] wrongfully takes, obtains or withholds such property from an owner thereof” (Penal Law § 155.05 [1]; *accord People v Jennings*, 69 NY2d 103, 118 [1986]

[stating that “the concepts of ‘deprive’ and ‘appropriate’ . . . ‘connote a purpose . . . to exert permanent or virtually permanent control over the property taken, or to cause permanent or virtually permanent loss to the owner of the possession and use thereof’ ”].

Defendant’s contention also reads the words “the use of” out of the statute, which refers to “intent to appropriate . . . *the use of* secret scientific material” (Penal Law § 165.07 [emphasis added]). In focusing on the appropriation of the use of scientific material, rather than appropriation of the material itself, the statute necessarily contemplates the simultaneous exercise of control by the rightful possessor of the scientific material.

Defendant relies on *Almeida v Holder* (588 F3d 778 [2d Cir 2009]), which analyzed a corresponding Connecticut statute. The Second Circuit wrote that “Connecticut defines ‘deprive’ for purposes of its larceny statute by reference to an owner’s loss of his right to actual possession of his property,” and “defines ‘appropriate’ to reach further, making larcenous actions that deny an owner constructive possession of his property, *i.e.*, his ability ‘to exercise control over it’ ” (*Almeida*, 588 F3d at 787-788). The federal court noted that Connecticut’s “statutory scheme, in using ‘intent to deprive’ and ‘intent to appropriate’ to focus on different property rights, ultimately establishes a broad generic requirement of an intent to deprive another person . . . of some rights or benefits of property ownership” (*Almeida*, 588 F3d at 788). Defendant suggests that the Second Circuit held that one cannot intend to “appropriate” the property of another without also intending to deprive the owner of that property, but there is no basis for that interpretation of *Almeida*. Instead, we interpret *Almeida* to mean that appropriation may involve depriving another of rights or benefits of property ownership that do not rise to the level of actual physical possession. *Almeida* is consistent with the principle that defendant may have intended to “appropriate” the source code without intending to deprive Goldman of all possession or use.

Defendant’s remaining contentions lack merit.

Accordingly, the order of the Appellate Division should be affirmed.

Chief Judge DiFiore and Judges Rivera, Stein, Garcia, Wilson and Feinman concur.

Order affirmed.

[104 NE3d 701, 79 NYS3d 597]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v KERRI ROBERTS, Respondent.

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v TERRIE J. RUSH, Appellant.

Argued March 22, 2018; decided May 3, 2018

SUMMARY

APPEAL, in the first above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered April 7, 2016. The Appellate Division order, insofar as appealed from, modified, on the law, a judgment of the Supreme Court, New York County (Roger S. Hayes, J.), which had convicted defendant, upon a jury verdict, of criminal possession of a forged instrument in the second degree (two counts) and identity theft in the second degree. The modification consisted of vacating the identity theft conviction and dismissing that count of the indictment.

APPEAL, in the second above-entitled action, by permission of an Associate Judge of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 24, 2017. The Appellate Division affirmed a judgment of the Monroe County Court (Melchor E. Castro, A.J.), which had convicted defendant, upon a jury verdict, of identity theft in the first degree and criminal possession of a forged instrument in the second degree.

People v Roberts, 138 AD3d 461, reversed.

People v Rush, 148 AD3d 1601, affirmed.

HEADNOTES

Crimes — Identity Theft — Assumption of Person's Identity Not Separate Element of Offense

1. The People may establish that a defendant “assumes the identity of another,” within the meaning of New York’s identity theft statute, by proof that the defendant used another’s personal identifying information, such as that person’s name, bank account, or credit card number. They do not bear the burden of establishing independently both a defendant’s use of protected information and assumptive conduct. To establish identity theft in the first or second degree, the People must establish as the mens rea that the defendant knowingly and actually intended to defraud by the actus reus of assuming the identity of another. The statute expressly limits the manner by which a defendant assumes the identity of another to three types of conduct: by pre-

senting oneself as that other person, acting as that other person, or using that other person's personal identifying information. The requirement that a defendant assumes the identity of another is not a separate element of the crime. Rather, the "assumes the identity of another" language is the operational text that sets forth the actus reus of identity theft, while the three types of acts listed are the legislatively-recognized methods by which a defendant satisfies that element. The statute is based on the legislative determination that each listed act is a separate method by which a defendant assumes another's identity, as made clear by the strategic placement of the word "by" to separate the three listed acts from the element which they define: a defendant assumes the identity of another person "by presenting . . . as that other person, or by acting as that other person or by using personal identifying information of that other person" (Penal Law §§ 190.79, 190.80).

Crimes — Identity Theft — Assumption of Person's Identity by Use of Credit Card Number

2. In the prosecution of defendant for identity theft in the second degree (Penal Law § 190.79) and related crimes for his actions in attempting to purchase merchandise with a credit card imprinted with the name of a fictitious person but the account number of a real person, the evidence was sufficient to establish that defendant "assume[d] the identity of another" within the meaning of the statute. Although defendant did not present himself as the actual named holder of the credit card, the person he did present himself as was a fictitious character and thus, for purposes of the statute, defendant could not have assumed that person's identity. That is evident from the very concept of identity theft, which criminalizes the theft of another person's identity, rather than the creation of a fictitious identity. Defendant used the credit card number of a real person and thus his conduct fell within the statute. That he attempted to assume the victim's identity by using her credit card number rather than her name did not matter, because regardless of the name used, a credit card number is personal identifying information as defined by the Penal Law (Penal Law § 190.77 [1]), and its unauthorized use subjects a defendant to prosecution for identity theft.

Crimes — Identity Theft — Assumption of Person's Identity by Use of Name to Open Bank Account

3. In the prosecution of defendant for identity theft in the first degree (Penal Law § 190.80) and second-degree criminal possession of a forged instrument (Penal Law § 170.25) for her part in a criminal scheme in which she deposited stolen and forged checks in a bank account opened by an accomplice under the name of an innocent third party, from which the funds were later withdrawn, the evidence was sufficient to establish that defendant "assume[d] the identity of another" within the meaning of Penal Law § 190.80. The fact that defendant did not present identification to persuade the bank that she was, in fact, the named account holder was irrelevant, since it is the mere act of using the personal identifying information of another—here the name and account number of the victim—that establishes the actus reus element of identity assumption. Nor did the fact that someone other than the victim opened the account affect the analysis. The identity theft statute covers a defendant's use of all types of personal identifying information defined in Penal Law § 190.77 (1) so long as the defendant intends by such use to defraud. The type of fraudulent scheme in which defendant participated—the unauthorized and surreptitious use of the victim's name to open a bank account—is a prime example of the type of conduct the

legislature sought to punish, precisely because the use of that personal identifying information in furtherance of a financial crime may result in destroying the victim's credit, subjecting that person to a criminal investigation, and far worse, making the person a suspect in the other crimes committed, as occurred here.

Crimes — Identity Theft — Commission of Underlying Felony Possession of Forged Instrument

4. In the prosecution of defendant for identity theft in the first degree (Penal Law § 190.80) and second-degree criminal possession of a forged instrument (Penal Law § 170.25) for her part in a criminal scheme in which she deposited stolen and forged checks in a bank account opened by an accomplice under the name of an innocent third party, from which the funds were later withdrawn, the evidence was sufficient to establish that defendant “assume[d] the identity of another . . . and thereby” committed a class D felony within the meaning of Penal Law § 190.80. The assumption of another's identity is the means by which a defendant commits the felony and is not a temporal precondition of the crime. A person is guilty of criminal possession of a forged instrument in the second degree when the person “utters or possesses” the check (“utters” meaning to put into circulation) (Penal Law § 170.25). Since defendant deposited the check, and in so doing placed it into circulation, she uttered the check by means of assuming the victim's identity, as reflected in the jury instruction.

Crimes — Right to Public Trial — Closure of Courtroom — Exclusion of Family Member

5. Defendant's claim that the courtroom was closed during jury voir dire, in violation of her Sixth Amendment right to a public trial, because a family member was not allowed in the courtroom on the first day of trial due to overcrowding until 21 of the prospective jurors had been seated was without merit and partially unpreserved. To the extent defendant implied that the courtroom was effectively closed during the public portion of the trial because the family member was excluded during the judge's preliminary remarks, notwithstanding the judge's assurance that nothing substantive would occur until after some of the prospective jurors were seated in the jury box, that claim was unpreserved. Moreover, the record was unclear that the family member was actually excluded after the jurors entered the courtroom and once the judge addressed them, but assuming such was the case, it was incumbent upon defense counsel to object that voir dire had commenced and bring the matter to the judge's attention to permit the timely opportunity to correct any possible error. Not only did counsel not object, but after being alerted to the fact that the deputy was unable to locate the family member after the jurors had entered the courtroom and were seated, counsel did not state her objection or inform the court of the family member's continued absence. Instead, counsel merely responded “okay” to the deputy, suggesting that the matter was no longer of consequence.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Credit Cards §§ 51–53; AM JUR 2d Forgery § 9;
AM JUR 2d Larceny § 63; AM JUR 2d Trial §§ 140, 144,
147, 191.
CARMODY-WAIT 2d Conduct of Trial, in General §§ 190:78,
190:79.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) §§ 23.3, 24.1.
MCKINNEY'S, Penal Law §§ 170.25, 190.77, 190.79, 190.80.
NY JUR 2d Criminal Law: Procedure §§ 2524, 2529; NY
JUR 2d Criminal Law: Substantive Principles and Of-
fenses §§ 1125, 1280, 1283, 1284.
US Const 6th Amend.

ANNOTATION REFERENCE

Validity, Construction, and Application of State Statutes
Relating to Offense of Identity Theft. 125 ALR5th 537.

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POINTS OF COUNSEL

Cyrus R. Vance, Jr., District Attorney, New York City (Philip Morrow and Alice Wiseman of counsel), for appellant in the first above-entitled action. The trial evidence established that defendant used the personal identifying information of his victim, and, as the jury correctly found based upon the unambiguous language of the statute, thereby assumed his victim's identity. (People v Barden, 117 AD3d 216; People v Yuson, 133 AD3d 1221; Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities, 19 NY3d 106; People v Thompson, 26 NY3d 678; People v Santi, 3 NY3d 234; People v Pabon, 28 NY3d 147; People v Golo, 26 NY3d 358; Majewski v Broadalbin-Perth Cent. School Dist., 91 NY2d 577; People v Jones, 26 NY3d 730.)

Robert S. Dean, Center for Appellate Litigation, New York City (John Vang of counsel), for respondent in the first above-entitled action. Under the identity theft statute, "assumes the identity of another person" is a discrete element that must be separately proved from, inter alia, "using personal identifying information of that other person." (People v Yuson, 133 AD3d 1221; People v Finnegan, 85 NY2d 53; Rosner v Metropolitan Prop. & Liab. Ins. Co., 96 NY2d 475; Cohen v Lord, Day & Lord, 75 NY2d 95; TRW Inc. v Andrews, 534 US 19; People v Dethloff, 283 NY 309; People v Barden, 117 AD3d 216; People v Harper, 75 NY2d 313; People v Gottlieb, 36 NY2d 629; People v Thompson, 26 NY3d 678.)

Phillips Lytle LLP, Buffalo (*Deena K. Mueller-Funke* of counsel), and *Timothy P. Donaher*, *Public Defender*, Rochester, for appellant in the second above-entitled action. I. “Assumption of the identity” is an element separate and independent of “using personal identifying information of” another such that proof Terrie J. Rush used the latter does not automatically prove she did the former. (*People v Barden*, 117 AD3d 216, 27 NY3d 550; *People v Yuson*, 133 AD3d 1221; *People v Roberts*, 138 AD3d 461; *People v Destin*, 150 AD3d 76; *Riley v County of Broome*, 95 NY2d 455; *People v Ballman*, 15 NY3d 68; *People v Finley*, 10 NY3d 647; *Matter of Tonis v Board of Regents of Univ. of State of N.Y.*, 295 NY 286; *People v Giordano*, 87 NY2d 441; *People ex rel. Royal Bank of Can. v Loughman*, 226 App Div 593.) II. Even assuming Terrie J. Rush assumed the victim’s identity, that assumption did not “thereby” result in the attempt or commission of any felony. (*People v Finley*, 10 NY3d 647; *People v Smith*, 29 NY3d 91; *People v Yuson*, 133 AD3d 1221; *People v Destin*, 150 AD3d 76; *People v Roberts*, 138 AD3d 461; *People v Barden*, 117 AD3d 216; *People v Giordano*, 87 NY2d 441.) III. There is no support for the Fourth Department’s conclusion that the courtroom reopened before the end of jury selection and therefore it was legal error not to apply the rule of reversal. (*People v Martin*, 16 NY3d 607; *People v Jones*, 96 NY2d 213; *People v Torres*, 97 AD3d 1125, 20 NY3d 890; *Waller v Georgia*, 467 US 39; *People v Floyd*, 21 NY3d 892; *People v Gray*, 87 AD3d 457; *People v Moise*, 110 AD3d 49; *People v Baldomero*, 37 AD3d 482; *United States v Gupta*, 699 F3d 682; *Peterson v Williams*, 85 F3d 39.)

Sandra Doorley, *District Attorney*, Rochester (*Daniel Gross* of counsel), for respondent in the second above-entitled action. I. Defendant’s conviction for identity theft in the first degree was supported by legally sufficient evidence because the proof at trial established defendant “assumed the identity” of the victim by using his personal identifying information, and by those means was able to commit the class D felony of criminal possession of a forged instrument in the second degree. (*People v Delamota*, 18 NY3d 107; *People v Barden*, 117 AD3d 216, 27 NY3d 550; *People v Yuson*, 133 AD3d 1221, 27 NY3d 1157; *People v Destin*, 150 AD3d 76, 29 NY3d 1077; *People v Leta*, 151 AD3d 1761, 30 NY3d 981; *People v Box*, 145 AD3d 1510, 29 NY3d 1076; *People v Jones*, 26 NY3d 730; *People v Pabon*, 28 NY3d 147; *People v Carvajal*, 6 NY3d 305; *New York State Psychiatric Assn., Inc. v New York State Dept. of Health*, 19 NY3d 17.) II. Defendant’s right to a public trial was not violated

where the trial court briefly sent a spectator to wait outside the small courtroom until prospective jurors were moved into the jury box to begin voir dire. Even assuming this was done in error, it was so trivial that reversal is not warranted. (*Gibbons v Savage*, 555 F3d 112; *People v Peterson*, 81 NY2d 824; *People v Martin*, 16 NY3d 607; *People v Nelson*, 27 NY3d 361; *People v Torres*, 20 NY3d 890; *People v DeAngelis*, 5 AD3d 274, 2 NY3d 798; *Peterson v Williams*, 85 F3d 39; *Waller v Georgia*, 467 US 39; *People v Floyd*, 21 NY3d 892.)

OPINION OF THE COURT

RIVERA, J.

The common issue presented in these appeals is whether the People may establish that a defendant “assumes the identity of another,” within the meaning of New York’s identity theft statute, by proof that the defendant used another’s personal identifying information, such as that person’s name, bank account, or credit card number. Defendants Kerri Roberts and Terrie J. Rush argue that the use of personal identifying information does not automatically establish that a defendant assumes another’s identity, and thus the People bear the burden of establishing independently both a defendant’s use of protected information and assumptive conduct. The Appellate Division departments have split on the proper interpretation of the disputed statutory text. The First Department adopted the construction advanced here by defendants, leading to its conclusion that Roberts’ conviction of identity theft was unsupported by sufficient evidence. By contrast, the Fourth Department concluded that the statute applies when a defendant, like Rush, uses the personal identifying information of another, upholding Rush’s conviction. We now reject defendants’ decontextualized interpretation of the statutory language and conclude that the law defines the use of personal identifying information of another as one of the express means by which a defendant assumes that person’s identity.

There is also no merit to defendant Rush’s additional interpretative claim that even if she assumed another person’s identity, she did not “thereby” commit the requisite underlying felony of criminal possession of a forged instrument. Defendant ignores that her deposit of a forged check is sufficient to establish the charged felony. Defendant Rush’s alternative claim that the trial court erroneously denied her CPL 330.30 motion to set aside the verdict based on a courtroom closure is partially unpreserved and otherwise without merit, as no constitutionally proscribed closure is apparent on the record below.

I.People v Kerri Roberts

Defendant Roberts entered a sporting goods store in New York City and attempted to purchase over \$1,000 worth of merchandise with an American Express credit card imprinted with the name "Craig E. Jonathan." Along with the card, Roberts presented the cashier with a New Jersey driver's license with a name matching the credit card, but featuring Roberts' actual photograph. When the store's machine was unable to read the credit card, Roberts insisted that the cashier enter the card number manually, even after the manager told Roberts he knew the card was fraudulent and that he would call the police if Roberts did not leave. Roberts persisted but never succeeded in purchasing the goods.

After Robert's arrest just outside the store, the police searched his wallet and found a New York State identification card bearing his photograph and the name Kerri Roberts. The wallet also contained a piece of paper, which listed an account number, an expiration date, a three-digit security code which appeared to be the card verification value number commonly printed on the back of credit cards, the names of four different types of credit cards with an "X" printed next to "American Express," and a reference to a customer name and a billing address near Buffalo. Further investigation revealed that the credit card account number on the card Roberts presented at the store was issued to a person living near Buffalo, yet that person had not given Roberts or anyone else permission to use her card, nor did the person know anyone named Craig E. Jonathan.

Roberts admitted to the police that he paid someone earlier that day for the "fake" credit card and New Jersey identification. Roberts concedes that this New Jersey Craig E. Jonathan was a fabricated identity of a fictitious person. Indeed, the New Jersey Motor Vehicle Commission confirmed it had never issued a driver's license to a "Craig E. Jonathan" and there was no one with that name in the state's records.

At Roberts' trial on one count of identity theft in the second degree (Penal Law § 190.79) and two counts of criminal possession of a forged instrument in the second degree (Penal Law § 170.25), Roberts moved to dismiss the identity theft count, arguing that he was pretending to be Craig E. Jonathan and

not the actual credit card account holder. The court denied the motion and the jury convicted defendant as charged.

The Appellate Division, First Department, modified to the extent of vacating the identity theft conviction and dismissing that count of the indictment, but otherwise affirmed (*People v Roberts*, 138 AD3d 461 [1st Dept 2016]). As relevant to this appeal, the Court relied on its prior ruling in *People v Barden* (117 AD3d 216, 225 [1st Dept 2014], *revd on other grounds* 27 NY3d 550 [2016]), in which it held that evidence of the mere use of personal identifying information is insufficient to establish the crime of identity theft, and that, to prove its case, the People must establish that a defendant “both used the victim’s personal identifying information and assumed the victim’s identity” (*Roberts*, 138 AD3d at 462). The Court concluded the proof in the instant case established that defendant used the personal identifying information of the victim but not that he assumed her identity because, instead, “he assumed the identity of a fictitious person” (*id.*).

A Judge of this Court granted the People leave to appeal (28 NY3d 1075 [2016]), and denied defendant leave to appeal from the same Appellate Division order (28 NY3d 1075 [2016]).

People v Terri J. Rush

Defendant Rush was convicted for her part in a criminal scheme in which she deposited stolen and forged checks in a bank account opened under the name of an innocent third party, from which the funds were later withdrawn. As established at Rush’s trial, an accomplice set up a bank account in the name of an area resident, without that resident’s knowledge or permission. Around the same time, a local business discovered that several company checks had been stolen and that three had been made payable to the victim and deposited. The company notified the police, who eventually discovered that over the course of three days, Rush had deposited the stolen checks into the account opened in the victim’s name and made ATM withdrawals totaling over \$1,000 at different bank branches. The victim’s signature was forged on the back of each check, and the deposit slips listed his name and the number of the unauthorized bank account. The bank’s senior fraud investigator testified that customers did not have to show identification to make deposits, although identification was required for bank-employee-assisted withdrawals and check cashing.

During a colloquy with the judge on the first scheduled day of Rush's trial, defense counsel informed the court that the father of Rush's children was in the courtroom and counsel requested that he be present throughout the trial, including during jury selection. The judge replied, "Well, initially he can't be in here because we are lining up jurors against that wall." Then, in response to the judge's inquiry, the deputy confirmed there were not enough seats for all the prospective jurors and that the room was near capacity. The judge added,

"[u]ntil we've seated these people he cannot come in here and the reason is I don't want him mingling with the other jurors because the only place for him would be up against the wall with the other jurors who will be standing until we have seated twenty-one. He can come in as soon as that has taken place."

The judge explained that recently there had been a situation in which jurors were able to hear comments about the case from people in the courtroom. Defense counsel continued to object and suggested as an alternative that the trial be moved to a larger courtroom. The judge countered that the family member would not miss any questioning, "[j]ust twenty-one people marching in the box is all he can't observe because there is just no room." The court agreed to have the individual notified as soon as he could reenter.

Prospective jurors were brought into the courtroom, and before seating them the judge gave a brief overview of the case and had them sworn in. The names of 21 jurors were called and then seated in the jury box. It is undisputed that the family member was absent from the courtroom during this time.

At the close of the People's case, Rush moved for a trial order of dismissal, which the court denied. The jury thereafter convicted Rush of one count each of identity theft in the first degree (Penal Law § 190.80 [3]) and criminal possession of a forged instrument in the second degree (Penal Law § 170.25) for one of the three check deposits charged in the indictment. The jury acquitted Rush of the forged instrument counts for the other two deposits and the court dismissed the two corresponding identity theft counts.

Defense counsel subsequently moved to set aside the verdict pursuant to CPL 330.30 (1), arguing that the courtroom was improperly closed during jury selection. At the motion hearing,

the courtroom deputy testified that right after the jurors were seated in the box, and before questioning of the jurors began, she had gone out to the hallway to locate the individual identified by defense counsel but could not find him anywhere in the lobby area of the building. When the deputy informed defense counsel at the first break during the jury questioning that she could not find Rush's family member, counsel replied, "okay." Counsel did not suggest the deputy continue to look and did not raise any objection to the court until after the verdict. The deputy further testified that she saw the man in the courtroom the next day.

The Appellate Division, Fourth Department, unanimously affirmed the judgment of conviction (*People v Rush*, 148 AD3d 1601 [4th Dept 2017]). The Court concluded that Rush's use of the victim's name and bank account number established that she assumed his identity within the meaning of the statute (*id.*). The Court held that "the phrase 'assumes the identity of another person' is [not] a discrete element that must be proved" (*id.* at 1602), relying on its previous decision in *People v Yuson* (133 AD3d 1221 [4th Dept 2015]), in which the Fourth Department expressly declined to follow the First Department's reasoning on this issue in *Barden*.

The Court also rejected Rush's "contention that, even assuming that she used [the victim's] personal identifying information, she did not 'thereby' commit the offense of criminal possession of a forged instrument because she possessed the check before she deposited it and the use of the identifying information did not cause her to commit the offense." Instead, the Court interpreted the term as equivalent to the phrase "[b]y that means' or 'in that way'" (148 AD3d at 1602-1603), and concluded that the evidence was legally sufficient to establish that she assumed the victim's identity by using his personal information and thereby was guilty of criminal possession of a forged instrument when she presented the check as genuine.

Lastly, while the Fourth Department agreed with Rush that the court erred in closing the courtroom during jury selection because the trial judge was required to consider alternatives, the Court nevertheless concluded that because jury selection had not begun before the courtroom was reopened, the error was trivial and did not warrant reversal (*Rush*, 148 AD3d at 1604, citing *Gibbons v Savage*, 555 F3d 112, 121 [2d Cir 2009], *cert denied* 558 US 932 [2009]).

A Judge of this Court granted defendant leave to appeal (29 NY3d 1133 [2017]).

II.

New York's Identity Theft Statute

In 2002, the legislature amended the Penal Law and created the discrete crime of “Identity Theft” (Sponsor’s Mem in Support, Bill Jacket, L 2002, ch 619, 2002 McKinney’s Session Laws of NY at 2093; Penal Law §§ 190.78-190.83). The legislation was intended to “aid law enforcement in combating one of the fastest growing financial crimes” (Sponsor’s Mem in Support, Bill Jacket, L 2002, ch 619, 2002 McKinney’s Session Laws of NY at 2094). At the time, there was a growing awareness across the country and in New York of the ease with which personal information can be obtained through the use of technology and by access to the Internet, and that confidential data was vulnerable to computer security system breaches (*see* Rep of NY St Senate Comm on Investigations, Taxation and Govt Operations, *Identity Theft: Is Your Identity Safe?* [June 2000]; S Hearing 107-900, 107 Cong, 2d Sess [Mar. 20 & July 9, 2002]). The increased unauthorized use of individuals’ personal information caused significant financial harm to victims, who were often unaware that their information had been stolen until they received debt collection notices or discovered their credit ratings had been ruined (Sponsor’s Mem in Support, Bill Jacket, L 2002, ch 619, 2002 McKinney’s Session Laws of NY at 2094). The law was drafted to ensure maximum deterrence and the prosecution of unauthorized conduct as defined in the statute.

As provided under the new law, a person is guilty of first- and second-degree identity theft

“when [such person] knowingly and with intent to defraud assumes the identity of another person by presenting [themselves] as that other person, or by acting as that other person or by using personal identifying information of that other person, and thereby . . .

“commits or attempts to commit [a felony]” (Penal Law §§ 190.79 [3]; 190.80 [3]).¹

The Penal Law broadly defines “personal identifying information” to include the type of data commonly used in transacting commercial matters such as a person’s name; address; telephone number; Social Security number; checking, savings, debit card, or credit card account number or code; signature, or “any other name, number, code or information that may be used alone or in conjunction with other such information to assume the identity of another person” (Penal Law § 190.77 [1]).²

Defendants’ Claims Based on the Statutory Text

Defendants argue that the evidence of identity theft was legally insufficient in their respective cases because the People failed to show that by defendants’ acts, they each in fact separately assumed the identity of another person within the meaning of the statute. Roberts claims he did not assume the identity of the holder of the credit card number, but rather assumed the identity of the fictitious Craig E. Jonathan, placing him outside the reach of the statute. Rush claims she did not assume the identity of the victim because no one had reason to believe she was the actual holder of the bank account, and, in

1. Second-degree identity theft requires that the person “commits or attempts to commit a felony or acts as an accessory to the commission of a felony,” while first-degree identity theft applies to a defendant who “commits or attempts to commit a class D felony or higher level crime or acts as an accessory in the commission of a class D or higher level felony” (Penal Law §§ 190.79 [3]; 190.80 [3]).

2. The full statutory text reads: “For the purposes of sections 190.78, 190.79, 190.80 and 190.80-a and 190.85 of this article ‘personal identifying information’ means a person’s name, address, telephone number, date of birth, driver’s license number, social security number, place of employment, mother’s maiden name, financial services account number or code, savings account number or code, checking account number or code, brokerage account number or code, credit card account number or code, debit card number or code, automated teller machine number or code, taxpayer identification number, computer system password, signature or copy of a signature, electronic signature, unique biometric data that is a fingerprint, voice print, retinal image or iris image of another person, telephone calling card number, mobile identification number or code, electronic serial number or personal identification number, or any other name, number, code or information that may be used alone or in conjunction with other such information to assume the identity of another person” (Penal Law § 190.77 [1]).

“‘[P]ersonal identification number’ means any number or code which may be used alone or in conjunction with any other information to assume the identity of another person or access financial resources or credit of another person” (Penal Law § 190.77 [2] [b]).

any case, because the victim disavowed ownership of the account, Rush did not use his personal identifying information.

In furtherance of these arguments, defendants advocate that we construe the statutory language that a defendant “assumes the identity of another person” as a discrete element that the People must prove in addition to the requirement that defendant “us[ed] personal identifying information” of that other person. In other words, they maintain that merely showing that defendants used personal identifying information of another is insufficient as a matter of law because the People must also prove factually that this was the means by which defendants assumed the identity of a real person. Alternatively, they argue that, at a minimum, the statutory language is ambiguous and the rule of lenity requires the law be read in their favor.

“[O]ur task—as it is in every case involving statutory interpretation—is to ascertain the legislative intent and construe the pertinent statutes to effectuate that intent” (*Matter of M.B.*, 6 NY3d 437, 447 [2006]). “As the clearest indicator of legislative intent is the statutory text, the starting point in any case of interpretation must always be the language itself, giving effect to the plain meaning thereof” (*People v Golo*, 26 NY3d 358, 361 [2015]). “If the words chosen have a ‘definite meaning, which involves no absurdity or contradiction, then there is no room for construction and courts have no right to add or take away from that meaning’” (*People v Robinson*, 95 NY2d 179, 182 [2000] [brackets omitted], quoting *Majewski v Broadalbin-Perth Cent. School Dist.*, 91 NY2d 577, 583 [1998]). “The Legislature has instructed us that in interpreting the Penal Law, the provisions must be read ‘according to the fair import of their terms to promote justice and effect the objects of the law’” (*People v Hedgeman*, 70 NY2d 533, 537 [1987], citing Penal Law § 5.00).

“As with other statutory provisions, those contained in the Penal Law are generally to be construed so as to give effect to their most natural and obvious meaning. This is particularly important where the definition of a crime is at issue, because courts must be scrupulous in insuring that penal responsibility is not ‘extended beyond the fair scope of the statutory mandate’” (*id.* [citations omitted]).

Nevertheless, in construing a statute courts “should consider

the mischief sought to be remedied by the new legislation, and they should construe the act in question so as to suppress the evil and advance the remedy” (McKinney’s Cons Laws of NY, Book 1, Statutes § 95).

[1] To establish identity theft in the first or second degree, the People must establish as the mens rea that the defendant knowingly and actually intended to defraud by the actus reus of assuming the identity of another. The statute expressly limits the manner by which a defendant assumes the identity of another to three types of conduct: by presenting oneself as that other person, acting as that other person, or using that other person’s personal identifying information.³ Contrary to defendants’ argument, the requirement that a defendant assumes the identity of another is not a separate element of the crime. Rather, it simply summarizes and introduces the three categories of conduct through which an identity may be assumed. In other words, the “assumes the identity of another” language is the operational text that sets forth the actus reus of identity theft, while the three types of acts listed are the legislatively-recognized methods by which a defendant satisfies that element. The statute is based on the legislative determination that each listed act is a separate method by which a defendant assumes another’s identity, as made clear by the strategic placement of the word “by” to separate the three listed acts from the element which they define: a defendant assumes the identity of another person “by presenting . . . as that other person, or by acting as that other person or by using personal identifying information of that other person” (Penal Law §§ 190.79, 190.80 [emphasis added]). The statute is unambiguous as to the proper scope of the actus reus.⁴

Defendants argue unpersuasively that each of the three categories of acts is a possible way by which a defendant may

3. Here we note that first- and second-degree identity theft both include attempts (Penal Law §§ 190.79 [3]; 190.80 [3]) (*cf.* dissenting op at 435-436).

4. The dissent’s reliance on *People v Giordano* (87 NY2d 441, 448 [1995]) is inapposite (dissenting op at 429-431). The statute at issue in that case, Penal Law § 225.10 (promoting gambling in the first degree), is an enhancement statute. As we explained, the exact language of Penal Law § 225.05, promoting gambling in the second degree, is the initial element, and section 225.10 “adds two subdivisions identifying additional elements which enhance the crime to first degree” (*Giordano*, 87 NY2d at 447). The identity theft statute is constructed differently, and the language “assumes the identity of another” introduces and defines the actus reus, together with the three means by which the defendant assumes the victim’s identity.

commit identity theft, but that the People must prove beyond a reasonable doubt that, in fact, defendant also assumed another's identity by such act. In support of this interpretation of the text, defendants argue that the People's construction would render meaningless the language "assumes the identity of another person," in contravention of the rule against superfluities (see *People v Giordano*, 87 NY2d 441, 448 [1995]). To the contrary, the language is not without meaning because it *defines* the essence of identity theft as the appropriation of another's specific characteristics, and each of the three acts is simply the method by which a person's identity would be assumed.⁵ Indeed, there is no definition for identity theft other than what is found in this offense-specific statute.

If defendant were correct, the provision would have been drafted differently and the legislature would have inserted language to show that the three methods set out in the statute are insufficient on their own to establish that a defendant assumed another's identity—such as the conjunctive "and" or some similar word or phrase. Indeed, at the time New York enacted its identity theft law, other jurisdictions had used just such language. For example, in Massachusetts, a person commits identity fraud when the person, "with intent to defraud, poses as another person without the express authorization of that person *and* uses such person's personal identifying information to obtain or to attempt to obtain money, credit, goods, services, anything of value" (Mass Gen Laws Ann ch 266, § 37E [b] [emphasis added]). In Wisconsin, a person commits the crime of "Unauthorized use of an individual's personal identifying information or documents" when the person

"intentionally uses, attempts to use, or possesses with intent to use any personal identifying information . . . of an individual . . . without the authorization or consent of the individual *and* by

5. The dissent counters that "no section in the Penal Law relies on [this] so-called definition" (dissenting op at 429), but this is precisely the point. Identity theft is not defined in a separate definition section because it is defined by the identity theft statute itself. For example, "arson" is not defined in the definition section for arson crimes because it is defined by the arson statute (see Penal Law §§ 150.00, 150.01). The dissent latches onto a similarity in the constructions of the arson and the identity theft statutes to suggest our construction leads to irrational results (dissenting op at 431). It should go without saying that we are not implicitly positing a rule of construction or grammar whereby the use of the preposition "by" has the same effect in every statute or context.

representing that he or she is the individual, that he or she is acting with the authorization or consent of the individual, or that the information or document belongs to him or her” (Wisc Stat Ann § 943.201 [2] [emphasis added]).

Any suggestion by defendants that this interpretation contravenes the legislative purpose because it means the statutes encompass commonplace, innocent behavior or the authorized use of identifying data is unsupported by the text, which includes a mens rea requirement that cabins the statute’s reach and protects against prosecutorial abuse. In addition to the necessary mens rea, each of the identity theft statutes also requires that the defendant attempts or achieves a criminal end or purpose (Penal Law §§ 190.78, 190.79, 190.80). Thus, while the act of using another’s credit card falls squarely within the identity theft statutes, that act, if carried out, for example, by the guardian of an incapacitated person to fill the person’s prescription or to purchase the person’s meals would not constitute the crime of identity theft. Nor would the use of a person’s credit card number, address or name to purchase an item online if done with that person’s authorization. These are simply not the types of acts the legislature sought to punish and discourage, and they do not involve a victim whose financial security is imperiled by the use of private information.⁶

6. Many of the examples provided by the dissent collapse the statute’s actus reus and mens rea, others are simply not identity theft or would be identity theft under both of our definitions of the crime, and others just fail to appreciate the statutory intent (dissenting op at 433-434). A customer who lies to an ice cream shop employee about their birthday in order to get a free cone has not assumed the identity of another person by using that person’s personal identifying information, the customer has merely lied to the employee about one piece of the customer’s own personal identifying information. There is no actual person whose identity has been stolen, but an unquantifiable set of individuals who have been born on that particular date throughout human history. The dissent conflates using another person’s personal identifying information with inventing false personal identifying information. “Craig E. Jonathan” here, for example, was not a stolen identity, but an invented identity. Indeed, the inclusion of information like “date of birth” and “mother’s maiden name” in the definition of “personal identifying information,” as “information that may be used alone or in conjunction with other such information to assume the identity of another person,” is best understood as preventing a defendant from being charged separate counts for each piece of personal identifying information used when committing identity theft (*see* Penal Law § 190.77 [1]). A customer who, intending to defraud, provides a store employee with another’s personal identifying infor-

(n. cont’d)

[2] Although Roberts asserts that the evidence is insufficient to find him guilty because he presented himself as “Craig E. Jonathan,” not as the actual named holder of the credit card, he ignores the fact that Jonathan is a fictitious character and thus, for purposes of the statute, defendant could not have assumed Jonathan’s identity. This is evident from the very concept of identity theft, which criminalizes the *theft* of another person’s identity, rather than the creation of a fictitious identity. The statutory history amply demonstrates the legislature was concerned with “criminals steal[ing] the identity of law-abiding citizens” (*Identity Theft: Is Your Identity Safe?* at 1), and that the law was intended to protect New Yorkers “from the fraudulent use of their personal information and identity” (2002 Legis Update from NY St Assembly Consumer Affairs and Protection Comm [Dec. 2002]).⁷ Roberts, of course, used the credit card number of a real person and thus his conduct falls within the statute. That he attempted to assume the victim’s identity by using her credit card number rather than her name does not affect our analysis, because regardless of the name used, the number is personal identifying information as defined by the Penal Law, and its unauthorized use subjects a defendant to prosecution for identity theft.

[3] Similarly, albeit for a slightly different reason, the fact that defendant Rush did not present identification to persuade the bank that she was, in fact, the named account holder is irrelevant, since it is the mere act of using the personal identifying information of another—here the name and account number of the victim—that establishes the *actus reus* element of identity assumption. Nor does the fact that someone other than the victim opened the account affect our analysis. The identity theft statute covers a defendant’s use of all types of personal identifying information defined in the Penal Law so long as the defendant intends by such use to defraud. Rush’s

mation, knowing the employee will mistakenly believe it is the customer’s personal identifying information and thereby assume the customer is that other person, commits identity theft under the dissent’s definition of the crime as well as ours.

7. Our dissenting colleague simply cannot accept the fact that the legislature has defined assumption of another’s identity in a manner that is unacceptable to the dissent. We have no such difficulty, and adhere to our traditional role to interpret the statute in accordance with the express words and the legislative purpose: to criminalize using another person’s personal identifying information without that person’s consent or knowledge to obtain goods, services, credit, etc., or to carry out other crimes (*see* Sponsor’s Mem in Support, 2002 McKinney’s Session Laws of NY at 2093-2094).

argument that, because the victim was not *actually* the holder of the account, Rush did not use his personal identifying information, is illogical, as it would absolve a criminal actor of punishment every time a victim disavows the conduct which underlies the crime itself. Indeed, the only way victims may seek to avoid liability for the costs of goods and services procured by identity theft is to renounce the fraudulent use of their identity. Moreover, the type of fraudulent scheme in which Rush participated—the unauthorized and surreptitious use of the victim’s name to open a bank account—is a prime example of the type of conduct the legislature sought to punish, precisely because the use of this personal identifying information in furtherance of a financial crime may result in destroying the victim’s credit, subjecting that person to a criminal investigation, and far worse, making the person a suspect in the other crimes committed, as occurred here.

Our interpretation of the law is supported by the legislative history and the broader legislative scheme to address the theft and use of personal identifying information. A State Senate Committee Report drafted before the legislation was enacted noted that identity theft occurs “when criminals steal the identity of law-abiding citizens by gaining access to their personal information such as name, address, Social Security Number, credit card numbers, bank account numbers, or date of birth to apply for credit or to obtain goods, services, or money” (*Identity Theft: Is Your Identity Safe?* at 1). The Budget Report on Bills noted that in the statute, identity theft “is defined as the assumption of another person’s identity to obtain goods, services, or credit, or to commit another crime” (Bill Jacket, L 2002, ch 619 at 4). The Chair of the State Assembly Consumer Affairs and Protection Committee noted that following the passage of the law “New Yorkers will now be protected from the fraudulent use of their personal information and identity” (2002 Legis Update). The only provision criminalizing *use* of personal information is the identity theft statutes, further supporting the conclusion that the legislature intended that the use itself constitutes the assumption of another’s identity (*compare* Penal Law §§ 190.78-190.80, *with* Penal Law §§ 190.81-190.83).

Contrary to the dissent’s argument, nor does the rule of lenity benefit defendants (dissenting op at 436). “If two constructions of a criminal statute are plausible, the one more favorable to the defendant should be adopted in accordance with the

rule of lenity” (*People v Golb*, 23 NY3d 455, 468 [2014] [brackets omitted]). “The mere possibility of articulating a narrower construction, however, does not by itself make the rule of lenity applicable” (*Smith v United States*, 508 US 223, 239 [1993]).

Here, because the alternative construction proposed by defendants is not plausible given the clarity of the statute, the overall legislative scheme, and the supporting legislative history, the rule of lenity is inapplicable. Moreover, defendant Rush’s contention that ambiguity is inherent in the statutory language as shown by the split of opinion between the two Appellate Division departments has been rejected by this Court and if adopted would lead to the absurd result that in every case where judges disagree as to the proper construction of a statute the text would be treated as ambiguous (*see Breed v Insurance Co. of N. Am.*, 46 NY2d 351, 355 [1978] [a department split on interpretation of insurance policy does not make it ambiguous]; *see also United States v Rentz*, 777 F3d 1105, 1114 [10th Cir 2015] [existence of different views about how to best interpret statute does not alone prove law ambiguous]).

[4] Defendant Rush’s alternative grounds for reversal of her identity theft conviction are without merit. She claims that the statute requires that the felony must be subsequent to and enabled by the assumption of the identity, and relies on dictionary definitions to argue that the word “thereby” should be read as “by that means” or “by means of that act.” We agree that this established dictionary meaning is the proper definition of “thereby” as used in the statute (*see People v Andujar*, 30 NY3d 160, 163 [2017] [dictionary definitions useful in interpreting statutory language]). As such, the assumption of another’s identity is the means by which a defendant commits the felony and is not a temporal precondition of the crime.

Where Rush’s analysis falters is in her application of this intended meaning of the word “thereby” to support her conclusion that the People failed to establish the necessary causal link between her actions and the crime. According to Rush, she completed the underlying felony of second-degree criminal possession of a forged instrument once she possessed the checks, well before she assumed the victim’s identity when depositing them. Defendant ignores that under our law a person is guilty of criminal possession of a forged instrument in the second degree when the person “utters or possesses” the check (“utters” meaning to put into circulation) (Penal Law § 170.25). Since defendant deposited the check, and in so doing placed it

into circulation, she uttered the check by means of assuming the victim's identity, as reflected in the jury instruction.⁸

III.

Defendant Rush's Claim of an Alleged Courtroom Closure

[5] Rush's remaining claim that the courtroom was closed during jury voir dire, in violation of her Sixth Amendment right to a public trial, is without merit and partially unpreserved. A defendant's constitutional right to a public trial "has long been regarded as a fundamental privilege of the defendant in a criminal prosecution" (*People v Martin*, 16 NY3d 607, 611 [2011] [internal quotation marks omitted]). The Court has explained that "[a] violation of the right to an open trial is not subject to harmless error analysis and 'a per se rule of reversal irrespective of prejudice is the only realistic means to implement this important constitutional guarantee'" (*id.* at 613, citing *People v Jones*, 47 NY2d 409, 417 [1979]). This right applies broadly and encompasses public access to the jury voir dire (*id.*; see also *People v Alvarez*, 20 NY3d 75, 80 [2012]; *Presley v Georgia*, 558 US 209, 212 [2010]). Indeed, "[t]he ability of the public to observe questioning of [jurors] is important, both so that the judge, the lawyers and the prospective jurors will be conscious that they are observed, and so that the public can evaluate the fairness of the jury selection process" (*Martin*, 16 NY3d at 613). Nevertheless, there are important caveats and exceptions to this constitutional right. Notably, trial courts

8. The jury charge for the count of identity theft in the first degree for which Rush was convicted stated:

"First, that on or about November 13, 2008, in the County of Monroe, at 1:26 p.m., at the Citizens Bank located at 2042 Chili Avenue, the defendant, Terrie Jean Rush, assumed the identity of [the victim] by using personal identifying information of that person. Two, that the defendant did so knowingly and with intent to defraud. And three, that the defendant thereby committed a Class D felony."

The jury charge for criminal possession of a forged instrument in the second degree stated that the jury had to find,

"[f]irst, that on or about November 13, 2008, in the County of Monroe, at 1:26 p.m., at the Citizens Bank located at 2042 Chili Avenue, the defendant, Terrie Jean Rush, uttered or possessed a forged instrument which is or purports to be, or which is calculated to become or to represent if completed a commercial instrument, that being a check. And two, that the defendant did so with knowledge that it was forged and with intent to defraud, deceive, or injure another."

have limited discretion to close the courtroom to the public under unusual circumstances (*id.* at 611). For example, a judge may close the courtroom when open-court testimony by an undercover officer might jeopardize the officer's safety (*People v Jones*, 96 NY2d 213 [2001]; *see also People v Hinton*, 31 NY2d 71, 74 [1972] [listing situations where excluding the public may be necessary]). Also, "preservation of public trial claims is still required [as] [b]ringing a public trial violation to a judge's attention in the first instance will ensure the timely opportunity to correct such errors" (*Alvarez*, 20 NY3d at 81).

Here, the judge's stated intention was to have Rush's family member step outside while the prospective jurors entered the courtroom and several were seated in the jury box, which would make room for the general public and prevent the family member's contact with prospective jurors, which could have potentially tainted the jury pool. The court acted cautiously to ensure Rush's rights were protected, and explained to counsel that the family member would merely "not be able to observe the first twenty-one jurors being put into the box, no questioning occurring." Contrary to Rush's claim, the judge did not bar the family member from returning after the prospective jurors entered and were seated, or bar him from observing voir dire (*Rush*, 148 AD3d at 1604). In fact, the judge made clear that once voir dire began the family member "is going to observe all that." Under these circumstances, where jury voir dire had not yet begun, the directive to step out until enough prospective jurors were seated did not implicate Rush's right to a public trial or the public ability to "evaluate the fairness of the jury selection process" (*Martin*, 16 NY3d at 613).⁹

Rush relies heavily on *People v Martin*, in which this Court found an infringement of defendant's constitutional rights where the trial court barred defendant's father from observing a portion of voir dire because the court needed space in the courtroom and was afraid the father might influence jurors (*id.*). Despite its factual similarity, *Martin* is distinguishable because in that case the defendant's father was excluded from the courtroom while voir dire was ongoing, including the period in which some of the prospective jurors were excused and permitted to leave.

9. What occurred here is no different than if the family member had arrived while the prospective jurors were entering the courtroom and the deputy instructed him to wait until all the jurors made their way into the room. Neither situation implicates a defendant's constitutional rights or diminishes the public's access to the trial.

To the extent Rush implies that the courtroom was effectively closed during the public portion of the trial because the family member was excluded during the judge's preliminary remarks, notwithstanding the judge's assurance that nothing substantive would occur until after some of the prospective jurors were seated in the jury box, that claim is unpreserved. Moreover, the record is unclear that the family member was actually excluded after the jurors entered the courtroom and once the judge addressed them. However, assuming such was the case, then it was incumbent upon defense counsel to object that voir dire had commenced and bring the matter to the judge's attention to permit the timely opportunity to correct any possible error (*Alvarez*, 20 NY3d at 81). Not only did counsel not object, but after being alerted to the fact that the deputy was unable to locate the family member after the jurors had entered the courtroom and were seated, Rush's attorney did not state her objection or inform the court of the family member's continued absence (*cf. Alvarez*, 20 NY3d at 81). Instead, Rush's attorney merely responded "okay" to the deputy, suggesting that the matter was no longer of consequence.

IV.

Accordingly, in *People v Roberts*, the order, insofar as appealed from, should be reversed, and the case remitted to the Appellate Division for consideration of the facts (CPL 470.25 [2] [d]; 470.40 [2] [b]) and issues raised but not determined on appeal to that Court. The Appellate Division order should be affirmed in *People v Rush*.

WILSON, J. (dissenting in part and concurring in part). Ms. Rush stole the identity of her victim, depositing fraudulent checks into a fraudulent bank account, created in his name by use of several items of his personal identifying information (PII), from which she then made cash withdrawals. Mr. Roberts attempted to use someone else's credit card number, attached to a name of a fictional person, to buy a bunch of sneakers. The former is identity theft; the latter is not. Ms. Rush's behavior falls squarely within the language of Penal Law § 190.80; Mr. Roberts' does not. There is no reason to believe that the legislature, when enacting legislation addressed to a rampant new form of crime called "identity theft," sought to create a crime that reached the ordinary sort of larceny in which Mr. Roberts engaged. I therefore concur in the Court's affirmance of Ms. Rush's conviction, but dissent from its reversal reinstating Mr. Roberts'.

“Good name in man and woman, dear my lord,

“Is the immediate jewel of their souls:

“Who steals my purse steals trash; ‘tis something,
nothing;

“ ‘Twas mine, ‘tis his, and has been slave to thousands:

“But he that filches from me my good name

“Robs me of that which not enriches him

“And makes me poor indeed.” (William Shakespeare, *Othello*, act III, scene 3.)

I.

The majority’s opinion violates four fundamental rules of construction, ones that we and other courts have applied countless times over centuries of jurisprudence: First, we do not read a statute (or a regulation, or a contract) so as to render words in it meaningless, unless doing so would avoid an absurd result or a conflict with some other language in the same or a related statute (or regulation, or contract). Second, we read provisions in and harmonize them with their statutory context. Third, we do not interpret statutes in a way that produces an absurd result, when a different construction avoids some or all of the absurdity. Fourth, when interpreting a criminal statute, we apply the “rule of lenity” if the reach of the statute is ambiguous.

A.

Turning to the first, “[w]e have recognized that meaning and effect should be given to every word of a statute and that an interpretation that renders words or clauses superfluous should be rejected” (*Matter of Mestecky v City of New York*, 30 NY3d 239, 243 [2017] [internal quotation marks omitted]; see McKinney’s Cons Laws of NY, Book 1, Statutes § 231). Adhering to that canon of construction makes full use of “the clearest indicator of legislative intent”: the statutory text (*People v Golo*, 26 NY3d 358, 361 [2015]). It also encourages the legislature (and all those whose words we may later need to interpret) to take care in writing exactly what they mean, instead of relegating to us a historical investigation of what they might have meant. Here, it is obvious that the majority has rendered nugatory a portion of the words chosen by the legislature:

Legislature	Majority
A person is guilty of identity theft in the [first, second or third] degree when he or she knowingly and with intent to defraud assumes the identity of another person by presenting himself or herself as that other person, or by acting as that other person or by using personal identifying information of that other person.	A person is guilty of identity theft in the [first, second or third] degree when he or she knowingly and with intent to defraud assumes the identity of another person by present[s] himself or herself as [an] other person, or by act[s] as that other person or by us[es] personal identifying information of that other person.

(Penal Law §§ 190.78-190.80). Where the legislature has stated a two-pronged test for identity theft—(1) assuming a person’s identity *by* (2) either (a) presenting one’s self as, (b) acting as, or (c) using the identifying information of that person—the majority concludes the two prongs should be read as mere restatements of one another. The crime here, as specified by the legislature, is the assumption of someone else’s identity—identity theft. The crime is *not*, without more, the use of someone else’s name, birth date, address, Social Security number or credit card number. Those are some of the means by which theft of identify *may* be accomplished, but the use of one or more of those items does not automatically amount to the assumption of someone else’s identity. The majority’s construction does not comport with the text of the statute, our canons for interpreting statutes, or our precedents construing similarly structured laws, and appears inconsistent with the legislative intent, as best as we can discern it.

If, as the majority concludes, “assumes the identity of another person” is synonymous with the clauses that follow it, then that phrase could, as illustrated above, be read out of the statute without effect. Although the majority attempts to rescue the words from desuetude by suggesting their inclusion “defines the essence of identity theft,” no section in the Penal Law relies on that so-called definition—offered, for reasons unknown, outside the confines of the definition section—by using the phrase as a shorthand for what follows them; instead, other sections refer to “the crime of identity theft” or to the relevant sections by number (majority op at 420 [emphasis omitted]; *see e.g.* Penal Law §§ 60.27 [1]; 190.85 [1]). At oral argument, the People freely admitted the interpretation adopted by the majority is one in which excising “assumes the identity of another person” “doesn’t change the application of the statute.” We do not construe statutes in that manner.

We have relied on the rule against surplusage to hold that an identically structured section of the Penal Law contains

“two separate elements” (*People v Giordano*, 87 NY2d 441, 448 [1995]). Under that section, a person is guilty of promoting gambling in the first degree “when he knowingly advances or profits from unlawful gambling activity by: 1. Engaging in bookmaking to the extent that he receives or accepts in any one day more than five bets totaling more than five thousand dollars; or 2. Receiving [money from certain parties or in certain amounts]” (Penal Law § 225.10).¹

Notwithstanding the use of the word “by,” we concluded that legislature intended the clauses on either side of the preposition to “describe different conduct” (*Giordano*, 87 NY2d at 447). To hold otherwise would have been to

“render the language in the opening paragraph surplusage . . . Accordingly, the statute would have no different meaning if the opening language were excised from it as defendants would do. Under well-established principles of interpretation, effect and meaning should be given to the entire statute and every part and word thereof. We should assume the Legislature had a purpose when it used the phrase . . . and avoid a construction which makes the words superfluous” (*id.* at 448 [internal quotation marks and citation omitted]).

1. The majority suggests “[t]he identity theft statute is constructed differently” from the gambling statute (majority op at 419 n 4). Another side-by-side comparison may help illustrate their parallels.

Penal Law § 225.10	Penal Law § 190.78
A person is guilty of promoting gambling in the first degree when he knowingly advances or profits from unlawful gambling activity by: . . . [e]ngaging in bookmaking to the extent that he receives or accepts in any one day more than five bets totaling more than five thousand dollars; or . . . [by] [r]eceiving, in connection with a lottery or policy scheme or enterprise, (a) money or written records from a person other than a player whose chances or plays are represented by such money or records, or (b) more than five hundred dollars in any one day of money played in such scheme or enterprise.	A person is guilty of identity theft in the third degree when he or she knowingly and with intent to defraud assumes the identity of another person by presenting himself or herself as that other person, or by acting as that other person or by using personal identifying information of that other person, and thereby: . . . obtains goods, money, property or services or uses credit in the name of such other person or causes financial loss to such person or to another person or persons; or . . . commits a class A misdemeanor or higher level crime.

The majority provides no explanation for why the rule of statutory construction on which the People relied in *Giordano* to establish that the two phrases in section 225.10 “must . . . be two elements of the crime” no longer applies in defendants’ cases (*id.*).²

Nor is the gambling statute the only identically structured section of the Penal Law to contain two separate elements. As the majority itself notes, the arson statute follows the same grammatical structure (*see* majority op at 420 n 5). “A person is guilty of arson in the third degree when he intentionally damages a building or motor vehicle by starting a fire or causing an explosion” (Penal Law § 150.10 [1]). Under the majority’s new rules of grammar, which treat the word “by” as an equals sign, everyone who starts a fire has intentionally damaged a building or motor vehicle and thereby committed arson; only prosecutorial discretion keeps those scrambling eggs on a gas stove, lighting a cigarette, or firing a cap gun, from spending up to 15 years in prison.³

2. The majority’s attempt to divine the legislature’s intent by observing that the language of the New York statute varies from the language used in some other jurisdictions falls flat (*see* majority op at 420-421). For one thing, the legislature could rely on *Giordano*’s holding that the language it employed did not meaningfully vary from the language in equivalent Massachusetts and Wisconsin state laws (*Giordano*, 87 NY2d at 447-448; *see id.* at 454 [Titone, J., dissenting]). For another, what survives of the legislative history evidences a desire to emulate, not exceed, the many other states that had already passed identity theft statutes (Sponsor’s Mem, Bill Jacket, L 2002, ch 619, 2002 McKinney’s Session Laws of NY at 2093-2094; Rep of NY St Senate Comm on Investigations, Taxation and Govt Operations, *Identity Theft: Is Your Identity Safe?* at 14-15 [June 2000]). Indeed, the early drafters of what became the identity theft statutes saw themselves as responding to Congress’ call for nationwide, state-based protections that it lacked either the constitutional authority or the law enforcement officers to effect. That call’s goal was uniformity, not an inchoate patchwork that would defeat federal efforts to statistically survey state crimes and disseminate information about state resources or invite would-be criminals to descend on the citizens of the states with the least robust protections (*id.*).

3. See also Penal Law §§ 120.14 (1) (a person is guilty of second-degree menacing when “[h]e or she intentionally places or attempts to place another person in reasonable fear of physical injury, serious physical injury or death by displaying a deadly weapon, dangerous instrument or what appears to be a pistol, revolver, rifle, shotgun, machine gun or other firearm”) and 120.02 (1) (a person is guilty of recklessly assaulting a child “when . . . such person recklessly causes serious physical injury to the brain of a child less than five years old by shaking the child, or by slamming or throwing the child so as to impact the child’s head on a hard surface or object”). No one would contend that “displaying a deadly weapon” defines what it means to “place[] . . . another person in reasonable fear of . . . injury” or that a person has assaulted a child whenever he rocks a baby to sleep. If the majority is not “positing a

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B.

Turning to the second canon of construction, recognizing that the language at issue contains two separate elements harmonizes sections 190.78 through 190.80 with their immediate predecessor (*see* Statutes § 98). That section defines “personal identifying information” to include “any . . . name, number, code or information that may be used alone or in conjunction . . . to assume the identity of another person” (Penal Law § 190.77 [1]). Its plain meaning is that using a single piece of PII may, but need not always, suffice to assume a person’s identity; there will be times when using just one piece of information—a birthday or a work address, for example—is not enough to assume an identity. Juries can distinguish between innocent and criminal uses of PII only if the People are required to establish not merely the intentional use of someone else’s PII, but also that a defendant used that PII to assume her victim’s identity. Instead of admitting the importance of that element, the majority reads sections 190.78 through 190.80 to embrace an equivalency that section 190.77 rejects—and that the majority itself attempts to disclaim (*see* majority op at 421-422 n 6).

C.

Turning to the third, my reading of the statute faithfully “presume[s] that a reasonable result was intended by the Legislature” and rejects, as we must, a “construction which would make a statute absurd” (Statutes §§ 143, 145). I “carefully scrutinize this impact of [the majority’s] approach because courts are governed by the principle that we must interpret a statute so as to avoid an unreasonable or absurd application of the law” (*People v Pabon*, 28 NY3d 147, 156 [2016] [internal quotation marks omitted]). The People concede that under the majority’s construction of the statute, people who deposit checks made out to their spouses into their joint bank account, even at their spouses’ request and while disclosing their own identity to the teller, have assumed the identity of their spouse—and, simultaneously, that of whomever wrote the check as well. They also admit that every actor who plays a character based on a real person has assumed that person’s

rule of construction or grammar whereby the use of the preposition ‘by’ has the same effect in every statute or context,” it is incumbent upon it to explain why that preposition takes on a unique meaning in these sections of the Penal Law (majority op at 420 n 5).

identity, notwithstanding their audiences being in on the act. Although the mens rea element saves the actor and the spouse from conviction, the majority's insistence that something millions of New Yorkers do each year, or that television and theatrical actors do each week, completes the actus reus of a felony or is what the legislature meant by "assumes the identity," beggars belief.⁴ Unless "assumes the identity of another" is a separate element of the statute, the legislature's expansive definition of PII to include items shared by many people, such as birth dates, names and addresses, produces absurd results that we are bound to reject.

Several examples illustrate why the interpretation the majority adopts is untenable. Suppose my youngest daughter, passing an ice cream parlor that advertises a "free cone on your birthday," walks in and announces today is her birthday—even though it's not. She has an intent to defraud. She has used someone else's PII and thereby obtained a good. Has she stolen the identity of everyone born on today's date?⁵

My middle daughter passes the same ice cream parlor. The manager, now wise to birthday fraud, switches promotions: "Free cone when you sign up to receive our monthly email." She lists her younger sister's email address. Identity theft?⁶

4. I have not "collapse[d] the statute's actus reus and mens rea" elements, as the majority complains (majority op at 421 n 6). In these examples, but not others, I have openly focused on the former to underline the extent to which majority interprets "assumes the identity" in an unprecedented and unsupportable manner.

5. The majority charges that "[m]any of the examples provided by the dissent . . . are simply not identity theft" (majority op at 421 n 6). That is true, under both my definition and a commonplace understanding of the term, but not under the majority's definition. As its inability to pinpoint any such aberrant example suggests, every hypothetical hereinafter suggested falls—preposterous as it may sound—within the definition adopted by its opinion. The majority might as well concede, as the People did at oral argument, that the conduct described in this exact example "would have violated the identity theft statutes" as it interprets them.

Instead, it proclaims that a "customer who lies to an ice cream shop employee about their birthday in order to get a free cone has not assumed the identity of another person by using that person's personal identifying information, the customer has merely lied to the employee about one piece of the customer's own personal identifying information" (*id.*). I agree. So would Mr. Roberts. The majority's holding, however, leaves no doubt but that the customer could be prosecuted for third-degree identity theft.

6. The majority asserts that a "customer who, intending to defraud, provides a store employee with another's personal identifying information, knowing the employee will mistakenly believe it is the customer's personal

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My eldest happens along. She loves ice cream and practical jokes. The new promotion is: “Free cone when you register your phone number for promotional calls.” She lists her lactose-intolerant uncle’s landline, the telephone number associated with a four-person family. Four counts?

Sated, all three daughters want to watch a movie. They bypass a block I’ve installed on our Internet connection by using my Court of Appeals VPN to assume a new IP address. Identity theft? When I bog down that VPN to draft this dissent from home, they switch to Tor. A count for every person’s IP address that they happen to bounce off of?

Or suppose one of my brilliant and indefatigable future law clerks lists her uncle’s address in Buffalo so she may avoid taking the bar exam in New York City. She has an intent to defraud and has obtained a service. Has she stolen her uncle’s identity and committed misdemeanor identity theft? That same lawyer, convicted of misdemeanor identity theft but allowed by the grace of the Fourth Department’s character and fitness committee to retain her admission to the bar if she amasses additional CLE credits, submits her friend’s office address on an application offering free CLE classes to every attorney in the Third Department. Has she stolen her friend’s identity and earned, as a repeat offender, up to five years in prison as a class E felon?

Some of these are fun (or frightful) and fanciful examples, but many ordinary people misstate some bit of PII with the intent to deceive and thereby obtain something of value. Under the majority’s interpretation, parents who enroll their children in a better public school by listing a grandparent’s address instead of their own have used another’s PII to their own significant benefit and are therefore guilty of first degree identity theft—a class D felony carrying a penalty of up to seven years in prison. The hundreds of thousands of underage soldiers who enlisted during World War II are not patriots but criminals. Actors and Little League players who shave their ages to secure

identifying information and thereby assume the customer is that other person, commits identity theft under the dissent’s definition of the crime as well as ours” (majority op at 421-422 n 6). Incorrect. The daughter who provides her younger sister’s PII to the manager has not committed identity theft under my definition of the crime because, unlike the majority, I have not written a key phrase out of the statute. I allow jurors to recognize what the majority does not: even if that daughter has successfully misled the manager, she has not assumed her sister’s identity (*see* part II, *infra*).

parts or a prime spot on a team's lineup, candidates for office who lie about their legal residence to claim eligibility for office, and pickpockets who steal and use credit cards are commonplace.⁷ Some of those behaviors are criminal, but we do not consider them identity theft because they do not involve the assumption of someone else's identity.

The statute's requirement of intent does not prevent the absurd reach of the majority's interpretation, which criminalizes a good deal of commonplace, innocent behavior. Indeed, the majority tacitly acknowledges that overbreadth by relying on prosecutorial discretion to reassure us that my daughters, my law clerk, parents using a false address or actors using a false birth date—and, in the hands of a sensible district attorney, a person finding and attempting to use someone else's lost credit card or a concert ticket bearing the owner's name—would not really be prosecuted for identity theft, though they could be under the statute.

Equally absurd, the majority's interpretation will lead juries to conflate attempted identity thefts with successful ones. Suppose the manager of the ice cream parlor knows my youngest daughter is pretending today's her birthday (because she claims the same thing each time she stops in), but still provides her—the daughter of a pretty good customer—with a free cone. Less fancifully, look to Mr. Roberts. The cashier was never fooled by the fraudulent credit card (majority op at 412). The transaction was never completed and Mr. Roberts never took possession of the goods. The normal operation of our criminal attempt law should reduce his crime from a felony to a misdemeanor (*see* Penal Law § 110.05 [7]). However, because “assumes the identity” is the only language in the statute that could take account of the audience's reaction (the manager, the cashier, a credit card company, a loan officer), the majority's in-

7. *See e.g.* ABC News, *Young Warriors: Veterans Lied About Their Ages*, Nov. 11, 2007, <http://abcnews.go.com/GMA/story?id=3850523>; Nicholas Lemesh, *Walt Disney: World War I Driver*, Sept. 17, 2015, <https://redcrosschat.org/2015/09/17/archives-walt-disney-world-war-driver>; Paula Coccozza, *Actors: Go Ahead, Lie About Your Age—Look How Maggie Gyllenhaal was Treated*, May 21, 2015, <https://www.theguardian.com/commentisfree/2015/may/21/actors-lie-age-maggie-gyllenhaal-rebel-wilson>; Michael Gartland, *Monserate Slams Rival Council Candidate Over Residence Claims*, Aug. 23, 2017, <https://nypost.com/2017/08/23/monserate-slams-rival-council-candidate-over-residence-claims/> (last accessed Apr. 16, 2018).

terpretation treats what should be reduced to attempted identity theft as a completed crime.⁸

D.

Fourth and finally, even were the majority's broad interpretation equally well-supported, the rule of lenity would require us to endorse the narrow reading that I suggest. "[I]f two constructions of a criminal statute are plausible, the one more favorable to the defendant should be adopted" (*People v Andujar*, 30 NY3d 160, 170 [2017], quoting *People v Golb*, 23 NY3d 455, 468 [2014], quoting *People v Green*, 68 NY2d 151, 153 [1986]). Under that "venerable rule," the "tie must go to the defendant" "not out of any sentimental consideration, or for want of sympathy with the purpose of Congress in proscribing evil or anti-social conduct" (*United States v Santos*, 553 US 507, 514 [2008] [collecting cases]; *Bell v United States*, 349 US 81, 83 [1955]). Rather, the rule "vindicates the fundamental principle that no citizen should be held accountable for a violation of a statute whose commands are uncertain" (*Santos*, 553 US at 514). "It also places the weight of inertia upon the party that can best induce [the legislature] to speak more clearly" (*id.*). Especially when conduct is already prescribed by other statutes, "doubt will be resolved against turning a single transaction into multiple offenses" (*Bell*, 349 US at 84).

II.

Recognizing "assumes the identity" as a separate element presents two further questions: what does the phrase mean, and did the People prove it beyond a reasonable doubt in these cases? The text and its legislative history establish that it was intended to reach only "one of the fastest[-]growing financial crimes" and not routine credit card theft (Sponsor's Mem, Bill Jacket, L 2002, ch 619, 2002 McKinney's Session Laws of NY at 2094). I would therefore affirm both the vacatur of Mr. Roberts' conviction and the order sustaining Ms. Rush's.

8. The majority notes without explanation that "first- and second-degree identity theft both include attempts" (majority op at 419 n 3). That is completely wrong. Isolated subdivisions of those sections criminalize not attempting to assume someone's identity, but successful assumptions by which a person, inter alia, attempts to commit a felony (Penal Law §§ 190.79 [3]; 190.80 [3]). The section defining third-degree identity theft does not so much as mention the word.

A.

Because the element is not defined in the statute, we must discern and give effect to the legislature’s intent through less direct means. One avenue is dictionaries, which “serve as useful guideposts [to] . . . word[s]’ ordinary and commonly understood meaning” (*People v Aleynikov*, 31 NY3d 383, 397 [2018] [internal quotation marks omitted]). Here, they provide several meanings of “assume” and “identity” that are pertinent for our purposes. Black’s Law Dictionary defines “identity” as “[t]he distinguishing personality or attributes of an individual” (Black’s Law Dictionary [10th ed 2014], identity). Although Black’s is silent as to “assume,” Merriam-Webster offers “seize, usurp” and “assume control” (Merriam-Webster Online Dictionary, assume [<https://www.merriam-webster.com/dictionary/assume>])).

Another avenue is what the legislative history can tell us about “the mischief sought to be remedied by the new legislation” (Statutes § 95).⁹ At oral argument, the People repeatedly emphasized that the legislature intended the identity theft statutes to address “a new type of crime”: collecting substantial quantities of PII and using it to obtain loans or lines of credit. The new legislation was directed at a crime “drastically altered” by the rise of Internet technology (*Is Your Identity Safe?* at 4). It worked important changes to protect New Yorkers from the increasingly serious consequences of identity theft catalogued by the U.S. Congress, the Federal Trade Commission, and our own senate (*id.* at 3-4, 9-13). But as a closer look at the legislative history reveals, the legislature did not intend to encompass old-fashioned unauthorized credit card use within the new statute.

The legislature enacted the identity theft statutes to accomplish two purposes: to “criminalize[] theft of identity” and to “create[] a remedy for damages suffered due to identity theft and provide[] that a sentencing court shall consider restitution for losses incurred as the result” (Sponsor’s Mem in Support, Bill Jacket, L 2002, ch 619, 2002 McKinney’s Session Laws of NY at 2093). The majority’s forced construction of the statutes furthers neither of those purposes.

9. Unfortunately, much of the bill jacket appears to have been lost (Bill Jacket, L 2002, ch 619 at 3). What remains to us is the budget report, the sponsor’s memorandum collected in the session laws, snippets of Governor Pataki’s press release at the bill signing, a brief committee update, and a committee report from a prior legislature session recommending a bill quite different from the one that became law.

New laws were not required to clarify that unauthorized credit card use was a serious crime. The legislature's belief that new laws were required because "the law is unclear on whether 'theft of identity' is considered a crime under current statutes" illustrates that it did not consider unauthorized credit card use to be a "theft of identity" (Sponsor's Mem, Bill Jacket, L 2002, ch 619, 2002 McKinney's Session Laws of NY at 2094). The purpose was to criminalize acquiring personal identifying information and using it to take control of a victim's identity by, e.g., opening a surreptitious account in that victim's name. That purpose did not require including old-fashioned unauthorized credit card use within the ambit of the new statute; such use was clearly illegal under existing law. The majority's assertion that the "only provision criminalizing use of personal information is the identity theft statutes" is flatly incorrect in this context: a person using a credit card to make unauthorized purchases commits larceny or theft of services (majority op at 423 [emphasis omitted]; Penal Law §§ 155.25 *et seq.*, 165.15 [1]). In fact, this Court first affirmed the conviction of a defendant who had used another person's credit card more than half a century ago—and did so, without controversy, under the second-degree larceny statute (*People v Lorez*, 21 NY2d 733, 734 [1968]).

Nor were new laws required to create a remedy for the victims of unauthorized credit use. Prior to the amendments included with the identity theft statutes, section 60.27 of the Penal Law required courts to "consider restitution or reparation to the victim" when sentencing thieves—including thieves convicted of stealing their victim's credit cards (Penal Law § 60.27 [1]; *see* Penal Law § 155.30 [4]).

Elevating unauthorized use of a credit card to identity theft not only fails to further the legislature's purpose, but also actively frustrates its instruction that statutes be construed to "produce equal results" rather than to "work hardship or injustice" (Statutes §§ 146, 147). A man steals my wallet, which contains \$2 in cash and a credit card. He uses the latter to buy a pack of gum. Because of an earlier grand larceny conviction—perhaps stemming from the theft of my credit card information, perhaps from an entirely separate incident—he is a repeat offender guilty of a second-degree identity theft for which he could serve up to five more years in prison (Penal Law § 190.79 [4]). Had he instead purchased the pack of gum with the stolen cash, he would have been guilty of the most insignificant of petit larcenies and been exposed to no more than one additional year behind bars.

Finally, including unauthorized credit card use within the definition of “assumes the identity” is simply incommensurate with how identity theft is commonly understood. The legislative history indicates those responsible for the new law shared that understanding. They believed legislative action was required because identity theft was “a gross violation of privacy that can have disastrous consequences” (Press Release, *Governor Pataki Signs Identity Theft Legislation into Law* [Oct. 9, 2002]). Its victims faced the “arduous task” of “repairing their financial record, credit rating, and well-being”; “[a]ccording to one study, identity theft victims spent 330 hours in addressing the damage caused by the identity thief” (Sponsor’s Mem, L 2008, ch 279 at 9, 2008 McKinney’s Session Laws of NY at 1951-1952). Those descriptions are justified by an effort to criminalize true identity theft, which can devastate its victims; they would be out of proportion had the legislature understood “assumes a person’s identity” to include unauthorized credit card use. Because unauthorized charges are credited to an account that victims are aware of and over which they retain control, those victims face little difficulty refusing the charges (*see* 12 CFR 205.6 [limiting consumer liability for unauthorized transfers]; *People v Barden*, 117 AD3d 216, 222-223 [2014] [describing the speedy return of Mr. Barden’s victims’ money], *revd* 27 NY3d 550 [2016]). A person who steals my credit card has filched my money, not my good name.

Rather than seriously engage with the legislative history, the majority defaults on its obligation to adopt a construction congruent to the—in this case limited—“object, spirit and purpose of the statute” (Statutes § 96). Although the legislature could have defined identity theft as broadly as the majority does today, it chose to tailor a new provision to an emerging problem while leaving old crimes to existing statutes. I have no difficulty accepting the import the legislature intended (*cf.* majority op at 422 n 7). What is “unacceptable to the dissent” is the majority’s theft of the legislature’s identity, by striking the words “assumes the identity of” from the statute.

B.

Armed with that interpretation, I turn to the facts of these cases.

Mr. Roberts’ actions—which I agree can be reduced to the act of using, or at least attempting to use, a person’s credit card number (majority op at 421)—do not rise to the level of assum-

ing the identity of another person. Rather, his case illustrates that the majority's expansive interpretation of the statute furthers no legislative purpose. Mr. Roberts was convicted of second-degree criminal possession of a forged instrument (Penal Law § 170.25). He could also have been charged with fourth-degree criminal possession of stolen property for possessing the stolen credit card information, third-degree unlawful possession of PII for the same, fourth-degree grand larceny for stealing the credit card information, attempted grand larceny in the fourth degree for trying to steal the merchandise—or, if the card had a sufficient credit limit, with higher degrees of the criminal possession and grand larceny charges (*id.* §§ 165.45 [2] *et seq.*, 190.81, 155.30 [4] *et seq.*). Nothing Mr. Roberts did smacks of the new type of crime inadequately addressed by preexisting provisions of the Penal Law.

Ms. Rush, on the other hand, assumed the identity of another person. Although depositing a check made out to her victim would have been insufficient grounds for conviction, the People also established that she participated in a scheme to misappropriate that victim's address and Social Security number to use a fraudulent bank account in his name, as to which he had neither control nor knowledge. That scheme—which destroyed the victim's credit rating and subjected him to criminal investigation—“is a prime example of the type of conduct the legislature sought to punish” (majority op at 423).

Accordingly, I dissent from the majority's decision to reinstate Mr. Roberts' conviction for second-degree identity theft and concur in its decision to affirm Ms. Rush's.

In *People v Roberts*: Order, insofar as appealed from, reversed, and case remitted to the Appellate Division, First Department, for consideration of the facts (CPL 470.25 [2] [d]; 470.40 [2] [b]) and issues raised but not determined on appeal to that Court.

Opinion by Judge RIVERA. Chief Judge DiFIORE and Judges STEIN, FAHEY, GARCIA and FEINMAN concur. Judge WILSON dissents and votes to affirm in an opinion.

In *People v Rush*: Order affirmed.

Opinion by Judge RIVERA. Chief Judge DiFIORE and Judges STEIN, FAHEY, GARCIA and FEINMAN concur. Judge WILSON concurs in result in an opinion.

[105 NE3d 301, 80 NYS3d 162]

E.J. BROOKS COMPANY, Doing Business as TYDENBROOKS,
Appellant-Respondent, v CAMBRIDGE SECURITY SEALS,
Respondent-Appellant.

Argued February 8, 2018; decided May 3, 2018

SUMMARY

PROCEEDING, pursuant to NY Constitution, article VI, § 3 (b) (9) and Rules of the Court of Appeals (22 NYCRR) § 500.27, to review two questions certified to the New York State Court of Appeals by the United States Court of Appeals for the Second Circuit. The following questions were certified by the United States Court of Appeals and accepted by the New York State Court of Appeals: “1. Whether, under New York law, a plaintiff asserting claims of misappropriation of a trade secret, unfair competition, and unjust enrichment can recover damages that are measured by the costs the defendant avoided due to its unlawful activity. 2. If the answer to the first question is ‘yes,’ whether prejudgment interest under New York Civil Practice Law and Rules § 5001(a) is mandatory where a plaintiff recovers damages as measured by the defendant’s avoided costs.”

HEADNOTES

Damages — Measure of Damages — Compensatory Damages in Unfair Competition Action — Avoided Costs

1. In an action based on a theory of unfair competition, compensatory damages must correspond to the amount which the plaintiff would have made except for the defendant’s wrong, i.e., plaintiff’s losses that were a proximate cause of defendant’s conduct. A plaintiff may not elect to measure its damages by the defendant’s avoided costs in lieu of its own losses. The purpose of compensatory damages is to have the wrongdoer make the victim whole by restoring the injured party, to the extent possible, to the position that would have been occupied had the injury not occurred. Under a misappropriation theory of unfair competition, a party is liable if they unfairly exploit the skill, expenditures and labors of a competitor, and damages must be measured by the loss of the plaintiff’s commercial advantage, which may not correspond to what the defendant has wrongfully gained. While courts may award a defendant’s unjust gains as a proxy for compensatory damages in an unfair competition case, the accounting for profits under such circumstances is not in lieu of damages, but is a method of computing damages. Such a computation of damages may be appropriate where a plaintiff’s actual losses cannot be traced with even approximate precision, but even in those cases it must first be shown that there is some approximate relation of correspondence, a causal relation not wholly unsubstantial and imaginary, between the gains of the aggressor and those diverted from his or her victim. If a plaintiff seeks to establish an inference that its compensable losses are linked to the value of the defendant’s gains, then the defendant must be afforded an opportunity to challenge the link with its own rebuttal evidence.

Damages — Measure of Damages — Compensatory Damages in Trade Secret Action — Avoided Costs

2. Damages in trade secret actions may not be based on the infringer's avoided development costs, but must be measured by the losses incurred by the plaintiff. A trade secret is any formula, pattern, device or compilation of information which is used in one's business, and which gives one an opportunity to obtain an advantage over competitors who do not know or use it. A plaintiff claiming misappropriation of a trade secret must prove that it possessed a trade secret and that defendant is using that trade secret in breach of an agreement, confidence, or duty, or as a result of discovery by improper means. In trade secret cases, "loss" is broadly defined and must account for the fact that the trade secrets inherently derive their value from their confidentiality. The plaintiff's injury in trade secret misappropriation cases includes the loss of competitive advantage over others by virtue of its exclusive access to the secret. Where disclosure of a trade secret has destroyed that competitive edge, the plaintiff's cost of developing the product may be the best evidence of the value that the plaintiff placed on the secret. It is neither automatically nor presumptively the case that the costs avoided by the defendant will be an adequate approximation of the plaintiff's investment losses, because the plaintiff's actual development costs have actually been incurred and are known, whereas defendant's avoided costs, by definition, are hypothetical.

Damages — Measure of Damages — Compensatory Damages in Unjust Enrichment Action — Avoided Costs

3. A plaintiff bringing an unjust enrichment action may not recover as compensatory damages the costs that the defendant avoided due to its unlawful activity in lieu of the plaintiff's own losses. In order to sustain an unjust enrichment claim, a plaintiff must show that the other party was enriched at the plaintiff's expense, and that it is against equity and good conscience to permit the other party to retain what is sought to be recovered. Unjust enrichment is available only in unusual situations when, though the defendant has not breached a contract nor committed a recognized tort, circumstances create an equitable obligation running from the defendant to the plaintiff. In those situations, equity merely intervenes to deem the parties privy to each other. Where a defendant saves, through its unlawful activities, costs and expenses that otherwise would have been payable to third parties, those avoided third-party payments do not constitute funds held by the defendant at the expense of the plaintiff.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Damages §§ 64, 67–68, 70–71, 266; AM JUR 2d Monopolies, Restraints of Trade, and Unfair Trade Practices §§ 1071, 1081–1082.

CARMODY-WAIT 2d Complaints in Particular Actions §§ 29:69, 29:247.

DOBBS LAW OF TORTS §§ 482, 644, 739.

NEW YORK CONTRACT LAW §§ 4:19, 4:21, 23:1, 23:32, 23:35.

NY JUR 2d Damages § 130; NY JUR 2d Trade Regulation §§ 80, 245, 248, 254, 262, 292–294.

NEW YORK LAW OF TORTS §§ 21:2–21:3, 21:107.

WILLISTON ON CONTRACTS (4th ed) §§ 13:13, 64:2, 68:1.

ANNOTATION REFERENCE

Proper measure and elements of damages for misappropriation of trade secret. 11 ALR4th 12.

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POINTS OF COUNSEL

Kramer Levin Naftalis & Frankel LLP, New York City (*Daniel B. Goldman*, *Kerri Ann Law*, *Claudia Pak* and *Sam Koch* of counsel), for appellant-respondent. I. A defendant's avoided costs is a proper measure of damages in a case for theft of trade secrets. (*Jacobus v Colgate*, 217 NY 235; *General Rubber Co. v Benedict*, 215 NY 18; *Ruckelshaus v Monsanto Co.*, 467 US 986; *Story Parchment Co. v Paterson Parchment Paper Co.*, 282 US 555; *MAR Oil Co. v Korpan*, 973 F Supp 2d 775; *Duane Jones Co. v Burke*, 306 NY 172; *Thyroff v Nationwide Mut. Ins. Co.*, 8 NY3d 283; *Paramount Film Distrib. Corp. v State of New York*, 30 NY2d 415; *Mandarin Trading Ltd. v Wildenstein*, 16 NY3d 173.) II. New York law mandates an award of prejudgment interest where damages are calculated based on a defendant's avoided costs. (*De Long Corp. v Morrison-Knudsen Co.*, 14 NY2d 346; *Boule v Hutton*, 320 F Supp 2d 132; *M.D. Mark, Inc. v Kerr-McGee Corp.*, 565 F3d 753; *Johns-Manville Corp. v Guardian Indus. Corp.*, 718 F Supp 1310, 925 F2d 1480.)

Kasowitz Benson Torres LLP, New York City (*Daniel J. Fetterman*, *Howard W. Schub*, *Amber T. Wallace* and *Fria R. Kermani* of counsel), for respondent-appellant. I. New York law does not permit non-compensatory "avoided costs" damages for misappropriation of trade secrets or unfair competition. (*Preston Co. v Funkhouser*, 261 NY 140; *Sharapata v Town of Islip*, 56 NY2d 332; *Ross v Louise Wise Servs., Inc.*, 8 NY3d 478; *Gressman v Morning Journal Assn.*, 197 NY 474; *Michel Cosmetics, Inc. v Tsirkas*, 282 NY 195; *Hyde Park Prods. Corp. v Lerner Corp.*, 65 NY2d 316; *Duane Jones Co. v Burke*, 306 NY 172; *Underhill v Schenck*, 238 NY 7; *Straus v Notaseme Hosiery Co.*, 240 US 179; *Ronson Art Metal Works v Gibson*

Lighter Mfg. Co., 3 AD2d 227.) II. Prejudgment interest is not available on avoided costs damages. (*Kassis v Teachers' Ins. & Annuity Assn.*, 13 AD3d 165; *Bamira v Greenberg*, 295 AD2d 206; *Mosesson v 288/98 W. End Tenants Corp.*, 294 AD2d 283; *Langer v Miller*, 305 AD2d 270; *Men's World Outlet v Estate of Steinberg*, 101 AD2d 854; *Lesjac Realty Corp. v Mulhauser*, 43 Misc 2d 439; *Trademark Research Corp. v Maxwell Online, Inc.*, 995 F2d 326; *23/23 Communications Corp. v General Motors Corp.*, 257 AD2d 367; *Weeks v Angelone*, 528 US 225; *Bethmann v Widewaters Group*, 306 AD2d 923.)

OPINION OF THE COURT

FEINMAN, J.

The United States Court of Appeals for the Second Circuit has asked us to decide “[w]hether, under New York law, a plaintiff asserting claims of misappropriation of a trade secret, unfair competition, and unjust enrichment can recover damages that are measured by the costs the defendant avoided due to its unlawful activity” (*E.J. Brooks Co. v Cambridge Sec. Seals*, 858 F3d 744, 752 [2d Cir 2017]). Under our common law, compensatory damages must return the plaintiff, as nearly as possible, to the position it would have been in had the wrongdoing not occurred—but do no more. Accordingly, we answer this question in the negative.¹

I.

E.J. Brooks Company d/b/a TydenBrooks is the largest manufacturer of plastic indicative security seals in the United States. TydenBrooks acquired Stoffel Seals Corporation, and thereafter came into possession of Stoffel’s fully-automated process for manufacturing plastic indicative security seals. According to TydenBrooks, several Stoffel/TydenBrooks employees defected to a rival manufacturer, Cambridge Security Seals (CSS), bringing the confidential Stoffel process with them. In 2012, TydenBrooks brought an action in the United States District Court for the Southern District of New York against CSS and those former employees, asserting causes of action based on, inter alia, common-law misappropriation of trade

1. We also accepted the following certified question from the Second Circuit: “If the answer to the first question is ‘yes,’ whether prejudgment interest under New York Civil Practice Law and Rules § 5001(a) is mandatory where a plaintiff recovers damages as measured by the defendant’s avoided costs” (*id.* at 752). We do not reach the second question because we answer the first question in the negative.

secrets, unfair competition and unjust enrichment.² Following a jury trial, CSS was found liable under all three of these theories.

On the issue of damages, TydenBrooks sought to measure its injury by the costs CSS avoided as a result of its unlawful activity. Under this “avoided costs” theory, TydenBrooks sought monetary relief in an amount equal to the difference between the costs CSS actually incurred in developing and using the TydenBrooks’ manufacturing process and the costs that CSS would have incurred had it not misappropriated TydenBrooks’ process. At trial, TydenBrooks’ damages expert testified that CSS would have had to incur an additional \$6.1 million to \$12.2 million, at a minimum, to develop the manufacturing process for its first-generation machines without making use of its knowledge of TydenBrooks’ information.³

TydenBrooks did not present any evidence, or otherwise argue, that CSS’s avoided costs could be a proxy for its own losses (such as its investment losses). Instead, CSS’s avoided costs were presented exclusively as a measure of the benefit CSS derived from the misappropriation, which TydenBrooks asserted was its per se measure of damages. Specifically, TydenBrooks’ expert testified that, among the three theories of damages he was familiar with—“lost profits,” “disgorgement of unjust gains” and “reasonable royalty damages”—his avoided cost calculation was a “type of disgorgement,” which he explained was a measure of how much a company “gain[ed] by taking and using information that didn’t belong to them.” TydenBrooks consistently took the position, both before and during trial, that its own financial losses were irrelevant to its “avoided costs” theory of damages. For instance, TydenBrooks brought motions in limine to, among other things, exclude evidence that any customers it lost to CSS were due to factors other than CSS’s misappropriation. The court granted the motions, holding that such evidence was irrelevant because “TydenBrooks is not claiming damages from the loss of customers,” but rather, “based on the idea that, by stealing Tyden-

2. TydenBrooks also asserted claims under the federal “Lanham Act,” 15 USC § 1125 (a), and the District Court exercised supplemental jurisdiction over the New York common-law claims pursuant to 28 USC § 1367. TydenBrooks’ Lanham Act claims are not at issue here.

3. TydenBrooks’ damages expert further testified that this figure would be \$7.8 to \$16.6 million if “fully burdened costs,” i.e., retirement and health benefits, are taken into account.

Brooks' trade secrets, CSS was able to avoid development costs"

At the close of trial, the court charged the jury on damages based solely on an avoided costs theory:

"In evaluating cost savings, you are to use the standard of comparison method. Under this method, you are to compare actual costs incurred by the defendant you are considering with the costs it would have incurred to produce the same products without the use and knowledge of TydenBrooks' manufacturing process. . . . The difference between the costs actually incurred by the defendant you are considering and the amount he would have incurred in the absence of the misappropriation and/or unfair use is the amount of damages that you should award to TydenBrooks."

The court reminded the jury that it "may award compensatory damages only for injuries that TydenBrooks prove[d] were proximately caused by a defendant's allegedly wrongful conduct" and "only for those injuries that TydenBrooks has actually suffered or which it is reasonably likely to suffer in the near future." However, the court did not explain how the jury could make the inference that CSS's avoided costs approximated the losses that *TydenBrooks* "actually suffered" or was reasonably likely to suffer in the near future. Separately, the court instructed the jury that if it found CSS liable for compensatory damages, it may award punitive damages, "[t]he purpose of [which] is not to compensate a plaintiff but to punish a defendant for wanton and reckless or malicious acts and thereby to discourage the defendant and other people or companies from acting in a similar way in the future."

The jury returned a verdict finding CSS liable for trade secret misappropriation, unfair competition and unjust enrichment. It assessed \$1.3 million against CSS in "compensatory damages" on each claim, for a total of \$3.9 million against CSS in compensatory damages. The jury did not award punitive damages.

Both parties filed postjudgment motions. First, TydenBrooks moved to amend the judgment to include prejudgment interest under CPLR 5001 (a), which the court denied (*see E.J. Brooks Co. v Cambridge Sec. Seals*, 2015 WL 9694522, 2015 US Dist

LEXIS 174444 [SD NY, Dec. 22, 2015, No. 12-CV-2937 (LAP)]).⁴ Second, CSS moved for judgment as a matter of law or a new trial or, in the alternative, to alter or amend the judgment, on the grounds that, among other things, avoided costs was an improper measure of damages. The court denied CSS's motion, holding that "the amount of damages recoverable in an action for misappropriation of trade secrets may be measured either by the plaintiff's losses . . . or by the profits unjustly received by the defendant" (*E.J. Brooks Co. v Cambridge Sec. Seals*, 2015 WL 9704079, *4, 2015 US Dist LEXIS 174447, *12 [SD NY, Dec. 23, 2015, No. 12-CV-2937 (LAP)] [citations and internal quotation marks omitted]). The court held that avoided costs could be awarded as damages under either measure; that is, avoided costs could either measure the defendant's gains or, alternatively, the plaintiff's losses (*see* 2015 WL 9704079, *4-6, 2015 US Dist LEXIS 174447, *11-18).

The parties cross-appealed the District Court's denial of their respective motions to the Second Circuit. With respect to the avoided costs issue raised in CSS's motion, the Second Circuit noted that "neither [the Second Circuit] nor the New York courts appear to have approved the specific type of award in this case" (*E.J. Brooks*, 858 F3d at 750). On the one hand, the court acknowledged that the Restatement (Third) of Unfair Competition and Second Circuit precedent "commend[] using the amount of avoided costs as a measure of damages in unfair competition cases" (*id.* at 749; *see Matarese v Moore-McCormack Lines*, 158 F2d 631 [2d Cir 1946]; Restatement [Third] of Unfair Competition § 45, Comments *d*, *f*). On the other hand, the court noted that "New York courts have suggested that the measure of damages in trade secret cases, even when measured by reference to a defendant's profits, should correspond to a plaintiff's losses as a means of compensation" (*E.J. Brooks*, 858 F3d at 750; *see Suburban Graphics Supply Corp. v Nagle*, 5 AD3d 663, 666 [2d Dept 2004]; *Hertz Corp. v Avis, Inc.*, 106 AD2d 246 [1st Dept 1985]), a proposition that the court deemed "contrary" to "the specific type of award in this case" (*E.J. Brooks*, 858 F3d at 750). "Assuming New York requires that trade secret damages bear some connection to the plaintiff's losses,"

4. Section 5001 (a) provides that "[i]nterest shall be recovered upon a sum awarded . . . because of an act or omission depriving or otherwise interfering with title to, or possession or enjoyment of, property, except that in an action of an equitable nature, interest and the rate and date from which it shall be computed shall be in the court's discretion."

the Second Circuit conceded that “it is not apparent . . . that assessing damages based on the defendant’s avoided costs satisfies the requirement” (*id.*). With respect to the prejudgment interest issue, the Second Circuit likewise stated that New York law was inconclusive as to whether prejudgment interest would be “mandatory” on the damages award in this case (*id.* at 750-751).

Accordingly, the Second Circuit certified the following questions:

“1. Whether, under New York law, a plaintiff asserting claims of misappropriation of a trade secret, unfair competition, and unjust enrichment can recover damages that are measured by the costs the defendant avoided due to its unlawful activity.

“2. If the answer to the first question is ‘yes,’ whether prejudgment interest under [CPLR] 5001(a) is mandatory where a plaintiff recovers damages as measured by the defendant’s avoided costs.” (*Id.* at 752.)

The Court accepted these questions on June 27, 2017 (*see* 29 NY3d 1045 [2017]).

II.

We turn first to the question of whether avoided costs are awardable as compensatory damages in an action based on a theory of unfair competition.

The “fundamental purpose” of compensatory damages is to have the wrongdoer “make the victim whole” (*Sharapata v Town of Islip*, 56 NY2d 332, 335 [1982]; *see Ross v Louise Wise Servs., Inc.*, 8 NY3d 478, 489 [2007]; *Matter of Rothko*, 43 NY2d 305, 322 [1977]). “Put another way, these measure fair and just compensation, commensurate with the loss or injury sustained from the wrongful act” (*Sharapata*, 56 NY2d at 335 [citations and internal quotation marks omitted]; *see also Steitz v Gifford*, 280 NY 15, 20 [1939] [“The damages must be compensatory only” and must result “directly from and as a natural consequence of the wrongful act”]). “The goal is to restore the injured party, to the extent possible, to the position that would have been occupied had the wrong not occurred” (*McDougald v Garber*, 73 NY2d 246, 254 [1989]). “The damages cannot be remote, contingent or speculative. They need not be immediate, but need to be so near to the cause only that they may be

reasonably traced to the event” (*Steitz*, 280 NY at 20.) The standard is not one of “mathematical certainty” but only “reasonable certainty” (*id.*).

[1] Such is the rule in unfair competition cases. Damages must correspond to “the amount which the plaintiff would have made except for the defendant’s wrong . . . , not the profits or revenues actually received or earned” by the defendant (*McRoberts Protective Agency v Lansdell Protective Agency*, 61 AD2d 652, 655 [1st Dept 1978] [citations and internal quotation marks omitted]; see *David Fox & Sons v King Poultry Co.*, 30 AD2d 789, 790-791 [1st Dept 1968, Eager, J., dissenting], *mod on dissenting op below* 23 NY2d 914 [1969], *rearg denied* 24 NY2d 896 [1969]; *Santa’s Workshop v Sterling*, 2 AD2d 262, 267 [3d Dept 1956], *affd* 3 NY2d 757 [1957]). Another way of stating this rule is that damages in unfair competition cases should correspond to “plaintiff’s losses [that] were a proximate result of defendants’ conduct” (*Duane Jones Co. v Burke*, 306 NY 172, 191 [1954]).

Here, CSS was found liable to TydenBrooks under a “misappropriation theory” of unfair competition. Under the “misappropriation theory” of unfair competition, a party is liable if they unfairly exploit “the skill, expenditures and labors” of a competitor (*ITC Ltd. v Punchgini, Inc.*, 9 NY3d 467, 476-477 [2007]; *Electrolux Corp. v Val-Worth, Inc.*, 6 NY2d 556, 567-568 [1959]). The essence of the misappropriation theory is not just that the defendant has “reap[ed] where it has not sown,” but that it has done so in an unethical way and thereby unfairly neutralized a commercial advantage that the plaintiff achieved through “honest labor” (*International News Service v Associated Press*, 248 US 215, 236, 239-240 [1918]).⁵ Damages, therefore, must be measured by the loss of the *plaintiff’s* commercial advantage, which may not correspond to what the defendant has wrongfully gained (see *Electrolux*, 6 NY2d at 571-572; *Victor G. Reiling Assoc. v Fisher-Price, Inc.*, 2006 WL 1102754, 2006 US Dist LEXIS 22813 [D Conn, Apr. 25, 2006, No. 3:03CV222(JBA)] [applying New York law], *reconsideration denied* 463 F Supp 2d 177 [D Conn 2006]). “What is true of all

5. Indeed, the law could not categorically prevent businesses from “reaping where they have not sown” in the absence of inherently perfidious conduct and actual injury to a competitor. Virtually every form of technological and creative progress stands on ideas and information taken from others (see *Harper & Row, Publishers, Inc. v Nation Enterprises*, 471 US 539, 582 [1985, Brennan, J., dissenting]).

actions, [and] is especially true in a suit for unfair competition[, is that] disposition of each case peculiarly depends upon the precise state of facts disclosed” (*Electrolux*, 6 NY2d at 571 [citations and internal quotation marks omitted]), particularly since proof of damages for unfair competition is “especially complicated” where the injury only affects intangible values (6 Callmann on Unfair Competition, Trademarks & Monopolies § 23:66 [4th ed]). However, the principle that a plaintiff’s losses may be measured practically and flexibly does not remove the requirement that damages be measured by the plaintiff’s actual losses (see *Electrolux*, 6 NY2d at 572).

To be sure, courts may award a defendant’s unjust gains as a proxy for compensatory damages in an unfair competition case (see *Underhill v Schenck*, 238 NY 7, 17 [1924]; *Epstein Eng’g, P.C. v Cataldo*, 124 AD3d 420, 421 [1st Dept 2015]). However, “[t]he accounting for profits under such circumstances is not *in lieu of* . . . damages, but is a *method of computing damages*” (*Ronson Art Metal Works v Gibson Lighter Mfg. Co.*, 3 AD2d 227, 230 [1st Dept 1957] [emphasis added], *rearg denied* 3 AD2d 833 [1st Dept 1957], *mot to cancel and discharge undertaking denied* 7 AD2d 897 [1st Dept 1959], quoting *Biltmore Publ. Co., Inc. v Grayson Publ. Corp.*, 272 App Div 504, 507 [1st Dept 1947]). Such a computation of damages may be appropriate where a plaintiff’s actual losses cannot “be traced with even approximate precision,” but even in those cases it must first be shown that there is “some approximate relation of correspondence, a causal relation not wholly unsubstantial and imaginary, between the gains of the aggressor and those diverted from his [or her] victim” (*Underhill*, 238 NY at 17-18; accord *Harry R. Defler Corp. v Kleeman*, 19 AD2d 396, 403 [4th Dept 1963]). Without evidence of that correspondence, “[t]here is no presumption of law or of fact” that what a defendant has gained will competently measure what the plaintiff has lost (*Michel Cosmetics, Inc. v Tsirkas*, 282 NY 195, 202 [1940], quoting *Dickinson v O. & W. Thum Co.*, 8 F2d 570, 575 [6th Cir 1925]). Furthermore, if a plaintiff seeks to establish an inference that its compensable losses are linked to the value of the defendant’s gains, then the defendant must be afforded an opportunity to challenge the link with its own rebuttal evidence (see *Hyde Park Prods. Corp. v Lerner Corp.*, 65 NY2d 316, 322 [1985]).

In *Michel Cosmetics* (282 NY 195), the defendants stole the plaintiff’s manufacturing process for making lipsticks and

packaged and sold the products in the same containers that the plaintiff used, “with the object of deceiving buyers into the belief that they were buying the product of the plaintiff” (*see id.* at 197-198). The trial court ordered the defendants to pay plaintiffs “all profits . . . on the lipsticks manufactured and sold by defendants . . . [as] if said lipsticks had been manufactured and sold by plaintiff” (*id.* at 198 [emphasis added]).⁶ This Court held that the measure of damages was overbroad. The Court stated that

“[t]he wrong inflicted upon the plaintiff is analogous to the wrong suffered by an owner through infringement of his patent or trade-mark, and the rule of damages is similar. An infringer must compensate the owner of a trade-mark, a patent, a process or a formula for the profits which the owner would have acquired in [the owner’s] business except for such infringement” (*id.* at 200).

The Court acknowledged that, “if the plaintiff would otherwise have made the sales of lipsticks which in fact the defendants made by the use of plaintiff’s formulas,” then the plaintiff would be “entitled to recover from the defendants [such] amount of the profits” (*id.*). However, the Court observed that there was insufficient evidence that the defendant’s customers actually overlapped with the plaintiff’s, noting in particular that the defendants distributed the products in countries where the plaintiff was not even marketing them (*see id.* at 200-201). When a plaintiff “seeks to recover damages,” the Court held that “the burden is on him to prove by competent and sufficient evidence his lost sales, or that he was compelled to reduce prices as the result of his competitor’s wrongful conduct” (*id.* at 202). Because the evidence in *Michel Cosmetics* was “insufficient to justify an inference that the plaintiff would have made all the sales actually made by the defendants,” the Court remitted for a new trial on damages (*id.* at 204).

6. The Court noted that

“[a] wrongdoer who has imitated the containers of the plaintiff and has used the secret formulas and processes belonging to the plaintiff might be compelled to ‘yield up his gains to the true owner, upon a principle analogous to that which charges a trustee with the profits acquired by wrongful use of the property of the *cestui que trust*’ ” (*id.* at 199, quoting *Hamilton-Brown Shoe Co. v Wolf Brothers & Co.*, 240 US 251, 259 [1916]).

However, as the defendant did not actually make any profits, no such constructive trust was imposed (*id.* at 198).

In *Hyde Park* (65 NY2d 316), the defendant who wrongfully solicited customers away from the plaintiff was found liable for unfair competition. The trial court awarded damages equal to the profits that the defendant made by selling to the plaintiff's customers (*see id.* at 320). We held that this was error and that the defendants should have been permitted to introduce evidence that, among other things, the defendant's customers were no longer customers of the plaintiff at the time the defendant made its sales, or that they were bulk buyers whose orders could not entirely have been fulfilled by the plaintiff (*see id.* at 322). Sales to such customers, we held, should have been excluded from the damages award, since they did not rationally relate to any "lost opportunity for profit" caused by the solicitation (*id.*).

Michel Cosmetics and *Hyde Park* establish that, while a defendant's gains may be evidence of a plaintiff's losses, they will not be presumed to be the actual measure of a plaintiff's losses. Otherwise, damages would "cease[] to serve the compensatory goals of tort recovery" (*McDougald*, 73 NY2d at 254). The dissent notes, correctly, that neither *Michel Cosmetics* nor *Hyde Park* were about avoided costs. However, these cases signify more broadly that the measure of damages in a trade secret action must be designed, as nearly as possible, to restore the plaintiff to the position it would have been in but for the infringement. Whether those losses are measured by the defendant's profits, revenues, cost savings or any other measure of unjust gain, there is "no presumption of law or of fact" that such a figure will adequately approximate the losses incurred by the plaintiff (*Michel Cosmetics*, 282 NY at 202; *see Electrolux*, 6 NY2d at 571-572). A plaintiff therefore may not elect to measure its damages by the defendant's avoided costs in lieu of its own losses.

III.

We next turn to whether avoided costs are awardable as damages in trade secret actions. "A plaintiff claiming misappropriation of a trade secret must prove: (1) it possessed a trade secret, and (2) defendant is using that trade secret in breach of an agreement, confidence, or duty, or as a result of discovery by improper means" (*Shaw Creations Inc. v Galleria Enters., Inc.*, 29 Misc 3d 1213[A], 2010 NY Slip Op 51813[U], *6 [Sup Ct, NY County 2010], quoting *Integrated Cash Mgt. Servs., Inc. v Digital Transactions, Inc.*, 920 F2d 171, 173 [2d

Cir 1990]). A trade secret is “any formula, pattern, device or compilation of information which is used in one’s business, and which gives [one] an opportunity to obtain an advantage over competitors who do not know or use it” (*Ashland Mgt. v Jan-ien*, 82 NY2d 395, 407 [1993]). This Court has not definitively stated whether trade secret damages may be measured by avoided costs—or, for that matter, by any other measure of the defendant’s own gains.

In *Hertz Corp. v Avis, Inc.* (106 AD2d 246 [1st Dept 1985]), the Appellate Division held that trade secret damages may not be measured by a defendant’s increased profits, except to the extent that those profits are evidence of the plaintiff’s own losses. There, the plaintiff alleged that a departing employee retained confidential documents and trade secrets (*see id.* at 247). Using these materials, the defendant was able to “reverse substantial business losses” and “correct operational deficiencies” (*id.*). The plaintiff abandoned any allegation that the use of its trade secrets had caused *it* any harm; instead, the plaintiff sought to measure “damages” exclusively by the defendant’s profits (*id.* at 248-250). The trial court granted the plaintiff’s discovery request for the defendant’s financial statements, and the Appellate Division reversed. Because the plaintiff conceded that it suffered no harm, the defendant’s financials were “irrelevant to [its] claim for damages” (*id.* at 249). Relying largely on unfair competition cases, where recovery is limited to a plaintiff’s own losses (*see part II, supra*), the Court stated that the plaintiff was only “entitled to recover as damages the amount of loss sustained by it, including opportunities for profit on the accounts diverted from it through defendants’ conduct” (*id.* at 251, quoting *Duane Jones Co.*, 306 NY at 192).

Trade secret cases following *Hertz* have generally adhered to this holding (*see Equity Now, Inc. v Wall St. Mtge. Bankers, Ltd.*, 98 AD3d 909, 909 [1st Dept 2012] [“Plaintiff was entitled to damages for the profits it lost as a result of defendant’s conduct”], *lv denied* 21 NY3d 854 [2013]; *Suburban Graphics Supply Corp. v Nagle*, 5 AD3d 663, 666 [2d Dept 2004] [“The measure of damages for ‘unfair competition and the misappropriation and exploitation of confidential information is the loss of profits sustained by reason of the improper conduct’ ”]; *Allan Dampf, P. C. v Bloom*, 127 AD2d 719, 720 [2d Dept 1987] [same]; *Feinberg v Poznek*, 12 Misc 3d 1185[A], 2006 NY Slip Op 51456[U], *4 [Sup Ct, NY County 2006]; *Robert Plan Corp.*

v Onebeacon Ins., 10 Misc 3d 1053[A], 2005 NY Slip Op 51940[U] [Sup Ct, Nassau County 2005]; *Hair Say, Ltd. v Salon Opus, Inc.*, 6 Misc 3d 1041[A], 2005 NY Slip Op 50382[U], *9 [Sup Ct, Nassau County 2005]).

[2] We agree that damages in trade secret actions must be measured by the losses incurred by the plaintiff, and that damages may not be based on the infringer's avoided development costs. Authorities embracing the avoided cost method of damages almost universally consider them a measure of the *defendant's* unjust gains, rather than the plaintiff's losses (see e.g. *GlobeRanger Corp. v Software AG United States of Am., Inc.*, 836 F3d 477, 499 [5th Cir 2016]; *G.S. Rasmussen & Assoc., Inc. v Kalitta Flying Serv., Inc.*, 132 F3d 39 [9th Cir, Dec. 11, 1997] [table; text at 1997 WL 774869, *2, 1997 US App LEXIS 34884, *4-6 (1997)]; *Litton Sys., Inc. v Ssangyong Cement Indus. Co., Ltd.*, 107 F3d 30 [Fed Cir, Feb. 13, 1997] [table; text at 1997 WL 59360, *8, 1997 US App LEXIS 2386, *21-23 (1997)]; *Salsbury Labs., Inc. v Merieux Labs., Inc.*, 908 F2d 706, 714-715 [11th Cir 1990]). This calculation of damages, however, does not consider the effect of the misappropriation on the *plaintiff*. Because this figure is tied to the defendant's gains rather than the plaintiff's losses, it is not a permissible measure of damages.

It is true that, in trade secret cases, "loss" is broadly defined and must account for the fact that trade secrets inherently derive their value from their confidentiality. The plaintiff's injury in trade secret misappropriation cases includes the loss of "competitive advantage over others . . . by virtue of its exclusive access" to the secret (*Ruckelshaus v Monsanto Co.*, 467 US 986, 1012 [1984]). Where disclosure of a trade secret has "destroy[ed] that competitive edge" (*id.*), the plaintiff's costs of developing the product may be the best evidence of the (now-depleted) value that the plaintiff placed on the secret (see *W.L. Gore & Associates, Inc. v GI Dynamics, Inc.*, 872 F Supp 2d 883, 892 [D Ariz 2012]; *In re Cross Media Mktg. Corp.*, 2006 WL 2337177, *6, 2006 US Dist LEXIS 56112, *15-18 [SD NY, Aug. 11, 2006, No. 06 Civ. 4228(MBM)]; *LinkCo, Inc. v Fujitsu Ltd.*, 232 F Supp 2d 182, 185 [SD NY 2002]). However, it is neither automatically nor presumptively the case that the costs avoided by the *defendant* will be an adequate approximation of the *plaintiff's* investment losses, any more than it can be presumed that the defendant's sales would approximate those of the plaintiff (see *Michel Cosmetics*, 282 NY at 202). Indeed, the

cases cited by TydenBrooks show the opposite: that the *plaintiff's actual* development costs will commonly be used as a proxy for the *defendant's saved* development costs (under a damages regime that permits recovery of unjust gains) (see e.g. *GlobeRanger*, 836 F3d at 499-500; *University Computing Co. v Lykes-Youngstown Corp.*, 504 F2d 518, 538 [5th Cir 1974]). This is only logical; the plaintiff's actual development costs have actually been incurred and are known, whereas the defendant's avoided costs, by definition, are hypothetical. Flipping this formula—measuring the *plaintiff's actual* expenditures, a known quantity, by the *defendant's projected* expenditures, an unknown one—is precisely the kind of “wholly unsubstantial and imaginary” nexus that Judge Cardozo warned of in *Underhill* (238 NY at 17-18).

IV.

Finally, the certified question asks us whether avoided costs may be awarded as compensatory damages in an unjust enrichment action. We have stated that, in order to sustain an unjust enrichment claim, “[a] plaintiff must show that (1) the other party was enriched, (2) at [the plaintiff's] expense, and (3) that it is against equity and good conscience to permit [the other party] to retain what is sought to be recovered” (*Mandarin Trading Ltd. v Wildenstein*, 16 NY3d 173, 182 [2011] [internal quotation marks omitted]). However, this doctrine is a narrow one; it is “not a catchall cause of action to be used when others fail” (*Corsello v Verizon N.Y., Inc.*, 18 NY3d 777, 790 [2012]). Unjust enrichment, or an action in quasi contract,

“is available only in unusual situations when, though the defendant has not breached a contract nor committed a recognized tort, circumstances create an equitable obligation running from the defendant to the plaintiff. Typical cases are those in which the defendant, though guilty of no wrongdoing, has received money to which he or she is not entitled” (*id.*).

In such circumstances, equity merely intervenes to deem the parties privy to each other (see *Miller v Schloss*, 218 NY 400 [1916]). “The contract is a mere fiction, a form imposed in order to adapt the case to a given remedy The law creates it, regardless of the intention of the parties, to assure a just and equitable result” (*Clark-Fitzpatrick, Inc. v Long Is. R.R.*

Co., 70 NY2d 382, 388-389 [1987], quoting *Bradkin v Leverton*, 26 NY2d 192, 196 [1970]).⁷

IDT Corp. v Morgan Stanley Dean Witter & Co. (12 NY3d 132, 142 [2009]) is instructive. There, the plaintiff, IDT, brought an unjust enrichment action (among other causes of action) against its former advisor, Morgan Stanley, alleging that Morgan Stanley used its intimate knowledge of IDT's confidential business and financial information in order to induce a third party, Telefonica, to breach a contract with IDT (*see id.* at 136-139). Under the contract in question, IDT would have acquired a 10% stake in the operations of SAM-1, a large undersea fiber-optic cable, as the anchor tenant of the cable network (*see Morgan Stanley v IDT Corp.*, 2006 NY Slip Op 30076[U] [Sup Ct, NY County, Apr. 10, 2006], *affd* 45 AD3d 419 [1st Dept 2007], *revd* 12 NY3d 132 [2009]). IDT alleged that Morgan Stanley misappropriated its confidential information and induced the breach so that it could earn substantial investment banking fees replacing IDT as anchor tenant (*see id.*). We held that the unjust enrichment claim could not "support the disgorgement of any profits Morgan Stanley obtained from Telefonica or other companies, in connection with SAM-1" (*IDT*, 12 NY3d at 142). "In seeking Morgan Stanley's profits from SAM-1, IDT [did] not, and [could] not, allege that Morgan Stanley [had] been unjustly enriched *at IDT's expense*, because IDT did not pay the alleged fees" (*id.* [emphasis added]). Though Morgan Stanley may have been enriched, and though IDT may have been injured in other ways, recovery of the third-party fees was denied because there was no impairment of any preexisting right to the fees.

[3] Similarly, where a defendant saves, through its unlawful activities, costs and expenses that otherwise would have been

7. The term "unjust enrichment" (or "restitution") can refer to a number of distinct concepts, and courts employing these terms have meant different things in different contexts (*see generally* Doug Rendleman, *Measurement of Restitution: Coordinating Restitution with Compensatory Damages and Punitive Damages*, 68 Wash & Lee L Rev 973, 976 [2011] [describing multiple concepts that have historically been referred to as "restitution" and noting that "(o)ur court-made common law jurisprudence has not developed fences around the doctrines to define exact boundaries"]). As a *remedy*, unjust enrichment, in contrast to damages, is designed to avoid wrongful gains rather than compensate the plaintiff for its losses (*see Dobbs Law of Remedies: Damages, Equity, Restitution* § 4.1 [1] [2d ed 1993]). As a *cause of action*, however, unjust enrichment simply refers to liability imposed on a defendant who has been enriched apart from a breach of an independent legal duty (*see Corsello*, 18 NY3d at 790-791).

payable to third parties, those avoided third-party payments do not constitute funds held by the defendant “at the expense of” the plaintiff. Therefore, a plaintiff bringing an unjust enrichment action may not recover as compensatory damages the costs that the defendant avoided due to its unlawful activity in lieu of the plaintiff’s own losses.

V.

Accordingly, the first certified question should be answered in the negative and the second certified question not answered as unnecessary.

WILSON, J. (dissenting). This case was brought and tried in federal court, on three distinct theories of trade secret theft, unfair competition and unjust enrichment. The jury returned judgment for TydenBrooks, specifically finding that TydenBrooks “possessed a trade secret, identifiable with reasonable particularity, which was unlawfully misappropriated by [Cambridge Security Seals]”; that Cambridge Security Seals stole those secrets and used them for its own benefit, injuring TydenBrooks by that theft; that Cambridge Security Seals “engaged in unfair competition” with TydenBrooks; and that Cambridge Security Seals was “unjustly enriched, that is, that [Cambridge Security Seals] received a benefit at [TydenBrooks]’ expense that, in equity and good conscience, [Cambridge Security Seals] should not retain.” The United States Court of Appeals for the Second Circuit has asked us, and we have agreed to resolve, three questions of New York’s law relating to damages: “Whether, under New York law, a plaintiff asserting claims of [1] misappropriation of a trade secret, [2] unfair competition, and [3] unjust enrichment can recover damages that are measured by the costs the defendant avoided due to its unlawful activity” (*E.J. Brooks Co. v Cambridge Sec. Seals*, 858 F3d 744, 752 [2d Cir 2017]).¹ Those certified questions do not ask whether this plaintiff may recover, but whether, as a matter of law, any plaintiff may recover a defendant’s avoided costs on one or another of these three theories of liability. The majority answers the questions through a misguided bottoms up attempt to decide this plaintiff’s case rather than a top-

1. The first certified question is really three separate questions, one each for trade secret theft, unfair competition and unjust enrichment. The Second Circuit certified an additional question concerning prejudgment interest, to be answered if any of the other questions was answered in the affirmative. Because the majority has not answered that question, I also do not.

down approach announcing the principles of law. Not only does that approach produce an incorrect answer here, but it also forsakes New York's historic role at the vanguard. Where we should lead, we now refuse even to follow.

As to the Second Circuit's first question—whether avoided costs may form the basis of a damage award for trade secret misappropriation—the majority admits a vacuum in our decisional law. Instead of engaging with the unique nature of trade secret theft and the policy concerns at issue, the majority relies on several inapposite Appellate Division cases that discuss whether a plaintiff can be awarded defendant's profits as a measurement of damages; in none of the cited cases did plaintiffs seek avoided costs as damages. As to the second question, the majority misinterprets our prior case law to adopt an unnecessarily narrow interpretation of damages. In particular, the majority ignores our case law expressly allowing flexible recovery in equity. As to the third question, the majority tacitly concedes the absence of authority, again pointing to inapposite decisions.

The Second Circuit recognized not just the paucity of New York law on the questions it certified, but also the historically established common-law role of our Court, when framing the issue as an “unresolved policy decision,” that our Court is “better situated” to make (858 F3d at 750). Our charge is to answer the question from the top down, looking to several basic principles. *First*, “the principle that there is no wrong without a remedy” (*General Rubber Co. v Benedict*, 215 NY 18, 23 [1915, Cardozo, J.]). *Second*, a successful plaintiff cannot be held to proof of damages with mathematical certainty; damages cannot be speculative, but must bear some reasonable relation to the injury (see *Steitz v Gifford*, 280 NY 15, 20 [1939] [“The fact that (damages) cannot be measured with absolute mathematical certainty does not bar substantial recovery if they may be approximately fixed”]; *Duane Jones Co. v Burke*, 306 NY 172, 192 [1954] [“when from the nature of the case the amount of the damages cannot be estimated with certainty, or only a part of them can be so estimated, no objection is perceived to placing before the jury all the facts and circumstances of the case having any tendency to show damages or their probable amount, so as to enable them to make the most intelligible and accurate estimate which the nature of the case will permit”])). *Third*, protectible intellectual property in whatever form, be it trade secret, patent, copyright, trademark or other, has a value

greater than merely its development cost, and innovation depends on the ability of inventors to protect that property from theft (see *Kewanee Oil Co. v Bicron Corp.*, 416 US 470, 482 [1974] [noting the “importance of trade secret protection to the subsidization of research and development”]; Gordon L. Dorerfer, *The Limits on Trade Secret Law Imposed by Federal Patent and Antitrust Supremacy*, 80 Harv L Rev 1432, 1454 [1967] [(“trade secret law) protects independent innovators who will be encouraged to invent knowing that their work, if successful, will not be appropriated by others to their disadvantage”])).

Avoided costs are widely recognized as an available measure of damages in trade secret cases. They comport with each of the principles above. In both unfair competition actions and unjust enrichment actions, avoided-cost damages deprive the wrongdoer of its gain. As a policy matter, avoided-cost damages would often undercompensate plaintiffs, because no rational economic actor would spend \$X to recover profits of merely \$X (see *LinkCo, Inc. v Fujitsu Ltd.*, 232 F Supp 2d 182, 186 [SD NY 2002] [opting for reasonable royalty where “losses measured solely by (plaintiff’s) development costs would not adequately compensate the company for its loss of the potentially valuable trade secret”]; see also Christopher Rebel J. Pace, *The Case for a Federal Trade Secrets Act*, 8 Harv JL & Tech 427, 439 [1995] [“a business invest(s) in innovations that it can maintain in secrecy while exploiting the innovations to recover its expenses and, it is hoped, turn a profit”])). However, the calculation of avoided-cost damages is generally much simpler than, and less subject to challenge than, lost-profit damages, which makes them an attractive alternative for plaintiffs who are willing to forgo a potentially larger recovery in favor of a smaller, more certain one. I do not suggest that avoided-cost damages will always be the best measure of damages. Rather, it is one of several measures of damages, subject to election by the plaintiff, challenge by the defendant, and acceptance by the trier of fact. Trade secret cases in particular require “a flexible and imaginative approach to the problem of damages” (*University Computing Co. v Lykes-Youngstown Corp.*, 504 F2d 518, 538-539 [5th Cir 1974]). Such flexibility and imagination have been, and should remain, a hallmark of our jurisprudence.

By focusing on and misconstruing the underlying proceeding and by relying on inapposite case law, the majority also fails to discern the greater point of the Second Circuit’s questions. The

majority ignores crucial precedent: under New York law, a defendant's ill-gotten gains are available as an *equitable* remedy, particularly in trade secret and unfair competition cases. Instead, the majority treats the certified questions as if they asked whether avoided-cost damages are available at law, regardless of their availability in equity. Long ago, the federal courts merged law and equity, and thus the answer to the certified question must consider the availability of avoided costs as equitable damages. The majority also disregards the widespread use of avoided-cost damages under the Restatement (Third) of Unfair Competition and the laws of other states. Such willful blindness leads the majority to provide a half-answer to the Second Circuit, "avoided-cost damages have not been historically recoverable at law," instead of a full answer: equity allows flexibility in damage awards, unrestricted to the plaintiff's lost profits.

I.

Answering the first certified question requires an examination of trade secret law. A trade secret, by definition, must have economic value and provide a competitive advantage to its owner due to the exclusive use of a product or technique (*see Ashland Mgt. v Janien*, 82 NY2d 395, 407 [1993]; Restatement [First] of Torts § 757, Comment *b* [defining a trade secret as "any formula, pattern, device or compilation of information which is used in one's business, and which gives him an opportunity to obtain an advantage over competitors who do not know or use it"]; Michael Risch, *Why Do We Have Trade Secrets?*, 11 Marq Intell Prop L Rev 1, 38 [2007] ["economic value is a signal to the court that the special rules associated with trade secrets are warranted"]). The factors in a trade secret claim include, among others, the value of the information to the business and its competitors, the amount of effort or money expended by the business in developing the information, and the difficulty with which the information could be properly acquired or duplicated by others (*see Ashland* at 407). As the majority recognizes, the loss in trade secret cases will not necessarily be comparable to that in other unfair competition cases because "trade secrets inherently derive their value from their confidentiality" (majority op at 454). Damages in trade secret cases "are not, unlike in other commercial tort cases, confined to a single incident of loss of use and depreciation" (Felix Prandl, *Damages for Misappropriation of Trade Secret*,

22 Tort & Ins LJ 447, 447 [1987]; *see also* *FMC Corp. v Taiwan Tainan Giant Indus. Co., Ltd.*, 730 F2d 61, 63 [2d Cir 1984] [“A trade secret once lost is, of course, lost forever”]).

When a trade secret is stolen, the injury encompasses many things, including the lost profits plaintiff might have made without the theft, the loss in potential exclusive licensing opportunities, the loss in the value of the secret once exposed and, perhaps most importantly, the lost incentive for others to expend their time and efforts on innovation. In simple terms, “there is no secret any longer”; but “the standard rules of damages are, however, not tailored to take this extra loss into account” (Prandl, 22 Tort & Ins LJ at 448). Thus, when the theft can be nipped in the bud, courts routinely grant injunctions, because money damages are deemed insufficient to capture the true loss suffered by a plaintiff (*see e.g. Basicomputer Corp. v Scott*, 973 F2d 507, 511 [6th Cir 1992] [affirming injunction because “an injury is not fully compensable by money damages if the nature of the plaintiff’s loss would make damages difficult to calculate”]; *Norbrook Labs. Ltd. v G.C. Hanford Mfg. Co.*, 126 Fed Appx 507, 509 [2d Cir 2005]; *North Atl. Instruments, Inc. v Haber*, 188 F3d 38, 49 [2d Cir 1999]; *Computer Assoc. Intl., Inc. v Bryan*, 784 F Supp 982, 986 [ED NY 1992]; *Invesco Inst. [N.A.], Inc. v Deutsche Inv. Mgt. Ams., Inc.*, 74 AD3d 696, 697 [1st Dept 2010]; *Ingenuit, Ltd. v Harriff*, 33 AD3d 589, 590 [2d Dept 2006]).

The majority claims that “damages in trade secret actions must be measured by the losses incurred by the plaintiff” (majority op at 454). By “losses incurred by the plaintiff,” the majority means “plaintiff’s lost profits,” or perhaps “plaintiff’s development costs.” That narrow interpretation flouts the above basic principles and fails to engage meaningfully with the unique nature of trade secrets, as well as the differences between profits and development costs. In a trade secret case, the plaintiff’s loss is the loss in value of the trade secret; that loss can be *measured* in several ways, but all correspond to the plaintiff’s loss, even though they may differ in amount, just as a damage award based on royalties predicated on a hypothetical license may not yield the same—or even a similar—amount as damages based on the plaintiff’s lost profits. Of course, plaintiffs will often want to prove lost profits as a measurement of damages, but that may be difficult or impossible to do, because factors exogenous to the theft (e.g., changes in demand, changes in costs, other competition, leak of the trade secret by

the defendant to others) make the estimation of lost profits difficult or unreliable. Plaintiffs may be constrained, for practical or legal reasons, to a hypothesized royalty when, for example, there is a history of the licensing of that or other secrets by the plaintiff, evidencing the plaintiff's practice of monetizing secrets and providing yardsticks for estimating a royalty. But a plaintiff's costs of development or the costs a defendant avoided by stealing the secret are also appropriate measures, because those are reasonably related to the value of the trade secret (see *University Computing Co.* at 535-538; *W.L. Gore & Assoc., Inc. v GI Dynamics, Inc.*, 872 F Supp 2d 883, 892 [D Ariz 2012]; *In re Cross Media Mktg. Corp.*, 2006 WL 2337177, *5-6, 2006 US Dist LEXIS 56112, *12-18 [SD NY, Aug. 11, 2006, No. 06 Civ. 4228(MBM)]). It is of no moment that they may not be the same dollar number as a lost-profits analysis might show: as anyone who has ever retained an expert to determine lost profits knows, no two experts are likely to arrive at the same figure. Again, the law does not require such exactitude in recompensing a wrong.

The majority recognizes that “[w]here disclosure of a trade secret has ‘destroy[ed] that competitive edge,’ the *plaintiff’s* costs of developing the product may be the best evidence of the (now-depleted) value that the plaintiff placed on the secret” (majority op at 454 [citations omitted and emphasis added]). The majority suggests, though, that it is “neither automatically nor presumptively the case that the [defendant’s cost-savings] will be an adequate approximation of the plaintiff’s investment losses” (*id.* [emphasis omitted]).² That conclusion misses the point; the issue is not whether defendant’s avoided costs

2. The majority’s objection that we cannot measure “plaintiff’s actual expenditures, a known quantity, by the defendant’s projected expenditures, an unknown one,” is a challenge suitably made by defense counsel in attacking a plaintiff’s damage model, but not a basis to deny recovery as a matter of law (majority op at 455 [emphasis omitted]). Avoided-cost damages do not attempt to measure plaintiff’s actual expenditures; they measure plaintiff’s loss—the loss of the exclusive use of the trade secret—by providing an approximation of its value: what would it cost the defendant to have developed the secret on its own? Here, TydenBrooks’ damage model consisted of two components: capital costs for construction of the machines incorporating the trade secrets, and labor costs associated with the development of the trade secrets and incorporation into the first-generation machines. The \$1,886,395 of capital costs included in the damage estimate was—without any adjustment—the capital cost TydenBrooks itself incurred. So, when the majority says, “TydenBrooks did not present any evidence, or otherwise argue, that CSS’s avoided costs could be a proxy for its own losses (such as its investment

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adequately approximate plaintiff's *investment* losses, but whether they adequately measure the plaintiff's losses caused by the misappropriation. Certainly, a plaintiff may claim that the value of the secret it lost should be measured by the cost it took to develop the product or technique. A trade secret might be worth more or less than the plaintiff claims, and, in that case, the defendant may adduce evidence to challenge the plaintiff's damage claim by, for example, showing that the defendant could have developed the secret (or its equivalent) more cheaply because technology has advanced, inputs have cheapened, a license was available from a third party, etc. But a plaintiff may also present the loss in terms of the costs avoided by the defendant, which might better represent the value of the secret; that is, a secret's value can be measured by what it would cost someone else to develop it—or a good substitute for it—because no one would pay more for a secret than that amount (accounting, as well, for economic cost in terms of the difference in timing between immediate theft and protracted independent development). As the majority admits, a trade secret's value to the plaintiff is in its confidentiality and exclusive use (majority op at 454); but the use is exclusive only so long as competitors are unwilling to fund the costs to develop the product independently. That is precisely what the defendant has avoided by stealing it, and what the plaintiff has lost due to the theft. The defendant, of course, can provide its own estimate to challenge the calculation of avoided costs,³

losses)," that is flatly incorrect, at least as to the \$1,886,395 of capital costs (majority op at 445).

The labor cost component was based on a high and a low estimate of the number of hours TydenBrooks spent developing the trade secrets, allocated by the type of work involved to specific persons (or types of persons) actually employed by Cambridge Security Seals, and multiplied by the monthly cost of each of those employees. That is, instead of claiming that Cambridge Security Seals could have hired the relevant employees at the wages paid by TydenBrooks, TydenBrooks used Cambridge Security Seals' actual rate of pay, multiplied by an estimate of the actual hours it needed to develop the trade secrets. There is nothing "unsubstantial [or] imaginary" about that method (majority op at 455). If the hourly rates or estimated hours are overstated, it is up to a defendant to challenge them by contrary evidence, including expert opinion.

3. Indeed, defendant here attempted that proof; from what we can tell based on the verdict, the jury here credited Cambridge Security Seals' attack on the avoided-cost damages proffered by TydenBrooks, awarding \$3.9 million in damages instead of the \$7.8-16.6 million claimed by TydenBrooks' expert.

or demonstrate that avoided costs are inappropriate given the peculiar facts of a case.⁴

In other words, if the defendant could have independently developed the trade secrets at a cost of \$X in a period of Y years, and the plaintiff recovers \$X plus the profits lost during the Y years due to the defendant's early entry made possible by the theft, the plaintiff will be put exactly into the position it would have been in had the defendant not stolen the secrets—which satisfies the majority's "fundamental purpose" to "make the victim whole" (majority op at 448, quoting *Sharapata v Town of Islip*, 56 NY2d 332, 335 [1982]). The majority restricts plaintiffs to profits lost during Y years, which plainly does not restore the plaintiff to the position it would have been in had the theft not occurred, because the defendant spends nothing to obtain use of the secrets. The majority's rule fails to adhere to the proposition it touts, that damages "must be measured by the loss of the *plaintiff's* commercial advantage" (majority op at 449). Here, TydenBrooks seeks only \$X, which most likely undercompensates it unless its lost profits during Y were \$0, in which case \$X perfectly compensates TydenBrooks (subject to adjustment for the time value of money).

The majority insists that damages for trade secret misappropriation cannot include defendant's avoided costs, relying on Appellate Division cases where the measure of damages was lost profits. However, those cases do not stand for the proposition that plaintiff's losses must be measured *exclusively* by plaintiff's lost profits. In *Hertz Corp. v Avis, Inc.* (106 AD2d 246, 250 [1st Dept 1985]), the issue decided was whether Avis would be required to disclose hundreds of thousands of pages of sensitive documents; Hertz expressly stated that it had lost no profits, and the court, in passing, referred to the "basic" rule of unfair competition damages—not an exclusive rule. In fact, the portion of *Hertz* cited by the majority demonstrates that lost profits are considered one of many ways to measure loss (majority op at 453, quoting *Hertz* at 251 [plaintiff was "entitled to recover as damages the amount of loss sustained by it, *including* opportunities for profit on the accounts diverted from it" (emphasis added)]). The cited Appellate Division cases that followed *Hertz* all involved claims of active solicitation of

4. For example, if an injunction issued before a defendant had made any use or disclosure of the trade secrets, avoided costs would most likely not be an appropriate measure of damage.

plaintiffs' customers, not claims that misappropriation of a trade secret devalued the secret or gave the defendant a competitive advantage by avoiding costs (*see Equity Now, Inc. v Wall St. Mtge. Bankers, Ltd.*, 98 AD3d 909 [1st Dept 2012] [plaintiff claimed defendant stole and used confidential customer list]; *Suburban Graphics Supply Corp. v Nagle*, 5 AD3d 663, 665 [2d Dept 2004] [plaintiff's claim involved defendant's "actively soliciting the plaintiff's customers"]; *Allan Dampf, P. C. v Bloom*, 127 AD2d 719 [2d Dept 1987] [plaintiff alleged that defendant used confidential information and records to divert plaintiff's patients]). In that type of case, plaintiff's lost profits as a damages award makes sense, because the nature of the claim is that plaintiff's own customers were misdirected. However, those cases say nothing about recovery of development costs, whether direct or avoided, and certainly do not state that plaintiff's lost profits are the *only* measure of damages in unfair competition cases.

Nor is an examination of cases involving lost profits particularly helpful in determining the rule for avoided costs, because lost profits differ from avoided costs in important ways. Lost profits cases generally involve products or services sold to third parties, where the profits from those sales would have been realized by the plaintiff, had it not been for the defendant's misconduct. The analysis must involve a consideration of whether plaintiff would have made those sales, because the nature of the claim means that either the plaintiff or defendant would have made those sales, but not both (*see infra* at 467-468.)

Anything else would award plaintiff a windfall. Avoided costs, however, are an entirely different measure of damages. Plaintiff's own investment costs, which the majority concedes would be an appropriate measure of loss, do not depend at all on third-party sales, nor do they have any relation to a particular defendant. Rather, plaintiff's investment costs serve as "evidence of the (now-depleted) value" of the trade secret (majority op at 454). So, too, would defendant's avoided costs. Unlike lost profits, there is no concern that plaintiff will receive more than it would have had it not been for the theft, and plaintiff's investment costs and defendant's avoided costs need not be the same. Those considerations are simply irrelevant because investment costs (direct or avoided) measure the inherent value of the trade secret, rather than actual profits gained or lost.

II.

The majority's answer to the Second Circuit's second question—whether avoided costs are available as a measure of damages for unfair competition—is similarly flawed. The majority claims that damages in unfair competition cases “must correspond to ‘the amount which the plaintiff would have made except for the defendant's wrong . . . , not the profits or revenues actually . . . earned,’” relying on cases in which no claim for avoided-cost damages was made (majority op at 449).⁵ At the same time, the majority admits that “proof of damages for unfair competition [may be] ‘especially complicated’ where the injury only affects intangible values” and approvingly quotes *Electrolux Corp. v Val-Worth, Inc.* (6 NY2d 556, 571 [1959]) for the proposition that “especially true in a suit for unfair competition[, is that] disposition of each case peculiarly depends upon the precise state of facts disclosed” (majority op at 450). The majority also expressly cites *Underhill v Schenck* (238 NY 7, 17 [1924, Cardozo, J.]) for the long-standing rule that “courts may award a defendant's unjust gains as a proxy for *compensatory damages* in an unfair competition case” (majority op at 450 [emphasis added]), and then cites several Appellate Division cases for the proposition that such an award “is not *in lieu of* . . . damages, but is *a method of computing damages*” (*id.*). That is precisely the point: a defendant's unjust gains (here, the avoided costs) may be the method of computing plaintiff's compensatory damages. In *Underhill*, we recognized that “[d]amages whether resulting from infringement in the strict sense or from unfair competition can seldom be traced with even approximate precision” and courts “have

5. The claim in *Santa's Workshop v Sterling* (3 NY2d 757 [1957], *affg* 2 AD2d 262 [3d Dept 1956]) was that defendant diverted plaintiff's customers by unlawfully imitating plaintiff's advertising and publicity materials. *David Fox & Sons v King Poultry Co.* (23 NY2d 914 [1969], *modfg on dissenting op* 30 AD2d 789 [1st Dept 1968]) and *McRoberts Protective Agency v Lansdell Protective Agency* (61 AD2d 652 [1st Dept 1978]) turned on even narrower grounds involving specific deductions and net-vs.-gross profits. Under the specific facts of those cases, in which no plaintiff sought development costs or avoided costs as damages, plaintiff's profits may often have been the best measure of damages, but not always so (see *Epstein Eng'g, P.C. v Cataldo*, 124 AD3d 420, 421 [1st Dept 2015] [“Plaintiff may elect to measure its damages in this unfair competition action by reference to the profits made by *defendants* from clients or business opportunities diverted from plaintiff” (emphasis added)]).

thus been led to award alternative relief” (*Underhill* at 17).⁶ Yet the majority’s ultimate conclusion voids its recitation of those propositions; although acknowledging that “plaintiff’s losses may be measured practically and flexibly” (majority op at 450), the majority insists that “damages” (meaning recovery in a cause of action at law) must be measured by plaintiff’s lost profits.

The majority reaches its conclusion by misinterpreting the holdings of *Michel Cosmetics, Inc. v Tsirkas* (282 NY 195 [1940]) and *Hyde Park Prods. Corp. v Lerner Corp.* (65 NY2d 316 [1985]). Those cases stand for a very different proposition: that the plaintiffs in those cases had not demonstrated an entitlement to recover as damages the entirety of the *defendants’ profits* from products produced by purloined trade secrets. In *Michel Cosmetics*, the plaintiff sought an injunction and an accounting “for all sales and contracts made by [defendant], for the sale of lipsticks made by the secret formulae or secret processes owned by the plaintiff” (282 NY at 198). We held that the damages were inappropriate because, although the plaintiff was entitled to recover its losses, “there [was] no evidence in this case which would support a finding that plaintiff would have sold those lipsticks except for the defendants’ wrong” (*id.* at 201). We clarified that “the evidence may be sufficient to permit the inference that the defendants have caused some loss of profits to the plaintiff, but is certainly insufficient to justify an inference that the plaintiff would have made *all the sales* actually made by the defendants if the defendants had not competed with it” (*id.* at 204 [emphasis added]). In *Hyde Park*, we held that the plaintiff could not receive all of the defendants’ profits from sales made to improperly solicited customers. Rather, the defendant could show that specific sales did not result from solicitation, that plaintiff could not have fulfilled those customers’ orders, or that the customers were no longer plaintiff’s customers at the time of the sale (65 NY2d at 320).

Michel Cosmetics and *Hyde Park* have nothing to do with a defendant’s avoided costs, or even a plaintiff’s cost of development in trade secret cases. Those cases disallowed wholesale recovery of the *defendant’s profits* as a measure of plaintiff’s

6. It is noteworthy that the “unjust gains” in *Underhill* referred to the defendant’s *profits*, not the tamer, more directly-related amount of avoided costs.

loss, and for good reason: the profit from a product depends not just on the trade secrets stolen, but also on many other components that may be necessary to create the product, the cost at which the defendant is able to purchase the necessary inputs, the defendant's skill in marketing, the defendant's sales efforts, the defendant's advertising expenditures, the defendant's reputation and goodwill, and a host of other factors as to which the plaintiffs in those cases had adduced no evidence.⁷

If *Michel Cosmetics* and *Hyde Park* tell us anything about avoided costs as trade-secret damages, it is that defendants should be allowed to challenge the amount of damages claimed; for example, by showing that the defendant could have developed the same or an equivalent method through cheaper, legitimate means (thus challenging the claimed value of the secret) or that plaintiff retained some value in the secret that should be deducted from the claimed damage amount (e.g., when a court issues an injunction after defendant has made substantial sales). Those cases provide no basis whatsoever to announce that, as a matter of New York law, a plaintiff may *never* “recover damages that are measured by the costs the defendant avoided due to its unlawful activity.” Rather, the answer to the second question asked by the Second Circuit must be yes—as one acceptable measure of damages for unfair competition, a plaintiff may *sometimes* recover defendant's avoided costs as damages for its lost trade secret, because such avoided costs can be a reasonable approximation of the injury to the plaintiff, subject, of course, to evidentiary challenge by the defendant and acceptance by the trier of fact.

The majority's answer is wrong for a second reason: common-law unfair competition “is an action in equity and not one at law” (*Warren, Inc. v Turner's Gowns, Ltd.*, 285 NY 62, 67 [1941], citing *Westcott Chuck Co. v Oneida Natl. Chuck Co.*, 199 NY 247, 251 [1910]). In *Warren*, we explained: “It is possible that in an action at law for damages proof of actual damage suffered by a plaintiff would be necessary to justify more than a

7. If the only form of damages available were the entirety of a defendant's profits, the results would sometimes be unjustified; for example, a valve manufacturer stealing my trade secret relating to valve manufacture would pay all its profits to me, as would an automobile manufacturer who stole my valve trade secret and used it in the tires of cars it sold—including all the profits on the cars. A trade secret thief who broadly published but made no commercial use of my trade secrets would owe me nothing; one who, through great skill and effort, successfully commercialized them beyond anything I ever could have accomplished would owe me everything.

nominal recovery” (*id.* at 68). We held that in contrast, in an action for unfair competition, “equity will treat the wrongdoer as a trustee for the plaintiff so far as the former has realized profits from its acts. . . . Inability to prove damages would not preclude plaintiffs from recovering, on an accounting, profits realized from sales unlawfully made, together with interest thereon from the time of the commencement of the action” (*id.*). Even in *Michel Cosmetics* we noted that

“[a] wrongdoer who has imitated the containers of the plaintiff and has used the secret formulas and processes belonging to the plaintiff might be compelled to ‘*yield up his gains* to the true owner, upon a principle analogous to that which charges a trustee with the profits acquired by wrongful use of the property of the *cestui que trust*’ ” (282 NY at 199 [emphasis added], quoting *Hamilton-Brown Shoe Co. v Wolf Brothers & Co.*, 240 US 251, 259 [1916]).

Thus, inasmuch as the majority relies on *Michel Cosmetics* and *Hyde Park* for the proposition that, because the entirety of a defendant’s profits cannot be recovered in an action at law for unfair competition based on a theft of trade secrets, and therefore (although this remains quite a leap) avoided costs also cannot be recovered, the same is not true in equity. We should, therefore, answer the Second Circuit’s second question affirmatively: as a matter of law, avoided-cost damages are available in a common-law claim of unfair competition.

III.

The majority fares no better in attempting to answer the Second Circuit’s third question: whether avoided-cost damages are an available remedy for unjust enrichment. Instead, the majority answers an entirely different question—whether TydenBrooks can state a claim for unjust enrichment at all. We lack the power to decide that question, which the federal district court has already decided.

The cases cited by the majority, supposedly related to whether a plaintiff bringing an unjust enrichment action may recover costs that the defendant avoided, stand for no such proposition (majority op at 455-456). *Corsello v Verizon N.Y., Inc.* (18 NY3d 777, 791 [2012]) and *Clark-Fitzpatrick, Inc. v Long Is. R.R. Co.* (70 NY2d 382, 388 [1987]) hold that a claim for unjust enrichment *cannot be brought at all* if it is duplicative of a

contractual claim. *State of New York v Barclays Bank of N.Y.* involved an unjust enrichment action “framed as one for money had and received” (76 NY2d 533, 536 n 2 [1990]; *see also* Glen Banks, New York Contract Law § 4:27 [2d ed 28 West’s NY Prac Series]). There, we held that the claim was not viable where the checks at issue were never actually or constructively delivered to the plaintiff (76 NY2d at 540). Those cases say nothing about avoided costs as damages, or anything about damages whatsoever, for that matter.⁸

Relying on *IDT Corp. v Morgan Stanley Dean Witter & Co.* (12 NY3d 132 [2009]), the majority asserts that where a defendant avoids costs that would have been paid to third parties, the defendant is not enriched “at the expense of” the plaintiff (majority op at 457). That assertion suggests that TydenBrooks cannot bring its claim for unjust enrichment *at all*, because one of the elements of the claim is not satisfied—not that avoided costs are unavailable as damages to a plaintiff who has proved its claim. Indeed, in *IDT*, we held that the claim for unjust enrichment should be dismissed (*id.* at 142); we cannot hold that here. Furthermore, Morgan Stanley was not enriched “at IDT’s expense” because IDT did not pay the investment banking fee Morgan Stanley allegedly received, nor was IDT deprived of any investment banking fee by Morgan Stanley’s alleged misuse of IDT’s confidential information, because IDT was not in the investment banking business (it was a telecommunications company) and was never going to be retained as an investment banker and receive investment banking fees. Certainly, an element of the claim of unjust enrichment is that the defendant must have been enriched at the plaintiff’s expense; but it can hardly be said that pilfered commercially valuable trade secrets are not stolen “at the plaintiff’s expense.” Here, it would be impossible to say so, in view of the jury’s express finding in TydenBrooks’ favor as to each of those elements, contained in black and white on the verdict sheet, which we may not disturb.

Even were it within our power to decide whether a cause of action for unjust enrichment lies here, and were one to read the majority opinion to say that it does not, that would be

8. If cited to show that trade secret plaintiffs may not ever bring a claim for unjust enrichment, *Corsello* and *Clark-Fitzpatrick* hold nothing of the kind (because trade secret thieves do not usually steal by contract), and, as mentioned above, any such holding is far beyond the scope of the certified question.

grave error, inconsistent with our precedents. Like the common-law action for unfair competition (*see supra* at 468), an action for unjust enrichment is an action in equity, not at law (*see Georgia Malone & Co., Inc. v Rieder*, 19 NY3d 511, 516 [2012]; *Paramount Film Distrib. Corp. v State of New York*, 30 NY2d 415, 421 [1972]). That TydenBrooks may have a remedy at law, restricted to its lost profits as the majority here announces, would not disable it from recovering in equity through unjust enrichment. Thus, in *Falk v Hoffman* (233 NY 199, 201-202 [1922, Cardozo, J.]), we held that although a shareholder suing at law could either rescind and recover the value of his shares, or affirm and recover the value of his shares less what he had been (fraudulently) paid for them, he could sue in equity to recover more:

“[E]quity will intervene to declare the wrongdoers trustees. Some remedy at law there is. It is not so complete or effective as the remedy in equity. Suing at law, the plaintiff would be restricted to the value of his shares, if he rescinded, or to the difference between the value and par . . . , if he affirmed. Suing in equity, he may reach the proceeds of the resale, securities and cash, though the price upon resale is found to be greater than the value. . . . Equity will not be overnice in balancing the efficacy of one remedy against the efficacy of another when action will baffle, and inaction may confirm, the purpose of the wrongdoer” (citations omitted).

We have consistently upheld the principle that a common-law cause of action for unjust enrichment prevents a defendant from retaining any benefit wrongly received. Unjust enrichment is “undoubtedly equitable and depends upon broad considerations of equity and justice” (*Paramount Film Distrib. Corp.* at 421; *see also Saunders v Kline*, 55 AD2d 887, 888 [1st Dept 1977] [“it is not a necessary element of a cause of action for unjust enrichment to show that plaintiff suffered a loss corresponding to the gain received by the defendant”]).⁹ Cambridge Security Seals was unjustly enriched by stealing to avoid

9. The availability of unjust enrichment in trade secret actions is particularly equitable (*see Risch*, 11 Marq Intell Prop L Rev at 59 [“Because the economic justification of trade secrets differs from the justification for patents and copyrights, disgorging unjust enrichment is important. If the competitor values the secret in an amount more than the owner will lose or if the court undervalues the amount of the owner’s loss, then the competitor

(n. cont’d)

development costs, which injured TydenBrooks. It would be against equity to allow the defendant to retain the value it received (see *Mandarin Trading Ltd. v Wildenstein*, 16 NY3d 173, 182 [2011]).

The answer to the question certified by the Second Circuit is obvious merely from stating the question: recovery of the benefit obtained by the defendant is the definition of an action for unjust enrichment: “The essential inquiry in any action for unjust enrichment . . . is whether it is against equity and good conscience to permit the defendant to *retain* what is sought to be *recovered*” (*Mandarin Trading* at 182 [emphasis added], quoting *Paramount Film Distrib. Corp.* at 421). Especially when defendant’s enrichment has come about by wrongdoing, plaintiff’s recovery may even include defendant’s gains (see Restatement [Third] of Restitution and Unjust Enrichment § 51).

IV.

The most curious feature of the majority’s opinion is that, by completely neglecting the availability of avoided costs as a measure of equitable damages, it answers the question in a way that renders the proffered answer irrelevant to the Second Circuit. We have recognized—and the majority does not dispute—that disgorgement of defendant’s ill-gotten gains is available as an *equitable* remedy, including in cases involving intellectual property (see *Warren, Inc. v Turner’s Gowns, Ltd.*, 285 NY 62, 68 [1941] [in unfair competition case based on trade name infringement, “equity will treat the wrongdoer as a trustee for the plaintiff so far as the former has realized profits from its acts. . . . Inability to prove damages would not preclude plaintiffs from recovering, on an accounting, profits realized from sales unlawfully made, together with interest thereon from the time of the commencement of the action”]; *Michel Cosmetics, Inc. v Tsirkas*, 282 NY 195, 199 [1940]; *New York Bank Note Co. v Hamilton Bank Note Engraving & Print. Co.*, 180 NY 280, 295-297 [1905]; *Falk v Hoffman*, 233 NY 199, 201 [1922]).

will have an incentive to spend more on appropriation. In turn, this will cause the owner to spend more on protection than it otherwise might need to if it had the remedy, leading to the same ‘arms race’ without a commensurate gain in expected social value. Thus, the law disgorges the additional benefit in order to reduce the competitor’s incentive to focus more resources on appropriation”).

To avoid our ancient, settled law that equity permits disgorgement of a defendant's ill-gotten gains, the majority tacitly interprets the word "damages" to mean damages historically recoverable at law, not in equity. The majority offers no reason for doing so, and does not even attempt to account for our decisions in *Warren*, *New York Bank Note*, or *Hoffman*. Interpreting the Second Circuit's questions as restricted to damages at law is in fundamental conflict with the manner in which federal courts have operated for the past 80 years, since their merger of law and equity in 1938. Federal Rules of Civil Procedure rule 54 (c) provides that, other than for default judgments, "[e]very . . . final judgment should grant the relief to which each party is entitled, even if the party has not demanded that relief in its pleadings." The Advisory Committee note explains that this portion of rule 54 (c) "makes clear that a judgment should give the relief to which a party is entitled, regardless of whether it is legal or equitable or both."¹⁰

Federal courts, governed by rule 54 (c), award damages without regard to whether they arise from a legal or an equitable cause of action (see e.g. *In re Fasano/Harriss Pie Co.*, 848

10. Wright and Miller's Federal Practice and Procedure § 2662 provides a full explanation:

"Perhaps most significantly subdivision (c) is designed to implement the merger of law and equity mandated by Rule 2 by allowing relief to be given that is consistent with what is shown to be necessary to compensate the parties or remedy the situation without regard to the constraints of the antiquated and rigid forms of action. At common law it was held that plaintiff could not recover anything other than the relief specifically requested in the ad damnum clause of the complaint. In equity, however, the general practice was for plaintiff to demand whatever special relief desired and then to add a prayer for general relief. If the court decided that the evidence did not justify the specific remedy requested, it could rely on the general prayer for relief for the purpose of granting the relief to which plaintiff actually was entitled. Rule 54(c) adopts the more liberal approach used by the equity courts for all civil actions, whether they formerly would be brought at law or in equity, as long as defendant has not defaulted. In this way the rule effectuates one of the objectives of the federal rules—the development of a uniform procedure for all civil actions" (see also 10 Moore's Federal Practice—Civil § 54.70).

In any event, TydenBrooks expressly sought equitable relief in its complaint: "That the Defendants be adjudged to have been unjustly enriched . . . and that Defendants be required to disgorge the profits gained as a result of their conduct and actions and any other appropriate equitable remedy including that the Defendants be enjoined from such unlawful act or practice."

F2d 190 [6th Cir 1988] [table; text at 1988 WL 44738, *2 (1988)] [“FMA next argues that it should not have been held liable under the equitable doctrine of unjust enrichment because the theory was not pleaded by plaintiffs. Rather, plaintiffs brought an action at law alleging that FMA had breached an express contract. Rule 54(c), however, supports the granting of equitable relief in such circumstances”]; *Kaszuk v Bakery & Confectionery Union & Indus. Intl. Pension Fund*, 791 F2d 548, 559 [7th Cir 1986] [“Rule 54(c) ‘has been liberally construed, leaving no question that it is the court’s duty to grant whatever relief is appropriate in the case on the facts proved.’ This includes injunctive relief when appropriate, and even when not specifically requested” (citations omitted)], quoting *United States v Marin*, 651 F2d 24, 31 [1st Cir 1981]; *Travis v Gary Community Mental Health Ctr., Inc.*, 921 F2d 108, 112 [7th Cir 1990] [“Fed.R.Civ.P. 54(c) requires courts to award the relief to which the prevailing party is entitled, even if that party did not request the relief or relied on the wrong statute”]).

Thus, the Second Circuit did not ask us whether avoided costs may be an appropriate measure at law but not in equity. Upon the jury’s finding of liability, the federal courts are indifferent to under which of those branches the relief is available. The majority’s opinion does not dispute the availability of a defendant’s avoided costs as damages in equity. Indeed, the majority goes so far as to say that a defendant’s gain may be used as “the method of computing damages” (majority op at 450 [emphasis omitted]). Thus, the majority’s ostensible “no” is a practical “yes,” unless we turn the clock back to 1937.

V.

Suppose, for a moment, that the majority is entirely right: although the answer is not dictated by our precedents, they suggest that plaintiffs cannot recover defendant’s avoided costs as a measure of compensatory damages. The approach provided by nearly all other jurisdictions and the Restatement (Third) of Unfair Competition explicitly allows plaintiffs in trade secret cases to recover the plaintiff’s cost of development or the defendant’s avoided costs. That is of no moment to the majority. The suggestion that our Court—the Court that, in Judge Cardozo’s time and thereafter, led the nation in advancing the laws that govern civil wrongs in contract, tort and equity—should turn a blind eye and disregard our duty “to bring the law into accordance with present day standards of wisdom and

justice” (*Woods v Lancet*, 303 NY 349, 355 [1951], quoting *Funk v United States*, 290 US 371, 382 [1933]) is most perplexing.

Underlying the majority’s hidebound view that a plaintiff’s lost profits must always be the remedy for theft of commercially valuable information of any type is a failure to comprehend the difference between private goods and public goods,¹¹ and therefore the reasons that some types of public goods, if they are to exist, require a damage remedy that, though not punitive, is not cabined to the plaintiff’s lost profits. That is, the appropriate calculus for thefts of private goods should not constrain the calculus for thefts of public goods (see e.g. Roger D. Blair & Thomas F. Cotter, *An Economic Analysis of Damages Rules in Intellectual Property Law*, 39 Wm & Mary L Rev 1585, 1590 [1998] [“the optimal set of damages rules should preserve both the incentive structure of intellectual property law and the property-like character of intellectual property rights . . . in the absence of enforcement, information, and other transaction costs, these goals require at a minimum an award that renders the infringer no better off as a result of the infringement”]; Mark A. Lemley, *The Surprising Virtues of Treating Trade Secrets as IP Rights*, 61 Stan L Rev 311, 329-330 [2008] [“Trade secrets are best understood not as applications or extensions of existing common law principles (warranted or unwarranted), but as IP rights. . . . A right to exclude does not have to be absolute to be effective in rewarding and therefore encouraging innovation. It need merely provide sufficient advantage in terms of lead time or relative costs to minimize or eliminate the public goods problem”]).

The majority also abandons our role in crafting the common law to fulfill the policy goals of this State. The Supreme Court of the United States has identified the general policies behind trade secret law as the “maintenance of standards of commercial ethics and the encouragement of invention” (*Kewanee*, 416 US at 481). The legal protections against theft of advancements in the sciences, arts and industry—not to punish, but to spur innovation—is embodied in the United States Constitu-

11. Private goods are, in the economics parlance, rivalrous and excludable. That is, if I consume my \$5 sandwich, you cannot (“rivalrous”), and I can readily prevent you from consuming it (“excludable”). If I create a secret recipe for the sauce used on my sandwiches, your using the recipe does not stop me from using it too (“nonrivalrous”), and—absent legal protection—I cannot easily prevent you from using the recipe once you learn it (“nonexcludable”).

tion (US Const, art I, § 8, cl 8). “Trade secret law will encourage invention in areas where patent law does not reach, and will prompt the independent innovator to proceed with the discovery and exploitation of his invention” (*Kewanee*, 416 US at 485; *see also Rockwell Graphic Sys., Inc. v DEV Indus., Inc.*, 925 F2d 174, 180 [7th Cir 1991] [“trade secret protection is an important part of intellectual property, a form of property that is of growing importance to the competitiveness of American industry. . . . The future of the nation depends in no small part on the efficiency of industry, and the efficiency of industry depends in no small part on the protection of intellectual property”]).

New York, as the nation’s commercial center and a hub of innovation, embodies those goals by fostering inventors and innovation; those are unmistakable goals of our legislative and executive branches (*see e.g.* Press Release, *Governor Cuomo Announces Highlights of the FY 2019 Budget* [Mar. 30, 2018] [announcing budget includes “\$600 million to support construction of a world-class, state-of-the-art life sciences public health laboratory in the Capital District that will promote collaborative public/private research and development partnerships”]; Governor Andrew Cuomo, State of the State Address to 2015 New York Legislature [announcing “new innovation hotspots . . . (to) provide one-stop funding and services—legal services, accounting services, all the services (inventors) need to grow their business”]).

What commercial ethics or invention is encouraged by the majority’s decision? What does that decision bode for our role in molding the common law to changing times? By rejecting the predominant rule accepted by most states and the Restatement, the majority undermines the policy goals of this State and casts off our mantle. Under the majority’s rule, I am encouraged to steal your trade secrets. If I can make better use of them than you, because I am a better salesperson, better funded or a cheaper purchaser of inputs, even if I lose when you sue me, I can make a net profit, repaying you only what you can prove you lost in sales. If I am not better suited to exploit your trade secrets, I may nevertheless profit if you are unable to prove your lost sales, which, because of the messiness of the real world, is often difficult or impossible to do. At worst, I may be subjected to an injunction, but at that point, the secret has begun to leak out, and you will be hard-pressed to prove that some third, fourth or fifth party derived its identi-

cal process from your secret. The incentive for others to innovate will be replaced by the incentive to steal. Punitive damages, of course, remain as a deterrent, but because many trade secrets are allegedly stolen by employees moving from one company to another (which, quite correctly, the law does not restrain *per se*), the theft is difficult enough to prove, and punitive damages in those situations are uncommon, as this case itself demonstrates. Likewise, although you may have purposefully refrained from licensing your secret to anyone, you may be forced to accept a “reasonable royalty” from the defendant as damages, based on a conjectural price at which you might have licensed your secret—a sort of eminent domain power for thieves.

Cases such as this, “where a decision one way or the other, will count for the future, will advance or retard, sometimes much, sometimes little, the development of the law . . . are the cases where the creative element in the judicial process finds its opportunity and power” (Benjamin Cardozo, *The Nature of the Judicial Process* 165 [Yale University Press 1921]). Judge Cardozo set that course for us a century ago; I am saddened we shirk from it; doubly so when the Second Circuit has steered us to it.

Chief Judge DiFiore and Judges Stein and Garcia concur; Judge Wilson dissents in an opinion in which Judges Rivera and Fahey concur.

Following certification of questions by the United States Court of Appeals for the Second Circuit and acceptance of the questions by this Court pursuant to section 500.27 of the Rules of Practice of the Court of Appeals (22 NYCRR 500.27), and after hearing argument by counsel for the parties and consideration of the briefs and record submitted, first certified question answered in the negative and second certified question not answered as unnecessary.

[105 NE3d 328, 80 NYS3d 189]

THE PEOPLE OF THE STATE OF NEW YORK, Appellant, v MATTHEW KUZDZAL, Respondent.

Argued March 28, 2018; decided May 8, 2018

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered November 18, 2016. The Appellate Division (1) reversed, on the law, a judgment of the Supreme Court, Erie County (Christopher J. Burns, J.), which had convicted defendant, upon a jury verdict, of murder in the second degree and predatory sexual assault against a child; and (2) granted a new trial.

People v Kuzdzal, 144 AD3d 1618, reversed.

HEADNOTES

Crimes — Jurors — Discharge of Juror — Procedure to Determine Whether *Buford* Inquiry Required

1. The trial court did not abuse its discretion when it chose not to conduct an inquiry pursuant to *People v Buford* (69 NY2d 290 [1987]) of two sworn jurors alleged by a courtroom spectator to have referred to defendant by a derogatory term during a break in the trial, where the court examined the spectator to ascertain the reliability of her allegation and determined that a *Buford* inquiry was not required based on the testimony provided. The standard for discharging a sworn juror pursuant to CPL 270.35 is satisfied only when it becomes obvious that a particular juror possesses a state of mind which would prevent the rendering of an impartial verdict. A trial judge, in the exercise of his or her discretion, may fashion an appropriate procedure to initially determine whether a *Buford* inquiry is required under the facts of the particular case. Trial courts, when presented with some credible information indicating that a sworn juror may be grossly unqualified, must conduct a probing and tactful inquiry of the juror; however, if the trial judge determines, upon inquiry, that the allegation of misconduct is not credible, there is no reason to take the next step to address the nature of the alleged misconduct. Here, the record supported the conclusion that the trial court made an implied determination that the spectator was unworthy of belief in direct and immediate response to the prosecutor's request that the court rule as to whether it found the spectator's "description credible" before proceeding to the *Buford* inquiry. The court's determination to examine the source of the allegation before proceeding to a *Buford* inquiry of the sworn jurors based on the mere reporting of the allegation itself was within its discretion and the procedure it followed was not an abuse of discretion as a matter of law.

Appeal — Appellate Division — Review of Trial Court's Implied Credibility Finding Underlying Denial of *Buford* Inquiry

2. Where, after eliciting sworn testimony from a trial spectator who allegedly overheard two jurors during a break in the trial refer to defendant by a

derogatory term, the trial court, in declining to conduct an inquiry pursuant to *People v Buford* (69 NY2d 290 [1987]), made an implied credibility finding that the spectator was not worthy of belief, and that determination was not reviewed by the Appellate Division on defendant's appeal from his judgment of conviction, it was error for the Appellate Division to opine as to what remedy was warranted in response to the content of the spectator's allegation, without determining whether the allegation was credible in the first instance. Accordingly, on the People's appeal from the Appellate Division order reversing the judgment of conviction, the Court of Appeals reversed and remitted the case to the Appellate Division to exercise its own fact-finding power to consider and determine whether the trial court's finding as to the spectator's credibility was supported by the weight of the evidence.

Crimes — Jurors — Discharge of Juror — Failure to State Express Reasons for Denying Request for *Buford* Inquiry

3. The trial court in defendant's criminal prosecution did not commit reversible error by failing to state its express reasons for denying the request for an inquiry pursuant to *People v Buford* (69 NY2d 290 [1987]) of two sworn jurors alleged by a courtroom spectator to have referred to defendant by a derogatory term after the court examined the spectator to ascertain the reliability of her allegation. While such practice is not required, it remains the best practice to enhance appellate review.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Criminal Law §§ 335, 341, 343; AM JUR 2d Jury § 183; AM JUR 2d Trial §§ 1455–1468, 1620.

CARMODY-WAIT 2d Jury Selection and Supervision §§ 191:82, 191:84, 191:88–191:92, 191:96–191:97; CARMODY-WAIT 2d Jury Conduct and Deliberation § 201:4.

LAFAVE, ET AL., CRIMINAL PROCEDURE (4th ed) § 22.3.

McKINNEY'S, CPL 270.35.

NY JUR 2d Criminal Law: Procedure §§ 2607, 2635–2645.

ANNOTATION REFERENCE

Excusing qualified juror drawn in criminal case as ground of complaint by defendant. 96 ALR 508.

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POINTS OF COUNSEL

John J. Flynn, District Attorney, Buffalo (Matthew B. Powers and Donna A. Milling of counsel), for appellant. The trial court

did not abuse its discretion by declining to conduct *Buford* inquiries of two seated jurors based on the unreliable allegations that did not bear on the jurors's qualification to sit. (*People v Buford*, 69 NY2d 290; *People v Ivery*, 96 AD2d 712; *People v West*, 92 AD2d 620, 62 NY2d 708; *People v Ruggiero*, 279 AD2d 538, 96 NY2d 834; *People v Paulino*, 131 AD3d 65, 26 NY3d 1042; *People v Harris*, 288 AD2d 610, 99 NY2d 202; *People v Matiash*, 197 AD2d 794, 82 NY2d 899; *People v Mejias*, 21 NY3d 73; *People v Wiggins*, 132 AD3d 514, 27 NY3d 1076; *People v Joaquin*, 138 AD3d 422, 28 NY3d 931.)

Erickson Webb Scolton & Hajdu, Lakewood (Lyle T. Hajdu of counsel), for respondent. I. The Appellate Division correctly held that the defendant's conviction should be vacated because the trial court failed to conduct a proper inquiry into potential misconduct by two jurors and further failed to set forth the reasons for its ruling. (*People v Arnold*, 96 NY2d 358; *People v Buford*, 69 NY2d 290; *People v Dotson*, 248 AD2d 1004, 92 NY2d 851; *People v Rodriguez*, 71 NY2d 214; *People v Jean-Philippe*, 101 AD3d 1582; *People v Hymes*, 70 AD3d 1371, 15 NY3d 774; *People v Franqui*, 123 AD3d 512; *People v Mejias*, 21 NY3d 73; *People v Dukes*, 8 NY3d 952; *People v Matiash*, 197 AD2d 794.) II. The decision of the Appellate Division, Fourth Department, constitutes a mixed question of law and fact that is beyond review by the Court of Appeals. (*People v Buford*, 69 NY2d at 299; *People v Pines*, 99 NY2d 525; *People v Brown*, 25 NY3d 973.)

OPINION OF THE COURT

Chief Judge DiFIORE.

[1, 2] On this appeal, we are asked to determine whether the trial court abused its discretion when it chose not to conduct an inquiry of two sworn jurors pursuant to *People v Buford* (69 NY2d 290 [1987]). Alerted to a complaint by a courtroom spectator that during a break in the trial the spectator allegedly overheard the jurors refer to defendant by a derogatory term, the trial court immediately called the spectator to the stand and elicited sworn testimony regarding her allegation. At the conclusion of the examination, the judge determined that a *Buford* inquiry was not required based on the testimony provided. We conclude on this record that the trial court made an implied credibility finding that the spectator was not worthy of belief and therefore a *Buford* inquiry was not warranted. This determination by the trial court was not reviewed by the

Appellate Division. It was error for the Appellate Division to opine as to what remedy was warranted in response to the content of the spectator's allegation, without determining whether the allegation was credible in the first instance. Accordingly, we reverse the Appellate Division order and remit the case to that Court to exercise its own fact-finding power to consider and determine whether the trial court's finding as to the spectator's credibility was supported by the weight of the evidence.

I.

Defendant was convicted, upon a jury verdict, of murder in the second degree and predatory sexual assault against a child. The issues before us arise from an allegation made by a courtroom spectator at the close of the evidence at defendant's trial. The record is clear that, on the day in question, the jury entered the courtroom at 9:44 a.m. and the trial continued uninterrupted until the defense rested and the jury was dismissed for the day at approximately 12:04 p.m. The next morning, the trial continued through summations and the court recessed at 10:35 a.m. Shortly thereafter, defense counsel reported to the court that a spectator claimed that, while outside the courthouse the day before, she overheard two female jurors in conversation using a derogatory term to refer to defendant. The trial court immediately directed the spectator to take the witness stand and proceeded to take her sworn testimony.

The spectator specifically testified that on the day before, during a 15-minute recess taken by the court, she and her friend were outside the courthouse where she observed two female jurors smoking a cigarette "talking about [defendant's] a scumbag." She and her friend briefly stopped and listened to the conversation and, later, because she did not think it was "right," notified defense counsel. The spectator further stated that these jurors were in the back row laughing and making faces during the trial.

However, the spectator's testimony was inconsistent as to when the alleged misconduct occurred. The spectator initially stated that the jurors' remarks occurred "after court." Upon further questioning by counsel, the spectator posited that the incident occurred during a 15-minute break in the morning. When told there was no 15-minute break in the morning, she changed her testimony, claiming the conversation took place

around noon. The record was unequivocal that the court did not take any break that morning and that the jury was sent home for the day at 12:04 p.m. The spectator also explained that she was ejected from the courthouse on the day in question for “sa[ying] something in the hallway.” The prosecutor pressed her as to whether she was the person who started trouble in the hallway and was directed to leave the courthouse. The spectator denied starting trouble, but acknowledged that a court officer told her to leave the courtroom and that she was not allowed back in until the next day. Although defense counsel had apparently identified the spectator as defendant’s girlfriend, the witness denied being defendant’s paramour, but confirmed that she was his lifelong friend.

At the end of the examination, defense counsel asked the court to perform an inquiry of the jurors. The prosecutor argued that the elicited testimony did not meet the standard necessary to trigger the inquiry and asked the court to “make a ruling as to whether [you] find this description credible first.” In immediate response, the judge denied defendant’s request, stating: “I don’t believe that an inquiry of the juror is necessary or appropriate here . . . [b]ased on what I heard.”

The Appellate Division opined that the trial court made no findings, express or implied, including as to the spectator’s credibility. Describing the trial court’s ruling as conclusory, it held the court failed to make “an implied determination that the observer’s testimony was incredible” (144 AD3d 1618, 1621 [4th Dept 2016]). The Court nonetheless concluded that “the jurors’ alleged reference to defendant as a ‘scumbag’ indicated the possibility of juror bias, and thus . . . the court should have granted defendant’s request to make an inquiry of the jurors” (*id.*). In contrast, the dissent specifically concluded that the trial court “determined that the spectator’s testimony was not sufficiently credible” to trigger a *Buford* inquiry “by stating that it was basing its ruling on what it had heard” (*id.* at 1624 [Smith, J.P., and Peradotto, J., dissenting]). The dissent continued, “[h]ere, especially in light of the significant evidence in the record supporting the court’s determination not to credit the testimony of the spectator, we see no reason to disturb that determination” (*id.*). Accordingly, the dissent reasoned that because there was “no credible evidence indicating that any juror engaged in misconduct, there was no need for a further inquiry of the individual jurors” (*id.*). One of the dissenting Justices granted the People leave to appeal (28 NY3d 1190 [2017]).

II.

A defendant's constitutional right to an impartial jury verdict is fundamental (*see* NY Const, art I, §§ 6, 2; US Const 6th, 14th Amends) and the procedure mandated in our *Buford* decision to protect that right is critical to our criminal justice system. Two statutory provisions afford the necessary constitutional protection to defendants: CPL 270.35, which governs the procedure for discharge of a sworn juror; and CPL 270.20, which dictates the procedure to be employed when a prospective juror is challenged for cause. As the spectator's allegation concerned two sworn jurors, CPL 270.35 is implicated. That provision mandates that

“[i]f at any time after the trial jury has been sworn and before the rendition of its verdict, . . . the court finds, from facts unknown at the time of the selection of the jury, that a juror is grossly unqualified to serve in the case or has engaged in misconduct of a substantial nature . . . the court must discharge such juror” (CPL 270.35 [1]).

We have explained that the standard for discharging a sworn juror pursuant to CPL 270.35 “is satisfied only ‘when it becomes *obvious* that a particular juror possesses a state of mind which would prevent the rendering of an impartial verdict’ ” (*Buford*, 69 NY2d at 298 [citation omitted and emphasis added]). Indeed, as we have underscored in the past, “[t]he ‘grossly unqualified’ standard for the removal of a sworn juror upon a record of an obviously partial state of mind is higher than that required for the removal of a prospective juror” during voir dire, which is premised on a finding that the prospective juror “has a state of mind that is *likely* to preclude him from rendering an impartial verdict” (*People v Spencer*, 29 NY3d 302, 309-310 [2017], citing *Buford*, 69 NY2d at 298; CPL 270.20 [1] [b]). Of course, the more exacting standard for discharge of a sworn juror makes perfect sense—as a defendant has a constitutional right to be tried by a jury “in whose selection [the defendant] has had a voice” (*Buford*, 69 NY2d at 297-298 [internal quotation marks and citation omitted]). Particularly relevant here, we expressly held that “[a] ‘Trial Judge generally is accorded latitude in making the findings necessary to determine whether a juror is grossly unqualified under CPL 270.35, because that Judge is in the best position to assess partiality in an allegedly biased juror’ ” (*Spencer*, 29 NY3d at 310, quoting *People v Rodriguez*, 71 NY2d 214, 219 [1988]).

There is no one-size-fits-all approach to address allegations of juror misconduct and “each case must be evaluated on its unique facts to determine whether a particular juror must be disqualified under CPL 270.35” (*Buford*, 69 NY2d at 299).

[1] Here, unlike many of our prior cases, the allegation of juror misconduct did not come from the wording of a jury note, the personal observations of court personnel, or a statement from an individual juror. Instead, the allegation came from a courtroom spectator—and defendant’s lifelong friend. The trial court, when presented with the third-party allegation of juror misconduct, rather than immediately questioning the jurors, and possibly unnecessarily intruding on the sanctity of the jury, instead chose to first question the source of the allegation to ascertain its reliability. The trial court—which demonstrated its careful attention to the proceedings as evidenced by its earlier removal of a juror who had fallen asleep during trial and its utilization of a *Buford* inquiry with respect to the alleged conduct of a different juror—called the spectator to the stand and asked her a series of questions under oath. The court’s determination to examine the source of the allegation before proceeding to a *Buford* inquiry of the sworn jurors based on the mere reporting of the allegation itself is within the discretion of the trial court and is, indeed, a procedure that has been found to be reasonable (see *People v Matiash*, 197 AD2d 794 [3d Dept 1993], *lv denied* 82 NY2d 899 [1993]).

In *People v Matiash*, the Appellate Division reviewed the action of the County Court in conducting an inquiry of a witness as opposed to a juror. The Third Department stated:

“County Court chose to begin its in camera interrogation not with the jurors themselves, but rather with the witness in an effort to first ascertain exactly what that witness had seen and heard. This being the least disruptive method of initially ascertaining the particulars, we see no error in this mode of proceeding” (197 AD2d at 796).

Thus, as here, the trial court in *Matiash* used its fact-finding power along with its unique ability to assess the demeanor of the witness alleging juror misconduct to conclude that the allegations did not trigger a *Buford* inquiry. In *Matiash*, the trial court’s conclusion was based on the “innocuous” nature of the allegation (*id.*). In this case, the trial court’s conclusion was based on the lack of credibility of the interested spectator. While the trial court’s reasoning here was not as explicit as

that of the court's in *Matiash*, the record below supports the conclusion that the trial court made an implied determination that the spectator was unworthy of belief in direct and immediate response to the prosecutor's request that the court rule as to whether it found the spectator's "description credible" before proceeding to the *Buford* inquiry.

We have previously allowed that a trial judge, in the exercise of his or her discretion, may fashion an appropriate procedure to initially determine whether a *Buford* inquiry is required under the facts of the particular case. For example, in *People v Mejias* (21 NY3d 73, 77 [2013]), a note from a juror stated, "We want to know how/when and under what pretext [a codefendant] met [defendant]" (emphasis omitted). Defense counsel argued that "the use of the word 'we' in the note implied that at least two of the jurors had been engaged in premature deliberations" and requested that the court conduct a *Buford* inquiry of the juror who wrote the note (*id.*). We held it was not an abuse of discretion to forgo the *Buford* inquiry and instead address the entire panel in order to avoid isolating any particular jurors (*see id.* at 77-78).

In this regard, a trial court's "investigation of juror misconduct or bias is a delicate and complex task" (*United States v Peterson*, 385 F3d 127, 134 [2d Cir 2004] [internal quotation marks and citation omitted]), and courts must have broad flexibility in matters involving the jury. We review a court's decision regarding a juror's alleged impartiality for abuse of discretion because the trial judge, having the ability to continually observe the jury in court, is in the best position to devise an appropriate remedy (*Mejias*, 21 NY3d at 80; *see also Peterson*, 385 F3d at 134). As the Supreme Court has explained, a defendant's right to due process does not require a trial court to question the juror alleged to have engaged in substantial misconduct every time there is an allegation of jury impartiality (*see Smith v Phillips*, 455 US 209, 217 [1982]). Rather, "[d]ue process means a jury capable and willing to decide the case solely on the evidence before it, and a trial judge ever watchful to prevent prejudicial occurrences and to determine the effect of such occurrences when they happen" (*id.*). Indeed, "in determining whether a hearing must be held, the court must consider the content of the allegations, the seriousness of the alleged misconduct or bias, and the credibility of the source" (*United States v Angulo*, 4 F3d 843, 847 [9th Cir 1993]). Thus,

“while a court looking into juror misconduct must investigate and, if necessary, correct a problem, it must also avoid tainting a jury unnecessarily. . . . In this endeavor, sometimes less is more” (*United States v Cox*, 324 F3d 77, 88 [2d Cir 2003]). Here, the trial court determined the effect of the alleged prejudicial occurrence by calling the spectator to the stand and eliciting her sworn testimony. Such a procedure protected defendant’s due process rights and ensured that the jury proceedings were not “jeopardized by unauthorized invasions” (*Remmer v United States*, 347 US 227, 229 [1954]).

We emphasize that our procedure set forth in *Buford* stands as the framework to evaluate sworn jurors who allegedly engaged in substantial misconduct preventing the rendering of an impartial verdict. Trial courts, when presented with some credible information indicating that a sworn juror may be grossly unqualified, must conduct a “probing and tactful inquiry” of the juror (*see* 69 NY2d at 299). However, if the trial judge determines, upon inquiry, that the allegation of misconduct is not credible, there is no reason to take the next step to address the nature of the alleged misconduct—whether it is premature deliberations, as in *Mejias*, or the preexisting bias of a juror. Unnecessarily confronting sworn jurors with unfounded, irrelevant, or incredible allegations of misconduct may impact the impartiality of the jury, and mandating such an intrusive procedure regardless of the particular circumstances of a case may only encourage untoward tactics intended to disrupt the proceedings. Accordingly, we must trust our trial courts to make the determination in the first instance as to whether to conduct an inquiry of a sworn juror. In so doing, a defendant’s right to an impartial verdict is properly balanced with the jury’s right to adjudicate “free from outside interference” (*People v Rivera*, 15 NY3d 207, 212 [2010]). Here, we conclude that the procedure followed by the trial court to first examine the spectator to ascertain the reliability of her allegation was not an abuse of discretion as a matter of law.

[2] Under our system of appellate review, every litigant is afforded at least one review of the facts (*People v Bleakley*, 69 NY2d 490, 494 [1987]). Since the Appellate Division did not consider the threshold issue—whether the trial judge was justified in finding the spectator incredible and therefore determining the *Buford* inquiry was not required—the case is remitted to that Court to consider and determine whether the trial court’s credibility finding was supported by the weight of the

evidence.* If, on remittal, the Appellate Division finds, upon its own factual review, that the record supports the trial court's determination that the spectator lacked credibility, no further action was required. If the Appellate Division finds that the credibility determination was not supported, it must determine whether the trial court abused its discretion in not taking further action (*see e.g. Buford*, 69 NY2d at 299; *Mejias*, 21 NY3d at 79-80). Contrary to the dissent's assertion, our decision does not detour from the guidance we provided in *Buford*. To be sure, a credible allegation that a juror is grossly unqualified to serve or engaged in substantial misconduct within the meaning of CPL 270.35 cannot be ignored by the trial court, and failure to appropriately remedy the matter is reversible error.

[3] Regarding the second issue presented on this appeal, the trial court did not commit reversible error by failing to state its express reasons for denying defendant's request for a *Buford* inquiry after the examination of the spectator (*compare Buford*, 69 NY2d at 299 [holding that the trial court's reasons for its determination *following* a *Buford* inquiry should be placed on the record]). While such practice is not required under our precedent, it remains the best practice to enhance appellate review.

Accordingly, the order of the Appellate Division should be reversed and the case remitted to that Court for consideration of the facts (CPL 470.25 [2] [d]; 470.40 [2]), and issues raised but not determined on the appeal to that Court.

WILSON, J. (concurring). I concur in the result, but believe that both the Appellate Division majority and dissent have evaluated this case under the wrong prong of CPL 270.35—"grossly unqualified to serve"—instead of the prong applicable here: "engaged in substantial misconduct." I would therefore reverse and remit so the Appellate Division could evaluate Mr. Kuzdzal's appeal under the correct prong, which it never considered.

CPL 270.35 (1) provides two distinct grounds requiring dismissal of a juror: when a juror (i) is "grossly unqualified to

* Contrary to the dissent's assertion, our opinion does not disregard the prohibition on this Court "from weighing facts and evidence in noncapital cases" (*see People v Jones*, 24 NY3d 623, 630-631 [2014]). However, we do consider the factual record to the extent that it is a foundation for the application of law (*id.* at 631). As we stated herein, the record reveals that the Appellate Division did not exercise its independent factual review power of the trial court's threshold credibility finding. Thus, we remit the case to that Court to do so (*see* CPL 470.15).

serve,” or (ii) “has engaged in misconduct of a substantial nature.” Mr. Kuzdzal asserted both grounds. “[T]he standard for excusing a sworn juror as ‘grossly unqualified’ within the meaning of CPL 270.35 is ‘satisfied only “when it becomes obvious that a particular juror possesses a state of mind which would prevent the rendering of an impartial verdict” ’” (*People v Cargill*, 70 NY2d 687, 688 [1987] [citations omitted]).¹ We have previously held that “grossly unqualified to serve” and “engaged in misconduct of a substantial nature” are analytically distinct, inasmuch as preserving an argument as to the former does not preserve the latter (*People v Hicks*, 6 NY3d 737 [2005]).

Here, the Appellate Division analyzed Mr. Kuzdzal’s claim under the “grossly unqualified” standard, which concerns the inability of a juror to decide a case impartially, when the facts alleged here pertain to the “misconduct” prong.² Mr. Kuzdzal’s friend claims to have observed two jurors laughing and making faces at an unspecified point during the trial, and, after all the trial evidence had been presented, including Mr. Kuzdzal’s testimony, to have overheard one of those two jurors state to the other that Mr. Kuzdzal was a “scumbag.”

We ask jurors to enter a case with an open mind; to base their decision on the evidence at trial only; to decide the facts; to apply the law as given by the court; and not to discuss the case among themselves until they are charged. We do not ask them to avoid forming views—subject to the court’s charge and later deliberations—as they hear the evidence, about the credibility of witnesses, which facts they believe, or guilt or innocence. We do not ask jurors, after they have heard all the ev-

1. “Grossly unqualified” may also include cases in which a juror is unable to understand the proceedings (*see People v Sanchez*, 99 NY2d 622, 623 [2003] [juror considered potentially grossly unqualified when she said “she didn’t understand the lawyers and she didn’t understand the judge,” and the court’s inquiry, which focused on her age, citizenship, and whether she could understand English, was insufficient]).

2. In different circumstances, a derogatory comment by a juror might indeed raise an inference of bias. For example, had the juror called Mr. Kuzdzal a scumbag before opening statements, the statement would raise an inference that the juror was biased. Had the juror, after the close of evidence, said that Mr. Kuzdzal was a dealer in illegal firearms (which would be a complete fabrication), the court should have been concerned about both bias and misconduct. Here, however, the juror’s alleged statement, made after the jury heard voluminous evidence of Mr. Kuzdzal’s conduct, does not suggest bias, though it would be misconduct.

idence and before sending them off to deliberate, whether they think a defendant is a liar, crook, menace or scumbag, nor would we, because, as the majority and I completely agree, doing so would undermine the essence of the jury system (majority op at 485-486, 486). We also do not ask because we *want* jurors to form opinions based on the evidence presented: that is their job. There is a fundamental difference between a juror who is biased and a juror who has formed opinions based on the evidence. The former is incompetent to sit; the latter has done exactly what is expected of a juror.

What evidence had the jurors heard before one told another that Mr. Kuzdzal was a scumbag? A five-year-old boy was dead. The boy's mother had been in a relationship with Mr. Kuzdzal since November 2012, and they shared an apartment together. She left her child in Mr. Kuzdzal's care while she went on errands. No one else was in the house when her son was injured, or at any time that day.

When they arrived at the apartment, Mr. Kuzdzal told the first responders that the child had fallen down the basement stairs carrying a laundry basket, that he was only out of Mr. Kuzdzal's sight for about five minutes, and that about 20 minutes passed between when Mr. Kuzdzal discovered him at the bottom of the stairs and when the paramedics arrived.

Later, Mr. Kuzdzal gave a different account, saying that he smoked synthetic marijuana that afternoon and watched a movie for 45 minutes or an hour, and that he then went to check on the child and found him at the bottom of the basement stairs, unconscious. Mr. Kuzdzal reported that he brought the child upstairs and put him in a cold shower, hoping he would wake up, and remained in the bathroom with him for about 30 minutes. Mr. Kuzdzal claimed he then dressed the child, who remained unresponsive, and put him on the couch, at which point he was "throwing up nasty stuff" and Mr. Kuzdzal attempted to give him CPR, texted the child's mother and asked her what to do, and then called 911 upon her instruction.

Then, when asked about the injuries to the child's rectal area, Mr. Kuzdzal told one of the detectives that he would tell him the truth about what happened if the detective did not charge him with rape. Mr. Kuzdzal then amended his account again, saying that around 4:30 or 5:00 p.m., the child had urinated in his pants; Mr. Kuzdzal got angry and pushed him

toward the shower, and that the child fell and hit his head on the side of the bathtub, but that he was fine and there was no bump on his head, and it was after that that the child fell down the stairs while he was carrying a laundry basket.

At trial, Mr. Kuzdzal gave a yet-different account of the child's death. Although he previously denied it, he testified that he had used heroin that morning and that he bought additional heroin early that afternoon. He further testified that when he pushed the child toward the shower and he hit his head, that the child was immediately unconscious. Mr. Kuzdzal admitted that he previously had lied to police repeatedly about what had happened that day.

The jurors also heard the following from other witnesses. The paramedics who responded to the 911 call testified that it was difficult to insert a breathing tube into the child's throat because there was so much blood in his airway. The emergency room doctor testified that when the child arrived his pupils were both dilated, fixed and unresponsive, and that his body temperature was very low, at 31.8 degrees Celsius. The doctor from the Pediatric Intensive Care Unit (PICU) at the hospital testified that a substantial amount of force would have been required to cause the fracture to the back of the child's skull. The surgeon who performed an emergency craniotomy on him testified that the appearance of his brain matter was not that of a child who had been recently injured, but one whose brain had been deprived of oxygen for hours.

After surgery, the PICU doctor conducted another examination and observed that the child was bruised on his nose, shoulders, arms, spine and rectal area, and had abrasions on his hips and rectal area. The sexual assault nurse examiner then examined him, and testified that he had sustained lacerations and bruising consistent with blunt force trauma and penetration of his rectum. A forensic biologist testified that the child's underwear was recovered from the apartment, and that a white-ish stain on them was tested for DNA material, which matched that of Mr. Kuzdzal. After the child died, the Erie County Medical Examiner's Office performed an autopsy, and the Medical Examiner testified that all of the injuries occurred at about the same time, and that the cause of the child's death was blunt impact trauma to the head.

If we could read the minds of jurors, would we remove from the jury any who, at the close of evidence, believed Mr. Kuzdzal was a scumbag? Of course not. The problem here is that

one juror said so to another, in violation of the court's daily admonition that jurors should not discuss the case amongst themselves or with anyone else. Nothing about Mr. Kuzdzal's friend's observation raises any inference that a juror was biased or grossly unqualified to serve, but instead that two jurors engaged in premature deliberations.

In *People v Mejias*, we held that premature deliberation does not necessarily require removal of a juror, nor does it even necessarily trigger a *Buford* inquiry (21 NY3d 73, 79-80 [2013]).³ Our standard that the misconduct must be "substantial" (or that a juror must be "grossly unqualified"), as well as the procedure we laid out in *People v Buford* (69 NY2d 290 [1987]), are safeguards against tampering with the jury. We have long held that such protection is crucial.⁴

In my view, then, a proper application of CPL 270.35 requires that the Appellate Division evaluate Mr. Kuzdzal's claim under the "substantial misconduct" prong only. (In that regard, it is worth noting that Supreme Court's questioning of Mr. Kuzdzal's friend was principally directed at exhausting the substance of what she knew, not her credibility; the prosecutor's questions were directed at credibility.)

3. The circumstances in *Mejias* are very similar, though not identical, to those present here. In *Mejias*, a juror note stating that "we" wanted to know something suggested that the jury had been discussing the case. The trial court then reminded the jurors they were not to discuss the case until deliberations began, and asked jurors who had "started discussing the evidence" to raise their hands (21 NY3d at 78). None did. Here, at the very end of the day in which the "scumbag" comment allegedly took place, the court admonished the jurors, "Don't discuss the case among yourselves or with anybody else. Make sure you let me know of any attempt by anyone to discuss it with you."

4. "The history of the law,' as was well observed in the case of *O'Brien agt. Merchants' Fire Insurance Company* (38 N. Y. Sup. C. R.), 'discloses a struggle for centuries, to prevent juries from being approached by improper communications;' and I think it is as essential to the important and effective administration of justice, that the opinions and instructions of the court should be openly and publicly imparted, so far as litigants are concerned, as that the deliberations of the jury should be conducted with secrecy and in seclusion. Repeated infractions of this salutary rule, in exceptional instances, varied in accordance with the exigencies of each particular case, would gradually fritter it away, and ultimately effect its complete abrogation. It should be permanent and immutable. If trial by jury is to 'remain inviolate forever,' every safeguard to its sanctity must be jealously upheld" (*Plunkett v Appleton*, 51 How Prac 469, 473 [1876]).

I therefore concur in the judgment.

RIVERA, J. (dissenting). This appeal involves allegations that empaneled jurors made disparaging remarks and acted in a manner that suggested they were “grossly unqualified” to continue serving on defendant Matthew Kuzdzal’s jury, and the trial court should thus have made an inquiry of the jurors to determine if they had to be discharged pursuant to Criminal Procedure Law § 270.35 (1). Law and the record below amply support the Appellate Division’s decision that there was credible information of possible juror bias before the trial court and that the court therefore erred in denying defendant’s motion to inquire of the jurors.

I agree with the majority that there may be situations when a trial court should assess the credibility of allegations of juror misbehavior in deciding whether to conduct the individual juror inquiry necessitated by CPL 270.35 (1) and mandated by *People v Buford* (69 NY2d 290 [1987]). However, I disagree with the majority’s view that if the Appellate Division determines, contrary to the trial court, that the allegations are credible, the Appellate Division—or this Court—could let stand the trial court’s erroneous decision not to inquire after possible juror bias. There is no reading of New York’s Constitution, the CPL, or our case law that would allow a court to permit a potentially grossly unqualified juror to deliberate on a defendant’s guilt or innocence.

I dissent because the majority’s remittal to the Appellate Division is unnecessary, as there is no error by that Court within our authority to correct. Even if I agreed that some error taints the Appellate Division’s decision, I could not join the majority, since its directive is inconsistent with the logic of its own opinion and of the holding below.

I.

At defendant’s trial, between summations and the jury charge, defense counsel approached the bench for an off-the-record conference. The court then called to the stand a trial observer—a lifelong friend of the defendant—who had been in and around the courtroom. The observer testified under oath that she and a friend heard two jurors, whom she specifically identified, refer to the defendant by a derogatory term. The observer further testified that the same two jurors had been laughing and making faces during trial.

After the testimony, defense counsel asked the court to make an inquiry of the jurors. In response, the prosecutor opined that the testimony did not meet the standard necessitating an inquiry and that the court should decide first whether the observer's testimony was credible. The trial judge then stated that, based on what he had heard, "I don't believe that an inquiry of the juror is necessary or appropriate." The court noted defense counsel's objection and called in the jury for final instructions before deliberations.

On appeal, the Appellate Division made two determinations relevant to the trial court's denial of defendant's motion to inquire. First, the Appellate Division found record support of possible juror bias (*see* 144 AD3d 1618, 1621 [4th Dept 2016] ["We respectfully disagree with our dissenting colleagues that the court lacked sufficient credible information indicating the possibility of juror bias"]). Second, the Appellate Division concluded that, based on the observer's testimony, the trial court should have inquired of the jurors to determine whether they were "grossly unqualified" and should have been discharged (*see id.* ["Based on the record before us, we are compelled to conclude that the jurors' alleged reference to defendant as a 'scumbag' indicated the possibility of juror bias, and thus that the court should have granted defendant's request to make an inquiry of the jurors"])).

The Appellate Division's first determination—about the existence of credible information before the court—was a purely factual determination based on its review of the record. Our power to review that determination is strictly limited (*see generally* Arthur Karger, Powers of the New York Court of Appeals §§ 21:6, 21:10 [3d ed rev 2005]). Indeed, if the Appellate Division made its own assessment of the credibility of the witness, it made a purely factual judgment, which we have no power to revise at all (*see People v Albro*, 52 NY2d 619, 624 [1981]; *People v Richardson*, 41 NY2d 886, 887 [1977], citing *People v Conception*, 38 NY2d 211, 213 [1975]).¹

The second determination—that the observer's testimony met the standard for requiring an inquiry of the jurors—was clearly a decision on a question of law. The Appellate Division

1. If the Appellate Division's factual determination reversed an underlying trial court factual determination, and that factual determination was the basis of the Appellate Division's judgment, then not only may we not review that determination, but the appeal itself would not lie and should therefore be dismissed (*see* Karger § 21:10).

held that it believed the alleged jurors' conduct rose to the level that would require an inquiry of the jurors by the court to ensure compliance with CPL 270.35 (1). I agree.

A defendant's right to trial by an impartial jury is guaranteed by our Constitution and the CPL (*see* NY Const, art I, § 2; CPL 270.35 [1]; *People v Spencer*, 29 NY3d 302, 309 [2017] [observing that "(t)he constitutional right of a criminal defendant to a fair trial includes . . . the right to an impartial jury" and noting the "several safeguards in place to protect that right," including CPL 270.35 (internal quotation marks and citations omitted)]). CPL 270.35 (1) provides that, "[i]f at any time after the trial jury has been sworn and before the rendition of its verdict . . . the court finds . . . that a juror is grossly unqualified to serve . . . or has engaged in misconduct of a substantial nature . . . the court must discharge such juror." In *Buford* the Court adopted a procedure to assess whether a juror must be disqualified in accordance with this provision, intending "to create a framework by which trial courts could evaluate sworn jurors who, for some reason during the trial, may 'posses[] a state of mind which would prevent the rendering of an impartial verdict' " (*People v Mejias*, 21 NY3d 73, 79 [2013], quoting *Buford*, 69 NY2d at 298). Under that framework,

"the trial court must question each allegedly unqualified juror individually in camera in the presence of the attorneys and defendant. Counsel should be permitted to participate if they desire. In a probing and tactful inquiry, the court should evaluate the nature of what the juror has seen, heard, or has acquired knowledge of, and assess its importance and its bearing on the case. In this context, the court should carefully consider the juror's answers and demeanor to ascertain whether [the juror's] state of mind will affect [the juror's] deliberations" (*Buford*, 69 NY2d at 299).

Another essential part of this framework is the creation of a record of the trial court's decision and underlying reasoning (*see id.* ["The trial court's reasons for its ruling should be placed on the record"]).

Allegations that two jurors referred to the defendant by the derogatory term "scumbag" and laughed and made gestures during trial raised the possibility that they were no longer impartial or had become close-minded, and thus were unable to properly fulfill their role as unbiased finders of fact (*see*

Spencer, 29 NY3d at 304 [observing that where a juror is clearly “unable to render an impartial verdict based solely on the evidence and the law” the juror should be discharged under CPL 270.35 (1)]). The trial court was therefore obligated to conduct an inquiry of these jurors to determine whether they were in fact “grossly unqualified” and so should have been discharged. It is uncontested that no such inquiry occurred, and, as the Appellate Division concluded, without such inquiry the fairness of the conviction remains in doubt (144 AD3d at 1621 [(“It might have been that removal of the juror(s) would have been unnecessary if a specific inquiry had been made by the court or counsel, but in the absence of such an inquiry, we cannot be certain that the defendant was fairly convicted” (quoting *People v Ventura*, 113 AD3d 443, 446 [1st Dept 2014]))]. The Appellate Division therefore properly reversed the trial court and ordered a new trial.

II.

The majority misreads the Appellate Division decision and so now unnecessarily remits to that court “to consider and determine whether the trial court’s credibility finding was supported by the weight of the evidence” (majority op at 486-487). It is not clear what error the Appellate Division actually committed, though, or what effect, if any, the ordered reconsideration will have on its disposition of the case. Moreover, the “weight of the evidence” standard adopted by the majority is referenced without citation or explanation as to its applicability to an assessment of a sworn juror’s qualifications.

A.

As the majority expressly confirms, it holds that the Appellate Division did not make any judgment about the trial court’s credibility determination, or reach its own independent determination as to the import of the allegations. This conclusion is hard to square with the text, structure, and holding of the Appellate Division’s decision. As quoted above, the Appellate Division opinion includes language that shows it considered the allegations of the observer, and found that they “indicated the possibility of juror bias,” which required that the trial judge make an inquiry of the jurors (144 AD3d at 1621). Indeed, the entire organization of the Appellate Division writing is predicated on it having assessed the record before it and concluded that the allegations warranted the inquiry.

Read in context, moreover, it is clear that the Appellate Division majority was responding to the dissent, which argued that “[t]he record fully supports th[e trial court’s] determination” that the “spectator’s testimony was not sufficiently credible” (144 AD3d at 1624 [Smith, J.P., and Peradotto, J., dissenting]). The Appellate Division majority considered this claim and rejected it, concluding that, contrary to the dissent’s assertion, there was “sufficient credible information [before the trial court] indicating the possibility of juror bias” (144 AD3d at 1621). The only possible source in the record for that “credible information” was the testimony of the observer. The holding of the Appellate Division would be incomprehensible if that Court had not determined that the observer’s allegations were credible enough to support an inquiry.

The majority also misconstrues the meaning of the Appellate Division’s characterization of the trial court’s ruling as “conclusory” (*id.*). This statement is a response to the dissent’s contention that the trial court’s reasoning is obvious from the record (*see* 144 AD3d at 1624 [Smith, J.P., and Peradotto, J., dissenting]). The Appellate Division majority was clarifying that, without an explanation—as required by *Buford*—the basis of the trial court’s denial of defendant’s motion remains unclear. That assessment is wholly correct. It could be the case that the trial court concluded that the observer was not believable, as the dissent argued, or that what the observer alleged, even if believable, simply did not raise the possibility that the jurors were “grossly unqualified.” However, since “the court did not explain on the record its reasons for denying defendant’s request,” the Appellate Division could not conclude which logic path the trial court followed (144 AD3d at 1621). The trial court’s ruling was thus “conclusory and, contrary to the People’s contention, did not constitute an implied determination that the observer’s testimony was incredible” (*id.*). In the context of the opinion, it is clear that the Appellate Division did not hold that “the trial court made no findings . . . as to the spectator’s credibility” (majority op at 482). Rather, the Appellate Division held that it is not logically correct to claim, as the dissent asserted, that because the trial court rejected defendant’s request for an inquiry of the jurors, it necessarily did so upon a finding that the observer was not believable.

B.

Even accepting the majority’s interpretation of the case, its decision to remit is inexplicable. Assuming that, as the major-

ity argues, the Appellate Division failed to review the trial court's findings of fact, there is nevertheless no question that the Appellate Division concluded there was sufficient credible information before the trial court to require a *Buford* inquiry. The majority does not appear to disagree with the Appellate Division that the allegations here, if true, would meet that standard.² If the majority did disagree, it could simply reverse the Appellate Division outright without remitting. However, by remitting the case, the majority today implicitly endorses the Appellate Division's conclusion of law—its second determination—that the alleged conduct required the court to conduct an inquiry of the jurors.

What the majority intends the Appellate Division to do differently when it receives this case on remand is unclear. The

2. The concurrence, by contrast, observes explicitly that “[n]othing about Mr. Kuzdzal’s friend’s observation raises any inference that a juror was biased or grossly unqualified to serve,” and asserts that the alleged behavior, at most, reflects “that two jurors engaged in premature deliberations” (concurring op at 491). This begs the question. From the cold record, we simply cannot know whether the jurors’ statements and actions betrayed bias, close-mindedness, or (as the concurrence assumes) premature deliberation. It is for this very reason that our case law requires judges to investigate allegations that implicate the impartiality of the jury, to determine whether jurors are competent to continue their service. This is true regardless of whether the allegations suggest that a juror is “grossly unqualified to serve” or “engaged in substantial misconduct,” whether those two prongs are truly distinct or not.

In any case, this Court has never held that a trial court may simply ignore a juror’s premature deliberation, only that “[p]remature deliberation . . . , by itself, does not render a juror grossly unqualified” (*Mejias*, 21 NY3d at 79). To the contrary, *Mejias* held that a trial court faced with even equivocal evidence of possible premature deliberations “did what was warranted; namely, it issued an additional instruction to the jurors reminding them that they were not to deliberate prior to being charged” (*id.*). There may be cases where premature deliberation requires a different response by the trial court. Or premature deliberation, in combination with other conduct, might be evidence that jurors are grossly unqualified, insofar as the prematurely deliberating jurors have shown themselves unable to follow instructions from the court, or because the premature deliberations might lead to their becoming close-minded, and so require their discharge from the jury. “[E]ach case must be evaluated on its unique facts to determine whether a particular juror must be disqualified under CPL 270.35” (*Buford*, 69 NY2d at 299). What remains constant is the court’s adherence to the procedural safeguards of Criminal Procedure Law article 270, which exist to ensure a defendant’s constitutional right to a fair and impartial jury, and require a trial court’s effective response to potential juror partiality, bias, and prejudice, in all its forms. That is the case here because calling a defendant a “scumbag” is not merely a sign of possible unsanctioned deliberation but a formed opinion about the defendant’s character that may taint the jurors’ factual assessment of defendant’s guilt.

Court has already opined that credible grounds exist to require the trial court to conduct a *Buford* inquiry. Presumably, regardless of how it assesses the trial court's credibility determination, it will not depart from its prior judgment on remand since it will have before it the very same record it used to make its first determination.

The majority suggests that the trial court might have "discretion" to forgo an individual inquiry even if it found the observer's allegations credible (*see* majority op at 487). As I discuss below (*see infra* part IV), this is mistaken, but, in any case, here the Appellate Division has already held as a matter of law that the observer's allegations rose to the level of requiring an individual inquiry. Even if the trial court had "discretion" to conduct an inquiry—which I dispute—then the Appellate Division has already implicitly held that it would be an abuse of discretion not to conduct one here, based on the allegations. The majority does not challenge this conclusion, and it is not clear from the majority's opinion what error the Appellate Division made that would make any difference to the outcome of this case.

III.

At the heart of the majority's opinion is an interpretation of the case record. The majority reads the trial transcript and concludes that "the trial court made an implied credibility finding that the [observer] was not worthy of belief" (majority op at 480). Our Court sits as a court of law; this conclusion, then, must itself be a decision on the law. To that extent, we have the power to review the record for legal sufficiency, in order to determine that the trial court's action was, in fact, a credibility judgment. This, however, is where our analysis must end. Once we have read the record and found that the trial court did make a credibility determination, we may not evaluate that determination itself or otherwise assess the evidence on which it was based.

The majority today goes further, though. Part of the evidence the majority opinion relies on for concluding that the trial court made a credibility determination is that "the spectator's testimony was inconsistent" (majority op at 481). In other words, the majority today uses the fact that the observer *was* inconsistent as evidence for the proposition that the trial judge made an implicit credibility determination. Yet, it is not for us to opine on whether the observer was inconsistent or not. Our

Court does not generally have the power to make findings of fact (Karger § 1:3). In a civil case, where the trial court makes one factual finding, and the Appellate Division evaluates and rejects it in favor of another, our Court may properly review the competing factual findings to determine which of the two better comports with the weight of the evidence (*see e.g. Dryden Mut. Ins. Co. v Goessl*, 27 NY3d 1050 [2016]). We have no such power in criminal cases, though (*see* Karger §§ 21:6, 21:10), and in any case the majority here plainly finds that the Appellate Division did not assess the trial court's factual findings at all. Under the circumstances, the majority's statements must be dicta.

IV.

To the extent that the majority is expounding on the procedure a court should follow to determine whether a juror must be discharged, I agree that in some situations a trial judge must first assess the credibility of the allegations that a juror may be "grossly unqualified" before proceeding to an inquiry of the juror. This is plainly congruent with New York precedent, which recognizes that, depending on the allegations and facts presented to a trial court, an inquiry of the juror may not be necessary (*cf. Buford*, 69 NY2d at 299 and n 4 [allowing an exception to the presumption that the "trial court must question each allegedly unqualified juror individually in camera in the presence of the attorneys and defendant" "in the unusual case involving an obviously trivial matter where the court, the attorneys, and defendant all agree that there is no possibility that the juror's impartiality could be affected"]; *Mejias*, 21 NY3d at 79-80 [affirming a court's decision to issue an instruction to the whole jury instead of question individual jurors where "there (was) no indication from the (allegations) that the . . . impartiality (of the jurors) was in doubt or that the juror(s) had committed any misconduct"]; *People v Matiash*, 197 AD2d 794, 796 [3d Dept 1993] [affirming a trial court's decision not to interrogate jurors individually where, after interrogating a witness who alleged he had overheard juror misconduct, the court concluded that the alleged behavior, even if it had actually occurred, was "essentially innocuous"]).

Such assessment should be limited, however. Faced with allegations that a juror is potentially grossly unqualified, a trial judge might need to assess the credibility of the person making those allegations, whether the source is another juror, court

personnel, or an observer—for example, where the alleged conduct occurred in open court and yet neither the trial judge nor attorneys can confirm the allegations. An investigation could assess two different kinds of credibility. A court might need to determine whether the allegations of juror misconduct are *truthful*—that is, whether the person making the allegations is being truthful. A court might also need to determine whether the allegations are *accurate*—that is, whether the observer has simply made a mistake, for example, where the complainant has poor eyesight and the allegation is based on what was seen, or the complainant misheard a comment and the allegation is based on what was said.

Evaluating credibility in these two ways is not the only salutary effect of a trial judge’s assessment of allegations of juror misconduct. Through this process, a judge may determine not only whether an inquiry of jurors is necessary, but also what the bounds of that inquiry should be, how to make that inquiry “probing and tactful” as required by *Buford* (69 NY2d at 299), as well as whether the alleged misconduct can be resolved through other means, such as a curative instruction to the jury as a whole (*see Mejias*, 21 NY3d at 80).

The majority’s opinion today is deficient in the guidance it offers on how to conduct this assessment in two respects. First, the majority suggests that, even after a trial court has determined allegations of juror misconduct to be credible and that those allegations suggest the possibility that a juror is grossly unqualified, the court might still have discretion not to conduct a further inquiry or discharge a juror (*see* majority op at 487). The Criminal Procedure Law is unambiguous, however, that if a juror is “grossly unqualified,” the trial court “*must* discharge such juror” (CPL 270.35 [1] [emphasis added]). The decision about whether to discharge a juror, then, and so whether to conduct a further inquiry to determine whether such juror must be discharged, is not discretionary at all, but mandated by statute (*Buford*, 69 NY2d at 297-298 [discussing the “statutory scheme” that requires “the court *must* discharge (grossly unqualified) juror(s)”; *Mejias*, 21 NY3d at 79 [observing that *Buford* “create(d) a framework by which trial courts . . . evaluate sworn jurors” to determine whether they must be discharged pursuant to the statutory mandate of CPL 270.35 (1)]).

Second, the majority characterizes the creation of a record of the trial court’s reasoning as merely a “best practice to enhance

appellate review” (majority op at 487). In my view an express record of a trial court’s reasons for whether to inquire of a juror is required by both the language and logic of *Buford*. Our Constitution and the Criminal Procedure Law provide for appellate review of the trial court’s legal decision (*see* NY Const, art VI, § 3 [b]; CPL 470.35). Meaningful and effective review is only possible, however, with the benefit of a complete record, especially since appellate courts will rightly defer to trial court findings of fact and credibility (*see e.g. Matter of Jamal V.*, 159 AD2d 507, 508 [2d Dept 1990] [where a “case was tried before a court without a jury . . . the greatest respect must be accorded the determination of the hearing court in assessing the credibility of witnesses and resolving disputed questions of fact” (citations omitted)]). For those reasons, the Court has long held that, when it comes to decisions about removing jurors pursuant to CPL 270.35 (1), “[t]he trial court’s reasons for its ruling should be placed on the record” (*Buford*, 69 NY2d at 299). That logic applies with even more force to credibility determinations, which often depend on visual observations and cues that are not obvious from a cold transcript (*cf. People v Romero*, 7 NY3d 633, 645 [2006] [observing that “the memory, motive, mental capacity, accuracy of observation and statement, truthfulness and other tests of the reliability of witnesses can be passed upon with greater safety by those who see and hear than by those who simply read the printed narrative” (brackets omitted)]). Without citation or reason, the majority has defanged *Buford*, and discouraged the type of clarity of analysis necessary for appellate review.

V.

Although a trial court may conduct an assessment of an observer’s allegations before proceeding to the “probing and tactful” inquiry our case law requires, I do not think the majority’s rule is well crafted, and do not think it has been properly applied to this case. The majority today remits on the basis of a misreading of the Appellate Division decision. The conclusion it asks that Court to draw on remand, it has, in fact, already reached. Accordingly, I dissent.

Chief Judge DiFIORE and Judges STEIN, GARCIA, WILSON and FEINMAN concur; Judge WILSON in a concurring opinion; Judge RIVERA dissents and votes to affirm in an opinion; Judge FAHEY taking no part.

Order reversed and case remitted to the Appellate Division, Fourth Department, for consideration of the facts (CPL 470.25 [2] [d]; 470.40 [2]) and issues raised but not determined on appeal to that Court.

[105 NE3d 1238, 80 NYS3d 658]

THE PEOPLE OF THE STATE OF NEW YORK, Respondent, v AKEEM
WALLACE, Appellant.

Argued March 28, 2018; decided May 8, 2018

SUMMARY

APPEAL, by permission of a Justice of the Appellate Division of the Supreme Court in the Fourth Judicial Department, from an order of that Court, entered February 10, 2017. The Appellate Division affirmed a judgment of the Supreme Court, Erie County (Christopher J. Burns, J.), which had convicted defendant, after a nonjury trial, of criminal possession of a weapon in the second degree.

People v Wallace, 147 AD3d 1494, affirmed.

HEADNOTE

Crimes — Possession of Weapon — “Place of Business Exception”

The “place of business” exception to Penal Law § 265.03 (3), which provides that possession of a loaded firearm in a person’s place of business does not constitute criminal possession of a weapon in the second degree, applies only when such person is a merchant, storekeeper, or principal operator of a like establishment. Recognizing that possession of a loaded firearm to protect the persons or property in one’s home or place of business is less reprehensible than possession for other purposes, the legislature has classified such possession as a misdemeanor and possession outside the home or place of business as a felony. Thus, possession of an unlicensed firearm under the exception does not render criminal conduct legal, but only serves to reduce the level of offense. The subject of firearm possession, along with the “place of business” language, is not exclusive to section 265.03, but can also be found in its counterpart, Penal Law § 400.00—the licensing statute. Under Penal Law § 400.00, subject to qualifications, “[a] license for a pistol or revolver . . . shall be issued to . . . have and possess in [one’s] place of business by a merchant or storekeeper” (Penal Law § 400.00 [2] [b]). Construing Penal Law §§ 265.03 and 400.00 together, the “merchant or storekeeper” qualifier for the “place of business” phrase in the licensing statute must be equally applied to the exception in Penal Law § 265.03 (3). Accordingly, the “place of business” exception did not apply to defendant, who was working as a “swing manager”—a newer manager who had not been trained as an assistant manager—at a fast-food chain restaurant when he accidentally shot himself in the leg inside the restaurant and was charged with criminal possession of a weapon in the second degree. Although defendant was a “swing” manager, he was not the principal operator of the restaurant when he possessed the loaded firearm in the establishment.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Weapons and Firearms §§ 10, 29.

McKINNEY'S, Penal Law §§ 265.03 (3); 400.00 (2) (b).

NY JUR 2d Criminal Law: Substantive Principles and Offenses §§ 1841, 1846, 1848.

ANNOTATION REFERENCE

Scope and effect of exception, in statute forbidding carrying of weapons, as to person on his own premises or at his place of business. 57 ALR3d 938.

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Query: possession /4 weapon /4 second & "place of business" /2 exception

POINTS OF COUNSEL

David C. Schopp, The Legal Aid Bureau of Buffalo, Inc., Buffalo (*Robert L. Kemp* and *Timothy P. Murphy* of counsel), for appellant. Appellant was deprived of due process of law as guaranteed by the United States Constitution and New York Constitution, article I, § 6, as a result of his conviction of criminal possession of a weapon in the second degree upon insufficient evidence, whereby the trial court erroneously ruled that the "place of business" exception within Penal Law § 265.03 (3) did not apply. (*People v Contes*, 60 NY2d 620; *People v Gray*, 86 NY2d 10; *District of Columbia v Heller*, 554 US 570; *McDonald v Chicago*, 561 US 742; *Kachalsky v County of Westchester*, 701 F3d 81; *New York State Rifle & Pistol Assn., Inc. v Cuomo*, 804 F3d 242; *United States v Masciandaro*, 638 F3d 458; *People v Powell*, 54 NY2d 524; *People v Santana*, 77 Misc 2d 414; *People v Francis*, 45 AD2d 431.)

John J. Flynn, District Attorney, Buffalo (*Daniel J. Punch* and *Donna A. Milling* of counsel), for respondent. The lower courts properly found that defendant's possession of an illegal firearm did not fall within the "place of business" exception to Penal Law § 265.03 (3). (*People v Gray*, 86 NY2d 10; *People v Finch*, 23 NY3d 408; *People v Floyd J.*, 61 NY2d 895; *People v Francis*, 45 AD2d 431, 38 NY2d 150; *Friedman v Connecticut Gen. Life Ins. Co.*, 9 NY3d 105; *People v Fearon*, 58 AD2d 1041; *People v Moore*, 32 NY2d 67; *People v Buckmire*, 237 AD2d 151, 90 NY2d 902; *People v Maniscalco*, 198 AD2d 378, 82 NY2d 927; *People v Rodriguez*, 113 AD2d 337, 68 NY2d 674.)

OPINION OF THE COURT

FEINMAN, J.

The question presented on this appeal is whether the “place of business” exception to Penal Law § 265.03 (3) applies to an employee who possessed an unlicensed firearm at work. Defendant contends that “place of business” simply means one’s place of employment, and therefore the exception applies. We read the exception to narrowly encompass a person’s “place of business,” when such person is a merchant, storekeeper, or principal operator of a like establishment.

I.

On June 9, 2013, defendant was working as a “swing manager”—a newer manager who has not been trained as an assistant manager—at a McDonald’s restaurant in Buffalo, New York. At approximately 6:00 p.m., defendant was seated at a table in the lobby area of the restaurant, conversing with other employees and his cousin. When defendant stood up from the table to leave, a gun in the pocket of his pants fired, causing an injury to the lower part of his right leg. Defendant headed to the back of the restaurant, followed by his cousin, where he attempted to clean the blood off his leg. When another employee called 911, defendant ordered her to hang up; defendant then handed the gun to his cousin, who left through the back door of the establishment.

Police, responding to a “shots fired” call, proceeded to the scene, but were initially told by customers and employees that no shooting had occurred. After leaving, police received a dispatch that an individual with a gunshot wound had been admitted to a hospital a few blocks from the McDonald’s. One officer then returned to the restaurant and questioned an employee, who admitted that defendant had shot himself in the leg. Around this time, another officer proceeded to the hospital, where he found defendant, still in his McDonald’s uniform, being treated for a gunshot wound to his lower right leg. Defendant explained to the officer that he had been shot by an unknown individual at a nearby bus shelter. After the officer’s investigation at that location revealed no evidence of a shooting, the officer returned to the McDonald’s and discovered blood droplets, a shell casing, and bloody towels in the back of the establishment. The police then arrested defendant and charged him with criminal possession of a weapon in the second degree in violation of Penal Law § 265.03, a class C violent felony.

In a pretrial omnibus motion, defendant moved to inspect the grand jury minutes and dismiss the indictment “or [to] reduce the charges to a misdemeanor,” arguing that because he possessed the firearm at his workplace, the “place of business” exception to Penal Law § 265.03 (3) applies. Supreme Court denied defendant’s motion. Defendant waived his right to a jury trial, and was convicted after a bench trial.

The Appellate Division affirmed the judgment of conviction, holding that

“[a]lthough the ‘place of business’ exception is not statutorily defined, it has been construed narrowly by the courts in an effort to balance the State’s strong policy to severely restrict possession of any firearm . . . with its policy to treat with leniency persons attempting to protect certain areas in which they have a possessory interest and to which members of the public have limited access” (*People v Wallace*, 147 AD3d 1494, 1494 [4th Dept 2017] [internal quotation marks and citations omitted]).

The dissenter opined that because defendant possessed the weapon at his “place of business,” the evidence was legally insufficient to establish that defendant violated Penal Law § 265.03 (3) (*id.* at 1495). The dissent reasoned that “the statute [was] clear and unambiguous on its face . . . [and] if the legislature had wanted to limit the places of business to which the exception of section 265.03 (3) applies, it could easily have done so” (*id.*). The dissenting Justice granted defendant leave to appeal to this Court (2017 NY Slip Op 97796[U] [2017]).

II.

Penal Law § 265.03 (3) provides that “[a] person is guilty of criminal possession of a weapon in the second degree when . . . such person possesses any loaded firearm.” “Such possession shall not, except as provided in subdivision one or seven of section 265.02 of this article, constitute a violation of this subdivision if such possession takes place in *such person’s home or place of business*” (Penal Law § 265.03 [3] [emphasis added]). Recognizing that “possession of a loaded firearm to protect the persons or property in one’s home or place of business is less reprehensible than possession for other purposes” (*People v Powell*, 54 NY2d 524, 526 [1981] [citations omitted]), the legislature has classified such possession as a misdemeanor and possession outside the home or place of business as a

felony. Thus, possession of an unlicensed firearm under the exception does not render criminal conduct legal, but only serves to reduce the level of offense.

Defendant argues that the “place of business” exception encompasses any place where a person earns their livelihood. The People contend that the use of the possessive pronoun implies ownership over the “place of business.” As “place of business” is undefined within the Penal Law (*see* Penal Law § 265.00), this Court must interpret its meaning within the exception.

“When presented with a question of statutory interpretation, our primary consideration is to ascertain and give effect to the intention of the Legislature” (*Yatauro v Mangano*, 17 NY3d 420, 426 [2011] [internal quotation marks and citations omitted]). “Generally, inquiry must be made of the spirit and purpose of the legislation, which requires examination of the statutory context of the provision as well as its legislative history” (*Matter of Sutka v Connors*, 73 NY2d 395, 403 [1989]; *see Ferres v City of New Rochelle*, 68 NY2d 446, 451 [1986]). In “construing provisions . . . qualified by an exception, we usually read the exception narrowly in order to preserve the primary operation of the provision” (*Commissioner v Clark*, 489 US 726, 739 [1989]; *see generally Gregory v Ashcroft*, 501 US 452 [1991]; *People v Rivera*, 25 NY3d 256, 263 [2015]), with a mind towards results that do not lead to unreasonableness or absurdity (*see People v Pabon*, 28 NY3d 147, 156 [2016]; *People v Garson*, 6 NY3d 604, 614 [2006]; *see also People v Ryan*, 274 NY 149, 152 [1937]; *People ex rel. Wood v Lacombe*, 99 NY 43 [1885]; McKinney’s Cons Laws of NY, Book 1, Statutes §§ 95, 97, 143, 145).

Understanding that “[t]he intention of the Legislature [may] first . . . be sought from . . . *all the statutes relating to the same general subject-matter*” (McKinney’s Cons Laws of NY, Book 1, Statutes § 92 [b], Comment [emphasis added]; *see Betz v Horr*, 276 NY 83 [1937]), it is notable that the subject of firearm possession, along with the “place of business” language, is not exclusive to section 265.03, but can also be found in its counterpart, Penal Law § 400.00—the licensing statute. Under Penal Law § 400.00, subject to qualifications, “[a] license for a pistol or revolver . . . shall be issued to . . . have and possess in [one’s] *place of business by a merchant or storekeeper*” (Penal Law § 400.00 [2] [b] [emphasis added]). As

“[o]ne part of an act of the legislature may be

referred to in aid of the interpretation of other parts of the same act[,] . . . in [the] case of doubt or uncertainty, acts *in pari materia* . . . may be referred to in order to discern the intent of the legislature in the *use of particular terms*" (*Smith v People*, 47 NY 330, 339 [1872] [emphasis added]; *see also* McKinney's Cons Laws of NY, Book 1, Statutes § 221 [b]).

"These principles of statutory construction assume particular significance where . . . the Legislature has spoken to an *issue simultaneously in separate laws* . . . and has *repeatedly adopted and amended pertinent provisions piecemeal throughout decades*" (*Sutka v Conners*, 73 NY2d at 403-404 [emphasis added]; *Seligman v Friedlander*, 199 NY 373, 376 [1910]; *Morgan v Hedstrom*, 164 NY 224 [1900]).

III.

Penal Law §§ 265.03 and 400.00 trace their origins to the same ancestor statute, Penal Law § 1897, as amended in 1909 (L 1909, ch 88). In 1913, the "merchant or storekeeper" and "place of business" language that is substantially recognizable in today's licensing statute was first introduced through an amendment to section 1897 (L 1913, ch 608, § 1). Exactly 50 years later, in 1963, the Penal Law received a major overhaul, "introduced on behalf of the Joint Legislative Committee on Firearms and Ammunition" (the Committee), in an effort to standardize its provisions (L 1963, ch 136, § 1 n *). That year, the licensing language was completely moved to Penal Law § 1903 (L 1963, ch 136, § 8; *see* 1963 McKinney's Session Laws of NY at 155). In 1964, subdivision (2) of section 1897, criminalizing possession of a loaded firearm, implemented the "place of business" exception language now found in Penal Law § 265.03 (3) (L 1964, ch 521, § 1; *see* 1964 McKinney's Session Laws of NY Penal Law at 791).

Prior to the 1963 and 1964 amendments, the Committee generated two reports discussing the purpose and intent of such legislation. As the Committee made clear in its 1962 report, the new act was created specifically to standardize this State's "scattered," "inconsistent or flatly contradictory" provisions on licensing and criminal use of weapons (1962 NY Legis Doc No. 29 at 16-18). In 1964, the year the "place of business" exception was first introduced, the Committee substantively reviewed the new statute "with special emphasis on *stricter*

control of guns” (1964 NY Legis Doc No. 12 at 7 [emphasis added]). The Committee focused on New York’s prohibition on carrying firearms in public places (*id.* at 10-12), while highlighting this State’s strict licensing scheme—requiring a license to possess a firearm in “one’s place of business” to protect “person or property” (*id.* at 12, 14-15 [emphasis added]).

The Committee’s use of the possessive pronoun to reference “place of business” (as used in Penal Law § 400.00 [2] [b]), akin to the construction employed by Penal Law § 265.03 (3) (“such *person’s* . . . place of business” [emphasis added]), demonstrates that, consistent with the legislative effort to standardize this act, “place of business” was meant to be a uniform phrase in these sections of the Penal Law (see *Matter of Dutchess County Dept. of Social Servs. v Day*, 96 NY2d 149, 153 [2001] [(c)ourts must harmonize the various provisions of related statutes and . . . construe them in a way that renders them internally compatible” (internal quotation marks and citation omitted)]; *Yatauro v Mangano*, 17 NY3d at 427). As “words, absolute of themselves, and language the most broad and comprehensive, may be *qualified and restricted* by reference to other parts of the same [act] in which they are used” (see *Smith v People*, 47 NY at 337), the antecedent licensing language from section 1897, containing the *merchant or storekeeper* designation, cannot be dismissed as superfluous. Therefore, construing Penal Law §§ 265.03 and 400.00 together, the “merchant or storekeeper” qualifier for the “place of business” phrase in the licensing statute, must be equally applied to the exception in Penal Law § 265.03 (3) (see *Matter of Plato’s Cave Corp. v State Liq. Auth.*, 68 NY2d 791, 793 [1986] [“statutes which relate to the same or to cognate subjects are in *pari materia* and to be construed together”]; *Matter of Seaman*, 78 NY2d 451, 458 [1991]; McKinney’s Cons Laws of NY, Book 1, Statutes §§ 192, 221, 222, 223).

Still, over a century has passed since the merchant or storekeeper terminology was first introduced to the statute (L 1913, ch 608, § 1) and the modern reader may not interpret this language as intended by the legislature. Because dictionary definitions serve as “useful guideposts” in determining a word’s “‘ordinary’ and ‘commonly understood’ meaning” (*People v Ocasio*, 28 NY3d 178, 181 [2016]), we use the ordinary dictionary definitions of merchant and storekeeper, as “the operator of a retail business” (Merriam-Webster’s Collegiate Dictionary 776 [11th ed 2004]) or “one that operates a retail store” (Merriam-

Webster's Collegiate Dictionary 1230 [11th ed 2004]) to interpret the exception. Consequently, for purposes of Penal Law § 265.03 (3), the exception encompasses a person's "place of business," when such person is a merchant, storekeeper, or principal operator of a like establishment.

This interpretation is decidedly narrow. The exception applies to those individuals that would qualify for a license to possess a firearm at their "place of business" under Penal Law § 400.00, reducing the level of offense for a mere technical violation. It does not, as defendant suggests, extend to every employee who chooses to carry a weapon to and from work, engaging in felonious behavior and endangering the public on their daily commute. Such a construction would swallow the rule and be in contravention of New York's legislative scheme of strict gun control. Rather, our interpretation gives the benefit of the exception to the individuals contemplated by the legislature: the merchant, storekeeper, or principal operator of a business—those persons who have a greater interest in protection of their premises, principal control over said premises, and a strong tie to the continued safety and security of their establishment and the goods and services they offer.*

Although defendant was a "swing" manager, he was not the principal operator of the McDonald's when he possessed the loaded firearm in the establishment. Thus, the "place of business" exception to Penal Law § 265.03 (3) is inapplicable. Accordingly, the order of the Appellate Division should be affirmed.

STEIN, J. (concurring in result). I agree with the majority's conclusion that Penal Law § 265.03 (3) should be construed together with Penal Law § 400.00. I also agree that the exemption in Penal Law § 265.03 (3) for possession of a loaded firearm in one's home or place of business should be read "narrowly [to] encompass a person's 'place of business,' when such person is a merchant, storekeeper, or principal operator of a like establishment" (majority op at 505). However, because the majority fails to specifically analyze the statutory language of

* We do not interpret the exception as narrowly as the concurrence. As recognized by the concurrence (concurring op at 511-513), the individuals that control the day-to-day operations of a business are not always the ones that have the greatest ownership interest, or any ownership interest, in the business itself. Excluding such individuals under the exception is incongruous with our understanding that they may be covered under the licensing statute.

Penal Law § 265.03 (3), itself, and gives little guidance as to the meaning of “merchant, storekeeper, or principal operator” in this context (majority op at 505), I write separately to set forth my interpretation of section 265.03 (3) and my understanding of the legislative intent behind the statute.

Penal Law § 265.03 (3) provides, as relevant here, that it is a felony offense to possess a loaded firearm unless “such possession takes place in such person’s home or place of business.” This exemption does not legalize the unlicensed possession of a loaded firearm in one’s home or place of business, but it may mitigate the severity of the offense. Focusing on the statutory text that we are asked to interpret on this appeal, the plain language of Penal Law § 265.03 (3) strongly suggests that the legislature intended the home or place of business exemption to apply to a limited set of circumstances. That the legislature chose the phrase “place of business,” rather than “place of employment” or “place of work” is meaningful (*see People v Golo*, 26 NY3d 358, 361 [2015]). Further, the use of a possessive pronoun, combined with the adoption of the place of business exemption in conjunction with an exemption for possession in one’s “home”—an exception that is, itself, intended to allow for the defense of one’s life and property in a place in which an individual has a significant proprietary or possessory interest—signals that the place of business exemption is intended to apply only where a person has a clear and substantial interest in the business beyond that of an employee.

Consistent with the statutory language, the Appellate Division Departments have generally interpreted the exemption “narrowly . . . in an effort to balance ‘the State’s strong policy to severely restrict possession of any firearm,’ with its policy to treat with leniency persons attempting to protect certain areas in which they have a possessory interest and to which members of the public have limited access” (*People v Buckmire*, 237 AD2d 151, 151 [1st Dept 1997] [citations omitted], *lv denied* 90 NY2d 902 [1997], quoting *People v Maniscalco*, 198 AD2d 378, 378-379 [2d Dept 1993], *lv denied* 82 NY2d 927 [1994]; *see also People v Khudadzade*, 156 AD2d 384, 384-385 [2d Dept 1989], *lv denied* 75 NY2d 814 [1990]; *People v Fearon*, 58 AD2d 1041, 1041 [4th Dept 1977], *cert denied* 434 US 1036 [1978]). Courts have explained that “the statute is designed to limit the use of guns, ever mindful of the fact that ‘concealed weapons present an immediate and real danger to the public’ ” (*People v Francis*, 45 AD2d 431, 435 [2d Dept 1974], *affd on other grounds* 38

NY2d 150 [1975], quoting *People v Moore*, 32 NY2d 67, 72 [1973]). Accordingly, courts have reasoned that the legislature did not intend to “condone the act of countless numbers of employees of large corporations and governmental agencies in carrying illegal, concealed, operable guns at their places of employment, subject only to a charge of a misdemeanor rather than a felony” (*Francis*, 45 AD2d at 435). In other words, “[t]o permit large numbers of persons to be subjected only to a misdemeanor for the illegal carrying of weapons would certainly controvert the meaning and intent of the statute” (*Fearon*, 58 AD2d at 1041). Thus, the “place of business” exception has been held to be inapplicable where an employee has no possessory or proprietary interest in the business where that person happens to work (see *Buckmire*, 237 AD2d at 152; *People v Cross*, 174 AD2d 313, 314 [1st Dept 1991], *lv denied* 78 NY2d 964 [1991]).

In my view, this interpretation is consistent with the rule adopted by the majority today insofar as, in most instances, only an individual who has a substantial possessory, proprietary, or equally significant interest in the business, itself, will qualify as a “merchant, storekeeper, or principal operator of a like establishment” (majority op at 505) with respect to such individual’s “place of business” (Penal Law §§ 265.03 [3]; 400.00 [2] [b]). I disagree with the majority’s unsupported conjecture that this reading of the Penal Law § 265.03 (3)—which largely excludes individuals who control the day-to-day operations of a business, but lack a proprietary or possessory ownership—is “incongruous” with the licensing statute (majority op at 510 n). The provision of the licensing statute addressed by the majority authorizes the issuance of a license to an individual to “have and possess in *his [or her] place of business* by a merchant or storekeeper”—i.e., a proprietor (Penal Law § 400.00 [2] [b] [emphasis added]).¹ However, other provisions of the licensing statute separately authorize the issuance of a firearm license to “have and carry concealed” to individuals who are “*so employed*” in specific professions (Penal Law § 400.00 [2] [c], [e] [emphasis added]). Thus, the plain language of the licensing statute differentiates between merchants and storekeepers

1. To be sure, the dictionary definitions of “merchant” and “storekeeper” provide some support for the majority’s interpretation insofar as those definitions do not unambiguously limit such terms to those with possessory or proprietary interests. However, the majority’s interpretation fails to ascribe any meaning to the language “his [or her] place of business” in the licensing statute and in Penal Law § 265.03 (3).

who have their own place of business—i.e., a possessory or proprietary interest in the establishment—and individuals who are “employed” by others (*id.*).

It is true that both a proprietor and a casual employee may face danger in the location where they are employed. However, the legislature’s choice of the phrase “place of business” draws a rational distinction between the interests that each may seek to protect based on their relation to the enterprise. Indeed, a number of states have held that firearm prohibitions exempting possession in one’s dwelling or “place of business”—as commonly understood—do not exempt the carrying of firearms by all employees but, rather, apply only where the possessor of the firearm has a proprietary, possessory, or controlling interest in the business establishment (*see State v Perry*, 165 Or App 342, 351, 996 P2d 995, 1001 [2000], *affd* 336 Or 49, 77 P3d 313 [2003]; *State v Vickers*, 260 Conn 219, 224, 796 A2d 502, 506 [2002]; *Commonwealth v Carr*, 334 Pa Super 459, 461, 483 A2d 542, 543 [1984]; *Berkley v United States*, 370 A2d 1331, 1333 [DC 1977]; *State v Valentine*, 124 NJ Super 425, 427, 307 A2d 617, 619 [1973]; *People v Clark*, 21 Mich App 712, 716, 176 NW2d 427, 430 [1970]). I would adopt the same approach based on the plain language of Penal Law § 265.03 (3) and the legislative intent to severely restrict the number of people permitted to carry firearms from place to place and to possess them at their place of work.

In sum, as the majority concludes, an establishment constitutes one’s “place of business” only where the individual is a “merchant, storekeeper, or principal operator of a like establishment” (majority op at 505). However, in my view, this will ordinarily be the person or persons who have the greatest proprietary or possessory interest in the business in question.² Viewed in this light, it is unlikely that employees or managers of retail establishments, without more, would ever fall within the exemption.

Chief Judge DiFIORE and Judges RIVERA, FAHEY, GARCIA and WILSON concur; Judge STEIN concurs in result in an opinion.

Order affirmed.

2. Notably, in order to qualify for the exemption, it would be insufficient that an individual merely have a possessory or proprietary interest in an office, locker, desk, or the like located in the premises, as the statute plainly requires that the individual possessing a weapon have such an interest in the “place of business” itself (Penal Law § 265.03 [3]).

[105 NE3d 1246, 80 NYS3d 665]

LINDA M. BROWN, Respondent, v STATE OF NEW YORK, Appellant. (Claim No. 110037.)

LINDA M. BROWN, as Administratrix of the Estate of WAYNE BROWN, Deceased, Respondent, v STATE OF NEW YORK, Appellant. (Claim No. 108961.)

Argued May 1, 2018; decided June 7, 2018

SUMMARY

APPEAL, as of right and by permission of the Court of Appeals, in the first above-entitled action, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered November 10, 2016. The Appellate Division affirmed a judgment of the Court of Claims (Nicholas V. Midey, Jr., J.), which had awarded claimant money damages. The appeal brings up for review a prior nonfinal order of that Appellate Division, entered December 20, 2010. The Appellate Division, with two Justices dissenting, had (1) modified, on the law, a judgment of the Court of Claims, which had dismissed the claims for personal injury and wrongful death; and (2) remitted the matter to the Court of Claims for a determination on the issue of proximate cause in accordance with the Appellate Division's memorandum. The modification consisted of granting that part of the posttrial motion with respect to the issue of proximate cause.

APPEAL, as of right and by permission of the Court of Appeals, in the second above-entitled action, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered November 10, 2016. The Appellate Division affirmed a judgment of the Court of Claims (Nicholas V. Midey, Jr., J.), which had awarded claimant money damages. The appeal brings up for review a prior nonfinal order of that Appellate Division, entered December 20, 2010. The Appellate Division, with two Justices dissenting, had (1) modified, on the law, a judgment of the Court of Claims, which had dismissed the claims for personal injury and wrongful death; and (2) remitted the matter to the Court of Claims for a determination on the issue of proximate cause in accordance with the Appellate Division's memorandum. The modification consisted of granting that part of the posttrial motion with respect to the issue of proximate cause.

Brown v State of New York, 79 AD3d 1579, affirmed.

Brown v State of New York, 144 AD3d 1539, affirmed.

Brown v State of New York, 144 AD3d 1535, affirmed.

HEADNOTES

Highways — Maintenance — Motor Vehicle Collision at Dangerous Intersection — Proximate Cause

1. In related actions against the State for personal injuries and wrongful death arising from the collision between a motorcycle and a pickup truck at an intersection allegedly resulting from a dangerous highway condition, the proper standard of proximate cause required claimant to show that the absence of safety measures contributed to the happening of the accident by materially increasing the risk, or by greatly increasing the probability of its occurrence. Claimant was not required to identify a specific remedy and prove it would have been timely implemented and prevented the accident.

Negligence — Proximate Cause — Motor Vehicle Collision at Dangerous Intersection

2. In related actions for personal injuries and wrongful death arising from a motor vehicle collision at an intersection with a pattern of right-angle accidents, there was record support for the finding that defendant State of New York's failure to take steps to remedy the dangerous condition was a proximate cause of the accident. The most significant inquiry in the proximate cause analysis is often that of foreseeability. Where the risk of harm created by the defendant corresponds to the harm that actually resulted, it cannot be said that proximate cause is lacking as a matter of law. Despite being on notice of the dangerous condition of the intersection, defendant did not complete a traffic study it had begun four years prior to the accident, after 14 right-angle collisions had already occurred; reduce the speed limit; change the design or signage; or take any steps to attempt to improve safety at the intersection. That right-angle collisions would continue to occur absent the adoption of some safety measures was hardly surprising.

Motor Vehicles — Collision — Apportionment of Fault

3. In related actions for personal injuries and wrongful death arising out of the collision between a motorcycle operated by claimant's deceased husband and a pickup truck at an intersection, the facts did not compel a conclusion that the pickup truck driver was negligent as a matter of law. The trial court concluded that the pickup truck driver carefully entered the intersection after looking both ways, but simply was unable to see the motorcycle operated by claimant's husband at any time before the accident occurred. The record contained evidence supporting that conclusion: the pickup truck driver's testimony that he stopped at the stop sign and looked both ways but did not see the motorcycle before entering the intersection; the expert testimony that drivers in the pickup truck driver's location could not see cross-traffic because of the vertical curve; and the history of right-angle accidents at the intersection.

Motor Vehicles — Collision — Apportionment of Fault — Conviction of Traffic Violation

4. In related actions for personal injuries and wrongful death arising from the collision between a motorcycle operated by claimant's deceased husband and a pickup truck at an intersection, the pickup truck driver could not be found at fault solely because he was convicted of failing to yield the right-of-

way, in violation of Vehicle and Traffic Law § 1142 (a). Even assuming the conviction was admissible, a Vehicle and Traffic Law violation does not itself establish negligence when, as here, the driver has exercised reasonable care in an effort to comply with the statute.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Automobiles and Highway Traffic §§ 431, 610, 717, 770–773, 1177–1179; AM JUR 2d Highways, Streets, and Bridges §§ 370, 378–380, 382, 383, 439–441; AM JUR 2d Negligence §§ 124, 411, 417, 752.

DOBBS LAW OF TORTS §§ 202, 205.

McKINNEY'S, Vehicle and Traffic Law § 1142 (a).

NY JUR 2d Automobiles and Other Vehicles §§ 822, 826, 1019, 1042; NY JUR 2d Highways, Streets, and Bridges §§ 395–399, 402, 403, 406; NY JUR 2d Negligence §§ 13–15, 102, 127.

NEW YORK LAW OF TORTS §§ 6:6, 8:8, 10:5, 17:61.

ANNOTATION REFERENCE

See ALR Index under Automobiles and Highway Traffic; Crossings; Foreseeability; Highways and Streets; Negligence Per Se; Proximate Cause.

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POINTS OF COUNSEL

Eric T. Schneiderman, Attorney General, Albany (Jonathan D. Hitsous, Barbara D. Underwood, and Andrew D. Bing of counsel), for appellant. I. Claimant failed to prove that the State's negligence was a proximate cause of the accident. (*Turturro v City of New York*, 28 NY3d 469; *Lopes v Rostad*, 45 NY2d 617; *Tomassi v Town of Union*, 46 NY2d 91; *Mink v Keim*, 291 NY 300; *Alexander v Eldred*, 63 NY2d 460; *Sheehan v City of New York*, 40 NY2d 496; *Burgos v Aqueduct Realty Corp.*, 92 NY2d 544; *Ernest v Red Cr. Cent. School Dist.*, 93 NY2d 664; *Applebee v State of New York*, 308 NY 502; *Friedman v State of New York*, 67 NY2d 271.) II. Alternatively, fault should be apportioned to the other driver. (*L. Smirlock Realty Corp. v Title Guar. Co.*, 63 NY2d 955; *Woicianowicz v Philadelphia & Read-*

ing Coal & Iron Co., 232 NY 256; *Hain v Jamison*, 28 NY3d 524; *Kirchhoff v County of Erie*, 18 NY2d 849; *Weigand v United Traction Co.*, 221 NY 39; *Shea v Judson*, 283 NY 393; *Deering v Deering*, 134 AD3d 1497; *Neva-Wet Corp. of Am., Inc. v Never Wet Processing Corp.*, 277 NY 163; *Applebee v State of New York*, 308 NY 502; *Matter of Kelly v Safir*, 96 NY2d 32.)

Michael Steinberg, Rochester, *The Palmiere Law Firm*, Rochester (Norman Andrew Palmiere of counsel), and *LaDuca Law Firm, LLP*, Rochester (Anthony J. LaDuca of counsel), for respondent. I. The Appellate Division majority in 2010 was correct in holding that the State was liable for harm proximately caused by the unsafe character of the intersection because it had notice of the danger and did nothing to address it. (*Applewhite v Accuhealth, Inc.*, 21 NY3d 420; *Wittorf v City of New York*, 23 NY3d 473; *Friedman v State of New York*, 67 NY2d 271; *Weiss v Fote*, 7 NY2d 579; *Turturro v City of New York*, 28 NY3d 469; *Ernest v Red Cr. Cent. School Dist.*, 93 NY2d 664, 93 NY2d 1042; *Ramirez v State of New York*, 143 AD3d 880; *Klein v New York State Thruway Auth.*, 220 AD2d 486; *Cummins v County of Onondaga*, 198 AD2d 875; *Protzman v State of New York*, 80 AD2d 719.) II. There is no basis in law or sound public policy to require the claimant to prove that a properly-conducted study would have led to the placement of a four-way stop by the date of the accident. (*Weiss v Fote*, 7 NY2d 579; *Friedman v State of New York*, 67 NY2d 271; *Tomassi v Town of Union*, 46 NY2d 91; *Hicks v State of New York*, 4 NY2d 1; *Sheehan v City of New York*, 40 NY2d 496; *Stuart-Bullock v State of New York*, 38 AD2d 626, 33 NY2d 418; *Applebee v State of New York*, 308 NY 502; *Ernest v Red Cr. Cent. School Dist.*, 93 NY2d 664; *Humphrey v State of New York*, 90 AD2d 901, 60 NY2d 742.) III. There is no basis in law or sound policy to require the claimant to show how the intersection could have been made reasonably safe. (*Ernest v Red Cr. Cent. School Dist.*, 93 NY2d 664; *Alexander v Eldred*, 63 NY2d 460; *Scheemaker v State of New York*, 70 NY2d 985; *Turturro v City of New York*, 28 NY3d 469; *Posman v State of New York*, 117 AD2d 915; *Atkinson v County of Oneida*, 59 NY2d 840.) IV. The affirmed finding that Henry Friend was not negligent should not be disturbed as it is supported by a fair interpretation of the evidence. (*Friedman v State of New York*, 67 NY2d 271; *Alpert v 28 Williams St. Corp.*, 63 NY2d 557; *Cohen v Hallmark Cards*, 45 NY2d 493; *Smart v Wozniak*, 58 AD2d 993; *Schindler v Royal Ins. Co.*, 258 NY 310; *S.T. Grand, Inc. v City of New York*, 32 NY2d 300; *Augustine v Village of Interlaken*, 68 AD2d

705; *Ando v Woodberry*, 8 NY2d 165; *Lilaj v Ferentinos*, 126 AD3d 947; *Crowe v Hanley*, 123 AD3d 755.)

OPINION OF THE COURT

WILSON, J.

In April 2003, Wayne Brown was driving a Harley-Davidson Fat Boy motorcycle north on Route 350 with his wife, Linda Brown, as a passenger. Henry Friend had stopped his pickup truck at the stop sign on Paddy Lane where it intersects Route 350. He looked north, then south, then north again before pulling into the intersection. The Browns' motorcycle collided with Mr. Friend's truck, killing Mr. Brown and injuring Ms. Brown. Ms. Brown, in separate claims against the State (as administratrix of her husband's estate and on her own behalf), sought damages for wrongful death and for her own injuries. She alleged that the accident occurred as a result of the improper design of the intersection, an excessive speed limit on Route 350, and inadequate signage at the intersection; she also alleged that the State acted negligently by not taking any corrective action in response to complaints about the intersection's danger.

Between 1995 and 1999, there had been 14 right-angle collisions at the intersection of Route 350 and Paddy Lane. At the Town of Ontario's request, the Department of Transportation (DOT) began studying the intersection in 1999. DOT never completed its study and took no remedial action. Ms. Brown's expert testified that the appropriate corrective action would have been to place a four-way stop sign at the intersection. DOT's expert stated that the installation of a four-way stop sign would have been a measure of last resort, to be considered if other less restrictive measures were insufficient.

After trial, the Court of Claims held that the State had breached its duty by failing to complete the study and take any remedial action, but dismissed the claims for lack of proximate cause, because Ms. Brown had failed to prove that a four-way stop sign was necessary and would have been installed in time to prevent the accident. The Appellate Division reversed, holding that Ms. Brown needed to show only that the dangerous condition was a proximate cause of her injury, and had no burden to prove that the State would have installed a four-way stop sign before the date of the accident (79 AD3d 1579 [4th Dept 2010]). Two dissenting Justices would have required Ms. Brown to show "what corrective action should have been taken

by defendant and that such corrective action would have been completed before and would have prevented the accident” (*id.* at 1586).

On remittal, the Court of Claims found that the dangerous condition was a proximate cause of the accident. The court held the State 100% liable for the accident, finding that Mr. Friend was not negligent because he “carefully entered the intersection after looking both ways, but simply was unable to see the motorcycle . . . at any time before the accident occurred.” The State appealed from the final judgments awarding damages, and the Appellate Division affirmed (144 AD3d 1535 [4th Dept 2016]; 144 AD3d 1539 [4th Dept 2016]). The State appeals as of right from the final Appellate Division orders, pursuant to CPLR 5601 (d) to review the prior nonfinal Appellate Division order and, by leave of this Court, pursuant to CPLR 5602 (a) (1) (i) (28 NY3d 913 [2017]).

The State argues that its breach was not a proximate cause of the accident, because Ms. Brown failed to prove that a four-way stop sign would have been installed before the accident and would have prevented it. Alternatively, the State argues that some fault should be apportioned to Mr. Friend, because he would have seen the motorcycle had he acted with reasonable care, and because his violation of the Vehicle and Traffic Law demonstrates his negligence.

I. Proximate Cause

The State agrees it cannot invoke qualified immunity because it did not complete the safety study; therefore, ordinary rules of negligence apply (*see Turturro v City of New York*, 28 NY3d 469, 479 [2016]). The State has a nondelegable duty to keep its roads reasonably safe (*Friedman v State of New York*, 67 NY2d 271, 283 [1986]), and the State breaches that duty “when [it] is made aware of a dangerous highway condition and does not take action to remedy it” (*id.* at 286). A breach proximately causes harm if it is a substantial factor in the plaintiff’s injury (*Turturro*, 28 NY3d at 483).

[1] We first address whether the Appellate Division’s standard for proximate cause was correct—i.e., what did Ms. Brown have to prove? The Appellate Division properly characterized the inquiry: “whether the dangerous condition of the intersection because of the vertical curve in the line of sight looking south from Paddy Lane, combined with the speed limit of 55 miles per hour and the absence of four-way stop signs at the

intersection, may be deemed a proximate cause of the accident” (79 AD3d at 1584-1585 [internal quotation marks omitted]). The Court thus held that Ms. Brown was required to show “that the absence of safety measures contributed to the happening of the accident by materially increasing the risk, or by greatly increasing the probability of its occurrence” (*id.* at 1585 [internal quotation marks omitted]).

We have never required accident victims to identify a specific remedy and prove it would have been timely implemented and prevented the accident. In *Turturro*, for example, a 12-year-old plaintiff was struck by a speeding car while he attempted to ride his bicycle across a four-lane road as to which the City had received numerous complaints of excessive speed (28 NY3d at 485). There, the plaintiff was not required to show that traffic calming measures—much less any specific traffic calming measure adopted at a specific time—would have avoided the accident. The relevant inquiry was whether the “City’s failure to conduct a traffic calming study and to implement traffic calming measures was a substantial factor in causing the accident” (*id.*).

Here, there is record support for the finding that the State’s breach was a proximate cause of the accident. It is undisputed that there was a pattern of right-angle accidents at the intersection. It is also undisputed that the State did not complete the traffic study, reduce the speed limit on Route 350, change the design or signage, or take any steps whatsoever to attempt to improve safety at the intersection. The other affirmed findings of fact—that the vertical curve created visibility problems; that Mr. Friend stopped and looked both ways; that Mr. Friend was unable to see the motorcycle approaching; that no one was speeding—are beyond our review.

[2] Once on notice of the dangerous condition, it was the State’s burden to take reasonable steps in a reasonable amount of time. Instead, it did nothing. That right-angle collisions would continue to occur absent the adoption of some safety measure is hardly surprising. “[T]he most significant inquiry in the proximate cause analysis is often that of foreseeability” (*Hain v Jamison*, 28 NY3d 524, 530 [2016]). Where, as here, the risk of harm created by the defendant corresponds to the harm that actually resulted, we cannot say that proximate cause is lacking as a matter of law.

II. Apportionment

The State argues that some fault should be apportioned to Mr. Friend. First, the State claims that Mr. Friend “failed to see claimant’s approaching motorcycle even though he should have seen it in the exercise of reasonable care.” Ms. Brown’s expert did testify that a driver at the intersection looking south on Route 350 would see the top third of an approaching northbound vehicle—though not specifically a motorcycle—from 897 feet away, and the entire vehicle from 550 feet away. Mr. Friend testified that he was familiar with the intersection, and that the time between when he looked south and when the collision occurred was about 5 to 10 seconds.

[3] However, those facts do not compel a conclusion that Mr. Friend was negligent as a matter of law. The Court of Claims found that Mr. Friend “carefully entered the intersection after looking both ways, but simply was unable to see the motorcycle operated by [claimant’s husband] at any time before the accident occurred.” The record contains evidence supporting that conclusion: Mr. Friend’s testimony that he stopped at the stop sign and looked both ways but did not see the motorcycle before entering the intersection; the expert testimony that drivers in Mr. Friend’s location could not see cross-traffic because of the vertical curve; and the history of right-angle accidents at the intersection.

[4] The State also claims that Mr. Friend was at fault because he was convicted of failing to yield the right-of-way, in violation of Vehicle and Traffic Law § 1142 (a). Even assuming the conviction is admissible, a Vehicle and Traffic Law violation does not itself establish negligence, when, as the court found here, the driver has exercised reasonable care in an effort to comply with the statute (see *Luck v Tellier*, 222 AD2d 783, 785 [3d Dept 1995]). There is evidence from which the court could have properly concluded that Mr. Friend used reasonable care, and we cannot disturb that factual determination.

Accordingly, on each appeal, the order of the Appellate Division appealed from and the prior Appellate Division order brought up for review should be affirmed, with costs.

In *Brown v State of New York (Claim No. 110037)*: Order appealed from and Appellate Division order brought up for review affirmed, with costs.

Opinion by Judge WILSON. Chief Judge DiFiore and Judges RIVERA, STEIN, FAHEY, GARCIA and FEINMAN concur.

In *Brown v State of New York (Claim No. 108961.)*: Order appealed from and Appellate Division order brought up for review affirmed, with costs.

Opinion by Judge WILSON. Chief Judge DiFIORE and Judges RIVERA, STEIN, FAHEY, GARCIA and FEINMAN concur.

[105 NE3d 1250, 80 NYS3d 669]

In the Matter of NICHOLAS LEMMA, Appellant, v NASSAU COUNTY
POLICE OFFICER INDEMNIFICATION BOARD et al., Respon-
dents.

Argued May 2, 2018; decided June 14, 2018

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Second Judicial Department, entered February 1, 2017. The Appellate Division affirmed a judgment of the Supreme Court, Nassau County (Steven M. Jaeger, J.), entered in a proceeding pursuant to CPLR article 78, which had (1) denied the petition to review a determination of the Nassau County Police Officer Indemnification Board determining that petitioner was not entitled to defense or indemnification in an action entitled *Crews v County of Nassau*, pending in the United States District Court for the Eastern District of New York, under case No. CV-06-2610; and (2) dismissed the proceeding.

Matter of Lemma v Nassau County Police Officer Indem. Bd., 147 AD3d 760, affirmed.

HEADNOTES

Counties — Defense and Indemnification of Employee — Conduct Committed in Proper Discharge of Police Officer's Duties

1. General Municipal Law § 50-l, which authorizes Nassau County to defend and indemnify police officers in civil actions resulting in a judgment for damages arising out of conduct “committed while in the proper discharge of [the officer’s] duties and within the scope of [the officer’s] employment,” does not require only that the officer be engaged in police work to be entitled to indemnification, but permits respondent Nassau County Police Officer Indemnification Board to deny indemnification based on its assessment of the propriety of an officer’s conduct. The statute expressly grants the Board discretion to determine precisely what is “proper” or “improper” for indemnification purposes, in the context of a particular case. The legislature’s inclusion of the modifier “proper” indicates an intent to hold officers to a higher standard than mere performance of duty. Moreover, the inclusion of a provision in the statute permitting indemnification against punitive damages is not incompatible with a provision limiting defense and indemnification to circumstances in which respondent finds that the officer’s conduct was “proper.” By choosing not to define “proper” and explicitly directing that “such proper discharge” shall be determined by respondent, the legislature indicated that precisely what “proper” means is a matter for respondent to decide based on the particular circumstances presented, subject to rationality review by the courts.

Counties — Defense and Indemnification of Employee — Conduct Committed in Proper Discharge of Police Officer's Duties

2. In a CPLR article 78 proceeding challenging respondent Nassau County Police Officer Indemnification Board's revocation of its decision to defend and indemnify petitioner police officer pursuant to General Municipal Law § 50-1 in a federal action brought by a man detained for four months for a crime he did not commit because petitioner had concealed the man's alibi, the Board's determination that petitioner's conduct was not in the "proper discharge of his duties" within the meaning of section 50-1 was not arbitrary and capricious based on the record of the administrative proceedings conducted by the Board. There was evidence supporting respondent's finding that, despite knowledge that the man could not have committed the robbery for which he had been arrested and charged, and for which he remained in pretrial detention for four months, petitioner, by his own admission, remained silent—conduct antithetical to proper police work that resulted in a man's loss of liberty.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Sheriffs, Police, and Constables §§ 93, 98.

NY JUR 2d Civil Servants and Other Public Officers and Employees §§ 218–220; NY JUR 2d Government Tort Liability § 60.

ANNOTATION REFERENCE

See ALR Index under Indemnity; Police and Law Enforcement Officers.

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POINTS OF COUNSEL

Worth, Longworth & London, LLP, New York City (*Mitchell Garber* of counsel), for appellant. The Appellate Division's decision in this case must be reversed because it is directly at odds with both precedent from this Court and the legislative history of General Municipal Law § 50-1. (*Matter of Sagal-Cotler v Board of Educ. of the City Sch. Dist. of the City of N.Y.*, 20 NY3d 671; *Joseph v City of Buffalo*, 83 NY2d 141; *Matter of Williams v City of New York*, 64 NY2d 800; *James v Powell*, 19 NY2d 249; *Prozeralik v Capital Cities Communications*, 82 NY2d 466; *Laurie Marie M. v Jeffrey T.M.*, 159 AD2d 52; *Matter of Salino v Cimino*, 1 NY3d 166; *Matter of Williams v City of New York*, 64 NY2d 800.)

Carnell T. Foskey, County Attorney, Mineola (Robert F. Van der Waag, Christi Kunzig, James LaRusso and Nicholas Vevante of counsel), for respondents. I. It is unequivocally clear that General Municipal Law § 50-1 provides indemnification for officers who acted both in the proper discharge of their duties and within the scope of their employment but does not provide blanket immunity. (*Matter of Sagal-Cotler v Board of Educ. of the City Sch. Dist. of the City of N.Y.*, 20 NY3d 671; *Frank v Meadowlakes Dev. Corp.*, 6 NY3d 687; *Matter of Steinbeck v Gerosa*, 4 NY2d 302; *Yaniveth R. v LTD Realty Co.*, 27 NY3d 186; *Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106; *Matter of Robins v Blaney*, 59 NY2d 393; *Matter of Kent v Lefkowitz*, 27 NY3d 499; *Matter of Galvani v Nassau County Police Indem. Review Bd.*, 242 AD2d 64.) II. The intent to require that the act be committed while in both the proper discharge of duties and the scope of employment is further evidenced through a comparison of similar statutes for New York City, Westchester County and Suffolk County. III. Appellant's reliance on the Court of Appeals' interpretation of Education Law § 3028 in *Matter of Sagal-Cotler v Board of Educ. of the City Sch. Dist. of the City of N.Y.* (20 NY3d 671 [2013]) is misplaced and is irrelevant to this case. (*Matter of Sagal-Cotler v Board of Educ. of the City Sch. Dist. of the City of N.Y.*, 20 NY3d 671.) IV. The standard of review governing CPLR article 78 cases is whether the determination was arbitrary and capricious; the determination of the Nassau County Police Indemnification Review Board is supported by all applicable rules and regulations and therefore was not arbitrary and capricious. (*Matter of DiLeonardo v Nassau County Police Officer Indem. Bd.*, 148 AD3d 701; *Matter of Peckham v Calogero*, 12 NY3d 424; *Matter of Kent v Lefkowitz*, 27 NY3d 499; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222.)

OPINION OF THE COURT

Chief Judge DiFIORE.

General Municipal Law § 50-1 provides for defense and indemnification of Nassau County police officers, requiring indemnification for civil “damages, including punitive or exemplary damages, arising out of a negligent act or other tort of such police officer committed while in the proper discharge of [the officer’s] duties and within the scope of [the officer’s] employment.” In this CPLR article 78 proceeding, the issue is

whether the Nassau County Police Officer Indemnification Board's determination revoking a prior defense and indemnification determination in favor of petitioner, a Nassau County police officer, was irrational. To answer that question, we must determine the meaning of the phrase "proper discharge of . . . duties" in the context of this statute. We conclude, as did the courts below, that the Board's finding that petitioner's conduct was not "proper" within the meaning of the statute was rational. We therefore affirm.

Based on the facts developed in the administrative record, petitioner—a Nassau County police officer since 1987—was assigned to investigate a March 26, 2005 knifepoint robbery allegedly perpetrated by three men. Two months after the robbery—on May 27, 2005—Raheem Crews was arrested for the crime. A few days later, on June 1, 2005, petitioner questioned another suspect, who admitted his own involvement but said that Crews was in jail at the time of the robbery. That same day, petitioner confirmed via a police database search that Crews was incarcerated on the date of the robbery. Despite knowledge that Crews could not have been one of the perpetrators, petitioner told no one. Apparently, due to a typographical error by other officers, the date of the robbery was incorrectly stated as April 26, 2005, on the felony complaint provided to Crews and his attorney (Crews was not in jail on that date). As a result, the alibi went undiscovered and Crews remained in pretrial detention for four months for a crime petitioner knew he did not commit. It was not until September, after Crews was arraigned on an indictment listing the date of the robbery as March 26, 2005, that defense counsel demonstrated that Crews had been incarcerated on that date, securing his immediate release and dismissal of the charges.

Crews commenced an action in federal court pursuant to 42 USC § 1983 against petitioner, among others. In 2006, Nassau County—unaware at that time that petitioner had known and failed to disclose that Crews was in jail on the date of the crime—offered to represent and indemnify petitioner pursuant to General Municipal Law § 50-l, based on the Board's initial determination that any actions taken by petitioner that might give rise to liability were within the scope of petitioner's employment and a proper discharge of his duties.

Years later, in 2009, petitioner was deposed in the *Crews* case, revealing for the first time that he had learned a few days after the arrest that Crews was in jail on the date of the

robbery—information that he acknowledged at the deposition “exonerated” Crews. When asked what he did after learning this information, petitioner stated: “I kept it to myself and said, ‘[l]et the chips fall where they may.’” At that time, petitioner offered no further explanation for his conduct. In the wake of the deposition testimony, the Board reopened its decision to indemnify petitioner and held a hearing at which petitioner appeared with counsel. The focus at the hearing was the meaning of petitioner’s deposition testimony, portions of which were read into the record. Petitioner’s counsel acknowledged that the “let the chips fall where they may” comment was “terrible” and could “alter the minds of some” Board members to conclude petitioner’s conduct was intentional. However, counsel argued that petitioner’s statement reflected his state of mind at the time of the deposition—that he understood that he made a mistake and he would “let the chips fall” in accepting responsibility for his actions—and was not indicative of his state of mind when he learned Crews could not have perpetrated the robbery. Petitioner claimed that the information concerning Crews’ incarceration had simply slipped his mind due to a heavy caseload and personal problems he was experiencing at the time. He denied intentionally concealing the information. Alternatively, counsel argued that, by including coverage for punitive damages, the statutory scheme provided indemnification, even for a police officer’s intentional misconduct. After the reconsideration hearing, the Board voted to revoke defense and indemnification. Upon petitioner’s request for reconsideration, the Board conducted a second administrative proceeding at which petitioner and his counsel were present and essentially the same facts and arguments were elicited. The Board adhered to its decision denying defense and indemnification.

Subsequently, petitioner commenced this CPLR article 78 proceeding seeking a judgment annulling the Board’s determination. Petitioner argued that the phrase “proper discharge of duties” did not mean that the act itself must be proper, but only that it occurred while the officer was engaged in police work, making it synonymous with the phrase “scope of employment.” Petitioner suggested this was the only reasonable interpretation considering the legislature’s intent to indemnify even for acts giving rise to punitive damages. Petitioner argued the Board’s decision denying indemnification was overly restrictive and, thus, arbitrary and capricious. Nassau County countered

that the statute provides the Board with the responsibility to determine whether conduct in particular circumstances amounts to a proper discharge of an officer's duties and, because the Board rationally determined that petitioner's conduct was not in the proper discharge of his duties, its decision was not arbitrary and capricious.

Supreme Court denied the petition and dismissed the proceeding, reasoning that "General Municipal Law § 50-1 gives the [Board] the responsibility to determine if an officer's conduct occurred 'in the proper discharge of his duties and within the scope of his employment' " and that the Board rationally concluded petitioner's conduct was not "proper." The Appellate Division affirmed, holding, among other things, that the Board rationally interpreted General Municipal Law § 50-1 to limit defense and indemnification, reasoning that the word "proper" was "added . . . to exclude indemnification for intentional misconduct" (147 AD3d 760, 762 [2d Dept 2017]). We granted leave to appeal (29 NY3d 907 [2017]) and now affirm.

Where, as here, no administrative hearing was required, judicial review of an agency determination is limited to whether the Board's determination was irrational or arbitrary and capricious (*see Matter of Peckham v Calogero*, 12 NY3d 424, 431 [2009]; *Matter of Salino v Cimino*, 1 NY3d 166, 172 [2003]; CPLR 7803 [3]). An administrative determination of a board or agency involving employee indemnification "may be set aside only if it lacks a factual [or legal] basis, and in that sense, is arbitrary and capricious" (*Matter of Williams v City of New York*, 64 NY2d 800, 802 [1985]).

In this case, the rationality of the Indemnification Board's determination turns, in part, on the meaning of language in General Municipal Law § 50-1, the governing statute. When presented with a question of statutory interpretation, a court's primary consideration "is to ascertain and give effect to the intention of the Legislature" (*Riley v County of Broome*, 95 NY2d 455, 463 [2000] [internal quotation marks and citation omitted]). The clearest indicator of legislative intent is the statutory text and unambiguous language should be construed pursuant to its plain meaning (*see Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006]). Whenever possible, statutory language should be harmonized, giving effect to each component and avoiding a construction that treats a word or phrase as superfluous (*see Matter of Mestecky v City of New York*, 30 NY3d 239, 243 [2017]).

General Municipal Law § 50-1, the statute at issue here, authorizes Nassau County to defend and indemnify police officers named as defendants in civil actions or proceedings, providing indemnification from “any judgment . . . for damages, including punitive or exemplary damages, arising out of a negligent act or other tort of such police officer committed while in the *proper* discharge of [the officer’s] duties *and* within the scope of [the officer’s] employment” (General Municipal Law § 50-1 [emphasis added]). The statute declares that “[s]uch proper discharge and scope shall be determined by a majority vote of a panel . . . appointed by” various Nassau County officials—respondent Indemnification Board. The legislature, thus, left the determination of whether the statutory prerequisites are met to the discretion of the Board.

[1] In this case, we are essentially asked to determine the meaning of the word “proper” in the phrase: “proper discharge of [the officer’s] duties.” Petitioner argues that the phrases “proper discharge of . . . duties” and “scope of . . . employment” are interchangeable in this statute, requiring only that the officer be engaged in police work to be entitled to indemnification. However, such an interpretation reads the word “proper” out of the statute. The legislature’s inclusion of this modifier indicates an intent to hold officers to a higher standard than mere performance of duty. Read literally, the statute permits the Board to consider the propriety of the officer’s actions in determining whether defense and indemnification is appropriate, as it did here when it revisited its determination after learning petitioner concealed information that extended the pretrial detention of an innocent person.

The legislative history supports this view. Lawmakers deemed indemnification of Nassau County police officers necessary in response to an “increasing proliferation of lawsuits seeking personal damages from police officers,” and the fear that such an increase would have a “chilling effect” on police “properly discharging their duties” (*see* Sponsors’ Mem in Support, Bill Jacket, L 1983, ch 872 at 8). The sponsors of the legislation stated that the “bill does not provide blanket immunity,” but was meant only to “alleviate [officers’] concern that their actions, although proper, may subject them to personal liability” (*id.*). In other words, lawmakers intended to condition indemnification on the propriety of police conduct—their aim was not to immunize all conduct.

The Nassau County statute is not unique in this regard. For example, the Westchester County indemnification statute

precludes indemnification where the injury or damage arose from “intentional wrongdoing or recklessness” by the employee (see Westchester Code of Ordinances § 297.31 [3] [a]). Additionally, the New York City equivalent restricts indemnification to circumstances when an employee, acting in the scope of employment and discharge of duties, was not in violation of any rule or regulation of the agency at the time the alleged act or omission occurred (see General Municipal Law § 50-k).

Petitioner argues that the word “proper” cannot be construed to have such a limiting effect on indemnification because, by authorizing indemnification for punitive damages, the legislature must have meant to protect even “willful misconduct”—the type of behavior justifying a punitive damages award. We are unpersuaded. Here, where the statute requires the Board to consider the propriety of the officer’s conduct, that the legislature authorized indemnification for punitive damages does not necessarily mean it meant to protect willful misconduct. However, a punitive damages finding and a defense and indemnification determination are made at different times by different factfinders. The decision whether to defend and indemnify a police officer is typically made by the Board at the beginning of litigation or upon discovery of facts previously unknown—long before the facts are litigated and a judgment of punitive damages is ever rendered. The Board may take a different view of the facts than is ultimately adopted by a jury in the underlying civil action against the officer.

Moreover, the legislative history indicates the drafters recognized that punitive damages awards might be imposed by juries in circumstances where the Board viewed the officer’s actions as “proper” within the meaning of the statute. Senator Dunne, one of the bill’s sponsors, explained that punitive damages were included due to the United States Supreme Court’s decision in *Smith v Wade* (461 US 30 [1983]), which, in his view, reduced the standard of proof required for punitive damages, making such awards more common (see Letter in Support, Bill Jacket, L 1983, ch 872 at 12). Senator Dunne also referenced jurors’ potential difficulty understanding and correctly applying the abstract legal principles underlying punitive damages awards (*id.*). This concern was underscored by the Superior Officers Association, the collective bargaining unit for all sworn members of the Nassau County Police Department from the rank of Sergeant up to and including Assistant Chief. In its letter of support, the Association asserted that

“punitive damages are frequently based upon the caprice and prejudice of jurors” and “may be employed to punish unpopular defendants” such as police officers (Letter in Support, Bill Jacket, L 1983, ch 872 at 22 [emphasis omitted]). In short, the inclusion of a provision permitting indemnification against punitive damages is not incompatible with a provision limiting defense and indemnification to circumstances in which the Board found that the officer’s conduct was “proper.”

By choosing not to define “proper”—a somewhat subjective term—and explicitly directing that “such proper discharge” shall be determined by the Indemnification Board, the legislature indicated that precisely what “proper” means is a matter for the Board to decide based on the particular circumstances presented, subject to rationality review by the courts. We therefore decline to constrain the Board’s authority by attempting to replace the word selected by the legislature with other adjectives we might deem synonymous. It appears that the intent was to give the Board substantial latitude to consider the facts and circumstances on a case by case basis, including assessment of the officer’s motivation or good faith and any exigencies surrounding the act or omission. Indeed, the Board might rationally conclude conduct is “proper” within the meaning of the statute even if it is not perfect.

Finally, we note that petitioner mistakenly relies on *Matter of Sagal-Cotler v Board of Educ. of the City Sch. Dist. of the City of N.Y.* (20 NY3d 671 [2013]) for the proposition that “scope of employment” and “discharge of duties” always mean the same thing and that the addition of the word “proper” in this statute is of no effect. In that case, petitioners—paraprofessionals working for the New York City school system—challenged a determination denying indemnification in actions brought by students alleging they engaged in corporal punishment, conduct in violation of a rule of the Board of Regents (*id.* at 674). Petitioners relied on Education Law § 3028, which requires indemnification of paraprofessionals for actions taken “while in the discharge of . . . duties within the scope of . . . employment” (*see* Education Law § 3028). To support the denial of indemnification, the City pointed to General Municipal Law § 50-k (2), a later-enacted statute entitling city employees to indemnification only for conduct that does not violate a rule or regulation of their agency. After first determining that General Municipal Law § 50-k (2) did not preempt or otherwise dilute Education Law § 3028 (a specific statute applicable to educa-

tors), we held that the phrases “discharge of duties” and “scope of employment” were interchangeable in the context of section 3028, noting that “the statutory words ‘discharge of . . . duties’ [do not] restrict the right to a defense to cases where an employee acted in the *proper and lawful discharge of his or her duties*” (*id.* at 676 [emphasis added]). This analysis is not inconsistent with our conclusion here that the addition of the word “proper” in General Municipal Law § 50-1—language not found in Education Law § 3028—may, in the discretion of the Board, import such a restriction. Accordingly, the Board did not err when it interpreted the statute as permitting it to deny indemnification based on its assessment of the propriety of petitioner’s conduct. The statute expressly grants the Board discretion to determine precisely what is “proper” or “improper” for indemnification purposes, in the context of a particular case.

[2] In sum, the Board’s determination that petitioner’s conduct was not in the “proper discharge of his duties” is not arbitrary and capricious based on the record of the administrative proceedings conducted by the Board. There was evidence supporting the Board’s finding that, despite knowledge that Crews could not have committed the robbery for which he had been arrested and charged (and for which he remained in pre-trial detention for four months), petitioner, by his own admission, remained silent—conduct antithetical to proper police work that resulted in a man’s loss of liberty. Because that determination is rational, it is entitled to deference and must be sustained.

Accordingly, the order of the Appellate Division should be affirmed, with costs.

Judges RIVERA, STEIN, FAHEY, GARCIA, WILSON and FEINMAN concur.

Order affirmed, with costs.

[106 NE3d 726, 81 NYS3d 343]

WEST MIDTOWN MANAGEMENT GROUP, INC., Doing Business as
WEST MIDTOWN MEDICAL GROUP, Respondent, v STATE OF
NEW YORK, DEPARTMENT OF HEALTH, OFFICE OF THE MEDIC-
AID INSPECTOR GENERAL, Appellant.

Argued June 7, 2018; decided June 26, 2018

SUMMARY

APPEAL from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered September 22, 2016. The Appellate Division, with two Justices dissenting, (1) reversed, on the law, a judgment of the Supreme Court, New York County (Alexander W. Hunter, Jr., J.), entered in a proceeding pursuant to CPLR article 78, which had denied the petition seeking, among other things, a judgment declaring that the principal sum to which respondent is entitled to seek repayment from petitioner under the final audit report dated June 16, 2010 (FAR) is no more than \$1,460,914 and dismissed the proceeding; (2) granted the petition; and (3) declared that the principal sum that respondent is entitled to recover from petitioner pursuant to the FAR is \$1,460,914.

West Midtown Mgt. Group, Inc. v State of New York, 142 AD3d 843, reversed.

HEADNOTES

Health — Medicaid Reimbursement Payments — Recoupment of Overpayments

1. In a CPLR article 78 proceeding by petitioner, the operator of a methadone clinic, seeking to prohibit the New York State Office of the Medicaid Inspector General (OMIG) from withholding from petitioner's Medicaid reimbursement payments more than the \$1,460,914 "lower confidence limit" estimate of overpayments petitioner had previously received, OMIG's final audit report (FAR) and cover letter sufficiently notified petitioner that OMIG was entitled to withhold the "extrapolated point estimate" of \$1,857,401 in accordance with 18 NYCRR 518.7. The cover letter and the FAR's executive summary clearly stated that petitioner's estimated overpayment liability was \$1,857,401. Pursuant to 18 NYCRR 519.18 (g), if an audit report is challenged, the extrapolated point estimate is presumed, in the absence of expert evidence to the contrary, "to be an accurate determination of the total overpayments made or penalty to be imposed." By contrast, the \$1,460,914 figure, as explained in the FAR and the cover letter, represented a lower bound on the true amount overpaid which petitioner could pay to settle the audit. It was reasonable for OMIG to indicate that, should petitioner fail to settle, OMIG would "liquidate the lower confidence amount." This did not preclude OMIG from subsequently seeking to withhold the full amount, as the FAR and cover letter both clearly indicated that the agency reserved its rights to pursue all available remedies.

Health — Medicaid Reimbursement Payments — Recoupment of Overpayments — Estoppel

2. In a CPLR article 78 proceeding by petitioner, the operator of a methadone clinic which had been assessed \$1,857,401 in Medicaid reimbursement overpayments, estoppel did not apply to prohibit the New York State Office of the Medicaid Inspector General (OMIG) from seeking the full amount owed even though its final audit report (FAR) and withholding notices referred to the \$1,460,914 “lower confidence limit” estimate of overpayments. With rare exceptions, estoppel is not available as a remedy to prevent a governmental agency from discharging its statutory duties. This was not one of those rare cases where estoppel would be warranted to prevent an injustice. In any event, petitioner was clearly aware of the audit’s findings and referred to the \$1,857,401 figure in communications with OMIG and the Department of Health Board of Adjudication, and in its first CPLR article 78 proceeding. Even here, in its CPLR article 78 petition, petitioner conceded that OMIG determined that petitioner had been overpaid \$1,857,401 for outpatient services. Petitioner was on notice from the outset that OMIG was seeking, and entitled to, the full point estimate. Although the lower confidence limit amount was referenced in the FAR provider rights section and subsequent notices of withholding, those who deal with the government are expected to know the law, and cannot rely on the conduct of government agents to excuse legal obligations.

RESEARCH REFERENCES

By the Publisher’s Editorial Staff

AM JUR 2d Welfare Laws § 43.

18 NYCRR 518.7, 519.18.

NY JUR 2d Public Welfare and Elder Assistance § 195.

ANNOTATION REFERENCE

See ALR Index under Medicaid.

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Query: Medicaid & overpayment /s withhold & audit

POINTS OF COUNSEL

Barbara D. Underwood, Attorney General, New York City (Caroline A. Olsen, Eric Del Pozo and Andrew W. Amend of counsel), for appellant. The State Office of the Medicaid Inspector General is entitled to recover the full amount of Medicaid overpayments made to West Midtown Management Group, Inc. (*Gram v Mutual Life Ins. Co. of N.Y.*, 300 NY 375; *Kaplan v Lippman*, 75 NY2d 320; *Matter of New York Foundling Hosp., Inc. v Novello*, 47 AD3d 1004; *Matter of Mercy Hosp. of Water-town v New York State Dept. of Social Servs.*, 79 NY2d 197;

Nostrom v A.W. Chesterton Co., 15 NY3d 502; *Clove Lakes Nursing Home v Whalen*, 45 NY2d 873; *Matter of Schorr v New York City Dept. of Hous. Preserv. & Dev.*, 10 NY3d 776; *Matter of Westledge Nursing Home v Axelrod*, 68 NY2d 862; *Matter of Cortlandt Nursing Home v Axelrod*, 66 NY2d 169.)

Goidel & Siegel, LLP, New York City (*Jonathan M. Goidel* of counsel), for respondent. I. The State Office of the Medicaid Inspector General may collect \$1,460,914 from respondent under the final audit report, because that is the amount for which it provided requisite notice. II. The State Office of the Medicaid Inspector General’s (OMIG) withholding notices are “final determinations” under 18 NYCRR 519.3 (b) and limit the amount OMIG is authorized to collect from respondent.

OPINION OF THE COURT

FEINMAN, J.

The Office of the Medicaid Inspector General (OMIG) notified petitioner, the operator of a methadone clinic and provider of Medicaid-covered services, that it had been overpaid an estimated \$1,857,401 in claims from 2003 through 2007. This number was extrapolated after auditing a random sample of claims paid to petitioner. OMIG informed petitioner that it had 20 days to agree to settle these claims for a lower amount—\$1,460,914—or OMIG would begin to withhold a percentage of petitioner’s payments. Petitioner was also informed that OMIG was prepared to defend its full \$1,857,401 estimate at any hearing. Twenty days elapsed without petitioner agreeing to settle, and OMIG commenced withholding. Petitioner also failed to timely commence an administrative appeal in order to challenge the audit findings. Petitioner now seeks to prohibit OMIG from liquidating the full \$1,857,401 in overpayments and a declaration that OMIG can collect only \$1,460,914—the amount for which petitioner declined to settle. We hold that OMIG may withhold payments to recover the full \$1,857,401 assessed following the audit.

I. Statutory and Regulatory Framework

The Department of Health (DOH) administers the Medicaid program in New York (*see* Social Services Law § 363-a; Public Health Law § 201 [1] [v]). OMIG was created as an independent office within the Department of Health in 2006 to be the sole state agency focusing on “prevention, detection and investigation of fraud and abuse within the [Medicaid]

program,” with the power to refer “appropriate cases for criminal prosecution,” and to recover improperly expended Medicaid funds “through a variety of administrative and civil mechanisms” (Senate Introductor’s Mem in Support, Bill Jacket, L 2006, ch 442 at 9, 2006 McKinney’s Session Laws of NY at 1911). OMIG implements the DOH rules and regulations intended to recover unjustified Medicaid payments (*see* Public Health Law § 32 [20]). One method of recovery is through on-site audits of providers’ records based on statistical samplings (*see* 18 NYCRR part 517; § 519.18 [g]). An extrapolation of findings based on an audit using a certified valid statistical sampling method is presumed to be an accurate determination of the total overpayments made, “in the absence of expert testimony” or other evidence submitted by the provider at a hearing (*id.* § 519.18 [g]). Where an audit finds overpayments, OMIG issues a draft audit report identifying those items (*id.* § 517.5). The draft audit report contains the amount of the overpayment “[w]hen feasible,” the proposed action and its legal basis, and provides an opportunity for the provider to object (*id.* § 517.5 [a], [b]). The failure by the provider to timely object “to the proposed action” may result in “the adoption of the proposed action as the final agency action” (*id.* § 517.5 [b]).

After consideration of the provider’s objections, if any, and any supporting documents and materials, or after passage of 40 days from mailing the draft audit report without receiving objections, OMIG may issue a final audit report (*id.* § 517.6 [a]). The final audit report “and/or the cover letter accompanying it” must “clearly” advise the provider of: (1) the nature and amount of the audit findings, the basis for the agency’s action and its legal authority; (2) the action which will be taken; (3) the effective date of the intended action, which will be not less than 20 days from the date of the final audit report; (4) the right to appeal in an administrative proceeding; and (5) the scope of the hearing which is limited to “issues relating to determinations contained in the final audit report” (*id.* § 517.6 [b]). A provider has 60 days to request an administrative hearing to challenge the final audit report (*see* Social Services Law § 145-a [2]; 18 NYCRR 519.7). The request must be in writing (*see* 18 NYCRR 519.7 [b]). If a hearing is held, the decision becomes “the final agency action and is binding upon the parties” (18 NYCRR 519.22 [c]). If no hearing is requested within the 60-day time period, the final audit report may be docketed with the County Clerk, whereupon it takes on “the full force and effect of a judgment” (Social Services Law § 145-a [2]).

Twenty days after the issuance of the final audit report, and upon five days' prior notice, OMIG may "commence recoupment of overpayments" by withholding all or part of a provider's payments that are otherwise payable (18 NYCRR 518.7 [b]; 518.8 [a]). Importantly, OMIG may begin withholding payments even before the expiration of the 60-day period for the provider to request an administrative hearing, and before the final audit report has become a final administrative determination. Under these circumstances, the withholding may be extended "until an amount reasonably calculated to satisfy the overpayment is withheld, pending a final determination on the matter" (*id.* § 518.7 [d] [2]).

II. Procedural and Factual Background

Petitioner operates two methadone clinics in Manhattan. It is authorized by the State of New York, Department of Health, Office of Alcohol and Substance Abuse Services to provide outpatient services to chemically dependent patients and to receive payment for those services from Medicaid. By virtue of its enrollment in the Medicaid program as a services provider, its records are subject to audit by OMIG (*see* 18 NYCRR 504.3 [g], [i]).

In January 2010, after auditing a random sample of claims covering the years 2003 through 2007, OMIG issued a draft audit report concluding that petitioner had received more than \$6 million in unjustified Medicaid payments. Petitioner challenged the draft audit report. On June 16, 2010, OMIG issued its final audit report (FAR) and, on the same date, delivered it to petitioner with a cover letter.

The cover letter and accompanying FAR informed petitioner that the "extrapolated point estimate" of its overpayments was \$1,857,401. Because OMIG estimates overpayments based on sampling, it cannot determine with certainty how much it is owed across the entire pool of claims. The "extrapolated point estimate" represents just that—an estimate—based on the subset of claims that were audited. Nevertheless, by regulation, OMIG's extrapolated point estimate would be presumed to be an accurate determination of the total overpayments at any hearing in the absence of expert testimony or evidence to the contrary (*see id.* § 519.18 [g]).

The cover letter and FAR also informed petitioner that the "lower confidence limit" estimate of overpayments was \$1,460,914. As explained in the letter, this meant that there

was a 95% chance that the true amount of overpayments across the entire pool of claims was greater than \$1,460,914.

The FAR contained a section, entitled “Provider Rights,” that explained that petitioner could settle the audit within 20 days from the date of the FAR by “repay[ing] the lower confidence limit amount,” i.e. \$1,460,914, as a lump sum, or by contacting OMIG to enter into a repayment agreement. Should petitioner fail either to repay the \$1,460,914 or timely contact OMIG regarding a repayment plan within 20 days, OMIG would commence withholding payments equal to 50% of petitioner’s Medicaid billings to “liquidate the lower confidence limit amount, . . . *not barring any other remedy allowed by law*” (emphasis added). Notice of withholding would be provided “no later than 5 days after” withholding commenced. The same section also indicated that if petitioner chose “not to settle [the] audit through repayment of the adjusted lower confidence limit,” it could challenge OMIG’s findings through an administrative hearing “*where the OMIG would seek and defend the point estimate of \$1,857,401*” (emphasis added). Petitioner was advised that it had 60 days from the date of the FAR to request a hearing. The cover letter reiterated that OMIG reserved the right to take additional actions in addition to recovering the overpayments set forth in the report.

With the delivery of the FAR, the 20-day and 60-day limitations periods both began to run. The 20-day period expired on July 6, 2010, without petitioner selecting a settlement option. Accordingly, on July 12, 2010, OMIG issued a “Notice of Withholding” to petitioner indicating that the agency had begun withholding 50% from each of petitioner’s payments for current and future claims. The notice stated that petitioner had been “previously informed that an overpayment totaling \$1,460,914.00 was identified as a result of the above-referenced audit.” The notice further indicated that the withholding was “temporary,” and would “continue until such time as the balance due is recovered.”

The 60-day deadline to request an administrative hearing expired on August 15, 2010, without petitioner making a written request.¹ Thereafter, on December 9, 2010, OMIG issued a second notice of withholding, reflecting that, going forward, a

1. In October 2010, petitioner belatedly sought an administrative hearing. In November 2010, the administrative law judge determined that petitioner’s request came too late and that it was without jurisdiction to hold a hearing. Petitioner then brought a CPLR article 78 petition in Supreme

(n. cont’d)

5% withholding rate would be assessed based on petitioner's request for a hardship reduction. This second notice, like the first notice from July 2010, stated that petitioner had been "previously informed that an overpayment totaling \$1,460,914.00 was identified as a result of the above-referenced audit," and otherwise contained the same information as in the first notice.

Petitioner alleges that it first learned in September 2013, through a telephone call, that OMIG would seek reimbursement of the entire \$1,857,401 identified as the point estimate in the FAR. Its representative protested in an email to OMIG on September 12, 2013, that "it has always been our understanding that the collection of overpayments was based on the lower \$1.4 amount," pointing to the December 2010 notice of withholding identifying the "overpayment amount as \$1,460,914." Petitioner claimed it had "no record of any correspondence to the contrary."

Petitioner commenced the instant article 78 proceeding seeking to prohibit the agency from withholding more than the lower confidence amount referenced in the December 2010 withholding notice. Supreme Court found no merit to the argument that the withholding notices, which referenced the FAR identification number, established that OMIG had agreed that petitioner's ultimate liability was limited to the lower confidence limit, pointing to the FAR statement that OMIG would seek, by withholding, to recover the balance "not barring any other remedy allowed by law." It found that petitioner was "well aware of its ultimate liability for \$1.8 million," as this amount was referenced multiple times in connection with the CPLR article 78 proceeding.

The Appellate Division reversed, with two justices dissenting (see *West Midtown Mgt. Group, Inc. v State of New York*, 142 AD3d 843 [1st Dept 2016]). The majority reasoned that the December 9, 2010 notice of withholding served as the notice of the duration of withholding as required by 18 NYCRR 518.7 (c)

Court, New York County to compel a hearing, which was denied for the reasons articulated in the administrative law judge's decision. Significantly, in petitioner's request for a hearing, petitioner acknowledged that it "was the subject of a Final Audit Report . . . that alleges an overpayment *in excess of \$1.8 million*" and that it was being "held to *at least* a \$1.4 million repayment (*the low point*)" (emphasis added). Likewise, the administrative law judge's written decision specifically noted that OMIG "sought to recover" \$1,857,401. Petitioner did not appeal the decision.

(2), and because it plainly referred to “an overpayment totaling \$1,460,914” and stated that withholding would continue until “the balance due is recovered,” OMIG was not authorized to collect more than that amount (*id.* at 844-845). We now reverse.

III. Discussion

Petitioner argues that it never received proper notice that OMIG planned to withhold a total of \$1,857,401, contending that the FAR failed to “clearly advise” petitioner of OMIG’s intent to withhold payments beyond the lower confidence limit estimate of \$1,460,914 if petitioner failed to request a hearing (18 NYCRR 517.6 [b]). In addition, because the two notices of withholding delivered in 2010 referenced a “balance due” of \$1,460,914, petitioner effectively argues that OMIG “acquiesced” to this lower amount and failed to provide proper notice that it would seek to withhold a greater amount in accordance with section 518.7 (c). For the reasons that follow, we find these arguments unpersuasive.

[1] Petitioner ignores the clear statements in the June 16, 2010 cover letter to the FAR and in the FAR’s executive summary that petitioner’s estimated overpayment liability was \$1,857,401. The pertinent regulations provide that, if an audit report is challenged, “[a]n extrapolation based upon an audit utilizing a statistical sampling method certified as valid will be presumed, in the absence of expert testimony and evidence to the contrary, to be an accurate determination of the total overpayments made or penalty to be imposed” (*id.* § 519.18 [g]). By contrast, the \$1,460,914 figure, as explained in the FAR and the cover letter, merely represented, with 95% accuracy, a lower bound on the true amount overpaid. The FAR and cover letter sufficiently notified petitioner, in accordance with section 517.6 (b), of OMIG’s \$1,857,401 overpayment assessment which OMIG would be entitled to withhold in accordance with section 518.7.

Our conclusion is supported by the language contained in the FAR provider rights section. That section stated that, should petitioner fail to settle, OMIG will commence withholding and “liquidate the lower confidence limit amount . . . *not barring any other remedy allowed by law*” (emphasis added). Likewise, the cover letter stated that “OMIG reserves the right to take additional actions” and indicated that the “audit may be *settled* through repayment of the lower confidence limit of

\$1,460,914” (emphasis added). The only logical reading of the provider rights section is as a settlement offer, pursuant to which petitioner had 20 days to either repay the lower confidence limit estimate or agree to a repayment plan. Under petitioner’s reading of this section, the 20-day clock for petitioner to accept OMIG’s settlement offer would be rendered meaningless, as petitioner could simply allow the 20-day period to elapse without incurring any additional liability. Indeed, under petitioner’s reading, the *only* way for OMIG to recover the full \$1,857,401 that it said it was owed would be for petitioner to request, and then lose, an administrative hearing.

Contrary to petitioner’s contentions, it was reasonable for OMIG to indicate that, should petitioner fail to settle, OMIG would “liquidate the lower confidence limit amount.” Because petitioner still had time to challenge the FAR in a hearing even after withholding commenced, OMIG reasonably adopted a conservative approach, pursuant to which withholding would—initially—be based on the \$1,460,914 figure. This did not preclude OMIG from subsequently seeking to withhold the full \$1,857,401 amount. As noted previously, the FAR and cover letter both clearly indicated that the agency reserved its rights to pursue all available remedies.

Petitioner’s argument that the subsequent notices of withholding in 2010 were inadequate under section 518.7 (c) of the regulations is without merit. The regulations do not require the notices to state the total amount that OMIG seeks to withhold (*see* 18 NYCRR 518.7 [c]). To the extent that OMIG was precluded from withholding more than the lower confidence limit amount because the notices specifically indicated a “balance due” of \$1,460,914, petitioner does not dispute that, at the time the petition was filed, OMIG had not yet even liquidated this lower amount. Therefore, at the time the petition was filed, OMIG was not required to provide notice of its intent to withhold more than \$1,460,914. OMIG may continue to withhold payments even after it has liquidated the lower confidence limit amount, so long as a new notice of withholding is given before it does so (*see id.*).

[2] Finally, to the extent that petitioner suggests that OMIG should be estopped from seeking the full \$1,857,401 because the FAR and the withholding notices referred to the lower confidence amount, the argument is both legally and factually devoid of merit. It is well established that, with rare exceptions, estoppel is not available as a remedy to prevent a

governmental agency from discharging its statutory duties (see *Matter of Schorr v New York City Dept. of Hous. Preserv. & Dev.*, 10 NY3d 776, 779 [2008]; *Matter of Parkview Assoc. v City of New York*, 71 NY2d 274, 282 [1988]). We have recognized that estoppel “may be warranted in ‘unusual factual situations’ to prevent injustice” (*Matter of E.F.S. Ventures Corp. v Foster*, 71 NY2d 359, 369-370 [1988]), but we have limited its use against government agencies to all “but the rarest cases” (*Matter of New York State Med. Transporters Assn. v Perales*, 77 NY2d 126, 130 [1990]). The facts in this case do not call for making an exception to our general rule. It is not one of those rare cases where we have suggested that estoppel would be warranted to prevent an injustice (see *E.F.S. Ventures*, 71 NY2d at 369-370; *Parkview Assoc.*, 71 NY2d at 282). In any event, petitioner was clearly aware of the audit’s findings and referred to the \$1,857,401 figure in communications with OMIG and the DOH Board of Adjudication, and in its first article 78 proceeding. Even here, in its article 78 petition, petitioner conceded that OMIG “determined, subject to appeal,” that petitioner “had been overpaid \$1,857,401.00 for outpatient services.” In sum, petitioner was on notice from the outset that OMIG was seeking, and entitled to, the full point estimate. While petitioner seizes on references to the lower confidence limit amount in the FAR provider rights section and subsequent notices of withholding, “those who deal with the government are expected to know the law, and cannot rely on the conduct of government agents” to excuse legal obligations (*Matter of New York State Med. Transporters Assn.*, 77 NY2d at 131).²

IV. Conclusion

For the reasons discussed, the order of the Appellate Division should be reversed, with costs, and the judgment of Supreme Court reinstated.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Garcia and Wilson concur.

Order reversed, with costs, and judgment of Supreme Court, New York County, reinstated.

2. Petitioner’s related contention, raised for the first time on this appeal, that the notices of withholding themselves constituted “final determinations” within the meaning of part 519 of the regulations was not preserved for our review.

[106 NE3d 709, 81 NYS3d 326]

ERIC WHITE et al., Appellants, v ERIC T. SCHNEIDERMAN, New York State Attorney General, in His Official Capacity, et al., Respondents.

Argued April 25, 2018; decided June 7, 2018

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered June 10, 2016. The Appellate Division order, insofar as appealed from, modified, on the law, a judgment (denominated order) of the Supreme Court, Cattaraugus County (Jeremiah J. Moriarty III, J.), which had granted the cross motion of defendants to dismiss plaintiffs' complaint. The modification consisted of reinstating the complaint to the extent that it sought a declaration and granting judgment in favor of defendants declaring that Tax Law § 471 is not inconsistent with Indian Law § 6, the Treaty of 1842 (7 US Stat 586 [1842]), or the Due Process or Commerce Clauses of the United States Constitution.

White v Schneiderman, 140 AD3d 1636, affirmed.

HEADNOTE

Taxation — Tax on Cigarettes and Tobacco Products — Sales on Indian Reservations — Precollection of Tax on Sales to Non-Indian Consumers

Tax Law § 471, which imposes requirements on Indian retailers located on reservation land to prepay the tax on cigarette sales to individuals who are not members of the Seneca Nation of Indians, does not conflict with either the Buffalo Creek Treaty of 1842 (7 US Stat 586) or Indian Law § 6 because the precollection mechanism does not operate as a direct tax on the retailers or upon members of the Seneca Nation. State tax statutes requiring Indian retailers to collect and remit taxes on sales to non-Indian purchasers, and to keep the records necessary to ensure compliance, violate neither the Commerce Clause nor the constitutional proscription against direct taxation of Indians. It is only the legal burden of a tax, as opposed to its practical economic burden, that a state is categorically barred by federal law from imposing on tribes or tribal members. The express language of New York's tax law provides that "the ultimate incidence of and liability for the tax shall be upon the consumer," and mandates that the tax money advanced by an "agent or dealer" be paid back by the consumer (Tax Law § 471 [2], [3]). Moreover, the plain language of both the Treaty and Indian Law § 6 establishes that they only apply to "taxes." The precollection mechanism is not a tax on the retailer and is borne instead by the non-Indian consumer. Neither the Treaty nor the statute supports an argument that any indirect impact on Indian retailers resulting from permissible taxation of non-Indian customers is prohibited.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Sales and Use Taxes § 20; AM JUR 2d State and Local Taxation § 151.

McKINNEY'S, Tax Law § 471.

NY JUR 2d Taxation and Assessment §§ 2394, 2397.

ANNOTATION REFERENCE

See ALR Index under Indians; Taxes; Tobacco and Tobacco Products.

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POINTS OF COUNSEL

Lipsitz Green Scime Cambria LLP, Buffalo (Paul J. Cambria, Jr. and Erin E. McCampbell of counsel), for appellants. I. The State's sudden, unexpected, and unilateral decision to enact certain taxation statutes and regulations to be enforced on the sovereign land of the Seneca Nation constituted a dramatic legal shift in the State's treatment of the members of the Seneca Nation. (*Hastings v Farmer*, 4 NY 293; *Fellows v Deniston*, 23 NY 420; *Matter of Patterson v Seneca Nation*, 245 NY 433; *California v Cabazon Band of Mission Indians*, 480 US 202; *United States v Forness*, 125 F2d 928; *Cayuga Indian Nation of N.Y. v Gould*, 14 NY3d 614.) II. The plain language of Indian Law § 6 renders Tax Law § 471 unenforceable on the transactions at issue in this appeal. (*Department of Taxation & Finance of N. Y. v Milhelm Attea & Bros.*, 512 US 61; *Moe v Confederated Salish & Kootenai Tribes of Flathead Reservation*, 425 US 463; *Cayuga Indian Nation of N.Y. v Gould*, 14 NY3d 614.) III. The mandatory rules of construction render Tax Law § 471 incompatible with Indian Law § 6 and the Buffalo Creek Treaty. (*Worcester v Georgia*, 31 US 515; *Nevada v Hicks*, 533 US 353; *McClanahan v Arizona Tax Comm'n*, 411 US 164; *Carpenter v Shaw*, 280 US 363; *Alaska Pacific Fisheries v United States*, 248 US 78; *Choate v Trapp*, 224 US 665; *County of Yakima v Confederated Tribes & Bands of Yakima Nation*, 502 US 251; *Montana v Blackfeet Tribe*, 471 US 759.) IV. Tax Law § 471 cannot be reconciled with the Supreme

Court's holding in *The New York Indians* (5 Wall [72 US] 761 [1867]).

Eric T. Schneiderman, Attorney General, Albany (Andrew D. Bing, Barbara D. Underwood and Robert M. Goldfarb of counsel), for respondents. I. Indian Law § 6 and the Buffalo Creek Treaty only bar the State's taxation of Indian reservation land and are not incompatible with Tax Law § 471. (*Snyder v Wetzler*, 193 AD2d 329, 84 NY2d 941; *Matter of New York State Dept. of Taxation & Fin. v Bramhall*, 235 AD2d 75, 91 NY2d 849; *County of Yakima v Confederated Tribes and Bands of Yakima Indian Nation*, 502 US 251; *South Carolina v Catawba Tribe, Inc.*, 476 US 498; *Oregon Dept. of Fish and Wildlife v Klamath Tribe*, 473 US 753; *D'Amico v Christie*, 71 NY2d 76; *Mescalero Apache Tribe v Jones*, 411 US 145; *Riley v County of Broome*, 95 NY2d 455; *Moe v Confederated Salish and Kootenai Tribes of Flathead Reservation*, 425 US 463.) II. If, as plaintiffs argue, Tax Law § 471 were incompatible with Indian Law § 6, Tax Law § 471 would control. (*Rangolan v County of Nassau*, 96 NY2d 42; *Department of Taxation & Finance of N. Y. v Milhelm Attea & Bros.*, 512 US 61; *Ball v State of New York*, 41 NY2d 617; *Cimo v State of New York*, 306 NY 143; *Matter of Corrigan v New York State Off. of Children & Family Servs.*, 28 NY3d 636.) III. Tax Law § 471 is consistent with the holding in *The New York Indians* (5 Wall [72 US] 761 [1867]) and is lawful under subsequent Supreme Court decisions. (*The New York Indians*, 5 Wall [72 US] 761; *People ex rel. Ray v Martin*, 294 NY 61, 326 US 496; *Organized Village of Kake v Egan*, 369 US 60; *Nevada v Hicks*, 533 US 353; *Moe v Confederated Salish and Kootenai Tribes of Flathead Reservation*, 425 US 463; *Washington v Confederated Tribes of Colville Reservation*, 447 US 134; *Department of Taxation and Finance of N. Y. v Milhelm Attea & Bros.*, 512 US 61; *Oneida Nation of N.Y. v Cuomo*, 645 F3d 154.)

Lippes Mathias Wexler Friedman LLP, Buffalo (Carol E. Heckman and Thomas J. Gaffney of counsel), for Seneca Nation of Indians and others, amici curiae. I. Neither the U.S. Supreme Court nor the Court of Appeals has addressed whether Indian Law § 6 bars taxation of cigarette sales on Indian reservations. (*Snyder v Wetzler*, 193 AD2d 329, 84 NY2d 941; *Matter of New York State Dept. of Taxation & Fin. v Bramhall*, 235 AD2d 75, 91 NY2d 849.) II. The meaning of Indian Law § 6 is clear on its face—the State is not permitted to impose any tax on the Indian reservations within the state.

(*Citizens Against Casino Gambling in Erie County v Chaudhuri*, 802 F3d 267; *Montana v United States*, 450 US 544.) III. New York State's Indian Law statutes indicate the phrase "upon . . . reservation" to refer to jurisdictional boundaries, not real property. (*Matter of Palmer v Spaulding*, 299 NY 368; *Betz v Horr*, 276 NY 83; *Rankin v Shanker*, 23 NY2d 111; *Kills Plenty v United States*, 133 F2d 292; *Central Machinery Co. v Arizona Tax Comm'n*, 448 US 160; *United States v Shoshone Tribe*, 304 US 111; *United States v Ramsey*, 271 US 467; *Donnelly v United States*, 228 US 243; *In re Fredenberg*, 65 F Supp 4.) IV. If any ambiguity exists in Indian Law § 6, such ambiguity must be construed in favor of the plaintiffs-appellants in accordance with well established canons of construction. (*County of Yakima v Confederated Tribes and Bands of Yakima Nation*, 502 US 251; *Citizens Against Casino Gambling in Erie County v Chaudhuri*, 802 F3d 267; *Morales v County of Nassau*, 94 NY2d 218; *Matter of Jewish Home & Infirmary of Rochester v Commissioner of N.Y. State Dept. of Health*, 84 NY2d 252.)

Barclay Damon, LLP, Syracuse (*Lee Alcott* and *Michael E. Nicholson* of counsel), for the Cayuga Nation, amicus curiae. I. Tax Law § 471 is unenforceable because it violates the sovereignty of New York's Indian nations. (*Worcester v Georgia*, 6 Pet [31 US] 515; *Santa Clara Pueblo v Martinez*, 436 US 49; *Cherokee Nation v Georgia*, 5 Pet [30 US] 1; *Iowa Mut. Ins. Co. v LaPlante*, 480 US 9; *United States v Wheeler*, 435 US 313; *Strate v A-1 Contractors*, 520 US 438; *Montana v United States*, 450 US 544; *Washington v Confederated Tribes of Colville Reservation*, 447 US 134.) II. The Appellate Division erred when it failed to apply the appropriate canons of statutory construction to Indian Law § 6. (*Montana v Blackfeet Tribe*, 471 US 759; *Bryan v Itasca County*, 426 US 373; *Mushlitt v Silverman*, 50 NY 360; *Cornell v Coyne*, 192 US 418.)

OPINION OF THE COURT

GARCIA, J.

Plaintiffs assert that enforcement of Tax Law § 471, which imposes requirements on Indian¹ retailers located on reservation land to prepay the tax on cigarette sales to individuals who are not members of the Seneca Nation of Indians, is incon-

1. To conform with the treaty and statutes at issue, and with the phrasing adopted by the parties, the term "Indians" will be used to refer to the members of the Seneca Nation, or more generally, Native Americans.

sistent with Indian Law § 6 and the Buffalo Creek Treaty of 1842 (7 US Stat 586 [1842]). We hold that because the Tax Law's precollection mechanism does not operate as a direct tax on the retailers or upon members of the Seneca Nation, it does not conflict with either the Treaty or the statute.

I.

Plaintiff Eric White, a member of the Seneca Nation of Indians, operates a convenience store, plaintiff Native Outlet, located on Seneca Nation lands. Through Native Outlet, White sells cigarettes to tribal members and nonmembers, and is therefore subject to Tax Law § 471. The statute provides that the tax shall be imposed "on all cigarettes possessed in the state by any person for sale," including "all cigarettes sold on an Indian reservation to non-members of the Indian nation or tribe," but contains an exception for cigarette "sales to qualified Indians for their own use and consumption on their nations' . . . qualified reservation" (Tax Law § 471 [1]).

Plaintiffs commenced this action seeking (1) a declaration that Tax Law § 471 is unconstitutional and invalid and (2) a permanent injunction enjoining defendants from enforcing the law against them. The complaint alleged that the tax law conflicts with the Buffalo Creek Treaty of 1842 and Indian Law § 6. After plaintiffs moved for a preliminary injunction, defendants cross-moved to dismiss the complaint for failure to state a cause of action. Supreme Court granted defendants' motion and dismissed plaintiffs' motion for a preliminary injunction as moot.

The Appellate Division, among other things, modified the judgment by reinstating the complaint to the extent it sought a declaration and granted judgment in favor of defendants, declaring that the tax law is not inconsistent with either Indian Law § 6 or the Treaty (140 AD3d 1636 [4th Dept 2016]). Construing the Treaty and Indian Law § 6 liberally in favor of plaintiffs, the Court nevertheless determined that they were not entitled to declaratory relief in light of Supreme Court precedent holding that "the States have a valid interest in ensuring compliance with lawful taxes that might easily be evaded through purchases of tax-exempt cigarettes on reservations," and to curb that practice, "States may impose on reservation retailers minimal burdens reasonably tailored to the collection of valid taxes from non-Indians" (*id.* at 1638, quoting *Department of Taxation & Finance of N. Y. v Milhelm Attea & Bros.*,

512 US 61, 73 [1994]). Accordingly, the Court concluded that although the law requires plaintiffs to prepay the amount due as tax, because it is the non-Indian consumers who ultimately have the tax liability, “ ‘th[e] burden is not, strictly speaking, a tax at all’ ” (*id.* at 1638-1639, quoting *Moe v Confederated Salish & Kootenai Tribes of Flathead Reservation*, 425 US 463, 483 [1976]). The Court also declined to revisit its 1997 holding that “the Treaty of 1842 and Indian Law § 6 bar the taxation of reservation land, but do not bar the imposition of . . . ‘sales taxes on cigarettes . . . sold to non-Indians on the Seneca Nation’s reservations’ ” (*id.* at 1637, quoting *Matter of New York State Dept. of Taxation & Fin. v Bramhall*, 235 AD2d 75, 85 [4th Dept 1997]).

This Court granted plaintiffs leave to appeal (28 NY3d 1170 [2017]).

II.

In 2010, the legislature amended Tax Law §§ 471 and 471-e and the Department of Taxation and Finance adopted implementing regulations. The law provides that a tax must be paid “on all cigarettes possessed in th[is] state by any person for sale, except that no tax shall be imposed on cigarettes sold under such circumstances that this state is without power to impose such tax, including sales to qualified Indians for their own use and consumption on their nations’ or tribes’ qualified reservation” (Tax Law § 471 [1]). Under the amended tax law, the Department “precollects” the tax on nonexempt cigarettes from state-licensed stamping agents who purchase tax stamps from the State and affix the stamps to each package of cigarettes to demonstrate payment of the tax (Tax Law § 471 [2]; 20 NYCRR 74.3 [a] [1] [iii]; [2]). Agents incorporate the cost into the pack’s price, which is passed along the distribution chain to the consumer who bears “the ultimate incidence of and liability for” the tax (Tax Law § 471 [2], [3]; *see Oneida Nation of N.Y. v Cuomo*, 645 F3d 154, 158 [2d Cir 2011]). As a result, although tribal retailers must prepay the tax to wholesalers when purchasing inventory, they ultimately recoup the tax by adding it to the retail price for cigarettes sold to nonmembers of the Nation. The law also permits tribes or reservation retailers to purchase a limited quantity of cigarettes

based on their “probable demand” without prepaying the tax to wholesalers (see Tax Law § 471 [1], [5] [a], [b]).²

III.

We agree with the courts below, and the Second Circuit, that the law’s prepayment obligation does not constitute a direct tax on tribal retailers and is therefore not prohibited by federal law (see *Oneida Nation*, 645 F3d at 168-169).

There is a long history of legal challenges to attempts by individual states, including New York, to tax transactions taking place on Indian land (see *Milhelm Attea & Bros.*, 512 US at 64; *Oklahoma Tax Comm’n v Citizen Band of Potawatomi Tribe of Okla.*, 498 US 505 [1991]; *Washington v Confederated Tribes of Colville Reservation*, 447 US 134, 160-161 [1980]; *Moe v Confederated Salish & Kootenai Tribes of Flathead Reservation*, 425 US 463 [1976]; see also *Cayuga Indian Nation of N.Y. v Gould*, 14 NY3d 614, 622-629 [2010] [discussing New York’s efforts to tax cigarette sales made on reservations to non-Indians]). In assessing these challenges, the Supreme Court has made clear that federal law prohibits states from taxing cigarette sales to enrolled tribal members on their own reservations for personal use, but permits states to tax on-reservation cigarette sales to persons other than reservation Indians (see *Moe*, 425 US at 475-481; *Milhelm Attea & Bros.*, 512 US at 64). In *Moe*, the Supreme Court upheld a precollection tax scheme that required the cigarette seller to prepay the tax and pass the cost on to the purchaser (425 US at 483). The tribe argued that the prepayment of the tax constituted an impermissible tax on the tribal retailer. The Court rejected that argument because the tax was, as New York’s is, ultimately borne by the non-Indian consumer (*id.* at 481-482). The Court explained that the precollection scheme was “not, strictly speaking, a tax at all,” and was a “minimal burden” on tribes “to avoid the likelihood that in its absence non-Indians purchasing from the tribal seller will avoid payment of a concededly lawful tax” on

2. In 2011, it was estimated that New York would generate approximately 110 million dollars in annual tax revenue if it curbed tax evasion linked to cigarette sales on reservations (see *Oneida Nation of N.Y. v Cuomo*, 645 F3d 154, 159 [2d Cir 2011]). As an example of potential lost revenue, in 2009, the year before passage of the statutory provisions at issue here, the Seneca Nation had approximately 8,000 members and a yearly probable demand of 67,500 cartons of cigarettes, yet that year alone, the Seneca Nation purchased 10 million untaxed cartons from state-licensed distributors (*id.* at n 6).

non-Indians (*id.* at 483; *see Milhelm Attea & Bros.*, 512 US at 73, 76).

This Court recognized these guiding principles in considering a challenge based on federal law to a requirement that an enrolled member of the Seneca Nation collect and remit sales, use and excise taxes on sales of cigarettes and gasoline made on the reservation to non-Indian consumers (*Snyder v Wetzler*, 84 NY2d 941 [1994]). In rejecting that challenge, we noted that the “Supreme Court has clearly established that State tax statutes requiring Indian retailers to collect and remit taxes on sales to non-Indian purchasers, and to keep the records necessary to ensure compliance, violate neither the Commerce Clause nor the constitutional proscription against direct taxation of Indians” (*id.* at 942). And, in *Oneida Nation*, the Second Circuit, in considering a request for a preliminary injunction with respect to the tax laws at issue here, found a failure to demonstrate a likelihood of success on the merits with respect to claims that “the precollection scheme impermissibly imposes a direct tax on tribal retailers, or alternatively, [that it] imposes an undue and unnecessary economic burden on [those] retailers” (645 F3d at 175). As the Second Circuit noted, “it is only the legal burden of a tax—as opposed to its practical economic burden—that a state is categorically barred by federal law from imposing on tribes or tribal members” (*Oneida Nation*, 645 F3d at 168 [emphasis omitted]). The express language of New York’s tax law provides that “the ultimate incidence of and liability for the tax shall be upon the consumer,” and mandates that the tax money advanced by any “agent or dealer” be paid back by the consumer (Tax Law § 471 [2], [3]; *see Cayuga Indian Nation*, 14 NY3d at 647).³ Accordingly, New York’s “precollection scheme is materially indistinguishable from those upheld in *Moe and Colville*” (*Oneida Nation*, 645 F3d at 169; *see Milhelm Attea & Bros.*, 512 US at 76).

IV.

With any challenge to the precollection mechanism based on federal law effectively foreclosed, plaintiffs look to the Treaty and Indian Law § 6 for support. Neither the Treaty nor the statute provides plaintiffs the relief sought.

3. The Supreme Court has “suggested that such dispositive language from the state legislature is determinative of who bears the legal incidence of a state excise tax” (*Wagnon v Prairie Band Potawatomi Nation*, 546 US 95, 102 [2005] [internal quotation marks and citations omitted]).

It is well-established that statutes and treaties with Indians “are to be construed liberally in favor of the Indians, with ambiguous provisions interpreted to their benefit” (*Montana v Blackfeet Tribe*, 471 US 759, 766 [1985]; see also *County of Yakima v Confederated Tribes and Bands of Yakima Nation*, 502 US 251, 269 [1992]), and that the words used must be understood “in the sense in which they would naturally be understood by the Indians” (*Washington v Washington State Commercial Passenger Fishing Vessel Assn.*, 443 US 658, 676 [1979] [internal quotation marks and citations omitted]). However, “[t]he canon of construction regarding the resolution of ambiguities in favor of Indians . . . does not permit reliance on ambiguities that do not exist” (*South Carolina v Catawba Tribe, Inc.*, 476 US 498, 506 [1986]).

Article 9 of the Buffalo Creek Treaty of 1842 provides:

“The parties to this compact mutually agree to solicit the influence of the Government of the United States to protect such of the lands of the Seneca Indians, within the State of New York, as may from time to time remain in their possession from all *taxes*, and assessments for roads, highways, or any other purpose until such lands shall be sold and conveyed by the said Indians, and the possession thereof shall have been relinquished by them” (7 US Stat 586, 590 [emphasis added]).

Section 6 of the Indian Law, which was derived from the Treaty and is entitled “Exemption of reservation lands from *taxation*,” provides:

“No *taxes* shall be assessed, for any purpose whatever, upon any Indian reservation in this state, so long as the land of such reservation shall remain the property of the nation, tribe or band occupying the same” (emphasis added).

The plain language of both the Treaty and Indian Law § 6 establishes that they only apply to “taxes.” There is no “ambiguity” here. As noted above, the precollection mechanism at issue here is not a tax on the retailer and is borne instead by the non-Indian consumer. Neither the Treaty nor the statute supports an argument that any indirect impact on Indian retailers resulting from permissible taxation of non-Indian customers is prohibited.

V.

Tax Law § 471 does not constitute a tax on an Indian retailer, and therefore it does not run afoul of the plain language of the Treaty or Indian Law § 6. As a result, we need not address plaintiffs' claim that the Treaty and statute prohibit more than the assessment of taxes on real property within the reservation. For the same reason, we decline to address plaintiffs' argument that the tax law cannot be reconciled with the Supreme Court's decision in *The New York Indians* (5 Wall [72 US] 761 [1867]). Accordingly, the order of the Appellate Division, insofar as appealed from, should be affirmed, with costs.

Chief Judge DiFiore and Judges Rivera, Stein, Fahey, Wilson and Feinman concur.

Order, insofar as appealed from, affirmed, with costs.

[106 NE3d 714, 81 NYS3d 331]

NIURKA ANDINO, Respondent-Appellant, v RONALD MILLS et al.,
Appellants-Respondents. (And a Third-Party Action.)

Argued April 24, 2018; decided June 12, 2018

SUMMARY

CROSS APPEALS, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an amended judgment of the Supreme Court, Bronx County (Lizbeth Gonzalez, J.), entered January 12, 2017. The Supreme Court awarded plaintiff money damages against defendants upon the parties' stipulation to a reduced award for pain and suffering. The appeal brings up for review a prior order of that Appellate Division, entered January 5, 2016. The Appellate Division had modified, on the law and the facts, a prior judgment of that Supreme Court awarding plaintiff, upon a jury verdict, the principal sums of \$600,000 for past pain and suffering, \$23,000,000 for future pain and suffering over 37 years, \$283,422 for past lost earnings, \$2,100,000 for future medical expenses over 37 years, and \$2,490,829 for future loss of pension over 17.7 years. The appeal to the Appellate Division brought up for review an order of that Supreme Court, which denied, after a hearing, defendants' motion for a collateral source offset pursuant to CPLR 4545. The modification consisted of (1) granting that portion of defendants' motion seeking to offset the jury's award of future pension benefits by the amount of plaintiff's accidental disability benefits; (2) vacating the award for future pain and suffering; and (3) ordering a new trial as to such damages unless plaintiff, within 30 days of service of a copy of the order with notice of entry, stipulated to accept a reduced award for future pain and suffering in the amount of \$2.7 million and to entry of an amended judgment in accordance therewith. The Appellate Division affirmed the judgment and order as modified. The following question was certified by the Appellate Division: "Was the order of this Court, which modified the order of Supreme Court, properly made?"

Andino v Mills, 135 AD3d 407, modified.

HEADNOTE

Damages — Collateral Source of Payment — Accident Disability Benefits — Offset against Awards for Economic Loss

Accident disability retirement (ADR) benefits received by plaintiff, a retired New York City police officer who was awarded damages by a jury after being

injured on duty, were a collateral source that the court must offset against plaintiff's award for future lost earnings and pension. At the time of plaintiff's injury, CPLR 4545 (former [c]) provided that where a plaintiff seeks to recover loss of earnings or other economic loss, the court shall consider evidence that those losses, with reasonable certainty, would be replaced or indemnified, in whole or in part, from any collateral source, and reduce the amount of a damages award by the collateral source. New York City police officers who stop working as a result of an on-the-job injury are not eligible for workers' compensation benefits, but instead receive ADR benefits at an annual amount of 75% of their final average salary. Recipients of ADR benefits who are capable of gainful occupation and earn income through other city service are subject to reduction of ADR benefits by amounts that the actual or potential income exceeds the maximum income allowed (Administrative Code of City of NY § 13-254 [a]). This ensures that the recipient's actual or potential income approximates the amount the recipient would have earned in service, meaning the ADR benefits replace future lost earnings. However, once the recipient's tenure reaches the point at which, but for the injury, the recipient would have become eligible for a regular service pension, ADR benefits are no longer subject to reduction. Since ADR replaces earnings and pension, it is a collateral source within the meaning of CPLR 4545 that a court must set off against both, representing the category of economic loss in which ADR is allocated sequentially. There is no requirement that there be a direct match between the jury's damages award and the collateral source in the sense that there must be an exact dollar equivalence, only that the collateral source replace a category of loss reflected in the jury award.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Damages §§ 405, 406, 415.

NY JUR 2d Damages §§ 132, 134.

ANNOTATION REFERENCE

See ALR Index under Collateral Source Rule.

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POINTS OF COUNSEL

Lawrence Heisler, New York City Transit Authority, Brooklyn (Timothy J. O'Shaughnessy of counsel), for appellants-respondents. The accident disability retirement benefits are a collateral source and must be subtracted from the awards for loss of earnings and loss of pension benefits. (*Oden v Chemung County Indus. Dev. Agency*, 87 NY2d 81, 211 AD2d 997; *Bryant v New*

York City Health & Hosps. Corp., 93 NY2d 592; *Iazzetti v City of New York*, 256 AD2d 140, 94 NY2d 183; *Terranova v New York City Tr. Auth.*, 49 AD3d 10, 11 NY3d 708; *Johnson v New York City Tr. Auth.*, 88 AD3d 321.)

Sullivan Papain Block McGrath & Cannavo P.C., New York City (Brian J. Shoot of counsel), and *Dansker & Aspromonte Associates*, New York City (Paul Dansker of counsel), for respondent-appellant. I. The trial court was correct in ruling that the defendants failed to establish the prerequisite “clear and convincing” entitlement to a collateral source setoff. (*Iazzetti v City of New York*, 94 NY2d 183; *Oden v Chemung County Indus. Dev. Agency*, 87 NY2d 81; *Inchaustegui v 666 5th Ave. Ltd. Partnership*, 96 NY2d 111; *Fisher v Qualico Contr. Corp.*, 98 NY2d 534; *Bryant v New York City Health & Hosps. Corp.*, 93 NY2d 592; *Fisher v Mascardo*, 94 AD3d 524; *Stolowski v 234 E. 178th St. LLC*, 89 AD3d 549; *Shue v Red Cr. Cent. School Dist.*, 266 AD2d 899; *Matter of Giannettino v McGoldrick*, 295 NY 208; *Matter of Gordon v Monaghan*, 309 NY 336.) II. At the very least, the reductions, if any, should be limited to those portions of the accident disability retirement benefits that arguably correspond to the awards for lost future income and for future loss of pension.

Zachary W. Carter, Corporation Counsel, New York City (Julie Steiner, Richard Dearing and Scott Shorr of counsel), for City of New York, amicus curiae. Accident disability retirement benefits should offset jury awards for both lost earnings and lost service pension benefits. (*Iazzetti v City of New York*, 94 NY2d 183; *Oden v Chemung County Indus. Dev. Agency*, 87 NY2d 81; *Johnson v New York City Tr. Auth.*, 88 AD3d 321; *Gonzalez v Iocovello*, 249 AD2d 143, 93 NY2d 539; *Terranova v New York City Tr. Auth.*, 49 AD3d 10, 11 NY3d 708; *Bryant v New York City Health & Hosps. Corp.*, 93 NY2d 592; *Matter of Seiferheld v Kelly*, 16 NY3d 561; *Matter of Walsh v Scoppetta*, 18 NY3d 850.)

OPINION OF THE COURT

RIVERA, J.

The common question presented in these cross appeals is whether a retired New York City police officer’s accident disability retirement (ADR) benefits are a collateral source that a court must offset against the injured retiree’s jury award for future lost earnings and pension. We hold that ADR benefits

operate to replace earnings during the period when the retiree could have been employed, absent the disabling injury, and then serve as pension allotments, and so a court must offset a retiree's projected ADR benefits against the jury award for both categories of economic loss.

I.

Plaintiff Niurka Andino is a retired police officer who was injured on duty while riding in a police car that collided with a vehicle owned by defendant New York City Transit Authority (NYCTA) and operated by NYCTA employee defendant Ronald Mills. The jury in Andino's personal injury action found Mills 100% responsible for the accident and attached no liability to the officer driving the police car. The jury held for Andino and awarded her a set amount for past and future lost earnings, past and future pain and suffering, future medical expenses, and future loss of pension. By stipulation, the parties later agreed to set the period for future lost earnings at 19.24 years and future lost pension at 17.7 years.¹

Defendants moved to offset the jury award pursuant to CPLR 4545, which permits a court to find that certain awarded damages were or will, with reasonable certainty, be replaced or indemnified from a collateral source. After a hearing, Supreme Court denied the motion, concluding that defendants failed to establish a sufficient nexus between Andino's lost earnings and pension and her projected ADR benefits, based on its understanding of this Court's holding in *Oden v Chemung County Indus. Dev. Agency* (87 NY2d 81 [1995]) and the Appellate Division's application of *Oden* in *Johnson v New York City Tr. Auth.* (88 AD3d 321 [2011]) that there must be a direct match between the jury's damages award and the collateral source.

The Appellate Division modified on the law and granted defendants' motion to offset the award for future pension benefits by the total amount of Andino's projected ADR benefits, thus reducing these damages to zero, and otherwise affirmed Supreme Court's denial of an offset for Andino's future lost earnings (*see* 135 AD3d 407, 408-409 [1st Dept 2016]). The Appellate Division modified on the facts to vacate the award for future pain and suffering and ordered a new trial on those damages, unless Andino stipulated to a reduced award. The

1. The parties also stipulated to more exact figures that reduced the awards for past and future loss of earnings, as well as future loss of pension.

Appellate Division subsequently granted Mills, NYCTA, and Andino leave to appeal from an amended judgment entered after the parties stipulated to a reduced award (2017 NY Slip Op 70028[U] [1st Dept 2017]). This appeal brings up for review the prior order which affirmed as modified Supreme Court's judgment.

II.

A.

At the time Andino filed her personal injury action the applicable version of CPLR 4545 provided, in relevant part, that

“[i]n any action brought to recover damages for personal injury . . . where the plaintiff seeks to recover for the cost of medical care, . . . loss of earnings or other economic loss, evidence shall be admissible for consideration by the court to establish that any such past or future cost or expense was or will, with reasonable certainty, be replaced or indemnified, in whole or in part, from any collateral source [with some exceptions] If the court finds that any such cost or expense was or will, with reasonable certainty, be replaced or indemnified from any collateral source, it shall reduce the amount of the award by such finding, minus an amount equal to the premiums paid by the plaintiff for such benefits for the two-year period immediately preceding the accrual of such action and minus an amount equal to the projected future cost to the plaintiff of maintaining such benefits” (former CPLR 4545 [c]).²

The parties dispute whether ADR benefits are a collateral source for purposes of CPLR 4545 that replaces the jury's award for Andino's future lost earnings and pension.

Mills and NYCTA argue that, when a police officer retires due to an on-the-job injury that leaves the officer disabled, the ADR benefits allotted to that officer for those years when the

2. In 2009, the legislature amended and relettered CPLR 4545 (c) as CPLR 4545 (a) (L 2009, ch 494, § 1, part F, § 2). It made only two changes to the statute: the first, an edit for readability, the second, the addition of two sentences clarifying the process a court should follow to apply a collateral source deduction. The language quoted in the text of this writing is identical and unchanged across both versions. Consequently, our analysis would be the same under the current version of CPLR 4545.

officer could have been working, if not for the disability, operate as lost earnings. Once the retired officer reaches the age for regular retirement from service, absent the retirement-inducing injury, ADR benefits serve as a pension. For her part, Andino argues that there is no direct correspondence between her ADR benefits and the categories of economic loss awarded by the jury. She further contends that ADR displaces ordinary disability retirement (ODR), and the higher amount of ADR benefits as compared with ODR allotments is paid as a reward for services previously rendered. In other words, the premium in ADR benefits as compared to ODR benefits is neither “earnings” nor “pension” but paid in gratitude for past services.

The statutory and regulatory scheme governing ADR benefits, and the text and legislative intent of CPLR 4545, as interpreted by this Court in *Oden*, provide the basis for our conclusion that ADR benefits operate sequentially as payment for future lost earnings and pension benefits. Accordingly, on a motion pursuant to CPLR 4545, a court must apply ADR benefits, dollar-for-dollar, to offset the jury award for future lost earnings during the period they represent lost earnings, and future lost pension during the period they represent lost pension.

B.

We begin our analysis with the legal framework establishing ADR benefits as an alternative form of statutory compensation for certain New York City police officers injured in the line of duty. Unlike the majority of other employees, New York City police officers who stop working as the result of an on-the-job injury are not eligible for benefits under the Workers’ Compensation Law (*see Matter of Ryan v City of New York*, 228 NY 16, 20 [1920]).³ Instead, such officers are eligible to receive ADR benefits when they suffer an accidental work-related injury that renders them “incapacitated for the performance of city-service” as certified by the Medical Board of the Police Pension Fund to the Fund’s Board of Trustees and are subsequently retired as a result (Administrative Code of City of NY § 13-252). Benefits are distributed to the officer immediately upon cessation of salary and commencement of the officer’s retirement, at an annual amount of 75% of the retiree’s final aver-

3. New York City firefighters and sanitation workers are similarly not covered by worker’s compensation (*see Workers’ Compensation Law* § 3 [1] [Group 17]; *see also* Martin Minkowitz, New York Workers’ Compensation § 2:5 [2d ed 27 West’s NY Prac Series]).

age salary as defined by law (*see id.* § 13-258 [3] [setting the main component of ADR benefits at 75% of an employee's final average salary]; Retirement and Social Security Law § 443 [defining "final average salary"])).⁴

ADR benefits are lifetime payments (*see* Administrative Code § 13-261). However, until an ADR recipient reaches what would have been the first year at which the recipient could have retired in the absence of the disabling work-related injury, the Board may require the recipient to undergo an annual medical examination to certify whether, as a result of the ADR recipient's incapacitation, the recipient is unable to engage in "a gainful occupation" (*see id.* § 13-254 [a]). If the Board determines that the recipient is, in fact, capable of "gainful occupation," the recipient is certified to the appropriate civil service commission for state or municipal employment and placed on the eligible preferred list of candidates suitable for such work (*id.*). If the recipient is or becomes remuneratively employed or is offered City service from the list, ADR benefits may be reduced if the combination of the recipient's ADR benefits and actual or potential income exceeds a statutorily defined cap (*id.*).

Thus, ADR benefits paid during the period prior to when the recipient would have been eligible for a service retirement—which the legislature has marked at 20 years in City service (*see id.* § 13-247)—are subject to reduction by amounts earned or earning capacity, above a statutory maximum of permissible income. In other words, if the recipient earns income, or has an opportunity to earn income through some other City service, and that actual or potential income exceeds the maximum income allowed, ADR benefits are reduced by that amount (*id.* § 13-254 [a]). This statutory scheme ensures that the recipient's actual or potential income approximates the amount the recipient would have earned in service, meaning ADR benefits replace future lost earnings.⁵

4. By contrast with ADR, comparable ODR benefits are 50% of an employee's final average salary (*see* Administrative Code § 13-257 [3]). Similarly, the standard pension for police officers who retire after 20 years of service is generally 50% of their final average salary (*see id.* § 13-255 [1]).

5. The dissent argues that ADR benefits cannot be considered earnings, since they can only be received when a recipient is no longer providing services to an employer (*see* dissenting op at 565-566). Indeed, the statutory scheme ensures that ADR benefits are provided in lieu of salary. It is for this reason that they substitute for earnings. This makes them wholly unlike other

(n. cont'd)

However, once the recipient's tenure reaches the point at which, but for the injury, the recipient would have become eligible for a regular service pension, ADR benefits are no longer subject to reduction based on actual or potential employment income. The recipient is then entitled to unreduced ADR benefits equal to 75% of the recipient's final average salary (*see id.* §§ 13-254, 13-258). Notably, a recipient who is able may work for pay without fear that the ADR allotment will be downwardly affected. Thus, at this point, the ADR benefits no longer operate as salary but instead function as a pension for services rendered, which is not subject to outside income limitations.

Since ADR replaces earnings and pension, it is a collateral source within the meaning of CPLR 4545 that a court must set off against both, representing the category of economic loss in which ADR is allocated sequentially. So, for example, if ADR benefits operate as salary for 20 years, they are counted against 20 years of the award for future lost earnings, and then the remainder is applied against the award for lost pension.

III.

Andino argues that this Court's decision in *Oden* requires a direct correspondence between the item of loss and the collateral disbursement, which is lacking here, and that ADR benefits stand on unique footing as a reward for past services, not to be treated as a collateral source for economic losses. Andino misinterprets *Oden* and its core principle that a court must look to the nature, not the label, of the compensatory funds in determining whether they are a category of payments that statutorily offset the jury award. Applying that principle here, and with the benefit of our analysis in *Oden*, we conclude that ADR benefits, as currently defined and structured, fall squarely within the intended categories of collateral sources by which the court "shall reduce the amount of the [jury] award" (CPLR 4545 [a]).

As recognized in *Oden*, CPLR 4545 is in derogation of the common law, which traditionally prohibited reduction of a personal injury award by the amount of compensation a plaintiff might receive from sources other than the tortfeasor (*see* 87 NY2d at 85). CPLR 4545 does not place "limitations on

benefits that may be provided alongside salary, such as health insurance (*cf.* dissenting op at 566).

the types of economic losses or the types of collateral benefits that the offset is intended to reach . . . [O]nly those collateral source payments that actually replace a particular category of awarded economic loss may be used to reduce the injured's judgment" (87 NY2d at 87).⁶

As the Court explained, the serial amendments that led to the abrogation of the common-law rule were intended to address rising insurance costs, as well as the doctrinal shift in tort law away from punishment and deterrence of wrongdoing toward just compensation (*see id.* at 87-88). To that end, the ultimate goal of CPLR 4545 is to eliminate duplicative recovery by a plaintiff (*id.* at 88). For this reason, the legislature intended ADR benefits to be treated as a collateral source of payment for a City officer's economic losses due to injuries incurred in the course of employment. As discussed in an Assembly Rules Committee Memorandum submitted alongside the enactment of the collateral source offset rule, when a jury makes a tort award for a loss reimbursed by the City's payment of disability, "[t]he employee recovers twice for the same injury" (Mem of Assembly Rules Comm, L 1984, ch 701, 1984 Legis Ann at 252). Yet, "[d]ouble compensation for the same injury is unjustifiable by any policy consideration and results in costly injustice to the taxpayer" (*id.*). The City of New York similarly believed that, when CPLR 4545 was enacted, it would lead to the full offset of ADR against tort damages awards. As the Mayor explained to the Governor, in a letter urging the rule's enactment:

"Currently a limited number of State and municipal employees . . . are not covered under the Workers' Compensation Law. Many of these employees have generous sick leave and accident disability retirement allowances which provide compensation for injuries incurred in the course of their employment. Since they are not covered under the Work-

6. The dissent misinterprets this line in *Oden* to limit a collateral source payment to offsetting a *single* category of jury award (*see* dissenting op at 564). *Oden* stands for no such proposition. In *Oden* itself, as discussed below, the Court concluded that the private sector retirement benefits at issue could offset only one category of jury award—lost pension—because that was the only category of award the benefits actually replaced. Here, the ADR benefits replace two different categories of jury award. We agree with the dissent that, "[a]s a matter of stare decisis, *Oden* should control" (dissenting op at 565), which means that *Oden*'s analysis applies, but not necessarily its outcome given the different factual posture of this case (*see infra* at 562-563).

er's Compensation Law they also may bring actions against the public employer for these injuries The employee recovers twice from the public treasury for the same injury. . . .

"The enactment [of CPLR 4545] will prevent a public employee from being compensated twice out of the public treasury for the same injury for permitting the court to deduct the compensation provided by the public employer from the amount awarded by the jury for the same injury" (Letter from Edward I. Koch, Mayor, Bill Jacket, L 1984, ch 701 at 21).

Andino's projected ADR benefits should have been offset against the jury's award of both categories of economic loss at issue here. ADR benefits replace the income Andino would have earned if she did not have to retire early due to her work-related disability-causing injury. Then, once she reaches what would have been her in-service retirement age, the ADR benefits replace the pension she was entitled to at that time.

Contrary to Andino's argument, *Oden* does not require a direct match between the jury's damages award and the collateral source in the sense that there must be an exact dollar equivalence, but only that the collateral source replace a category of loss reflected in the jury award. A "reduction is authorized only when the collateral source payment represents reimbursement for a particular category of loss that corresponds to a category of loss for which damages were awarded" (*Oden*, 87 NY2d at 84). Here, during that period of time when Andino would have been in service, the ADR benefits are payments to bring her wages to the amount she would have earned if she had still been working, but for the injury that caused her disability. If ADR benefits during this period were meant only as a pension, meaning payments earned based on years in service which are then distributed upon retirement from work (*see* Administrative Code § 13-214 [9] ["'Pension' shall mean payments for life derived from appropriations made by the city as provided in this subchapter"]), they would not be subject to possible reduction in those cases when the retiree is able to be gainfully employed within the meaning of Administrative Code § 13-254 (a). The Court's decision in *Oden* thus supports the offset here.

The specific facts of *Oden* explain why that case resulted in a different disposition than is called for presently. In *Oden*, the

plaintiff was an ironworker injured on the job by a falling steel column (*see* 87 NY2d at 84). The Court held that his private sector retirement pension benefits could not offset the jury's award for his future lost earnings because the pension allotments did "not necessarily correspond to any future earning capacity plaintiff might have had," as the "plaintiff would have been free to earn income from his labor in other capacities without loss of his disability retirement pension benefits" (*id.* at 88-89). In contrast, ADR benefits are subject to reduction if the retiree is found to be capable of gainful employment and earns an income in excess of the statutory maximum. Andino's reliance on *Oden* is therefore misplaced. Here, unlike the private sector plaintiff in *Oden*, ADR benefits allocated to Andino during the period when she would have been earning an income in service would, without an offset, be duplicative of the jury award for that very same income.

Andino's alternative argument that ADR benefits are a "reward" for the retiree's service which may not be offset against a jury award is unpersuasive. First, there is no support in the Administrative Code or CPLR 4545 or any available legislative history to treat ADR benefits as a category on its own, exempt from mandatory offset. Indeed, Andino's suggestion is at odds with language in the documents submitted when the collateral offset rule was enacted stating that ADR benefits "may not be regarded as a payment for an employee's past service" (Mem of Assembly Rules Comm, L 1984, ch 701, 1984 Legis Ann at 252). Second, even if the legislature sought to reward service members like Andino, who suffer an injury in the line of duty, that would not change the classification of ADR benefits as a replacement for lost earnings and pension allowances. There is no legal justification for treating a portion of ADR benefits as a reward based on the 25% differential between ODR and ADR benefits, as Andino argues. CPLR 4545 anticipates a dollar-for-dollar offset. That offset is based on the category of reimbursement, not on a stratification of the collateral source total amount.

IV.

Since Andino's ADR benefits work as earnings and then as a pension, they should be applied against the future lost earnings award, during that period they represent lost earnings, and then against the lost pension benefits award, during that period they represent lost pension benefits. Under the particu-

lar facts of this case, the parties stipulated to 19.24 years of lost earnings followed by 17.7 years of lost pension. The ADR benefits should thus be offset in that fraction against those awards—that is, the first 19.24 years of ADR benefits are offset against future lost earnings, and the remaining 17.7 years of ADR benefits are offset against future lost pension.⁷

The Appellate Division erroneously held that ADR benefits could not be offset against lost earnings, and then incorrectly applied the entire amount of Andino’s projected ADR benefits against the future lost pension. Recalculation of the offset to future lost earnings and pension is therefore warranted. Accordingly, the judgment appealed from and the Appellate Division order brought up for review should be modified, without costs, by remitting the case to Supreme Court for further proceedings in accordance with this opinion and, as so modified, affirmed.

WILSON, J. (dissenting). The majority’s decision suffers from two basic flaws. First, it repudiates our careful decision in *Oden v Chemung County Indus. Dev. Agency* (87 NY2d 81, 84 [1995]) by claiming that “a particular category of loss” may actually mean two or more categories of losses (emphasis added). Here, the majority’s analysis depends on accident disability retirement (ADR) benefits serving as a substitute for two very different jury awards: lost wages and lost pension. Second, allowing ADR benefits to offset both wages and pension may leave injured plaintiffs undercompensated for the full range of losses they have suffered, which is inconsistent with the majority’s stated objectives.

I.

As the majority notes, under the common law, a person who tortiously injured a victim was required to pay the full amount of losses incurred by that victim, even if the victim would also

7. The dissent correctly observes that New York City police officers may “retire after 20 years of service, receive a pension, and also work at a new job” (dissenting op at 568). Here, however, Andino’s own expert calculated her future lost earnings award on the assumption that she would remain employed as a police officer for an additional 19.24 years, and the parties subsequently accepted that calculation for that award by stipulation. In any case, when Andino accumulates the years of service at which she could have otherwise retired—approximately three years following the judgment—she will of course be eligible to earn outside income without a reduction in her ADR benefits.

receive payments from employers or through medical or other insurance policies inuring to the victim's benefit (majority op at 560-561). The legislature progressively cut back on the common-law rule through CPLR 4545, first enacted in 1984, and amended various times since then.

Because each of the successive statutory enactments were curtailments of the common-law rule that made tortfeasors wholly responsible, CPLR 4545 (c) "is to be construed in the narrowest sense that its words and underlying purposes permit, since the 'rules of the common law must be held no further abrogated than the clear import of the language used in the statute absolutely requires'" (*Oden*, 87 NY2d at 86). In *Oden* we did so; we interpreted CPLR 4545 (c) as narrowly as possible, authorizing a reduction "only when the collateral source payment represents reimbursement for a *particular category* of loss that corresponds to a category of loss for which damages were awarded" (*id.* at 84 [emphasis added]). We explicitly rejected the argument that "the economic loss portion of an award should be reduced by the proceeds from *any* collateral source" (*id.*).

The trial court in *Oden* reduced the plaintiff's award for future economic loss (\$146,000) by \$141,330, the value of the disability retirement benefits that plaintiff was estimated to receive for the remainder of his life. On appeal, we rejected the trial court's holding that the disability benefits could be applied to offset the award for loss of future earnings—which the majority now accepts—and held instead that disability retirement benefits are "paid in lieu of ordinary pension benefits" (*id.* at 88-89).

As a matter of stare decisis, *Oden* should control this case. We have already held that the requisite narrow interpretation of CPLR 4545 (c) meant that a collateral source may only correspond to a particular category of loss. That is, ADR benefits cannot transmute from lost earnings for a set of years, and then to lost pension for an additional set of years. Here, as we held in *Oden*, disability retirement benefits correspond to ordinary pension benefits.

That proposition is not merely dictated by our precedent and rules of statutory interpretation, but also makes sense. Crucially—and plainly—lost earnings, in the form of wages or a salary, are not equal to, or treated the same, as benefits. "Wage" is defined as "[p]ayment for labor or services, usu[ally] based on time worked or quantity produced" (Black's Law Dic-

tionary [10th ed 2014], wage). “Salary” is “[a]n agreed compensation for services—esp[ecially] professional or semiprofessional services—usu[ally] paid at regular intervals on a yearly basis, as distinguished from an hourly basis” (*id.*, salary). New York statutory law makes a clear distinction between wages and pension (*see* Retirement and Social Security Law § 302 [“22. ‘Pension.’ The annual allowance for life, payable in monthly installments, derived from contributions made to the pension accumulation fund pursuant to this article”; “2. ‘Annual compensation.’ a. The salary or wages annually earnable by a member, including maintenance, or any allowance in lieu thereof, received by the member”]). A pension is what you receive when you are no longer providing services to your employer. Likewise, ADR benefits cannot be received when you are providing services to your employer; they are, like pension benefits, what you receive when you are no longer providing services. ADR benefits, therefore, neatly correspond to the category of pension benefits, not to the category of wages. In *Bransten v State of New York* we held that benefits, such as employer contributions to health insurance, were so distinct from salary as to not qualify as part of a judge’s “compensation” (30 NY3d 434, 437 [2017]).

Further, as we said in *Oden*, whether a sum qualifies as an offset does not depend on its amount, but upon the category to which it corresponds. Thus, even if Ms. Andino’s ADR benefits, which are not subject to taxes, equal or exceed what Ms. Andino would have earned (after taxes) from her police salary, that is irrelevant to whether the categories correspond so that an offset is allowable. Likewise, whether ADR benefits are roughly equal or vastly different in amount from the lost pension benefits is irrelevant to their use as an offset. Here, the ADR benefits offset Ms. Andino’s entire lost pension award; any surplus cannot be used to offset another category.

The majority says that if Ms. Andino’s ADR benefits offset only her jury award for lost pension, then she would receive duplicative payments (majority op at 563). The defendant in *Oden* argued that no duplicative recovery was permissible; the trial court adopted that position and we rejected it. In *Oden*, we acknowledged that, because disability pension benefits could not be used as an offset against both wages and pension, the plaintiff there would receive some duplicative recovery. Indeed, a necessary consequence of our canon requiring narrow construction of statutes in derogation of the common law is

that the common-law scheme, which encouraged double recovery, will be changed as little as possible.

The majority claims today's result will inure to the benefit of taxpayers (majority op at 561). That is irrelevant, and largely untrue. In this case, because a public employee injured another public employee, the taxpayers would bear the burden of any duplicative recovery. If, instead, a drunk or speeding driver of a private vehicle injures a police officer, the tortfeasor and the tortfeasor's insurer—not the taxpayers—benefit from the majority's generous offset. Unless today's decision is limited to cases in which the victim and tortfeasor are both public employees, public employers providing generous ADR benefits are, in effect, providing those benefits to the tortfeasor and its private insurer.

II.

Even if ADR benefits can serve as an offset for two distinctly different categories of losses, the majority makes a second error by determining that Ms. Andino's award for lost future earnings should be offset by 19.24 years of ADR benefits. Here, the verdict sheet asked the jury to determine, separately for each category of loss, the number of years over which that loss would occur. The jury selected 37 years for both lost wages and lost pension. The parties thereafter stipulated that the periods would be 19.24 years for lost wages, and 17.7 years for lost pension, apparently breaking up the 37 years determined by the jury into two separate periods.* That stipulation was made before the hearing on offsets and does not appear to have been intended by the parties to have any bearing on offsets.

The parties agree it is common for police officers to retire and obtain other full-time employment while receiving pension benefits. On the record here, but for the accident Ms. Andino would have been eligible to retire with a full pension three years after the jury verdict. From that point on,

“it is undisputed that, notwithstanding [her eventual] retirement as a [] [police officer], plaintiff would have been free to earn income from h[er] labor in other capacities without loss of h[er] dis-

* There is no necessary correspondence between the period of years over which a plaintiff's losses are deemed to have occurred and the period for which an offset may occur. For example, a tort plaintiff may have privately purchased disability insurance with a 10-year cap, and a jury may determine she suffered 20 years of lost wages, but the terms of the insurance—not the length of time determined by the jury—would determine the period of the offset.

ability retirement pension benefits. Thus, it cannot be said that the disability pension benefits plaintiff expects to receive are duplicative of the award [s]he received for lost future earnings" (*Oden*, 87 NY2d at 88-89).

As in *Oden*, Ms. Andino would have been free to earn income, after retirement, *in addition* to her pension benefits, without any reduction of those benefits. Using the ADR benefits as an offset against both her wages and her pension "confer[s] an undeserved windfall on tort defendants and their insurers by permitting them to obtain a credit for collateral source payments that do not correspond to the items of economic loss that they are being called upon to reimburse" (*id.* at 88). Receipt of her projected salary for 19 years, without any offsets, is a surrogate for both the wages she would have received while employed as a police officer and the wages she would have received from other employment after her retirement from the force.

The majority quotes the above language from *Oden*, but fails to acknowledge that, after her 20th year of service, or three years following the judgment, just like the plaintiff in *Oden*, Ms. Andino's ADR benefits would *not* be subject to reduction and had she not been injured she could have held a private sector job *and* collected her pension benefits. The majority's position boils down to the following: New York City provides such generous ADR benefits (amounting to the after-tax equivalent of an officer's wages and exceeding the amount of an officer's pension benefits) that defendants who tortiously injure officers should pay little or nothing. That position does not account for the commonly-exercised ability of officers to retire after 20 years of service, receive a pension, and also work at a new job.

Both flaws are incompatible with *Oden* and with our rule requiring narrow interpretation of statutes in derogation of the common law. Accordingly, I dissent.

Chief Judge DiFIORE and Judges STEIN, GARCIA and FEINMAN concur; Judge WILSON dissents in an opinion in which Judge FAHEY concurs.

Judgment appealed from, and Appellate Division order brought up for review, modified, without costs, by remitting the case to Supreme Court, Bronx County, for further proceedings in accordance with the opinion herein and, as so modified, affirmed.

[106 NE3d 1176, 81 NYS3d 816]

AMBAC ASSURANCE CORPORATION et al., Appellants, v COUNTRY-
WIDE HOME LOANS, INC., et al., Respondents, and BANK OF
AMERICA CORP., Defendant.

Argued June 6, 2018; decided June 27, 2018

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered May 16, 2017. The Appellate Division order, insofar as appealed from, modified, on the law, to the extent indicated therein, and otherwise affirmed, so much of the orders of the Supreme Court, New York County (Eileen Bransten, J.; op 2015 NY Slip Op 32703[U] [2015]), which had granted in part and denied in part plaintiffs' and the Countrywide defendants' respective motions for summary judgment. The following question was certified by the Appellate Division: "Was the order of this Court, which modified, on the law, to the extent indicated therein, and otherwise affirmed the order of Supreme Court, properly made?"

Ambac Assur. Corp. v Countrywide Home Loans, Inc., 151 AD3d 83, affirmed.

HEADNOTES

Fraud — Fraud in Inducement — Insurance Law § 3105 Inapplicable to Insurer's Common-Law Fraud Claim

1. In plaintiff financial guaranty insurer's action alleging that defendant insured fraudulently induced it to issue policies with respect to failed residential mortgage-backed securities, Insurance Law § 3105 (b) (1), which provides that "[n]o misrepresentation shall avoid [a] contract of insurance or defeat recovery thereunder" unless it is material, did not apply to relieve plaintiff of its burden to prove the elements of justifiable reliance and loss causation. Section 3105 does not provide an affirmative, freestanding, fraud-based cause of action through which an insurer may seek to recover money damages. By its terms, section 3105 is only relevant when an insurer seeks rescission of an insurance contract or is defending against claims for payment under an insurance contract, relief that plaintiff could not, and did not, seek. Section 3105 was intended to overrule prior case law which did not require a showing of materiality for an insurer to avoid its obligations under a policy based on the insured's misrepresentations. Thus, section 3105, intended to benefit the insured party, does not remove required elements for a showing of common-law fraudulent inducement under any "insurer-only" exception. Moreover, where a sophisticated businessperson or entity claims to have been taken in, the justifiable reliance rule serves to rid the court of cases in which the claim of reliance is likely to be hypocritical. Excusing a sophisticated party from demonstrating justifiable reliance would not further

the policy underlying this venerable rule. Likewise, loss causation is a well-established requirement of a common-law fraudulent inducement claim for damages, since if the fraud causes no loss, then the plaintiff has suffered no damages.

Damages — Compensatory Damages — Fraudulent Inducement in Issuance of Insurance Policies Covering Failed Mortgage-Backed Securities

2. In plaintiff financial guaranty insurer's action alleging that defendant insured fraudulently induced it to issue policies with respect to failed securities comprising pools of individual residential mortgage loans, plaintiff was not entitled to recover compensatory damages in the form of all claims payments made to investors, including those that did not arise from a breach or misrepresentation. Plaintiff had no right to rescission or rescissory damages on the unconditional, irrevocable insurance policies it issued. Payment of the measure of damages sought would place plaintiff in the same position it would be in if it had not insured any of the securities—the equivalent of rescissory damages. Instead, any compensatory damages on plaintiff's fraudulent inducement claim should be measured only by reference to claims payments made based on nonconforming loans.

Insurance — Construction of Policy — Policies Relating to Failed Residential Mortgage-Backed Securities — Repurchase Protocol as Sole Remedy

3. In plaintiff financial guaranty insurer's action alleging that defendant insured breached various contractual representations and warranties relating to the failed residential mortgage-backed securities it sponsored, the repurchase protocol in the parties' agreement was plaintiff's sole remedy regardless of whether the breaches were "loan-level" or "transaction-level." Courts must honor contractual provisions that limit liability or damages because those provisions represent the parties' agreement on the allocation of the risk of economic loss in certain eventualities. Contract terms providing for a sole remedy are sufficiently clear to establish that no other remedy was contemplated by the parties at the time the contract was formed, for purposes of that portion of the transaction, especially when entered into at arm's length by sophisticated contracting parties. The factual allegations underpinning the transaction-level breaches were the same as those for the loan-level breaches, despite the attempt to label the claims otherwise. Plaintiff could not subvert an exclusive remedies provision by simply re-characterizing its claims. The contract provided that the repurchase protocol was the sole remedy "for any breach of a representation and warranty . . . and the remedy with respect to any defective" loan. Thus, in addition to encompassing any breaches of the representations and warranties, the repurchase protocol was the sole recourse as to any defective loan, regardless of whether that defect was a breach of "loan-level" representations made to investors.

Insurance — Insurance Contracts — Policies Relating to Failed Residential Mortgage-Backed Securities — Attorneys' Fees

4. Plaintiff financial guaranty insurer was not entitled to attorneys' fees in its action alleging that defendant insured breached various contractual representations and warranties relating to the failed residential mortgage-backed securities it sponsored. In New York, the prevailing litigant ordinarily cannot collect attorneys' fees from its unsuccessful opponents, as attorneys' fees are treated as incidents of litigation rather than damages. The exception is when an award is authorized by agreement between the parties or by statute or

court rule. The attorneys' fees provision in the parties' agreement did not contain language clearly permitting plaintiff to recover from defendant the attorneys' fees incurred in a suit against defendant. Similarly, the subjects set forth in the provision were all susceptible to third-party claims, and none were exclusively or unequivocally referable to claims between the parties themselves. Thus, there was no unmistakable promise to reimburse attorneys' fees in a case brought by plaintiff against defendant.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Insurance §§ 281, 285, 1013–1016, 2058.
COUCH ON INSURANCE (3d ed) §§ 22:1, 197:3, 197:10,
197:33, 233:10.
MCKINNEY'S, Insurance Law § 3105 (b) (1).
NY JUR 2d Insurance §§ 611, 831–834, 1202, 1203, 1208–
1211, 2018, 2579.

ANNOTATION REFERENCE

See ALR Index under Fraud and Deceit; Insurance and Insurance Companies.

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POINTS OF COUNSEL

Quinn Emanuel Urquhart & Sullivan, LLP, New York City (*Philippe Z. Selendy* and *William B. Adams* of counsel), and *Selendy & Gay PLLC*, New York City (*Philippe Z. Selendy* of counsel), for Ambac Assurance Corporation, appellant, and *Patterson Belknap Webb & Tyler LLP*, New York City (*Peter W. Tomlinson*, *Robert P. LoBue* and *Harry Sandick* of counsel), for appellants. I. An insurer may recover all claims payments made on a fraudulently-induced insurance policy without proof that it "justifiably" relied on an applicant's representations or proof of loss causation. (*Curanovic v New York Cent. Mut. Fire Ins. Co.*, 307 AD2d 435; *Admiral Ins. Co. v Joy Contrs., Inc.*, 19 NY3d 448; *Mercantile & Gen. Reins. Co. v Colonial Assur. Co.*, 82 NY2d 248; *Vander Veer v Continental Cas. Co.*, 34 NY2d 50; *American Sur. Co. of N.Y. v Patriotic Assur. Co., Ltd.*, 242 NY 54; *Satz v Massachusetts Bonding & Ins. Co.*, 243 NY 385; *Colin v Hamilton Fire Ins. Co.*, 251 NY 312; *Kroski v Long Is.*

Sav. Bank, 261 AD2d 136; *Kantor v Nationwide Life Ins. Co.*, 16 AD2d 701; *Sebring v Fidelity-Phenix Fire Ins. Co.*, 255 NY 382.) II. The proviso of section 2.01 (l) of the Insurance and Indemnity Agreements does not limit Ambac's remedies for Countrywide's breaches of other sections of those agreements. (*Matter of Hospital Assn. of N.Y. State v Axelrod*, 165 AD2d 152; *Abbott v United States*, 562 US 8; *United States v Morrow*, 266 US 531; *Kimmel v State of New York*, 29 NY3d 386; *Quadrant Structured Prods. Co., Ltd. v Vertin*, 23 NY3d 549; *Hartford Acc. & Indem. Co. v Wesolowski*, 33 NY2d 169; *Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, 133 AD3d 96.) III. Ambac is entitled to reimbursement of its attorneys' fees and expenses incurred in this action. (*Hooper Assoc., Ltd. v AGS Computers, Inc.*, 74 NY2d 487; *TAG 380, LLC v ComMet 380, Inc.*, 10 NY3d 507; *US Bank, N.A. v DLJ Mtge. Capital, Inc.*, 140 AD3d 518; *Wilmington Trust Co. v Morgan Stanley Mtge. Capital Holdings LLC*, 152 AD3d 421; *UBS Sec. LLC v RAE Sys. Inc.*, 101 AD3d 510; *Ralco, Inc. v Citibank, N.A.*, 32 AD3d 301.)

Simpson Thacher & Bartlett LLP, New York City (*Joseph M. McLaughlin* and *David Woll* of counsel), *Goodwin Procter LLP*, New York City (*Brian D. Hail* of counsel) and Boston, Massachusetts (*David J. Apfel* of counsel), for respondents. I. New York law requires Ambac to prove all elements of its common-law fraud claims. (*Kuelling v Roderick Lean Mfg. Co.*, 183 NY 78; *Centro Empresarial Cempresa S.A. v América Móvil, S.A.B. de C.V.*, 17 NY3d 269; *ACA Fin. Guar. Corp. v Goldman, Sachs & Co.*, 25 NY3d 1043; *Eurycleia Partners, LP v Seward & Kissel, LLP*, 12 NY3d 553; *Channel Master Corp. v Aluminium Ltd. Sales*, 4 NY2d 403; *DDJ Mgt., LLC v Rhone Group L.L.C.*, 15 NY3d 147; *Stutman v Chemical Bank*, 95 NY2d 24; *CIFG Assur. N. Am., Inc. v Goldman, Sachs & Co.*, 106 AD3d 437; *MBIA Ins. Co. v GMAC Mtge. LLC*, 30 Misc 3d 856; *Lazard Freres & Co. v Protective Life Ins. Co.*, 108 F3d 1531.) II. The First Department correctly held that Ambac's sole remedy for its contractual claims is the contractual repurchase protocol. (*J. D'Addario & Co., Inc. v Embassy Indus., Inc.*, 20 NY3d 113; *Metropolitan Life Ins. Co. v Noble Lowndes Intl., Inc.*, 84 NY2d 430; *Innophos, Inc. v Rhodia, S.A.*, 10 NY3d 25; *Marin v Constitution Realty, LLC*, 28 NY3d 666; *Greenfield v Philles Records*, 98 NY2d 562; *Brick v Cohn-Hall-Marx Co.*, 276 NY 259; *Western Elec. Co. v Brenner*, 41 NY2d 291; *City of Syracuse v Hogan*, 234 NY 457; *Alaska v United States*, 545 US 75; *United States v Babbit*, 66 US 55.) III. The First Department correctly

held that Ambac cannot recover its attorney fees in this action. (*Matter of Hyde*, 15 NY3d 179; *Hooper Assoc. v AGS Computers*, 74 NY2d 487; *Mount Vernon City School Dist. v Nova Cas. Co.*, 19 NY3d 28; *TAG 380, LLC v ComMet 380, Inc.*, 10 NY3d 507; *Mandarin Trading Ltd. v Wildenstein*, 16 NY3d 173; *Wilmington Trust Co. v Morgan Stanley Mtge. Capital Holdings LLC*, 152 AD3d 421; *U.S. Bank N.A. v DLJ Mtge. Capital, Inc.*, 140 AD3d 518; *Kinney v Lisk Co.*, 76 NY2d 215.)

Orrick, Herrington & Sutcliffe LLP, New York City (*Richard A. Jacobsen, Paul F. Rugani and Daniel W. Robertson* of counsel), for Securities Industry and Financial Markets Association, amicus curiae. I. The nature and evolution of unconditional, irrevocable financial guaranty insurance. (*ABN AMRO Bank, N.V. v MBIA Inc.*, 17 NY3d 208; *In re Ambac Fin. Group, Inc. Sec. Litig.*, 693 F Supp 2d 241.) II. The appealed order correctly held that the Insurance Law does not abrogate common-law requirements of justifiable reliance and causation. (*Basis Yield Alpha Fund Master v Morgan Stanley*, 136 AD3d 136; *Danann Realty Corp. v Harris*, 5 NY2d 317; *ACA Fin. Guar. Corp. v Goldman, Sachs & Co.*, 25 NY3d 1043; *Laub v Faessel*, 297 AD2d 28; *MBIA Ins. Corp. v J.P. Morgan Sec., LLC*, 144 AD3d 635; *CIFG Assur. N. Am., Inc. v Goldman, Sachs & Co.*, 106 AD3d 437; *HSH Nordbank AG v UBS AG*, 95 AD3d 185; *Ambac Assur. Corp. v EMC Mtge. LLC*, 121 AD3d 514.)

Allegaert Berger & Vogel LLP, New York City (*Michael S. Vogel, John S. Craig and Lauren J. Pincus* of counsel), for Mark J. Browne, amicus curiae. I. The First Department's rule imposes substantial costs on insurers, honest insurance applicants, and society as a whole by frustrating the efficient operation of the insurance market. (*National Fedn. of Ind. Business v Sebelius*, 567 US 519; *A.M.I. Diamonds Co. v Hannover Ins. Co.*, 397 F3d 528; *Glickman v New York Life Ins. Co.*, 291 NY 45; *Stipcich v Metropolitan Life Ins. Co.*, 277 US 311; *Matter of Union Indem. Ins. Co. of N.Y.*, 89 NY2d 94; *New England Mut. Life Ins. Co. v Doe*, 93 NY2d 122; *Geer v Union Mut. Life Ins. Co.*, 273 NY 261; *Ginsburg v Pacific Mut. Life Ins. Co. of Cal.*, 89 F2d 158.) II. Treating Ambac and other residential mortgage-backed securities insurers differently from insurers permitted to rescind policies would increase insurance costs and harm the market. (*New England Mut. Life Ins. Co. v Doe*, 93 NY2d 122; *MBIA Ins. Corp. v Countrywide Home Loans, Inc.*, 105 AD3d 412.)

Axinn, Veltrop & Harkrider LLP, New York City (*Donald W. Hawthorne* and *Felix J. Gilman* of counsel), for the Association of Financial Guaranty Insurers, amicus curiae. I. Under New York law, an insurer can avoid a policy on the basis of fraud without proving justifiable reliance or loss causation. (*Cherkes v Postal Life Ins. Co.*, 285 App Div 514; *American Sur. Co. of N.Y. v Patriotic Assur. Co., Ltd.*, 242 NY 54; *Colin v Hamilton Fire Ins. Co.*, 251 NY 312; *Valton v National Fund Life Assur. Co.*, 20 NY 32; *Ripley v Aetna Ins. Co.*, 30 NY 136; *Matter of Metropolitan Life Ins. Co. v Conway*, 252 NY 449; *Glickman v New York Life Ins. Co.*, 291 NY 45.) II. A financial guaranty insurer should be held to the same standard as any other New York insurer for obtaining relief from a policy obtained by fraud. (*Geer v Union Mut. Life Ins. Co.*, 273 NY 261; *Vander Veer v Continental Cas. Co.*, 34 NY2d 50; *Assured Guar. Mun. Corp. v Flagstar Bank, FSB*, 892 F Supp 2d 596; *MBIA Ins. Corp. v Countrywide Home Loans, Inc.*, 105 AD3d 412; *Mutual Ben. Life Ins. Co. v JMR Electronics Corp.*, 848 F2d 30.)

Pastel & Rosen, LLP, Albany (*Robert S. Pastel* and *Javier R. Tapia* of counsel), for New York Insurance Association, Inc., amicus curiae. I. New York common law has long held that insurers do not need to prove justifiable reliance or loss causation when asserting a claim of fraudulent inducement to an insurance contract through material misrepresentation by the insured. (*Armour v Transatlantic Fire Ins. Co.*, 90 NY 450; *Pasternack v Laboratory Corp. of Am. Holdings*, 27 NY3d 817; *Centro Empresarial Cempresa S.A. v América Móvil, S.A.B. de C.V.*, 17 NY3d 269; *Satz v Massachusetts Bonding & Ins. Co.*, 243 NY 385; *Eastern Dist. Piece Dye Works, Inc. v Travelers Ins. Co.*, 234 NY 441; *American Sur. Co. of N.Y. v Patriotic Assur. Co., Ltd.*, 242 NY 54; *Eastern Dist. Piece Dye Works, Inc. v Travelers' Ins. Co.*, 234 NY 441; *Matter of Metropolitan Life Ins. Co. v Conway*, 252 NY 449; *Jenkins v John Hancock Mut. Life Ins. Co.*, 257 NY 289; *Colin v Hamilton Fire Ins. Co.*, 251 NY 312.) II. Where rescission of a fraudulently obtained policy is not available, recoupment of payments made to satisfy claims on the policy is a just and proper remedy. (*Teeter v Allstate Ins. Co.*, 9 AD2d 176, 8 NY2d 1039; *Reliance Ins. Cos. v Daly*, 38 AD2d 715; *Liberty Mut. Ins. Co. v McClellan*, 127 App Div 767; *Mooney v Nationwide Mut. Ins. Co.*, 172 AD2d 144; *Matter of Insurance Co. of N. Am. v Kaplun*, 274 AD2d 293; *Matter of Aioss v Sardo*, 249 NY 270; *Di Donato v Rosenberg*, 256 NY 412; *Matter of Diaz v Ulster Vegetable Growers Coop.*, 306 NY 859; *Matter of Cruz v New Millennium Constr. & Restoration Corp.*, 17 AD3d 19; *Baljit v Suzy's Dept. Store*, 211 AD2d 555.)

OPINION OF THE COURT

GARCIA, J.

Plaintiff Ambac Assurance Corporation, a monoline financial guaranty insurer, agreed to insure payments of principal and interest owed to the holders of residential mortgage-backed securities sponsored by defendant Countrywide.¹ Following a market downturn, many of the loans backing those securities went into default, causing substantial losses. Ambac filed suit against Countrywide, alleging, among other things, that Countrywide fraudulently induced Ambac to enter into the insurance agreements and that Countrywide breached a number of contractual representations and warranties. Both parties brought motions for partial summary judgment. As relevant here, Ambac argued that, with respect to its fraudulent inducement claim, it did not need to prove justifiable reliance or loss causation, and that the proper measure of damages would be recovery of all claims paid out under the policies. Ambac also asserted that the repurchase protocol provided for as a sole damages remedy in the contract between the parties should not govern certain of its contractual claims. Lastly, Ambac sought attorneys' fees from Countrywide. We agree with the Appellate Division that these arguments lack merit and therefore affirm.

I.

The residential mortgage-backed securities (RMBS) market was a booming industry in the mid-2000s. These “intricately structured financial instruments [are] backed by hundreds or thousands of individual . . . mortgages, each obtained by individual borrowers for individual houses” (*Federal Housing Fin. Agency v Nomura Holding Am., Inc.*, 104 F Supp 3d 441, 458 [SD NY 2015], *affd* 873 F3d 85 [2d Cir 2017]). The investor in this type of security is entitled to “a stream of income from pools of residential mortgage loans held by a trust” (*id.*). Between 2004 and 2006, Ambac insured 17 RMBS securitizations issued by Countrywide. These securitizations were backed by more than 300,000 individual mortgage loans, which Country-

1. Plaintiffs in this action are Ambac Assurance Corporation and the Segregated Account of Ambac Assurance Corporation, a segregated account in statutory rehabilitation with the legal capacity and authority to sue in its own right (collectively, Ambac). Defendants in this action include Countrywide Home Loans, Inc., Countrywide Securities Corp., and Countrywide Financial Corp. (collectively, Countrywide). Countrywide is now a subsidiary of defendant Bank of America Corp.

wide had originated or acquired and then sold into securitization trusts. In exchange for substantial premiums, Ambac issued unconditional, irrevocable insurance policies, agreeing to insure certain payments to the investors. Securities with a guaranty of payment from a monoline insurer typically receive the credit rating of that insurer. In this case, the guaranty by Ambac, itself rated AAA, significantly enhanced the credit ratings of the RMBS securitizations.

For each securitization, Ambac executed an insurance and indemnity agreement (Insurance Agreement)—the only contract between the parties here—setting out Ambac’s insurance obligations. Section 2.01 (l) of the Insurance Agreement incorporates more than 60 representations and warranties from the agreements executed by Countrywide to effect each of the securitization transactions.² These representations and warranties address a range of issues, including each mortgage loan’s compliance with underwriting guidelines, the accuracy of the information in the mortgage loan schedule, appraisal and foreclosure issues, and compliance with federal regulations.

Section 2.01 (l) also provides that the remedy for breach of any of these imported representations and warranties and the remedy “with respect to any defective Mortgage Loan or any Mortgage Loan as to which there has been a breach of representation or warranty” under the Securitization Documents “shall be limited to the remedies specified” in the applicable Securitization Documents. In turn, the limited remedy provided in the Securitization Documents requires Countrywide to either repurchase, cure, or substitute nonconforming loans. Other subdivisions of section 2.01 contain additional representations and warranties, including that there are no material untrue statements in the Insurance Agreement, Securitization Documents, or other material written or electronic information provided to Ambac relating to the mortgage loans or Countrywide’s operations or financial condition (§ 2.01 [j]), and that the transactions’ offering documents did not contain

2. The underlying agreements vary by type of transaction. The principal governing documents for certain transactions are the mortgage loan purchase agreement (Purchase Agreement) and the sale and servicing agreement (Sales Agreement), while other types of transactions are governed by the pooling and service agreement (PSA). The representations in these documents (collectively, the Securitization Documents), as relevant here, are identical.

any material misrepresentation or omission and otherwise complied with applicable securities laws (§ 2.01 [k]).

Section 3.03 (c) of the Insurance Agreements provides that Countrywide agrees to reimburse Ambac for “charges, fees, costs and expenses . . . including reasonable attorneys’ . . . fees and expenses, in connection with . . . the enforcement, defense or preservation of any rights in respect of any of the Operative Documents, including defending, monitoring or participating in any litigation or proceeding . . . relating to any of the Operative Documents.” Section 5.02 (b) of the Insurance Agreements provides that, “[u]nless otherwise expressly provided, no remedy herein conferred or reserved is intended to be exclusive of any other available remedy, but each remedy shall be cumulative and shall be in addition to other remedies given under this Insurance Agreement . . . or existing at law or in equity.”

By 2007, with the housing market in decline, mortgage default and delinquency rates increased (*see Federal Housing Fin. Agency*, 873 F3d at 106-107). As a result, Ambac had to pay out far more claims than anticipated. At this point, the complaint alleges, Ambac began to review the origination files of defaulting loans and found that approximately 7,900 out of 8,800 that were reviewed contained material breaches of the Insurance Agreements’ representations and warranties. Ambac then initiated the repurchase protocol by submitting notices of breach to Countrywide.

In September 2010, Ambac commenced the instant action, alleging that Countrywide “fraudulently induced Ambac to provide . . . credit enhancement to improve the marketability of the notes and certificates issued in connection with each of the [RMBS securitizations].” In addition, Ambac alleged material breach of each Insurance Agreement; breach of the representations and warranties between the parties; breach of the repurchase protocol; and indemnification and reimbursement of attorneys’ fees and expenses. Ambac also included a claim of successor and vicarious liability against Bank of America.

Both parties moved for partial summary judgment. As relevant to this appeal, Supreme Court determined, relying on Insurance Law § 3105, that Ambac did not need to demonstrate justifiable reliance and loss causation in order to succeed on its fraudulent inducement claim. With respect to Ambac’s claims alleging breaches of the various contractual representations

and warranties, the court found that the sole remedy provision did not apply “beyond Section 2.01(l),” so “to the extent that Ambac can prove breaches of other sections of the I[nsurance] Agreements, it is not limited to the sole remedy of repurchase” (2015 NY Slip Op 32703[U], *9 [2015]). However, the court determined that, “to the extent that Ambac is entitled to receive an award of damages unrelated to the repurchase protocol,” Ambac was not entitled to recover all payments made to investors pursuant to the Insurance Agreements as compensatory damages because that would be “effectively equivalent to rescissory damages,” and that any damages calculation “must be calculated in reference to claims payments made due to loans breaching” representations and warranties (2015 NY Slip Op 32703[U], *21, *23). Finally, the court found that Ambac was not entitled to recover attorneys’ fees.

On appeal, the Appellate Division modified Supreme Court’s opinion in part and affirmed (*Ambac Assur. Corp. v Countrywide Home Loans, Inc.*, 151 AD3d 83 [1st Dept 2017]). The Appellate Division held that justifiable reliance and loss causation are required elements of a fraudulent inducement claim, and that Insurance Law § 3105 is not applicable to a common-law fraud claim for money damages. The Appellate Division rejected Supreme Court’s holding that the repurchase protocol was not the sole remedy for Ambac’s claims for breach of representations and warranties, holding instead that “Ambac cannot avoid the consequences of the sole remedy provision by relying on what it terms ‘transaction-level’ representations about Countrywide’s operations and financial condition, because the heart of Ambac’s lawsuit is that it was injured due to a large number of defective loans” (151 AD3d at 89). The Appellate Division affirmed Supreme Court’s method of damages calculation for any claims not subject to the repurchase protocol, holding that Ambac was not entitled to compensatory damages “amounting to all claims payments it made or will make under the policies, regardless of whether they arise from a breach or misrepresentation” (*id.* at 88). Finally, the Appellate Division affirmed Supreme Court’s holding that Ambac was not entitled to attorneys’ fees. The Appellate Division granted Ambac leave to appeal.

II.

The required elements of a common-law fraud claim are “a misrepresentation or a material omission of fact which was

false and known to be false by [the] defendant, made for the purpose of inducing the other party to rely upon it, justifiable reliance of the other party on the misrepresentation or material omission, and injury” (*Pasternack v Laboratory Corp. of Am. Holdings*, 27 NY3d 817, 827 [2016] [citations and internal quotation marks omitted]). Justifiable reliance is a “fundamental precept” of a fraud cause of action (*Danann Realty Corp. v Harris*, 5 NY2d 317, 322 [1959]), as is “resulting injury” (*Centro Empresarial Cempresa S.A. v América Móvil, S.A.B. de C.V.*, 17 NY3d 269, 276 [2011]). This Court has previously held, in the context of a monoline insurer suing for fraudulent inducement of a financial guaranty on a transaction involving asset-backed securities, that “to plead a claim for fraud in the inducement or fraudulent concealment, plaintiff must allege facts to support the claim that it justifiably relied on the alleged misrepresentations” (*ACA Fin. Guar. Corp. v Goldman, Sachs & Co.*, 25 NY3d 1043, 1044 [2015]; *see also id.* at 1051 [Read, J., dissenting on other grounds] [describing the justifiable reliance requirement as “our venerable rule”]). In apparent recognition of the fact that justifiable reliance and loss causation are required elements of its fraudulent inducement claim, Ambac’s operative complaint pleaded these well-established elements, alleging that Ambac “reasonably relied on Countrywide’s statements and omissions when it entered into the . . . Agreements and issued its Policies,” and that “[a]s a result of Countrywide’s false and misleading statements and omissions, [Ambac] suffered, and will continue to suffer, damages including claims payments under the Policies.” Nevertheless, Ambac argues it need not make the showing required to substantiate these allegations.

Supreme Court relied on Insurance Law § 3105 in addressing Ambac’s claim that it need not show justifiable reliance or loss causation. Distinguishing this Court’s holding in *ACA Fin.* because “the parties [in that case] did not raise the issue of New York Insurance Law § 3105, under which Ambac seeks recovery here,” Supreme Court held that “the only ‘pertinent question under Section 3105 is whether the information allegedly misrepresented by Countrywide induced [Ambac] to take action that it might otherwise not have taken,’” or, in other words, whether the misrepresentation was “material” (2015 NY Slip Op 32703[U], *6). This was error.

[1] Insurance Law § 3105 plays no role here. Ambac did not, and could not, seek recovery under this section, nor does sec-

tion 3105 function to relieve Ambac of the burden of showing justifiable reliance. Section 3105 (b) (1) provides that “[n]o misrepresentation shall avoid any contract of insurance or defeat recovery thereunder unless such misrepresentation was material,” and “[n]o misrepresentation shall be deemed material unless knowledge by the insurer of the facts misrepresented would have led to a refusal by the insurer to make such contract.” Section 3105 does not provide an affirmative, freestanding, fraud-based cause of action through which an insurer may seek to recover money damages. Nor does it “inform” a court’s assessment of the longstanding common-law elements of fraudulent inducement. By its terms, section 3105 is only relevant when an insurer seeks rescission of an insurance contract or is defending against claims for payment under an insurance contract, relief that Ambac cannot, and does not, seek.

Moreover, section 3105 was intended to overrule prior case law which did not require a showing of materiality for an insurer to avoid its obligations under a policy based on the insured’s misrepresentations (*see Glickman v New York Life Ins. Co.*, 291 NY 45, 51 [1943] [noting with respect to section 3105’s predecessor statute, “(a)pparently . . . the Legislature was seeing to it that a policy of insurance will not be avoided by proof of an immaterial breach of warranty” (internal quotation marks omitted)]). Section 3105, intended to benefit the insured party, does not remove required elements for a showing of common-law fraudulent inducement under any “insurer-only” exception.

Public policy reasons support the justifiable reliance requirement. Where a “sophisticated business person or entity . . . claims to have been taken in,” the justifiable reliance rule “serves to rid the court of cases in which the claim of reliance is likely to be hypocritical” (*DDJ Mgt., LLC v Rhone Group L.L.C.*, 15 NY3d 147, 154 [2010]). Excusing a sophisticated party such as a monoline financial guaranty insurer from demonstrating justifiable reliance would not further the policy underlying this “venerable rule.”

Likewise, there is no merit to Ambac’s argument that it need not show loss causation. Loss causation is a well-established requirement of a common-law fraudulent inducement claim for damages. This Court long ago noted that “[t]o give rise, under any circumstances, to a cause of action, either in law or in equity, reliance on the false representation must result in

injury” (*Sager v Friedman*, 270 NY 472, 479-481 [1936]). This Court recently affirmed this requirement, as well as the principle that, “[i]f the fraud causes no loss, then the plaintiff has suffered no damages” (*Connaughton v Chipotle Mexican Grill, Inc.*, 29 NY3d 137, 142 [2017], citing *Sager*, 270 NY at 479-481). It applies with equal force to Ambac’s claim.

[2] With respect to the method of damages calculation for any claims not subject to the repurchase protocol, Ambac’s request for compensatory damages in the form of all claims payments made to investors must be rejected.³ Ambac has, admittedly, no right to rescission or rescissory damages on the unconditional, irrevocable insurance policies it issued. Yet Ambac seeks to recover claims payments on all policies, even those that do not arise from a breach or misrepresentation. Payment of that measure of damages would place Ambac in the same position it would be in if it had not insured any of the securities—the equivalent of rescissory damages. Instead, any compensatory damages should be measured only by reference to claims payments made based on nonconforming loans.

III.

Once again, as in our recent decision in *Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, we are confronted with an argument that a sole remedy provision executed by sophisticated parties as part of a complex securitization process can be avoided by alleging “broader” or numerous violations of representations and warranties contained in the governing contract (30 NY3d 572, 585-586 [2017]). Specifically, Ambac asserts that, while recovery for “loan-level” breaches may be limited to the repurchase protocol in section 2.01 (l), “transaction-level” breaches instead fall under section 2.01 (j) and (k). For the same reasons we rejected that argument in *Nomura*, Ambac’s argument must fail.

It is well settled that “courts must honor contractual provisions that limit liability or damages because those provisions represent the parties’ agreement on the allocation of the risk of economic loss in certain eventualities” (*id.* at 581). “Contract terms providing for a sole remedy are sufficiently clear to establish that no other remedy was contemplated by the parties

3. As discussed in section III below, Ambac’s remedy for any successful breach of contract claims based on the representations and warranties in the Insurance Agreement is limited to the repurchase protocol.

at the time the contract was formed, for purposes of that portion of the transaction . . . especially when entered into at arm's length by sophisticated contracting parties" (*id.* at 582 [citations and internal quotation marks omitted]).

In *Nomura*, plaintiff, an RMBS trustee, sought to avoid a sole remedy repurchase protocol by alleging that, although loan-level representations and warranties were breached, and were subject to a similar sole remedy provision, certain transaction-level breaches violated a separate section of the agreement that were not subject to any limitation on remedy. This Court rejected that argument, stating that "there is no support in the governing agreements for the position of [plaintiff] that the Sole Remedy Provision applies only to occasional mortgage loan-specific breaches, whereas pervasive (or 'aggregate') breaches are addressed under" a separate provision not limited by the sole remedy provision (*id.* at 585). The Court noted that all the claims asserted as transaction-level breaches not subject to the sole remedy provision were in fact "grounded in alleged breaches of the mortgage loan-specific representations and warranties to which the limited remedy fashioned by the sophisticated parties applies" (*id.* at 577). Accordingly, the Court held that the sole remedy provision could not be "nullified by allegations of] multiple, systemic breaches" (*id.* at 585-586).

[3] In the same way, the factual allegations underpinning Ambac's transaction-level breaches are the same as those for the loan-level breaches. For example, Ambac alleges as a transaction-level breach that the loans in the securitizations failed Countrywide's origination guidelines. Yet one of the loan-level representations and warranties incorporated into the Insurance Agreements provides that "each Mortgage Loan was originated in accordance with [Countrywide's] underwriting guidelines." This allegation, if proved, would violate the loan-level representations and warranties under section 2.01 (l) and so any damages would be limited to the sole remedy repurchase protocol. This is true as to all of Ambac's transaction-level allegations, despite the attempt to label the claims otherwise. As in *Nomura*, plaintiff here "cannot subvert [an] exclusive remedies [provision] by simply re-characterizing its claims" (*id.* at 584 [citation and internal quotation marks omitted]).

In fact, the sole remedy provision contracted for by the parties is arguably broader than the one at issue in *Nomura*, which provided that the repurchase protocol was the sole remedy for

the “Purchaser against [defendant] respecting a missing document or a breach of the representations and warranties” contained in the governing contract (*id.* at 579-580). The contract here provides that the repurchase protocol is the sole remedy “for any breach of a representation and warranty [incorporated into the Insurance Agreements] and the remedy with respect to *any defective Mortgage Loan* or any Mortgage Loan as to which there has been a breach of representation or warranty under” the relevant section of the Securitization Documents (emphasis added). In addition to encompassing any breaches of the representations and warranties, the repurchase protocol is the sole recourse as to any defective loan—regardless of whether that defect is a breach of “loan-level” representations made to investors.⁴

Ambac’s assertion that section 5.02 (b) somehow overrides section 2.01 (l)’s limitation on remedies is unavailing for the same reasons we rejected a similar argument in *Nomura*. Section 5.02 (b) provides that contractual remedies are cumulative “[u]nless otherwise expressly provided”; section 2.01 (l) expressly provides otherwise for breaches of that section, making the repurchase remedy exclusive for recovery on Ambac’s breach of contract claims. The Court in *Nomura* held that a cumulative remedy provision, even without “unless otherwise expressly provided” language, did not override the sole remedy provision. We noted that plaintiff’s argument to the contrary in that case would render the sole remedy provision meaningless even for disputes that would have fallen squarely under the representations section of the relevant purchase agreement (*id.* at 586). And, in general, “[a] specific provision will not be set aside in favor of a catchall clause” (*id.*, quoting *William Higgins & Sons v State of New York*, 20 NY2d 425, 428 [1967]). Here, the broader language in the cumulative remedy provision explicitly referencing any limitations in other provisions makes it even clearer that the cumulative remedy provision is not controlling.

Ambac’s complaint fails to include breach of contract allegations beyond those that fall under the sole remedy provision of

4. Prior to filing this lawsuit, Ambac attempted to avail itself of this remedy by submitting nearly 8,000 loans to Countrywide pursuant to the protocol. Unsatisfied with that process, Ambac included a cause of action in this lawsuit for breach of Countrywide’s “repurchase, cure, or substitution obligation.”

section 2.01 (l), and accordingly Ambac is limited to the repurchase protocol as the potential remedy for those claims.⁵

IV.

Ambac argues that the Appellate Division erred in ruling that the parties' contract "does not evince an 'unmistakably clear' intent to permit Ambac to seek reimbursement for attorneys' fees incurred in its litigation against Countrywide" (151 AD3d at 89). We disagree.

[4] In New York, "the prevailing litigant ordinarily cannot collect . . . attorneys' fees from its unsuccessful opponents. . . . Attorneys' fees are treated as incidents of litigation, rather than damages. . . . The exception is when an award is authorized by agreement between the parties or by statute or court rule" (*Congel v Malfitano*, 31 NY3d 272, 290-291 [2018] [citations and internal quotation marks omitted]). In *Hooper Assoc. v AGS Computers*, this Court held that a court "should not infer a party's intention to waive the benefit of the rule unless the intention to do so is unmistakably clear from the language of the promise" (74 NY2d 489, 492 [1989]). Here, as in *Hooper*, the attorneys' fees provision "does not contain language clearly permitting plaintiff to recover from defendant the attorney[s'] fees incurred in a suit against defendant" (*id.* at 492). Similarly, the subjects set forth in this provision are all "susceptible to third-party claims," and "[n]one are exclusively or unequivocally referable to claims between the parties themselves" (*id.* at 492). Accordingly, there is no unmistakable promise to reimburse attorneys' fees in a case brought by Ambac against Countrywide.

V.

The Appellate Division correctly determined that justifiable reliance and loss causation are required elements of a fraudulent inducement claim; that Ambac may only recover damages on its fraudulent inducement claim that flow from nonconforming loans; that the remedy for Ambac's contract claims is limited to the repurchase protocol provided for in the contract's

5. Countrywide acknowledges that Ambac would not be limited to the repurchase remedy for breach of contract claims unrelated to representations pertaining to specific loan characteristics. For example, Ambac could bring claims alleging misstatements in the transactions' offering documents concerning overcollateralization provisions, or descriptions of RMBS certificates, which would fall under section 2.01 (k) (*see Nomura*, 30 NY3d at 586).

sole remedy provision, and that Ambac is not entitled to attorneys' fees.

The order, insofar as appealed from, should be affirmed, with costs, and the certified question answered in the affirmative.

RIVERA, J. (dissenting in part). I join the majority's opinion with respect to parts I, II, and IV. For the reasons set forth in my dissent in *Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.* (30 NY3d 572 [2017]), I disagree that Ambac's remedies are limited to the repurchase protocol, and therefore do not join part III of the majority opinion. As in *Nomura*, it is here "undisputed" that "where there is a breach of the representations and warranties [R&Ws] . . . concerning an individual mortgage loan, [Ambac] is limited to the sole remedy" of the repurchase protocol (*id.* at 600 [Rivera, J., dissenting]). "Yet," here just as in *Nomura*, "that remedy is not exclusive of other available remedies for different breaches of the . . . agreement" (*id.*). In particular, in this case,

"[p]laintiff's allegations of transaction-wide misrepresentations concerning the respective loan pools are not mere duplicative recitations of breaches of [the R&Ws]. Instead, [some of] plaintiff's . . . claims concern [inter alia] defendant's characterizations, through its statements and documentation, of the securitizations as suitable investment opportunities, the reliability of defendant's business practices, and the nature and quality overall of the loan pools" (*id.* at 602).

The alleged mischaracterizations are beyond the realm of mere R&W violations controlled by the sole remedy provision. I would therefore hold that Ambac is not limited to the sole remedy of the repurchase protocol.

Judges STEIN, FAHEY, WILSON and FEINMAN concur; Judge RIVERA dissents in part in an opinion; Chief Judge DiFIORE taking no part.

Order, insofar as appealed from, affirmed, with costs, and certified question answered in the affirmative.

[106 NE3d 1167, 81 NYS3d 807]

In the Matter of JENNIFER WAITE et al., Appellants, v TOWN OF CHAMPION, Respondent.

Argued June 7, 2018; decided June 27, 2018

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the Fourth Judicial Department, entered March 24, 2017. The Appellate Division affirmed a judgment (denominated order) of the Supreme Court, Jefferson County (James P. McClusky, J.), entered in a proceeding pursuant to CPLR article 78, which had dismissed the petition.

Matter of Waite v Town of Champion, 148 AD3d 1634, affirmed.

HEADNOTE

Municipal Corporations — Fire Districts — Dissolution

In a CPLR article 78 proceeding to compel respondent town's compliance with the New N.Y. Government Reorganization and Citizen Empowerment Act (General Municipal Law art 17-a) in dissolving its fire protection district (FPD), respondent's actions were not affected by an error of law because respondent properly complied with all statutory requirements in dissolving the FPD and lawfully created two distinct FPDs in accordance with Town Law § 170. To prevail, petitioners were required to establish a clear legal right to the relief demanded by demonstrating the existence of a corresponding nondiscretionary duty on the part of respondent. Upon receipt of the petition demanding a referendum on the dissolution, respondent held a referendum and proposed a dissolution plan upon its passage. The plan, after a public hearing, was voted on and approved, and the district was dissolved pursuant to the plan. Moreover, in accordance with its legal duty to provide public services, respondent created two new separate FPDs and contracted with the fire departments of separate villages to provide fire protection services within the geographic boundaries of each FPD, which was all done in compliance with the Town Law and without contravening the intent of the Act. Respondent is empowered to create an FPD (Town Law § 170 [2]), and its decision to deliver the services formerly provided by the dissolved FPD by creating two FPDs was a proper exercise of its municipal authority to choose between an FPD and a fire district. Nothing in the Act limits that power or prevents respondent from making that choice. The courts are thus without authority to upset what respondent determines to be the proper government organization for its municipal residents and the best way to deliver fire protection services.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Municipal Corporations, Counties, and Other
Political Subdivisions § 82.

McKINNEY'S, General Municipal Law art 17-a; Town Law § 170 (2).
NY JUR 2d Counties, Towns, and Municipal Corporations §§ 1054–1056.

ANNOTATION REFERENCE

See ALR Index under Towns.

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POINTS OF COUNSEL

Pinsky Law Group, PLLC, Syracuse (*Bradley M. Pinsky* of counsel), for appellants. I. Mere compliance with the process of dissolution cannot excuse an illegal and ineffective plan. (*Matter of Prudco Realty Corp. v Palermo*, 60 NY2d 656.) II. Respondent never argued its plan was legal. (*Matter of Hamdy v Hamdy*, 203 AD2d 959.) III. Respondent's plan is unlawful as it did not accomplish and complete the dissolution of the Fire Protection District. (*Nelson v Garcia*, 152 AD2d 22; *Sawyer v Town of Lewis*, 11 AD3d 938; *Miller v Savage*, 237 AD2d 695; *Miller v Morania Oil of Long Is., O.C.P.*, 194 AD2d 770.) IV. Respondent has not abdicated its control as required by the voters. (*Nelson v Garcia*, 152 AD2d 22; *Miller v Savage*, 237 AD2d 695; *Sawyer v Town of Lewis*, 11 AD3d 938.) V. The statute contemplates only dissolution. (*Sawyer v Town of Lewis*, 11 AD3d 938.)

Slye Law Offices, P.C., Watertown (*Jonathan B. Fellows* and *Robert J. Slye* of counsel), for respondent. I. Appellants' claims that the Town failed to preserve certain issues for appeal are simply wrong. (*Matter of Hamdy v Hamdy*, 203 AD2d 959.) II. General Municipal Law article 17-a is a procedural statute. III. The Town Board was free to exercise its authority under the Town Law. IV. The provisions of article 17-a of the General Municipal Law and article 11 of the Town Law must be read together. (*Matter of Albany Law School v New York State Off. of Mental Retardation & Dev. Disabilities*, 19 NY3d 106; *Matter of Plato's Cave Corp. v State Liq. Auth.*, 68 NY2d 791; *Yatauro v Mangano*, 17 NY3d 420; *Matter of Dutchess County Dept. of Social Servs. v Day*, 96 NY2d 149; *People ex rel. Sibley v Sheppard*, 54 NY2d 320; *Matter of Odunbaku v Odunbaku*,

28 NY3d 223; *Matter of Bianca v Frank*, 43 NY2d 168; *Matter of Natural Resources Defense Council v New York City Dept. of Sanitation*, 83 NY2d 215; *Matter of Consolidated Edison Co. of N.Y. v Department of Env'tl. Conservation*, 71 NY2d 186; *Ball v State of New York*, 41 NY2d 617.) V. Appellants' claim that the Town was required to adopt an elector initiated dissolution plan calling for the establishment of a fire district leads to an absurd result. (*People v Pabon*, 28 NY3d 147; *People v Garson*, 6 NY3d 604; *People v Santi*, 3 NY3d 234; *Matter of New York State Assn. of Criminal Defense Lawyers v Kaye*, 96 NY2d 512.) VI. Appellants are not truly concerned over whether the extant Fire Protection District was dissolved; they are upset that two separate fire protection districts were established in its stead. VII. General Municipal Law article 17-a is not a "loophole" around a town board's authority to act. (*City of New York v Stringfellow's of N.Y.*, 96 NY2d 51.)

OPINION OF THE COURT

RIVERA, J.

In this CPLR article 78 proceeding, petitioners claim that respondent failed to accomplish and complete the dissolution of the Town of Champion Fire Protection District as required by the General Municipal Law. On the facts of this case, we conclude that respondent's actions are not affected by an error of law because it prepared, approved, and implemented a dissolution plan in compliance with the applicable statutory requirements, and lawfully created two legally distinct fire protection districts to deliver fire protection services to the Town of Champion residents, in accordance with Town Law § 170.

I. Statutory Background

In 2009, the legislature enacted the "New N.Y. Government Reorganization and Citizen Empowerment Act" (Act), codified as General Municipal Law article 17-a, in order to "establish[] uniform and user-friendly procedures for local government entities to consolidate or dissolve" (Sponsor's Mem, Bill Jacket, L 2009, ch 74 at 6, 2009 McKinney's Session Laws of NY at 1528). As relevant to this appeal, title 3 of the Act provides that a local government entity other than a town may be dissolved through a dissolution proceeding, initiated by the entity's governing body or directly by its electors (*see* General Municipal Law § 773). For the electors to initiate a dissolution proceeding, a specified fraction of the local government entity's

electorate must sign a petition substantively conforming to language specified in the Act and calling for a referendum (*see* General Municipal Law § 779). The referendum on the entity's continued existence is then put to a vote at a special or general election (*id.* § 780). If the referendum passes by majority vote, the governing body of the local government entity subject to the referendum must prepare and approve a "dissolution plan," which specifies, among other things, "the manner and means by which the residents of the entity will continue to be furnished municipal services following the entity's dissolution" (*id.* § 782 [2] [i]). The dissolution plan must also spell out "terms for the disposition of the entity's assets . . . liabilities and indebtedness," as well as the date on which it shall become effective (*id.* § 782 [2] [j], [l]).

Thereafter, the governing body must make the plan available for public inspection and hold public hearings, upon reasonable notice, so that the public at large has an opportunity to comment on the proposed dissolution (*see id.* §§ 782, 784). After the hearings, the governing entity must approve a final version of the dissolution plan. If, as a result of public comment, the plan is amended, it must be publicly posted anew before the final vote (*see id.* § 784). After its ultimate approval, the dissolution plan takes effect on the date specified, which by statute must be at least 45 days after the final vote, unless implementation is forestalled under the Act (*see id.* § 785).

In particular, the Act allows electors to subject the implementation of an elector-initiated dissolution plan to a "permissive referendum" (*id.*). Thus, if electors are dissatisfied with a proposed dissolution plan, apart from airing their concerns through the public hearing and participation process, they may, by obtaining a specified number of signatures, petition to put a referendum question to the electorate as to whether the dissolution plan should take effect (*see id.*).¹ If they gather enough signatures to trigger a permissive referendum, the dissolution plan goes into effect only if a majority vote in its favor (*see id.*). Moreover, where the local governing body "fails to prepare and approve [a dissolution] plan or is otherwise unable

1. The Act requires more signatures to force a permissive referendum on a dissolution plan (25% of electors or 15,000 signatures, whichever is less) than to compel the initial referendum on dissolution (10% of electors or 5,000 signatures, whichever is less, except that where there are fewer than 500 electors, 20% must sign) (*compare* General Municipal Law § 785 [3], *with* § 779 [2]).

or unwilling to accomplish and complete the dissolution,” “five electors who signed the petition seeking dissolution may commence a special proceeding against the entity pursuant to article [78] . . . to compel compliance” (*id.* § 786 [1]).

The instant appeal concerns the dissolution of a fire protection district (FPD), one of two local entities a town may create to facilitate provision of fire protection services to the town’s residents. Upon its creation of an FPD, the town board, as the town’s governing body, assumes the duty to provide fire protection through volunteer and paid firefighters. To that end, it may “contract with any city, village, fire district or incorporated fire company . . . for the furnishing of fire protection” (Town Law § 184 [1]). These contracts are paid for by an assessment on the FPD, which, according to the State Comptroller, must be uniform across the FPD (1981 Ops St Comp No. 81-311). FPD taxes must be administered by the town “in the same manner, at the same time and by the same officers as [are] town taxes” (Town Law § 184 [6]), and the town may ultimately be liable for the negligence of its firefighting personnel (*see Nelson v Garcia*, 152 AD2d 22, 24-25 [4th Dept 1989]).

Alternatively, a town board may choose to create a fire district (FD) to provide fire protection services. An FD, unlike an FPD, is a distinct “political subdivision of the state and a district corporation within the meaning of section three of the general corporation law” in its own right (Town Law § 174 [7]).² Its “officers and employees . . . , including the paid and volunteer members of the fire department thereof, are officers and employees of such [FD] and are not officers or employees of any other political subdivision” (*id.*; *see also Nelson*, 152 AD2d at 25 [observing that an FD is “a wholly independent political subdivision whose ‘members’, including its volunteer fire(fighters), are employees of the (FD) and not of the town”]). An FD is headed by independent commissioners who devise the FD’s budget, which, when approved, is independently implemented by the county’s board of supervisors (*see Town Law* §§ 174, 181). In addition, an FD’s commissioners have the power to set differential tax rates across the FD, charging FD residents dif-

2. General Corporation Law § 3 defined a “district corporation” to “include[] any territorial division of the state, other than a municipal corporation . . . which possesses the power to contract indebtedness and levy taxes or benefit assessments upon real estate or to require the levy of such taxes or assessments” (former General Corporation Law § 3 [3]; *see also General Construction Law* § 66 [3] [recodifying same]).

ferent amounts based on the specific cost of providing them with fire protection services (*see id.* § 176 [27]).

Both an FPD and an FD may be created by “the town board of any town” “[u]pon its own motion and without a petition” (*id.* § 170 [2]). They may also be initiated by petition, if “resident [-]taxpayers owning taxable real property aggregating at least one-half of the assessed valuation of all the taxable real property of the proposed district” so request (*id.* § 171 [1]). Filing an appropriate petition does not guarantee the creation of an FPD or FD, because the proposal must go through a public comment period, and is subject to approval or disapproval in the discretion of the town board (*see id.* § 171 [3]).

II. Factual and Procedural Background

Petitioners are five resident-electors and legal voters of respondent Town of Champion (Town) and signatories to a Petition for Local Government Dissolution pursuant to General Municipal Law § 779 (Petition), which demanded a referendum on the dissolution of the Town of Champion Fire Protection District (CFPD). The Town is a municipal corporation in Jefferson County, mostly covered by the CFPD,³ and governed by the Town Board. To provide fire protection in the CFPD, the Town contracted with three separate fire departments—the local Champion Volunteer Fire Company, and the fire departments of the neighboring villages of West Carthage and Copenhagen.

Upon confirmation that the Petition contained sufficient signatures, the Town Board resolved to call for a referendum to ask whether the CFPD should be dissolved. The referendum was held, and its passage was announced at a Town Board meeting. At a follow-up meeting, the Town Board presented and approved a Plan for Dissolution (Plan) pursuant to General Municipal Law § 782. The Plan provided for the dissolution of the existing CFPD and the creation of two new FPDs, which would cover the same geographic area as the CFPD. Under the Plan, the Town would enter separate contracts for each FPD for the provision of fire protection services, specifically a contract with the fire department of the Village of West Carthage to provide services in FPD 1, and a contract with the

3. Part of the Town has long been situated in the separate Great Bend Fire District. That part of the Town receives fire protection from the Great Bend Fire Department, and is not at issue in this litigation.

fire department of the Village of Copenhagen for services in FPD 2. After a subsequent special meeting of the Town Board and public hearings, the Board approved three resolutions: the dissolution of the CFPD, and, separately, the creations of FPDs 1 and 2. The Board resolutions were thereafter filed with the County Clerk and New York's Department of State, as is required of all resolutions dissolving, establishing, or altering FPDs (*see* Town Law § 173).

Petitioners disapproved of the Plan and a petition was circulated calling for a referendum on whether the Plan should take effect, but the petition failed to garner sufficient valid signatures. Simultaneously, petitioners filed this article 78 proceeding pursuant to General Municipal Law § 786, challenging the Plan and the creation of the two FPDs. Petitioners sought a declaration that the Plan was void and an order directing the Town to comply with the Act by adopting a dissolution plan that did not involve the creation of an FPD controlled by the Town Board.

Supreme Court dismissed the petition, holding that the Town followed the required procedures and acted within its authority to determine whether to create an FD or an FPD. The Appellate Division affirmed, concluding that the Town complied with the Act, and observing that petitioners failed to attain enough signatures to challenge the Plan by referendum or to petition for the establishment of an FD (*see* 148 AD3d 1634, 1634 [4th Dept 2017]). We granted petitioners leave to appeal (29 NY3d 912 [2017]).

III. The Town's Compliance with its Statutory Obligations

Petitioners allege that the Town acted contrary to law because the Town Board never dissolved the CFPD but instead divided it in half, and in so doing maintained control over the provision of fire protection services, against the will of the voters and in violation of the Act. Petitioners request that we vacate the Plan and instruct the Town Board to adopt one that conforms with the Act. The Town counters that it has complied with all the applicable statutory procedural requirements to dissolve the CFPD, and that it created the two FPDs pursuant to law.

In this article 78 proceeding to compel compliance with the provisions of the Act, we review the Town's actions to determine whether they were "affected by an error of law" (*Matter of Scherbyn v Wayne-Finger Lakes Bd. of Coop. Educ. Servs.*, 77

NY2d 753, 758 [1991] [citations omitted]). To prevail, petitioners must establish “a clear legal right to the relief demanded” by demonstrating the “exist[ence of] a corresponding nondiscretionary duty” on the part of the Town (*id.* at 757 [citations omitted]).

Here, the Town fully and properly complied with all the requirements of the Act to dissolve the CFPD. Upon receipt of the Petition, the Town Board held a referendum and upon passage of the referendum the Town Board proposed a dissolution plan, which, after public hearing, was voted on and approved. The CFPD was dissolved pursuant to the Plan on August 10, 2015, effective December 31, 2015, and no winddown was necessary as the CFPD did not have employees, assets, or liabilities. The petitioners’ assertion that there was no dissolution of the CFPD is thus factually inaccurate.

Moreover, in accordance with its legal duty to provide public services, including, as relevant here, fire protection services, the Town Board created two new separate FPDs, coterminous with the CFPD, but functionally distinguishable. The Town contracted with the fire departments of separate villages to provide fire protection services within the geographic boundaries of each FPD. This was all done in compliance with the Town Law and without contravening the intent of the Act.

Nevertheless, petitioners allege that this was mere technical compliance with the statutory mandates and did not constitute a proper dissolution within the meaning of the Act because the Town Board essentially adopted an organizational structure that the majority of electors sought to dissolve. According to petitioners, the Town Board undermined the will of the voters by retaining control over the provision of fire protection services in the new FPDs, as it had in the CFPD.

We are unpersuaded by petitioners’ argument as it is based on a misunderstanding of the statutory framework, the purpose of the Act, and the Town Board’s authority to choose the manner by which to provide fire protection services to the Town’s residents. The Town Board is empowered to create an FPD (*see* Town Law § 170 [2]), and the Town Board’s decision to deliver the services formerly provided by the CFPD by creating two FPDs was a proper exercise of its municipal authority to choose between an FPD and an FD (*see id.* [empowering “the town board of any town” to “establish or extend (FDs) or (FPDs) in such town or towns outside of any incorporated village or city

or existing (FD, FPD, or fire alarm district), after a public hearing thereon” “(u)pon (the town board’s) own motion and without a petition”). Nothing in the Act limits that power or prevents the Town Board from making this choice. The courts are thus without authority to upset what the Town Board determines to be the proper government organization for its municipal residents and the best way to deliver fire protection services.⁴

Contrary to petitioners’ argument that the Town Board did not actually dissolve the CFPD because all it did was divide the CFPD in two, there are material differences between the CFPD, and FPD 1 and FPD 2. FPD 1 and 2 each cover their own respective geographic area. That together their boundaries are coterminous with those of the CFPD prior to its dissolution does not change the fact that they each encompass a smaller discrete area than that of the CFPD. This change is factually and legally meaningful. Although the Town Board will ultimately remain responsible for entering into contracts to secure fire protection services on behalf of the Town, as it did before, the form and operation of those contracts will be materially different. In particular, tax rates in an FPD must be uniform across the FPD (1981 Ops St Comp No. 81-311). This means that all residents must face similar assessments, even if fire protection services are provided by multiple companies, and the cost of fire protection differs across the FPD. In the CFPD, residents were required to pay the same assessment, regardless of whether they were covered by a fire company from the Town of Champion or the villages of Copenhagen or West Carthage. The new FPDs, however, disaggregate these costs. One FPD is entirely covered by the village of Copenhagen’s fire department, the other by West Carthage’s. The cost in each FPD may be different, then, as assessments in that FPD will exclusively reflect the cost of providing fire services to those residents alone. Indeed, “the cost of separate fire protec-

4. The dissent implies that the manner by which a town’s residents should be provided with fire protection services “should be left to the voters” (dissenting op at 600). In fact, this question is consigned by law in the first instance to the town board, not to the voters (*see* Town Law § 170 [2]), and the Act does not change this. In any case, the voters here could have required the Town Board to consider the creation of an FD, and could have prevented the implementation of the Plan and the creation of the two FPDs, if they had gathered sufficient signatures (*see* Town Law § 171 [1]; General Municipal Law § 785). This is not voter fatigue (*see* dissenting op at 599), but simply the way our democracy works.

tion contracts [through separate FPDs] within a town may not be lumped [together] as a single tax” and each FPD must instead be treated as “a separate taxing area” (1982 Ops St Comp No. 82-313). In other words, even though the Town Board will maintain control over both FPDs and the Town may potentially be liable in tort for harms caused by firefighting personnel in each, FPD 1 and FPD 2 will, at a minimum, have different tax bases than the CFPD. We therefore have no occasion to opine on whether a merely technical compliance with the Act, which does not lead to any actual changes in government operations, would survive judicial scrutiny.⁵

Petitioners claim that this result thwarts both the intent of the voters, because the electorate voted to dissolve the CFPD and the Town Board responded by creating two new FPDs, as well as the intent of the Act, as the creation of two FPDs is a proliferation of local government entities contrary to the purpose of the Act to help New Yorkers dissolve and consolidate government entities. Their claim is unconvincing upon a careful consideration of the Act’s requirements. The Act establishes a procedure to effectuate the reduction of extraneous government entities. That procedure was followed here and the replacement configuration does not appear to be extraneous, but rather a choice to continue to provide fire services through an FPD rather than an FD. That choice is a political one, allowed for under the Act.⁶

Petitioners have a remedy if they are dissatisfied with the Town Board’s choice: they can seek to dissolve the FPDs through an elector-initiated referendum, as they did with the CFPD, or they can petition for the establishment of an FD. Petitioners’ failure to secure the former or to pursue the latter

5. The dissent suggests that our ruling might allow a “devious town board [to] take the extreme step of creating a significant number of FPDs . . . to replace a ‘dissolved’ FPD,” but our analysis requires no such outcome (dissenting op at 599). Here, unlike in the dissent’s hypothetical, there is no evidence that the Town Board sought to subvert the will of the voters instead of making a political decision—which it was empowered to make—about how best to provide the Town with fire protection services. With this opinion, we resolve the case at bar, and do not rule on other possible cases or hypotheticals.

6. Petitioners and the dissent assume that, because the voters petitioned to dissolve the CFPD in particular, they must have intended to eliminate any FPDs the Town Board might contemplate. This assumption is belied by the facts, as the voters did not attempt to petition for the establishment of an FD, nor did they gather sufficient signatures to cause a permissive referendum to be held on the Plan, which created the two new FPDs.

approach cannot serve as a basis to void the Town's properly implemented Plan for dissolution. The Act and local political structure have worked as intended, and the Town's actions were not "affected by an error of law" (*Scherbyn*, 77 NY2d at 758; CPLR 7803 [3]).

Accordingly, the Appellate Division order should be affirmed, with costs.

FAHEY, J. (dissenting). To divide is not to dissolve. Here, respondent, the Town of Champion, merely replaced the subject fire protection district (FPD) with two substitute FPDs and therefore did not comply with its statutory obligation to dissolve and terminate the FPD. Consequently, I respectfully dissent and would reverse the Appellate Division order and grant the petition.

Background

The Town of Champion is located in Jefferson County, just east of the City of Watertown. The Champion Fire Protection District was formed in 1953 to protect the citizens of that town, and fire protection services subsequently were procured by contracts with fire departments in various neighboring municipalities and fire departments, including the Village of West Carthage, the Village of Copenhagen, and the Champion Volunteer Fire Company, Inc.¹

In or about 2014, however, the electors of the Town of Champion Fire Protection District (hereinafter, the FPD) commenced a proceeding pursuant to General Municipal Law § 779 seeking the dissolution of the FPD through a referendum. Upon determining that the petition contained sufficient signatures, respondent's town board resolved to hold a referendum with respect to the dissolution question on December 9, 2014.

A majority of referendum electors voted in favor of dissolution, and that vote triggered a responsibility on the part of respondent to approve a proposed elector initiated dissolution plan (*see* General Municipal Law § 782). The plan, however, was drawn with sleight of hand: under that proposal, the FPD was to be "dissolved" and residents would continue to receive

1. In a fire protection district, "[n]o independent entity is created thereby; the town controls the district's operations" (*Nelson v Garcia*, 152 AD2d 22, 24 [4th Dept 1989]). By "contrast, where a town establishes a fire district, it creates a wholly independent political subdivision whose 'members', including its volunteer firemen, are employees of the district and not of the town" (*id.* at 24-25).

services by the formation of *two new fire protection districts covering the same geographic territory as the FPD*.²

Following public hearings regarding the dissolution plan, the board adopted that scheme and created two “new” FPDs to replace the “dissolved” FPD (*see* Town Law § 170). Following that vote, petitioners commenced this proceeding pursuant to CPLR article 78 seeking a judgment nullifying respondent’s elector initiated dissolution plan as contrary to General Municipal Law § 773 on the ground that the plan did “not propose to accomplish the actual dissolution of the [FPD].” After issue was joined, Supreme Court granted the motion and dismissed the petition, ruling “that appropriate procedures were followed by [respondent] and [that respondent] had followed appropriate steps in making a determination which was the ‘job of the elected officials to [make].’” On appeal, the Appellate Division affirmed the judgment dismissing the petition, noting that “respondent . . . fulfilled its duty of devising a dissolution plan” (148 AD3d 1634, 1634 [4th Dept 2017]).

Analysis

This Court subsequently granted petitioners leave to appeal (29 NY3d 912 [2017]), and it now affirms the Appellate Division order, essentially on the ground that to divide the FPD into two FPDs covering the same geographic territory was to adhere to the statutory obligation to “dissolve[] and terminate[]” the FPD (General Municipal Law § 773 [1]; *see* majority op at 593-594). I respectfully disagree with that conclusion.

My review begins with General Municipal Law article 17-a, which is entitled “Consolidation and Dissolution of Local Government.” Section 773 (1) of the General Municipal Law provides that “[a] local government entity other than a town may be dissolved and terminated” pursuant to procedures including “elector initiative” (§ 773 [2] [b]). To the extent dissolution is sought pursuant to the initiative of electors, those electors must follow the steps set forth in General Municipal Law § 779, which provides, among other things, that a dissolution proceeding may be commenced by the filing of an original

2. In fact, according to the plan, fire protection services in the “new” FPDs would be provided by the fire department of the Village of West Carthage (in “new” FPD 1) and by the Village of Copenhagen (in “new” FPD 2). That is, in establishing the “new” FPDs, respondent chose not to procure fire protection services from the Champion Volunteer Fire Company, Inc., of which petitioner Jennifer Waite is a volunteer member.

petition, together with the signatures of the lesser of 10% of the electorate or 5,000 electors. To the extent the requirements of that section are met, a referendum on the proposed dissolution shall be placed before the electorate within a period of 60 to 90 days after the enactment of the resolution calling for the referendum (§ 780).

To the extent a majority of the electorate voting at the referendum favors dissolution, the entity's governing body shall meet within 30 days of the favorable vote and, within 180 days of that vote, also shall approve an elector initiated dissolution plan (§ 781). Section 773 (1) of the General Municipal Law reflects that the "target" entity is to be "dissolved and terminated."

Save for dissolution and termination, all of those criteria were met here. The question thus becomes whether what respondent characterizes as the dissolution of the FPD, and the immediate replacement of that entity with two FPDs, is a "dissol[ution] and terminat[ion]" within the meaning of the General Municipal Law (and therefore a legal course of action).

Statutory Interpretation

The resolution of the foregoing question turns on the meaning applied to the word "dissolution," as it is incorporated in article 17-a of the General Municipal Law. That term is defined in General Municipal Law § 750 (5), which provides that "[d]issolution' shall mean the termination of the existence of a local government entity."

Put simply, on these facts there is no ground upon which to conclude that a "termination" was accomplished. Respondent effectively reformed the FPD by dividing it into two such districts. "Termination" however, means to "end in time or existence" (Merriam-Webster's Collegiate Dictionary 1289 [11th ed 2003]; see *People v Aleynikov*, 31 NY3d 383, 397 [May 3, 2018] ["When a word used in a statute is not defined in the statute, dictionary definitions serve as useful guideposts in determining the word's ordinary and commonly understood meaning" (internal quotation marks omitted)]), and I question how a "termination" could have been accomplished here inasmuch as all of the areas covered by the original FPD still are covered by the replacement FPDs. To that end, a "plain language" analysis

of the statute (that is, an exercise of statutory interpretation)³ should resolve this case in petitioners' favor.

Statutory Construction

Even if we were to resort to legislative history to determine the meaning of "termination" (that is, an exercise of statutory construction), the result would be the same.

As noted, article 17-a of the General Municipal Law considers the consolidation and dissolution of local government. Under the majority's view of this case, a Town Board seeking to maintain FPD coverage (or a similar municipal structure) could effectively "wait out" or fatigue an electorate seeking to dissolve such a body by reconstituting an FPD following a successful dissolution effort. That is, the majority's ruling leaves open the possibility that a town board could simply replace a "dissolved" FPD with another like FPD and challenge the electorate either to repeat the referendum process or to attempt to change the constitution of the board so that such body might become more favorable to a dissolution referendum.

Or, a devious town board could take the extreme step of creating a significant number of FPDs (in this example, I will use the number 10) to replace a "dissolved" FPD. In that scenario, the electorate would need to not only recommence the referendum process (and likely to change the makeup of the Town Board), but to engage in multiple referendum efforts where previously only one such effort would have been required. The degree of difficulty in achieving dissolution obvi-

3. Statutory interpretation and statutory construction are different exercises. Indeed, the difference in name of the respective exercises of "interpretation" and "construction" reflects a difference in the mechanics and execution of those inquiries. The task of "interpretation" is most akin to the application of the plain language of the statute or code in question. By contrast, "construction" is "a process for determining the meaning of statutes [by] drawing . . . conclusions with respect to subjects which lie beyond the direct expression of the text" (McKinney's Cons Laws of NY, Book 1, Statutes § 71). "The process of construction necessarily presupposes doubt, obscurity, or ambiguity, and consequently, where a statute is framed in language so plain as to make an explanation superfluous, one will not be attempted" (McKinney's Cons Laws of NY, Book 1, Statutes § 71, Comment at 138-139 [1971 ed]).

Said differently, although "[t]he term 'construction' is frequently and commonly used as being synonymous with 'interpretation[,]'. . . there is a technical difference between the two. 'Interpretation', strictly speaking, is limited to an exploration of the written text, while 'construction' properly goes beyond [the text] and may call in the aid of extrinsic considerations" (*id.*).

ously increases with the number of required referendum efforts.

Additional Considerations

Finally, respondent appears to suggest that an FPD is in the best interests of the Town. What constitutes the best interests of the Town should be left to the voters.⁴

The Town Board's decision amounted to a breach of the relevant parts of the General Municipal Law. Consequently, because respondent merely replaced the existing FPD with two substitute FPDs, it did not "dissolve" the FPD and it breached its obligation under General Municipal Law article 17-a to terminate the FPD. The Appellate Division order should be reversed and the petition granted.

Chief Judge DiFiore and Judges Stein, Garcia, Wilson and Feinman concur; Judge Fahey dissents in an opinion.

Order affirmed, with costs.

4. The majority's conclusion that to divide, but not to dissolve, a local government entity targeted in a proceeding pursuant to General Municipal Law article 17-a is not to fatigue voters and instead simply is a reflection of "the way our democracy works" (majority op at 594 n 4) is misguided. Respectfully, I see this as a subtle attempt to subvert the democratic process (*cf.* majority op at 594 n 4).

[106 NE3d 1187, 81 NYS3d 827]

MAGDALENA GARCIA, Individually and on Behalf of Her Minor
Child, P.S., et al., Respondents, v NEW YORK CITY DEPART-
MENT OF HEALTH AND MENTAL HYGIENE et al., Appellants.

Argued June 6, 2018; decided June 28, 2018

SUMMARY

APPEAL, by permission of the Court of Appeals, from an order of the Appellate Division of the Supreme Court in the First Judicial Department, entered October 6, 2016. The Appellate Division affirmed a judgment (denominated order) of the Supreme Court, New York County (Manuel J. Mendez, J.; op 2015 NY Slip Op 32601[U] [2015]), which had granted plaintiffs-petitioners' motion to permanently enjoin defendants-respondents from implementing and enforcing amendments to the New York City Health Code (24 RCNY 43.17 [a] [2] [B]; 47.25 [a] [2] [B]) and denied defendants-respondents' cross motion to dismiss the petition.

Garcia v New York City Dept. of Health & Mental Hygiene, 144 AD3d 59, reversed.

HEADNOTES

Administrative Law — Validity of Regulation — Influenza Vaccination Requirement for Children in Certain Child Care Programs — Separation of Powers

1. Respondent New York City Board of Health's amendments to the New York City Health Code mandating that children between the ages of 6 months and 59 months who attend city-regulated child care or school-based programs receive annual influenza vaccinations (24 RCNY 43.17 [a] [2] [B]; 47.25 [a] [2] [B]) did not violate the separation of powers doctrine, as respondent's actions fit within its regulatory authority and did not constitute impermissible policymaking. Respondent did not choose between the competing public policies of advancing public health and avoiding economic disruption of specific industries. Rather, the legislature chose the "end" of public health and the "means" to promote that end by empowering respondent to "add necessary additional provisions to the health code in order to most effectively prevent the spread of communicable diseases," and to "take measures . . . for general and gratuitous vaccination" (Administrative Code of City of NY § 17-109 [a], [b]). In light of the state legislature's delegations to respondent of the power to regulate vaccines, together with respondent's long history of mandating immunizations for children attending city-regulated child care programs beyond those required by the legislature, there could be no serious claim that, in enacting the flu vaccine rules, respondent wrote on a clean slate, creating its own comprehensive set of rules without benefit of legislative guidance. Moreover, the parties did not identify any attempt by the New York City Council to legislate whether the influenza vaccine should be mandatory, and respondent's health expertise was essential to its determination of whether to require the influenza vaccination.

Local Laws — Preemption by State — Conflict Preemption — Influenza Vaccination Requirement for Children in Certain Child Care Programs

2. Respondent New York City Board of Health's amendments to the New York City Health Code mandating that children between the ages of 6 months and 59 months who attend city-regulated child care or school-based programs receive annual influenza vaccinations (24 RCNY 43.17 [a] [2] [B]; 47.25 [a] [2] [B]) were not preempted by the Public Health Law under the doctrine of conflict preemption. A local law is inconsistent with state law where the local law prohibits what would be permissible under state law, or imposes prerequisite additional restrictions on rights under state law, so as to inhibit the operation of the State's general laws. Nothing in Public Health Law § 2164 suggests that its list of vaccinations that are preconditions to enrollment in school and in institutions of higher education is an exclusive one that may not be expanded by local municipalities to which the authority to regulate vaccinations has been delegated. The state legislature has long recognized respondent as a pioneer of mandatory immunizations of children and, to some degree, modeled section 2164 on the New York City Health Code. Similarly, the legislative history of Public Health Law §§ 206 and 613, which are directed to the powers and duties of the Commissioner of the New York State Department of Health (NYSDOH), reveals no intent to restrict respondent's authority to regulate vaccinations. By their plain language, these provisions simply make clear that the particular statutory subdivisions at issue do not authorize NYSDOH to adopt mandatory immunizations, but nothing therein prohibits the adoption of mandatory immunizations if otherwise authorized by law.

Local Laws — Preemption by State — Field Preemption — Influenza Vaccination Requirement for Children in Certain Child Care Programs

3. Respondent New York City Board of Health's amendments to the New York City Health Code mandating that children between the ages of 6 months and 59 months who attend city-regulated child care or school-based programs receive annual influenza vaccinations (24 RCNY 43.17 [a] [2] [B]; 47.25 [a] [2] [B]) were not preempted by the Public Health Law under the doctrine of field preemption. The state legislature may expressly articulate its intent to occupy a field, or it may do so by implication. Intent to preempt the field may be implied from the nature of the subject matter being regulated and the purpose and scope of the state legislative scheme. When the State has created a comprehensive and detailed regulatory scheme with regard to the subject matter that the local law attempts to regulate, the local interest must yield to that of the State in regulating that field. Although the State has enacted a relatively comprehensive statutory scheme for school vaccinations, the relevant statutes reflect the state legislature's recognition that municipalities play a significant role in vaccination programs. The mere fact that the legislature has enacted specific legislation in a particular field does not necessarily lead to the conclusion that broader agency regulation of the same field is foreclosed. Although Administrative Code of the City of New York § 17-109 is now codified as New York City legislation, it was originally enacted by the state legislature and reflects the policy of the State that respondent has the authority to regulate vaccinations in New York City.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Administrative Law §§ 129, 207; AM JUR 2d

Points of Counsel

Constitutional Law § 259; AM JUR 2d Health § 45; Municipal Corporations, Counties, and Other Political Subdivisions §§ 315, 316.

McKINNEY'S, Public Health Law §§ 206, 613, 2164.

NY JUR 2d Administrative Law §§ 33, 37, 41, 51; NY JUR 2d Counties, Towns, and Municipal Corporations §§ 121, 349–351; NY JUR 2d Health and Sanitation §§ 1, 2, 71, 72.

ANNOTATION REFERENCE

See ALR Index under Administrative Law; Preemption; Vaccines.

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POINTS OF COUNSEL

Zachary W. Carter, Corporation Counsel, New York City (*Richard Dearing, Benjamin Welikson* and *Devin Slack* of counsel), for appellants. I. The New York City Board of Health did not violate separation of powers by using an accepted public health tool under specific delegated authority. (*Boreali v Axelrod*, 71 NY2d 1; *Matter of NYC C.L.A.S.H., Inc. v New York State Off. of Parks, Recreation & Historic Preserv.*, 27 NY3d 174; *Matter of New York State Health Facilities Assn. v Axelrod*, 77 NY2d 340; *Matter of Citizens For An Orderly Energy Policy v Cuomo*, 78 NY2d 398; *Matter of New York Statewide Coalition of Hispanic Chambers of Commerce v New York City Dept. of Health & Mental Hygiene*, 23 NY3d 681; *Paduano v City of New York*, 17 NY2d 875; *Grossman v Baumgartner*, 17 NY2d 345; *Matter of Conlon v Marshall*, 271 A.D. 972; *Matter of Viemeister*, 179 NY 235; *Jacobson v Massachusetts*, 197 US 11.) II. The legislature granted, rather than preempted, the New York City Board of Health's vaccination authority. (*People v Van Buren*, 4 NY3d 640; *Matter of Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd.*, 6 NY3d 563; *Matter of Natural Resources Defense Council v New York City Dept. of Sanitation*, 83 NY2d 215; *People ex rel. Savory, Inc. v Plunkett*, 295 NY 180; *Burke v Kern*, 287 NY 203; *Matter of Consolidated Edison Co. of N.Y. v Department of Env'tl. Conservation*, 71 NY2d 186;

Matter of Natural Resources Defense Council v New York City Dept. of Sanitation, 83 NY2d 215; *Matter of Resnick v County of Ulster*, 44 NY2d 279; *Metallic Flowers, Inc. v City of New York*, 4 AD2d 292, 5 NY2d 246; *Incorporated Vil. of Nyack v Daytop Vil.*, 78 NY2d 500.)

Siri & Glimstad LLP, New York City (Aaron Siri and Mason Barney of counsel), for respondents. I. The Supreme Court correctly held that the rule requiring that children attending certain preschools in New York City receive the flu shot every year is invalid because it is preempted by state law. (*Albany Area Bldrs. Assn. v Town of Guilderland*, 74 NY2d 372; *Matter of Ardizzone v Elliott*, 75 NY2d 150; *People v Diack*, 24 NY3d 674; *Consolidated Edison Co. of N.Y. v Town of Red Hook*, 60 NY2d 99; *People v De Jesus*, 54 NY2d 465; *Phillips v City of New York*, 775 F3d 538; *Matter of Chwick v Mulvey*, 81 AD3d 161; *Robin v Incorporated Vil. of Hempstead*, 30 NY2d 347; *Matter of Ardizzone v Elliott*, 75 NY2d 150; *Witty v Delta Air Lines, Inc.*, 366 F3d 380.) II. The First Department correctly held that the rule requiring that children attending certain preschools in New York City receive the flu shot every year is invalid because appellants exceeded the bounds of their legislative authority. (*Boreali v Axelrod*, 71 NY2d 1; *Matter of New York Statewide Coalition of Hispanic Chambers of Commerce v New York City Dept. of Health & Mental Hygiene*, 23 NY3d 681; *Subcontractors Trade Assn. v Koch*, 62 NY2d 422; *Matter of Broidrick v Lindsay*, 39 NY2d 641; *People v Grasso*, 42 AD3d 126, 11 NY3d 64; *Matter of New York Statewide Coalition of Hispanic Chambers of Commerce v New York City Dept. of Health & Mental Hygiene*, 110 AD3d 1, 23 NY3d 681; *Matter of Ahmed v City of New York*, 129 AD3d 435; *Matter of Citizens For An Orderly Energy Policy v Cuomo*, 78 NY2d 398; *Matter of New York State Health Facilities Assn. v Axelrod*, 77 NY2d 340.)

OPINION OF THE COURT

STEIN, J.

On this appeal, respondents the New York City Department of Health and Mental Hygiene (the Department), the New York City Board of Health (the Board), and Dr. Mary Travis Bassett, as Commissioner of the Department, argue that Supreme Court and the Appellate Division erred by enjoining enforcement of the Board's amendments to the New York City Health Code mandating that children between the ages of 6 months and 59

months who attend city-regulated child care or school-based programs receive annual influenza vaccinations. We agree. The Board's promulgation of the flu vaccine rules falls squarely within the powers specifically delegated to the Department in Administrative Code of the City of New York § 17-109, and the Board's actions did not violate the separation of powers doctrine. Further, the flu vaccine rules are not preempted by state law.

I. Background

New York City and New York State share regulatory authority over child care facilities and programs located in the city. Through the New York City Health Code, the Department and Board¹ regulate health and safety standards for school-based programs for children ages three through five years, as well as public and private group day care services for children under the age of six (*see* NY City Health Code [24 RCNY] arts 43, 47), while the State maintains oversight of smaller family and group family day care programs, as well as school-age child care (*see* Social Services Law § 390 [1] [c]-[f]; [13]).

As a matter of state law, Public Health Law § 2164 requires every child between the age of two months and 18 years to receive vaccines against certain enumerated diseases—namely, “poliomyelitis, mumps, measles, diphtheria, rubella, varicella, *Haemophilus influenzae* type b (Hib), pertussis, tetanus, pneumococcal disease, and hepatitis B” (Public Health Law § 2164 [2] [a]). Absent proof of these immunizations, the Public Health Law prohibits officials in charge of “any public, private or parochial child caring center, day nursery, day care agency, nursery school, kindergarten, elementary, intermediate or secondary school” within the state from allowing any unvaccinated child to attend for more than 14 days (*id.* § 2164 [1] [a]; [7] [a]). However, a statutory exception permits admission of an unvaccinated child if a physician certifies that “immunization may

1. The Board of Health—which is within the Department of Health and Mental Hygiene—is chaired by the Commissioner of the Department and is comprised of 10 other members appointed by the mayor, five of whom must be medical doctors, and the remaining five of whom must have at least a master's degree in a science-related field, in addition to 10 years of relevant experience (*see* NY City Charter § 553 [a]). Significantly, the New York City Charter authorizes the Board to “add to and alter, amend or repeal any part of the health code” concerning “all matters and subjects to which” the Department's authority extends and to “publish additional provisions for security of life and health in the city” (*id.* § 558 [b], [c]).

be detrimental to [the] child’s health” or if the child’s parent or guardian objects based on “genuine and sincere religious beliefs” (*id.* § 2164 [8], [9]).²

Prior to the amendments at issue here, New York City Health Code §§ 43.17 and 47.25 required that children attending child care programs under the Department’s jurisdiction “be immunized . . . in accordance with . . . Public Health Law § 2164, or successor law, and . . . have such additional immunizations as the Department may require” (former NY City Health Code [24 RCNY] §§ 43.17 [a] [2]; 47.25 [a] [2]). In December 2013, following a public hearing and comment period, the Board amended Health Code §§ 43.17 and 47.25, as relevant here, to provide that all children between the ages of 6 months and 59 months who attend child care or school-based programs under the Department’s jurisdiction must also receive annual influenza vaccinations (*see* NY City Health Code [24 RCNY] §§ 43.17 [a] [2] [B] [i]; 47.25 [a] [2] [B] [i]). As with the other required vaccinations, a child may be exempt from the flu vaccine requirement upon a physician’s certification or on the basis of “genuine and sincere religious beliefs” held by the child’s parent or guardian (NY City Health Code [24 RCNY] §§ 43.17 [a] [2] [B] [i]; 47.25 [a] [2] [B] [i]). The Board’s amendments authorized officials in charge of child care and school programs to deny admission to any child who fails to provide proof of influenza vaccination and established an appeals process for those denied admission on that ground (*see id.* §§ 43.17 [a] [2] [B] [ii]; 47.25 [a] [2] [B] [ii]). Under the new flu vaccine rules, a child care provider or school “that fails to maintain documentation showing that each child in attendance has either received each vaccination required by this subdivision or is exempt from such a requirement . . . will be subject to fines” for each unvaccinated child permitted entry (*id.* § 43.17 [a] [2] [C]; *see id.* § 47.25 [a] [2] [C]).

Petitioners—parents of children enrolled in child care programs subject to the flu vaccine rules who object to their children receiving the vaccination—commenced this hybrid CPLR article 78 proceeding and declaratory judgment action to enjoin respondents from enforcing the flu vaccine rules or, alternatively, to have the court declare such rules invalid. Petitioners maintained that the Board’s adoption of those rules

2. Public Health Law § 2165 sets forth similar immunization requirements, and statutory exceptions, for college students.

exceeded its regulatory authority and violated the separation of powers doctrine. Petitioners also argued that the flu vaccine rules were preempted by the Public Health Law and that only the state legislature may mandate vaccinations for school children. Respondents cross-moved to dismiss the petition.

Supreme Court granted petitioners' motion, denied respondents' cross motion, and permanently enjoined respondents from enforcing the flu vaccine rules (2015 NY Slip Op 32601[U] [Sup Ct, NY County 2015]). The court held that the "New York State Legislature retains the statutory authority to mandate vaccinations not already expressed within the Public Health Law," and that "[r]espondents[]" actions in enacting the [flu vaccine rules] are not contemplated in the statute and are outside of the law" (*id.* at *7).

On respondents' appeal, the Appellate Division affirmed, but employed different reasoning, concluding that "[t]he motion court improperly found that the Board of Health's adoption of the challenged [flu vaccine rules] was preempted by state law" (144 AD3d 59, 65 [1st Dept 2016]). According to the Appellate Division, "[t]here is no field preemption here because the State has not assumed full regulatory responsibility over the entire field of disease control and vaccination" and, further, "[t]he absence of the flu vaccination from the mandated list does not present a conflict because [Public Health Law § 2164] contains no language prohibiting localities from requiring additional vaccinations not mandated by the State" (144 AD3d at 65, 67).

Nevertheless, the Appellate Division held that the flu vaccine rules were invalid as enacted, under the analysis set forth in *Boreali v Axelrod* (71 NY2d 1 [1987]) and its progeny, because the "particular scheme adopted by the Board . . . exceeded the scope of its regulatory authority" (144 AD3d at 62). The Court clarified, however, that it was not holding that the Board lacked the authority to mandate vaccination of young children, given that section 17-109 of the Administrative Code of the City of New York empowers the Department to "take measures, and supply agents and offer inducements and facilities for general and gratuitous vaccination" (Administrative Code of City of NY § 17-109 [a], [b]; *see* 144 AD3d at 71-72). Rather, the Appellate Division emphasized, its "only holding" was that "the particular scheme" adopted by the Board "involved improper policy decisions, and thus did not constitute appropriate rulemaking" (144 AD3d at 72).

We granted respondents leave to appeal (28 NY3d 913 [2017]), and now reverse.

II. Separation of Powers

Respondents argue that the Appellate Division erred in concluding that the Board violated the separation of powers doctrine by adopting the flu vaccine rules. More specifically, respondents contend that the legislature has delegated to the Board, through Administrative Code § 17-109, the necessary authority to promulgate rules relating to vaccinations, including those challenged here. Respondents further assert that the Appellate Division inappropriately applied the *Boreali* factors (71 NY2d at 11-14) to second-guess the manner in which the Board exercised its regulatory authority, instead of merely determining whether the Board possessed the requisite authority to promulgate the rules in the first instance. In response, petitioners argue that the Appellate Division correctly held that the Board exceeded its regulatory authority and impermissibly crossed the threshold into legislative policymaking.

“The concept of the separation of powers is the bedrock of the system of government adopted by this State in establishing three coordinate and coequal branches of government, each charged with performing particular functions’” (*Matter of NYC C.L.A.S.H., Inc. v New York State Off. of Parks, Recreation & Historic Preserv.*, 27 NY3d 174, 178 [2016], quoting *Matter of Soares v Carter*, 25 NY3d 1011, 1013 [2015]). This principle, “implied by the separate grants of power to each of the coordinate branches of government, requires that the Legislature make the critical policy decisions, while the executive branch’s responsibility is to implement those policies” (*Bourquin v Cuomo*, 85 NY2d 781, 784 [1995] [internal quotation marks and citations omitted]; see NY Const, art III, § 1; art IV, § 1).

Separation of powers challenges often involve the question of whether a regulatory body has exceeded the scope of its delegated powers and encroached upon the legislative domain of policymaking (see *Greater N.Y. Taxi Assn. v New York City Taxi & Limousine Commn.*, 25 NY3d 600, 608 [2015]). However, the distinction between unauthorized policymaking and permissible regulating is not always an easy one to define. The powers of the legislative and executive branches “cannot be neatly divided into isolated pockets” (*Bourquin*, 85 NY2d at 784). A regulatory agency “is clothed with those powers expressly conferred by its authorizing statute, as well as those

required by necessary implication” (*Matter of Acevedo v New York State Dept. of Motor Vehs.*, 29 NY3d 202, 221 [2017]; see *Matter of General Elec. Capital Corp. v New York State Div. of Tax Appeals, Tax Appeals Trib.*, 2 NY3d 249, 254 [2004]). Generally, “an agency can adopt regulations that go beyond the text of [its enabling] legislation, provided they are not inconsistent with the statutory language or its underlying purposes” (*Matter of General Elec. Capital Corp.*, 2 NY3d at 254). The guiding legislation “need not be detailed or precise as to the agency’s role” and, as an overarching principle, “common sense must be applied when reviewing a separation of powers challenge” (*Greater N.Y. Taxi Assn.*, 25 NY3d at 609).

In *Boreali* and subsequent cases, we have clarified the “difficult-to-define line between administrative rule-making and legislative policy-making” by articulating four “coalescing circumstances” relevant to rendering such a determination (71 NY2d at 11; see *Matter of Acevedo*, 29 NY3d at 222; *Greater N.Y. Taxi Assn.*, 25 NY3d at 610; *Matter of New York Statewide Coalition of Hispanic Chambers of Commerce v New York City Dept. of Health & Mental Hygiene*, 23 NY3d 681, 696 [2014]). These circumstances are: whether (1) the regulatory agency “‘balanc[ed] costs and benefits according to preexisting guidelines,’ or instead made ‘value judgments entail[ing] difficult and complex choices between broad policy goals to resolve social problems’” (*Matter of Acevedo*, 29 NY3d at 222-223, quoting *Greater N.Y. Taxi Assn.*, 25 NY3d at 610); (2) the agency “‘merely filled in details of a broad policy or if it ‘wrote on a clean slate, creating its own comprehensive set of rules without benefit of legislative guidance’” (*Matter of NYC C.L.A.S.H.*, 27 NY3d at 182, quoting *Greater N.Y. Taxi Assn.*, 25 NY3d at 611); (3) the legislature had unsuccessfully attempted to enact laws pertaining to the issue (see *Boreali*, 71 NY2d at 13); and (4) the agency used special technical expertise in the applicable field (see *id.* at 13-14).

We have emphasized that these circumstances or factors are not “discrete, necessary conditions that define improper policy-making by an agency” or “criteria that should be rigidly applied in every case in which an agency is accused of crossing the line into legislative territory” (*Matter of New York Statewide Coalition*, 23 NY3d at 696; see *Matter of NYC C.L.A.S.H.*, 27 NY3d at 180). “Rather, the factors are related considerations, designed to ascertain whether an agency has transgressed the bounds of permissible rulemaking” (*Matter of Acevedo*, 29 NY3d

at 222; see *Greater N.Y. Taxi Assn.*, 25 NY3d at 612). Ultimately, “[a]ny *Boreali* analysis should center on the theme that ‘it is the province of the people’s elected representatives, rather than appointed administrators, to resolve difficult social problems by making choices among competing ends’” (*Matter of New York Statewide Coalition*, 23 NY3d at 697, quoting *Boreali*, 71 NY2d at 13).

Turning to the case before us, the New York City Charter empowers the Department with “jurisdiction to regulate all matters affecting health in the city of New York and to perform all those functions and operations performed by the city that relate to the health of the people of the city” (NY City Charter § 556), as well as to “supervise the reporting and control of communicable and chronic diseases and conditions hazardous to life and health” (*id.* § 556 [c] [2]). In addition, the City Charter authorizes the Board to “add to and alter, amend or repeal any part of the health code, . . . [to] publish additional provisions for security of life and health in the city and [to] confer additional powers on the [D]epartment not inconsistent with the constitution, laws of this state or this charter” (*id.* § 558 [b]). The Board “may embrace in the health code all matters and subjects to which the power and authority of the [D]epartment extends” (*id.* § 558 [c]), and may enforce the Health Code through, among other things, “fines, penalties, [and] forfeitures” (*id.* § 558 [b]). Although these are broad delegations of power, we have held that they nevertheless “reflect[] only a regulatory mandate, not legislative authority” (*Matter of New York Statewide Coalition*, 23 NY3d at 694). Accordingly, “the Board’s authority, like that of any other administrative agency, is restricted to promulgating ‘rules necessary to carry out the powers and duties delegated to it by or pursuant to federal, state or local law’” (*id.* at 695, quoting NY City Charter § 1043 [a]). “A rule has the force of law, but it is not a law; rather, it ‘implements or applies law or policy’” (*Matter of New York Statewide Coalition*, 23 NY3d at 695, quoting NY City Charter § 1041 [5] [i]), and the Board must act within the strictures of its legislatively-delegated powers.

In that regard, as particularly relevant here, Administrative Code § 17-109 delegates to the Department—and, by extension, the Board (see NY City Charter § 558 [c])—the power “to collect and preserve pure vaccine lymph or virus, produce diphtheria antitoxin and other vaccines and antitoxins, and add necessary additional provisions to the health code in order

to most effectively prevent the spread of communicable diseases” (Administrative Code § 17-109 [a]). Section 17-109 further authorizes the Board to “take measures, and supply agents and offer inducements and facilities for general and gratuitous vaccination, disinfection, and for the use of diphtheria antitoxin and other vaccines and antitoxins” (*id.* § 17-109 [b]). Plainly, this is a legislative delegation of authority to adopt vaccination measures. Nonetheless, petitioners maintain that the flu vaccine rules exceed the scope of the Board’s authority under *Boreali*.

(A)

[1] Analyzing the first *Boreali* factor, we must consider whether the flu vaccine rules are the result of the Board making difficult and complex value judgments, choosing between competing policy goals. Petitioners assert that the Board’s improper policymaking is evidenced by the so-called “exceptions” inherent in its chosen scheme insofar as the flu vaccine rules apply only to those child care providers regulated by the City and providers are permitted to admit unvaccinated children, albeit subject to significant financial penalties. In that regard, petitioners liken the flu vaccine rules to the rules at issue in *Matter of New York Statewide Coalition* (23 NY3d at 690) capping the portion size of sugary drinks. This analogy is inapt.

In *Matter of New York Statewide Coalition*, the Board weighed the public health goal sought to be achieved by its regulation limiting the size of sugary drinks sold by certain food service establishments against various special interests, including “the economic consequences associated with restricting profits by beverage companies and vendors, tax implications for small business owners, and personal autonomy with respect to the choices of New York City residents concerning what they consume” (*id.* at 698). While we held that the agency’s weighing of these economic considerations supported the view that it had transgressed into policymaking, we clarified that, generally, “the promulgation of regulations necessarily involves an analysis of societal costs and benefits,” and that “*Boreali* should not be interpreted to prohibit an agency from attempting to balance costs and benefits” (*Matter of New York Statewide Coalition*, 23 NY3d at 697-698). However, under the facts presented there, we concluded that “the [p]ortion [c]ap [r]ule embodied a compromise that attempted to promote a

healthy diet without significantly affecting the beverage industry,” which constituted a balancing of competing special interests that fell within the legislative domain (*id.* at 698). We, therefore, held that the first factor weighed against the Board.

Here, by comparison, the Board did not choose between the competing public policies of advancing public health and avoiding economic disruption of specific industries (*compare id.* at 698-699). Rather, the *legislature* chose the “end” of public health and the “means” to promote that end by empowering the Board to “add necessary additional provisions to the health code in order to most effectively prevent the spread of communicable diseases,” as well as to “take measures, and supply agents and offer inducements and facilities for general and gratuitous vaccination” (Administrative Code § 17-109 [a], [b]). In adopting the flu vaccine rules, the Board determined, in accordance with the legislature’s mandates, which vaccines should be required for children attending certain day care programs, as a matter of public health.

Undisputedly, there is a very direct connection between the flu vaccine rules and the preservation of health and safety (*compare Matter of New York Statewide Coalition*, 23 NY3d at 699; *see generally Matter of Viemeister*, 179 NY 235 [1904]). To be sure, the flu vaccine rules necessarily impinge upon personal choice to some degree. This will almost always be true with health-related regulations. Notably, however, unlike in *Matter of New York Statewide Coalition*, the rules challenged here do not relate merely to a personal choice about an individual’s own health but, rather, seek to ensure increased public safety and health for the citizenry by reducing the prevalence and spread of a contagious infectious disease within a particularly vulnerable population.

That the Board determined the exact means of achieving and advancing the larger end chosen by the legislature—by imposing fines to ensure that the cost of admitting unvaccinated, nonexempt children to day care programs is too significant for a provider to risk noncompliance—is a necessary part of the Board’s exercise of its regulatory authority; it does not give rise to a violation of the separation of powers doctrine. Nor does application of the flu vaccine rules to only those day care programs primarily regulated by the City—not those primarily subject to state oversight—warrant a contrary conclusion. There is no indication that the Board limited the scope of the

rules based on financial considerations of special or business interests (*see Matter of NYC C.L.A.S.H.*, 27 NY3d at 181 n 5 [scope of regulation did not indicate policymaking where it merely regulated areas under the agency’s jurisdiction]; *compare Boreali*, 71 NY2d at 11-12 [invalidating “a regulatory scheme laden with exceptions based solely upon economic and social concerns” (emphasis added)]). Moreover, “the limited scope of the [flu vaccine rules] would not in itself demonstrate that [they] amounted to policymaking” (*Matter of New York Statewide Coalition*, 23 NY3d at 698 n 3). Accordingly, our analysis of the first *Boreali* factor militates in favor of upholding the flu vaccine rules.

(B)

With regard to the second *Boreali* factor, as noted above, the legislature has delegated significant power to the Board to promulgate regulations in the field of public health. Indeed, as already observed, the Board has jurisdiction to regulate “all matters affecting health in the city of New York” (NY City Charter § 556), including matters relating to “communicable and chronic diseases and conditions hazardous to life and health” (*id.* § 556 [c] [2]). Further, Administrative Code § 17-109 specifically delegates to the Board the power to regulate vaccinations and adopt vaccination measures to reduce the spread of infectious disease. This provision traces back to an 1866 act of the state legislature creating a predecessor to the existing Department and Board, which empowered that predecessor agency to “take measures and supply agents, and afford inducements and facilities for general and gratuitous vaccination and disinfection . . . as in its opinion the protection of the public health may require” (L 1866, ch 74, §§ 16, 20). Over the course of many decades, the State has repeatedly reaffirmed the authority of the Department (in its various forms) to regulate vaccinations (*see* L 1874, ch 635, § 1; L 1897, ch 378, § 1225 [established New York City Charter and Board of Health, and bestowed upon Board the power to “take measures, and supply agents and offer inducements and facilities for general and gratuitous vaccination”]; L 1901, ch 466, § 1225; L 1937, ch 929, § 556-6.0 [enacted the New York City Administrative Code with vaccination provision]).

In accordance with these statutory delegations, the Board has mandated smallpox vaccinations of minors since 1866 (*see* former Metropolitan Bd of Health Code of Health Ordinances

§ 29 [1866]), and has required other vaccines for children enrolled in city-regulated day care centers since at least as early as 1948, when it directed that children be immunized against diphtheria prior to admission (*see* former NYC Sanitary Code § 198, Regulation 6 [1948]). These requirements were expanded over the years to add a number of other mandatory vaccinations, including poliomyelitis, tetanus, and pertussis (former Health Code § 47.07 [1959]). Critically, this preceded the state legislature's own foray into mandatory vaccinations for children enrolled in day care programs. Prior to 1966, when the legislature enacted Public Health Law § 2164 (*see* L 1966, ch 994), smallpox was the only vaccine mandated by the legislature on a state level. The first iteration of section 2164, itself, mandated only that children receive poliomyelitis vaccines (*see* L 1966, ch 994). Nonetheless, in the legislative history underlying section 2164, the legislature expressly recognized that the New York City Health Code already required children admitted to a day care program regulated by the City to be vaccinated against poliomyelitis, diphtheria, pertussis, and tetanus (*see* Assembly Mem in Support, Bill Jacket, L 1966, ch 994 at 8).³ Similarly, later amendments to section 2164 reflect the state legislature's awareness that the Board continued to mandate vaccinations beyond the confines of section 2164 (*see e.g.* Sponsor's Mem, Bill Jacket, L 1989, ch 538 at 8).

In light of the state legislature's aforementioned delegations to the Board of the power to regulate vaccines, together with the Board's long history of mandating immunizations for children attending city-regulated child care programs beyond those required by the legislature, there can be no serious claim that, in enacting the flu vaccine rules, the Board "wrote on a clean slate, creating its own comprehensive set of rules without benefit of legislative guidance" (*Matter of NYC C.L.A.S.H.*, 27 NY3d at 182, quoting *Greater N.Y. Taxi Assn.*, 25 NY3d at 611; *see Rent Stabilization Assn. of N.Y. City v Higgins*, 83 NY2d 156, 170 [1993], *cert denied* 512 US 1213 [1994]). "Where an agency has promulgated regulations in a particular area for an extended time without any interference from the legislative body, we can infer, to some degree, that the legislature approves of the agency's interpretation or action" (*Greater N.Y. Taxi Assn.*, 25 NY3d at 612).

3. Vaccinations for pertussis and tetanus were not mandated by state law until 2004 (*see* L 2004, ch 207).

Nor can it be said that there was a complete absence of any “legislative articulation of health policy goals” (*Matter of New York Statewide Coalition*, 23 NY3d at 700) concerning the relevant subject matter. To the contrary, the state legislature has accepted that vaccinations are a viable method of curbing the spread of disease (*see* Public Health Law §§ 2164, 2165), enacted legislation to promote the administration of influenza vaccinations in youth populations (*see id.* § 613 [1] [b]), and delegated to the Board the authority to take measures to vaccinate gratuitously (*see* Administrative Code § 17-109 [a], [b]). Under these circumstances, the second *Boreali* factor strongly supports the Board’s position.

(C)

As for the third *Boreali* factor, the question of legislative inaction, the parties do not identify any attempt by the New York City Council to legislate whether the influenza vaccine should be mandatory for children attending child care programs regulated by the Department. It is true that the state legislature has generally adopted an incremental approach to imposing vaccination requirements for children and has enacted legislation that encourages, but does not require, that children receive the influenza vaccination (*see* L 2010, ch 36, § 1; Public Health Law § 613 [1]). However, this is hardly the equivalent of “repeated failures by the [l]egislature to [reach] an agreement” on the subject matter “in the face of substantial public debate and vigorous lobbying by a variety of interested factions” (*Boreali*, 71 NY2d at 13). In any event, as we have previously recognized, “[l]egislative inaction, because of its inherent ambiguity, affords the most dubious foundation for drawing positive inferences” (*Matter of NYC C.L.A.S.H.*, 27 NY3d at 184, quoting *Matter of Oswald N.*, 87 NY2d 98, 103 n 1 [1995]). Accordingly, we conclude that the third factor does not weigh against the Board.

(D)

Likewise, the fourth *Boreali* factor, which looks to “whether the agency used special expertise or competence in the field to develop the challenged regulations” (*Greater N.Y. Taxi Assn.*, 25 NY3d at 612, citing *Boreali*, 71 NY2d at 13-14), does not counsel us to invalidate the flu vaccine rules. In debating the virtues of the proposed rules, the Board compiled data and research regarding the prevalence and severity of influenza in

the infant population, the effectiveness and safety of the vaccine, and the benefits to the greater population of mandating the vaccination of young children. The Board explained that the flu vaccine rules are supported by research indicating that children have “the highest attack rates of influenza,” “serve as a major source of transmission within communities,” and, further, that “[v]accinating children produces ‘herd immunity’ in the general population.” The Board also relied on the recommendation of the Federal Advisory Committee on Immunization Practices that everyone over the age of six months receive an annual influenza vaccination, and considered similar vaccination requirements in other states for children attending child care or preschool facilities. Unquestionably, the Board’s health expertise was essential to its determination of whether to require the influenza vaccination. Further, while the Board’s selection of financial penalties for noncompliance was less reliant on its technical competence in the health field, it is consistent with the Board’s regulatory authority to choose among various enforcement methods to best achieve compliance (see NY City Charter § 558 [b], [c]). Therefore, the final *Boreali* factor does not militate against the Board (see *Matter of NYC C.L.A.S.H.*, 27 NY3d at 185; *Greater N.Y. Taxi Assn.*, 25 NY3d at 612).

(E)

The legislature’s specific delegation to the Board of authority over vaccinations and our analysis of the *Boreali* factors—two of which weigh heavily in the agency’s favor and two of which do not weigh against it—compel the conclusion that the Board’s adoption of the flu vaccine rules fits squarely within its regulatory authority and does not constitute impermissible policy-making. Accordingly, we reject petitioners’ separation of powers challenge. In so holding, we emphasize that the *Boreali* analysis is not aimed at determining whether a regulatory agency adopted the most desirable method or type of regulation. Stated otherwise, the factors enumerated in *Boreali* are not designed to second-guess agency regulations that properly fall within the agency’s purview. Rather, the *Boreali* analysis is intended only to aid courts in determining whether an agency has usurped the legislature’s power by regulating in an area in which it has not been delegated rule-making authority. To be sure, this may entail some consideration of the manner in which the agency has chosen to regulate. However, if the

Boreali factors indicate that the agency has been empowered to regulate the matter in question, the separation of powers analysis goes no farther in reviewing the agency's methods.

III. Preemption

Alternatively, petitioners argue that the flu vaccine rules are invalid because they conflict with the Public Health Law. Petitioners also claim that—despite its delegation of authority to the Board to regulate vaccinations—the state legislature has preempted the narrower field of mandatory school vaccinations by enacting a comprehensive statutory scheme. Respondents contend, in opposition, that their power to adopt vaccination requirements is both consistent with, and derived from, state law and, therefore, the flu vaccine rules are not preempted.

“The preemption doctrine represents a fundamental limitation on home rule powers” and “embodies ‘the untrammelled primacy of the [l]egislature to act . . . with respect to matters of State concern’ ” (*Albany Area Bldrs. Assn. v Town of Guilderland*, 74 NY2d 372, 377 [1989], quoting *Wambat Realty Corp. v State of New York*, 41 NY2d 490, 497 [1977]). “A local law will be preempted either where there is a direct conflict with a state statute (conflict preemption) or where the legislature has indicated its intent to occupy the particular field (field preemption)” (*Eric M. Berman, P.C. v City of New York*, 25 NY3d 684, 690 [2015]; see *DJL Rest. Corp. v City of New York*, 96 NY2d 91, 95 [2001]).

“We have held that a local law is inconsistent [with state law] ‘where local laws prohibit what would be permissible under [s]tate law, or impose prerequisite additional restrictions on rights under [s]tate law, so as to inhibit the operation of the State’s general laws’ ” (*Eric M. Berman, P.C.*, 25 NY3d at 690, quoting *Zakrzewska v New School*, 14 NY3d 469, 480 [2010]). However, we have also cautioned that reading conflict preemption principles too broadly risks rendering the power of local governments illusory (see *New York State Club Assn. v City of New York*, 69 NY2d 211, 221 [1987], *affd* 487 US 1 [1988]). Thus, the “fact that both the [s]tate and local laws seek to regulate the same subject matter does not in and of itself give rise to an express conflict” (*Jancyn Mfg. Corp. v County of Suffolk*, 71 NY2d 91, 97 [1987]; see *People v Judiz*, 38 NY2d 529, 531 [1976]), and conflict preemption is generally found only “when the State specifically permits the conduct prohibited at the local level” or there is some other indication that deviation

from state law is prohibited (*New York State Club Assn.*, 69 NY2d at 222).

As for field preemption, “[t]he [s]tate [l]egislature may expressly articulate its intent to occupy a field, but it need not. It may also do so by implication” (*DJL Rest. Corp.*, 96 NY2d at 95). “Intent to preempt the field may ‘be implied from the nature of the subject matter being regulated and the purpose and scope of the [s]tate legislative scheme, including the need for [s]tate-wide uniformity in a given area’” (*People v Diack*, 24 NY3d 674, 679 [2015], quoting *Albany Area Bldrs. Assn.*, 74 NY2d at 377). “When the State has created a comprehensive and detailed regulatory scheme with regard to the subject matter that the local law attempts to regulate, the local interest must yield to that of the State in regulating that field” (*Diack*, 24 NY3d at 677).

In support of their preemption claim, petitioners rely on Public Health Law §§ 206, 613, 2164, and 2165. Section 206 sets forth the general powers and duties of the Commissioner of the New York State Department of Health (NYSDOH), including the power to “establish and operate such adult and child immunization programs as are necessary to prevent or minimize the spread of disease and to protect the public health” (Public Health Law § 206 [1] [l]). That section further authorizes NYSDOH to “promulgate such regulations as are necessary for the implementation” of this mandate; however, the statute provides, in the same paragraph, that “[n]othing in this paragraph shall authorize mandatory immunization of adults or children, except as provided in sections [2164] and [2165]” (*id.* [emphasis added]).

Likewise, Public Health Law § 613 (1) (a) requires NYSDOH to “develop and supervise the execution of a program of immunization, surveillance and testing, to raise to the highest reasonable level the immunity of the children of the state against communicable diseases including . . . influenza” and several other enumerated diseases. Concerning influenza, in particular, Public Health Law § 613 (1) (b) mandates that the NYSDOH Commissioner “administer a program of influenza education to the families of children ages six months to eighteen years of age who attend licensed and registered day care programs” and schools within the state. According to the statute, NYSDOH should encourage and assist municipalities to “maintain local programs of immunization to raise the immunity of the children and adults of each municipality to the

highest reasonable level, in accordance with an application for state aid submitted by the municipality and approved by the commissioner” (*id.* § 613 [1] [a]). Pursuant to section 613 (1) (c), NYSDOH is directed to invite and encourage participation in the educational programs by medical societies and organizations, parents, teachers, child care resource centers, other groups, and other state agencies. However, the statute again provides that “[n]othing in *this subdivision* shall authorize mandatory immunization of adults or children, except as provided in” Public Health Law §§ 2164 and 2165 (Public Health Law § 613 [1] [c] [emphasis added]). As previously discussed, Public Health Law §§ 2164 and 2165 set forth mandatory vaccinations that are preconditions to enrollment in school and in institutions of higher education. Those statutes include exemptions, incorporate an appeal process, and explain the procedures to be followed when a student is unable to afford the necessary vaccinations. Taking each of the aforementioned statutes into consideration, the Appellate Division correctly determined that the flu vaccine rules are not preempted by state law.

(A)

[2] Addressing conflict preemption first, nothing in Public Health Law § 2164 suggests that the list of vaccinations set forth therein is an exclusive one that may not be expanded by local municipalities to which the authority to regulate vaccinations has been delegated. Indeed, as noted above, the state legislature has long recognized the Board as a pioneer of mandatory immunizations of children and, to some degree, it modeled Public Health Law § 2164 on the New York City Health Code (*see* Assembly Mem in Support, Bill Jacket, L 1966, ch 994 at 8; *see also* Sponsor’s Mem, Bill Jacket, L 1989, ch 538 at 8). In fact, NYSDOH expressed its recognition of the Board’s independent authority as recently as 2015 (*see* Notice of Proposed Rule Making, NY Reg, Mar. 18, 2015 at 18 [observing that proposed amendments to state regulations concerning school immunization requirements “do not address additional immunizations that may be required for school admission by the New York City Health Code”]). Thus, the flu vaccine rules do not conflict with either section 2164 or section 2165.

Contrary to petitioners’ assertions, the flu vaccine rules also do not conflict with Public Health Law §§ 206 and 613. Those provisions are directed to the powers and duties of the Com-

missioner of NYSDOH, not of the Board. Notably, the language relied on by petitioners—that nothing in the particular “subdivision” (Public Health Law § 613 [1] [c]) or “paragraph” “shall authorize mandatory immunization of adults or children, except as provided in sections [2164] and [2165]” of the Public Health Law—was added to those statutes in 2004, and the legislative history reveals no intent to restrict the Board’s authority to regulate vaccinations (Public Health Law § 206 [1] [l]; *see id.* § 613 [1] [c]). Rather, the legislature intended to grant NYSDOH authority to oversee voluntary adult immunization programs, while ensuring that its grant of authority would not be construed as extending to the adoption of mandatory adult immunizations (*see* Letter from Richard N. Gottfried, Chair, Assembly Comm on Health, to Richard Platin, Counsel to Governor, July 16, 2004, Bill Jacket, L 2004, ch 207 at 5, 2004 NY Legis Ann at 179). Indeed, by their plain language, these provisions simply make clear that the particular statutory subdivisions at issue do not authorize NYSDOH to adopt additional mandatory immunizations, but nothing therein prohibits the adoption of mandatory immunizations if otherwise authorized by law.

(B)

[3] Turning to the question of field preemption, although the State has enacted a relatively comprehensive statutory scheme for school vaccinations, the relevant statutes reflect the state legislature’s recognition that municipalities play a significant role in vaccination programs. It is not unusual for the State to set the floor for public health regulations while permitting localities to adopt stricter measures (*see e.g.* Public Health Law § 228 [3]).

“[T]he mere fact that the Legislature has enacted specific legislation in a particular field does not necessarily lead to the conclusion that broader agency regulation of the same field is foreclosed. The key question in all cases is what did the Legislature intend?” (*Matter of Consolidated Edison Co. of N.Y. v Department of Env’tl. Conservation*, 71 NY2d 186, 193 [1988]). Significantly, although Administrative Code § 17-109 is now codified as New York City legislation, it was originally enacted by the state legislature and “reflect[s] the policy of the State that” the Board has the authority to regulate vaccinations in New York City, including mandatory vaccinations of children enrolled in city-regulated child care programs (*Matter of*

Patrolmen's Benevolent Assn. of City of N.Y., Inc. v New York State Pub. Empl. Relations Bd., 6 NY3d 563, 574 [2006]). Indeed, it would be difficult to reconcile the state legislature's repeated explicit recognition of the Board's independent vaccination requirements when amending Public Health Law § 2164, with an intent to implicitly repeal the Board's authority (see Sponsor's Mem, Bill Jacket, L 1989, ch 538 at 8; Bill Jacket, L 1966, ch 994; cf. *Matter of Natural Resources Defense Council v New York City Dept. of Sanitation*, 83 NY2d 215, 222 [1994] [repeal by implication will only be resorted to in the clearest of cases]; *Matter of Consolidated Edison Co. of N.Y.*, 71 NY2d at 195 ["(r)epel or modification of legislation by implication is not favored in the law"]). When codifying the Administrative Code in 1937, in fact, the state legislature specifically provided that no law enacted thereafter should be construed to implicitly repeal any provision of the Code, and the Code still so states (see former Administrative Code § 982-6.0 as enacted by L 1937, ch 929, § 1; Administrative Code § 1-110). Accordingly, we cannot conclude that the State has preempted the field of mandatory school vaccinations so as to invalidate the Board's flu vaccine rules.

IV. Conclusion

For all of these reasons, we hold that the Board permissibly adopted the flu vaccine rules pursuant to its legislatively-delegated and long-exercised authority to regulate vaccinations. We also hold that neither field, nor conflict, preemption abrogates the rules. Therefore, the order of the Appellate Division should be reversed, with costs, the petition insofar as it sought to enjoin enforcement of the amendments to the New York City Health Code denied, and judgment granted declaring in respondents' favor in accordance with this opinion.⁴

Chief Judge DiFIORE and Judges RIVERA, FAHEY, GARCIA, WILSON and FEINMAN concur.

Order reversed, with costs, petition insofar as it sought to enjoin enforcement of the amendments to the New York City Health Code denied, and judgment granted declaring in respondents' favor in accordance with the opinion herein.

4. Because petitioners sought a declaration of the parties' rights, a declaration in respondents' favor rather than a dismissal of the petition is appropriate (see *200 Genesee St. Corp. v City of Utica*, 6 NY3d 761 [2006]; *Lanza v Wagner*, 11 NY2d 317 [1962]).

[107 NE3d 515, 82 NYS3d 295]

THE PEOPLE OF THE STATE OF NEW YORK, by ERIC T. SCHNEIDERMAN, Attorney General of the State of New York, Respondent, v CREDIT SUISSE SECURITIES (USA) LLC, Formerly Known as CREDIT SUISSE FIRST BOSTON LLC, et al., Appellants.

Argued March 21, 2018; decided June 12, 2018

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered December 13, 2016. The Appellate Division affirmed an order of the Supreme Court, New York County (Marcy S. Friedman, J.; op 46 Misc 3d 1211[A], 2014 NY Slip Op 51912[U] [2014]), which, insofar as appealed from, had denied the motion of defendants Credit Suisse Securities (USA) LLC, formerly known as Credit Suisse First Boston LLC, DLJ Mortgage Capital, Inc., Credit Suisse First Boston Mortgage Securities Corporation, Asset Backed Securities Corporation and Credit Suisse Mortgage Acceptance Corporation to dismiss the complaint pursuant to CPLR 3211 (a) (5). The following question was certified by the Appellate Division: “Was the order of Supreme Court, as affirmed by the order of this Court, properly made?”

People v Credit Suisse Sec. (USA) LLC, 145 AD3d 533, modified.

HEADNOTES

Limitation of Actions — Fraud — Martin Act Claims

1. Claims pursuant to the Martin Act (General Business Law art 23-A), which authorizes the Attorney General to investigate and enjoin “fraudulent practices” in the marketing of securities, are governed by the three-year statute of limitations in CPLR 214 (2) covering “action[s] to recover upon a liability, penalty or forfeiture created or imposed by statute.” CPLR 214 (2) does not automatically apply to all causes of action in which a statutory remedy is sought, but only where liability would not exist but for a statute. Thus, CPLR 214 (2) does not apply to liabilities existing at common law which have been recognized or implemented by statute. The Martin Act imposes numerous obligations, or “liabilities,” that did not exist at common law. The broad definition of “fraudulent practices,” as repeatedly amended by the legislature and interpreted by the courts, encompasses “wrongs” not cognizable under the common law and dispenses, among other things, with any requirement that the Attorney General prove scienter or justifiable reliance on the part of investors.

Limitation of Actions — Fraud — Attorney General Claim under Executive Law § 63 (12)

2. In plaintiff's action alleging that defendants engaged in fraudulent or illegal acts in connection with the creation and sale of residential mortgage-backed securities in violation of Executive Law § 63 (12), the lower courts incorrectly concluded that a six-year statute of limitations applied to defendants' Executive Law § 63 (12) claim regardless of whether the specific elements of common-law fraud had been made out. Executive Law § 63 (12) gives the Attorney General standing to redress liabilities recognized elsewhere in the law, expanding the scope of available remedies. To determine whether such a claim is timely, courts must look through Executive Law § 63 (12) and apply the statute of limitations applicable to the underlying liability. Therefore, it was necessary to examine whether the conduct underlying the Executive Law § 63 (12) claim amounted to a type of fraud recognized in the common law and, if so, the action would be governed by a six-year statute of limitations.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Consumer and Borrower Protection §§ 281, 297; AM JUR 2d Limitation of Actions § 103; AM JUR 2d Securities Regulation—State § 196.

CARMODY-WAIT 2d Limitation of Actions §§ 13:187, 13:188.

McKINNEY'S, CPLR 214 (2); Executive Law § 63 (12); General Business Law art 23-A; § 349 (h).

NY JUR 2d Consumer and Borrower Protection §§ 6–8, 12, 19; NY JUR 2d Investment Securities § 241; NY JUR 2d Limitations and Laches §§ 66, 183; NY JUR 2d State of New York § 49.

SIEGEL, NY PRAC § 35.

ANNOTATION REFERENCE

See ALR Index under Attorney General; Fraud and Deceit; Limitation of Actions; Securities Regulation.

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POINTS OF COUNSEL

Cravath, Swaine & Moore LLP, New York City (*Richard W. Clary, Michael T. Reynolds and Lauren A. Moskowitz* of counsel), for appellants. *I. Gaidon v Guardian Life Ins. Co. of Am.* (96 NY2d 201 [2001]) provides the controlling legal

framework for assessing the applicability of CPLR 214 (2). (*Gaidon v Guardian Life Ins. Co. of Am.*, 94 NY2d 330; *Russo v Massachusetts Mut. Life Ins. Co.*, 274 AD2d 878; *Gaidon v Guardian Life Ins. Co. of Am.*, 96 NY2d 201; *State of New York v Bronxville Glen I Assoc.*, 181 AD2d 516; *People v Pharmacia Corp.*, 27 Misc 3d 368; *Gray v Toyota Motor Sales, U.S.A., Inc.*, 806 F Supp 2d 619; *Mindel v Phoenix Owners Corp.*, 17 AD3d 227; *General Motors Acceptance Corp. v Vucich*, 15 AD3d 106.)

II. *Gaidon v Guardian Life Ins. Co. of Am.* (96 NY2d 201 [2001]) compels the application of CPLR 214 (2) to the Martin Act because, like General Business Law § 349, the Martin Act permits liability to be imposed where the common law does not. (*Gaidon v Guardian Life Ins. Co. of Am.*, 96 NY2d 201; *Feldman v Grant*, 213 AD2d 340; *Eurycleia Partners, LP v Seward & Kissel, LLP*, 12 NY3d 553; *Kuelling v Roderick Lean Mfg. Co.*, 183 NY 78; *Baena v Woori Bank*, 515 F Supp 2d 414; *Assured Guar. [UK] Ltd. v J.P. Morgan Inv. Mgt. Inc.*, 18 NY3d 341; *State of New York v Rachmani Corp.*, 71 NY2d 718; *People v Photocolor Corp.*, 156 Misc 47; *People v Federated Radio Corp.*, 244 NY 33; *People v General Elec. Co.*, 302 AD2d 314.)

III. The Attorney General's Executive Law § 63 (12) claim is time-barred under *Gaidon v Guardian Life Ins. Co. of Am.* (96 NY2d 201 [2001]) for the same reasons as the Martin Act, whether or not this Court recognizes a "stand-alone" cause of action. (*State of New York v Cortelle Corp.*, 38 NY2d 83; *Matter of People v Frink Am.*, 2 AD3d 1379; *People v One Source Networking, Inc.*, 125 AD3d 1354; *People v Charles Schwab & Co., Inc.*, 109 AD3d 445; *Matter of People v Trump Entrepreneur Initiative LLC*, 137 AD3d 409; *State of New York v Daicel Chem. Indus., Ltd.*, 42 AD3d 301; *People v Pharmacia Corp.*, 27 Misc 3d 368; *People v Nationwide Asset Servs., Inc.*, 26 Misc 3d 258; *Matter of State of New York v Interstate Tractor Trailer Training*, 66 Misc 2d 678; *State of New York v Rachmani Corp.*, 71 NY2d 718.)

IV. Stare decisis and sound policy support applying the *Gaidon v Guardian Life Ins. Co. of Am.* (96 NY2d 201 [2001]) framework to hold CPLR 214 (2) applies to the statutory claims here. (*Gaidon v Guardian Life Ins. Co. of Am.*, 96 NY2d 201; *Matter of Motor Veh. Acc. Indem. Corp. v Aetna Cas. & Sur. Co.*, 89 NY2d 214; *Baena v Woori Bank*, 515 F Supp 2d 414; *Great N. Ins. Co. v Interior Constr. Corp.*, 7 NY3d 412; *People v Hobson*, 39 NY2d 479; *Duffy v Horton Mem. Hosp.*, 66 NY2d 473; *Matter of Gonkjur Assoc. v Abrams*, 88 AD2d 854; *Assured Guar. [UK] Ltd. v J.P. Morgan Inv. Mgt. Inc.*, 18 NY3d 341; *Matter of Attorney-General of State of N.Y. [Ameri-*

can Research Council—Darvas], 10 NY2d 108; *Matter of Ottinger v State Civ. Serv. Commn.*, 240 NY 435.)

Barbara D. Underwood, Attorney General, New York City (*Andrew W. Amend* and *Steven C. Wu* of counsel), for respondent. I. A six-year limitations period applies to investor fraud claims by the Attorney General under the Martin Act and Executive Law § 63 (12). (*Gaidon v Guardian Life Ins. Co. of Am.*, 96 NY2d 201; *Shepard Co. v Taylor Publ. Co.*, 234 NY 465; *Hartnett v New York City Tr. Auth.*, 86 NY2d 438; *Aetna Life & Cas. Co. v Nelson*, 67 NY2d 169; *State of New York v Cortelle Corp.*, 38 NY2d 83; *People v Federated Radio Corp.*, 244 NY 33; *Dunham v Ottinger*, 243 NY 423; *Reno v Bull*, 226 NY 546; *Kilbourn v Sunderland*, 130 US 505; *Bloomquist v Farson*, 222 NY 375.) II. Even if this Court were to accept defendants' incorrect theory, it should permit this case to go forward because the complaint adequately alleges all the elements of common-law fraud. (*People v Federated Radio Corp.*, 244 NY 33; *State of New York v Cortelle Corp.*, 38 NY2d 83; *Gaidon v Guardian Life Ins. Co. of Am.*, 96 NY2d 201.) III. Executive Law § 63 (12) provides an independent cause of action for fraud. (*Assured Guar. [UK] Ltd. v J.P. Morgan Inv. Mgt. Inc.*, 18 NY3d 341; *People v Greenberg*, 21 NY3d 439; *State of New York v Cortelle Corp.*, 38 NY2d 83; *People v Coventry First LLC*, 52 AD3d 345, 13 NY3d 108; *People v General Elec. Co.*, 302 AD2d 314; *People v Apple Health & Sports Clubs*, 206 AD2d 266; *People v Helena VIP Personal Introductions Servs. of N.Y.*, 199 AD2d 186; *People v American Motor Club*, 179 AD2d 277; *Matter of People v Telehublink Corp.*, 301 AD2d 1006; *People v American Motor Club*, 179 AD2d 277.)

Latham & Watkins LLP, New York City (*Jonathan Lippman* of counsel), *Greenberg Traurig LLP*, New York City (*Carmen Beauchamp Ciparick* of counsel), *Whiteman Osterman & Hanna LLP*, Albany (*Howard A. Levine* of counsel), and *Friedman Kaplan Seiler & Adelman LLP*, New York City (*Robert S. Smith* of counsel), for Jonathan Lippman and others, amici curiae. I. The statute-by-statute approach to the applicability of CPLR 214 (2) is preferable as a matter of policy. (*ACE Sec. Corp., Home Equity Loan Trust, Series 2006-SL2 v DB Structured Prods., Inc.*, 25 NY3d 581; *Singleton v Clash*, 951 F Supp 2d 578.) II. Cases decided under CPLR 214 (2) overwhelmingly support a statute-by-statute approach. (*Gaidon v Guardian Life Ins. Co. of Am.*, 96 NY2d 201; *State of New York v Cortelle Corp.*, 38 NY2d 83; *Aetna Life & Cas. Co. v Nelson*, 67 NY2d

169; *Hartnett v New York City Tr. Auth.*, 86 NY2d 438; *General Motors Acceptance Corp. v Vucich*, 15 AD3d 106; *Banca Commerciale Italiana, N.Y. Branch v Northern Trust Intl. Banking Corp.*, 160 F3d 90; *Klimczak v Connrex Corp.*, 49 AD2d 1031; *Town of N. Hempstead v County of Nassau*, 52 Misc 3d 790, 149 AD2d 1134; *Bongiorno v D.I.G.I., Inc.*, 138 AD2d 120.) III. *Gaidon v Guardian Life Ins. Co. of Am.* (96 NY2d 201 [2001]) should not be, and has not been, read to support a case-by-case approach. (*Fownes Bros. & Co., Inc. v JPMorgan Chase & Co.*, 92 AD3d 582; *Pike v New York Life Ins. Co.*, 72 AD3d 1043; *People v Orbital Publ. Group, Inc.*, 50 Misc 3d 811; *People v Pharmacia Corp.*, 27 Misc 3d 368; *Bristol Vil., Inc. v Louisiana-Pacific Corp.*, 170 F Supp 3d 488; *Koch v Greenberg*, 14 F Supp 3d 247; *Hutter v Countrywide Bank, N.A.*, 41 F Supp 3d 363.) IV. Executive Law § 63 (12) presents a special situation. (*State of New York v Cortelle Corp.*, 38 NY2d 83; *State of New York v Daicel Chem. Indus., Ltd.*, 42 AD3d 301.) V. Application of the proper approach in this case requires reversal. (*Gaidon v Guardian Life Ins. Co. of Am.*, 96 NY2d 201.)

OPINION OF THE COURT

Chief Judge DiFIORE.

In this action brought by the Attorney General, the primary issue is whether Martin Act (General Business Law art 23-A, § 352 *et seq.*) claims are governed by the three-year statute of limitations in CPLR 214 (2) or the six-year limitations period in either CPLR 213 (1) or (8). Because the Martin Act expands liability for “fraudulent practices” beyond that recognized under the common law, we conclude that CPLR 214 (2)—covering “action[s] to recover upon a liability, penalty or forfeiture created or imposed by statute”—controls. With respect to the Attorney General’s Executive Law § 63 (12) claim, we remit to Supreme Court for further proceedings.

I.

After an investigation,¹ the Attorney General commenced this action in November 2012 asserting that the issuance of residential mortgage-backed securities by defendants Credit Suisse Securities (USA) LLC and affiliated entities (Credit Suisse) in 2006 and 2007 violated the Martin Act. The complaint

1. During the investigation, the parties entered into a tolling agreement effective March 8, 2012 and, as a result, that date is treated as the date of commencement of the action for purposes of determining timeliness.

alleges that defendants committed multiple fraudulent and deceptive acts in connection with the creation and sale of residential mortgage-backed securities (RMBS). In particular, the Attorney General claimed that defendants led investors to believe that they had “carefully evaluated—and would continue to monitor” the quality of loans underlying the RMBS. However, the complaint asserts that defendants were aware of “pervasive flaws in the screening process” for such loans but failed to disclose them to investors. Further, defendants purportedly encouraged originators to deliver defective loans based on an “incentives” program. Thus, the Attorney General contended defendants misrepresented the quality of the mortgage loans underlying the securities as well as the due diligence process. After describing the alleged misconduct in some detail, the first cause of action states that defendants’ acts and practices violated article 23-A of the General Business Law (the Martin Act). In a second cause of action incorporating by reference the same allegations, the complaint alleges defendants “engaged in repeated fraudulent or illegal acts (in violation of, *inter alia*, the Martin Act),” contrary to Executive Law § 63 (12). Defendants moved to dismiss the complaint pursuant to CPLR 3211 (a) (5) and (7) arguing, among other things, that the action was time-barred because the operative statute of limitations is the three-year period found in CPLR 214 (2). The Attorney General countered, as relevant here, that the action was timely because Martin Act and Executive Law § 63 (12) claims are governed by the six-year limitations period found in CPLR 213 (1) or (8). Alternatively, the Attorney General asserted that a six-year limitations period was applicable here because the complaint pleaded the elements of common-law fraud.

Supreme Court denied the motion to dismiss in its entirety, concluding “that Executive Law § 63 (12) and Martin Act cases based on investor fraud were governed by the six year statute of limitations of CPLR 213” (46 Misc 3d 1211[A], 2014 NY Slip Op 51912[U], *5 [Sup Ct, NY County 2014]). The court reasoned “that the essence of plaintiff’s claims under both Executive Law § 63 (12) and the Martin Act is that defendants made false representations in order to induce investors to purchase their securities . . . [and] thus seek to impose liability on defendants based on the classic, longstanding common-law tort of investor fraud” (2014 NY Slip Op 51912[U], *6).

The Appellate Division affirmed, insofar as appealed from, with two Justices dissenting. The Appellate Division adhered to its prior holding in *State of New York v Bronxville Glen I Assoc.* (181 AD2d 516 [1st Dept 1992]) applying a six-year statute of limitations to Martin Act claims, noting that the language in Executive Law § 63 (12) parallels that of the Martin Act, and concluding that “both the Martin Act and section 63 (12) target wrongs that existed before the statutes’ enactment, as opposed to targeting wrongs that were not legally cognizable before enactment” (145 AD3d 533, 535 [1st Dept 2016]). The Court further concluded that “the complaint sets forth the elements of common-law fraud, including scienter or intent, reliance, and damages” because the allegations “describe a specific scheme whereby Credit Suisse benefited itself at the expense of investors” (*id.* at 536 [internal quotation marks and brackets omitted]). The dissent would have reversed and granted defendants’ motion to dismiss the Martin Act and Executive Law § 63 (12) claims as time-barred, concluding the three-year statute of limitations in CPLR 214 (2) applied (145 AD3d at 539-540 [Andrias, J., dissenting]). The dissent largely relied on our decision in *Gaidon v Guardian Life Ins. Co. of Am.* (96 NY2d 201, 208 [2001] [*Gaidon II*]), which reasoned that CPLR 214 (2) applies to claims under General Business Law § 349 because that statute both lacks a scienter requirement and encompasses a wider range of deceptive business practices than were condemned at common law. The dissent reasoned that the same was true with respect to the claims pressed by the Attorney General here, warranting the same result. The Appellate Division granted defendants leave to appeal, certifying the question whether its order was properly made.

II.

The first issue before us is whether Martin Act claims are governed by CPLR 214 (2), imposing a three-year statute of limitations, or the six-year limitations period in CPLR 213 (1) or (8).² CPLR 214 (2) generally imposes a three-year limitation period for “an action to recover upon a liability, penalty or forfeiture created or imposed by statute.” “[A]n action based upon fraud” receives a six-year statute of limitations pursuant to CPLR 213 (8). CPLR 213 (1) is a residuary provision applicable

2. The parties agree that although there are distinctions between CPLR 213 (1) and (8), those distinctions are immaterial in this case.

to “an action for which no limitation is specifically prescribed by law.”

The test for determining the applicability of CPLR 214 (2) is well-settled. As explained in *Gaidon II*:

“CPLR 214 (2) does not automatically apply to all causes of action in which a statutory remedy is sought, but only where liability ‘would not exist but for a statute’ (*Aetna Life & Cas. Co. v Nelson*, 67 NY2d 169, 174). Thus, CPLR 214 (2) ‘does not apply to liabilities existing at common law which have been recognized or implemented by statute’ (*id.*). When this is the case, the Statute of Limitations for the statutory claim is that for the common-law cause of action which the statute codified or implemented” (96 NY2d 201, 208 [internal quotation marks and citation omitted]).

When interpreting CPLR 214 (2), we have contrasted “(1) claims which, although provided for in a statute, merely codify or implement an existing common-law liability . . . with (2) claims which, *although akin* to common-law causes, *would not exist but for the statute* . . . in which case CPLR 214 (2) applies” (*id.* at 209, quoting *Matter of Motor Veh. Acc. Indem. Corp. v Aetna Cas. & Sur. Co.*, 89 NY2d 214, 220-221 [1996]). For example, we recently held that CPLR 214 (2) applies to disputes against a self-insurer with respect to the payment of no-fault benefits, noting that the obligation to make such payments would not exist but for the No-Fault Law itself (*see Contact Chiropractic, P.C. v New York City Tr. Auth.*, 31 NY3d 187 [May 1, 2018]; *see also Aetna Life & Cas. Co.*, 67 NY2d 169 [applying CPLR 214 (2) to insurer action to recoup first-party no-fault benefits paid to its insured pursuant to a statutory lien against settlement proceeds]).

The Martin Act, codified at General Business Law article 23-A, “authorizes the Attorney General to investigate and enjoin fraudulent practices in the marketing of stocks, bonds and other securities within or from New York State (*see* General Business Law §§ 352, 353)” (*Kerusa Co. LLC v W10Z/515 Real Estate Ltd. Partnership*, 12 NY3d 236, 243 [2009]). Expansive definitions of the “fraudulent practices” covered by the article appear in General Business Law §§ 352 and 352-c but prohibitions against fraud, misrepresentation and material omission are found throughout the statutory scheme (*see e.g.* General Business Law § 352-e [1] [b] [mandatory offering state-

ments filed with respect to real estate syndication offerings “shall not omit any material fact or contain any untrue statement of a material fact”). Section 353 grants the Attorney General broad authority to investigate, to secure a permanent injunction against any person or entity that has engaged in fraudulent practices and to obtain restitution of money or property wrongfully obtained. Despite the scope and detail of the statutory scheme, there is no provision stating the applicable statute of limitations and, although the Martin Act is nearly a century old, we have never had occasion to consider the issue.

To determine whether the Martin Act creates liabilities that did not exist at common law within the meaning of CPLR 214 (2), we start with the statutory scheme—which has evolved significantly over time. The initial version of the Martin Act was adopted in 1921. Five years later, we decided *People v Federated Radio Corp.* (244 NY 33, 38-39 [1926]), concluding the terms fraud and fraudulent practices—which were not yet defined—“should . . . be given a wide meaning so as to include all acts, although not originating in any actual evil design or contrivance to perpetrate fraud or injury upon others, which do by their tendency to deceive or mislead the purchasing public come within the purpose of the law.” After noting that the Penal Law prohibited certain fraudulent practices involving the flotation of worthless securities, we stated:

“If the intent of the defendants in engaging in the practices complained of is to sell securities which are in fact worthless or worth substantially less than the asking price, intentional misstatements, as in an action at law to recover damages for fraud and deceit . . . need not be alleged. Material misrepresentations intended to influence the bargain, on which an action might be maintained in equity to rescind a consummated transaction, are enough” (*id.* at 40-41 [citations omitted]).

The Attorney General significantly relies on *Federated Radio* in asserting that the Martin Act merely codified liabilities existing at common law.

Of course, there have been many material alterations to the Martin Act since 1926, all of which “broaden its reach” (*Assured Guar. [UK] Ltd. v J.P. Morgan Inv. Mgt. Inc.*, 18 NY3d 341, 350 [2011]). The statute was amended to incorporate concepts found in the federal Blue Sky statutes (*see* Securities and Exchange Acts of 1933 and 1934), which imposed registration requirements on sellers of securities—requirements un

known to the common law (*see* L 1935, ch 271). In 1955, the Martin Act was amended to define “fraudulent practices” to include “any deception, misrepresentation, concealment, suppression, fraud, false pretense or false promise” (General Business Law § 352, as amended L 1955, ch 553). At the same time, a new section 352-c was added permitting the Attorney General to seek criminal sanctions for conduct violating the Martin Act (*id.*). Section 352-c, while echoing the new “fraudulent practices” language, also clarified that the act prohibits “[a]ny promise or representation as to the future which is beyond reasonable expectation or unwarranted by existing circumstances” as well as “[a]ny representation or statement which is false, where the person who made such representation or statement: (i) knew the truth; or (ii) with reasonable effort could have known the truth; or (iii) made no reasonable effort to ascertain the truth; or (iv) did not have knowledge concerning the representation or statement made” (General Business Law § 352-c [1] [b], [c]).

The definition of fraudulent practices was expanded again in 1959 when the legislature added General Business Law § 359-e imposing new registration requirements on dealers and brokers (*see* L 1959, ch 692). Section 359-e (14) (l) provides: “A violation of this subdivision shall constitute a fraudulent practice as that term is used in this article” and a specific reference to section 359-e was added to section 352. In 1960, the law was amended to add section 352-e creating registration and disclosure requirements specifically relating to the sale of security interests in cooperative apartments and condominiums (L 1960, ch 987)—a provision that has spawned civil enforcement actions by the Attorney General under section 353 (*see e.g. State of New York v Rachmani Corp.*, 71 NY2d 718 [1988]; *State of New York v Fine*, 72 NY2d 967 [1988]). We have recognized that section 352-e “dramatically altered the common-law rule” of caveat emptor (*Kerusa*, 12 NY3d at 244-245).

In *Rachmani Corp.* (71 NY2d 718), an action arising from alleged violations of section 352-e brought under the antifraud provisions of the Martin Act, we addressed what constituted a material omission sufficient to support an injunction under section 353 and Executive Law § 63 (12). We answered that question by looking, not to our own common law, but to decisions of the federal courts construing federal securities laws, which are referenced in the Martin Act. We adopted the federal objective test, concluding that an omitted fact is material for

purposes of liability under the Martin Act if there is a substantial likelihood that a reasonable investor would consider it important in light of the “total mix” of information available (*id.* at 726-727). We also reaffirmed that the Attorney General need not prove scienter or intentional fraud in a Martin Act enforcement proceeding (*id.* at 725 n 6). It is undisputed that the Attorney General need not prove reliance on the part of any investor (*see State of New York v Sonifer Realty Corp.*, 212 AD2d 366, 367 [1st Dept 1995]).

We have repeatedly held that the Martin Act does not create a private right of action in favor of parties injured by prohibited fraudulent practices (*CPC Intl. v McKesson Corp.*, 70 NY2d 268 [1987]; *Vermeer Owners v Guterma*n, 78 NY2d 1114 [1991]) and that “a private litigant may not pursue a common-law cause of action where the claim is predicated solely on a violation of the Martin Act or its implementing regulations *and would not exist but for the statute*” (*Assured Guar.*, 18 NY3d at 353 [emphasis added]). The premise of such a holding is, of course, that the Martin Act covers some fraudulent practices not prohibited elsewhere in statutory or common law. That the Martin Act expands upon, rather than codifies, the common law of fraud was further reinforced by our decision in *Assured Guar.*, in which we held that the Martin Act does not preempt common-law causes of action possessed by injured parties, except where predicated on violations of the Martin Act itself or its implementing regulations (*id.*).

[1] In sum, the Martin Act imposes numerous obligations—or “liabilities”—that did not exist at common law, justifying the imposition of a three-year statute of limitations under CPLR 214 (2). The broad definition of “fraudulent practices,” as repeatedly amended by the legislature and interpreted by the courts, encompasses “wrongs” not cognizable under the common law and dispenses, among other things, with any requirement that the Attorney General prove scienter or justifiable reliance on the part of investors. In this respect, the Martin Act is comparable to a claim brought under General Business Law § 349 (h), the statute prohibiting “deceptive practices” in consumer-orientated marketing and sales, which we addressed in *Gaidon II*. To be sure, there are distinctions between the Martin Act and General Business Law § 349. Unlike the Martin Act, and in addition to permitting enforcement by the Attorney General, the legislature specifically authorized a private right of action under section 349 by adding subdivision (h) permit-

ting suit by parties injured by deceptive practices (*cf. CPC Intl.*, 70 NY2d 268; *Vermeer Owners*, 78 NY2d 1114). Moreover, the term “deceptive practices” has never been defined by the legislature. But the term “deceptive practices” has been interpreted broadly to encompass wrongful conduct not previously actionable on a common-law fraud theory (*see Gaidon v Guardian Life Ins. Co. of Am.*, 94 NY2d 330 [1999] [*Gaidon I*]). In *Gaidon II*, we held that a General Business Law § 349 action is governed by CPLR 214 (2), emphasizing the distinctions between such a claim and common-law fraud, including that section 349 broadly covers “deceptive practices,” not just fraudulent marketing and sales practices previously condemned by the courts. The same principles apply here with respect to “fraudulent practices” claims under the Martin Act. We therefore conclude the three-year statute of limitations in CPLR 214 (2)—applicable to “a liability, penalty or forfeiture created or imposed by statute”—governs Martin Act claims.

III.

Turning to the Attorney General’s Executive Law § 63 (12) claim, the definition of fraud and fraudulent practices in Executive Law § 63 (12)—added to the statute in 1965—is virtually identical to language found in section 352 of the Martin Act (*see* L 1965, ch 666). Indeed, the provision was amended pursuant to a program bill offered by the Attorney General intending to “equate the meaning of the words ‘fraud’ and ‘fraudulent’ as used therein with the provisions of the Martin Act” (Mem of Atty Gen Louis J. Lefkowitz to Governor, Bill Jacket, L 1965, ch 666 at 3, 1965 NY Legis Ann at 30). The parties dispute whether Executive Law § 63 (12) provides a stand-alone cause of action, rather than merely authorizing the Attorney General to pursue fraud claims under other statutes or common-law theories on a “look through” basis. However, even assuming without deciding that such a freestanding cause of action exists encompassing, like the Martin Act analogue, broader liability than condemned at common law, such a claim would be governed by CPLR 214 (2).

[2] But this does not end the inquiry because it is undisputed that Executive Law § 63 (12) gives the Attorney General standing to redress liabilities recognized elsewhere in the law, expanding the scope of available remedies. To determine whether such a claim is timely, courts must “look through” Executive Law § 63 (12) and apply the statute of limitations ap-

plicable to the underlying liability. Hence, in *State of New York v Cortelle Corp.* (38 NY2d 83, 86-87 [1975]), we applied a six-year statute of limitations to an Executive Law § 63 (12) claim premised on conduct that, if proved, would have constituted a “classic wrong on a common-law theory of promissory fraud.” Here, while the lower courts concluded that a six-year statute of limitations applied to defendants’ Executive Law § 63 (12) claim—regardless of whether the specific elements of common-law fraud had been made out—that holding was not correct. Rather, it is necessary to examine whether the conduct underlying the Executive Law § 63 (12) claim amounts to a type of fraud recognized in the common law and, if so, the action will be governed by a six-year statute of limitations (*see id.*). Although the parties raised various arguments with respect to this question, not all the issues were addressed or resolved by the lower courts. A remittal—which permits consideration of the question in the current procedural posture—is therefore appropriate. If it is determined that the *prima facie* elements of a common-law cause of action were made out in this case, the Attorney General will be obliged to demonstrate each such element at the proof stage or the claim will be subject to dismissal as time-barred.

Accordingly, the order of the Appellate Division should be modified, without costs, by granting that branch of defendant’s motion which was to dismiss the first cause of action in the complaint pursuant to CPLR 3211 (a) (5) as time-barred and remitting the case to Supreme Court for further proceedings in accordance with this opinion and, as so modified, affirmed. The certified question should be answered in the negative.

FEINMAN, J. (concurring). On constraint of our precedents, I agree with the majority that CPLR 214 (2) applies to civil enforcement actions brought under the Martin Act on the basis of a “fraudulent practice” as defined in General Business Law § 352 (1) (*see majority op at 629-633*).¹ I write separately to

1. We do not decide whether CPLR 214 (2) applies to criminal proceedings, or different types of civil claims, under the Martin Act. Our holding is compelled by the rule laid down in *Gaidon v Guardian Life Ins. Co. of Am.* (96 NY2d 201 [2001]), because “fraudulent practices” under General Business Law § 352 (1) and “[d]eceptive acts or practices” under General Business Law § 349 (a) are comparably broad in scope. While the dissent maintains that *Gaidon* “only considered the causes of action as pleaded” (dissenting op at 657), this is generally not how *Gaidon* has been interpreted (*see Fownes Bros. & Co., Inc. v JPMorgan Chase & Co.*, 92 AD3d 582, 583 [1st Dept

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expand upon the Executive Law § 63 (12) issue, although the analysis that follows in this opinion is entirely consistent with the majority's holding (*see id.* at 633-634).

The majority holds that the instant Executive Law § 63 (12) claim is timely if the “conduct underlying” the claim “amounts to a type of fraud recognized in the common law” (*id.* at 634). On a basic level, I agree with this proposition, as it merely restates the long-standing rule we announced in *State of New York v Cortelle Corp.* (38 NY2d 83 [1975]). Without further elaboration, however, this statement would do little to aid in resolving the dispute before us; the crux of this case depends on what we mean when we refer to “common-law” fraud. In fact, as explained below, it need only be alleged that Credit Suisse made material misrepresentations of fact and that investors justifiably relied on those misrepresentations. This rule is compelled by an application of the Court's holding to settled jurisprudence (*see Seneca Wire & Mfg. Co. v Leach & Co.*, 247 NY 1, 8 [1928]; *Bloomquist v Farson*, 222 NY 375 [1918]; *Hammond v Pennock*, 61 NY 145 [1874]). Neither scienter nor pecuniary damages need be alleged.

In addition, the majority remits for consideration of whether, in *this* case, the Executive Law § 63 (12) claim is based on fraud recognized in the common law. In my view, further guidance on this point is necessary to aid Supreme Court in its task on remittal. Therefore, I write separately to bring into clearer focus one dispositive issue left unresolved in the lower courts. While the lower courts—correctly, in my view—determined that the Attorney General's complaint adequately pleaded facts amounting to equitable fraud, it remains to be considered whether the presence of certain disclaimers in Credit Suisse's marketing materials defeats any allegation of equitable fraud based on those materials. Inasmuch as the majority determines that this question must be decided by Supreme Court in the first instance, I concur.

2012]; *Pike v New York Life Ins. Co.*, 72 AD3d 1043, 1047-1048 [2d Dept 2010]; *In re Libor-Based Fin. Instruments Antitrust Litig.*, 2015 WL 4634541, *155, 2015 US Dist LEXIS 107225, *522 [SD NY, Aug. 4, 2015, No. 11 MDL 2262 NRB], *amended* 2015 WL 13122396, 2015 US Dist LEXIS 147561 [SD NY, Oct. 19, 2015]; *but see Matter of Coordinated Tit. Ins. Cases*, 2 Misc 3d 1007[A], 2004 NY Slip Op 50171[U], *11 [Sup Ct, Nassau County 2004]; *Williams v Dow Chem. Co.*, 2004 WL 1348932, *6, 2004 US Dist LEXIS 10940 [SD NY, June 16, 2004, No. 01 Civ. 4307(PKC)], *reconsideration denied in part, granted in part* 2004 WL 1907311, 2004 US Dist LEXIS 17046 [SD NY, Aug. 25, 2004]).

I. Scope of Executive Law § 63 (12)

Executive Law § 63 (12) provides that

“[w]henver any person shall engage in repeated fraudulent or illegal acts or otherwise demonstrate persistent fraud or illegality in the carrying on, conducting or transaction of business, the attorney general may apply, in the name of the people of the state of New York . . . for an order enjoining the continuance of such business activity or of any fraudulent or illegal acts [and] directing restitution and damages”

This language authorizes the Attorney General to sue in two distinct (though possibly overlapping) circumstances. First, the Attorney General may bring suit against a defendant engaged in “repeated . . . *illegal* acts” or “persistent . . . *illegality*” (emphasis added), such as where the defendant has violated the provisions of some other statutory or common-law duty (see e.g. *People v Wells Fargo Ins. Servs., Inc.*, 16 NY3d 166 [2011] [breaches of fiduciary duty]; *People v Apple Health & Sports Clubs*, 80 NY2d 803 [1992] [violations of General Business Law § 622-a]; *Matter of State of New York v Ford Motor Co.*, 74 NY2d 495 [1989] [violations of General Business Law § 198-a]). Second, the Attorney General may sue a defendant engaged in “repeated *fraudulent* . . . acts” or “persistent *fraud*” (emphasis added), regardless of whether such conduct violates another statute (see *People v American Motor Club*, 179 AD2d 277, 283-284 [1st Dept 1992], *appeal dismissed* 80 NY2d 893 [1992]).

The words “fraud” or “fraudulent” are defined to “include any device, scheme or artifice to defraud and any deception, misrepresentation, concealment, suppression, false pretense, false promise or unconscionable contractual provisions” (Executive Law § 63 [12]). This definition was drafted to “equate the meaning of the words ‘fraud’ and ‘fraudulent’ . . . with the provisions of the Martin Act, General Business Law, Art. 23-A, § 352, dealing with fraudulent acts in the sale of securities and commodities” (see Mem of Atty Gen Louis J. Lefkowitz to Governor, Bill Jacket, L 1965, ch 666 at 3, 1965 NY Legis Ann at 30-31), and the antifraud language in these two statutes is “virtually identical” (*State of New York v Rachmani Corp.*, 71 NY2d 718, 721 n 1 [1988]; see *People v Greenberg*, 21 NY3d 439, 446 [2013]). Under the Martin Act, a “fraudulent practice” includes “any device, scheme or artifice to defraud or for obtaining money or property by means of any false pretense, representa-

tion or promise” and “any deception, misrepresentation, concealment, suppression, fraud, false pretense or false promise” (General Business Law § 352 [1]).

It is axiomatic that “when [the legislature] borrows language from one statute and incorporates it into a second statute, the language of the two acts should be interpreted the same way” (*Greenwood Trust Co. v Commonwealth of Mass.*, 971 F2d 818, 827 [1st Cir 1992], *cert denied* 506 US 1052 [1993]; *see Matter of Friedman v Rice*, 30 NY3d 461, 479-480 [2017]). Under the Martin Act, the terms “fraud” and “fraudulent” are “to be given a wide meaning so as to embrace all deceitful practices contrary to the plain rules of common honesty, including all acts, even though not originating in any actual evil design to perpetrate fraud or injury upon others, which do tend to deceive or mislead” (*People v Lexington Sixty-First Assoc.*, 38 NY2d 588, 595 [1976]; *see People v Federated Radio Corp.*, 244 NY 33, 38-39 [1926]), and neither scienter nor reliance need be proved (*see Rachmani Corp.*, 71 NY2d at 725-726; *People v Taylor*, 304 AD2d 434, 435 [1st Dept 2003], *lv denied* 100 NY2d 566 [2003]; *State of New York v Sonifer Realty Corp.*, 212 AD2d 366, 367 [1st Dept 1995]). There can be little doubt that, under Executive Law § 63 (12), the concept of fraud is equally broad in scope (*see State of New York v General Motors Corp.*, 48 NY2d 836 [1979], *revg on dissenting op below* 63 AD2d 885, 886 [1st Dept 1978] [stating that a defendant may violate Executive Law § 63 (12) where the “meaning and probable effect” of its advertisements was to “convey() or foster()” a mistaken belief among the consuming public, regardless of “whether any particular customers did or did not have this belief”]; *People v Greenberg*, 95 AD3d 474, 483 [1st Dept 2012], *affd* 21 NY3d 439 [2013]; *People v Coventry First LLC*, 52 AD3d 345, 345 [1st Dept 2008], *affd* 13 NY3d 108 [2009], *rearg denied* 13 NY3d 758 [2009]; *People v General Elec. Co.*, 302 AD2d 314, 314 [1st Dept 2003]; *People v Concert Connection*, 211 AD2d 310, 320 [2d Dept 1995], *appeal dismissed* 86 NY2d 837 [1995]; *Matter of Lefkowitz v Bull Inv. Group*, 46 AD2d 25 [3d Dept 1974], *lv denied* 35 NY2d 647 [1975]).

II. Statute of Limitations Governing Executive Law § 63 (12)

Our lodestar concerning the timeliness of a fraud claim under Executive Law § 63 (12) is *Cortelle* (38 NY2d 83). There, the Court held that, while the statute’s antifraud language “may in part expand the definition of fraud so as to create a new li-

ability in some instances, it also incorporates already existing standards applied to fraudulent behavior always recognized as such,” and “provide[s] particular remedies and standing in a public officer to seek redress on behalf of the State and others” for such preexisting liability (*id.* at 86, 87). Accordingly, *Cortelle* held that Executive Law § 63 (12) claims are not governed by CPLR 214 (2) in cases where “the kind of wrong the Attorney-General seeks to redress is not a new one to the decisional law,” but rather one deemed “wrongful prior to and independent of the Executive Law” (*id.*).

Cortelle did not elaborate upon what it would mean for a defendant’s fraud to constitute “new liability” as opposed to an “existing standard[] [of] fraudulent behavior always recognized as such” (*id.* at 87). Nor did it provide much guidance as to the appropriate statute of limitations to apply in the latter cases. In this case, the question is now squarely before us, and the parties’ views could not be more divergent. Credit Suisse insists that the statute creates or imposes a new liability within the meaning of CPLR 214 (2) to the extent it dispenses with scienter or justifiable reliance; the Attorney General counters that courts of equity had not traditionally required either of these elements.

A. CPLR 213 (8) Applies to Executive Law § 63 (12) Claims Based on Actual Fraud

All parties agree that Executive Law § 63 (12) imposes liability for what our cases often refer to as actual fraud. The *prima facie* elements of an actual fraud claim are (1) a material misrepresentation of fact, (2) knowledge by the defendant of its falsity, (3) an intent to induce reliance, (4) justifiable reliance and (5) damages (*see Eurycleia Partners, LP v Seward & Kissel, LLP*, 12 NY3d 553, 559 [2009]; *Ross v Louise Wise Servs., Inc.*, 8 NY3d 478, 488 [2007]).

CPLR 213 (8) will govern the timeliness of an Executive Law § 63 (12) claim premised on conduct satisfying the five *Eurycleia Partners* elements. Under CPLR 213 (8), “action[s] based upon fraud” must be commenced within the greater of six years from the date the cause of action accrued or two years from the time the plaintiff discovered or could with reasonable diligence have discovered the fraud. For purposes of CPLR 213 (8), “fraud” means actual fraud (*see Erbe v Lincoln Rochester Trust Co.*, 3 NY2d 321 [1957] [interpreting Civil Practice Act § 48 (5)]; *Nasaba Corp. v Harfred Realty Corp.*, 287 NY 290, 294-295 [1942] [same]; *Kaufman v Cohen*, 307 AD2d 113, 119-

123 [1st Dept 2003]; *Abbate v Abbate*, 82 AD2d 368, 386-387 [2d Dept 1981]; *Quadrozzi Concrete Corp. v Mastroianni*, 56 AD2d 353, 355-356 [2d Dept 1977], *appeal dismissed* 42 NY2d 824 [1977]). For CPLR 213 (8) to apply, the Attorney General need not expressly plead that the defendant engaged in “actual fraud” or recite any talismanic words. Rather, the court must “look to the essence of plaintiff’s claim” (*Cortelle*, 38 NY2d at 86; *see Brick v Cohn-Hall-Marx Co.*, 276 NY 259, 264 [1937]) and determine whether “the gravamen of the cause of action is . . . injury sustained as a result of [actual] fraud” (*Nasaba*, 287 NY at 294, quoting *Hearn 45 St. Corp. v Jano*, 283 NY 139, 141 [1940]; *see Erbe*, 3 NY2d at 325-326; *Kaufman*, 307 AD2d at 120; *Abbate*, 82 AD2d at 386-387).

B. CPLR 213 (1) Applies to Executive Law § 63 (12) Claims Based on Equitable Fraud

Because the scope of “fraud” and “fraudulent” acts under Executive Law § 63 (12) tacks onto the definition of a “fraudulent practice” under the Martin Act, it embraces a much wider universe of conduct than actual fraud alone.

In *Federated Radio* (244 NY 33), this Court considered whether defendants could be charged under the Martin Act for misrepresenting the value of securities for sale, even though it was not alleged that they did so intentionally. In holding that the defendants could be so charged, the Court held that the Martin Act was broad enough to embrace “a species of conduct commonly, although perhaps inaccurately, called equitable fraud” (*id.* at 41). By “equitable fraud,” the Court referred to “[m]aterial misrepresentations,” though innocent or unintentional, “on which an action might be maintained in equity to rescind a consummated transaction” (*id.* at 40-41). It is well-established that an action for rescission requires only proof of (1) a material misrepresentation of fact and (2) justifiable reliance that induced the aggrieved party to enter into the transaction (*see Seneca Wire & Mfg. Co.*, 247 NY at 7-8; *Bloomquist*, 222 NY 375; *Hammond*, 61 NY 145; *Jack Kelly Partners LLC v Zegelstein*, 140 AD3d 79, 85 [1st Dept 2016], *lv dismissed* 28 NY3d 1103 [2016]; *Board of Mgrs. of the Soundings Condominium v Foerster*, 138 AD3d 160, 164 [1st Dept 2016]; *Steen v Bump*, 233 AD2d 583, 584 [3d Dept 1996], *lv denied* 89 NY2d 808 [1997]; *D’Angelo v Hastings Oldsmobile*, 89 AD2d 785 [4th Dept 1982], *affd* 59 NY2d 773 [1983]; *Albany Motor Inn & Rest. v Watkins*, 85 AD2d 797 [3d Dept 1981], *lv denied* 56 NY2d 508 [1982]; *Fox v Heatherton*, 281 App Div 748 [2d Dept

1953]; *Stern v Satra Corp.*, 539 F2d 1305, 1308 [2d Cir 1976]; 23 Williston on Contracts § 69:49 [4th ed]; 16 NY Jur 2d, Cancellation of Instruments §§ 4, 24-25).²

Under CPLR 213 (1), “an action for which no limitation is specifically prescribed by law” must be commenced within six years. This residuary provision is intended to apply to, among other things, actions of an equitable nature to which no other statute of limitations is applicable (*see Saratoga County Chamber of Commerce v Pataki*, 100 NY2d 801, 816 [2003]; *Loengard v Santa Fe Indus.*, 70 NY2d 262, 266-267 [1987]; David D. Siegel & Patrick M. Connors, New York Practice § 36 [6th ed 2018]). Traditionally, an action for equitable rescission is governed by CPLR 213 (1), except where the grounds to rescind the transaction are based on the defendant’s actual fraud, in which case CPLR 213 (8) will apply instead (*see Greene v Greene*, 56 NY2d 86, 93 [1982]; *Rubin v Rubin*, 275 AD2d 404, 405 [2d Dept 2000], *appeal dismissed* 95 NY2d 958 [2000]; *Van Dussen-Storto Motor Inn v Rochester Tel. Corp.*, 63 AD2d 244, 250 [4th Dept 1978]; *cf. Abbate*, 82 AD2d at 386-387).

2. Citing *Del Vecchio v Nassau County* (118 AD2d 615, 617-618 [2d Dept 1986]) and *Roni LLC v Arfa* (74 AD3d 442, 444-445 [1st Dept 2010]), Credit Suisse asserts that “equitable fraud” requires proof of the existence of a fiduciary duty or some other special relationship, the breach of which creates an “unconscientious advantage” impelling a court in equity to intervene. However, this argument rests on a confusion between what this Court referred to as “equitable fraud” in *Federated Radio* (244 NY at 41), on the one hand, and what courts have commonly referred to as “constructive fraud” (*Roni*, 74 AD3d at 444-445; *Del Vecchio*, 118 AD2d at 617-618; *Brown v Lockwood*, 76 AD2d 721, 730-731 [2d Dept 1980]), on the other. Despite their similar names—which simply derive from convention, as both actions are in fact equitable in nature—these two theories of liability are very different. Under the former, a plaintiff may bring an action for equitable rescission based on a material misrepresentation of fact that the plaintiff justifiably relied on and need not demonstrate the existence of a fiduciary duty (*see Bloomquist*, 222 NY 375 [rescission of arm’s-length securities purchase]). The latter rests on the theory that, where the plaintiff was owed a fiduciary duty or duty of confidentiality by the defendant, they are warranted “to repose [their] confidence in the defendant and therefore to relax the care and vigilance [they] would ordinarily exercise in the circumstances” (*Brown v Lockwood*, 76 AD2d at 731). “The elements of a cause of action to recover for constructive fraud are the same as those to recover for actual fraud with the crucial exception that the element of *scienter* upon the part of the defendant, [their] knowledge of the falsity of [their] representation, is dropped” (*id.*; *see Del Vecchio*, 118 AD2d at 617-618). The remedy for a constructive fraud is not limited to rescission and may instead include damages (*see Del Vecchio*, 118 AD2d 615 [damages action on constructive fraud theory]; *Brown*, 76 AD2d 721 [same]).

Similarly, CPLR 213 (1) will apply to Executive Law § 63 (12) where a defendant's conduct satisfies the two elements of equitable fraud—material misrepresentation of fact and justifiable reliance—but fails to amount to actual fraud, whether due to the absence of scienter, intent to induce reliance, or damages to the defrauded party (see *Eurycleia Partners*, 12 NY3d at 559). Although it may be argued that the statute of limitations for equitable rescission should not apply where, as here, the Attorney General seeks an entirely different set of remedies—restitution and injunctive relief—this argument misses the mark. Equitable rescission is undoubtedly a form of “liability” within the meaning of CPLR 214 (2) (see *Hartnett v New York City Tr. Auth.*, 86 NY2d 438, 444 [1995] [(T)he term ‘liability,’ as it is used in (CPLR 214 [2]),” does not refer “only to obligations measurable in money damages”). The mere fact that the statute codifying this form of liability enlarges the remedy or invests a new party, here the Attorney General, with standing to seek relief, does not mean that it has “created or imposed” that liability (see *Melcher v Greenberg Traurig, LLP*, 23 NY3d 10, 15 [2014]; *Cortelle*, 38 NY2d at 88).

C. CPLR 214 (2) Applies to Executive Law § 63 (12) Claims That Do Not Amount to Either Actual or Equitable Fraud

Finally, to the extent that Executive Law § 63 (12) does not require a showing of justifiable reliance, but only conduct that would tend to deceive or mislead (see *General Motors Corp.*, 48 NY2d 836; *Matter of People v Trump Entrepreneur Initiative LLC*, 137 AD3d 409, 417 [1st Dept 2016]; *Matter of People v Applied Card Sys., Inc.*, 27 AD3d 104, 106-108 [3d Dept 2005], *lv dismissed* 7 NY3d 741 [2006]), it applies to a class of fraud far broader than anything actionable at common law. What the common law condemns as fraudulent is not merely the making of a misrepresentation, but the making of a misrepresentation that actually misleads someone (see 26 Williston on Contracts § 69:2 [4th ed 2003] [“There is simply a mistake if the erroneous belief was not induced by the other party. . . . (M)ere mistake does not constitute fraud such as will give rise to damages or vitiate a contract even under the most liberal definition”]; 1 William W. Kerr & Orlando F. Bump, A Treatise on the Law of Fraud and Mistake 94 [1872] [“Misrepresentation, however, goes for nothing either at law or in equity unless a (person) has been misled thereby to (their) prejudice”]; 1 Joseph Story, Commentaries on Equity Jurisprudence § 191 [6th ed 1853] [“(I)t is not only necessary to establish the fact of misrepresentation; but . . . that it actually does mislead (them)”]).

Therefore, CPLR 214 (2) will govern the timeliness of an Executive Law § 63 (12) claim that does not rise to the level of either actual or equitable fraud, whether because the defendant did not make a material misrepresentation of fact, or because no person justifiably relied on that misrepresentation. Although such claims may be “akin to” a common-law cause of action, they nevertheless “would not exist but for the statute” (*Gaidon*, 96 NY2d at 209 [emphasis omitted], quoting *Matter of Motor Veh. Acc. Indem. Corp. v Aetna Cas. & Sur. Co.*, 89 NY2d 214, 220-221 [1996]).

III. Remittal is Appropriate to Determine Whether the Marketing Material Disclaimers Preclude Justifiable Reliance

The previous section established that both actual and equitable fraud qualify as fraud “recognized in the common or decisional law” (*Cortelle*, 38 NY2d at 86) and that, under an equitable fraud theory, the Attorney General is required to allege that a material misrepresentation was made and that investors justifiably relied upon the misrepresentation. This section analyzes whether the elements of equitable fraud have been made out in this case and identifies the unresolved issue pertinent to this inquiry that Supreme Court should consider upon remittal.

“On a motion to dismiss pursuant to CPLR 3211, the pleading is to be afforded a liberal construction We accept the facts as alleged in the complaint as true [and] accord plaintiffs the benefit of every possible favorable inference” (*Leon v Martinez*, 84 NY2d 83, 87 [1994]). Looking first within the four corners of the pleadings, it is beyond cavil that the Attorney General adequately pleaded the elements of equitable fraud.

With respect to the material misrepresentation element, Credit Suisse allegedly stated in its prospectus supplements and private placement memoranda (collectively, offering materials) that its underlying loans were originated “generally in accordance with” applicable underwriting standards, “that the mortgagor’s monthly income . . . [would] be sufficient to enable the mortgagor to meet its monthly obligations on the mortgage loan,” and that “a ‘reasonableness test’ ” was applied to stated borrower income levels. In addition, Credit Suisse is alleged to have lied about the quality of its due diligence review in its marketing materials, stating, among other things, that “[a]ll the information on the loan application is reviewed for completeness and reconciled to the borrower’s credit report, as

applicable,” which review included “[an] analysis of borrower’s use of credit, borrower’s prior mortgage payment history, and borrower’s debt to income ratios.” According to the complaint, Credit Suisse further represented in its marketing materials that it sought to “influence” originators to “utilize” “appropriate origination practices.”

According to the Attorney General, these statements were false: many of the loans had inflated income and fabricated documentation, Credit Suisse’s originators adhered to poor underwriting guidelines, “due diligence reviews did not involve the rigorous examination of loans that Defendants repeatedly represented that they were undertaking,” and, far from encouraging originators to use “appropriate origination practices,” Credit Suisse “routinely gave concessions to originators, rewarding them for volume without regard to quality.”

The complaint adequately pleads that investors justifiably relied on the foregoing misstatements. The complaint alleges that Credit Suisse “led investors to believe” that it had carefully evaluated and would continue to monitor the underlying loans and that they would encourage loan originators to use sound origination practices. These representations, according to the complaint, were “critical” to investors’ understanding of the riskiness of the loans. Furthermore, the complaint alleges that investors “had a right to rely” on Credit Suisse’s representations concerning its due diligence considering Credit Suisse’s unique access to critical information. The prospectus, as Credit Suisse acknowledged in its motion to dismiss, stated: “You should rely only on the information provided in this prospectus and the accompanying prospectus supplement, including the information incorporated by reference.”

“The question of what constitutes reasonable reliance is always nettlesome because it is so fact-intensive” (*DDJ Mgt., LLC v Rhone Group L.L.C.*, 15 NY3d 147, 155 [2010] [citation and internal quotation marks omitted]). “Although defendants contend that plaintiff . . . will ultimately be unable to prove [its] claim that [investors] justifiably relied upon [defendants’] alleged statements,” here the Attorney General’s allegations of justifiable reliance are “sufficiently detailed and specific” to survive a motion to dismiss (*Ford v Phillips*, 121 AD3d 1232, 1235 [3d Dept 2014]).

However, this does not end the inquiry. “When evidentiary material is considered” in connection with a motion to dismiss

that has not been converted into a motion for summary judgment,

“the criterion is whether the proponent of the pleading has a cause of action, not whether [they have] stated one, and, unless it has been shown that a material fact as claimed by the pleader to be one is not a fact at all and unless it can be said that no significant dispute exists regarding it, . . . dismissal should not eventuate” (*Guggenheimer v Ginzburg*, 43 NY2d 268, 275 [1977]; see *Carlson v American Intl. Group, Inc.*, 30 NY3d 288, 301 [2017]; *Rappaport v International Playtex Corp.*, 43 AD2d 393, 394-395 [3d Dept 1974]).

Here, in connection with its motion to dismiss, Credit Suisse points to language in its marketing materials stating that they “may not be used or relied upon for any purpose other than as specifically contemplated by a written agreement with” Credit Suisse. It is well-established that the presence of disclaimers or other cautionary language may preclude a claim of common-law fraud by rendering any resulting reliance unjustified (see *Pappas v Tzolis*, 20 NY3d 228, 233 [2012]; *Wittenberg v Robinov*, 9 NY2d 261 [1961]; *Danann Realty Corp. v Harris*, 5 NY2d 317 [1959]). Supreme Court reserved the question of whether these disclaimers precluded justifiable reliance (see 46 Misc 3d 1211[A], 2014 NY Slip Op 51912[U], *7-8 [2014]).

In light of the rule we announce today, remittal is appropriate on this narrow issue so that Supreme Court may determine, in the first instance, whether investors’ reliance on the marketing materials was justifiable, notwithstanding these disclaimers. If so, then the motion to dismiss the Executive Law § 63 (12) claim should be denied with respect to any material misstatements within the scope of those disclaimers; otherwise, the motion with respect to these statements should be granted. In either case, the motion to dismiss the Executive Law § 63 (12) claim should be denied with respect to any misstatements outside the scope of these disclaimers, including representations that Credit Suisse is alleged to have made in its offering materials. The complaint adequately alleges that these misstatements were material and that investors justifiably relied on them, and Credit Suisse has not argued that the offering materials were subject to similar disclaimers.

RIVERA, J. (dissenting). The primary issue presented by the

question certified from the Appellate Division is which statute of limitations applies to enforcement actions by the Attorney General of the State of New York under General Business Law § 352, commonly known as the Martin Act, and Executive Law § 63 (12). Since the Martin Act authorizes enforcement against all acts of fraud involving securities known to courts at the time of its enactment, and Executive Law § 63 (12) includes this same category of fraud as a subset of the statute's prohibition on a broader universe of illegal business practices, the applicable statute of limitations in actions brought under both statutes for fraudulent acts known under previous decisional law is six years, as provided by CPLR 213 (8).¹ Defendants concede that, under that provision, the Attorney General's complaint was timely filed. Therefore, the Appellate Division properly affirmed the denial of defendant's CPLR 3211 (a) (5) motion to dismiss on timeliness grounds. As such, there is no legal basis for the Court's remittal as there is nothing to reconsider in this regard. I dissent.

I.

My colleagues hold that claims brought under the Martin Act are subject to the three-year statute of limitations set forth in CPLR 214 (2). To reach that conclusion, they misread this Court's precedent and conflate the elements a private party must establish to be granted a remedy with the Attorney General's authority to seek a wide range of relief on behalf of the State for an "old and common type of fraud" (*State of New York v Cortelle Corp.*, 38 NY2d 83, 86 [1975]). Simply put, the majority and concurrence erroneously presume that the applicable statute of limitations is determined by abstract reference to the legal basis for the Attorney General's standing and the relief sought. The Court has rejected this restrictive view of the law and adopted a more nuanced approach when deciding the timeliness of the Attorney General's enforcement actions.

A.

New York's legislature has specially empowered the Attorney General to uphold the integrity of the securities markets and

1. The Attorney General maintains that, because both CPLR 213 (1) and (8) apply the same limitations period, we need not decide which provision applies here. I agree, and because my colleagues analyze the issues presented in this appeal based solely on the complaint's assertion of fraudulent conduct, I limit my discussion to the applicability of section 213 (8) for an action based upon fraud.

protect investors from all types of fraud (*see* General Business Law §§ 352-353; Executive Law § 63 [12]; *see also Cortelle*, 38 NY2d at 86-88). For close to a century, the Attorney General has exercised its authority under the Martin Act “to prevent fraudulent securities practices by investigating and intervening at the first indication of possible securities fraud on the public and, thereafter, if appropriate, to commence civil or criminal prosecution” (*CPC Intl. v McKesson Corp.*, 70 NY2d 268, 277 [1987]; *see also* General Business Law §§ 352, 352-c, 353). The legislature deemed this broad authority crucial to achieving its aim: “to prevent all kinds of fraud in connection with the sale of securities and commodities and to defeat all unsubstantial and visionary schemes in relation thereto whereby the public is fraudulently exploited” (*People v Federated Radio Corp.*, 244 NY 33, 38 [1926] [citation omitted]).

In securities enforcement actions, the Attorney General has also relied on Executive Law § 63 (12) to prosecute those engaged in “repeated fraudulent or illegal acts” by seeking injunctions, restitution, and damages. This statute encompasses actions that fall within the ambit of the Martin Act, but also reflects the legislature’s intent to reach beyond what was previously recognized as fraudulent conduct. In *State of New York v Cortelle Corp.*, the Court explained that “[w]hile [Executive Law § 63 (12)] may in part expand the definition of fraud so as to create a new liability in some instances, it also incorporates already existing standards applied to fraudulent behavior always recognized as such” (38 NY2d at 87 [citations omitted]). In addition, Executive Law § 63 (12) applies to business practices that constitute “*repeated* fraudulent or illegal acts or otherwise demonstrate *persistent* fraud or illegality,” both in and outside the securities industry (emphasis added).

There is no doubt that the legislature intended the Attorney General’s enforcement powers to be expansive. We are reminded of the wisdom of this legislative choice with every insider trading scandal, every stock market crash, and every fraudulent securities scheme that can be traced back to deceptive or misleading practices intended to lure investors (*see generally* John Kenneth Galbraith, *The Great Crash*, 1929 [1955]; Charles P. Kindleberger, *Manias, Panics and Crashes: A History of Financial Crises* [1978]; Carmen M. Reinhart & Kenneth S. Rogoff, *This Time is Different: Eight Centuries of Financial Folly* [2009]).

The underlying complaint in this case is a prime example of the type of enforcement action brought by the Attorney Gen-

eral as protector of our financial sector. At issue is nothing less than defendants Credit Suisse Securities (USA) LLC and its affiliated entities' alleged role in exacerbating the greatest financial disaster of the last 30 years, which ruined the livelihoods of millions of people, and whose negative geopolitical consequences continue to be felt at home and abroad (*see generally* David B. Grusky, Bruce Western & Christopher Wimer, *The Great Recession* [2011]; Maria A. Arias & Yi Wen, *Recovery from the Great Recession Has Varied around the World*, *The Regional Economist*, Federal Reserve Bank of St. Louis [Oct. 2015]; Diego Muro & Guillem Vidal, *Mind the Gaps: The Political Consequences of the Great Recession in Europe*, *Euro Crisis in the Press*, London School of Economics and Political Science, June 10, 2014).² In the last few years, journalists, academics, and economists have come to understand the central role that fraudulent conduct by investment banks may have played in creating the conditions for the crisis (*see e.g. Maybe It Was Fraud After All*, *Democracy in America*, *The Economist*, Oct. 13, 2010; *see also Nomura Home Equity Loan, Inc., Series 2006-FM2 v Nomura Credit & Capital, Inc.*, 30 NY3d 572, 596-597 [2017, Rivera, J., dissenting]).

The defendants here are alleged to have engaged in just such practices, knowingly misleading investors in ways that caused tremendous harm to our financial system and the public at large. In speaking with investors, Credit Suisse repeatedly represented that the loans underlying the residential mortgage-backed securities (RMBS) it sold had been originated in line with proper underwriting standards, and that the bank itself carefully sought out loans from borrowers with a demonstrated ability and willingness to repay their debts, in order to ensure the bank's securities remained attractive investment options. According to the Attorney General, these were lies. Despite its representations to investors, Credit Suisse's due diligence was superficial. It was also often irrelevant, since loans that internal checks suggested failed to meet the bank's standards were nevertheless included in the RMBS in large numbers. In sum, defendants knew that many of the loans they pooled in their securities were fundamentally flawed. This was not an accident, but a feature of the bank's business culture and securitization practices, which incentivized production numbers

2. For ease of analysis, I refer to defendants interchangeably as "defendants," "Credit Suisse," and "the bank."

over quality. The bank created incentives for its loan originators based on the volume of mortgages they generated for the bank, and not on those loans' performance. The bank licensed exceptions to key components of loan underwriting guidelines in the interest of keeping loan volume high and sought to appease high-volume originators. At the same time, the bank claimed to potential investors that it was influencing loan originators only to identify good borrowers and produce good loans. The bank's words and its deeds did not align. Ultimately, many of the loans went into delinquency, the securities saw their credit rating drastically downgraded, investors suffered terrible losses, and taxpayers were left holding the bill.

B.

Credit Suisse unsuccessfully moved to dismiss the Attorney General's complaint, in part, as time-barred pursuant to CPLR 3211 (a) (5). Credit Suisse argued that the causes of action pleaded in the complaint were subject to the three-year statute of limitations of CPLR 214 (2), because it faced "an action to recover upon a liability . . . created or imposed by statute," namely the Martin Act and Executive Law § 63 (12). The Attorney General responded that the claims against Credit Suisse are governed by the six-year statute of limitations in CPLR 213, either under subdivision (1) as applied to "an action for which no limitation is specifically prescribed by law," or subdivision (8) for "an action based upon fraud." The Supreme Court denied Credit Suisse's motion to dismiss, and the Appellate Division affirmed. The Court subsequently certified to us the question whether Supreme Court's order, as affirmed, had been properly made.

The plain language of CPLR 214 (2) states that it applies "except as provided in" section 213, meaning section 213 will govern an action falling within its purview, regardless of whether the action seeks to recover upon a liability imposed by statute.³ In other words, if section 213 applies, a party's cause of action is not governed by CPLR 214 (2). Under this construction of sections 213 and 214, the Attorney General's causes of

3. CPLR 214 (2) also references CPLR 215, which imposes a one-year statute of limitations on a small number of specifically defined actions, including actions against a sheriff, coroner, or constable for acts taken in their official course of duty (*see* CPLR 215 [1]), actions to enforce an arbitration award (*see* CPLR 215 [5]), and certain actions by tenants (*see* CPLR 215 [7]), among others, all irrelevant to the issues before us here.

action for investor fraud are not time-barred, as they are subject to the six-year statute of limitations under either CPLR 213 (1) because they are not subject to a limitation period prescribed by law, or, alternatively, because they are undisputedly grounded in fraud and thus governed by CPLR 213 (8).

II.

The Court held in *Cortelle* that “a statute[,] in regulating a substantive right or the procedure for its enforcement[,] does not create or impose a liability, penalty or forfeiture” within the meaning of CPLR 214 (2) (38 NY2d at 89). The Attorney General’s standing to sue for remedies provided for under the Martin Act, then, does not transform the alleged fraudulent conduct by Credit Suisse into acts previously unknown to the courts. So long as the wrong was one previously recognized, the fact that the Attorney General files suit rather than a private investor does not affect the statute of limitations analysis.

A.

The fraud asserted by the Attorney General was well known to the courts when the Martin Act was enacted. Courts in the Anglo-American world had long and uniformly understood acts like those alleged here to be fraudulent (*see e.g. Reusens v Gerard*, 160 App Div 625 [1st Dept 1914], *affd sub nom. de Ridder v Gerard*, 221 NY 665 [1917]). My colleagues have reached the astonishing conclusion that (1) because the Martin Act imposes obligations on securities dealers that did not exist at common law, (2) because it does not create a private right of action, and (3) because the legislature has subsequently amended the definition of fraudulent practices to “encompass[] ‘wrongs’ not cognizable under the common law and dispense[d] . . . with any requirement that the Attorney General prove scienter or justifiable reliance on the part of investors” in prosecuting investor fraud (majority op at 632-633), the Attorney General’s civil suits to punish fraudulent practices under the Martin Act must be treated as actions not recognized under decisional law at the time of the Martin Act’s passage (*see* majority op at 626, 633; concurring op at 634 and n 1). This argument is mistaken.

The first two grounds are easily exposed as wholly irrelevant to the statute of limitations analysis. The various obligations referenced by the majority concern registration and disclosure requirements that make the act similar to federal Blue Sky

laws (majority op at 630). However, “[i]n applying a Statute of Limitations it is basic that one looks to the essence of plaintiff’s claim” and not to the abstract statutory regime (*Cortelle*, 38 NY2d at 86). We look, then, to the underlying nature of the claim itself (see *Matter of Paver & Wildfoerster [Catholic High School Assn.]*, 38 NY2d 669, 674 [1976] [observing that “it has been said that the law in this State, in applying the Statute of Limitations, will look to the ‘reality’ or the ‘essence’ of the action and not its form” (citations omitted)]). The Attorney General’s causes of action allege misrepresentations intended to deceive and lure investors into purchasing securities that were of a lower quality and higher risk than defendants let on. In fact, some of the supposedly safe securities were eventually downgraded to “junk bond” status. This is a straightforward claim that Credit Suisse committed acts of fraud. The forms in which those misrepresentations were presented and the similarities between the Martin Act and its federal analogue do not change the essence of the State’s cause of action. Fraud is fraud.

Similarly inconsequential is the fact that the Martin Act does not provide a private cause of action. What does it matter for purposes of our statute of limitations analysis that the legislature exclusively empowered the Attorney General to pursue an action under the Martin Act? The legislature could choose to leave private parties to vindicate their rights for investor fraud under established common-law and equitable fraud principles, while granting the Attorney General authority to act as the watchdog over our financial markets. This, in fact, is what it did. That the law left private parties with their own traditional remedies at law and equity has no effect on the statute of limitations governing the Attorney General’s own, comparable actions.

B.

As to the majority’s remaining ground, its analysis is unpersuasive. As a threshold matter, as every other court to have considered this complaint has so far concluded, the Attorney General has, here, adequately alleged scienter and reliance—what my colleagues assert are necessary elements of a common-law fraud claim. Consequently, there is no basis to treat the causes of action alleged in the complaint as created by statute within the meaning of CPLR 214 (2), and therefore subject to the shorter, three-year statute of limitations. Moreover, assum-

ing arguendo that the Attorney General did not allege scienter and reliance, that would not subject the causes of action to CPLR 214 (2), because the action would still be based on fraudulent behavior recognized under decisional law when the legislature enacted the Martin Act.

In *People v Federated Radio Corp.*, this Court explained that the Martin Act was intended to apply to fraud as understood at the time of the law's enactment (*see* 244 NY at 38). Although the Martin Act does not define fraud, the Court recognized that the statute's purpose provided all the necessary guidance:

“While certain practices are declared by the act to be fraudulent[,] the definition of a fraudulent practice goes no further than to say that a fraud or a violation of law which would operate as a fraud is a fraudulent practice which may be enjoined, and we must gather from other sources the meaning of the word ‘fraud.’ In a broad sense the term includes all deceitful practices contrary to the plain rules of common honesty.

“The purpose of the law is to prevent all kinds of fraud in connection with the sale of securities and commodities and to defeat all unsubstantial and visionary schemes in relation thereto whereby the public is fraudulently exploited. (*Hall v. Geiger-Jones Co.*, 242 U. S. 539.) The words ‘fraud’ and ‘fraudulent practice’ in this connection should, therefore, be given a wide meaning so as to include all acts, although not originating in any actual evil design or contrivance to perpetrate fraud or injury upon others, which do by their tendency to deceive or mislead the purchasing public come within the purpose of the law” (244 NY at 38-39).

Federated Radio's recognition that, absent a statutory definition, “we must gather from other sources the meaning of the word ‘fraud’ ” (*id.* at 38) leads inexorably to the conclusion that fraud, for purposes of the Martin Act, means the forms of fraud recognized at the time of the law's enactment.

At the time the legislature passed the Martin Act, a private party could sue at law for damages under a claim of intentional fraud (also at times referred to as legal, or actual fraud), meaning for “false representations knowingly made and acted on, resulting in damage” (*id.* at 41). This category of fraud required proof of “representation, falsity, *scienter*, deception and injury”

(*Ochs v Woods*, 221 NY 335, 338 [1917]).⁴ In a typical investor fraud case, the plaintiff was required to show that the promoter or seller had made a misrepresentation to the investor about a material aspect of the transaction that the promoter knew was false with the intent of misleading the investor, and that the investor actually and justifiably relied on that misrepresentation and was injured as a result (*id.*).

However, an action sounding in fraud at law was not the only way to combat this class of wrong. A party unable to establish the elements of intentional fraud could maintain a claim in equity for conduct known as equitable fraud (see *Federated Radio*, 244 NY at 41; *Bloomquist v Farson*, 222 NY 375, 380 [1918]). “In equity, the right to relief is derived from the suppression or misrepresentation of a material fact, though there be no intent to defraud” (*Hammond v Pennock*, 61 NY 145, 152 [1874]). Recognizing that “[e]quity will administer such relief as the exigencies of the case demand,” the courts provided that “[a]n action may be maintained in equity to rescind a transaction which has been consummated through misrepresentation of material facts not amounting to [common-law] fraud,” since scienter need not even have been alleged (*Bloomquist*, 222 NY at 380).

Federated Radio explicitly recognized the elements that distinguish equitable fraud from intentional fraud, and further held that the Attorney General is empowered to pursue remedies for both categories of fraud. Scienter need not be proved under the Martin Act because the Attorney General is empowered to pursue actions for equitable fraud which requires only a “[m]aterial misrepresentation[] intended to influence the bargain” without an added “evil design” (244 NY at 38-39, 41; see also *Bloomquist*, 222 NY at 380; *Hammond*, 61 NY at 152).

The legislative history supports what the Court recognized in *Federated Radio*—that the Martin Act is intended to authorize the Attorney General to pursue the widest range of fraud, as understood when the law was passed. In the early twentieth century, in the face of unscrupulous stock “promoters [who] would sell shares in ‘the bright blue sky itself,’” states and Congress began enacting laws to regulate the sale of securities

4. These elements have remained unchanged across more than a hundred years (see e.g. *Eurycleia Partners, LP v Seward & Kissel, LLP*, 12 NY3d 553, 559 [2009] [listing the “elements of a cause of action for fraud” as “a material misrepresentation of a fact, knowledge of its falsity, an intent to induce reliance, justifiable reliance by the plaintiff and damages”]).

(see Ambrose V. McCall, *Comments on the Martin Act*, 3 Brook L Rev 190, 190 [1933]). These so-called “Blue Sky laws” sought to put in the hands of state actors the ability to pursue a wide range of remedies to combat investor fraud, which had become a systemic problem, affecting the market itself, beyond harm to any individual investor (see generally *id.* at 192-193). With the Martin Act, New York’s Blue Sky law, the legislature empowered the Attorney General to seek redress for fraud on investors in general, and to act before fraudulent behavior impacted the marketplace. Crucially, even as the legislature granted the Attorney General standing to pursue investor fraud claims, it did not intend to create a new form of liability, but simply enabled the Attorney General to seek redress against the many different kinds of fraud already well familiar to the public. The report of the Special Committee that developed the Martin Act makes clear that, with respect to the new powers granted to the Attorney General under the law, the legislature sought to “confer[] jurisdiction upon State officials . . . to investigate frauds” and generally “prevent[] fraud,” not define new frauds (see Governor’s Message to Legislature Transmitting Report of Special Comm Appointed by Governor to Provide Proper Supervision & Regulation in Connection with Sec Offered to Pub for Investment, 1920 NY Legis Doc No. 81 at 7, 8 [Report]). Their concern was overwhelmingly with punishing and redeeming “losses which are occasioned by fraud,” and they intended the Martin Act to give the Attorney General the power to do so (*id.* at 9; see also *id.* at 13-14 [discussing the investigatory and prosecuting powers conferred under the Martin Act as expansions of jurisdiction]). The goal was combating fraud, not defining it. There is no real debate that scienter was not required to maintain a fraud action in equity at that time. In granting the Attorney General the power to combat fraud, the legislature surely also granted the power to pursue equitable fraud actions, for which no scienter need be alleged.

Whether reliance was necessary for the Attorney General to pursue an action based on fraud is a different question. The Attorney General argues that proof of reliance and individual economic loss go to standing, not to the underlying wrongfulness of the conduct. The conduct is wrong without proof of reliance. Reliance, in this context, is simply a mechanism to determine in a potential suit between private parties who has actual standing to bring a claim and what type of remedy is warranted.

This argument finds support in the law, and would further the legislative purpose of the Martin Act to give broad authority to the Attorney General to sue for securities industry fraud. The fraud the legislature sought to address is not solely wrongful conduct that actually succeeds in fooling individual investors, but fraud grounded in deception or misrepresentation related to securities. It is the mere behavior of the intentional malefactor, whose goal is to influence the bargain through a misrepresentation, that renders stocks and securities unreliable. The Martin Act does not require consummation of the intended or innocent misrepresentation, for untrue and inaccurate information is enough to place the public and the securities markets in jeopardy. This is the type of wrong the Martin Act addresses. As the Court has recognized, the Martin Act “does not prohibit fraudulent practices. It merely provides a procedure to prevent them” (*Federated Radio*, 244 NY at 38). The Attorney General does not have to wait for some individual investor to incur damages or allege reliance to pursue an action under the Martin Act. Indeed, such delay would undermine the legislative purpose “to prevent all kinds of fraud in connection with the sale of securities and commodities and to defeat all unsubstantial and visionary schemes in relation thereto whereby the public is fraudulently exploited” (*id.* [citation omitted]).

Exempting the Attorney General from proving reliance and damages in Martin Act claims is part and parcel of the special, well-recognized standing rules that apply to government actors (*see e.g. Estados Unidos Mexicanos v DeCoster*, 229 F3d 332, 335 [1st Cir 2000] [discussing the long-established “exception to normal rules of standing applied to private citizens” where government actors are concerned]; *see generally Alfred L. Snapp & Son, Inc. v Puerto Rico ex rel. Barez*, 458 US 592, 600-608 [1982] [discussing the special standing of states acting as quasi-sovereigns]). The state, in its *parens patriae* capacity, may act in furtherance of a quasi-sovereign interest in protecting the investing public and the integrity of the marketplace. Specifically:

“*Parens patriae* is a common-law standing doctrine that permits the state to commence an action to protect a public interest, like the safety, health or welfare of its citizens. To invoke the doctrine, the Attorney General must prove a quasi-sovereign

interest distinct from that of a particular party and injury to a substantial segment of the state's population (see *Alfred L. Snapp & Son, Inc. v Puerto Rico ex rel. Barez*, 458 US 592, 607 [1982]). In varying contexts, courts have held that a state has a quasi-sovereign interest in protecting the integrity of the marketplace (see *State of N.Y. by Abrams v General Motors Corp.*, 547 F Supp 703 [SD NY 1982]; *People v H&R Block, Inc.*, 16 Misc 3d 1124[A], 2007 NY Slip Op 51562[U] [2007])” (*People v Grasso*, 11 NY3d 64, 69 n 4 [2008]).

The Supreme Court of the United States has long held that a state has a clear quasi-sovereign interest in combating illegal economic practices that harm that state's economy (see *Georgia v Pennsylvania R. Co.*, 324 US 439, 450-451 [1945]). In the legal services context, the United States Supreme Court has specifically recognized a state's interest in policing and preventing “those aspects of solicitation that involve fraud, undue influence, intimidation, overreaching, and other forms of ‘vexatious conduct’ ” (*Ohralik v Ohio State Bar Assn.*, 436 US 447, 462 [1978]). Of course, the state's interest in the integrity of its markets is not confined to the market for legal services; it is, rather, one of its general, fundamental concerns (see e.g. *Kelley v Carr*, 442 F Supp 346, 356-357 [WD Mich 1977] [including “maintenance of the integrity of markets and exchanges operating within (the state's) boundaries” and “protection of its citizens from fraudulent and deceptive practices” as “(s)urely” among “the most basic of a state's quasi-sovereign interests”], *revd in part on other grounds* 691 F2d 800 [6th Cir 1980]). For this reason, “[t]he State's goal of securing an honest marketplace in which to transact business is a quasi-sovereign interest” (*State of N.Y. by Abrams*, 547 F Supp at 705).

Cortelle is instructive on this point because, although the Court in that case was deciding the proper reach of the Attorney General's authority under a different law, the underlying analysis applies with equal force here. In *Cortelle*, the Attorney General invoked Business Corporation Law § 1101 to address a wrong against the State traceable to English common law and continued under New York's own common law, based on a corporation's alleged persistent fraudulent conduct. The Court held that “the alleged fraudulent acts of the corporate defendants are actionable wrongs against the State, pre-existent to and independent of the enactment of the procedural remedy in section 1101” (38 NY2d at 88). Similarly,

the Attorney General here acts under the Martin Act to protect the State's quasi-sovereign interest in the integrity of the marketplace by pleading causes of action for investor fraud—an “old and common type of fraud” (*id.* at 86; *Grasso*, 11 NY3d at 69 n 4, citing *State of N.Y. by Abrams*, 547 F Supp 703; *H&R Block, Inc.*, 16 Misc 3d 1124[A], 2007 NY Slip Op 51562[U]). Here, as in *Cortelle*, the liability existed long before it was invoked by the Attorney General. The law simply gave the Attorney General the power to enforce it.

C.

My colleagues maintain that *Gaidon v Guardian Life Ins. Co. of Am.* (96 NY2d 201 [2001] [*Gaidon II*]) leads to the conclusion that the causes of action asserted by the Attorney General against the Credit Suisse defendants are subject to CPLR 214 (2) (majority op at 629, 633; concurring op at 634 and n 1), but they are mistaken. *Gaidon II* stands for two propositions. First, CPLR 214 (2) does not apply to liabilities existing at decisional law even if they are “recognized or implemented by statute,” because the governing statute of limitations is that which corresponds to the liability as known at decisional law (96 NY2d at 208, citing *Aetna Life & Cas. Co. v Nelson*, 67 NY2d 169, 174 [1986]). Second, CPLR 214 (2) governs a cause of action based on conduct that was not recognized at decisional law, but only if the cause of action is based on a statutory provision imposing liability for such conduct. The first proposition is irrelevant to the analysis here because, as I have discussed, the Attorney General's claims are based on investor fraud, which was not only recognized when the Martin Act was enacted, but was the type of fraudulent behavior legislatively targeted by the statute.

The second proposition is of significance but not for the reasons assumed by my colleagues. In *Gaidon II*, private parties brought an action under General Business Law § 349 for deceptive marketing and sales practices in the promotion of insurance policies. In prior litigation, the Court had concluded that “[i]n contrast to common-law fraud, General Business Law § 349 is a creature of statute based on broad consumer-protection concerns” and although claims under the statute “have been aptly characterized as similar to fraud claims . . . they are critically different in ways illustrated by the cases at bar” (*Gaidon v Guardian Life Ins. Co. of Am.*, 94 NY2d 330, 343 [1999] [*Gaidon I*], quoted in *Gaidon II*, 96 NY2d at 209

[emphases and ellipsis as in *Gaidon II*]). In *Gaidon II* the Court explained its prior decision in *Gaidon I* held that because the promotional illustrations used in selling the offending premium policies contained disclaimers, the misrepresentations in those materials and by the agents did not constitute common-law fraud, but might be actionable under General Business Law § 349 (96 NY2d at 209). As such, section 349 “encompasse[d] a significantly wider range of deceptive business practices that were never previously condemned by decisional law” (*id.* at 210). This led the Court to hold that the plaintiffs’ claims “*although akin to common-law causes, would not exist but for the statute . . . in which case CPLR 214 (2) applies*” (*id.* at 209 [internal quotation marks omitted]). The Court did not adopt the rule advocated by Credit Suisse and now employed by my colleagues—that if a statute encompasses a broader range of conduct than recognized under decisional law, all claims under the statute, even the claims that had been previously actionable, will be subject to the three-year statute of limitations prescribed by CPLR 214 (2). The Court in *Gaidon II* only considered the causes of action as pleaded, and, based on the specific averments, determined that they were “akin to common-law causes” but fell within the broader range of claims “never legally cognizable before [section 349’s] enactment” (*id.* [emphasis omitted]).

Applying the principles of *Gaidon II*, even if I agreed with my colleagues that the Martin Act encompasses conduct that exceeds that known under decisional law, to the extent the Attorney General here has pleaded causes of action for common-law fraud against Credit Suisse, I would find those causes of action timely filed in accordance with CPLR 213 (8). A different outcome is not legally supported unless we ignore the teachings and logic of our prior case law.

In any event, my colleagues’ decision that section 214 (2) applies is based on internally inconsistent reasoning and leads to unintended consequences at odds with legislative purpose. According to my colleagues’ approach, a private investor has six years to file an action for intentional fraud but the Attorney General who seeks to assert causes of action for the same conduct under the Martin Act and alleges all the requisite elements to sustain the action has only three years to file. Similarly, a private plaintiff seeking to rescind a transaction under a theory of equitable fraud for having relied on a fraudulent misrepresentation, which does not require proof of scien-

ter, would have six years to bring suit, but the Attorney General, even if it established all the very same elements, would be barred from seeking any remedy after three years, simply for commencing the action under the Martin Act. This result is patently absurd. The legislature clearly invested the Attorney General with greater, not lesser, authority to seek redress than the individual private investor. The legislature granted standing to the Attorney General to exercise its muscular enforcement authority to seek a broad array of remedies on behalf of the People of the State of New York. These broad powers are intended to protect the integrity of the securities markets and the interests of investors. Nevertheless, at a stroke, the majority's holding today makes the Attorney General less able to police the markets than a member of the general investing public.

It surely could not have been the intent of the legislature when it passed CPLR 214 to apply its three-year limitations period to the Attorney General's enforcement actions under the Martin Act. "A statute must be read in a manner which furthers its purposes and avoids rendering the statute ineffectual" (*American Lodge Assn. v East N.Y. Sav. Bank*, 100 AD2d 281, 285 [2d Dept 1984]; *see generally* McKinney's Cons Laws of NY, Book 1, Statutes § 96 ["A basic consideration in the interpretation of a statute is the general spirit and purpose underlying its enactment, and that construction is to be preferred which furthers the object, spirit and purpose of the statute"]). Yet here the Court reads the CPLR and the Martin Act in a way that undermines the legislature's purpose. Worse still, that reading needlessly leads to incongruous results, directly in contravention of our settled case law and basic principles of statutory interpretation (*see e.g.* Statutes § 145 ["A construction which would make a statute absurd will be rejected"]; *Matter of DeTroia v Schweitzer*, 87 NY2d 338, 342 [1996] [observing that law "should be interpreted to avoid . . . objectionable, absurd, anomalous and unjust result(s)" (citations omitted)]). A construction that limits actions under the Martin Act to three years must be rejected as unsound.

III.

My colleagues also conclude that the statute of limitations applicable to claims brought under Executive Law § 63 (12) is determined by reference to the underlying liability asserted in the complaint (*see* majority op at 633-634; concurring op at

635). I agree with this general rule. However, my colleagues further conclude that actions brought by the Attorney General under Executive Law § 63 (12) for repeated violations of the Martin Act are subject to a three-year statute of limitations. That decision rests on the same flawed analysis upon which their adoption of a three-year statute of limitations for actions under the Martin Act is based, and so I reject it for the same reasons.

To the extent my colleagues conclude that the Attorney General can plead causes of action sounding in intentional or equitable fraud and get the benefit of the six-year statute of limitations by filing under Executive Law § 63 (12), because that statute permits a court to “look through” to the underlying cause of action, this does not minimize the harm done by the decision to limit the Martin Act to a three-year statute of limitations. Moreover, section 63 (12) applies to *repeated* fraudulent acts or *persistent* fraud, so in those cases where the Attorney General cannot prove repeated or persistent conduct, the causes of action will be dismissed as time-barred. This is unacceptable, and in clear contravention of the legislature’s intent. Even fraud that is not proved to be persistent can cause significant harm to the securities market and individual investors.

IV.

For the reasons I have discussed, I would reaffirm what New York courts have consistently assumed—that causes of action filed pursuant to the Martin Act are subject to a six-year statute of limitations. Nevertheless, because four members of the Court have now concluded that the Attorney General’s causes of action filed under the Martin Act are subject to a three-year statute of limitations, even for those causes of action grounded on fraud known to the courts at the time of the enactment of the statute, it now falls to the legislature to correct this error before significant damage is done to the State’s securities markets. “What is needed”—now, as much as ever—“is a flexible, virile fraud-hunting State machinery” (Report at 14). For nearly a century, the Martin Act gave our great State just such machinery. Today, the Court grievously compromises this vital tool. Make no mistake, this is a significant decision with potentially devastating consequences for the People of the State

of New York, as well as the markets beyond our borders, which depend on New York as a global financial center.⁵

Judges STEIN, FAHEY and FEINMAN concur; Judge FEINMAN in an opinion in which Judge FAHEY concurs; Judge RIVERA dissents in an opinion; Judges GARCIA and WILSON taking no part.

Order modified, without costs, by granting that branch of defendants' motion which was to dismiss the first cause of action in the complaint pursuant to CPLR 3211 (a) (5) as time-barred and remitting the case to Supreme Court, New York County, for further proceedings in accordance with the opinion herein and, as so modified, affirmed and certified question answered in the negative.

5. Given my conclusion that causes of action under the Martin Act are subject to CPLR 213's six-year statute of limitations, I do not have occasion to opine on the statute of limitations applicable to actions brought under Executive Law § 63 (12), or my colleagues' discussion of this provision, other than to state the obvious: causes of actions under Executive Law § 63 (12) based on fraud recognized under decisional law at the time of that statute's enactment are subject to CPLR 213's six-year statute of limitations as well.

[107 NE3d 543, 82 NYS3d 323]

JEANETTA STEGA, M.D., Ph.D., M.S.N., Also Known as JEANETTA MALANOWSKA-STEGA, Appellant, et al., Plaintiff, v NEW YORK DOWNTOWN HOSPITAL et al., Respondents, et al., Defendants.

Argued June 6, 2018; decided June 27, 2018

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered January 10, 2017. The Appellate Division (1) reversed, on the law, so much of an order of the Supreme Court, New York County (Debra A. James, J.; op 2014 NY Slip Op 32409[U] [2014]), as had denied defendants' motion to dismiss plaintiff Jeanetta Stega's defamation cause of action as against New York Downtown Hospital and Stephen G. Friedman, M.D.; and (2) granted the motion. The following question was certified by the Appellate Division: "Was the order of this Court, which reversed the order of Supreme Court, properly made?"

Stega v New York Downtown Hosp., 148 AD3d 21, reversed.

HEADNOTES

Libel and Slander — Privilege — Absolute Privilege — Statements Made during Investigation

1. In a defamation action by plaintiff, the former Vice-President of Research and Chairperson of defendant hospital's Institutional Review Board (IRB), the statements made by defendant Acting Chief Medical Officer to a U.S. Food and Drug Administration (FDA) investigator concerning plaintiff's removal from her positions with defendant hospital, as published in the FDA's establishment inspection report, were not protected by absolute privilege. Absolute privilege is generally reserved for communications made by individuals participating in a public function, and is designed to ensure that their personal interests do not have an adverse impact upon the discharge of their public function. Absolute immunity applies only to a proceeding in court or one before an officer having attributes similar to a court. For absolute immunity to apply in a quasi-judicial context, the process must make available a mechanism for the party alleging defamation to challenge the allegedly false and defamatory statements. Plaintiff insisted that she did not receive notice of any stage of the FDA's investigation of the IRB. In fact, nothing in the FDA regulations gives a third party, even one "with a direct interest" (21 CFR 56.120 [c]; 56.121 [c]) in the matter, the right to notice of an FDA report concerning IRB noncompliance or the right to attend a "regulatory hearing" at which the IRB, as the subject of the investigation, would challenge disqualification by the FDA (21 CFR 56.121 [a]). Moreover, while the regulatory scheme provides for judicial review, defendants did not dispute

plaintiff's contention that she lacked standing to seek such review of the report, because the proceeding was not adversarial to her. Nor did defendants allege any alternative avenues available to plaintiff to contest, before the FDA, the alleged harm to her reputation.

Libel and Slander — Actionable Words — True Statements and Pure Expressions of Opinion

2. Defendants were not entitled to dismissal of the defamation action by plaintiff, the former Vice-President of Research and Chairperson of defendant hospital's Institutional Review Board (IRB), arising out of statements made by defendant Acting Chief Medical Officer (CMO) to a U.S. Food and Drug Administration (FDA) investigator concerning plaintiff's removal from her positions with defendant hospital. While the falsity of an allegedly defamatory statement is an element of any defamation claim, on a pre-answer motion to dismiss a defendant will prevail on that ground only if the statement's truth may be established from the complaint alone. Plaintiff's statement in her complaint that she "deposited" money in an account did not have the same meaning as the communication that plaintiff "channeled" the funds. That statement, in context, connoted that plaintiff misappropriated funds or, at the very least, that she transferred funds in a clandestine manner. Moreover, defendant CMO's statement that the IRB was "tainted" was not a pure expression of opinion. Although an expression of pure opinion is not actionable, a statement of opinion that implies that it is based upon facts which justify the opinion but are unknown to those reading or hearing it is a mixed opinion and is actionable. Defendant CMO's words carried authority when speaking about the IRB, and the context suggested to the average reader that his statements were based on facts undisclosed to the reader.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Libel and Slander §§ 122, 162, 163, 283.

DOBBS LAW OF TORTS §§ 519, 539.

NY JUR 2d Defamation and Privacy §§ 7–11, 16–19, 98, 116–118, 140.

NEW YORK LAW OF TORTS §§ 1:41, 1:43, 1:48–1:50.

ANNOTATION REFERENCE

See ALR Index under Libel and Slander.

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POINTS OF COUNSEL

Beranbaum Menken LLP, New York City (*John A. Beranbaum* and *Grace Cretcher* of counsel), for appellant. I. A quali-

fied privilege properly balances the government's interest in the free flow of information and Jeanetta Stega's need to restore her reputation. (*Rosenberg v MetLife, Inc.*, 8 NY3d 359; *Toker v Pollak*, 44 NY2d 211; *Park Knoll Assoc. v Schmidt*, 59 NY2d 205; *Foster v Churchill*, 87 NY2d 744; *Front, Inc. v Khalil*, 24 NY3d 713, 25 NY3d 1036; *Lieberman v Gelstein*, 80 NY2d 429; *Shapiro v Health Ins. Plan of Greater N.Y.*, 7 NY2d 56; *Colantonio v Mercy Med. Ctr.*, 135 AD3d 686, 28 NY3d 903; *Bassim v Howlett*, 191 AD2d 760; *Boyd v Nationwide Mut. Ins. Co.*, 208 F3d 406.) II. The Appellate Division erred in holding that Steven Friedman enjoyed an absolute privilege to defame Jeanetta Stega. (*Toker v Pollak*, 44 NY2d 211; *Stukuls v State of New York*, 42 NY2d 272; *Front, Inc. v Khalil*, 24 NY3d 713; *Park Knoll Assoc. v Schmidt*, 59 NY2d 205; *Andrews v Gardiner*, 224 NY 440; *Clark v McGee*, 49 NY2d 613; *Julien J. Studley, Inc. v Lefrak*, 50 AD2d 162, 41 NY2d 881; *Rosenberg v MetLife, Inc.*, 8 NY3d 359; *Pecue v West*, 233 NY 316; *Frechtman v Gutterman*, 115 AD3d 102.) III. The trial court properly found that the falsity of Steven Friedman's defamatory statements was adequately pleaded. (*Dillon v City of New York*, 261 AD2d 34; *Matherson v Marchello*, 100 AD2d 233; *James v Gannett Co.*, 40 NY2d 415; *Mencher v Chesley*, 297 NY 94; *November v Time Inc.*, 13 NY2d 175; *Schermerhorn v Rosenberg*, 73 AD2d 276; *Nowark v Maguire*, 22 AD2d 901; *Greenberg v CBS, Inc.*, 69 AD2d 693; *Amaranth LLC v J.P. Morgan Chase & Co.*, 100 AD3d 573; *Muhlhahn v Goldman*, 93 AD3d 418.)

Nixon Peabody LLP, Jericho (*Christopher J. Porzio* of counsel), for respondents. I. The Appellate Division correctly determined that Dr. Steven Friedman's statements made in the course of the FDA process were subject to the absolute privilege for statements made in quasi-judicial proceedings. (*Rosenberg v MetLife, Inc.*, 8 NY3d 359; *Park Knoll Assoc. v Schmidt*, 59 NY2d 205; *Wiener v Weintraub*, 22 NY2d 330; *Nineteen Eighty-Nine, LLC v Icahn Enters. L.P.*, 99 AD3d 546; *Able Energy, Inc. v Marcum & Kliegman LLP*, 69 AD3d 443; *Cicconi v McGinn, Smith & Co., Inc.*, 27 AD3d 59; *Herzfeld & Stern v Beck*, 175 AD2d 689; *Stukuls v State of New York*, 42 NY2d 272; *Toker v Pollak*, 44 NY2d 211; *Lacher v Engel*, 33 AD3d 10.) II. Application of a qualified privilege here, rather than an absolute privilege, undermines the important public policy considerations mandating full disclosure and candor in the FDA's investigation of Institutional Review Boards. (*Shapiro v Health Ins. Plan of Greater N.Y.*, 7 NY2d 56; *Rosenberg v MetLife, Inc.*, 8 NY3d 359; *Park Knoll Assoc. v Schmidt*, 59

NY2d 205.) III. In the event this Court does not affirm dismissal of the defamation claim based on the absolute privilege, it should dismiss on the alternative grounds not reached by the Appellate Division's majority. (*Dillon v City of New York*, 261 AD2d 34; *Stepanov v Dow Jones & Co., Inc.*, 120 AD3d 28; *Amaranth LLC v J.P. Morgan Chase & Co.*, 100 AD3d 573; *Muhlhahn v Goldman*, 93 AD3d 418; *Mann v Abel*, 10 NY3d 271; *Silverman v Daily News, L.P.*, 129 AD3d 1054; *Thomas H. v Paul B.*, 18 NY3d 580; *Howlett v Bloom*, 239 AD2d 389; *Adelson v Harris*, 774 F3d 803.)

OPINION OF THE COURT

FAHEY, J.

This Court's decision in *Rosenberg v MetLife, Inc.* (8 NY3d 359 [2007]) does not shield statements, made in an administrative proceeding, that defame a person who has no recourse to challenge the accusations. The absolute privilege against defamation applied to communications in certain administrative proceedings is not a license to destroy a person's character by means of false, defamatory statements.

Our summary of the facts is drawn from plaintiff's complaint, the allegations of which we must accept as true at this stage of the litigation on a motion to dismiss. Plaintiff, Dr. Jeanetta Stega, is a medical scientist who has specialized in gynecological and oncological research. An employee of defendant New York Downtown Hospital, plaintiff became Vice-President of Research and Chairperson of the hospital's Institutional Review Board (IRB) in 2009. The IRB oversaw clinical trials, involving human subjects, of products regulated by the Food and Drug Administration (FDA).¹

In 2011, defendant Dr. Leonard A. Farber, an oncologist in private practice who had medical staff privileges at Downtown Hospital, entered into an agreement with Luminant BioSciences, LLC to conduct a clinical trial of a compound that Luminant had developed to treat patients with metastatic cancer. Farber asked plaintiff to assist him in developing preparatory materials for the study, including a protocol and a patent application. Plaintiff advised defendant Jeffrey Menkes, Downtown Hospital's President and Chief Executive Officer,

1. "Institutional Review Board (IRB) means any board, committee, or other group formally designated by an institution to review, to approve the initiation of, and to conduct periodic review of, biomedical research involving human subjects" (21 CFR 56.102 [g]).

and other hospital officials about the Luminant project, and that the first phase of the study was to be at Farber’s office, followed by a larger clinical trial at Downtown Hospital. Plaintiff also told the officials that she would write the protocol and patent application for the study. Downtown Hospital raised no objections.

Working after-hours, plaintiff drafted the preliminary documents for the Luminant study, for which Luminant paid her \$50,000. Plaintiff opened a bank account in the name “Stega Research Group” and, as she phrases it in her complaint, she “deposited the \$50,000 . . . in the Stega Research Group . . . account.”

When Farber applied to Downtown Hospital’s IRB for approval of the Luminant study, plaintiff recused herself from the board’s deliberations and voting, but she answered other IRB members’ questions about the study. The IRB approved the trial.

Conflicts arose between Farber and Luminant, and the clinical study soon went awry. In a telephone conversation with plaintiff, Farber allegedly threatened to destroy the trial and punish Luminant. Tensions between Farber and plaintiff intensified, and Farber threatened plaintiff with retribution too. It was at this point, according to plaintiff, that Farber told Menkes that plaintiff had stolen the Luminant study from him, that she had taken funds that did not belong to her, and that the drug compound was toxic and unsafe for patients.

Menkes and defendant Dr. Stephen G. Friedman, Downtown Hospital’s Acting Chief Medical Officer, met with plaintiff and accused her of taking funds that belonged to the hospital. They also charged her with engaging in a conflict of interest by seeking approval from the IRB for the Luminant study despite being a member of that board. Plaintiff was placed on administrative leave. Following an investigation, Downtown Hospital officials concluded that plaintiff had violated the hospital’s conflict of interest policy and had improperly taken money from Luminant “on the side.” In February 2012, plaintiff’s employment was terminated. Plaintiff and the IRB’s Vice Chairperson were both removed from the board, which Downtown Hospital sought to disband.

In March 2012, plaintiff and the IRB’s Vice Chairperson submitted a complaint to the FDA, which monitors the compliance of IRBs with its regulations. They expressed concerns

regarding their ouster and about whether the patients in research trials overseen by Downtown Hospital's IRB would be properly supervised. FDA investigators promptly interviewed plaintiff and the Vice Chair. In May, following appropriate notice, the agency conducted an on-site inspection of the IRB. An FDA inspector spoke with Friedman and other hospital administrators and reviewed the IRB's membership, policies, and procedures, as well as trial participants' informed consents and selected studies overseen by the IRB.

It was in this context that Friedman, during a May 22, 2012 meeting with an FDA inspector, stated that plaintiff had "channeled" Luminant's funds to a "Stega Research Group" at her home address. Friedman also told the inspector that plaintiff had requested that Farber add a patient with prostate cancer to the study, which otherwise had only lung cancer patients as subjects, and, when Farber refused, plaintiff had replied, "I am the IRB and I want the patient entered." Friedman informed the inspector that, in addition to terminating plaintiff, he had removed plaintiff and the Vice Chairperson from the IRB, and wished to disband the board, in part because it was "tainted" as a result of plaintiff's involvement.

The FDA subsequently released an establishment inspection report (EIR) to Downtown Hospital, outlining instances, unrelated to plaintiff's conduct, of procedural noncompliance by the IRB with FDA regulations. The EIR did not expressly discuss whether Downtown Hospital had properly terminated plaintiff's employment and removed her as IRB Chairperson, but noted that the "[i]nspection found certain improprieties documented by the hospital's management resulting in the removal of Dr. Stega."

Friedman's statements about plaintiff were published in the EIR, as follows:

"On May 22, 2012 a discussion with Dr. Steven Friedman was held at which time he discussed the reasons for the removal of Dr. J[e]anetta Stega from her positions at New York Downtown Hospital and the IRB. According to Dr. Friedman, Dr. Stega created the Stega Research Group using her home address. Funds for study LF 11-11 (Dr. Leonard Farber, [Principal Investigator]) from the sponsor [were] channeled to this group. Further Dr. Farber did not want to enter a prostate cancer patient onto

this lung cancer protocol when Dr. Stega requested him to do so. Dr. Farber reportedly stated that the IRB would not approve this patient and Dr. Stega reportedly stated that she is the IRB and wanted the patient entered. . . .

“Dr. Stega was subsequently fired. Dr. Friedman felt that the IRB and their approvals were tainted and therefore the hospital removed Dr. Stega and . . . any members that had direct contact with Dr. Stega. This is one of the reasons Dr. Friedman wants to disband the IRB.”

After the EIR came to her attention, plaintiff commenced this defamation action against Downtown Hospital, Friedman, Menkes, Farber, and others. Plaintiff asserts that her professional reputation has been significantly damaged by the publication of false, defamatory statements about her made by Friedman to the FDA inspectors, insofar as they undermine her standing with the FDA and her livelihood as a research scientist.

In lieu of an answer, the defendants moved to dismiss the complaint under CPLR 3211 (a) (7). As relevant here, defendants Downtown Hospital and Friedman contended that Friedman’s statements are protected by an absolute privilege, and, in the alternative, that the complaint should be dismissed because the statements are either true on the face of the complaint or, in the instance of the remark that the IRB was “tainted,” an expression of pure opinion.

Although Supreme Court granted the defendants’ motion to dismiss in other respects, the court allowed plaintiff’s defamation claim against Downtown Hospital and Friedman to survive, and severed the defamation claim against those defendants. Supreme Court reasoned that the statements at issue were not shielded by an absolute privilege, because the FDA’s investigation had none of the indicia of a quasi-judicial proceeding, and in particular lacked safeguards such as an adversarial procedure or a determination subject to review. Plaintiff was not a “participant[] in the investigation, which was not an adversarial process; nor could [she] challenge the statements made about [her]. That it was an official governmental investigation conducted by a regulatory agency does not by itself make it a quasi-judicial function” (2014 NY Slip Op 32409[U], *18 [Sup Ct, NY County 2014]). As to whether the

statements were instead subject to a qualified or conditional privilege, Supreme Court declared that issue “premature on a motion to dismiss” (*id.* at *19).

Supreme Court further rejected the defendants’ contentions about the content of Friedman’s statements. The court ruled that Friedman’s “statement that Stega ‘channeled’ money is not, at this stage, demonstrably true” (*id.* at *22). With respect to Friedman’s remark that the IRB was tainted while plaintiff was its chair, Supreme Court concluded that the statement “would lead the average person to believe that the statement was proffered for its accuracy as a matter of fact, and had a readily understood meaning and can be shown to be true or false” (*id.* at *23-24 [internal quotation marks, citations, and square brackets omitted]).

Defendants Downtown Hospital and Friedman appealed from Supreme Court’s order, insofar as it denied their motion to dismiss plaintiff’s defamation cause of action against them. Plaintiff did not appeal.

The Appellate Division reversed Supreme Court’s order, to the extent appealed from, granted defendants’ motion, and directed the entry of judgment dismissing the complaint against them. The Appellate Division held that “the complained-of statements were made in a quasi-judicial context in which an absolute privilege protects them” (148 AD3d 21, 25 [1st Dept 2017]). The Court, citing our recent opinion in *Rosenberg* (8 NY3d 359), reasoned that the FDA’s “procedures . . . , which include the possibilities of an adversarial regulatory hearing before the FDA (*see* 21 CFR 56.121 [a]) and subsequent judicial review (*see* 21 CFR 10.45), qualify as a quasi-judicial process by an administrative agency” (148 AD3d at 28).

A single Justice dissented, principally on the basis of this Court’s decision in *Toker v Pollak* (44 NY2d 211 [1978]). The dissenting Justice would have held that the absolute privilege does not apply because “regardless of the nature of the FDA’s proceeding, it would not be adversarial to Stega and would not provide a forum for her to challenge the alleged defamatory statements” (148 AD3d 21, 35 [Kapnick, J., dissenting]). The dissent also discussed defendants’ alternative challenges to the defamation suit (which the majority had no need to reach), reasoning that the alleged defamatory statements were neither true on the basis of the complaint nor protected expression of opinion (*see id.* at 36 [Kapnick, J., dissenting]).

The Appellate Division granted plaintiff leave to appeal, certifying the question whether its order was properly made (2017 NY Slip Op 69650[U] [1st Dept 2017]). We now reverse and answer the certified question in the negative.

The first issue is whether Friedman’s statements, as published in the EIR, are protected by absolute privilege. We hold that they are not.

The broad principles of immunity in defamation law are well established.² “Courts have long recognized that the public interest is served by shielding certain communications, though possibly defamatory, from litigation, rather than risk stifling them altogether” (*Liberman v Gelstein*, 80 NY2d 429, 437 [1992]). In particular, “[b]ecause the . . . social benefit in encouraging free speech or the discharge of governmental responsibility sometimes outweighs the individual’s underlying right to a good reputation, the individual’s right may have to yield to a privilege granted the speaker barring recovery of damages for the defamatory statements” (*Park Knoll Assoc. v Schmidt*, 59 NY2d 205, 208 [1983]).

Absolute privilege, which entirely immunizes an individual from liability in a defamation action, regardless of the declarant’s motives, is generally reserved for communications made by “individuals participating in a public function, such as judicial, legislative, or executive proceedings. The absolute protection afforded such individuals is designed to ensure that their own personal interests—especially fear of a civil action, whether successful or otherwise—do not have an adverse impact upon the discharge of their public function” (*Toker*, 44 NY2d at 219 [citations omitted]; see also *Rosenberg*, 8 NY3d at 365). Thus, for example, statements uttered in the course of a judicial proceeding are absolutely privileged, “as long as such statements are material and pertinent to the questions involved” in the proceeding (*Wiener v Weintraub*, 22 NY2d 330, 331 [1968] [internal quotation marks omitted], quoting *Marsh v Ellsworth*, 50 NY 309, 311 [1872]).

On the other hand, a statement is subject to a qualified privilege when it “is fairly made by a person in the discharge of

2. Although the allegedly defamatory statements were made to a federal investigator, the parties have assumed that New York, not federal, law governs the appropriate level of immunity to be afforded to Friedman. We accept, without deciding, the premise agreed to by the parties.

some public or private duty, legal or moral, or in the conduct of his own affairs, in a matter where his [or her] interest is concerned” (*Toker*, 44 NY2d at 219). When subject to this form of conditional privilege, statements are protected if they were not made with “spite or ill will” or “reckless disregard of whether [they were] false or not” (*Lieberman*, 80 NY2d at 437-438), i.e., malice. A qualified privilege “places the burden of proof on this issue [of malice] upon the plaintiff” (*Toker*, 44 NY2d at 219).

Whether allegedly defamatory statements are subject to an absolute or a qualified privilege “depend[s] on the occasion and the position or status of the speaker” (*Park Knoll Assoc.*, 59 NY2d at 208-209), a complex assessment that must take into account the specific character of the proceeding in which the communication is made. We have reiterated that “[a]s a matter of policy, the courts confine absolute privilege to a very few situations” (*Front, Inc. v Khalil*, 24 NY3d 713, 719 [2015], quoting *Park Knoll Assoc.*, 59 NY2d at 210; see also *Stukuls v State of New York*, 42 NY2d 272, 278 [1977]). Those limits are the subject of the primary dispute before us today.

In *Toker* (44 NY2d 211), this Court explained that “absolute immunity applies only to a proceeding in court or one before an officer having attributes similar to a court” (*Toker*, 44 NY2d at 219 [internal quotation marks omitted]). By way of contrasting examples, we observed that “witnesses testifying before a Grand Jury are protected by an absolute immunity,” just as they would if giving testimony in court, whereas “a communication made by an individual to a law enforcement officer” is subject to a qualified privilege, not absolute immunity (*Toker*, 44 NY2d at 219-220). Reference was made to *Wiener v Weintraub* (22 NY2d 330 [1968]), in which a complaint made to a bar association grievance committee was held to be protected by absolute privilege. The *Toker* Court then analyzed the attributes of proceedings in which administrative bodies have exercised a function sufficiently like that of a court: “In each of these proceedings, . . . the administrative body exercised a quasi-judicial function. A hearing was held at which *both parties were entitled to participate*. The administrative body was empowered, based upon its findings, to take remedial action, whether it be an award of compensation, disbarment, or rev-

ocation of a license” (*Toker*, 44 NY2d at 222 [emphasis added]).³

Toker held that absolute privilege did not apply to statements made to the Department of Investigation of the City of New York, a law enforcement agency that investigated City employees, because “no quasi-judicial hearing at which plaintiff . . . was permitted to challenge defendant[’s] . . . allegations was ever held,” and the agency conducting the investigation was not “empowered . . . to grant any tangible form of relief reviewable on appeal in the courts. In sum, the proceeding . . . lacked all of the safeguards traditionally associated with a quasi-judicial proceeding” (*Toker*, 44 NY2d at 222). As the Court expressed the central principle underlying its ruling, “[t]o clothe with absolute immunity communications . . . [that] because of the absence of a hearing may often go unheard of, let alone challenged, by their subject—would provide an unchecked vehicle for silent but effective character assassination” (*id.*).

The significance of *Toker* is that, for absolute immunity to apply in a quasi-judicial context, the process must make available a mechanism for the party alleging defamation to challenge the allegedly false and defamatory statements. Of course, a judicial proceeding, in which absolute privilege applies, will not in itself give a defamed individual the opportunity to challenge sworn testimony if the individual is not a party to the proceeding. Yet any “character assassination” that occurs in a judicial proceeding is at least in principle subject to charges of perjury. *Toker* ensures that the expansion of the scope of absolute privilege, from testimony at judicial proceedings to the wide range of statements made to administrative agencies, is kept within narrow bounds: the privilege extends only if procedural safeguards enable the defamed party to contest what is said against her.

Our subsequent cases have not departed from these principles. Defendants rely primarily on *Rosenberg* (8 NY3d 359), where this Court held that absolute privilege applies to statements made by an employer about a terminated employee on a U-5 Form submitted to the National Association of Securities Dealers (NASD), even though the challenged statements oc-

3. In a grievance committee proceeding, the individual accused of wrongdoing has a right to request, and appear at, a hearing to contest the allegations (*see* Judiciary Law § 90 [4] [h]).

curred in the preliminary stage of an administrative investigation.⁴ It is true that *Rosenberg* laid out certain rationales for its holding that have analogs in the case before us. The FDA is the government agency with authority to regulate IRBs (see 21 CFR 56.101 [a]), just as the NASD “is the primary regulator of the broker-dealer industry” (*Rosenberg*, 8 NY3d at 366). The interview of Friedman was a crucial preliminary step in the investigation of the IRB, just as the U-5 Form plays that part “in the NASD’s quasi-judicial process” (*id.* at 367). Moreover, it is in the public interest to encourage the full disclosure of noncompliance by those charged with reviewing clinical studies involving human subjects and complete candor on the part of those whom the FDA is interviewing, and that principle resembles the point that candid responses on the NASD’s forms ultimately benefit “the general investing public, which faces the potential for substantial harm if exposed to unethical brokers” (*id.* at 368). Significantly, however, the *Rosenberg* Court specifically noted that NASD’s disciplinary hearings gave a terminated broker an opportunity to defend himself or herself against charges of misconduct “before a NASD hearing panel” (*id.* at 367), and observed in particular that “NASD disciplinary determinations are subject to SEC and judicial review” (*id.*). Further, the Court observed that NASD rules also provide for arbitration proceedings in which a terminated employee can seek expungement of the allegedly defamatory statements from the U-5 Form (see *id.* at 368). Indeed, these points were the subject of dispute between the majority in *Rosenberg* and the dissent, which took issue with whether *Rosenberg* really had “an opportunity to challenge the statements made on his Form U-5” (*id.* at 369 [Pigott, J., dissenting]). We are not persuaded that the *Rosenberg* Court departed from *Toker*’s principles.

[1] Was plaintiff entitled to participate, by way of a hearing or otherwise, in the FDA’s review of the IRB and thereby challenge the accusations against her made by Friedman? On this point, there is little disagreement. She was not. Plaintiff insists that she did not receive notice of any stage in the FDA’s investigation of the IRB. Nothing in the FDA regulations gives

4. “Upon termination of a registered representative, the NASD requires member firms to complete and file with the NASD a Uniform Termination Notice for Securities Industry Registration (Form U-5) within 30 days of dismissal and to provide a copy of the form to the employee” (*Rosenberg*, 8 NY3d at 362).

a third party, even one “with a direct interest” (21 CFR 56.120 [c]; 56.121 [c]) in the matter, the right to notice of an FDA report concerning IRB noncompliance (*see* 21 CFR 56.120 [a]) or the right to attend a “regulatory hearing” at which the IRB, as the subject of the investigation, would challenge disqualification by the FDA (21 CFR 56.121 [a]). Moreover, while the regulatory scheme provides for judicial review (*see* 21 CFR 10.45), defendants do not dispute plaintiff’s contention that she lacks standing to seek such review of the EIR, because the proceeding was not adversarial to her. Nor do defendants allege any alternative avenues available to plaintiff to contest, before the FDA, the alleged harm to her reputation. For these reasons, *Rosenberg* is distinguishable.

Defendants suggest that the FDA inspection process nevertheless qualifies as quasi-judicial simply because the *IRB* would have the right to appear at any hearing in which it contested the allegations against it. More specifically, defendants question whether *Toker* stands for the proposition that a name-clearing opportunity on the part of the party claiming defamation is a prerequisite for the absolute privilege to apply. They assert that the only proposition adhered to by this Court is that the proceeding must contain the possibility of an adversarial hearing, even if not necessarily a hearing at which the party alleging defamation could challenge the statements in question. This theory, however, flies in the face of the policy rationale for insisting on an adversarial procedure, namely to prevent the absolute privilege from shielding statements published in a setting in which the defamed party may never know of the statements and, even if he or she did, would have no way to rebut them (*see Toker*, 44 NY2d at 222).

Defendants further insist that a qualified privilege would not be sufficient to foster the level of candor needed in the context in which the FDA is investigating IRBs, because of the fear of potential litigation, in which a speaker, as defendants see it, would be obliged to prove lack of malice. However, it is the defamation plaintiff who “would have the burden of showing that a statement is actionable because it was motivated by malice” (*Rosenberg*, 8 NY3d at 370; *see Toker*, 44 NY2d at 219), in order to negate the privilege. The defendant whose communications are subject to a qualified privilege would have no burden of showing lack of malice.

Naturally, a defamation defendant will be subject to discovery. Nevertheless, we do not believe that the imposition of

qualified, rather than absolute, immunity would chill effective investigation of IRBs by the FDA.

“The protection afforded by a qualified privilege should not be cavalierly dismissed as inadequate. On the contrary, while not providing an absolute cloak of protection, a qualified privilege does provide an atmosphere in which a civic-minded citizen may, without fear, convey information . . . to the benefit of the public. Only those who act out of malice, rather than public interest, need hesitate before speaking” (*Toker*, 44 NY2d at 221).

That protection is adequate to encourage candor in the context before us here. Additionally, while defendants are, of course, correct that the interest in protecting human subjects in clinical trials through FDA regulation is an especially compelling one, since human lives are at stake, we believe that ensuring that hospital employees are accurate and truthful about the character and professional standing of their colleagues is an important element in the protection of human subjects. There is, of course, no inherent conflict between being candid and being accurate.

[2] In the alternative, defendants argue that Friedman’s statement that plaintiff had “channeled” Luminant’s funds to the “Stega Research Group” is not a false, defamatory statement because plaintiff’s complaint reveals that it is true. Certainly, the falsity of an allegedly defamatory statement is an element of any defamation claim, but on a pre-answer motion to dismiss a defendant will prevail on this ground only if the statement’s truth may be established from the complaint alone. While defendants point out that plaintiff’s complaint states that she “deposited” the money in the Stega Research Group account, this does not have the same meaning as the communication that plaintiff “channeled” funds. This statement, in context, “connote[s] that Stega misappropriated funds” (148 AD3d at 36 [Kapnick, J., dissenting]) or, at the very least, that she transferred funds in a clandestine manner.

We also reject defendants’ contention on this motion to dismiss that Friedman’s statement that the IRB was “tainted” was a pure expression of opinion. Although “[a]n expression of pure opinion is not actionable,” a “statement of opinion [that] implies that it is based upon facts which justify the opinion but are unknown to those reading or hearing it, . . . is a ‘mixed opinion’ and is actionable” (*Steinhilber v Alphonse*, 68 NY2d

283, 289 [1986]). Here, Friedman’s “words carried authority when speaking about the IRB, and the context suggests to the average reader that his statements were based on facts” undisclosed to the reader (148 AD3d at 36 [Kapnick, J., dissenting], citing *Davis v Boenheim*, 24 NY3d 262, 273 [2014]).

Finally, we note that on appeal defendants do not contest the falsity or the defamatory nature of Friedman’s statement that plaintiff requested the addition of a patient with prostate cancer to the Luminant study and then told Farber “I am the IRB and I want the patient entered.”

Accordingly, the order of the Appellate Division should be reversed, with costs, the CPLR 3211 motion of defendants New York Downtown Hospital and Stephen G. Friedman, M.D., insofar as it sought to dismiss the defamation claim as against them, denied, and the certified question answered in the negative.

RIVERA, J. (dissenting). The majority concludes that whether an absolute privilege applies to a communication made in the course of a quasi-judicial proceeding depends on the status of the subject of the communication, rather than the forum or circumstances in which the challenged communication is made. That rule has no support in this Court’s prior decisions and undermines the public policy of encouraging greater openness in communications with government officials. Therefore, I dissent.

“Public policy mandates that certain communications, although defamatory, cannot serve as the basis for the imposition of liability in a defamation action” (*Toker v Pollak*, 44 NY2d 211, 218 [1978]). As such, the Court has recognized an absolute privilege for alleged defamatory “communications made by individuals participating in a public function, such as executive, legislative, judicial or quasi-judicial proceedings” (*Rosenberg v MetLife, Inc.*, 8 NY3d 359, 365 [2007]). This privilege “extend[s] to preliminary or investigative stages of the process” (*id.*, citing *Wiener v Weintraub*, 22 NY2d 330, 331 [1968]).

The justification for an absolute privilege in these circumstances is well known. Cloaking these communications with absolute immunity furthers the public interest in effective government by encouraging individuals to properly discharge their public function and speak candidly about matters within their knowledge without fear of even an unsuccessful civil ac-

tion (see *Toker*, 44 NY2d at 219). The speaker's immunity, then, is best understood as a doctrinal means to a policy-based end because the absolute privilege is "for the benefit of the public, to promote the administration of justice, and only incidentally for the protection of the participants" (*Park Knoll Assoc. v Schmidt*, 59 NY2d 205, 209 [1983]).

Consequently, and contrary to the majority's view, the absolute privilege applied to communications made in the course of the discharge of a public function does not depend on whether the subject of the communication, i.e. the party allegedly defamed, is also the subject of an administrative proceeding or investigation. The status of the person being discussed is irrelevant; "[a]bsolute privilege is based upon the personal position or status of the speaker" (*id.* [emphasis added]). What matters is not the target of the communication, but whether the communication was made during the course of the speaker's participation in a public function. Here, it is undisputed that the speaker was participating in a Food and Drug Administration investigation—the preliminary stage of a potential quasi-judicial proceeding.

We have never required that the subject of a communication be a participant in the proceeding, much less that the subject have an opportunity to challenge the alleged defamatory statement within the confines of that very proceeding. Such a rule would lead to uneven application—affording protection to some individuals but not others, and cloaking communications depending on the target of the speech and not its content—and inject uncertainty about the availability of absolute immunity for those participating in these types of proceedings. The majority's rule thus undermines what the Court has identified as the animating public policy for adopting an absolute privilege in quasi-judicial proceedings (see *Rosenberg*, 8 NY3d at 365, citing *Toker*, 44 NY2d at 219).

Neither *Rosenberg* nor *Toker* stand for the proposition adopted by the majority here (majority op at 664). The majority places unwarranted emphasis on dicta in *Rosenberg* that employees allegedly defamed by statements set forth in a Form U-5—an employee termination notice required by the National Association of Securities Dealers stating the reasons the employer terminated the employee—could commence an arbitration proceeding or a separate judicial action to expunge the alleged defamatory language (majority op at 672). Without any reference, or reliance on whether the employees had some

recourse within the administrative hearing, the *Rosenberg* Court held,

“[t]he Form U-5’s compulsory nature and its role in the NASD’s quasi-judicial process, together with the protection of public interests, lead us to conclude that statements made by an employer on the form should be subject to an absolute privilege. Analogously, close to 40 years ago in *Wiener* we determined that complaints involving attorneys should be accorded an absolute privilege because of ‘the necessity of maintaining the high standards of our bar’ (*Wiener*, 22 NY2d at 332). The regulation of registered brokers in the securities industry is of no less importance” (8 NY3d at 368).

Having reached its conclusion that absolute immunity applies in the context of an employer’s statement on a Form U-5, the *Rosenberg* majority then sought to correct the dissent, which asserted that a Form U-5 is not intended to be part of a court proceeding and does not usually result in regulatory action (*see id.* at 369 [Pigott, J., dissenting]). In doing so, the majority was not setting forth an element necessary to its determination that “the compulsory Form U-5 can be viewed as a preliminary or first step in the [National Association of Securities Dealers’] quasi-judicial process” (*id.* at 367). Instead, the majority’s response was a factual aside and not an essential part of its holding.

The Court in *Toker* also focused on the scope of the proceeding, which it deemed “critical” to its absolute immunity determination, and not on the subject of the alleged defamatory statements (*see Toker*, 44 NY2d at 220-221). To the extent the majority here reads that case to require the opportunity to challenge the alleged defamatory statements in the administrative proceeding, its approach requires that we overrule *Rosenberg* when there is nothing to suggest that “an extraordinary combination of factors undermines the reasoning and practical viability of our prior decision” (*Matter of Brooke S.B. v Elizabeth A.C.C.*, 28 NY3d 1, 23 [2016]).

Even if I accepted the majority’s gloss on these cases, I would not agree with its conclusion that the opportunity to challenge alleged defamatory statements must be afforded in an administrative hearing during which the statements are made or considered (majority op at 672). That rule contradicts language in *Rosenberg* that mentions remedies for defamed employees

that are not part of the administrative hearing: specifically a separate arbitration proceeding or a court action.

Applying our precedent to the instant appeal, the communications made to the Institutional Review Board about plaintiff Stega are absolutely privileged. As the Appellate Division explained, “[i]t is not germane that it is Stega who is asserting the defamation claim; the statements given to the investigator are subject to an absolute privilege, period” (*Stega v New York Downtown Hosp.*, 148 AD3d 21, 29 [1st Dept 2017]). If absolute immunity applies to a Form U-5, which impacts an employee’s future employment and the public’s financial investments, a fortiori it applies to statements made to a federal investigation regarding clinical trials involving human subjects and treatment of life-threatening conditions.

Judges STEIN, WILSON and FEINMAN concur; Judge RIVERA dissents in an opinion in which Judge GARCIA concurs; Chief Judge DiFIORE taking no part.

Order reversed, with costs, the CPLR 3211 motion of defendants New York Downtown Hospital and Stephen G. Friedman, M.D., insofar as it sought to dismiss the defamation claim as against them, denied, and certified question answered in the negative.

[107 NE3d 1258, 82 NYS3d 788]

In the Matter of BROOKFORD, LLC, Appellant, v NEW YORK
STATE DIVISION OF HOUSING AND COMMUNITY RENEWAL et
al., Respondents.

Argued May 2, 2018; decided June 14, 2018

SUMMARY

APPEAL, by permission of the Appellate Division of the Supreme Court in the First Judicial Department, from an order of that Court, entered August 4, 2016. The Appellate Division affirmed a judgment of the Supreme Court, New York County (Joan B. Lobis, J.), entered in a proceeding pursuant to CPLR article 78, which had (1) denied the petition seeking to annul an order of respondent New York State Division of Housing and Community Renewal affirming, as modified, an order issued by a rent administrator denying petitioner's application to deregulate a rent-controlled apartment; and (2) dismissed the proceeding. The following question was certified by the Appellate Division: "Was the order of Supreme Court, as affirmed by this Court, properly made?"

Matter of Brookford, LLC v New York State Div. of Hous. & Community Renewal, 142 AD3d 433, affirmed.

HEADNOTE

Landlord and Tenant — Rent Regulation — High Income Deregulation — Apportionment of Income on Joint Tax Return

In a proceeding arising from respondent New York State Division of Housing and Community Renewal's (DHCR) denial of petitioner building owner's application to deregulate a rent-controlled apartment occupied by respondent individual, whose husband had permanently moved out of the apartment and into a nursing home more than a year before petitioner served an income verification form, DHCR rationally determined that income reported on a joint tax return filed on behalf of the individual occupant and her non-occupant husband could be apportioned to determine the occupant's individual annual income for purposes of ascertaining if the deregulation income threshold had been met. The Rent Regulation Reform Act of 1993 provides a procedure by which owners can seek deregulation of rent-controlled housing accommodations when, among other things, the total annual income exceeds a certain amount (Administrative Code of City of NY § 26-403.1). Section 26-403.1 (a) (1) provides that "[t]otal annual income means the sum of the annual incomes of all persons who occupy the housing accommodation as their primary residence other than on a temporary basis." To interpret the provision as not allowing apportionment of the individual occupant's income because a joint tax return results in joint tax liability would mean that total annual income may include those persons who do not occupy the housing accommodation as their primary residence, thereby impermissibly nullifying

one part of the statute. Moreover, a memorandum of understanding between DHCR and the Department of Taxation and Finance sets forth a procedure allowing a resident of a rent-regulated housing accommodation who files a joint state personal income tax return with a spouse who does not live in the housing accommodation to segregate items of federal adjusted gross income so those amounts will not be included in the income determination.

RESEARCH REFERENCES

By the Publisher's Editorial Staff

AM JUR 2d Landlord and Tenant § 880.
 DOLAN, RASCH'S NEW YORK LANDLORD AND TENANT INCLUDING SUMMARY PROCEEDINGS (5th ed) § 2:41.
 MCKINNEY'S, Tax Law § 171-b (3) (b).
 NY JUR 2d Landlord and Tenant §§ 662–664, 666.

ANNOTATION REFERENCE

See ALR Index under Landlord and Tenant; Rent.

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POINTS OF COUNSEL

Davis Wright Tremaine LLP, New York City (*Victor A. Kovner* of counsel), *Duane Morris LLP*, New York City (*Thomas R. Newman* of counsel), *Rosenberg & Estis, P.C.*, New York City (*Jeffrey Turkel* of counsel), and *Law Offices of Carol M. Luttati*, New York City (*Carol M. Luttati* of counsel), for appellant. I. Because the perceived conflicts within Rent Control Law (Administrative Code of City of NY) § 26-403.1 do not exist, there is no need to apportion tenant's income. (*Matter of Sun Beach Real Estate Dev. Corp. v Anderson*, 98 AD2d 367, 62 NY2d 965; *Matter of Burger King v State Tax Commn.*, 51 NY2d 614; *Matter of Dutchess County Dept. of Social Servs. v Day*, 96 NY2d 149; *Rangolan v County of Nassau*, 96 NY2d 42; *Artibee v Home Place Corp.*, 28 NY3d 739; *Matter of Foley v Bratton*, 92 NY2d 781; *People v Duggins*, 3 NY3d 522; *Matter of Moran Towing & Transp. Co. v New York State Tax Commn.*, 72 NY2d 166; *Helvering v Janney*, 311 US 189; *Taft v Helvering*, 311 US 195.) II. If this Court finds the statutory provisions to be in conflict, it should resolve that conflict against apportionment. (*Matter of Goodman [Barnard Coll.—Commissioner of Labor]*, 95 NY2d 15; *Matter of Cintron v Calogero*, 15 NY3d 347; *Mat-*

ter of Perosi v LiGreci, 98 AD3d 230; *Pataki v Kiseda*, 80 AD2d 100, 54 NY2d 606; *Matter of Nestor v New York State Div. of Hous. & Community Renewal*, 257 AD2d 395, 93 NY2d 982; *Matter of Leepson v Holland*, 171 Misc 2d 84; *Matter of Ferrara [Catherwood]*, 10 NY2d 1; *Matter of Giffuni Bros. v New York State Div. of Hous. & Community Renewal*, 293 AD2d 402, 99 NY2d 505; *Matter of Classic Realty v New York State Div. of Hous. & Community Renewal*, 309 AD2d 205, 2 NY3d 142; *Katz 737 Corp. v Cohen*, 104 AD3d 144, 21 NY3d 864.) III. The Division of Housing and Community Renewal's memorandum of understanding is contrary to the statute and legislative intent and leads to absurd results. (*Matter of Moran Towing & Transp. Co. v New York State Tax Commn.*, 72 NY2d 166; *Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303; *Matter of Jones v Berman*, 37 NY2d 42; *Matter of Schumer v Holtzman*, 60 NY2d 46; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Weber v Town of Cheektowaga*, 284 NY 377; *Matter of Lacher v New York State Div. of Hous. & Community Renewal*, 25 AD3d 415.)

Sandra A. Joseph and Mark F. Palomino, New York City, for New York State Division of Housing and Community Renewal, respondent. I. In harmony with the legislative intent the statutory definition of total annual income in Rent Control Law (Administrative Code of City of NY) § 26-403.1 is the sum of the annual income of all persons who occupy the housing accommodation as their primary residence. (*Matter of 315 E. 72nd St. Owners, Inc. v New York State Div. of Hous. & Community Renewal*, 101 AD3d 647; *Matter of 103 E. 86th St. Realty Corp. v New York State Div. of Hous. & Community Renewal*, 12 AD3d 289; *Matter of A.J. Clarke Real Estate Corp. v New York State Div. of Hous. & Community Renewal*, 307 AD2d 841; *Classic Residences v New York State Div. of Hous. & Community Renewal*, 212 AD2d 418; *Matter of Nestor v New York State Div. of Hous. & Community Renewal*, 257 AD2d 395; *Angelo v 4 Angelo*, 74 AD2d 327; *Matter of Classic Realty v New York State Div. of Hous. & Community Renewal*, 309 AD2d 205; *Matter of Giffuni Bros. v New York State Div. of Hous. & Community Renewal*, 293 AD2d 402; *Matter of Murphy v New York State Div. of Hous. & Community Renewal*, 21 NY3d 649; *Matter of Schorr v New York City Dept. of Hous. Preserv. & Dev.*, 10 NY3d 776.) II. Tax Law § 171-b authorized and directed the Department of Taxation and Finance and the Divi-

sion of Housing and Community Renewal to enter into an agreement to verify income of tenants residing in housing accommodation subject to rent regulation. (*Samuelson v New York City Tr. Auth.*, 101 AD3d 537; *Matter of Schumer v Holtzman*, 60 NY2d 46; *Matter of Peckham v Calogero*, 12 NY3d 424; *Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144; *Matter of Charles Q. v Constantine*, 85 NY2d 571.) III. The Supreme Court properly found that the Division of Housing and Community Renewal's order had a rational basis. (*Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Peckham v Calogero*, 12 NY3d 424; *Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144; *Matter of Howard v Wyman*, 28 NY2d 434.)

Law Offices of Sokolski & Zekaria, P.C., New York City (*Robert E. Sokolski* of counsel), for Margaret Schuette Friedman, respondent. I. The Division of Housing and Community Renewal properly applied the luxury decontrol provisions. (*Matter of A.J. Clarke Real Estate Corp. v New York State Div. of Hous. & Community Renewal*, 307 AD2d 841; *Matter of 103 E. 86th St. Realty Corp. v New York State Div. of Hous. & Community Renewal*, 12 AD3d 289; *Matter of 315 E. 72nd St. Owners, Inc. v New York State Div. of Hous. & Community Renewal*, 101 AD3d 647; *Matter of Chatsworth Realty Corp. v New York State Div. of Hous. & Community Renewal*, 56 AD3d 371; *Matter of Doyle v Calogero*, 52 AD3d 252; *Matter of Power v New York State Div. of Hous. & Community Renewal*, 61 AD3d 544; 65 *Cent. Park W. v Greenwald*, 127 Misc 2d 547; *Matter of L.M.J. Venture No. 1 v Joy*, 105 Misc 2d 291; *Matter of Pell v Board of Educ. of Union Free School Dist. No. 1 of Towns of Scarsdale & Mamaroneck, Westchester County*, 34 NY2d 222; *Matter of Purdy v Kreisberg*, 47 NY2d 354.) II. The Division of Housing and Community Renewal had the authority and responsibility to exclude the income of the tenant's nonresident husband in accordance with the allocation of income provided by the tenant.

Horing Welikson & Rosen, P.C., Williston Park, for Rent Stabilization Association of N.Y.C., Inc. and another, amici curiae. I. The Division of Housing and Community Renewal exceeded its authority in violating its own rules in order to find the income of an individual who filed a joint tax return was insufficient for luxury deregulation purposes. (*Matter of Gil-*

man v New York State Div. of Hous. & Community Renewal, 99 NY2d 144; *Matter of Frick v Bahou*, 56 NY2d 777; *Matter of Giffuni Bros. v New York State Div. of Hous. & Community Renewal*, 293 AD2d 402; *Matter of 85 E. Parkway Corp. v New York State Div. of Hous. & Community Renewal*, 297 AD2d 675; *Finger Lakes Racing Assn. v New York State Racing & Wagering Bd.*, 45 NY2d 471; *Matter of Campagna v Shaffer*, 73 NY2d 237; *Vink v New York State Div. of Hous. & Community Renewal*, 285 AD2d 203; *Thorgeirsdottir v New York City Loft Bd.*, 161 AD2d 337, 77 NY2d 951; *Matter of Schenkman v Dole*, 148 AD2d 116; *Matter of Tze Chun Liao v New York State Banking Dept.*, 74 NY2d 505.) II. Adherence to statutory language is not only required but results in fair, equitable, and consistent treatment of all who are affected by the statute's mandate. (*Matter of Nestor v New York State Div. of Hous. & Community Renewal*, 257 AD2d 395; *Matter of Ansonia Assoc. L.P. v Unwin*, 130 AD3d 453; *Katz 737 Corp. v Cohen*, 104 AD3d 144; *Prego v City of New York*, 147 AD2d 165; *Matter of Daniel C.*, 99 AD2d 35, 63 NY2d 927; *Noto v Bedford Apts. Co.*, 21 AD3d 762.) III. The Division of Housing and Community Renewal's failure to abide by established procedure whereby income as set forth in a tenant's tax return as verified by the Department of Taxation and Finance is the sole basis for determination of a luxury deregulation application was arbitrary, capricious and erroneous as a matter of law. (*Matter of Terrace Ct., LLC v New York State Div. of Hous. & Community Renewal*, 79 AD3d 630; *Matter of Nestor v New York State Div. of Hous. & Community Renewal*, 257 AD2d 395.)

OPINION OF THE COURT

FEINMAN, J.

The central question on this appeal is whether, pursuant to the Rent Regulation Reform Act of 1993, the New York State Division of Housing and Community Renewal (DHCR) rationally determined that income reported on a joint tax return filed on behalf of an occupant and non-occupant of a housing accommodation may be apportioned to determine the occupant's individual annual income for purposes of ascertaining if the deregulation income threshold has been met. We hold that DHCR's interpretation was rational and does not run counter to the language of the statute. Therefore, we affirm.

Petitioner Brookford, LLC is the owner of the building where respondent Margaret S. Friedman is a tenant of the subject rent-controlled apartment. On April 27, 2006, pursuant to the

New York City Rent Control Law (Administrative Code of City of NY § 26-401 *et seq.* [RCL]), petitioner served tenant and her husband with an Income Certification Form (ICF), to which they did not respond. As a result, petitioner filed a petition with respondent DHCR, to verify whether the total annual income of the occupants of the subject apartment exceeded the deregulation income threshold for the two years preceding the filing of the ICF. Tenant answered, asserting that her husband permanently moved out of the residence and into a nursing home in March 2005, over a year before the ICF was served. Accordingly, tenant apportioned the income reported on the joint tax return filed by her and her husband for the 2004 and 2005 calendar years, and based on that apportionment, listed her total annual income as below the relevant income threshold for both years. DHCR denied owner's petition for deregulation and subsequent petition for administrative review.

Petitioner timely commenced a CPLR article 78 proceeding, arguing, *inter alia*, that DHCR's denial was "arbitrary, capricious[,] and irrational" because according to documents petitioner obtained pursuant to a Freedom of Information Law (Public Officers Law art 6-A) request, tenant and her husband's combined income exceeded the income threshold for the 2004 and 2005 calendar years. Supreme Court affirmed DHCR's order and denied owner's article 78 petition. On appeal to the Appellate Division, DHCR moved for an order of remand. The Appellate Division granted DHCR's motion, and on remand, DHCR again denied the petition for administrative review. Petitioner then commenced the instant article 78 proceeding, challenging DHCR's determination. Supreme Court denied petitioner's challenge and dismissed the proceeding. The Appellate Division affirmed, holding that "DHCR, as per the statute, properly excluded the income of [tenant's] husband from the total annual calculation income for 2004 and 2005" (*Matter of Brookford, LLC v New York State Div. of Hous. & Community Renewal*, 142 AD3d 433, 434 [1st Dept 2016]). The Appellate Division granted petitioner leave to appeal to this Court (2016 NY Slip Op 90144[U] [1st Dept 2016]).

"In reviewing an administrative agency determination, we must ascertain whether there is a rational basis for the action in question or whether it is arbitrary and capricious" (*Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144, 149 [2002]; *see* CPLR 7803 [3]). Where the rationality of an agency's determination is based on the inter-

pretation of a statute, this Court must consider the language of the statute as well as the legislative intent (*see generally Matter of Gilman v New York State Div. of Hous. & Community Renewal*, 99 NY2d 144, 149-150 [2002]; *Matter of SIN, Inc. v Department of Fin. of City of N.Y.*, 71 NY2d 616, 620 [1988]).

The Rent Regulation Reform Act of 1993 (RRRA-93) was passed to create “[a] sound housing policy . . . equitable to both tenants and owners” (*see* Introducer’s Mem in Support, Bill Jacket, L 1993, ch 253 at 10 [emphasis added]). In furtherance of this purpose, RRRA-93 provides a procedure by which owners can seek deregulation of housing accommodations subject to RCL § 26-403.1 (*see* McKinney’s Uncons Laws of NY § 26-403.1 [L 1993, ch 253, § 5, as amended]). For proceedings commenced before July 1, 2011, RCL § 26-403.1 (a) (2) allows for the deregulation of a housing accommodation when, among other things, the “total annual income” exceeds \$175,000 in the two calendar years preceding the filing of an ICF.¹ “Total annual income means the sum of the annual incomes of *all persons who occupy* the housing accommodation as their *primary residence* other than on a temporary basis” (RCL § 26-403.1 [a] [1] [emphasis added]). Annual income is defined as the federal adjusted gross income (AGI) as reported on the New York State income tax return (*see* RCL § 26-403.1 [a] [1]).

Petitioner’s main contention is that because, under federal tax law, a joint tax return results in joint tax liability attributable to both filers (*see* 26 USC § 6013 [d] [3]), under the RCL, tenant’s federal AGI cannot be apportioned and therefore her total annual income exceeds the income threshold. Petitioner offers no sound explanation why federal income tax liability should be outcome determinative of how DHCR interprets and applies the RCL.²

To be sure, RCL § 26-403.1 (a) (1) characterizes annual income as the federal AGI. The statute also provides that total annual income is calculated as the “sum” of the annual incomes of all those “who occupy the housing accommodation as their primary residence” (RCL § 26-403.1 [a] [1]). To read the statute as petitioner and the dissent suggest would mean that total

1. For proceedings commenced on or after July 1, 2011, total annual income must exceed \$200,000 (*see* RCL § 26-403.1 [a] [2]).

2. It bears noting that the IRS recognizes that joint liability may be severed in cases where an individual is no longer a member of the same household as the individual with whom the joint return was filed (*see* 26 USC § 6015 [c] [3] [A] [i] [II]).

annual income may include those persons *who do not occupy* the housing accommodation as their primary residence. “Such a construction, ‘resulting in the nullification of one part of the [statute] by another,’ is impermissible, and violates the rule that all parts of a statute are to be harmonized with each other” (*Rangolan v County of Nassau*, 96 NY2d 42, 48 [2001] [citations omitted], quoting *Matter of Albano v Kirby*, 36 NY2d 526, 530 [1975]; see *Matter of Dutchess County Dept. of Social Servs. v Day*, 96 NY2d 149, 153 [2001]).

Rather, RCL § 26-403.1 anticipates that in order to determine whether total annual income exceeds the deregulation threshold (see RCL § 26-403.1 [c] [1]), DHCR must work cooperatively with the Department of Taxation and Finance (DTF) to “verify the total annual income of *all persons residing in housing accommodations as their primary residence*” (Tax Law § 171-b [3] [b] [emphasis added]). Understanding that in certain instances, this verification process may require a more involved assessment of federal AGI, the legislature, as part of RRA-93, explicitly “authorized and directed [DTF] to enter into an agreement with [DHCR,]” and “to adopt rules and regulations to effect the provisions of this subdivision” (Tax Law § 171-b [3] [a] [L 1993, ch 253, § 10, as amended]). The result was an October 1994 Memorandum of Understanding (MOU) between DHCR and DTF, which set forth a procedure for “when one or more residents of the rent regulated housing accommodation files a joint New York State personal income tax return with a spouse who does not live in the rent regulated housing accommodation.” As the MOU explains, this procedure allows “such individuals to segregate the items of federal [AGI] of the non-resident spouse so those amounts will not be included in the income determination.”

DHCR’s decision to deny petitioner’s application for deregulation was neither arbitrary nor capricious. The process outlined in the 1994 MOU is premised on a rational interpretation of RRA-93. The income of tenant’s husband was properly excluded from the calculation of total annual income because he was not an occupant of the housing accommodation when the ICF was served. Consequently, tenant’s total annual income—as the sole occupant of the housing accommodation—was below the income deregulation threshold.

The dissent misapprehends our analysis (see dissenting op at 691). Our conclusion is simply that the dissent’s construction of the statute effectively nullifies the provision defining total an-

nual income (*see supra* at 685-686). The dissent states that “[a]nnual income” is counted *only* for those using the apartment as a primary residence—it then proceeds to count the income of tenant’s spouse, a nonresident of the housing accommodation (*see* dissenting op at 691 [emphasis added]). The dissent offers no explanation as to how it would resolve this conflict. Instead, it questions the rationality of our analysis by offering a hypothetical situation where a wealthy couple who have multiple residences “manipulate[s] the verification process” so that they can apportion their income and keep their New York City apartment rent-stabilized (*see* dissenting op at 691).

In the present case, there is no question of “manipulation” as petitioner now concedes that tenant’s husband vacated the apartment in 2005 due to illness and died thereafter. Moreover, if the dissent’s concern is fraud, then the owner is not without available remedies. If the low-income spouse falsely claims the housing accommodation as their primary residence, or alternatively, the high-income spouse is living in the housing accommodation without claiming it as their primary residence, the owner may commence a court proceeding to determine residency status (*see e.g. Ascot Realty LLC v Richstone*, 10 AD3d 513, 513 [2004]; *318 E. 93 v Ward*, 276 AD2d 277, 277 [2000]; *Matter of Stahl Assoc. Co. v State Div. of Hous. & Community Renewal, Off. of Rent Admin.*, 148 AD2d 258, 262 [1989]; *Chusid v Wright*, 138 AD2d 291 [1st Dept 1988]). This can result in deregulation and/or the owner recovering possession of the housing accommodation, in addition to monetary and criminal consequences for any fraudulent acts (*see* RCL §§ 26-403.1, 26-412 [e]; 26-413 [a]; *Matter of Stahl Assoc. Co. v State Div. of Hous. & Community Renewal, Off. of Rent Admin.*, 148 AD2d at 268; *Chusid v Wright*, 138 AD2d at 292). It would be neither fair nor equitable to misconstrue the statute to prevent a narrow set of circumstances that has adequate deterrents.

Finally, to the extent petitioner and the dissent contend that DHCR was prohibited from requiring tenant to provide confidential tax documents, we need not reach the issue in the instant matter as tenant voluntarily provided said documents.

The order of the Appellate Division should be affirmed, with costs, and the certified question not answered as unnecessary.

GARCIA, J. (dissenting). The Rent Regulation Reform Act (RRRA) of 1993 provides for deregulation of luxury apartments otherwise subject to New York City’s Rent Control Law. Relief

under this “high income rent deregulation” statute is, as might be expected, based on “annual income” (Rent Control Law [Administrative Code of City of NY] § 26-403.1 [a] [1]). The first sentence of the statute defines the term: “[f]or purposes of this section, annual income *shall mean* the federal adjusted gross income as reported on the New York state income tax return” (*id.* [emphasis added]). “Total annual income” is then defined as “the sum of the *annual incomes* of all persons who occupy the housing accommodation as their primary residence” (*id.* [emphasis added]). Rather than use the definition of “annual income” provided in the first sentence of the statute, the majority upholds respondent New York State Division of Housing and Community Renewal’s (DHCR) “determination” that “total annual income” means *that portion* of annual income the agency attributed to the person occupying the rent-controlled apartment (*see* majority op at 683). That is not what the law says. Accordingly, I dissent.

I.

In 1993, the New York State Legislature “found that the current system of rent regulation was not equitable to either tenants or owners because the system in place disproportionately benefitted ‘high income tenants’ whose rent should not be subsidized” (*Roberts v Tishman Speyer Props., L.P.*, 62 AD3d 71, 77 [1st Dept 2009]). The legislature therefore enacted the RRRA, which provided for the deregulation of certain high-rent or luxury apartments (*see* L 1993, ch 253, § 6).

As amended by the RRRA, the New York City Rent Stabilization Law and the Rent Control Law promulgate two procedures for luxury deregulation. The first procedure—not at issue here—allows for deregulation where “the tenant vacates the apartment and the legal rent, plus vacancy increase allowances and increases permitted for landlord improvements, is \$2,000 or more” (*Roberts*, 62 AD3d at 78; *see* Rent Stabilization Law [Administrative Code of City of NY] § 26-504.2 [a]; *Altman v 285 W. Fourth LLC*, 31 NY3d 178 [2018]). The second procedure allows for deregulation if the monthly rent exceeds \$2,000 and the total annual income of the occupants of the housing accommodation exceeds \$175,000 in each of the two years immediately preceding the year in which the landlord files a petition seeking deregulation (*see* Rent Control Law

§ 26-403.1 [a]-[b]).¹ The law defines the key term “annual income” as set out above.

The owner of the apartment building may serve the tenant with an income certification form on which the tenant must “certify whether the total annual income is in excess of the deregulation income threshold in each of the two preceding calendar years” (*id.* § 26-403.1 [b]). If the tenant either fails to return the completed certification or certifies that his or her income was below the statutory threshold, the owner may contest that certification and ask DHCR to verify the tenant’s income. DHCR then sends the names of the persons listed on the income certification form to the Department of Taxation and Finance (DTF) to verify the household’s total annual income as reported on the relevant tax forms. To protect the privacy rights of tenants, DTF is only authorized to determine whether the income falls within the statutory threshold (*see id.* § 26-403.1 [c] [1]; Tax Law § 171-b [3] [b]).

Pursuant to this procedure, in April 2006, petitioner Brookford, LLC sought to deregulate respondent Margaret Friedman’s rent-controlled apartment on Central Park West. Respondent DHCR denied the application, however, after allowing respondent Friedman to apportion her and her husband’s annual income listed on their joint tax returns in 2004 and 2005. DHCR permitted the apportionment on the theory that respondent’s husband no longer occupied the apartment after he moved to an assisted-living facility in March 2005. Although the couple’s total annual income exceeded the statutory threshold of \$175,000, the percentage of the income the agency attributed to respondent fell below that threshold. The majority finds this approach “rational” (majority op at 683).

II.

The majority asserts that “[w]here the rationality of an agency’s determination is based on the interpretation of a statute, this Court must consider the language of the statute as well as the legislative intent” (majority op at 684-685). But our obligation is not to “consider” the statutory language as a factor in assessing “rationality,” but to determine whether respondent’s apportionment is consistent with the plain language and

1. For proceedings commenced after July 1, 2011, the second procedure allows for deregulation if the monthly rent exceeds \$2,500 and the total annual income of the occupants exceeds \$200,000 in each of the two immediately preceding years (*see* Rent Control Law § 26-403.1 [a]-[b]).

legislative intent of the Rent Control Law (see *Roberts v Tishman Speyer Props., L.P.*, 13 NY3d 270, 285 [2009]; *Matter of KSLM-Columbus Apts., Inc. v New York State Div. of Hous. & Community Renewal*, 5 NY3d 303, 312 [2005]). An agency determination that “runs counter to the clear wording of a statutory provision . . . should not be accorded any weight” (*Kurcsics v Merchants Mut. Ins. Co.*, 49 NY2d 451, 459 [1980]). We cannot in any way delegate our responsibility for legal interpretation to the administrative agency charged with the statute’s enforcement (see *Matter of Moran Towing & Transp. Co. v New York State Tax Commn.*, 72 NY2d 166, 173 [1988]). If the agency’s interpretation is inconsistent with the statute, as it is here, it cannot stand.

“When presented with a question of statutory interpretation, our primary consideration is to ascertain and give effect to the intention of the Legislature” (*Matter of DaimlerChrysler Corp. v Spitzer*, 7 NY3d 653, 660 [2006] [internal quotation marks omitted]). We start with the text because it “is the clearest indicator of legislative intent and courts should construe unambiguous language to give effect to its plain meaning” (*id.*; see McKinney’s Cons Laws of NY, Book 1, Statutes § 94). Under the Rent Control Law, “annual income” is defined as “the federal adjusted gross income *as reported* on the New York state income tax return” (§ 26-403.1 [a] [1] [emphasis added]). There is no ambiguity; the term means a number on a line on a specific tax form. Our analysis could end here. However, “the legislative history of an enactment may also be relevant and ‘is not to be ignored, even if words be clear’” (*Riley v County of Broome*, 95 NY2d 455, 463 [2000], quoting McKinney’s Cons Laws of NY, Book 1, Statutes § 124).

The purpose of the luxury deregulation scheme is to create a mechanism for the “decontrol of high rent apartments occupied by high income households” (Senate Introducer’s Mem in Support, Bill Jacket, L 1993, ch 253 at 8). In enacting the RRRRA, the legislature found that the system in place disproportionately benefitted high-income tenants to the detriment of those who needed rent regulation the most. The full text containing the language cited by the majority (majority op at 685) makes that clear:

“A sound housing policy should be equitable to both tenants and owners. The current system is neither. This bill is a first attempt to restore some rational-

ity to the system. *The current rent regulation system provides the bulk of its benefits to high income tenants.* There is no reason why public and private resources should be expended to subsidize rents for these households” (Senate Introducer’s Mem in Support, Bill Jacket, L 1993, ch 253 at 10 [emphasis added]).

Luxury deregulation was intended to rectify the “glaring inequity” of taxpayer dollars being used to subsidize the rents for the wealthy New Yorkers (*id.* at 11). In order to promote compliance, the legislation “provide[s] for a simple and straight forward income verification process” (*id.*).

The majority concludes that to give the statutory language its plain meaning would effectively nullify the primary residency requirement, allowing the annual income of “those persons *who do not occupy* the housing accommodation as their primary residence” to be counted towards the threshold (majority op at 685-686). There is no “nullification” (*id.* at 686). The legislature defined the term “annual income” before using it in the next sentence of the statute. “Annual income” is counted only for those using the apartment as a primary residence; that term, for any occupant (or occupants), is defined as the federal adjusted gross income as reported on that person’s state income tax return—regardless of filing status. Here, respondent and her husband’s joint income, as reported, was well above the threshold. Absent some showing that DTF made an error, respondent was bound by the federal adjusted gross income listed on her joint return even though her husband no longer permanently lived at the apartment (*see Matter of Classic Realty v New York State Div. of Hous. & Community Renewal*, 2 NY3d 142, 146 [2004]).

One gets the sense that the majority is straining to reach what it considers a “fair” result in this case. But the majority’s resolution undermines the deregulation scheme by allowing high-income tenants to manipulate the verification process, decreasing their stated income below the statutory threshold (*see McKinney’s Cons Laws of NY, Book 1, Statutes* § 96 [“A basic consideration in the interpretation of a statute is the general spirit and purpose underlying its enactment, and that construction is to be preferred which furthers the object, spirit and purpose of the statute”]). Precisely because wealthy couples can afford multiple residences or “households,” they can now apportion their income between these households to keep their

luxury apartment in the City rent-stabilized. Consider the scenario of a generously compensated law-firm partner whose primary residence is in New Jersey. But the partner's spouse, whose income is well below the statutory threshold, primarily resides in a rent-controlled apartment on Manhattan's west side. Each year during tax season, the couple files jointly and their federal adjusted gross income, as reported on their state tax return, is in the millions of dollars. How is it even remotely rational, let alone fair, to allow the spouse to apportion his or her income on the verification form? To avoid this result, and in keeping with legislative intent, the only income figure that can be dispositive, or "outcome determinative" as the majority puts it (majority op at 685), is the federal adjusted gross income as reported on the state return. The concern is not fraud in the current rent regulation scheme (*see* majority op at 687), it is that the majority's decision makes all this perfectly acceptable as a matter of law.

III.

Petitioner also correctly points out that DHCR's use of anything other than the federal adjusted gross income reported on the state income tax return would be impermissible because the agency is not entitled to look at extrinsic, confidential tax information. In creating the deregulation procedure, the legislature desired a "simple and straight forward income verification process" that "places minimal burdens on the tenants and DHCR" (Senate Introducer's Mem in Support, Bill Jacket, L 1993, ch 253 at 11). To that end, New York State Tax Law limits the information that can be used to verify a tenant's income:

"[DTF] . . . shall verify the total annual income of all persons residing in housing accommodations as their primary residence subject to rent regulation and shall notify the commissioner of [DHCR] as may be appropriate whether the total annual income exceeds the applicable deregulation income threshold in each of the two preceding calendar years. *No other information regarding the annual income of such persons shall be provided*" (Tax Law § 171-b [3] [b] [emphasis added]).

The verification process is "limited to agreement or disagreement with the material representations contained in such in-

formation and a statement of whether each such representation has been overstated or understated” (*id.* § 171-b [2]). Corresponding regulations restrict the information DHCR and DTF may use to “the first page of the New York State income tax returns for the applicable years for each tenant or occupant whose income is to be included in the total annual income,” but from which the tenant must “delete all social security numbers and income figures” (9 NYCRR 2211.4 [b] [1]-[2]). Clearly, then, the statutory scheme “prohibit[s] disclosure of any income other than the [f]ederal adjusted gross income of an occupant of an apartment, as reported on the New York State income tax return, in determining whether the housing accommodation qualifies for deregulation” (*Matter of Nestor v New York State Div. of Hous. & Community Renewal*, 257 AD2d 395, 396 [1st Dept 1999]; see also *Matter of Giffuni Bros. v New York State Div. of Hous. & Community Renewal*, 293 AD2d 402, 403 [1st Dept 2002]).

DHCR’s inability to use anything other than the federal adjusted gross income reported on the state tax return is confirmed by settled precedent. In *Matter of Classic Realty v New York State Div. of Hous. & Community Renewal*, DTF initially verified that the tenant’s income exceeded the deregulation threshold (2 NY3d 142 [2004]). When DHCR reported that determination to the tenant, she amended her tax returns so that her federal adjusted gross income fell below the statutory threshold. Based on the amended returns, DHCR changed course and denied the petition for deregulation. On appeal, we annulled DHCR’s denial of deregulation, holding that “DHCR’s ruling cannot stand as it invites abuse of the luxury decontrol procedures which contemplate *a single verification, the result of which is binding on all parties* unless it can be shown that DTF made an error. No such showing is present here, and deregulation is therefore required” (*id.* at 146 [emphasis added]). Although we acknowledged that there may be a “legitimate reason” to amend a tax return, we nonetheless declined to allow the modification because it could “permit a tenant seeking to avoid deregulation to manipulate the timing and filing of tax returns or shift income to earlier years not under consideration” (*id.* at 147). Accordingly, *Classic Realty* suggests that anything beyond the single verification process prescribed by the statute would be “both arbitrary and capricious and affected by an error of law” (*id.*).

In this case, respondent and her husband voluntarily elected to file jointly with all the corresponding benefits that accrue to

joint filers. Their reported federal adjusted gross income as listed on their state tax returns exceeded the deregulation threshold of \$175,000 for the years at issue.² Instead of using this figure, DHCR allowed respondent to apportion her income, but had no way to verify that self-reported percentage. As a result, DHCR requested that she provide additional tax information—including various sources of income—to verify the percentage of income attributable to her. DHCR’s request for additional tax information is not expressly authorized by the statutory scheme and, if anything, runs contrary to its clear mandate that “[n]o other information regarding the annual income of such persons shall be provided” (Tax Law § 171-b [3] [b]). It is a fundamental principle of administrative law that “an agency’s authority must coincide with its enabling statute” (*Matter of New York State Superfund Coalition v New York State Dept. of Envtl. Conservation*, 75 NY2d 88, 92 [1989]), and an agency “[has] no authority to create a rule out of harmony with the statute” (*Matter of Jones v Berman*, 37 NY2d 42, 53 [1975]). DHCR possesses neither the technical expertise nor the legal authority to independently audit a tenant’s income. Thus, DHCR has no authority to request additional tax information from a tenant beyond the “straightforward” verification process contemplated by the legislature. To the extent DHCR’s internal memorandum of understanding with DTF suggests otherwise (*see* majority op at 686), it conflicts with the text of the statute and, therefore, is invalid.

Contrary to the majority’s claim (*see* majority op at 687), the above analysis is relevant for two reasons. First, to the extent DHCR is using a procedure prohibited under the statute, its actions, by definition, lack “rationality.” Second, it is a clear indication of the legislative intent that a single income figure listed on a specific tax form—not some ad hoc apportionment process done by DHCR based on various tax and income data—be used for purposes of determining the annual income of any occupant.

IV.

Ultimately, in creating the luxury deregulation scheme, I do not believe the legislature ever intended to allow wealthy

2. The term “annual income” is specifically defined and there is no need to look at the implications of “federal income tax liability” (majority op at 685). Whatever the tax policy for considering joint income, the legislature elected, for good reason, to use a specific income figure on the state tax form.

couples to apportion their joint income among multiple households. The majority's approach undermines the very purpose of luxury deregulation, which was intended to address the "glaring inequity" of taxpayer dollars being used to subsidize the rents of wealthy New Yorkers. The plain language of the statute was meant to prevent that result; we should adhere to it. Accordingly, I dissent.

Chief Judge DiFIORE and Judges RIVERA, STEIN, FAHEY and WILSON concur; Judge GARCIA dissents in an opinion.

Order affirmed, with costs, and certified question not answered as unnecessary.

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